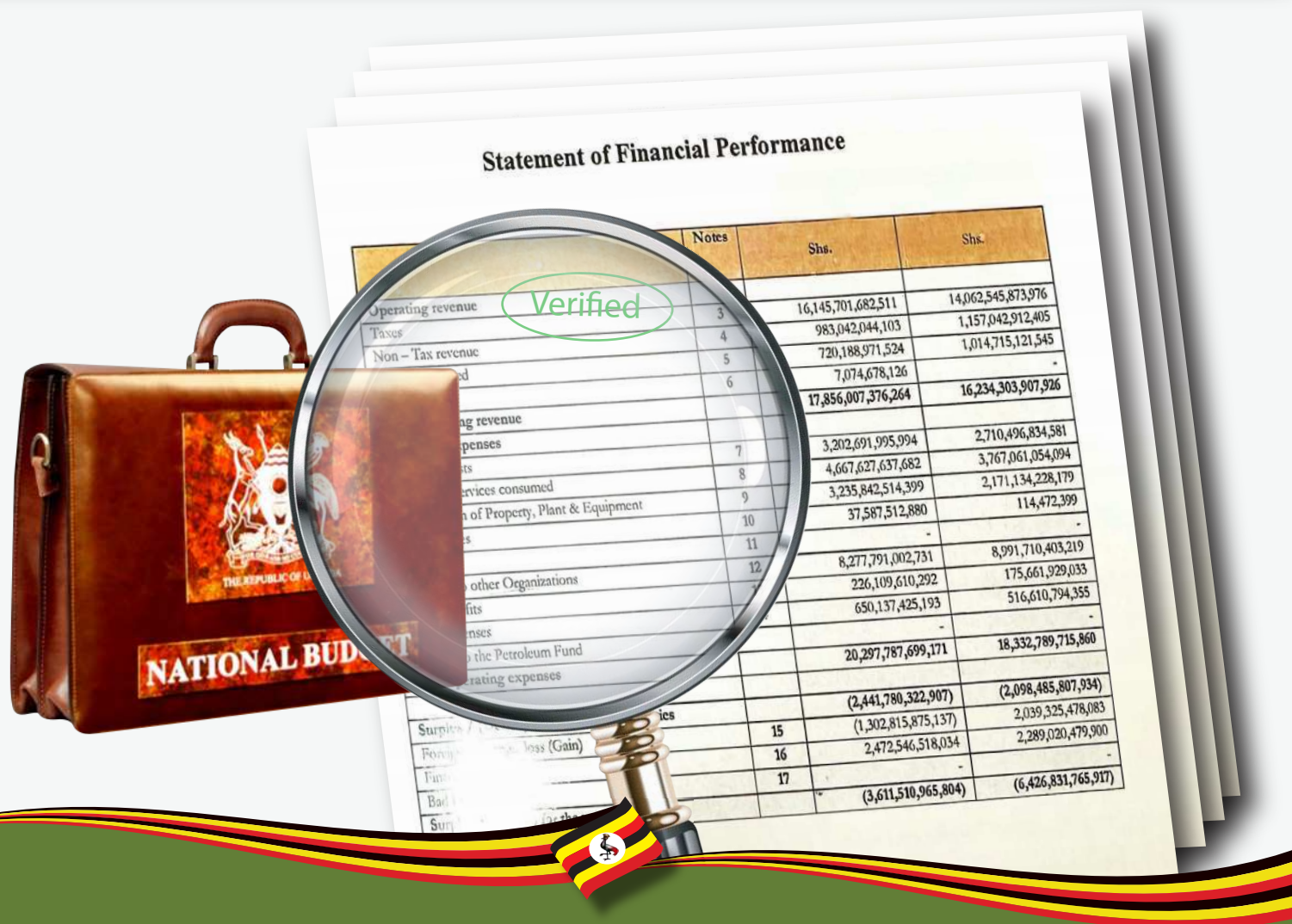




ANNUAL REPORT OF THE AUDITOR GENERAL TO PARLIAMENT FOR THE AUDIT YEAR ENDED 31ST DECEMBER 2024

CONSOLIDATED AUDIT FINDINGS

OFFICE OF THE AUDITOR GENERAL



THE REPUBLIC OF UGANDA

**REPORT OF THE AUDITOR GENERAL TO PARLIAMENT
FOR THE FINANCIAL YEAR ENDED 30TH JUNE 2024**

**OFFICE OF THE AUDITOR GENERAL
UGANDA**

DECEMBER, 2024

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LIST OF ACRONYMS

ACRONYM	MEANING
AFROSAI-E	African Organization of English-Speaking Supreme Audit Institutions
AG	Auditor General
AO	Accounting Officer
BIMS	Building Industry Management System
Bn	Billion
BoU	Bank of Uganda
CAR	Combined Audit Report
CBC	Competency-Based Curriculum
CGV	Chief Government Valuer
CMTs	Contract Management Teams
DCIC	Directorate of Citizenship and Immigration Control
DDEG	District Discretionary Equalization Grant
DMFAS	Debt Management and Financial Analysis System
DSCs	District Service Commissions
DWSSCG	District Water Supply and Sanitation Conditional Grant
EACOP	East African Crude Oil Pipeline
ECCMIS	Electronic Court Case Management Information System
EFRIS	Electronic Fiscal Receipting and Invoicing System
e-GP	Electronic Government Procurement
E-LogRev	Electronic Local Government Revenue Collection System
EMHS	Essential Medicines and Health Supplies
EPS	Express Penalty Scheme
ERC	Enumeration and Registration Committee
FY	Financial Year
G2B	Government to Business
GDP	Gross Domestic Product
GMS	Grants Management System
GoU	Government of Uganda
HCs	Health Centres
HCMS	Human Capital Management System
HLGs	Higher Local Governments
ICT	Information Communication Technology
IDA	International Development Association
IESBA	International Ethics Standards Board for Accountants
IFMS	Integrated Financial Management System
IGFTRP	Intergovernmental Fiscal Transfers Reform Program
IMCMHH	Inter-Ministerial Committee on Menstrual Health and Hygiene
INTOSAI	International Organization of Supreme Audit Institutions
IP	Intellectual property
IRAS	Integrated Revenue Management System
IS	Information Systems
ISSAIs	International Standards of Supreme Audit Institutions
KCCA	Kampala Capital City Authority
KIS	Kalangala Infrastructure Services
KOPGT	Kalangala Oil Palm Growers Trust
LCs	Letters of Credit
LEGS	Local Economic Growth Support
LGRMIS	Local Government Revenue Collection and Management System

ACRONYM	MEANING
LLGs	Lower Local Governments
LST	Local Service Tax
MDAs	Ministries, Departments and Agencies
MEPS	Minimum Energy Performance Standards
MHHM	Menstrual Health and Hygiene Management
MIDAS	Migration Information and Data Analysis System
MOFPED	Ministry of Finance, Planning, and Economic Development
MoICT&NG	Ministry of Information, Communications Technology and National Guidance
MoPS	Ministry of Public Service
MoU	Memoranda of Understanding
MSC	Microfinance Support Centre
MTEF	Medium Term Expenditure Framework
NAA	National Audit Act
NBI	National Backbone Infrastructure
NCDC	National Curriculum Development Centre
NDP	National Development Plan
NEC	National Enterprises Corporation
NFASS	National Food and Agricultural Statistical System
NMS	National Medical Stores
NPA	National Planning Authority
NPDRI	National Petroleum Data Repository Infrastructure
NTR	Non-Tax Revenue
NWSC	National Water and Sewerage Corporation
OAG	Office of the Auditor General
OSH	Occupational Safety and Health
PAPs	Project Affected Persons
PDCs	Parish Development Committees
PDE	Procuring and Disposing Entity
PDM	Parish Development Model
PDMF	Public Debt Management Framework
PDMIS	Parish Development Model Information System
PFMA	Public Finance Management Act
PFMR	Public Finance Management Regulations
PIMS	Project Implementation Management System
PISCES	Personal Identification Secure Comparison and Evaluation System
PPC	Physical Planning Committee
PPDA	Public Procurement and Disposal of Public Assets Authority
PRF	Parish Revolving Fund
PS/ST	Permanent Secretary/Secretary to the Treasury
PSC	Public Service Commission
RAPEX	Rationalization of Government Agencies and Public Expenditure
SACCOs	Savings and Credit Cooperative Societies
SDGs	Sustainable Development Goals
SORA	Shared Overall Risk Assessment
TAI	Treasury Accounting Instructions
TELA	Teacher Effectiveness and Learner Achievement System
TIN	Tax Identification Number
Tn	Trillion
TRT	Technical Review Team
UBoS	Uganda Bureau of Statistics

ACRONYM	MEANING
UDLS	Uganda Driver Licensing System
UgIFT	Uganda Intergovernmental Fiscal Transfer
UGX	Uganda Shillings
ULRC	Uganda Law Reform Commission
UNOC	Uganda National Oil Company
UNRA	Uganda National Roads Authority
URA	Uganda Revenue Authority
URF	Uganda Road Fund
URMCHSIP	Uganda Reproductive Maternal and Child Health Service Improvement Project
USD	United States Dollars
USMID	Uganda Support for Municipal Infrastructure Development
USMID	Uganda Support to Municipal Infrastructure Development
UTL	Uganda Telecom Limited
UWEP	Uganda Women Empowerment Project
VFM	Value for Money
YLP	Youth Livelihood Program

GLOSSARY OF TERMS

TERM	DEFINITION
Classified Expenditure	The expenses and commitments incurred by an authorised agency for the collection and dissemination of information related to national security interests
Contingent Liability	A potential liability that may occur depending on the outcome of an uncertain future event.
Domestic Arrears	Domestic arrears refer to short-term debts incurred by Governments against unpaid procurement invoices for supply of goods and services during the financial year
External Debt	Portion of a country's debt that was borrowed from foreign lenders including commercial banks, Governments or international financial institutions.
Garnishee order	A form of enforcing a judgment debt against a creditor to recover money.
Nugatory Expenditure	Expenditure that does not achieve any result
Off-budget financing	Off-budget refers to expenditure that is not funded through the budget
Recruitment	Refers to the process of attracting, screening, selecting, and on boarding a qualified person for a job, provided by an employer in another territory and the preparation for their departure
Revolving Fund	A fund that is continually replenished as withdrawals are made

FOREWORD

This being my maiden Audit Report to Parliament, allow me to extend my gratitude to His Excellency, the President of the Republic of Uganda, and the Parliament of Uganda for entrusting me with the responsibility to lead the Office of the Auditor General. I also wish to acknowledge my predecessor, the Auditor General Emeritus, Mr. Muwanga John F.S, for his dedicated service to the country and his invaluable contributions to the development of financial management in the public sector.

In accordance with my audit mandate, as stipulated under Article 163 of the Constitution of the Republic of Uganda, 1995 and further amplified in the National Audit Act Cap. 170, I hereby present my Annual Audit Report on the Government of Uganda Consolidated Financial Statements, as well as the Financial Performance of Public Corporations and State Enterprises.

In line with the mandate, I audited the financial statements of 176 Ministries, Departments and Agencies (MDAs), 64 Public Corporations and State Enterprises, 179 Projects, 1,344 Local Governments and 743 Secondary Schools and Tertiary Institutions.

As part of my Office's strategic objective to enhance the relevance of audits for improved transparency, accountability, and service delivery, I undertook three (3) thematic audits focused on: the Implementation of the Approved Budget, the Parish Development Model, and the Management of the Pension Payroll. The latter was a follow-up to the Salary Payroll Report issued the previous year.

Additionally, I undertook audits in response to stakeholder needs and emerging issues, including 256 special audits and investigations, 29 Value for Money audits, 10 Information System audits and 6 Engineering audits. Individual reports were issued in this regard.

In the pursuit of improving the quality of audits and ensuring that they add value to society, my Office remains committed to enhancing quality control mechanisms and capacity-building initiatives to meet international auditing standards and, above all, to respond to the expectations of stakeholders.

I extend my sincere thanks to the Rt. Hon. Speaker of Parliament, the Finance, Planning and Economic Development Committee, and the Accountability Committees for their support, insights, and contributions towards improving the quality of audit reports. I commit to continuing my support to the Parliamentary Oversight Committees during their discussions of my audit findings.

I also express my appreciation to all stakeholders for the invaluable support rendered to my office during the audit year. Finally, I thank my dedicated staff for their hard work, unwavering commitment, and endurance throughout the audit year.



Edward Akol
AUDITOR GENERAL

31st December, 2024

INTRODUCTION

Mandate

In accordance with Article 163(3) of the 1995 Constitution of the Republic of Uganda, Sections 12 and 18 of the National Audit Act (NAA), Cap. 170, and the Public Finance Management Act (PFMA), Cap. 171, I am required to audit and report on the public accounts of Uganda and all public offices, including the Courts, Central and Local Government Administrations, Universities, Public Institutions of like nature and any Public Corporations or other bodies established by Acts of Parliament.

Section 12(b) of the NAA, requires my office to perform a range of audits, including Financial, Value for Money, Engineering, Information Systems, Special, Government Investment Procurements, Treasury Memoranda, Gender and Environment audits, as well as audits related to any project or activity involving public funds. Additionally, Classified Expenditure audits are conducted to ensure the transparency and proper use of public resources.

In compliance with Article 163(4) of the Constitution, I am required to audit and submit accounts to Parliament annually for the year immediately preceding. This report is submitted in compliance with the constitutional provision.

Purpose of the Report

The purpose of this report is to provide a summary of audit results for the audits that I undertook from January to December 2024. These include;

- (i) A report and Opinion of the Auditor General on the
 - a) Government of Uganda Consolidated Financial Statements of the Government of the Republic of Uganda for the financial year ended 30th June 2024.
 - b) The Consolidated Summary Statement of Financial Performance of Public Corporations and State Enterprises for the financial year ended 30th June 2024.
- (ii) A summary of audit results from performance evaluation of Ministries, Departments, Agencies, Commissions, Statutory Corporations and Local Governments.
- (iii) A summary of audit results from audit of compliance with relevant regulatory frameworks.
- (iv) A summary of audit findings from other specialized audits, including Special audit Report on Gratuity payments and Pension Payroll, Value for Money Audits, Special Audits, IT and Engineering Audits conducted during the year.
- (v) Status of implementation of the Treasury Memorandum.

Developments during the audit year

a) Combined Audit Report Approach

The Office of the Auditor General's Strategic Objective is to conduct relevant and high impact audits that enhance service delivery and stakeholder satisfaction. In line with this objective, the OAG introduced the Combined Audit Report (CAR) this audit year.

The CAR is a comprehensive report that includes several sections: a financial audit report, key findings on compliance with regulatory frameworks, an evaluation of the entity's performance, and summaries of findings from other audit types such as Value for Money (VFM), Information Systems (IS), and special audits, if applicable to the audited entity or project.

b) Rationalization of Government Agencies and Public Expenditure

On 22nd February 2021, the Government introduced the Rationalization of Government Agencies and Public Expenditure (RAPEX) reform to enhance efficiency and effectiveness in service delivery. The reform focused on reorganizing government institutions by adjusting mandates, functions, strategies, and structures. Its main objectives were to eliminate duplications and overlaps, reduce wasteful expenditure, and achieve both short-term and long-term savings.

The reform involved merging, mainstreaming and transferring the functions of several government entities/institutions.

In the 2024 audit year, government agencies were rationalized, requiring a review of their "going concern" status during the audit, as outlined in section 5.2 of the Treasury Accounting Instructions, 2017. The "going concern" concept assumes that an entity will be able to operate for the foreseeable future, at least for the next 12 months. However, due to RAPEX, there were significant concerns about the affected entities' ability to continue delivering services as before.

As a result, for entities where mergers had already been completed (i.e., before the end of FY 2023/24), I have reported on the appropriateness of the financial statements' presentation and disclosure of their assets and liabilities.

For entities identified for merger but not yet concluded, I audited the financial statements for the FY ending June 2024. Since the majority were set to cease operations on 1st October 2024, I plan to conduct closure audits from January 2025 for the 3-month period ending 30th September 2024. During these audits, I will assess compliance with the RAPEX reporting guidelines issued by the Accountant General.

c) Citation of the Laws

The Uganda Law Reform Commission (ULRC), in line with its mandate, revised and updated the Statute Book by preparing the 7th Revised Edition of the Principal Laws of Uganda. This process involved updating, reorganizing, and consolidating all statutes from Independence up to 31st December 2023 into a single statute book, commonly known as "The Red Volume."

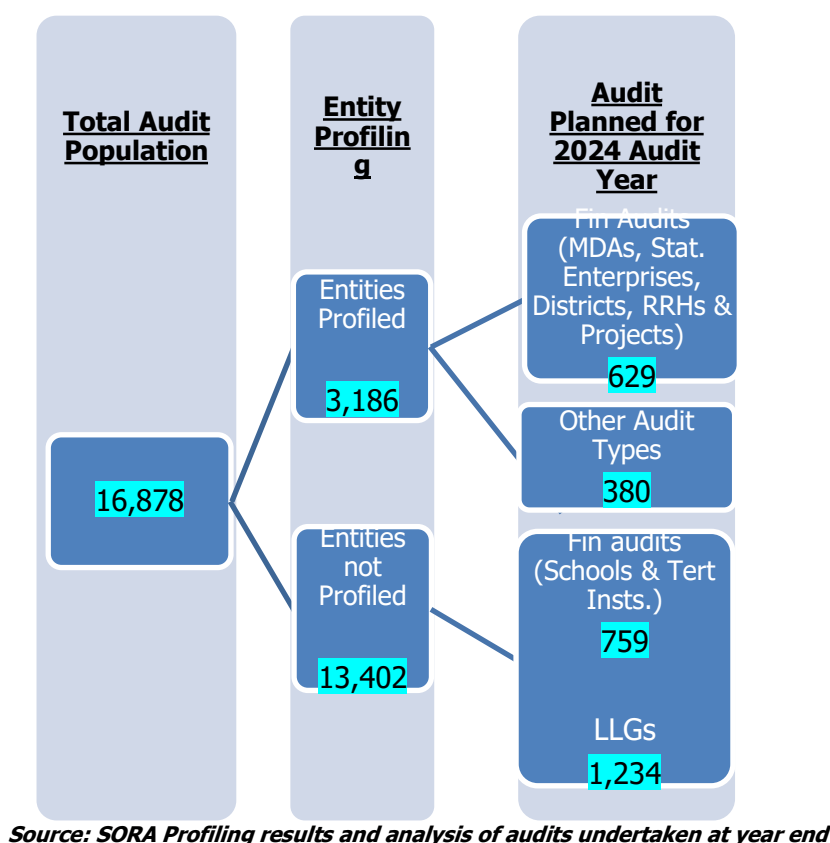
The Revised Edition came into effect on 1st July 2024. As a result, when consolidating this Report and compiling the individual entity/project audit reports for the FY 2023/24, the Auditor General took the revised citations into account.

Summary of Audit Results

i) General Performance

At the beginning of the year, 2024, I undertook the Shared Overall Risk Assessment (SORA) to determine audits and audit types to be undertaken. Out of the total audit population of 16,878 entities, I profiled 3,186 (19%), constituting approximately UGX.52.4Tn (99%) of the total GoU initial approved budget of UGX.52.7Tn. Figure 1 below refers;

Figure 1: Total Audit Population and Planned Audits for 2024



As shown in Figure 1 above, I planned to undertake 3,002 audits, constituting UGX.52.3Tn (approximately 99%) of the total initial government budget of UGX.52.7Tn. The planned audits included 629 financial audits of MDAs, Public Corporations & State Enterprises, Districts and Projects; 380 other audit types; 1,234 Lower Local Governments; and 759 selected Secondary Schools & Tertiary Institutions.

By the end of the audit year (December 2024), 2,832 (94%) of the planned audits were concluded and reported on, as detailed in Table below;

Table 1: Summary of Audit Performance for the audit year

SN	Type of Entity/Audit	Planned Audits	Actual Performance	Audits in Progress
1	MDAs	162	156	6
2	Public Corporations & State Enterprises	70	64	6
3	Projects	179	179	0
4	Funds	6	5	1
5	Classified entities	39	7	32
6	Districts	135	124	11
7	Regional Referral Hospitals	16	15	1
8	Municipal Councils and Cities	41	36	5
9	Divisions	20	16	4
10	Lower Local Governments	1,234	1,168	66
11	Schools/Tertiary institutions	759	743	16
12	VFM Studies	33	29	4
13	Forensics/Special Audit	260	256	4
14	Engineering Audits	10	6	4
15	IS Audits	10	10	0
16	PSAs	9	0	9
17	International Audits	5	5	0
18	Treasury Memoranda	14	13	1
Total		3,002	2,832	170

Source: SORA Profiling results and analysis of audits undertaken at year end

The finalization of the 170 audits was delayed due to resource constraints caused by the Pension and Gratuity Payroll Special Audit. The requirement for the entire audit staff to focus on these Audit, limited the time available to conduct other planned audits.

The delayed audits will be completed between January and March 2025, and the findings thereon will be included in the Consolidated Report for December 2025.

ii) **Summary of Opinions**

Of the financial audits concluded, the 579 Audit Opinions for the MDAs; Public Corporations & State Enterprises; Projects; Funds; Districts; Cities and Municipalities and Regional Referral Hospitals were analysed to ascertain the trend over the years. The table below refers;

Table 2: Summary of Current Year Audit Opinions

SN	Type of Entity/Audit	Un-qualified	Qualified	Adverse	Disclaimer
1	MDAs	152	3	1	0
2	Public Corporations & State Enterprises	62	2	0	0
3	Projects	179	0	0	0
4	Funds	4	1	0	0
5	Districts	117	7	0	0
6	Regional Referral Hospitals	15	0	0	0

SN	Type of Entity/Audit	Un-qualified	Qualified	Adverse	Disclaimer
7	Municipal Councils and Cities	34	2	0	0
Total		563	15	1	0

From the above analysis, 563 (97.2%) entities had Unqualified Opinions, 15 (2.6%) had Qualified Opinions while 1 (0.2%) entity had Adverse Opinion. No entity received a disclaimer of Opinion.

The trend of the Audit Opinions over the years is shown in table below;

Table 3: Trend of Opinions over the FYs

SN	Type of Opinion	2023/24	2022/23	2021/22	2020/21
1	Unqualified	563	613	654	502
2	Qualified	15	10	13	27
3	Adverse	1	0	1	0
4	Disclaimer	0	2	1	0
Total		579	625	669	529

PART I: REPORTS ON CONSOLIDATED FINANCIAL STATEMENTS

SECTION 1: REPORT OF THE AUDITOR GENERAL ON THE CONSOLIDATED FINANCIAL STATEMENTS OF THE GOVERNMENT OF THE REPUBLIC OF UGANDA FOR THE FINANCIAL YEAR ENDED 30TH JUNE 2024

THE RT. HON. SPEAKER OF PARLIAMENT

Opinion

I have audited the accompanying Consolidated Financial Statements of the Government of the Republic of Uganda, which comprise the Statement of Financial Position as at 30th June 2024, the Statement of Financial Performance, the Statement of Changes in Equity, and the Statement of Cash Flows, together with other accompanying statements for the year then ended, and notes to the financial statements, including a summary of significant accounting policies.

In my opinion, the accompanying financial statements of the Consolidated Financial Statements of the Government of the Republic of Uganda for the financial year ended 30th June 2024 are prepared, in all material respects, in accordance with Section 49 of the Public Finance Management Act (PFMA), Cap 171, and the Financial Reporting Guide, 2024.

Basis for Opinion

I conducted my audit in accordance with the International Standards of Supreme Audit Institutions (ISSAIs). My responsibilities under those standards are further described in the Auditor's Responsibilities for the Audit of the Financial Statements section of my report. I am independent of the Treasury in accordance with the Constitution of the Republic of Uganda 1995 (as amended), the National Audit Act, Cap 170, the International Organization of Supreme Audit Institutions (INTOSAI) Code of Ethics, the International Ethics Standards Board for Accountants Code of Ethics for Professional Accountants (Parts A and B) (IESBA Code), and other independence requirements applicable to performing audits of Financial Statements in Uganda. I have fulfilled my other ethical responsibilities in accordance with the IESBA Code and in accordance with other ethical requirements applicable to performing audits in Uganda.

I believe that the audit evidence I have obtained is sufficient and appropriate to provide a basis for my opinion.

Key Audit Matter

Key audit matters are those matters that, in my professional judgment, were of most significance in my audit of the financial statements of the current period. I have determined that there are no key audit matters to communicate in my report.

Emphasis of Matter

Without qualifying my opinion, I would like to draw the readers' attention to the following matters which have been disclosed under Notes 19, 20, 23 and 24 to the financial statements;

1.1 Rollout of Asset Management and Reporting

During the Financial Year (FY) 2023/24, the Government rolled out the recognition of non-current asset values in the financial statements using the historical cost method. The Accountant General guided Accounting Officers to form Valuation Committees and value all non-current assets using simplified valuation guidelines.

I noted that during the FY, Government reported consolidated non-current assets amounting to UGX.107.076Tn, comprised of non-produced assets (UGX.61.075Tn) and produced assets (UGX.46.0Tn), excluding capital investments. The assets increased by UGX.80.807Tn (307%) from the previous year's balance of UGX.26.269Tn.

I noted that the Valuation Committees were not competent to make reliable estimates. These assets have therefore been recognized at historical costs using available information and stipulated asset management framework and guidelines provided by the Accountant General.

This initial recognition phase shall be followed by asset validation and revaluation to arrive at fair values for all tangible assets recognized in the financial statements of the individual Ministries, Departments, Agencies and Local Governments, as well as the Consolidated Financial Statements of Government. The asset validation is a work in progress and is expected to continue through the 2024/2025 Financial Year, after which the asset valuation will be initiated.

The Accounting Officer explained that the validation exercise of the non-current assets will be undertaken in the FY 2024/2025 after which a revaluation process for different asset classes would be initiated and subsequently tested for impairment.

Recommendation

I advised the Accountant General to follow through with the validation and valuation processes to enhance the integrity, transparency and accountability of the financial statements.

1.2 Non-Performing Receivables - UGX.0.919Tn

Included in the receivables under Note 20 are loans to private and state enterprises of UGX.7.7Tn, which includes non-performing receivables of UGX.0.919Tn and have not been performing for over 20 years. A provision of bad debts of UGX.0.247Tn has been made in this regard.

The amounts appear irrecoverable and hence, overstating the receivables. I further noted that some of the private enterprises no longer exist and those that are still existing do not recognize the liability in their financial statements. Under the circumstances, the non-performing receivables in question may not be recoverable.

The Accounting Officer explained that attempts to seek write-off approval from the Attorney General and Parliament had not yielded results.

Recommendation

I advised the Accounting Officer to continue engaging the relevant stakeholders to explore ways of recovering the amounts or initiate the process of write-off for the dissolved companies. In addition, for existing entities, government should explore the possibility of turning the outstanding amounts into equity.

1.3 Continued Increase in Payables

I reviewed the statement of financial position and the disclosure on Note 25 and noted an increase in payables from UGX.10.502Tn in the FY 2022/2023 to UGX.13.814Tn by the end of FY 2023/2024, an increase of 31.54%.

Further analysis revealed that new payables accrued stood at UGX.6.639Tn compared to only UGX.3.679Tn paid during the year.

This indicates that the rate at which Government contracts domestic arrears is much higher than the rate of payment, leading to continued accumulation of domestic arrears. This may be attributed to failure to enforce the budget commitment control guidelines.

The Accounting Officer attributed the increasing payables to inadequate budgeting, cash flow constraints and competing Government demands.

Recommendation

I advised the PS/ST to ensure adequate budgeting for domestic arrears and enhance enforcement of commitment control to ensure sustainability.

1.4 Management of Letters of Credit

Disclosed under Note 19 are prepayments and advances of UGX.1.472Tn which comprised of Letters of Credit of UGX.223.23Bn, Other prepayments of UGX.478.865Bn and Advances of UGX.770.161Bn.

I however noted that some Letters of Credit worth UGX.219.98Bn, were classified under Other prepayments and Advances. In addition, 101 letters of credit worth UGX.154.84Bn had not performed for more than a year, out of which 80 letters of credit worth UGX.124Bn (80.1%) had not performed for 2 years. Further, the Government incurred UGX.3Bn as a cost for renewals, extensions and commissions for letters of credit. I observed that there was no strict policy guidance on management of letters of credit, extensions, and renewals.

The delays in the performance of LCs, holds up financial resources for other priority activities, besides the avoidable extra costs incurred in renewals and extensions.

The Accounting Officer explained that a circular was issued in 2022, guiding on the management of LCs which includes balances to be returned to the source account in case

of non-performance after three months, among others. However, I noted that the circular had not been enforced.

Recommendation

I advised the Accountant General to review the classification of letters of credit and the current policies to ensure enforceability to optimize resources.

1.5 Classified Expenditure

As disclosed under Note 8, a total of UGX.1.271Tn relates to classified expenditure, while under Note 26, a total of UGX.1.672Tn relates to classified assets acquired during the year. In compliance with Section 23 of the Public Finance Management Act, Cap 171 (Classified Expenditure), this expenditure is audited separately and a separate audit report issued.

Other Matter

I consider it necessary to communicate the following matters other than those presented or disclosed in the financial statements;

1.6 Slow recovery of Accumulated Arrears of Revenue

Paragraph 10.13.2 of the Treasury Instructions, 2017, requires Accounting Officers or receivers of revenue authorized by the Secretary to the Treasury, to allow credit facilities to ensure that written instructions are issued for the issuance of invoices, collecting and reporting of outstanding revenue and maintaining debtor's records. Reference to the authority of the Secretary to the Treasury shall be indicated in all invoice Registers and debtors' records maintained for the purpose.

Analysis of the arrears of revenue revealed the following;

- i) Out of arrears of revenue (NTR) as at 30th June 2023 worth UGX.0.475Tn, only UGX.0.107Tn was collected during the year, leaving UGX.0.367Tn (77.4%) uncollected for two consecutive years as of 30th June 2024.
- ii) A total of 45 votes had accumulated arrears of revenue from previous financial years of UGX.0.077Tn, with zero collections/recoveries made during the year.
- iii) By 30th June 2024, the entities had accumulated arrears of revenue amounting to UGX.0.722Tn.

Continued accumulation of arrears of revenue deprives Government, of the much-needed financial resources and may result in loss of public funds.

The Accounting Officer attributed the occurrence to inadequate policy guidelines in recognizing doubtful debts and uncollectible arrears.

Recommendation

I advised the PS/ST to implement an effective policy to manage revenue and the resulting receivables.

1.7 Implementation of the Roadmap to Accrual Accounting

The Government is continuing to transition its accounting and financial reporting to the accrual basis of accounting based on the International Public Sector Accounting Standards (IPSASs), to enhance the comprehensiveness, timeliness and quality of financial information for decision-making.

I noted that a phased implementation approach was adopted following a revised roadmap for the transition. During the financial year under review, the Asset Accounting Policy and Guidelines for all non-current assets aligned with GAAP and GoU legal framework were adopted. However, I noted there was no clear roadmap towards achieving adherence to the IPSAS.

Due to the lack of a clear road map, I was not able to assess the adoption of the IPSASs project.

The Accounting Officer explained that the Accrual Roadmap which was issued was a living document and will be revised from time to time, to ensure comprehensiveness during the phased implementation of Accrual Accounting.

However, the roadmap was not shared for evaluation during the audit.

Recommendation

I advised the Accountant General to develop, implement and monitor an Accrual Roadmap with clear milestones towards achieving full adoption of the IPSAS standards.

1.8 Pension and Gratuity Supplementary releases without requests from Accounting Officers

Regulation 18 (2) of the Public Finance Management Regulations (PFMR) 2016, requires that an Accounting Officer who intends to spend money as supplementary expenditure shall request the Minister's approval in writing.

I noted that 185 entities received supplementary funding worth UGX.382Bn for pension and gratuity expenditures in FY 2023/2024, without any written requests from the Accounting Officers, as summarized in the table below;

Table 4: Supplementary expenditure not requested by Accounting Officers

Sn	Number of beneficiary entities	Pension (UGX Bn)	Gratuity (UGX Bn)	Total Amounts (UGX Bn)
1	8 MDAs	15.209	0.793	16.002
2	177 LGs	179.918	186.080	365.998
	Total			382

Source: OAG analysis

Although the MoFPED provided the schedules of requests for the supplementary budget, they were not reconciled with the actual amount received by the respective MDAs and LGs.

The practice of granting supplementary funds to MDAs and LGs without their formal requests is irregular and contravenes the Public Finance Management Regulations. It also undermines internal controls regarding the management of public funds as well as preventing the Accounting Officers from taking responsibility.

In his submission, the Accounting Officer explained that after estimates submission in 2023/24, it was observed that some statutory obligations, such as transfers to Local Governments and subventions, were underfunded due to budget cuts, leading to inadequate Pension and Gratuity allocations for several institutions, majorly LGs. He further explained that a supplementary budget was issued in Quarter One of FY 2023/24, to align the allocations with MoPS recommendations.

Recommendation

I advised the PS/ST to ensure that supplementary requests are obtained from Accounting Officers before they are compiled and sent to Parliament for Appropriation, to promote compliance and accountability.

Other Information

The Accounting Officer is responsible for the other information. The other information comprises the statement of responsibilities, a statement from the Hon. Minister of Finance, Planning and Economic Development, a statement from the Secretary to the Treasury, a statement from the Accountant General, and other supplementary information. The other information does not include the financial statements and my auditors' report thereon.

My opinion on the financial statements does not cover the other information and I do not express an audit opinion or any form of assurance conclusion thereon.

In connection with my audit of the financial statements, my responsibility is to read the other information and, in doing so, consider whether the other information is materially consistent with the financial statements, or my knowledge obtained in the audit, or otherwise appears to be materially misstated. If, based on the work I have performed, I conclude that there is a material misstatement of this other information; I am required to report that fact. I have nothing to report in this regard.

Management's Responsibilities for the Financial Statements

Under Article 164 of the Constitution of the Republic of Uganda, and Section 43 of the Public Finance Management Act, Cap 171, the Accounting Officer is accountable to Parliament for the funds and resources of the Government of Uganda. The Accountant General is appointed as the Accounting Officer and Receiver of Revenue for the Consolidated Fund.

The Accountant General is therefore responsible for the preparation of financial statements in accordance with the requirements of the Public Finance Management Act, Cap 171, and the Financial Reporting Guide 2024, and for such internal control as management determines is necessary to enable the preparation of financial statements that are free from material misstatements, whether due to fraud or error. In preparing the financial statements, the Accountant General is responsible for assessing the Government's ability to continue delivering its mandate, disclosing, as applicable, matters related to affecting the delivery of the mandate of the Government of Uganda and using the Financial Reporting Guide, 2024, unless the Accountant General has a realistic alternative to the contrary. The Accountant General is responsible for overseeing the Government's financial reporting process.

In preparing the financial statements, the Accountant General is responsible for assessing the Government's ability to continue delivering its mandate, disclosing, as applicable, matters related to affecting the delivery of the mandate of the Government of Uganda and using the Financial Reporting Guide, 2024, unless the Accountant General has a realistic alternative to the contrary.

The Accountant General is responsible for overseeing the Government's financial reporting process.

Auditor's Responsibilities for the Audit of the Financial Statements

My objectives are to obtain reasonable assurance about whether the consolidated financial statements of government as a whole are free from material misstatement, whether due to fraud or error and to issue an auditor's report that includes my opinion. Reasonable assurance is a high level of assurance but is not a guarantee that an audit conducted in accordance with ISSAIs will always detect a material misstatement when it exists. Misstatements can arise from fraud or error and are considered material if, individually or in the aggregate, they could reasonably be expected to influence the economic decisions of users taken on the basis of these financial statements.

As part of an audit in accordance with ISSAIs, I exercise professional judgement and maintain professional skepticism throughout the audit. I also;

- Identify and assess the risks of material misstatement of the financial statements, whether due to fraud or error, design and perform audit procedures responsive to those risks, and obtain audit evidence that is sufficient and appropriate to provide a basis for my opinion. The risk of not detecting a material misstatement resulting from fraud is higher than for one resulting from error, as fraud may involve collusion, forgery, intentional omissions, misrepresentations, or the override of internal control.
- Obtain an understanding of internal control relevant to the audit to design audit procedures that are appropriate in the circumstances, but not for the purpose of expressing an opinion on the effectiveness of the Government's internal control.
- Evaluate the appropriateness of accounting policies used and the reasonableness of accounting estimates and related disclosures made by the management.
- Conclude on the appropriateness of management's use of the going concern basis of accounting and, based on the audit evidence obtained, whether a material uncertainty exists related to events or conditions that may cast significant doubt on the Government's

ability to deliver its mandate. If I conclude that a material uncertainty exists, I am required to draw attention in my auditor's report to the related disclosures in the financial statements or, if such disclosures are inadequate, to modify my opinion. My conclusions are based on the audit evidence obtained up to the date of my auditor's report. However, future events or conditions may cause the Government to fail to deliver its mandate.

- Evaluate the overall presentation, structure and content of the financial statements, including the disclosures, and whether the financial statements represent the underlying transactions and events in a manner that achieves fair presentation.

I communicate with the Accounting Officer regarding, among other matters, the planned scope and timing of the audit and significant audit findings, including any significant deficiencies in internal control that I identify during my audit.

I also provide the Accounting Officer with a statement that I have complied with relevant ethical requirements regarding independence and to communicate with them all relationships and other matters that may reasonably be thought to bear on my independence, and where applicable, related safeguards.

From the matters communicated with the Accounting Officer, I determine those matters that were of most significance in the audit of the financial statements of the current period and are therefore the key audit matters. I describe these matters in my auditor's report unless law or regulation precludes public disclosure about the matter or when, in extremely rare circumstances, I determine that a matter should not be communicated in my report because the adverse consequences of doing so would reasonably be expected to outweigh the public interest benefits of such communication.

Other reporting responsibilities

In accordance with Section 18 (1) of the National Audit Act (NAA), Cap 170, I report to you, based on my work described on the audit of Financial Statements that, except for the matters described in Sections 2 and 3, and those raised below, whose effect has been considered in forming my opinion on the financial statements, the activities, financial transactions and information reflected in the financial statements that have come to my notice during the audit, are in all material respects, in compliance with the authorities which govern them.

1.9 Review of Share Purchase in M/s ROKO Construction Ltd

On 21st July 2022, the Parliament of Uganda passed a resolution authorizing the Government to acquire 150,000 preference shares in M/S ROKO Construction Ltd worth UGX.207.013Bn. I further noted that the Clerk to Parliament communicated to MoFPED to pay UGX.207.13Bn, which was subsequently paid, resulting to an excess payment of UGX.117Mn.

A share subscription agreement was signed on the 28th day of July 2022 between MoFPED on behalf of the Government of Uganda and the construction company.

A review of the share purchase process revealed the following:

1.10 Irregular purchase of shares by Government

Section 22(1) of the Public Finance Management Act Cap 171, states that a vote shall not enter a contract, transaction, or agreement that binds the Government to a financial commitment for more than one financial year or which results in a contingent liability, except where the financial commitment or contingent liability is authorized by Parliament.

Section 90 of the Companies Act Cap 106 further provides that a certificate, under the common seal of the company or any other title evidencing securities under the Act or any other law, specifying any shares held by any member shall be prima facie evidence of title of the member to the shares.

A review of the company records at the Uganda Registration Services Bureau (URSB) revealed the following:

- a) The company, in a special resolution dated 8th October 2021 and filed at URSB on 20th July 2022, resolved that the company creates preference redeemable shares each valued at UGX.1,000,000 and issued at a premium of UGX.380,367 per share. The resolution also provided for the rights attached to the redeemable shares.
- b) In a subsequent resolution dated 22nd October 2021, and filed at URSB on 25th July 2022, the company resolved that 150,000 preference redeemable shares of UGX.1,000,000 issued at a premium of UGX.380,367 per share be allotted to the Government of Uganda. In a special resolution of the company dated 22nd October 2021 and filed with the URSB on 14th July 2022, the company resolved to increase its share capital from UGX.15Bn to UGX.222.13Bn and to create 150,000 preference redeemable shares to be allotted to Government of Uganda.
- c) The company filed an amended company Memorandum and Articles of Association for the company with the URSB on 20th July 2022 in which the company indicated its share capital as UGX.222.130Bn divided into 15,000 ordinary shares of UGX.1,000,000 each and 150,000 redeemable preference shares issued at a premium of UGX.380,367 per share.

In light of the above, I noted that the process of purchase of shares and consequently binding Government, had been completed before the approval of Parliament as noted by the following facts.

- i) The share certificate issued by the company for the 150,000 redeemable shares for the Government, was issued on the 22nd day of October 2021.
- ii) In a Company resolution made on the 22nd of October 2021 at an extraordinary meeting, the company resolved that 150,000 preference redeemable shares, be created and allotted to the Government of Uganda.
- iii) The company Return of Allotment for shares dated 22nd October 2021 provided that 150,000 preference shares had been allotted to the Ministry of Finance, Planning and Economic Development for an amount of UGX.207.13Bn.

This implied that the prior allotment and purchase of shares were done before Parliament's approval. Furthermore, the failure to follow proper process by the entity undermined the controls in place and may lead to legal disputes in future.

This may be attributed to lack of guidelines and procedures regarding Government bailouts and investments. No management responses were provided in this regard.

Recommendation

I advised the PS/ST to review the transaction to mitigate any legal risk that may arise, otherwise, strict adherence to Government procedures is required. Additionally, the Government should put in place guidelines and clear procedures regarding Government bailouts and investments.

1.11 Review of Investment in M/s Dei-Biopharma Ltd - UGX.723.4Bn

In April 2024, Parliament approved a supplementary budget of UGX.1.106Tn out of which UGX.578.4Bn was meant to support a private company, M/s Dei-Biopharma Ltd, to meet its debt obligations and operational requirements. This payment followed the Government's initial investment in the company of UGX.70Bn which had been appropriated in the Budget of FY 23/24, and UGX.75Bn which was further added in December 2023. Cumulatively, the Government has so far invested UGX.723.4Bn as financial support.

I reviewed the investment and observed the following;

- i) There was no valuation report to establish the net worth of the company in which Government was investing and as such, I could not confirm whether Government received shares worth the value.
- ii) I was not provided with the Shareholder's agreement of the Government investment in the company.
- iii) The Government has yet to receive the share certificates of the company.

Recommendation

I advised the PS/ST to engage the Attorney General and the company to ensure that the purchase agreement and share certificates are submitted to the MoFPED to mitigate any legal risk that may arise.



Edward Akol

AUDITOR GENERAL

31st December, 2024

SECTION 2: REPORT ON THE AUDIT OF COMPLIANCE WITH THE RELEVANT REGULATORY FRAMEWORK

The Office of the Auditor-General conducted compliance audits on selected key subject matters.

The primary objective of the audit was to obtain sufficient and appropriate audit evidence to form a conclusion on whether the Consolidated Financial Statements complied with the relevant identified criteria.

My audit was conducted in accordance with the International Standards of Supreme Audit Institutions (ISSAI 4000) on compliance auditing and it covered the following focus areas;

- Management of the Pension and Gratuity Payroll
- Management of the Parish Development Model
- Procurement Management

Relevant audit criteria

The criteria for the audit were based on Acts of Parliament, regulations, and manuals/guidelines designed to ensure compliance with laws governing Pension and Gratuity, the Parish Development Model and procurement management.

These include;

- Ministerial Statement on the PDM to Parliament
- PDM Governance and Operations Manual
- PPDA Act Cap 205, Regulations and Guidelines
- Pension Act, Cap 89 and Regulations.

Audit Methodology

My audit was conducted based on the information and records provided by MDAs and LGs.

In executing this audit, various approaches were exercised which included;

- a) Document review;
- b) Physical inspections;
- c) Interviewing relevant officials;
- d) Analyzing data provided; and
- e) Physical headcount of pensioners and/or beneficiaries.

Audit Findings

The material findings with respect to the compliance criteria for the applicable subject matters were reported in individual reports, which were issued separately. However, this section covers findings that affect public policy on accountability and governance.

1.12 Special Audit on the Pension and Gratuity Payroll

I undertook a special audit on gratuity and pension payroll management processes and provided recommendations for improvements as requested by the Hon. Minister of Finance, Planning and Economic Development.

The overall objective of the special audit was to establish the effectiveness of pension and gratuity management processes, validate 72,285 pensioners/ beneficiaries on the GoU pension payroll and recommend remedial measures. The special audit covered a period from FY 2019/20 to 2023/24.

Below are the key findings;

- i) I noted that out of 72,206 pensioners/beneficiaries validated on the Public Service payroll, 61,199 (84.8%) were fully verified, 756 (1%) not verified, while, 10,251 (14.2%) did not show up. In addition, 4,538 individuals had not accessed the pension payroll by the end of June 2024 and these were captured as new records. Of these new records, 4,057 were verified and included in my determination of the entities' pension and gratuity estimates, while 481 were not verified and therefore not included in my determination of the pension and gratuity estimates.
- ii) I noted that 1,502 pensioners/beneficiaries were overpaid gratuity benefits of UGX.11.393Bn. These overpayments were in 19 MDAs and 115 LGs. This amount is recoverable.
- iii) I noted that 2,193 pensioners/beneficiaries were overpaid pension benefits of UGX.8.98Bn in 23 MDAs and 104 LGs. This amount is also recoverable.
- iv) I re-computed the expected pension and gratuity estimate for the year 2024/25 as UGX.974.664Bn, to cater for 80,963 confirmed pensioners/beneficiaries including pension and gratuity arrears of UGX.74.245Bn and non-traditional pensioners of UGX.33.732Bn and expected retirees for the FY 2024/2025. The Government will require an additional source of UGX.42.894Bn to cater for all pension, gratuity and arrears in the FY 2024/2025 compared to the total revised budget for FY 2023/2024 of UGX.931.77Bn.
- v) A total of 62 MDAs and 176 LGs had an initial approved pension, gratuity and arrears budget of UGX.3Tn for the period under review, and also obtained supplementary funds of UGX.0.17Tn (MDAs) and UGX.0.600Tn (LGs) resulting in a revised budget of UGX.3.773Tn, out of which UGX.3.685Tn (98%) was released resulting in a funding shortfall of UGX.0.088Tn (2%).
- vi) Out of the funds released of UGX.3.685Tn, UGX.1.405Tn in 62 MDAs and UGX.1.903Tn in 176 LGs were utilized, resulting in un-utilized funds of UGX.0.38Tn (10%).

- vii) Funds amounting to UGX.14.630Bn in 19 MDAs and 36 LGs, were diverted to other activities, while UGX.66.902Bn in 29 MDAs and 126 LGs was charged on wrong account codes.
- viii) I noted provisions in the Pension Act (Cap 89) that discriminate based on gender. Specifically, Section 16(b) excludes husbands from benefiting from pension assignments, while Section 20 of the Act only mentions widows and not widowers. Additionally, marriage gratuity provisions in Sections 10 and 17 exclude men. These discriminatory practices violate the constitutional principle of gender equality and fairness under the Constitution of Uganda.
- ix) There is a contradiction between the Pension Act and the Succession Act (Cap 268) regarding the definition and scope of beneficiaries. While the Pension Act focuses on widows and children, the Succession Act expands the category to include other dependents.
- x) I noted discrepancies in pension payments, particularly for retirees over 75 years old. Some pensioners continued to receive reduced pensions beyond the prescribed 15-year period, leading to an increased financial burden on the government in terms of arrears.
- xi) There was a gap in the Pension Act regarding retirees' ability to elect between a full annuity or a commuted pension gratuity. The PSF 18 form did not provide retirees with this option, inadvertently making the commuted pension gratuity mandatory.
- xii) Pension indexation remained a complex issue, with varying interpretations of regulatory provisions and inconsistent implementation. The indexation of pension based on inflation which should be annually was last done in 2021/2022 due to insufficient funding.
- xiii) The court ruling on employees who transferred from Uganda Posts and Telecommunications Corporation (UPTC) to Uganda Telecom Limited (UTL) had significant implications for pension computations on employees on the transfer of service scheme. The ruling may affect the computation length of service where there is a continuation of service and subsequently impact the calculation of gratuity and pension.
- xiv) Circumstances and reforms that impact the sustainability of the pension system were identified and they include;
 - a) Early Retirement: The policy on early retirement, especially for employees retiring at 45 years or younger, leads to long-term pension commitments that could strain public resources.
 - b) Enhanced Pay for Science Employees: The recent salary increases for science professionals resulted in an unintended incentive for early retirement and an astronomical increase in pension and gratuity liabilities.

- c) The Administration of the Judiciary Act significantly enhanced pensionable emoluments for judicial staff, leading to an exponential increase in pension liabilities without a comprehensive impact assessment.

Recommendations

I advised;

- i) The Ministry of Public Service to liaise with responsible stakeholders to ensure that the laws and policies are harmonized to enhance efficiency and effectiveness in pension management.
- ii) The Ministry of Public Service to streamline pension indexation by expediting action to operationalize the Cabinet decision to fast-track repeal of Regulation 5. Also, annually compute the impact of Price indexation and engage the Ministry of Finance, Planning and Economic Development to provide a budget to cater for that increase.
- iii) Government to undertake a comprehensive study on the sustainability pension and gratuity reforms and take appropriate action. In addition, I advised the Ministry of Public Service to engage all relevant stakeholders to fast-track the pension reforms to ensure sustainability.
- iv) The Ministry of Public Service to enforce strict timelines to ensure the migration of all entities to a unified payroll management system, and expedite the full implementation of HCMS, while simultaneously strengthening monitoring and enforcement of compliance with HCMS controls. In addition, ensure completion of the integration of HCM, PBS and the IFMS to automate reconciliation and feedback.
- v) The Ministry of Public Service and the Ministry of Finance to enhance internal control systems to address disparities in computation of pension and gratuity and to ensure the accuracy of payments of individual pensioners. Automation processes and integration of the system are highly recommended.

1.13 Implementation of the Parish Development Model

The Parish Development Model (PDM) is a strategy for service delivery by the Government of Uganda to improve the incomes and welfare of all Ugandans at the household level by transforming 39% of households from a subsistence economy to a money economy as approved by Parliament, whose outcomes will be measurable in the FY 2024/2025 at the closure of the NDP III.

The PDM is implemented under seven (7) pillars and the primary pillar is the "Agriculture Value Chain Development (Production, Storage, Processing, and Marketing)". The other pillars include: Infrastructure and Economic Services; Financial Inclusion; Social Services; Community Mobilization and mindset change; Parish Development Management Information System; and Governance and Administration. In the FY

2023/2024, Parliament appropriated UGX.1,097.633Bn for the PDM Programme, of which UGX.1,059.4Bn was for the Parish Revolving Fund (PRF) to finance 10,594 PDM SACCOs in 176 LGs and Kampala Capital City Authority (KCCA).

Below are the key observations from the thematic audit of the PDM:

- i) I was not provided with evidence for the identification of 5,099 PDM parish/ward priorities in 115 LGs, using the format prescribed in the guidelines for onward submission to LLGs and HLGs. In addition, I did not obtain evidence that the 25 participating MDAs aligned their work plans to the pillar implementation action plans.
- ii) A review of the status of the PDM data collection from the Parish Development Model Information System (PDMIS) National Household Registration Reports as of April 2024, revealed that household-level data collection was at 79.93% progress level, while the population registered was only at 46.30% progress level. This data should have been the basis upon which the population would be profiled to identify qualifying beneficiaries, as well as facilitate periodic reviews and impact assessments.
- iii) I noted that 2,985 PDM Savings and Credit Cooperative Societies (SACCOs) in 127 LGs, did not have registered offices on their documents; 567 PDM SACCOs in 41 LGs' registered offices did not exist, while 2,898 PDM SACCOs in 121 LGs did not have evidence of a signboard showing their names and address.
- iv) Out of the expected seven (07) modules of the PDMIS, two (02) modules were fully implemented, two (02) - modules were partially implemented, and 3 modules were not implemented. I further noted that the WENDI mobile application platform used by SACCOs to receive funds, is yet to be integrated with participating Government-owned banks.

Key policy Recommendations

- i) The Accounting Officers of LGs should ensure that Parish Development Committees (PDCs) and LLGs are trained in the prioritization and incorporation of PDM activities in the budgets and work plans and ensure that all PDCs are fully constituted and functional.
- ii) The Accounting Officer of the Uganda Bureau of Statistics (UBOS) in liaison with the Ministry of Information, Communications Technology and National Guidance (MoICT&NG) and the PDM Secretariat, should integrate the results of the census into the PDMIS data collection and registration module, to facilitate profiling and identification of subsistence households.
- iii) The PDM Secretariat should engage the Ministry of Finance, Planning and Economic Development (MoFPED) for funding to establish offices. In the meantime, the Accounting Officer should provide office space and cupboards at the LLGs.

- iv) The Accounting Officer of MoICT&NG should engage the MoFPED, to allocate additional funding to ensure full implementation of the PDMIS and integration of the WENDI platform to all participating banks.

1.14 Procurement Management

The Government spending on procurement of goods and services is substantial. It is essential that government procurements are undertaken with due regard to economy, efficiency, transparency, accountability and fairness during the acquisition of goods and services.

The Government of Uganda through the E-Procurement System has endeavoured to automate the public procurement process which enables the interactions of Government to business services (G2B). With the system, a number of Government entities have moved their procurement processes in relation to the purchase of goods, works, services and non-consultancy services online. This is in a bid to help the Government ensure the efficiency of public procurement with the standardization of electronic documents, supplier registration, goods and services information and to streamline public procurement transactions for efficient government service delivery.

The following key findings were observed, the details of which were included in the statutory entity reports issued;

- i) Out of 72 entities, 11 (15%) undertook sixty-three (63) unplanned procurements worth UGX.59.02Bn. There is a risk of such entities exceeding their procurement budgets, potentially leading to domestic arrears. This was caused by poor planning and budgeting.

The Accounting Officers explained that the procurements were initiated in prior periods and completed in the current year and thus not included in the current year's plans.

- ii) I noted the splitting of nineteen (19) procurements worth UGX.2.40Bn, without following the criteria, contrary to Regulation 10 of the PPDA (Rules and Methods for Procurement of Supplies, Works and Non-Consultancy Services) Regulations, 2023.

This was noted in five (7%) out of 72 sampled entities. Although the practice reduces reliance on a single provider and may involve various expertise, there is risk of collusion by suppliers, which undermines fair competition. In addition, the entities lose out on cost efficiency from bulk buying.

- iii) Irregular initiation of procurements was noted in 8 (11%) entities, where twenty-one (21) procurements worth UGX.42.79Bn were undertaken. The procurements lacked requirements such as approval from the Accounting Officer and confirmation of availability of funds. There is risk of financial over commitment, which leads to budgetary constraints in future periods thus impacting the entities' ability to deliver their mandates.

The Accounting Officers attributed the above to the need to undertake emergency procurement of critical goods and services.

- iv) Seventy-nine (79) procurements worth UGX.25.45Bn were undertaken by 13 entities (18%) out of the sampled 72, without obtaining market prices to support the estimated values of the procurements. This leads to award of contracts at unreasonable and uneconomical prices.
- v) I noted that 79 procurements worth UGX 1,062.45Bn in fourteen (14) entities took an average of six (6) months from initiation to final contract signing. Delayed procurements hinder timely service delivery and increase contract costs through inflation/fluctuations in prices and/or exchange rates.

The Accounting Officers explained that the delays were due to delayed responses from various stakeholders during the procurement process.

- vi) Ten (10) entities, out of 72 procured 44 contracts worth UGX.47.13Bn without requiring performance security. This exposes the entities to financial risk, when contractors fail to fulfill their obligations and there isn't any recourse to recovering the funds, leading to projects being delayed or rendered incomplete.
- vii) I noted 5 entities that undertook 14 procurement evaluation processes without following the prescribed evaluation criteria as stipulated in the bidding documents, contrary to regulation 5(1) for PPDA (Evaluation Regulations), 2023. These procurements were worth UGX.2.93Bn.

This undermines fair competition, leading to perceptions of bias or favoritism in contract awards. In addition, it exposes entities to legal challenges from unsuccessful bidders, administrative reviews leading to delays in contract implementation and additional costs in the form of legal fees.

- viii) A review of the use of e-GP revealed the following:
 - a) There has been a delay in rolling out e-GP to government entities. Only 36 (33 MDAs and 3 LGs) out of the planned 200 MDAs/LGs (mediums term planned entities) have been onboarded to the e-GP system, representing 18%. These 36 entities are using the system partially due to the incomplete development of the system.
 - b) Non-compliance with the Standard Bidding financial proposal format. There was non-compliance with the standard pricing schedule provided by the PPDA. I was not able to confirm how the amounts charged for item were arrived at.
 - c) I noted that of the 2 proposed modules, all entities enrolled on the e-GP System were using only the procurement module. The supplier and oversight portals could not use or view the contents of the disposal function.

- d) Failure by the System to generate Procurement Reports. A review of the reporting functionality under the oversight module indicated that the interface was not functional as it returned an error upon selection.
- e) I noted procurements which were processed outside the e-GP System in the 36 onboarded entities which undermines the Government's investments in ICT Systems.

As technology continues to evolve, the risk of the current e-GP system becoming obsolete increases before other entities are onboarded. The slow implementation negatively impacts on the intended service delivery and undermines the attainment of the intended benefits, including enhanced transparency, efficiency and cost savings.

Recommendations

- I advised the Accountant General to expedite the completion of the system design and development and roll-out the implementation of the e-GP system to other MDAs/LGs to realise the full potential of electronic procurement in enhancing government efficiency, transparency, and accountability.
- I advised the Accounting Officers to;
 - i) Enhance procurement planning processes by undertaking comprehensive needs assessments to ensure the procurement activities align with budget allocations. In instances of departure from the procurement plans, the PDEs should review and update the procurement plans accordingly.
 - ii) Avoid contract splitting, unless justifiable reasons for are explicitly documented and approved.
 - iii) Ensure the PDEs undertake adequate procurement planning to avoid the purported emergency procurements. In addition, the Accounting Officer should strengthen controls on procurement initiation to enhance adherence to the regulations.
 - iv) Ensure market assessments are done before procurement initiation to avoid overestimation of costs of items/materials, which potentially lead to overpayments.
 - v) Streamline the procurement processes and timely engage the various stakeholders in the procurement process to reduce delays.
 - vi) Ensure that all contractors for supplies and works provide performance security for all qualifying procurements to mitigate financial risks associated with non-performance of contracts.
 - vii) Enforce adherence to the evaluation criteria in the bidding documents to promote transparency and fairness in the procurement process which builds trust among bidders and the public.

- The Government should address the e-GP system failures and shortcomings to achieve the intended benefits of the system, including enhanced transparency, efficiency and cost savings.

Conclusion

The evidence obtained from the compliance audit of Government of Uganda on management of the Government Pension and Gratuity Payroll, Parish Development Model and Procurement management subject matters is sufficient and appropriate to provide a basis for my conclusion.

Based on the work performed described in this report, except for the findings stated above, nothing has come to my attention that causes me to believe that the subject matters are not in compliance, in all material respects, with the relevant criteria.



Edward Akol
AUDITOR GENERAL

31st December, 2024

SECTION 3: REPORT ON PERFORMANCE EVALUATION

In accordance with Schedule 2 of the Public Finance Management Act Cap 171 on the presentation of financial statements, and Section 18 of the NAA Cap 170, I undertook an evaluation of the Government's actual performance in comparison with its planned activities and outputs for the year as well as its mandate. This section presents the findings from the evaluation of the performance.

1.15 Review of Fiscal Administration

1.15.1 Performance of the Resource Envelope - Revenue Performance

I reviewed the approved resource envelope/revenue estimates of the Government for the FY 2023/2024 and noted that Government planned to raise UGX.52.737Tn to fund its expenditures. This was later revised to UGX.56.247Tn. Details of the performance of the resource envelope is shown in the table below;

Table 5: Performance of the Resource Envelope

Category	Funding source	Initial budget (UGX Tn)	Revised budget (UGX Tn)	Actual realized (UGX Tn)	Variance (UGX Tn)	% Variance
Domestic sources	Tax revenue	27.424	27.424	25.620	1.804	6.58
	Non-tax revenue	2.248	2.248	2.028	0.221	9.81
	Domestic financing	3.163	6.663	5.885	0.778	11.68
	Domestic refinancing	8.358	8.358	8.528	-0.170	(2.03)
	Local revenue (AIA)	0.287	0.297.403	0.208	0.090	30.14
Other sources	BOU recapitalization of securities	0.217	0.217	0.217	0.000	0
	Drawdown on savings of external funding	0.002	0.002	0.002	0.000	0
External sources	Grants	3.079	3.079	0.788	2.291	74.42
	Loans	7.958.	7.958	3.835	4.123	51.81
Total		52.736.7	56.247	47.110	9.137	

Source: OAG Analysis

As a result of the above resource envelope, I noted the following:

1.15.2 Performance of the expenditure budget

During the FY under review, the Government initially planned to spend a total of UGX.52.737Tn, which was later revised to UGX.61.669Tn. This indicated that the total expenditure supplementary budgets passed amounted to UGX.8.932Tn. The summary distribution of the expenditure budget is shown in the table below;

Table 6: Government Expenditure Budget

Spending category	Initial budget (UGX "Tn")	Revised Budget (UGX "Tn")	Amount Warranted (UGX "Tn")	Amount Spent (UGX "Tn")
Central Government (MDAs)	47.269	55.179	43.993	42.560
Local Government	5.468	6.490	6.179	6.121
Total	52.737	61.669	50.172	48.680

From the table above, it is noted that MDAs accounted for 89.48% of the revised budget, while LGs accounted for 10.52%.

Of the total planned expenditure budget by the Central Government (MDAs), only 79.73% of its revised budget was warranted, while Local Governments warranted 95.21% of their revised budget.

Of the total amount warranted, MDAs spent 96.74% of their warranted funds, while Local Governments spent 99.06% of their warranted funds.

Failure to fully utilize availed warrants led to unimplemented activities which negatively impacts service delivery across Government.

The PS/ST acknowledged the observations and attributed the performance to shortfalls in actual revenue performance, delays in procurement processes and project implementation challenges.

Recommendation

I implored the MoFPED to address the implementation bottlenecks that continue to impede Accounting Officers from utilizing availed warrants, to enhance activity implementation and therefore service delivery. In addition, I advised the PS/ST to ensure that warrants issued are supported by prudent cash flow projections.

1.15.3 Un-funded approved budget

Section 14 (1) & (2) of the PFMA, Cap 171 requires that after approval of the annual budget by Parliament, the Secretary to the Treasury shall issue the annual cash flow plan of the Government, based on the procurement plans, work plans, and recruitment plans approved by parliament. The annual cash flow plan shall form the basis for the release of funds by the Accountant General to the Accounting Officers.

During the financial year 2023/2024, Parliament appropriated a total of UGX.61.669Tn to finance Government expenditure as highlighted in the table below;

Table 7: Government budget performance per spending category

Spending category	Revised budget (UGX "Tn")	Total warrants (UGX "Tn")	Variance (UGX "Tn")	% Unwarranted funds
MDAs	55.179	43.993	11.187	20.27
LGs	6.490	6.179	0.311	4.79
Total	61.669	50.172	11.498	18.64

Source: OAG analysis of the Government budget performance report

Out of the total revised budget of UGX.61.669Tn, UGX.11.498Tn was not warranted representing 18.64% of the revised budget.

Failure to fully fund the revised budget affected the implementation of the planned activities which were intended to contribute to the achievement of the NDP III and Vision 2040. The detailed impact of this shortfall on the entity activities has been reported in the individual entity reports.

The PS/ST explained that the Government implements a cash flow budget and the quarterly expenditure limits are issued based on revenue projections for the quarter. However, sometimes the actual revenue deviates from the projections due to internal and external economic shocks.

Recommendation

I advised the PS/ST to ensure that the warrants issued are supported by prudent cash flow projections. In addition, I advised the PS/ST to enhance the Monitoring and Evaluation mechanisms to ensure that budgets and cash flows are aligned.

1.15.4 Unfunded invoices at the close of the FY - UGX.11.121Tn

Paragraph 10.10.17 of the Treasury Instructions 2017, requires that "An Accounting Officer will ensure that no payments due in any financial year remain unpaid at the end of that year. Towards the close of each financial year, the Head of Finance and Accounts function will take steps to obtain bills from any persons to whom money may be due and submit payment vouchers for them to the appropriate Accounting Officer for payment".

From the analysis of the budget performance at the close of the financial year, I noted that a total of UGX.11.121Tn worth of invoices remained unfunded by the close of the financial year. The unfunded invoices are mainly comprised of Treasury Operations (UGX.8.313Tn), MDAs and LGs (UGX.2.808Tn).

The unpaid debt obligations of Treasury Operations attract penalties by BoU and accumulation of domestic arrears and associated costs.

The PS/ST explained that the Government operates a cash budget which takes into account revenues received from 1st July to 30th June of the FY and invoices remain unpaid due to shortfalls in revenue performance.

Recommendation

I advised the PS/ST to prudently manage the budget by devising strategies to reduce Government expenditure in light of the revenue resource envelope, to ensure compliance with the budget commitment control guidelines and sustainability.

1.16 Review of Grants

Section 42 (1) of the Public Finance Management Act, Cap 171 provides that the Minister shall receive the monetary grants made to the Government or a vote by a foreign government, international organisation or any other person.

A review of files and agreements shared revealed that for FY 23/24, the Government entered into 10 grant agreements with a receivable amount of USD.127.905Mn from 6 development partners.

I reviewed the performance of the grants and noted the following;

1.16.1 **Failure to absorb Grant Funds**

A review of the funded projects revealed that 2 grant projects were to close on 30/06/24 where the combined granted amount as per agreement was USD.87.171Mn (UGX.0.325Tn). I noted that as of the close of FY 2023/2024, only USD.46.949Mn had been absorbed by the different projects.

This meant that USD.40.223Mn an equivalent of UGX.149.895Bn remained unabsorbed by the GoU even with the grant periods having elapsed. The table below refers;

Table 8: Unabsorbed funds by two Grant Projects

SN	Project Title	Closing Date	Commitment (USD)	Disbursements (USD)	Unabsorbed (USD)	Unabsorbed (UGX Bn)
1	Uganda Support to Municipal Infrastructure Development Program - Additional Financing (USMID-AF)	31/12/23	24.074	20.328	3.747	13.963
2	Intergovernmental Fiscal Transfers Program (UgIFT)	30/06/24	63.097	26.621	36.476	135.932
Total			87.171	46.949	40.223	149.895

Under absorption implies that some activities or outputs were not implemented denying the intended beneficiaries services. This further creates doubts about the preparedness of the Government to utilise external funds at the time of signing agreements.

There was no official response from the Accounting Officer in regard to this issue.

Recommendation

I advised the PS/ST to institute punitive measures to ensure that Accounting Officers absorb the availed funds by implementing the activities for which grants were received.

1.16.2 **Construction of aquaculture parks by MAAIF**

In my report to Parliament for the FY ended June 2022, I raised a concern about the risks associated with failure to absorb grant funds under an agreement signed on 13th January 2017 No UG/FED/038-334 of EUR.10Mn Equivalent to UGX.0.040Tn. The Grant was aimed at promoting environmentally sustainable commercial aquaculture in Uganda. The Ministry of Agriculture, Animal Industry and Fisheries (MAAIF) was designated as the beneficiary and supervising authority for the purposes of this grant.

I observed that the execution period was set at 72 months from the commencement of the grant. The implementation phase was fixed at 60 months, while the closure phase was fixed at 12 months.

The key Deliverables of the project were to design and build two aquaculture parks namely;

- i) A water-based cage aquaculture park at Mwena Landing site in Kalangala district to produce major Tilapia fish at a contract price of EUR.1.184Mn (equivalent to UGX.0.005Tn) of which EUR.0.355Mn (30%) (equivalent to UGX.0.001Tn) was advanced to the contractor. However, the work remained incomplete by the time of audit.
- ii) A land-based aquaculture park at Taragoli landing site, in Apac District to produce majorly catfish, at a contract value of EUR.1.495Mn (equivalent to UGX.0.006Tn), of which EUR.448,412.04 (30%) (Equivalent to UGX.1.786Bn) was advanced to the contractor. The contract became effective on 10th January 2020, and was extended to 2023, but the work remained incomplete.
I noted that the advances made were not secured with any performance guarantees.

The EU undertook an audit of the works to establish the extent of the physical works done through an independent Engineer and noted the following;

Table 9: Progress of construction of the Aquaculture Parks

Project Name	Project/contract amount	Advance/payments	Observation
Mwena Landing site in Kalangala district	EUR.1.184Mn	EUR.355,186	Value of work done EUR.94,259.28 equivalent to 26.54% of the advance paid.
Taragoli landing site in Apac District	EUR.1.495Mn	EUR.448,412.04	The value of work done was EUR.47,188 equivalent to 10.5% of the advance paid.

The designated land for the projects approximately 203.5 hectares (502.6 acres) procured by MAAIF, was still untitled by the time of the audit in June 2024.

The failure to complete the projects and account for the advances may lead to loss of public funds but also deprive the citizenry of the social and economic benefits of the project.

The Accounting Officer explained that efforts to recover the funds from the contractors had proved futile.

Recommendation

I advised the PS/ST to engage the Accounting Officer of MAAIF to institute measures to recover the advances. Otherwise, the Accounting Officer and contract manager should be held responsible for non-performance.

1.17 Review of sovereign credit indicators

Sovereign credit ratings are a condensed assessment of a government's ability and willingness to repay its public debt both in principal and in interest on time. They are forward-looking qualitative measures of the probability of default.

In undertaking the sovereign credit ratings, I used standards adopted by the Rating Agencies which consider three elements.

- The national management capacity to acquire, utilize and repay debt
- The Economic Strength of the country, and
- The Financial strength of the country

However, the scope of my analysis only considered some indicators that measure the financial strength of a country, which include the public debt to GDP ratio, domestic debt interest payments to total revenues Ratio.

The financial strength parameter indicates the state of a country's fiscal health and ability to manage public resources efficiently. Strong financial strength indicators contribute to higher sovereign credit ratings and investor confidence, while low indicators can lead to reduced creditworthiness and higher borrowing costs. The assessment is indicated below;

1.17.1 **Public Debt to GDP Ratio - Assessment of debt sustainability**

Debt to GDP ratio is a measure that compares what a country owes (total debt) and what it produces (manufactures or a service provided). A lower ratio indicates better debt sustainability, while a higher ratio suggests increased fiscal pressure and potential challenges in meeting debt obligations.

Objective 1(a) of the National Charter for Fiscal Responsibility FY 2021/22 – FY2025/26 provides that the total public debt in nominal terms is reduced to below 50% of GDP by the financial year 2025/26.

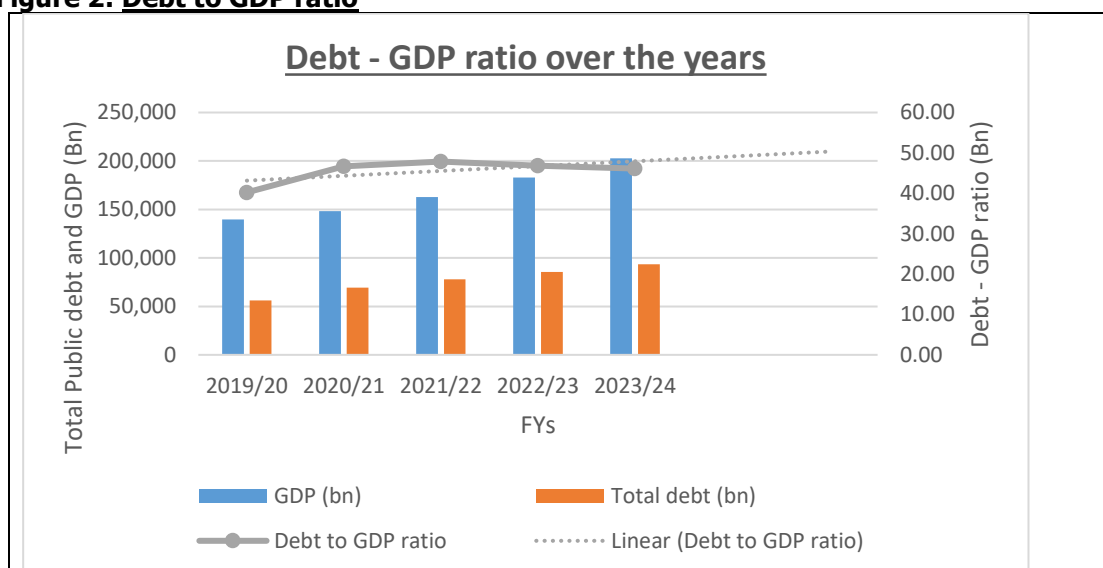
I undertook an analysis and re-computed the debt-to-GDP ratio over the years. It was observed that the Debt - GDP ratio has increased from 40.21% in FY 2019/20 to a peak of 47.86% in FY 2021/22, driven by rising borrowing due to the effects of COVID-19 relative to GDP growth.

However, the ratio declined to 46.80% in FY 2022/23 and further to 46.17% in the year under review. This recent trend is an indication of improvement in debt sustainability, reflecting better fiscal management and economic growth. The table and fig below refer;

Table 10: Debt to GDP ratio over the years

Financial Year	GDP (UGX Bn)	Total debt (UGX Bn)	Debt to GDP ratio
2019/20	139,689	56,172	40.21
2020/21	148,310	69,202	46.66
2021/22	162,750	77,888	47.86
2022/23	183,004	85,640	46.80
2023/24	202,725	93,607.97	46.17

Figure 2: Debt to GDP ratio



Source: Uganda Bureau of Statistics and DMFAS

The relatively flat linear debt-to-GDP ratio trend line indicates stability, where there is consistency in the acquisition of debt and economic growth over the period analysed while reducing the risk of unsustainable debt levels. It is also an indication of the country's capacity to lower the debt burden, which could pose risks in the event of economic shocks indicated in the Fiscal risk statement.

Management explained that there were various measures that had been put in place by the Government to ensure debt sustainability including; Improved Domestic Revenue Mobilization, Adoption of a fiscal consolidation path, Supporting the private sector through providing cheaper credit under the Uganda Development Bank, Implementation of the Public Investment Financing Strategy, Investment in income generating projects such as oil-related investment, industrial parks, Parish Development model to facilitate economic growth. In addition, GoU intended to control Government expenditure in the medium term through the implementation of the fiscal consolidation agenda.

Recommendation

I advised the PSST to review and effectively manage the above initiatives to improve performance.

1.17.2 Domestic debt interest payment to total revenue ratio - Assessment of the domestic debt service burden

The Charter for Fiscal Responsibility for the period FY 2021/22 – FY 2025/26 under objective 1(b) adopted the fiscal objective of reducing this ratio to 12.5% over the period of this document.

This benchmark shows the proportion of the domestic revenue that goes into servicing domestic interest costs. Since donor grants are inherently subject to uncertainty, the interest cost of domestic debt is considered in relation to the domestically raised component of the budget only. The table below shows the assessment of the benchmark over the years;

Table 11: Interest to total revenue ratio

Financial year	Total domestic Revenue, excluding grants (UGX Bn)	Total Interest – UGX Bn	% of Interest to revenue	Benchmark
2021/22	22.10	3.917	17.72	12.5
2022/23	25.909	4.632	17.88	12.5
2023/24	27.805	5.835	20.99	12.5

It has been established that the interest-to-revenue ratio target has been overwhelmingly breached as evidenced above. It was noted that 20.99% of the revenue being collected is being used to service interest payments.

This is gradually reducing the funds available for funding other critical Government expenditures. I noted that the Government paid a total of UGX.2,310.295Bn in principal debt repayment representing 8.31% of the domestic revenue collected in the year under review.

High expenditure towards servicing the debt drains resources to provide services to the citizenry.

The PS/ST explained that GoU is implementing the Domestic Revenue Mobilization Strategy which will reduce the reliance on debt and is exploring new sources of non-traditional financing options such as Public Private Partnership to grow domestic revenue and subsequently reduce the ratio.

Recommendation

I advised the PS/ST to intensify efforts towards domestic revenue mobilization and rationalization of expenditure to achieve the desired benchmark.

1.17.3 Fiscal deficit to GDP - Assessment of fiscal discipline

A fiscal deficit occurs when the Government's total expenditure exceeds its total revenue including grants but excluding borrowing (external and domestic borrowing). This ratio measures the size of a country's fiscal deficit relative to its GDP / how well the economy is performing.

The National Charter for Fiscal Responsibility for the period FY 2021/22 – FY 2025/26 under objective 2(a) provided that the overall fiscal balance including grants should not exceed a deficit of 4.6 percent of non-oil GDP in financial year 2023/24.

The table below shows the performance of this ratio over the years;

Table 12: Fiscal deficit to GDP ratio

FY	Fiscal Deficit (UGX Bn)	GDP (UGX Bn)	Fiscal deficit to GDP ratio
2021/22	21,057.56	162,750	12.94
2022/23	17,355.96	183,004	9.48
2023/24	16,081.42	202,725	7.93

A high deficit-to-GDP is an indication of possible unsustainable Government spending that may prompt debt accumulation, while a lower ratio suggests more disciplined fiscal management.

The fiscal deficit to GDP ratio has shown a declining trend over the three financial years, reducing from 12.94% in FY 2021/22 to 7.93% in FY 2023/24 as compared to the target of 4.6%.

The continued presence of a big fiscal deficit still presents the need for prudent fiscal policies to maintain long-term debt sustainability and achieve the set target.

The PS/ST explained that the Government would continue to pursue its fiscal consolidation strategy to achieve the set targets.

Recommendation

I advised the PS/ST to intensify efforts to realize the fiscal consolidation strategy.

1.18 Loan Performance and Absorption

1.18.1 Loan absorption

Paragraph 2.2 of the Public Debt and Other Financial Liabilities Management Framework FY 2023/24- FY 2027/28 requires the Government acquisition and utilization of public debt and contingent liabilities to be Sustainable and transparent.

I analyzed 17 Government loans extracted from the Debt Management and Financial Analysis System (DMFAS) from June 23 to December 2024, and noted a low disbursement performance of different loans as shown in the table below;

Table 13: Showing Loan Absorption

Name	Creditor Name	Date Signed	Closing date	Currency	Loan Amount - Mn	Disbursed - Mn	Undisbursed - Mn	Disbursement Performance (%)
Mbarara-Masaka Transm. Line	KFW	21-Jun-18	30-Jun-23	EUR	35.00	0.112	34.888	0.3
Agago-Gulu Transmission Line	KFW	30-Oct-19	30-Jun-24	EUR	40.00	18.029	21.971	45.07
Kampala City Roads Rehab Pjt	ADB	11-May-21	31-Dec-24	USD	224.00	58.157	165.843	25.96
L.V Maritime Communications	ADF	19-Jan-18	31-Dec-24	AFU	10.210	5.021	5.189	49.18
Kampala City Roads Rehab Pjt	ADF	11-May-21	31-Dec-24	AFU	37.540	7.862	29.678	20.94
Masaka-Mbarara Transmission	AFD	27-Apr-18	31-Dec-24	EUR	37.10	0.121	36.979	0.33
Masaka-Mbarara Water Corridor	AFD	25-Jan-19	31-Dec-24	EUR	120.00	72.00	48.00	60.00
Upgradg Of Luwero-Butalangu Rd	BADEA	19-Feb-17	31-Dec-24	USD	11.500	2.828	8.672	24.59

Name	Creditor Name	Date Signed	Closing date	Currency	Loan Amount - Mn	Disbursed - Mn	Undisbursed - Mn	Disbursement Performance (%)
Karamoja Infrast. Dev. Plan II	CDP	19-Aug-21	31-Dec-24	EUR	10.00	5.00	5.00	50.00
Inland Port at Bukasa	COMMERZBANK	25-Apr-16	31-Dec-24	EUR	31.671	15.135	16.53	47.79
Solar Powered Water Pumping	EXIM BANK OF INDIA	28-Dec-20	31-Dec-24	USD	30.00	11.631	18.369	38.77
Add. Finance To Ugift	IDA	10-Jun-21	31-Dec-24	SDR	174.500	77.685	96.815	44.52
Food Security Thru Rice Prodn	IDB	22-May-13	31-Dec-24	USD	34.050	7.500	26.550	22.03
Vocational Educ Project 2	OPEC FUND	23-Mar-17	31-Dec-24	USD	14.300	7.303	6.997	51.07
Luwero Butalangu Road	OPEC FUND	28-Aug-18	31-Dec-24	USD	11.500	3.754	7.746	32.64
Namanve Kla Industr & Biz Park	UKEF	4-Dec-19	31-Dec-24	EUR	219.483	117.269	102.214	53.43
Solar Pumping Systems	UKEF	12-Feb-21	31-Dec-24	EUR	95.843	55.517	40.326	57.92

Source: OAG Analysis

From the table above, most loans will not be absorbed by the end of their tenure. Unabsorbed loans attract commitment charges which increase the costs of servicing debt. The intended objectives of the loan may not be met.

The Accounting Officer explained that most of the projects have had their timelines extended to enable them to complete their planned activities. Most of the delays are attributed to delayed procurement and delayed land acquisition.

However, it was not clear whether the project funding extension was at no cost.

Recommendation

I advised the MoFPED to develop strategies for enhancing loan absorption rates to avoid having unabsorbed loan funds at the project closure. The strategies should include punitive measures for non-performance.

1.18.2 Continued Payment of High Commitment Fees

A commitment fee is a fee charged by a lender and is associated with unused credit lines or un-disbursed loans.

I noted an increase in un-disbursed loans amounting to UGX.1.890Tn, representing a 12.95% increase from the closing balance of UGX.14.6Tn in the FY 22/23 resulting in payment of commitment fees totaling UGX.73.904Bn during the year under review, as indicated in table below;

Table 14: Commitment fees paid over the years

Financial year	Commitment fees Paid (UGX 'Bn)	Percentage charge
2023/24	73.904	1.4%
2022/23	72.909	-6%
2021/22	77.524	-2%
2020/21	79.117	1%
2019/20	78.558	-10%
2018/19	87.766	140%
Total	469.778	

Source: Treasury Operations Prior Years' Audited Financial Statements

This increases Government expenditure on debt repayment. Commitment fees is a cost of Government inefficiency, which has increased the cost of servicing debt.

The PS/ST explained that Government is implementing a Project Implementation Management System (PIMS) to ensure project readiness and improve absorption of funds.

Recommendation

I advised MoFPED to identify and resolve any bottlenecks hindering the smooth implementation of projects/programs and activities to increase its loan/debt absorption rates.

SECTION 4: REVIEW OF THE CONSOLIDATED SUMMARY STATEMENT OF FINANCIAL PERFORMANCE OF PUBLIC CORPORATIONS AND STATE ENTERPRISES FOR THE YEAR ENDED 30TH JUNE 2024

According to Section 2 of the Public Finance Management Act (PFMA) Cap 171; "A Public Corporation means an authority established by an Act of Parliament other than a local Government which receives a contribution from public funds, and any public body which in a financial year receives any income from public funds". Similarly, "A State Enterprise means a body established under any Act other than the Company's Act or a local Government council, and a company registered under the company's Act in which the Government or a state enterprise has controlling interest".

In line with the PFMA, Cap 171, I reviewed the Consolidated Summary Statement of the Financial Performance of Public Corporations and State Enterprises for the financial year ended 30th June 2024, and noted the following;

a) Completeness of the Consolidated Summary Statement of Financial Performance of Public Corporations and State Enterprises

Section 50(1c) of the Public Finance Management Act (PFMA), Cap 171 requires the Accountant General, within three months after the end of each financial year, to prepare and submit to the Minister responsible for Finance and the Auditor General the consolidated summary statement of the financial performance of Public Corporations, State Enterprises and Companies where Government has controlling interest.

Furthermore, Section 49(2) of PFMA, Cap 171 provides that, the Accounting Officer of a public corporation shall, within two months after the end of each financial year, using the format prescribed by the Accountant General, prepare and submit to the Accountant General, a summary statement of financial performance of the public corporation and give a copy of the summary statement to the Secretary to the Treasury.

I noted that fifty (50) public corporations and state enterprises were supposed to be consolidated (**Appendix 1 refers**) in accordance with Section 50(1c) of the PFMA, Cap 171. However, only thirty-four (34) entities were consolidated leaving sixteen (16) entities not consolidated. Three (3) entities with subsidiaries including Uganda Development Corporation (UDC), National Enterprises Corporation (NEC) and Uganda National Oil Company (UNOC) were consolidated using group figures.

I further noted that, of the sixteen (16) entities that were not consolidated by the Accountant General, thirteen (13) were disclosed and three (3) were not disclosed in the consolidated summary statements. Table below refers;

Table 15: Public Corporations, State Enterprises and Companies not consolidated

SN	Entities Disclosed in the Summary Statement	
	Entity Name	Remark
1	UGMA Engineering Corporation Limited	Cannot be traced
2	Enterprise Uganda Limited	Company Limited by Guarantee
3	Nakivubo War Memorial Stadium	Concession
4	Uganda Crane Industries Ltd.	Not Availed

SN	Entities Disclosed in the Summary Statement	
	Entity Name	Remark
5	Production Enterprises Corporation Limited	Not Aailed
6	Kampala Industries and Business Park Limited	Not Aailed
7	Science and Technology Equipment Production (Unit) Ltd	Not Aailed
8	Housing Finance Investments	Not Aailed
9	Bujagali Energy Limited	Concession
10	Dairy Corporation Limited	Not Aailed
11	Uganda Livestock Industries Limited	Cannot be traced
12	Uganda Seeds Limited	Indicated as sold off
13	Uganda Fisheries Enterprises Limited	Not Aailed
Entities not disclosed in the Summary Statement		
14	Insurance Training college	Not Aailed
15	Uganda Telecommunications Corporation Limited (UTCL)	Not Aailed
16	Uganda Hotel and Tourism Training Institute	Not Aailed

I further noted that Tropical Africa Bank Limited was disclosed on the list of state enterprises, yet government has no controlling interest.

In the absence of the summary performance of the above-mentioned entities, the consolidated summary statement of financial performance of public corporations and state enterprises does not reflect the accurate status of government ownership and interest.

In addition, I noted that Government does not maintain a comprehensive database of Public Corporations and State Enterprises to enable independent verification of the number of entities consolidated in the summary statement.

In the absence of a comprehensive database, I was not able to ascertain the completeness of the submitted consolidated summary statement of financial performance of public corporations and state enterprises.

Management indicated that among the entities not consolidated are 2 state enterprises limited by guarantee, 2 run as concessions and 12 which are either dormant or management cannot be traced.

Recommendation

I advised the Accountant General to establish a comprehensive database for all Public Corporations and State Enterprises which should capture information such as name of entity, business/industry, location, shareholding, Directors, e-mail addresses, among others, to enable easy traceability and independent verification.

b) Review of the Process of Consolidation of the Summary Statement of Financial Performance of Public Corporations and State Enterprises

The process of consolidation of the summary statement of financial performance of public corporations and state enterprises commences with the issuance of the request for submission

letter by the Accountant General to the consolidating entities. The Accounting Officers of the respective entities submit entity summary statement of financial performance basing on unaudited financial statements which are then used by the Accountant General to prepare the initial Draft Consolidated Summary Statement.

I noted variances between amounts in the entity audited financial statements and the corresponding amounts in the consolidated summary statement prepared by the Accountant General, as shown in the **Appendix 2**.

The variances were partly attributed to the failure by entities to submit the adjusted summary statement of financial performance after audit to the Accountant General. This was also attributed to absence of the reporting guidelines to streamline the consolidation process.

Recommendation

I advised the Accountant General to consider issuing reporting guidelines to all consolidating entities to streamline the consolidation process, to ensure that only audited and adjusted amounts in the entity summary statements form a basis for the final consolidation.

c) Review of Financial Performance of Public Corporations and State Enterprises

I noted that out of the fifty (50) public corporations and state enterprises, forty-one (41) are for profit or with a commercial orientation while nine (9) are not for profit. Although public corporations and state enterprises operate on commercial and service delivery mandates, the for-profit enterprises and corporations are supposed to operate efficiently, make profits and pay dividends to Government. Their financial performance is therefore of interest to Government.

As noted in my previous reports, the Government Consolidated Summary Statement of financial performance of public corporations and State enterprises only reports on; government shareholding, total income, total expenditure, dividends declared, retained earnings, and net worth of entities. However, key performance assessment parameters, such as profitability, return on assets, liquidity assessment, and debt analysis are not reported on. As a result, I computed these ratios using audited financial statements for further analysis of performance of Public Corporations and State Enterprises.

I assessed a total of twenty (20) entities out of the 41 profit or commercial oriented public corporations and state enterprises. The subsidiaries under NEC were assessed independently instead of as a group. For UDC's subsidiaries, only Nile Hotel International Limited was included in the assessment.

From the financial performance analysis undertaken, I noted the following:

1) Profitability of Enterprises

I analysed profitability of twenty (20) public corporations and state enterprises and noted that thirteen (13) made profits/surplus in the year under review, with Uganda Electricity Transmission Company Limited (UETCL) (UGX.82.25Bn), Uganda Electricity Generation Company (UEGCL) (UGX.54.28Bn) and Uganda Civil Aviation Authority (UGX.32Bn)

outperforming the rest of the assessed entities. Profits for National Housing and Construction Company Limited reduced by 90.5% from UGX.34.59Bn reported in the previous year to UGX.3.27Bn. On the other hand, Uganda Printing and Publishing Corporation, which had made a loss of UGX.3.07Bn the previous year, posted profits of UGX.1.04Bn in the year under review.

In addition, a number of state enterprises and corporations, including Kilembe Mines Limited, Uganda Electricity Distribution Company, Uganda Railways Corporation, and NEC Farm Katonga Limited, reported increased losses compared to the last year's figures. In contrast, the Uganda National Oil Company and Uganda National Airlines Company Limited, although still incurring losses, managed to reduce their deficits by 78.4% and 26.5% respectively, implying improved revenue generation and effective cost management. Table below refers.

Losses affect the entities' ability to meet future obligations and/or make investments.

Table 16: Profitability of Public Corporation and State Enterprises

Table 10: Profitability of Public Corporation and State Enterprises					
N o.	Entity	2023 /24	2022/ 23	% Increa se/De crease	Management's Response
		(UGX 'Bn)			
1.	Uganda Electricity Transmission Company	82.25	94.9	-13.36	The company continues to implement policies and actions that ensure sustainable and consistent profitable position of the company.
2.	Uganda Electricity Generation Company	54.28	33.99	60	Whereas in the context of an electricity generating Company growth in profitability signifies financial health and sustainable operations as well as its capacity to undertake future projects, the Accounting Officer indicated that the profit will be absorbed by the loan repayment.
3.	Uganda Civil Aviation Authority	32	39.58	-19	This reduction is primarily attributed to a sharp increase in operating expenses from UGX.248.554Bn to UGX.295.618Bn.
4.	Mandela National Stadium	18.66	2.32	701	This increment was largely due to the receiving additional government support for renovation and upgrade to complete phase one of UGX 17,760,000,000 in form of a subvention from Ministry of Education and Sports (MOES).
5.	NEC Luwero Industries Limited	10.65	8.05	32.3	No Management response
6.	NEC Construction Works & Engineering Limited	5.46	4.89	11.7	No Management response
7.	NEC AGRO SMC Limited	4.34	3.69	17.7	No Management response
8.	National Housing and Construction Company Limited	3.27	34.59	-90.5	In line with the current company strategy, the Company improved the business model from over reliance on long term construction and sale of residential houses to a blended business model of more sustainable business units in the rental market segment along with construction and consultancy services that match short term reporting requirements and performance outlook.
9.	Insurance Training College	1.824	1.881	-3	To drive growth, management sets increasingly ambitious revenue targets and develops strategies for

N o.	Entity	2023 /24	2022/ 23	% Increa se/De crease	Management's Response
		(UGX 'Bn)			
					efficient cost management through regular performance monitoring.
10.	Uganda Printing and Publishing Corporation	1.04	-3.07	-133.9	The performance was attributed to the good marketing strategies that were put in place to reverse the previous poor performance.
11.	Nile Hotel International Limited	1.02	0.92	11	The increase in profits was attributed to the recovery of the company and accommodation activities that resulted in an increase in revenue for the concessionaire.
12.	Uganda Property Holdings Limited	0.638	1.094	-41.7	The company filled crucial positions of Head of Finance and Operations, Company Secretary and Human Resource Officer leading to increase in staff costs from UGX.2.269Bn to UGX.2.527Bn.
13.	NEC Uzima Limited	0.52	0.16	225	No Management response
14.	NEC Farm Katonga Limited	(1.9)	(0.07)	2614	Management has developed a plan to have more mothers produce own bulls and heifers and that they are introducing quick maturing breeds with higher percentage of live weight on the farm using artificial insemination.
15.	Uganda National Oil Company	(3.78)	(17.51)	-78.4	The company represents the State's commercial interests in the petroleum sub-sector across several projects that are still in the development phase and are not generating any revenue until maturity/commissioning. However, the new mandate as the sole importer of petroleum products will greatly improve performance.
16.	Uganda Air Cargo Corporation	(8.21)	(10)	-17.9	The principal revenue generating asset, the Hercules L-100-30 aircraft has been grounded at Jordan Aeronautical systems company (JAC) from November 2022 to date and hence not contributing to the earnings of the Corporation for more than two (2) years. While the aircraft was grounded, it was discovered that it needed an Avionics upgrade in line with the civil aviation regulations. In addition, the Corporation has not received the anticipated capitalization from MoDVA as approved by Cabinet. Management has proposed several strategies to improve revenue performance.
17.	Uganda Electricity Distribution Company	(10.92)	(2.18)	401	The regulator has continued to disallow lease rental fees in the tariff yet the company incurred depreciation arising from assets in use by Umeme Ltd. This had a long-term effect on the operational efficiency and financial sustainability of the business since there were limited resources to enable continuous repair of the network.
18.	Kilembe Mines Limited	(21.35)	(2.39)	793	The shareholders were negotiating with a strategic partner to redevelop the company's production assets and restore profitability. Current losses are attributed to historical issues, including legal cases and asset damage from natural calamities, which are expected to be resolved once the partnership is finalized.
19.	Uganda Railways Corporation	(36.34)	(35.6)	2.1	Management reviewed the previous strategic plan and identified key focus areas to improve revenue and

N o.	Entity		2023 /24	2022/ 23	% Increa se/De crease	Management’s Response
			(UGX ‘Bn)			
						profitability, including pricing strategies, asset re-prioritization, and disposal of obsolete assets.
20.	Uganda Airlines Limited	National Company	(237.85)	(323.6)	-26.5	Management is in the process of developing a new ten-year strategy hinged on financial sustainability, operational efficiency, learning and development, and stakeholder engagement. The corresponding initiatives are geared towards revenue enhancement and better cost control.

Recommendation

I advised the entities to develop clear strategies to improve operations and adopt efficient financial management practices to lower operating costs and increase revenue generation. MoFPED should consider recapitalizing the most affected entities to revamp their operations.

2) Operating Margin

I analysed the Operating margin of sixteen (16) public corporations and state enterprises to measures the extent to which they were able to meet their operating costs, while remaining profitable and I noted that only Mandela National Stadium Limited, Nile Hotel International Limited, NEC - Luwero Industries Limited, NEC Farm Katonga Limited, UEGCL and Uganda Property Holdings Limited had operating margin higher than 15% which was considered good. However, NEC - Luwero Industries Limited and Uganda Property Holdings Limited posted reduced operating margins by 9.3% and 4.3% respectively from the previous year.

I further noted that despite having operating margin lower than 15%, the operating margins of; Uganda National Oil Company, Uganda National Airlines Company Limited and Kilembe Mines Limited had improved by over 18% from the prior year while operating margins of; UEDCL, UETCL, Uganda Civil Aviation Authority and Uganda Railways Corporation had further declined from the previous year. **Table below refers.**

A decreased operating margin may indicate potential challenges to the company in covering operating costs, which poses a risk to the company's financial stability. This also presents challenges in reinvestment for growth.

Table 17: Operating Margin of Public Corporation and State Enterprises

N o	Entity		Operating Margin (%)		Increase/ Decrease	Management response
			2023/2 4	2022/2 3		
1.	Mandela National Stadium Limited		88.96	43	45.6	No Management response
2.	Nile Hotel International Limited		54	30	24	The performance attained was attributed to a reduction in expenses by 30% (from UGX1.984Bn to UGX1.435Bn) and increased gross income by 9% (from UGX2.841Bn to UGX3.092Bn).

N o	Entity	Operating Margin (%)		Increase/ Decrease	Management response
		2023/2 4	2022/2 3		
3.	NEC - Luwero Industries Limited	40.1	49.4	-9.3	The profitability of the Company's core products is dependent on several factors including supply chain disruptions of the key inputs, mainly imported raw materials. It was also affected by the price inelasticity of the products in the sense that the prices to our key clients cannot easily be increased.
4.	NEC Farm Katonga Limited	34.4	-2.2	36.6	No Management response
5.	Uganda Electricity Generation Company	28.5	22.4	6.1	82% of the revenue was ringfenced for loan repayments and therefore the Company remains vulnerable with liquidity challenges.
6.	Uganda Property Holdings Limited	15.5	19.9	-4.3	The increase in operating expenses was mainly attributed to increase in staff recruitments and professional fees for supervision of the project of construction of warehouses in Tororo and designs for Bugolobi project
7.	Uganda Electricity Distribution Company	12	16.8	-4.8	The sections of the network taken over from private concessions required significant improvement due to high maintenance requirements. Furthermore, constant repairs and maintenance were also required yet the tariff could not absorb all direct operating and maintenance costs requested by the company.
8.	Uganda Civil Aviation Authority	10.2	12.3	-2.1	The nature of the industry that UCAA operates in requires the Authority to meet certain ICAO standards while giving a service and complying with certain regulations. That notwithstanding, UCAA is cognizant of the dire need for financial sustainability and the operations are geared to that effect.
9.	NEC Uzima Limited	8.1	5.1	3	Although the Company registered an improvement of 6.2% from the previous year, there was still a challenge of high cost of raw materials, and this takes the largest portion of revenue generated.
10.	Uganda Electricity Transmission Company	7.36	9.04	-1.68	The company continues to negotiate with GoU concerning conversion of debt for completed projects into equity. Management wrote to PSST formally requesting to convert loans into grants and referred the matter to Accountant General.
11.	NEC AGRO SMC Limited	6.2	5.1	1.1	The main component of revenue is derived from food supply to the MODVA therefore, putting a margin of 15% would make their prices uncompetitive, hence loss of business. The operating margin realized of 6.2% was as per the competitive quoted prices during the year.
12.	NEC Construction Works & Engineering Limited	4.4	5.9	-1.5	The drop in operating margin was mainly due to our low pricing of the services. As a government company, NEC- construction offers construction solutions to government at a low cost. This has been a strategy tool towards entry in the

N o	Entity	Operating Margin (%)		Increase/ Decrease	Management response
		2023/24	2022/23		
					construction market and growth of the profile of the company.
13.	Uganda National Oil Company	-9	-46	37	The company represents the State's commercial interests in the petroleum sub-sector across several projects that are still in the development phase and are not generating any revenue until maturity/commissioning. However, the new mandate as the sole importer of petroleum products will greatly improve the Operating Margin going forward.
14.	Uganda National Airlines Company Limited	-67.17	-138.17	71	Management is in the process of developing a new ten-year strategy hinged on financial sustainability, operational efficiency, learning and development, and stakeholder engagement. The corresponding initiatives are geared towards revenue enhancement and better cost control.
15.	Kilembe Mines Limited	-112	-131	19	KML's core mining operations ceased in 1982, and its current role is the care and maintenance of assets that have suffered losses due to outdated infrastructure, machinery, and 1950s technology prone to breakdowns. Spare parts are expensive and must be custom ordered.
16.	Uganda Railways Corporation	-126.15	-98	-28.15	Management reviewed the previous strategic plan and identified key focus areas to improve revenue and profitability, including pricing strategies, asset re-prioritization, and disposal of obsolete assets.

Recommendation

I advised the Accounting Officers of the affected entities to institute measures to improve their respective Operating Margins through cost control, efficiency improvements, or revenue enhancement tactics, without compromising the quality of products or services rendered.

3) Return on Assets

The Return on Assets (ROA) shows the percentage of how a company's assets are generating revenue. It measures management's efficiency in using the enterprise's assets to generate earnings. Although companies that require large initial investments will generally have lower return on assets, ROAs below 5% are generally considered inadequate.

I assessed the ROAs of twenty (20) enterprises/corporations and noted that five (5) entities including NEC Luwero Industries Limited, Insurance Training College, NEC AGRO SMC Limited, Mandela National Stadium and NEC Construction Works & Engineering Limited posted a favourable ROA of over 5%. However, fifteen (15) enterprises/ corporations registered a poor performance on ROA of below 5%. The worst performing enterprises were Kilembe Mines Limited, NEC Farm Katonga Limited, Uganda National Airlines Company Limited, Uganda Air Cargo Corporation, and Uganda Railways Corporation.

The noted performance was mainly attributed to underutilisation of the available machinery due to frequent break downs, high operating costs, and a non-cost reflective tariff for the electricity players. The table below refers.

Table 18: Returns on Assets

No.	Entity	Return On Asset (%)		Management response
		2023/24	2022/23	
1.	NEC Luwero Industries Limited	13.2	14.9	The main reason for reduction in the ROA was the increase in the asset base as seen from the statement of Financial Position. This increase in assets was not directly matched by increase in revenues as some of the revenue had not been recognised yet.
2.	Insurance Training College	12	19	No response on performance
3.	NEC AGRO SMC Limited	11.5	13.7	The decreasing ROA is attributed to the advance payment on the Grain Storage, Milling and Supply equipment, which increased the value of assets. Since there was no significant increase in net profit after tax, the return on assets decreased.
4.	Mandela National Stadium	6.7	0.9	No Management response
5.	NEC Construction Works & Engineering Limited	5.5	4.4	No Management response
6.	Uganda Electricity Distribution Company	3.7	5.3	ERA did not approve the asset recovery through depreciation refunds which impacted financial sustainability, however interventions are being implemented to reduce commercial losses.
7.	Uganda Printing and Publishing Corporation	3	-8	This performance was attributed to underutilisation of the available machinery due to frequent break downs, high operating costs, and reliance on outdated printing equipment.
8.	NEC Uzima Limited	2.8	1.4	With the introduction of three (3) production shifts, the production efficiency is expected to improve, and this will have a direct positive effect on return on assets.
9.	Uganda Electricity Transmission Company	1.89	1.7	The company continues to fast track projects to completion with a view of generating revenue and increasing its Return on Assets.
10.	Uganda Electricity Generation Company	1.25	1.04	Strategies such as a revision of the license to provide for cost reflective tariff which is line with the average tariff and allowing UEGCL to earn a reasonable return on investment would improve the ROA.
11.	Uganda Civil Aviation Authority	0.79	0.84	The nature of the industry that UCAA operates in requires the Authority to meet certain ICAO standards while giving a service and complying with certain regulations. That notwithstanding, UCAA is cognizant of the dire need for financial sustainability and the operations are geared to that effect.
12.	Nile Hotel International limited	0.61	0.36	Management is working with its associate and concessionaire to recover to pre-covid revenue levels through collaborative marketing, and business reviews to identify gaps for operational and investment enhancements.
13.	National Housing	0.6	6.3	The company is considering strategic disposal or

No.	Entity	Return On Asset (%)		Management response
		2023/24	2022/23	
	and Construction Company Limited			repurposing of non-productive holdings to improve overall returns.
14.	Uganda Property Holdings Limited	0.2	0.4	This is attributed to construction works costing UGX.5.68Bn which did not contribute to the income and profits of the year hence decline in return on investments.
15.	Uganda National Oil Company	-0.3	-1.7	Upon commissioning of UNOC's projects, the company will commence generating revenues from its assets and will therefore be in position to improve its Return on Assets.
16.	Uganda Railways Corporation	-0.93	-0.82	Plans are underway to enhance the utilization of high-value underutilized assets, with significant investments being made, such as the \$328M URC Capacity Building Project and the rehabilitation of the Tororo-Gulu railway line, which began in FY 2023/24. Future initiatives, including property development, will further improve asset utilization and the return on assets ratio.
17.	Uganda Air Cargo Corporation	-6		Three (03) of the four (04) aircrafts have been deregistered and awaiting disposal. The only registered aircraft is at the hanger in Amman Jordan for "B" check maintenance and awaits commencement of Avionics upgrade.
18.	Uganda National Airlines Company Limited	-21.92	-32.75	Management is in the process of developing a new ten-year strategy hinged on financial sustainability, operational efficiency, learning and development, and stakeholder engagement. The corresponding initiatives are geared towards revenue enhancement and better cost control.
19.	NEC Farm Katonga Limited	-21	-0.6	It takes a minimum of two and a half years to sell an offspring from a cow. This period is a long business cycle and usually affects the return on assets.
20.	Kilembe Mines Limited	-57	-6	The power generation facility was halted early in the financial year due to safety concerns over its 70-year-old infrastructure, with refurbishment planned through a strategic investor partnership.

This implies that the Companies/Corporations are not generating enough income from the use of their assets.

I advised the entities to institute mechanisms to increase income generation from use of their assets and institute cost management strategies.

4) **Dividends**

I noted that only Housing Finance Bank Limited declared dividends of UGX.32.56Bn in the year under review up from UGX.29.23Bn declared in the prior year. Out of the declared dividends, government received UGX.14.37Bn during the year higher than UGX.10.07Bn received in the prior year.

I further noted that although some companies were making significant amounts of profits, they were not paying dividends to Government. Examples included UETCL, UEGCL, NEC and Post Bank among others.

The enterprises attributed the non-payment of dividends to retention of funds to fund planned investments/projects.

I advised the Accountant General to ensure that entities operationalise dividend policies that provide for equitable allocation of profits to investment as well as shareholders.

5) **Liquidity Assessment**

I analysed the ability of Public Corporations and State enterprises to meet their short-term financial obligations by comparing the current assets and current liabilities using the Current Ratio analysis. Generally, the ratio of Current Assets to Current Liabilities between 1.5 and 2 is desirable, although acceptable current ratios vary between different industries or sectors.

I noted that eleven (11) entities were above the ideal threshold, implying that they can meet their liabilities as they fall due. However, out of the eleven (11) entities, five (5) had excessively higher current ratios of 5 and above, these included NEC Farm Katonga Limited, Uganda Air Cargo Corporation, Mandela National Stadium, NEC AGRO SMC Limited, and UEDCL. The very high current ratio implies that the Companies are not efficiently utilizing their current assets or short-term financing facilities.

Seven (7) entities had ratios below 1.5 and may have a challenge of paying their obligations as and when they fall due, these included Uganda Printing and Publishing Corporation, Uganda National Airlines Company Limited, Nile Hotel international limited, NEC Construction Works & Engineering Limited, Uganda Railways Corporation, Kilembe Mines Limited and UEGCL. The table below refers.

Table 19: Liquidity Assessment

No	Entity	Current Ratio		Management response
		2023/24	2022/23	
1.	NEC Farm Katonga Limited	143	39.1	This performance was attributed to maturity of the investment in fixed deposits.
2.	Uganda Air Cargo Corporation	10	3.1	The high liquidity ratio was due to failure to absorb the funds (UGX.34.78Bn) as a result of late release of funds and failure to utilise the funds to carry out the Avionic upgrade. In addition, the Corporation changed the strategy from leasing the aircrafts to undertaking a joint venture with Alpha MBM and as a result, the funds that were meant for leasing remained as cash balances.
3.	Mandela National Stadium	5.6	45.7	No management response
4.	NEC AGRO SMC Limited	5.4	3.8	The nature of business the company is engaged in as payments by the main clients (Uganda Prison Services and Ministry of Defense and Veteran Affairs) are received on a quarterly basis whereas, the company settles suppliers monthly. This results in the need to keep cash available to

No	Entity	Current Ratio		Management response
		2023/24	2022/23	
				settle suppliers at the same time accumulating debtors for a period of three to six months.
5.	Uganda Electricity Distribution Company	5.03	12.49	There have been continuous engagements with Ministry of Finance to settle the pension receivable and the outstanding GOU bills.
6.	Insurance Training College	4.3	3.9	The entity's current assets are largely comprised of unit trust investments, temporarily held and shall be liquidated to facilitate land acquisition. Upon liquidation, the asset ratio is expected to revert to acceptable standards.
7.	Uganda Property Holdings Limited	3.6	12.3	The reduction in the ration is due to growth in the payables from UGX.0.550Bn on 30th June, 2023 to UGX.1.89Bn on 30th June 2024 as a result of an isolated creditor Company owed UGX.1.57Bn at the end of the year.
8.	Uganda Civil Aviation Authority	3.36	4.47	The nature of the industry that UCAA operates in requires the Authority to meet certain ICAO standards while giving a service and complying with certain regulations. That notwithstanding, UCAA is cognizant of the dire need for financial sustainability and the operations are geared to that effect.
9.	Uganda Electricity Transmission Company	2.17	2.02	The available funds are not excess in nature however tagged and committed to several disbursements/activities pending conclusion of the relevant processes under way like procurements, RAP processes, fixed funds on bank accounts for treasury management purposes.
10.	NEC Luwero Industries Limited	1.8	23.2	Management will continue to institute measures to enhance reduction of liabilities and collection of debts.
11.	NEC Uzima Limited	1.8	2.4	No management response
12.	Uganda Printing and Publishing Corporation	1.4	1.4	The accumulation of the receivables was mainly from the delayed payments from the MDAs who contribute the highest percentage of the overall receivables.
13.	Uganda National Airlines Company Limited	1.42	1.38	Management is in the process of developing a new ten-year strategy hinged on: financial sustainability, operational efficiency, learning and development, and stakeholder engagement.
14.	Nile Hotel International Limited	1.32	1.09	The Company bills concession fees within the first month of each quarter, except for the year-end concession which involves the reconciliation of amounts outstanding or overpaid based on audited financial statements, which may delay the closure process. Otherwise, the receivables are paid within a reasonable time by the concessionaire.
15.	NEC Construction Works & Engineering Limited	1.2	1.1	The low liquidity ratio was caused by the advance payments received close to the end of the financial year. The utilisation of the advanced funds while executing the projects has since improved the liquidity ratio of the company.
16.	Uganda Railways Corporation	0.72	0.99	Management is prioritizing better-working capital management by reducing debtor days through strict credit policy enforcement, optimizing inventory and supply chain processes, and enhancing accounts payable management.

No	Entity	Current Ratio		Management response
		2023/24	2022/23	
17.	Kilembe Mines Limited	0.6	1.5	The Company has engaged a rental debt collector and sought shareholder funding through the Board to settle outstanding liabilities, aiming to improve the current ratio and provide a fresh start for KML while negotiations with the strategic investor continue.
18.	Uganda Electricity Generation Company	0.35	0.21	The Company has continued to pursue the collection of the long outstanding receivables from UETCL, as well as continued efforts to pursue the financial sustainability agenda for the energy sector to provide a cost reflective tariff.

Recommendation

I advised the Accounting Officers of the affected institutions to strengthen their treasury/working capital management strategies to ensure speedy collection of debts and reduction of liabilities.

6) Debt Analysis

Public Corporations and State Enterprises should be able to meet their short and long-term debt obligations. Gearing (debt) ratio measures the proportion of the enterprises' assets that are financed by debt. Although the risk levels vary from industry to industry, a debt ratio of more than 50% is considered undesirable.

Eight (8) out of the thirteen (13) Public Corporations and State enterprises assessed had debt ratios of less than 50% implying that owners' equity was sufficient to cover total debt except for five (5) enterprises which had a debt ratio above 50%. These include National Water and Sewerage Corporation, UETCL, UEDCL, NEC Construction Works & Engineering Limited and UEGCL. The table below refers.

The above was majorly attributed to inadequate funding required to repay outstanding loan obligations.

Table 20: Debt Analysis

No	Entity	Debt Ratio (%)		Management's Response
		2023/24	2022/23	
1.	National Housing and Construction Company Limited (F/Ss June 2020)	0.03	0.04	NHCC has prioritized maintaining a conservative capital structure to reduce the risk of financial distress. In addition, NHCC is also prioritizing generating steady and predictable cash flows from rental income and structured house sales to maintain operational stability.
2.	NEC Farm Katonga Limited	0.21	1.11	No management response
3.	Uganda Railways Corporation	3.81	1.69	No management response
4.	NEC AGRO SMC Limited	13.6	27	No management response
5.	NEC Luwero Industries Limited	18.1	1.3	Most of the company's assets are financed by other sources other than debt.

No	Entity	Debt Ratio (%)		Management's Response
		2023/24	2022/23	
6.	Uganda National Airlines Company Limited	20.09	13.56	No management response
7.	NEC Uzima Limited	24.3	51	No management response
8.	Uganda Civil Aviation Authority	38.29	37.42	No management response
9.	National Water and Sewerage Corporation	55	66.95	The Corporation is implementing several water projects across the country. The slight increase in the ratio was due to additional loan disbursements during the year. All our Market Finance loans are performing well.
10.	Uganda Electricity Transmission Company	55	66.09	The undesirable ratio is attributed to the on-lent loans for International Development Agency (IDA), EXIM Bank of China, African Development Bank (ADB) and Japanese International Cooperation Agency (JICA).
11.	Uganda Electricity Distribution Company	70.4	82.55	Umeme continuously made investments leading to an increase in Financial Liability which government is supposed to pay in accordance with section 12 of the Support Agreement. In addition, management is working with the Ministry of Finance and Economic Development to secure external funding for the buyout amount.
12.	NEC Construction Works & Engineering Limited	79	86.3	The undesirable debt ratio was caused by advance payments received towards the execution of some projects that which remained unutilized by close of the financial year.
13.	Uganda Electricity Generation Company	88.7	88	UEGCL cannot substantially make the loan repayments given the challenges surrounding the plants, the energy billing, the low dispatch for Karuma, the water weed, the water levels all impacting on the revenues for the plants from time to time. Additionally, Isimba still has defects which must be worked on which will lead to shut down of some of its units further impacting its revenue.

Recommendation

I advised the enterprises with higher debt ratios to review their debt-to-equity mix and keep an appropriate balance to ensure financial stability.

Overall Conclusion/Recommendation

Government established public corporations and state enterprises with an objective of ensuring efficient and effective management of government operations while delivering services to the citizens. I noted that 67% of the assessed companies made profits while 33% were not making profits, thus affecting their return on assets, ability to pay dividends to Government, and ability to settle their obligations as they fall due. Unprofitable companies should put in place strategies to improve their performance and deliver to the expectations of Government. In addition, Government should develop appropriate financial and non-financial performance assessment indicators for each category of Public Corporations and State Enterprises to enable comprehensive and standardised performance assessment.

PART II: KEY FINDINGS FROM PROGRAMME AUDITS

2.1 Specific Programme Key Audit Findings

2.1.1 Human Capital Development Program

a) Expired Drugs

During the financial year under review, Covid-19 vaccines, ARVs, test kits and related supplies amounting to UGX.316.65Bn were declared expired and non-viable. This is in addition to the expiries worth UGX.33Bn for the previous financial year, implying an increase of almost 860% in one year. This is wastage of government resources which would otherwise have been utilised for other pressing needs.

The expiry of medicines leads to financial loss to government directly negatively impacting on service delivery as evidenced in the deficits in meeting the health facilities Essential Medicines and Health Supplies (EMHS) demands.

Recommendation

I advised the Accounting Officer of National Medical Stores (NMS) to appropriately budget for the EMHS in line with the demand to avoid over stocking of drugs and ensure adequate and timely distribution and delivery of drugs and health supplies to the respective health facilities.

b) Under distribution of medicines and medical supplies to Health facilities in the country

The health facilities' budgets for EMHS are run by the NMS and during the year the whole budget of UGX.562.545Bn for the financial year was fully warranted. However, the comparison of the EMHS delivered to the health facilities indicated that NMS distributed EMHS worth UGX.503.398Bn leading to an under distribution of UGX.59.147Bn representing 89.5% performance. I assessed deliveries in 3,546 health facilities and noted that;

- i) 342 facilities received fully their budgeted deliveries worth UGX.239.582Bn.
- ii) 3,204 facilities received supplies below the budgeted amounts by UGX.59.148Bn.
- iii) Out of the 3,204 facilities that had under distributions in (b) above, 177 facilities received less than 70% of their budget(s) by UGX.33.756Bn.

The under deliveries lead to stock outs and hence affect health service delivery to the citizens.

The Accounting Officer explained that the failure to deliver was occasioned by MoFPED to fund the distribution of the essential medicines and medical supplies.

Recommendation

Management of NMS was advised to always liaise with MoFPED to ensure timely availability of funds to enable full and timely distribution of EMHS to the health facilities to avoid wastage and expiry of the much needed drugs.

c) Under utilisation and Nonfunctional Medical Equipment in Hospitals

I noted under utilisation of various medical equipments in various hospitals as indicated below;

- i) Mulago National referral Hospital has an Intensive Care Unit with a bed Capacity of 27 Beds but currently only 15 beds are occupied which is 56% occupancy due to lack of professional health care staff.
- ii) In other 5 hospitals of Butabika, Kiruddu, Kawempe, China Naguru, and Women Specialised Hospitals, various critical equipment are non functional. In Entebbe, Kisenyi HCIV, MUK Hospital Kasangati HCIV there were instances where ICU beds, patient monitors and oxygen concentrators are not being utilised yet functional due to absence of medical personnel.

The under-utilisation and non-functionality of medical equipment was attributed to lack of enough trained personnel to run the complex equipment as well as inadequate space to fix these equipment.

Inadequate use of medical equipment impairs on service delivery due to limited diagnosis.

Recommendation

I advised management of the respective hospitals to consider training staff in the operation of the various complex equipment and follow-up with the Ministry of Finance to provide funding to expand space to install the various equipment to enhance operational efficiency.

d) Inadequate funding for maintenance of medical equipment

Section 6.4.5 of the GoU Asset Management Framework & Guidelines states that all Accounting Officers with assets shall prepare a maintenance budget each year in accordance with Paragraph 16.9.1 of Treasury Instructions. This budget is informed by the vote assets strategic plan and maintenance plan prepared by the Accounting Officers. The budget shall indicate the maintenance activities to be carried out, their timing and costs. The budget shall be realistic and take into consideration the condition and age of the asset. Additionally, section 1.0 (paragraph 2) of the National medical equipment policy (2009), adequate operation and daily maintenance budgets should be allocated to Health Facilities.

I reviewed the approved budget and equipment maintenance plans and noted that the Health Infrastructure Department (HID) of the Ministry of Health requires

approximately UGX.20Bn for the maintenance of all medical equipment. However, only UGX.1.8Bn was allocated in the budget. Consequently, the department lacks the capacity to maintain all medical equipment, except for specialized equipment whose maintenance is embedded in the framework contracts with the respective service providers who originally supplied the machines.

The Ministry of Health did not secure extra funding for the maintenance of medical equipment delivered during the COVID-19 period.

This funding shortfall leads to the breakdown of medical equipment, negatively impacting the healthcare delivery system. The inability to maintain equipment reduces the availability and reliability of medical services, potentially compromising patient care and safety.

The Accounting Officer explained that the Ministry of Health has always presented this budget requirement to Ministry of Finance, Planning and Economic Development as an Unfunded priority. The same has been presented to the Health committee of Parliament. However, the funding has never been increased from the UGX.1.8Bn, despite additional sophisticated medical equipment, such as; CT scanners, MRI scanners, ICU equipment, High capacity medical oxygen plants, laboratory equipment that were recently procured, installed and commissioned in the Hospitals across the country.

Ministry of Health shall continue to request and engage the Ministry of Finance to increase the maintenance budget for medical equipment across the country.

Recommendation

I advised the Accounting Officer to follow-up on securing increased funding for the maintenance of medical equipment through engagement with the Ministry of Finance and Parliament to address the critical funding gap.

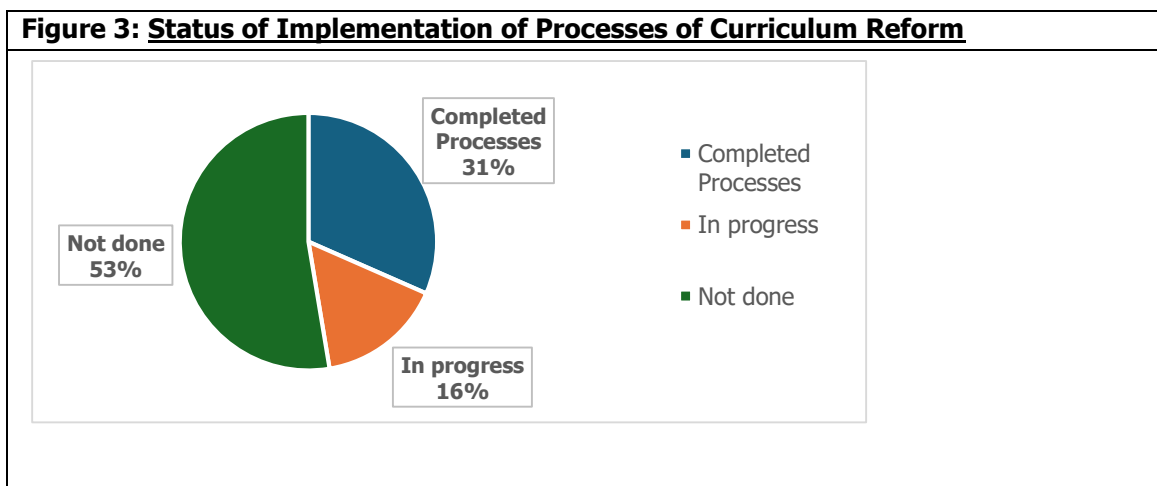
e) Preparedness for the adoption of Higher Secondary Curriculum

The National Curriculum Development Centre (NCDC) is mandated by NCDC Act, CAP 135, to ensure that educational content is relevant, effective, and aligned with contemporary educational needs.

In 2020, the Ministry of Education and Sports implemented the Competency-Based Curriculum (CBC) for the New Lower Secondary Curriculum, which necessitated a revision of the Higher Secondary Curriculum. In addition, the revision necessitated teachers to be equipped to teach a complete learning area because outcomes-based curriculum also requires a revised, skill-oriented approach to assessment to support learning and reward achievement at all levels.

I reviewed the extent to which the two had been implemented and noted that;

- i) The development of the Higher Secondary Curriculum by NCDC was incomplete. Out of the requisite 19 processes outlined for curriculum reform, only 6 were complete, 3 were in progress, while 10 had not been undertaken, as illustrated in Fig below;



The pending processes included Fine tuning the adapted syllabuses with input from the Quality Assurance and Publishing Department; Language editing; Laying out and type setting the materials; Developing assessment modalities for the adapted curriculum; Printing the approved curriculum for the 29 subjects and distribution; Fine tuning the teacher training strategy; and Interpreting the developed curriculum for the teachers and other selected stakeholders.

- ii) Despite the plan to train 130,055 secondary school teachers, only 81,495 (63%) were trained over a five-year span, implying a shortfall of 48,560 (37%) teachers.

With only two months to the commencement of the school term, the above challenges, pose significant implications for the 2024 senior four candidates, particularly those who were instructed and assessed using the Competency-Based Curriculum.

Recommendation

I advised NCDC to expedite the pending processes and ensure that the revised Higher Secondary Curriculum is completed, approved and implemented to meet the educational needs of students and achieve the envisaged long-term educational outcomes. In addition, NCDC in liaison with MoES should enhance the training efforts, including considering online courses to reach the remaining untrained teachers.

- f) **Review of the Acquisition and Rollout of the Teacher Effectiveness and Learner Achievement (TELA) System by the Ministry of Finance, Planning and Economic Development**

The Government of Uganda represented by the Ministry of Finance Planning and Economic Development (MoFPED) through the Resource Enhancement and Accountability Programme (REAP) hired consultancy services for the Rollout of the

Teacher Effectiveness and Learner Achievement System (TELA) to enhance timely effectiveness in support of the centralized monitoring and supervision of educational service delivery and quality in schools and certificate-awarding institutions. The Planned roll-out is summarized in the table below;

Table 21: Planned roll-out of TELA

SN	Schools and Certificate Awarding Institutions	Number	Phase
1.	Primary Government Aided	10,599	One
2.	Secondary Government Aided	1,344	One
3.	Government Certificate Awarding Institution	154	One
4.	Private Schools and certificate-awarding Institutions	20,000	Two
5.	Total	32,097	

An assessment of the initiatives and usage of the TELA platform over the year revealed significant underutilization.

- i) Only 32% of institutions including primary schools, secondary schools, and certification-awarding institutions are actively using the solution, despite the 100% rollout of phase one of TELA, as summarized in the table below;

Table 22: Usage of TELA by the Schools

SN	Category	Targeted Number (A)	Number Enrolled (B)	Number Utilizing (c)	%ge Utilisati on	Varianc e (A-C)	Management response on Utilisation as at 30 th October 2024
1	Primary Schools	10,599	12,451	3,922	31%	8,529	6,214 which was 50%
2	Secondary Schools	1,344	1,332	541	41%	791	765 which was 57%
3	Tertiary Schools	154	149	33	22%	116	46 which was 31%
	Total	12,097	13,932	4,496	32%	9,436	

- ii) The rollout of TELA system in Private schools revealed that, private schools were not yet covered in the rollout of the project, with only 127 private schools and institutions (0.64%) out of the planned 20,000 private schools.

If the system is well implemented, it would iron out issues related to enrollment, and absenteeism by teachers and administrators, identify those who are teaching in more than one school of institutions and subsequently feed into payroll management in schools.

Management of the project explained that MoES had devised methods to enhance the use of TELA. They created WhatsApp groups per LG and assigned support officers who share performance reports weekly, which creates pressure for improvement. Equally, the utilization of TELA has been incorporated in the assessment of performance indicators for LGs under the OPM's office.

Recommendation

I advised the Accounting Officer to enhance strategies and establish robust monitoring and Evaluation to achieve the intended project objectives.

2.1.2 Integrated Transport Infrastructure and Services Program

a) Unpaid arrears for Road and Bridge Construction Projects

As of 30th June 2024, arrears amounting to UGX.798.97Bn relating to road and bridge construction projects remained unpaid for road and bridge construction projects. These arrears include UGX.789.48Bn under the Uganda National Roads Authority (UNRA) and UGX.9.49Bn under the Ministry of Works and Transport (MoWT).

The above indicates inadequate budgeting practices and exposes the Government to potential litigation and financial penalties due to delayed payments. For instance, UNRA incurred interest charges totalling UGX.27.66Bn on overdue Interim Payment Certificates (IPCs) that were not settled within the agreed timelines. These delays resulted in an average daily interest payment of UGX.0.075Bn and a monthly loss of UGX.2.305Bn. These interest costs were unbudgeted for during the financial year and diverted critical funds away from UNRA's core mandate of executing road construction projects.

Recommendations

I advised the Accounting Officers to;

- Engage with the Ministry of Finance, Planning, and Economic Development (MoFPED) to secure funding for clearing outstanding payables.
- Strengthen budgeting processes to provide for domestic arrears, mitigate interest costs, and implement structured arrears settlement plans to prioritize payments, and minimize contractors' disruptions.

b) Unpaid Liabilities for Project-Affected Persons under the MOWT and UNRA

The audit revealed unpaid liabilities totaling UGX.3.491Tn as of 18th October 2024 for Project Affected Persons (PAPs) under land acquisition programs managed by the Uganda National Roads Authority (UNRA) and the Ministry of Works and Transport (MoWT).

Failure to settle these compensations poses risks to project timelines and may result in additional administrative costs for reassessments and potential litigation by affected PAPs, further escalating project expenses.

Recommendations

I advised the Accounting Officers;

- Urgently liaise with the Ministry of Finance, Planning, and Economic Development (MoFPED) to prioritize the release of funds for outstanding compensation.
- Develop clear timelines and actionable plans to ensure prompt compensation of all outstanding PAPs, thereby avoiding further delays and mitigating associated costs.

c) Accumulation of Commitment Fees due to Undisbursed Project Funds

The audit revealed that undisbursed funds for various government projects have resulted in the accumulation of significant commitment fees, totaling USD.21,568,332.16 and UA 1,444,813.87 as of 30th June 2024. These fees represent avoidable financial costs incurred by the government for funds committed but not utilized.

The accumulation of such fees places an unnecessary financial burden on the government, diverting resources from critical development initiatives.

Recommendation

I advised the Accounting Officer to implement measures to ensure the timely disbursement and utilization of project funds to minimize the accumulation of commitment fees and avoid further financial losses.

d) Inadequate Funding for Rehabilitation of Security Roads in Karamoja Sub-region

In response to a Cabinet directive, the Ministry of Finance, Planning, and Economic Development (MoFPED) was tasked with allocating UGX.699.63Bn to the Ministry of Works and Transport (MoWT) for the rehabilitation of 2,058.6 km of security roads in the Karamoja Sub-region and surrounding areas to curb cattle rustling and improve connectivity. However, as of FY 2022/2023, only UGX.25Bn (3.57% of the required funds) had been released, leaving a funding gap of UGX.674.64Bn.

The delay in funding has stalled the project, undermining efforts to enhance security, improve connectivity, and reduce poverty in Karamoja and other targeted sub-regions, as envisioned in the National Development Plan III (NDP III).

Recommendation

I advised the Accounting Officer of MoWT to intensify engagements with MoFPED to prioritize the release of the remaining funds. Additionally, a phased implementation approach should be adopted to initiate work on critical sections of the road network using the available resources, ensuring progress while awaiting full funding.

e) **Significant Cost Escalation and Payment Shortfall on Busega-Mpigi Expressway**

The Busega-Mpigi Expressway project is facing significant shortcomings in technical preparation and funding management. Initially contracted at UGX.547.5Bn without adequate detailed designs, subsequent revisions escalated the project cost to UGX.1.35Tn by March 2023. By May 2024, the original contract funds for civil works were fully depleted, with physical progress at only 40.86%, and certified works worth UGX.30.8Bn remained unpaid, posing risks of delayed payments and legal claims.

As of July 2024, progress had reached just 42.28%, falling short of targets, with the completion date extended to September 2027. Delayed payments, unplanned costs, and funding shortfalls threaten timely completion and cost containment.

Recommendation

I advised the Accounting Officer to expedite efforts to secure additional funding to meet contract obligations and reduce risks of payment delays and contractor accumulation of interest claims on delayed payments.

2.1.3 Mineral Development Programme

a) **Mineral Management**

The National Development Plan (NDP) III emphasizes the importance of sustainable mineral development for economic growth and revenue generation. However, a review of the subsector operations revealed the following institutional inadequacies which threaten to undermine the NDP objectives;

- i) Gold exports valued at USD 3.014 billion (approximately UGX.11Tn) were made without obtaining the necessary export permits from the Minister of Energy as required by Section 149 of the Mining and Minerals Act Cap. 159. The practice undermines the regulatory framework and leads to loss of government revenue. For example, the unpaid export levies have accumulated to UGX.68.842Bn.
- ii) The mineral rent fees of UGX.439Bn, which were due from exploration and mining companies, remained outstanding as of 30th June 2024, contrary to Section 50(1.b) of the Mining and Minerals Act Cap.159.
- iii) Section 180(4) of the Mining and Minerals Act Cap. 159, requires royalties to be distributed among the Central Government (70%), Local Governments (15%), Sub-County or Town Councils (10%), and owners or lawful occupiers of land subject to mineral rights (5%). I noted that the Mineral Royalties' sharing fund account in MEMD received UGX.5.69Bn, in addition to the closing amount from the previous period of UGX.1.36Bn, adding up to UGX.7.05Bn. I noted that only UGX.3.14Bn (45%) was distributed to the beneficiaries, leaving an outstanding balance of UGX.3.91Bn.

The above weaknesses were attributed to inadequate enforcement of laws and weak collaboration, among key players.

Recommendations

I advised the Accounting Officer of MEMD to;

- Strengthen collaboration with the Uganda Revenue Authority to enhance the monitoring and enforcement of the export permit requirements.
- Institute follow-up mechanism to monitor outstanding payments of mineral rent fees and strengthen enforcement for non-compliant license holders. Consider invoking the penalty clauses on culpable mineral exporters, in line with section 149(5) of the Mining and Mineral Act.
- Ensure that the bottlenecks leading to non-remittance of royalties are resolved so that the intended beneficiaries of the mineral royalties receive their due share.

2.1.4 Sustainable Development of Petroleum Resources

a) Status of Petroleum Development

The Government set November 2025 as the date for first oil export via the Tanga Port. The declaration is aligned with Uganda's Vision 2040, which aims to leverage the natural resources to accelerate socio-economic development. I reviewed the progress of the development operations and noted the following;

- i) Whereas the Uganda Commercial Oil Production Plans had set a target of drilling 451 wells, the Field Development Plan (FDP) designated only 177 (approximately 39%) as necessary for the initial phase of oil production targeted for November 2025. By the time of this report (November 2024), only 94 (53%) wells out of the designated number had been drilled.
- ii) In terms of the construction of the enabling facilities, the Tilenga and King Fisher Development Area (KFDA) projects had not achieved the planned targets. By November 2024, Tilenga's actual progress was 42% compared to the planned 51%, while for KFDA, the actual progress was 88% compared to the planned 91%. The analysis of the components contributing to overall progress revealed that most of the progress related to procurement of materials, engineering and site logistics, while actual construction works were at 8.5%.
- iii) The compensation of Project Affected Persons (PAPs) for the East African Crude Oil Pipeline (EACOP) was substantially complete and construction works had commenced. However, implementation progress by September 2024 was at 40% compared to the target of 42%, with delays noted in pipeline and marine terminal construction.
- iv) The Kabalega Industrial Park electricity substation is scheduled for completion on December 15, 2025. I, however, noted that the original design lacked a 132 kV

line bay, required by EACOP to provide electricity for heating the oil during transportation.

- v) The completion of the airport runway by November 2024 was a major milestone. However, critical infrastructure like the cargo terminal and 240 MW power substation were still incomplete.
- vi) The establishment of a National Petroleum Data Repository Infrastructure (NPDRI) is essential for efficient and effective management of petroleum data relating to exploration, development, production, and utilization of oil and gas resources in the country. The total funding required for NPDRI is UGX.133.5Bn, but to date, the government has only allocated UGX.7.5Bn. The under funding has stalled the project progress, currently at 37%. Only the seismic data tape storage and transcription system are complete.

The various responsible Accounting Officers indicated that good progress was being made albeit with logistical challenges as well as complexities in design works, procurements and funding constraints.

Recommendations

- I advised the Accounting Officer of PAU to enhance regulatory oversight to ensure timely and cost-efficient completion of all critical projects, including the drilling operations, oil extraction facilities, the EACOP, and the supporting infrastructure managed by other government institutions.
- I advised the Accounting Officer of UNOC to engage relevant stakeholders to secure additional funding for the Kabalega Industrial Park and other supporting infrastructure. Coordination with relevant entities should be enhanced to fast-track the completion of critical facilities, including the cargo terminal and power substation, to ensure readiness for first oil.
- The MEMD should formulate and communicate contingency plans for stakeholders to address potential delays in oil supply chain. The plans should prioritize timely completion of all interdependent projects to safeguard the financial viability of the sector and ensure the realization of first oil targets.
- The MoFPED should allocate additional funding for the establishment of the NPDRI to ensure timely completion of all critical components.

2.1.5 Sustainable Energy Development Programme

a) Access to Electricity

In FY 2023/24, the electricity generation capacity of the country increased to 2,005 MW due to the synchronization of the 600 MW Karuma Hydro Power Plant (HPP) onto the national grid. This is 67% of the NDP III capacity target of 2996.8 MW.

I also noted that the completion of the Gulu-Agago and Kole-Gulu-Nebbi-Arua transmission lines had increased the transmission grid coverage by 18% from 4,218 circuit-km to 4,962 circuit-km.

Despite the progress realised, the following observations were noted;

- i) Out of the total generation capacity of 2,005 MW, the peak demand is only 1,025.69 MW (as of August 2024), implying a surplus of 979.31 MW. The unused capacity suggests demand-side dynamics and/or infrastructure limitations.
- ii) Uganda Vision 2040, set targets of 60% electricity access by 2027 and 80% by 2030. As of June 2024, only 57% of the population had access to electricity (19% of grid and 38% off grid), with 36% in the rural areas. The current statistics raise concerns about the low grid access and the likelihood of achieving the targets outlined in Vision 2040.

Recommendations

I advised the Accounting Officer of MEMD to;

- Enhance the electricity scale up projects to increase domestic and commercial consumption, connect the industrial hubs so that the surplus power reaches the underserved areas.
- Invest in expanding and modernizing distribution networks, including both grid extension and decentralized solutions for rural communities like mini-grids and solar home systems.

b) Energy Transition

To support the objectives of Energy Transition by 2030, the NDP III stipulated a review of three key laws, namely the Electricity Act, the Atomic Energy Act, and legislation for geothermal development and the establishment of three regulatory frameworks, in addition to addressing the human resource gap.

The MEMD had made progress in establishing the Minimum Energy Performance Standards (MEPS) and developing a framework for net metering by the end of December 2024, which is commendable. However, I noted the following;

- i) The amendments to the Electricity Act, the Atomic Energy Act, and the legislation for geothermal development were incomplete. There is risk of not achieving a cohesive and comprehensive legal framework for energy sector transformation, which may hinder the development and utilization of Uganda's geothermal resources.
- ii) The country had a total human resource gap of 6,118 Scientists spread over 17 professions. Of these, only 5 (29%) professions with a staffing requirement of 2,295 (37%) professionals could be trained by the universities in Uganda.

The above raises concerns about the country's capacity to achieve Energy Transition objectives effectively.

Management indicated that consultation with key stakeholders to complete the necessary legislation and to recruit the required staff were underway.

Recommendation

I advised the Accounting Officer of MEMD to prioritize the completion of review and amendment of the key laws and to expedite the enactment of the geothermal legislation. In addition, training initiatives should be undertaken to ensure provision of the human capital required to meet the energy transition objectives.

2.1.6 Agro-Industrialisation Programme

a) Management of the Naigombwa Irrigation Scheme and the Project Affected Persons under ENREP

In February 2023, MAAIF contracted a Joint venture company to construct Kitumbezi multipurpose dam and develop Igogero-Naigombwa Irrigation Scheme in Bugiri and Bugweri Districts respectively at a total cost of UGX.100.3Bn to be completed by November 2024. Before commencement of the project, the Government was supposed to have secured 5,500Ha of un-encumbered land through compensation at UGX.28.987Bn.

At the time of writing my report, MAAIF had made payments worth UGX.15Bn and physical progress of works was estimated to be at only 4.8%. The delayed progress of the project was attributed to the following shortcomings:

- i) A total of 2,214 PAPs (61%) with claims worth UGX.8.6Bn from 42 villages were not compensated out of the planned 2,540 PAPs. These should have been paid before the construction of the dam and irrigation scheme.
- ii) I further noted that 819 PAPs with claims worth UGX.081Bn from 17 villages in Bugiri District had not been verified. These claimants remained on the site and therefore the project could not take off.
- iii) The contractor was advanced UGX.15Bn to mobilize sufficient equipment for execution of the works. However, only 15 (32%) of the expected 47 units of equipment were on site, some of which were non-functional.
- iv) Despite the contractor being advanced UGX.15Bn, efforts to have the contractor execute the works have yielded no result because the contractor filed a complaint with the Dispute Resolution Board.
- v) At the time of my report, the development partner had declined to provide an extension beyond 30th June 2024 due to the unsatisfactory progress of the works. This has resulted in the accumulation of arrears of UGX.89.1Bn, in form of signed commitments.
- vi) Equipment worth UGX.0.758Bn which includes wheel combined harvester, tractors and planters, paddy rice seedling trays and walking tractors were

procured on the premise that the dam and irrigation scheme would be completed and the equipment deployed. However, these equipment were lying idle at the Ministry's yard.

Delays to compensate PAPs and low progress of works has resulted in an annual avoidable cost to government of UGX.8.62Bn. This has also delayed the delivery of services.

Recommendation

The MAAIF should compensate all PAPs to secure land and allow finalization of pending works by the successor project.

b) Performance of the National Oil Seed Project Under MAAIF

The National Oil seed Project is supporting farmers in 81 districts to increase production and productivity in soya bean, ground nuts, sunflower, sesame. The project is in its fourth year of implementation. During the year, the project embarked on the procurement of private service providers to provide extension services alongside NARO and MUK at a cost of UGX.47.5Bn for a period up to 2025/2026 an activity that should have been done in the second year.

At the time of writing this report, the procurement process had been cancelled by PPDA citing irregularities. This has affected the execution of project activities as indicated below;

- i) Farmers have not accessed certified seed varieties for sunflower, groundnuts and sesame except for Soya bean.
- ii) Funds meant for research related activities were disbursed late to NARO and MUK for the two seasons. This affected the development of certified seed varieties.
- iii) The delivery of inputs to the final beneficiary took 30 to 60 days, which was longer than the expected 30 days before the planting date or date of application. Late delivery of inputs to the farmers heavily affected planting timelines.
- iv) There were few Local Seed Businesses (LSB) to provide certified seeds to the farmers. Failure to access good quality agricultural inputs affects the quality of the yield harvested.
- v) Farmers were not sensitized on climate smart agriculture technologies such as the use of tolerant and resistant varieties, timely planting, use of clean planting materials, Irrigation systems by NARO. This limits awareness and uptake of the new technologies.

- vi) After the delivery, the Soya bean plants seasons 2023B & 2024A, the plants were attached by the webworm, which affected productivity. However, there was no follow-up by MUK to support the farmers.
- vii) Ten (10) procurement for key project activities worth UGX.11.3Bn were not undertaken despite release and availability of funds. Key among these were weather stations, consultancies and vehicles for monitoring and supervision of project activities.

The above challenges will affect the performance of the project and result in time extensions and increased project costs.

Recommendation

I advised the Accounting Officer to address the above challenges to improve the performance of the project.

c) Performance of the National Oil Seed Project Under MOLG

The National Oil seed Project is supporting farmers in 81 districts through providing support to market linkage infrastructure in the oil seed sector. The project is funded by IFAD and GoU through MoLG at a cost of USD.67.5Mn. The Project became effective on 17th December 2019 and is expected to end on 31st March 2029. To date a sum of UGX.18.32Bn had been disbursed out of the expected UGX.111.98Bn.

I reviewed the implementation of the project and noted that the critical project activities had not been implemented four (4) years into the project lifetime.

- i) Feasibility studies and engineering designs for 1,495 Km of roads worth UGX.5.5Bn under the second batch were not yet undertaken, awaiting clearance of the procurement from IFAD.
- ii) Environmental and Social Impact Assessments for 1,495Km worth UGX.3.2Bn were not yet undertaken due to delays in designing the second batch of roads.
- iii) Community awareness and social mobilization in all the 81 districts worth UGX.0.89Bn had not commenced which may result in conflicts with PAPs and further delays.
- iv) Construction and supervision of 1,000Km of road works worth UGX.56.56Bn under the first batch had not commenced due to inadequate preparedness for project implementation.

The above challenges will affect the performance of the project and result in time extensions and an increase in project costs.

Recommendation

I advised the Accounting Officer to address the above challenges to improve the performance of the project.

2.1.7 Administration of Justice Programme

a) Case Management and Disposal

1) Case back logs under the Judiciary

Judiciary is an arm of the Government under the doctrine of separation of powers. It is established under Article 126 of the Constitution of the Republic of Uganda, 1995.

The Judiciary is mandated to administer justice through resolving disputes between individuals (civil cases) and between the state and individuals (criminal cases), interpret and uphold the Constitution and the laws of Uganda, Promote the rule of law and safeguard human rights of individuals and groups, Initiate, develop and implement training programmes for the development of the Judiciary staff, Contribute to the enforcement of law and order, enroll and license advocates, license and discipline Court Bailiffs, maintain custody of laws enacted and disseminate legal literature, collect and account for government revenue from the courts, and introduce modalities for alternative dispute resolution (ADR) to reduce the burden of cases on the courts.

I assessed Judiciary's performance on cases disposal and made the following observations;

- i) A review of 878 case files of civil suits completed in the year 2024 revealed that 781 (89%) had been completed within the stipulated 24 months, while 97 case files (11%) took between two (2) years to 14 years to be completed. In addition, a review of a sample of 889 case files of criminal cases completed in the year 2024 revealed that 706 cases (79%) were concluded within the stipulated 12 months, while 183 cases (21%) took anywhere from one (1) year to as long as 22 years to conclude.
- ii) I reviewed a sample of the performance statistics for plea bargains in the Judiciary and observed that the overall uptake and success of the mechanism need further improvement. For instance, within the selected court performance, I found that plea-bargains' success varied from a performance of 0% to as high as 100% within the year.
- iii) I reviewed the statistics on mediations to assess their performance and observed a similar pattern of low performance. Overall, the clearance rates for cases referred to mediation were 21%, while significantly low performance was observed at higher courts.
- iv) I observed that the average length on remand for petty offences was 2.7 months against a recommended duration of two (2) months, and six (6) months for capital offences. A review of the average time spent on remand shows that over 1,722 petty offenders spent between seven (7) to 12 months on remand, while over 1,313 capital offenders not yet committed to the High Court spent an average of seven (7) to 12 months on remand, all partly attributed to slow judicial processes to conclude cases.

2) **Case backlogs under the Judicial Service Commission**

The Judicial Service Commission (JSC) typically handles complaints through a structured process that involves receipt of the complaint, preliminary evaluation, investigation, hearing and final decision-making by the Full Commission. I reviewed the performance of complaints handling by the JSC and noted that;

- i) Whereas preliminary evaluation of complaints is expected to take one (1) day, the JSC often takes longer than the planned timeframe and has accumulated a backlog of complaints awaiting evaluation. Additionally, JSC did not maintain summary records of complaints received and evaluated, which prevented me from assessing the performance of the Commission in complaints evaluation.
- ii) The Investigations Department handled only 54% of the cases received from the evaluation unit under the Directorate of Disciplinary Affairs. Out of the 154 complaints received during the year, the Complaints Investigation Team investigated and recommended further action for only 84 cases, resulting in a backlog of investigation cases.
- iii) I observed that out of the 198 cases received by the Disciplinary Committee, only 106 were scheduled and heard, reflecting a performance rate of 53%. This partial performance resulted in a backlog of cases yet to be heard. In contrast, the full Commission's performance during the year was a 100% clearance rate of the cases it received.

3) **Case backlogs under the Uganda Human Rights Commission**

The Uganda Human Rights Commission (UHRC) was established under the 1995 Constitution of the Republic of Uganda. The decision to establish a permanent body to monitor the human rights situation in the country was in recognition of Uganda's violent and turbulent history that had been characterized by arbitrary arrests, detention without trial, torture and brutal repression with impunity on the part of security organs during the pre and post-independence era.

Article 52 (1) of the Uganda Constitution outlines the core function of the Commission to investigate, at its own initiative or upon receiving a complaint from an individual or group of the violation of any human right. I assessed the performance of UHRC on handling of complaints and made the following observations;

- i) For the financial year 2023/2024, the Commission was able to conclusively investigate 531 complaints out of a total of 917, representing a 60% performance.
- ii) A review of 100 files revealed delays of more than one year, with some complaints going up to 10 years before the completion of investigations. The Commission had not started on the investigation of 90 out of 681 cases (13.2%) for over five (5) years.

- iii) I analysed the disposal of complaints by the UHRC tribunal in the financial year 2023/2024 and noted that out of 1,325 cases brought forward, only 171 (13%) cases were closed.
- iv) I noted that files spent an average of four (4) years at the tribunal between the first hearing and the last tribunal decision, and more than 97% of the total cases pending at the tribunal level were six years old or more.

4) **Case backlogs under the Office of the Directorate of Public Prosecutions**

I reviewed the annual casework performance report for the FY 2023/2024 to establish the management of prosecution cases during the year under review. The report analyses the General Casework performance for the financial year 2023-24, focusing on key metrics related to criminal cases prosecuted, new cases pursued, and stakeholder engagement. The report evaluates performance against established targets and identifies reasons for variances. I noted the following from the review;

According to the report, the ODPP did not meet any of the annual targets for the different cases that were examined. The table below refers;

Table 23: Performance for different categories of Court Cases

Quarter	Description	Criminal cases prosecuted	New criminal cases pursued	New Criminal Cases Sanctioned for Prosecution	New Criminal Cases Committed for Trial to High Court	Criminal Cases Handled Through Prosecution-Led
Q1	Target	50,000	30,000	20,000	1,250	30
	Actual	57,321	28,448	18,467	547	16
	Variance	-7,321	1,552	1,533	703	14
Q2	Target	50,000	30,000	20,000	1,250	40
	Actual	45,901	23,346	14,818	613	56
	Variance	4,099	6,654	5,182	637	-16
Q3	Target	50,000	30,000	20,000	1,250	40
	Actual	51,786	24,512	15,585	399	22
	Variance	-1,786	5,488	4,415	851	18
Q4	Target	50,000	30,000	20,000	1,250	40
	Actual	40,648	21,687	12,139	437	15
	Variance	9,352	8,313	7,861	813	25
Total	Target	200,000	120,000	80,000	5,000	150
	Actual	195,656	97,993	61,009	1,996	109
	Variance	4,344	22,007	18,991	3,004	41

Source: ODPP Annual Casework Performance Report

The report attributed the shortfall to performance problems within the ODPP, including poor investigations, high case dismissals and inadequate data collection, as detailed below;

i) **Inadequate Data Collection**

The audit highlighted inadequate data collection practices due to the PROCAMIS system not being fully implemented across all stations. This lack of comprehensive implementation has led to inaccurate reporting and an inability to effectively track cases, particularly in the areas of cybercrime and prosecution-led investigations. Consequently, this hampers performance assessment and informed decision-making based on data.

ii) **High Case Dismissals under Daily Hearing Project**

A significant challenge noted during the audit is the high rate of case dismissals within the Daily Hearing Project. The primary cause was the ineffective service of witnesses, often exacerbated by the relocation of witnesses to untraceable locations. This situation undermines the project's objective to expedite justice, resulting in increased dismissals that diminish public confidence in the judicial process and lead to wasted resources.

iii) **Poor Investigations**

The audit also revealed that poor investigation practices, characterized by inadequate retrieval of forensic evidence and a lack of corroborative evidence, have contributed to case collapses. Such inadequacies are especially problematic in cases lacking eyewitness accounts. The result is a diminished success rate in prosecutions, which could allow offenders to evade justice.

iv) **Delayed release of funds for sessions**

The delays in facilitating court sessions were primarily due to budget cuts and the delayed release of funds. This situation has led to reduced case disposal rates and fewer concluded cases. Consequently, there is an increasing backlog of cases, posing potential legal implications for unaddressed matters.

v) **Lack of Office Equipment**

A further finding from the audit is the lack of essential office equipment, which stems from insufficient funding for office supplies and equipment. This deficit has led to delays in case processing, particularly during plea bargain sessions. The resulting inefficiencies in administrative tasks have a detrimental impact on overall case management.

Recommendations

I advised MoFPED to increase financial resource allocations, ensure coordinated efforts within and across institutions, build capacity for staff and leverage technology to support data management to improve public confidence in the management of justice.

b) **NIRA's Readiness for Mass Enrolment and Renewal of National IDs**

National Identification and Registration Authority (NIRA) officially began registering Ugandans and issuing National Identity Cards with a 10-year validity in 2014 to establish a centralised and comprehensive database of all individuals living in Uganda. Ten (10) years later, in 2024, the initial batch of IDs were set to expire, and in response, NIRA launched a mass enrolment and renewal exercise to replace all expiring IDs and to provide an updated register for the upcoming 2026 elections. I assessed NIRA's preparedness for this exercise and made the following observations;

- i) NIRA budgeted to receive UGX.600.17Bn for implementing the mass enrolment and ID renewal over the two financial years 2022/23 and 2023/24. However, only UGX.262.05Bn was warranted resulting in a shortfall of UGX.338.12Bn, which is 56% of the budget.
- ii) Out of the UGX.262.05Bn that was received, only UGX.38.06Bn was spent while the balance of UGX.223.99Bn was held in letters of credit. The funds in LCs were meant for the acquisition of systems and equipment to be used in the registration which was yet to be delivered.
- iii) NIRA had planned to recruit 13,787 temporary staff to support this activity. At the time of the report only 25 staff had been appointed, 11,595 staff passed final interviews but were not yet issued with appointment letters while 2,192 staff had not yet been recruited.
- iv) NIRA planned to have citizens living abroad pre-register online or at the nearest embassy and some registration kits were allocated for the purpose. However, there was no budget and timelines allocated for this exercise. Due to this, citizens abroad may not participate in the 2026 elections.

Recommendation

I advised the Accounting Officer to institute mechanisms to track and monitor the utilisation of the unabsorbed funds and fast track the recruitment of staff to support the exercise. Further, Government should develop a clear plan for the timely registration of diaspora citizens and provide the required resources.

2.1.8 Governance and Security Programme

a) **Implementation of the Roadmap for the 2025-2026 General Elections**

In preparation for the 2026 general elections, the Electoral Commission issued a road map containing timelines for all activities leading to the general elections.

The Commission was supposed to implement Phase-1 of the road which comprised of 14 key activities worth UGX.75Bn by 30th June 2024, key among which were re-organisation of polling stations, recruitment of election supervisors, voter education, digitalization of election documents, procurement of specialised equipment among others. However, at the time of my report (December 2024) only one activity (demarcating election areas)

worth UGX.9.52Bn had been fully completed. The other 13 activities were on-going but significantly behind schedule due to underfunding.

Delayed implementation of Phase-I activities will affect the commencement date for the next phases and ultimately distort the implementation of the road map.

Recommendation

I advised the Accounting Officer to engage MoFPED and Parliament for the required funds and fast-track the implementation of all pending activities.

b) Challenges in Missions Abroad

Uganda's missions and Embassies are mandated to promote and strengthen Uganda's interests and image abroad. I inspected 37 missions and noted the following cross cutting challenges in their operations.

- i) Twenty-three (23) Missions received UGX.12.81Bn from programmes for which they have no contribution as per the NDP-III programme allocation. This matter has been discussed with NPA and PS-MOFA and will be rectified to improve the alignment to the programme objectives in NDP-IV.
- ii) Twelve (12) missions recruited 144 local staff who earned a total of UGX.14.07Bn during the year without approval by the Permanent Secretary of MoFA which was contrary to Section (A-a) paragraph 9(f) of the Public Service Standing Orders.
- iii) Seven (7) Missions paid out UGX.1.30Bn to Mission officials travelling from their duty stations to undertake mission activities within the host country using rates for travel abroad to cater for their allowances. This was due to lack of clarity on which rates to use in such circumstances from MoPS.
- iv) Twenty-eight (28) Missions were not availed capital development funds despite the urgent need for funds to replace old furniture, procure ICT equipment, utility vehicles, undertake repairs and refurbishment of Chanceries and the Ambassador's residences among others. This has affected Uganda's image abroad.
- v) On-going construction projects in 12 Missions were behind schedule. The Contract Management Teams (CMTs) and Accounting Officers promised to enhance contract supervision and monitoring to avoid further delays.
- vi) Uganda is currently under cautionary sanctions of the African Union due to its outstanding contribution to the African Union amounting to UGX.13.5Bn and as such, it is prohibited from speaking on any matter on the agenda of the African Union under Rule 23(1) of the AU financial rules (FR).

The above matters were brought to the attention of PS-MoFA for appropriate redress.

2.1.9 Regional Balance Development Programme

a) Processing and Approval of Physical Development Permissions

In order to improve on the efficiency of the process of applications for development permission and permits, KCCA under the Directorate of Physical Planning introduced the Smart Permit to be used for receipt and processing of development applications. In addition, the Directorate of Engineering and Technical Services uses the Building Industry Management System (BIMS) to handle online application, processing and approval of building permits.

An assessment of the turnaround time to process development applications was undertaken on a sample of 252 development applications received over a period of two (2) years. The following were observed;

- i) It took an average of 117 working days from receipt of the application to making a decision (approve/reject/defer) by the Physical Planning Committee (PPC) following the recommendation by the Technical Review Team (TRT).
- ii) The Technical Review Team took an average of 132 working days to advise PPC on the decision taken on an application. Worse still, 38 development applications had not left the TRT stage for more than 147 working days.

The above delays were caused by;

- i) The Authority did not have a client charter which stipulates the average time that should be taken by the TRT and PPC to process and make decisions on applications.
- ii) The BIMs and the smart permit system were not Integrated which affected the time for processing of applications.
- iii) Despite having the automation, the processes of review, issuance of comments, decision making and communication of review comments to the applicant was manually done due to the unstable smart permit system which worsened the delays.
- iv) Due to the manual processing of applications, it is difficult to track processing time and as such long outstanding applications cannot be identified and flagged.
- v) The TRT and PPC do not promptly follow-up on the comments made on the applications which further delays resolving the deferred cases.
- vi) The directorate is understaffed by 71% with 46 positions vacant. This affects the capacity of the directorate to undertake field inspections prior to approval of the development applications.

- vii) The directorate of Physical Planning does not have designated vehicles for pre-approval inspections and currently uses pool vehicles for field activities depending on availability.

The long turnaround times have encouraged illegal developments and increased the costs of development control (compliance enforcement). Further this has affected revenue performance. From my analysis KCCA collected UGX.15.9Bn in the last three years, however more revenue could have been collected had it not been for these inefficiencies.

The Accounting Officer explained that the Directorate of Physical Planning is migrating to the Integrated Revenue Administration System (IRAS), which has a Physical Planning module that covers all the Permits issued by the directorate. IRAS is already integrated with NIRA; URA; URSB; and IFMS. KCCA has written to the MoLHUD requesting for integration with the Land Information System and are in talks with the National Building Review Board (NBRB) to integrate with Building Industry Management System (BIMS).

Recommendation

I advised the Accounting Officer to review the entire process flow and fast track the migration to the IRAS system so that the current automation challenges are addressed.

2.1.10 Public Sector Transformation Programme

a) Progress of Implementation of the Rationalisation of Government Agencies and Public Expenditure

Government of Uganda embarked on the Rationalisation of Government Agencies and Public Expenditure (RAPEX) to eliminate structural and functional duplications and overlaps, reduce wasteful expenditure and realise short- and long-term savings. I reviewed the rationalisation process and observed the following;

- i) Out of the 40 Bills that gave effect to RAPEX, 36 Bills affecting 43 institutions, had been passed by Parliament, while four (4) affecting 7 institutions were pending legislation in Parliament.
- ii) Forty-three (43) entities have either been merged, mainstreamed, or transferred to their parent Ministries.

Engagement with various Accounting Officers of the affected entities revealed the following challenges;

- i) There was no clear strategy regarding the staff from the rationalised entities will be absorbed within the Parent Ministries and this has affected staff morale.
- ii) Although the Accountant General has issued guidance on transfer of assets and liabilities by the rationalized entities, some entities were having challenges in transferring cash and inventory.

- iii) Whereas there is a general roadmap by the Ministry of Public Service, I found that the Parent Ministries had not developed a re-organisation strategy to realise the merger. The legal instruments (and laws) to realise the merger are yet to be approved by Parliament. Similarly, the financial implication of the merger is yet to be presented by the Ministry of Finance to Parliament for approval.
- iv) I observed that, although staff had been given short-term contracts to December 2024, the criteria for the roles, or staff who will be retained, and those that will be retired have not been decided and communicated. This lack of clarity has created uncertainty and affected staff morale.
- v) I noted that some of the rationalised entities have board members with running contracts far beyond the transition period. However, no clear arrangements exist on how the boards will be dissolved.
- vi) There were notable delays in the validation, recruitment and placement of staff for institutions whose boards had not been fully constituted or were not fully prepared for the activity such as NPA, UWA and UFZEPA.
- vii) Some of the Institutions which have finalized validation have not paid salaries to the employees who have been absorbed in the Parent entities such as URSB.

My engagement with the Accounting Officer of MoPS revealed that clear guidance had been developed and disseminated to the affected entities. This indicates a lack of awareness by the affected Accounting Officers regarding the MoPS guidance.

Recommendation

I advised the Accounting Officer of MoPS to undertake sensitization and awareness engagements with the affected Accounting Officers to support smooth transition and implementation of the RAPEX process.

2.1.11 Community Mobilization & Sensitization Program

a) Low Absorption of GROW Project Funds

The Generating Growth Opportunities and Productivity for Women Enterprises (GROW) project implemented by the MoGLSD, aims at providing entrepreneurial services to enable female entrepreneurs to grow their enterprises in targeted locations, including host and refugee districts.

The project worth USD.217Mn is funded by the World Bank and became effective on 20th January 2023. It targets to benefit over 60,000 female owned enterprises including 3,000 refugee-owned business, 280,000 women entrepreneurs and employees including 42,000 refugees, 14,000 host community members and 1.6 million indirect beneficiaries.

Out of the total disbursement of UGX.52.18Bn, only UGX.10.96Bn (21%) was expended, resulting in an unspent balance of UGX.41.22Bn. The unspent funds were still held on the Project bank accounts by the time of this report.

The low absorption was attributed to the delays to develop manuals and recruit staff. In addition, MoGLSD had not yet trained and sensitised beneficiaries.

The Accounting Officer explained that training and sensitization of the women entrepreneurs would commence in February 2025, since the development of the curriculum was concluded.

Recommendation

I advised the Accounting Officer to expedite the training and sensitization programs to ensure that the beneficiaries can apply and thereafter utilize the funds for their enterprises.

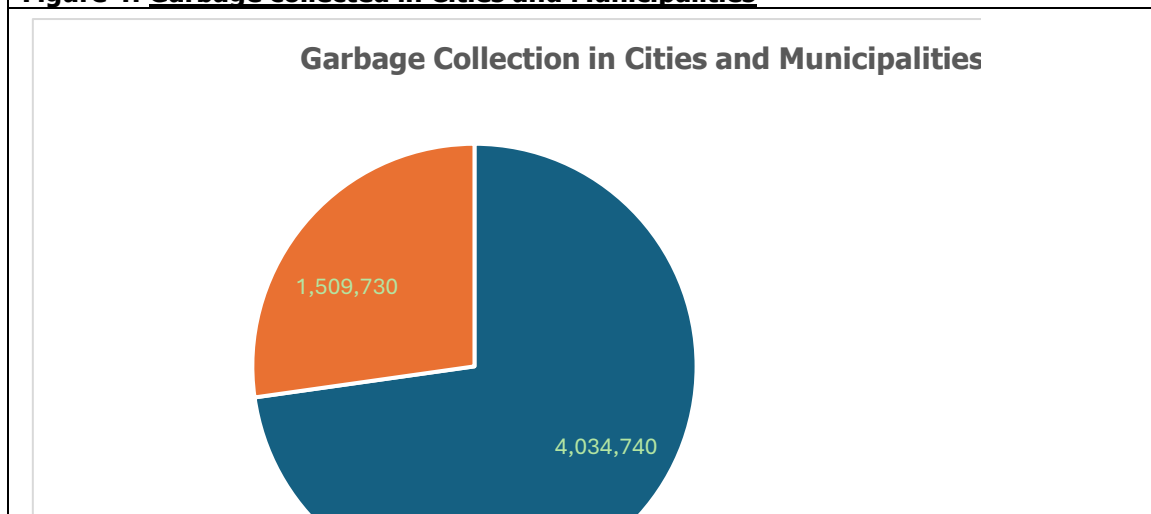
2.1.12 Climate Change, Natural Resources, Environment & Water Management Programme

a) Solid Waste Management

During the implementation of the USMID-AF project, significant interventions in solid waste management were undertaken, resulting in improvements in disposal across participating Cities and Municipalities.

I noted that solid waste management is still a challenge in the Cities and Municipalities. The quantities disposed-off remain low compared to the volumes generated. In the 3-year period (2021/22 - 2023/24), only 37% of the total 4,034,740 tonnes of the generated solid waste was collected and disposed off, as illustrated in Fig below;

Figure 4: Garbage collected in Cities and Municipalities



Specifically, the Cities collected and disposed off 1,109,833 tonnes (34.4%) of the planned 3,222,277 tonnes of waste generated, while the Municipalities collected and disposed off 399,897 tonnes (50%) of the generated 812,462 tonnes.

The best performing were Fort-Portal City and Soroti City which collected and disposed off 86% of the garbage collected in their respective jurisdictions, followed by Kamuli MC, with a performance of 79%. The worst performing administrative units were Lira City, Tororo MC and Kitgum MC, whose performance was 10%, 28% and 30% respectively.

I noted a gap in policy and infrastructure development. The MoLHUD had not developed a national solid waste management policy and had not implemented plans for resilient infrastructure and waste recycling. This hampers Solid Waste Management coordinating efforts in the Cities and Municipalities.

Recommendation

I advised the Accounting Officer of MoLHUD to expedite the development of the policy to ensure a comprehensive approach to solid waste management in the Cities and Municipalities to improve and secure environmental resilience and public health.

b) Delayed settlement of water Bills by Government entities

It was observed that National Water and Sewerage Corporation (NWSC) had receivables of UGX.355Bn. Out of the figure, UGX.72.5Bn (20%) relates to unpaid bills by government Ministries, Departments and Agencies (MDAs). Some unpaid bills have been outstanding for more than two (2) years.

The above was brought to attention of government in which the PS/ST (referenced ISS 58/255/01 dated 21st February 2023) committed to settle verified water bills totalling to UGX.43.1Bn, starting with UGX.12.8Bn in FY 2023/24 and the balance in the next 4 years. I however noted that the PS/ST did not fulfil the commitment to settle the outstanding water bills.

The above creates financial strain on NWSC, limiting its ability to invest in infrastructure, maintenance, and service expansion, which adversely affect the quality and reliability of water supply services.

Recommendation

I advised the management of the Corporation to continue engaging the PS/ST to honour the commitment made and settle the debts owed by MDAs.

2.1.13 Development Plan Implementation Programme

a) Revenue collection by Uganda Revenue Authority

I undertook a trend analysis of revenue collected in the last two financial years and noted that collections increased by 8% in the financial year 2023/2024. Details are in Table below;

Table 24: Revenue Collection for the past two Financial Years

Revenue Category	30 th June 2024 UGX Bn	30 th June 2023 UGX Bn	Revenue Growth rates
Customs and Excise Taxes	8,160.096	7,711.015	6%
Value Added Tax	7,800.111	7,291.843	7%
Taxes on Gains, Profits, Fees and Licenses	10,221.045	9,151.937	12%
Non-Tax Revenue	1,573.389	1,471.969	7%
Petroleum Revenue	184.056	124.965	47%
Total Gross Revenue Collections	27,938.697	25,751.729	8%

From the above table, the Authority's actual gross revenue collection was UGX.27,938.694Bn compared to UGX.25,751.729Bn for the FY 2022/2023. The performance represents an average revenue growth of 8%.

The upward trend in revenue collections is partly attributed to increased compliance levels among the taxpayers arising from improved tax administration by the tax body.

Despite the above growth (in comparison with the prior financial year), the Authority, however, registered a revenue shortfall of UGX.1,917.470Bn (6.5%) against the current year's target of UGX.29,856.164Bn.

The failure to attain the set revenue target affects the overall revenue performance and cash flow performance of the Government.

Recommendation

I advised Management to enhance its initiatives to grow revenue collections and meet the set revenue targets sustainably.

b) Management of Public Debt by MoFPED

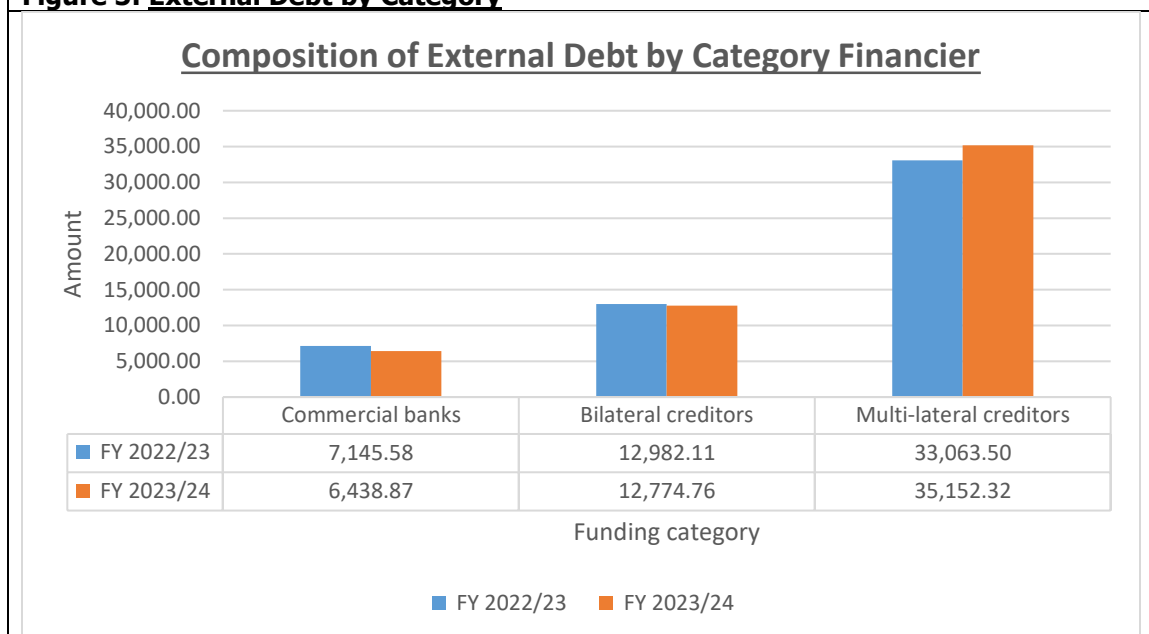
Uganda's external debt as at 30th June 2024, made up of Multilateral Creditors, Bilateral Creditors and Commercial Banks, increased by 2.21% in overall during the year. The national debt remained high at UGX.54.365Tn (FY 2023/24) from 53.19Tn (FY 2022/23).

The table and fig below illustrate;

Table 25: External Debt

Financier	FY 2022/23 UGX Bn	FY 2023/24 UGX Bn	% Change
Commercial banks	7,145.582	6,438.874	(9.89)
Bilateral creditors	12,982.109	12,774.758	(1.60)
Multi-lateral creditors	33,063.500	35,152.316	6.32
Total	53,191.191	54,365.948	2.21

Figure 5: External Debt by Category



Source: DMFAS

The increase in the country's external debt portfolio was majorly attributed to a significant rise in debt from Multilateral Creditors, which increased from UGX.33,063.5Bn to UGX.35,152.3Bn (6.32%).

It can also be noted that, debt from Commercial Banks reduced by 9.9%, dropping from UGX.7,145.582Bn to UGX.6,438.874Bn. Similarly, debt from Bilateral Creditors reduced from UGX.12,982.109Bn to UGX.12,774.758Bn in the FY 2023/24.

The continued increase in external debt could in the long run, strain Uganda's fiscal sustainability and limit resources available for domestic spending.

Management attributed the performance to the reduction in financing from bilateral creditors is primarily attributed to a shift away from concessional financing towards Export Credit Agency (ECA) financing, where bilateral creditors are increasingly opting to support their exporters.

Recommendation

I advised the MoFPED to review and enhance its medium-term debt management strategy to reduce reliance on debt and ensure sustainability as it embarks on implementation of the NDP IV.

c) **Management of Revenue collections from Telecom Companies by Uganda Revenue Authority - Assurance consultancy services for audit of Telecoms**

Uganda Revenue Authority on 31st May 2023 signed a contract with M/s Safaritech Limited Company incorporated in Kenya for the provision of Consultancy Services for the

Audit of Telecoms at a contract price of UGX.15.7Bn and an additional 5% revenue share of the new revenue recovered by URA from the audit and paid to URA.

The contract was expected to run for 18 months ending on 30th November 2024. The terms of reference included reliability and completeness of all revenues declared by the sector players; establishing the tax due, and knowledge transfer to 15 URA staff telecom Auditors. By September 2023, the entire contract amount had been paid.

A review of the contract implementation revealed the following;

1) **Evidence of delivery of Hardware and Software components**

UGX.11.4Bn equivalent to USD.3Mn (72%) was allocated to the procurement of hardware and software and URA had not verified whether the items were procured as per the terms of the contract. The contract indicated that the equipment would be handed over at the end of the contract. There is a risk that the equipment procured may not be appropriate and as such URA may receive inferior and unusable equipment at the end of the contract.

2) **Delays in the implementation of the consultancy**

The contract was expected to end by 30th November 2024, however, the vendor was still in the process of obtaining necessary information from Airtel Uganda, there were no reports or updates on audits of other telecoms, including Smart Telecom, Roke Telecom, Liquid Telecom, Lyca Mobile, among others. There was no evidence that knowledge transfer terms of reference had been delivered casting doubt on the sustainability of the intervention.

3) **Potential violation of the Data Protection provisions**

I observed that the consultancy is being conducted in Kenya and the data sets being transmitted include personal information that may be misused.

Recommendations

I advised the Uganda Revenue Authority to;

- Fast-track the delivery by ensuring that the telecom companies submit the required data sets to expedite the process.
- Institute robust monitoring of the consultancy to ensure expeditious delivery of the contract.
- Enhance the contract provisions to ensure data protection provisions are adhered to.

d) **Potential revenue loss arising from the misclassification of concentrates as pre-mixes by Uganda Revenue Authority**

According to the East African Community Customs Union common external tariff, Harmonized Commodity Description and Coding System (Version 2022) the animal premixes used in the manufacture of animal and poultry feeds are coded under

2309.90.10 and attract import duty of 0% per kilogram, while the other preparations of a kind used in animal feeding are coded under 2309.90.90 attracting the import duty of 10% per kilogram.

Generally, the pre-mixes are used in small amounts in poultry to provide critical micro-nutrients (vitamins, minerals) or additives needed for optimal health and productivity while animal concentrates focus on macro-nutrients (energy and protein) and make up a significant part of the poultry diet.

A review of the data extracted from ASYCUDA customs system relating to preparations of a kind used in animal feeding revealed the following;

- i) One thousand two (1202) instances involving imported consignments being regarded as animal premixes to be used in the manufacture of animal and poultry feeds and coded under customs code 2309.90.10 and attracting import duty of 0% per kilogram as opposed to being considered as concentrates (other preparations of a kind used in animal feeding) coded under customs 2309.90.90 attracting the import duty of 10% per kilogram.
- ii) The 372 importers were exempted from import duty and VAT on importation arising from the classification of animal concentrates as premixes resulting in a loss of Government Revenue.

Management explained that a new proposal has been made to the EAC Sectoral Council on Trade, Industry, Finance and Investment (SCTIFI) to provide clarity and harmonization of the provisions of the EAC Common External Tariff, but clarity has not been provided yet.

Recommendation

I advised the Commissioner General to continue engaging the EAC Sectoral Council on Trade, Industry, Finance and Investment to streamline the classification of animal feeds to avert the potential revenue loss to the Government. In addition, the above misclassification intended to avoid taxes should be investigated.

e) Delays in discharging tax disputes under the Tax Appeals Tribunal

I analysed the trend of cases under the Tax Appeals Tribunal and observed that whereas the tax appeal cases are increasing, the cases being handled have remained low, as indicated in the table below;

Table 26: Discharge of tax disputes over the years

SN	Tax Case Category	2021/22		2022/23		2023/24	
		No. of Cases	Amount (UGX 'Bn)	No of Cases	Amount (UGX 'Bn)	No of Cases	Amount (UGX 'Bn)
1	Ruled	85	289.36	19	5.615	30	45.35
2	Consented	95	404.42	91	45.90	95	155.57
3	Remitted	10	71.12	6	3.536	3	2.84

SN	Tax Case Category	2021/22		2022/23		2023/24	
		No. of Cases	Amount (UGX 'Bn)	No of Cases	Amount (UGX 'Bn)	No of Cases	Amount (UGX 'Bn)
4	Withdrawals	25	19.88	40	17.13	32	15.23
5	Pending	163	356.64	212	331.9	398	1,058.15
	TOTAL	378	1141.42	368	404.081	558	1,277.14

I noted that the appeal increased by 108% and the effective rate was 5.37% based on the ruling made by the tribunal.

Management attributed the performance to inadequate Tribunal Members who heard the case and the aggressive tax assessment regime. The current Tribunal members stand at 7.

Recommendations

I advised management of URA to;

- Engage the Minister responsible to increase the number of Tax Tribunals and to institute measures to reduce the number of case backlogs.
- Improve the effectiveness of the Alternative Dispute Resolution processes and enhance tax education to reduce the number of tax cases escalated to the Tax Tribunal.

f) Implementation of the PDMIS by the Ministry of Information, Communications Technology and National Guidance

During the year, I reviewed the Parish Development Management Information System (PDMIS) and noted that the PDMIS was required to cover seven pillars. At its full implementation, the system will have; the registration & data collection, Production, Processing and Marketing, Infrastructure, Financial inclusion module, Social Services, Community mobilization & mindset change, and Monitoring and Evaluation (M&E) modules.

The implementation started in FY 2021/22, with the Registration & data collection, Financial Inclusion, and Monitoring & Evaluation modules in the first phase.

A review of the system revealed the following;

- Out of 7 modules; 2 were fully implemented, 2 partially implemented, while 3 were not implemented and key objectives of the implemented modules were achieved.
- Out of the total 10,594, 9,366 (88.4%) PDM SACCOs had been onboarded onto the Wendi platform.
- UGX.41.7Bn had been disbursed through the PDMIS to beneficiaries, outside the Wendi Platform, contrary to the guidelines.

- iv) The Ministry of ICT is trying to interface Wendi platform with other existing core banking systems while the MoFPED is only integrating with Post Bank through the Wendi platform and all other Government and supervised financial institutions banks should utilize the Wendi platform from Post Bank.
- v) As at 28th November 2024, 174 out of 176 HLGs including KCCA were included on the system with a variance of 2 not included.

Management explained that the Pillar Manager at MoICT&NG explained that the pending activities had not been carried out due to insufficient funding and that management opted for a phased mode of implementation to sequentially have all the unimplemented modules accomplished.

Recommendation

The Ministry of MoICT&NG should engage the MoFPED and other stakeholders to secure funding for the full implementation and maintenance of the system.

2.1.14 Innovation, Technology Developments and Transfer Programmes

a) Regulation/Management of Research Activities

The Uganda National Council for Science and Technology (UNCST) is mandated to regulate Science, Technology and Innovation in the Country. Over the last seven (7) years, the government has invested UGX.732¹Bn in development of research infrastructure.

In the last three (3) years, Government has provided UGX.23.99Bn (27%) of the required UGX.88.3Bn to fund research related activities to supplement the infrastructure. This underfunding has affected the effectiveness of research regulation and oversight as highlighted below;

- i) The country currently has no National Science Innovation and Technology agenda and Technology transfer guidelines since expiry of the previous in 2018.
- ii) Some of the entities involved in research did not have the Research Ethics Committee (REC) to conduct continuous review of research projects. As a result, research conducted by these entities was not regulated.
- iii) Out of 2,592 registered and approved research protocols, UNCST only monitored 96 (3.8%) research protocols with compliance levels at only 20% on average.
- iv) Only 57% of the research actors did not have knowledge on the research clearance process in Uganda. Further, 66% did not have the capacity to successfully manage research projects due to limited sensitization.
- v) The various IT systems that support research were not yet integrated, which affected efficiency with which research data can be shared, kept, accessed and disseminated.

¹ NSTEI project. UGX.435Bn, Kiira motors UGX.223Bn, NEC-Kakooge UGX.74Bn

- vi) I further noted that UNCST deviated from its mandate of regulating research and procured 214 pieces of construction equipment worth UGX.148.2Bn for renting in May 2022. At the time of this report, 105 equipment worth UGX.72.45Bn were still parked and idle at the parking yard in Lyantonde, Namanve and Rwebitete.

As a result of the above challenges, research and innovation in the country is being undertaken in an uncoordinated manner and its regulation is not effective.

Recommendation

I advised MoFPED to prioritise funding for regulation of research and innovation in the country.

2.1.15 Tourism Development Programme

a) Backlogs in Uganda Wildlife Authority Cases resulting from conflict of wildlife and communities

Uganda wildlife Authority (UWA) has over 100 civil and criminal cases relating to attacks of wild animals on persons and communities around the national parks and conservation centres, as well as illegal activities by illegal entrants into the protected areas.

From the reviews of availed cases, I observed that some had been on ongoing for over 15 years.

There is an increased backlog of cases annually which may overstretch the entity's budget if not well managed. Long outstanding cases infringe on the individual and community rights.

The Accounting Officer explained that management continues to engage the relevant stakeholders, including the Principal Judge regarding long outstanding cases.

Recommendation

I advised the Accounting Officer of UWA to follow-up with the relevant stakeholders to clear the backlogs and compensate individuals and communities affected.

b) Delayed disbursements and lack of accountability for revenue shared with Local Governments by Uganda Wildlife Authority

Section 65 (4) of the UWA Act 2019, Act Cap 315, states that the Board shall authorize the Executive Director to pay twenty per cent of the park entry fees collected from wildlife protected area to the local Government of the area surrounding the wildlife protected area from which the fees were collected as a conditional grant. The aim of this arrangement is to manage the human wildlife conflicts and livelihood improvement of the communities surrounding the protected areas.

During the audit, I noted that the Executive Director had disbursed UGX.1.539Bn in respect of revenue sharing to 12 District Local Governments surrounding Queen Elizabeth area. However, the outstanding revenue share of 20% meant for disbursement

to the surrounding communities in National parks increased from UGX.7.444Bn to UGX.16.602Bn as at 30th June 2024.

Delayed disbursement of revenue share contravenes the law and denies the surrounding communities services. In addition, it may lead to erosion of community trust, increased poaching and other illegal activities around the parks and conservation centers, thereby affecting sustainability of tourism.

The Accounting Officer explained that in compliance with the Wildlife Act, the Revenue Sharing (RS) scheme and regulations, 2022, funds are released after receiving accountability for previous releases and approval of project proposals generated by community members. The undisbursed funds were due to lack of accountabilities.

Recommendation

I advise the Accounting Officer of UWA to establish a simplified community-based accountability framework to guide, monitor and enforce accountability to ensure compliance with the requirements of the law.

c) Failure to establish the Tourism Fund by the Uganda Tourism Board

Section 20 (1) and (2) of the Uganda Tourism Act, Cap 82 requires UTB to establish a Tourism Development Fund in a bank approved by the Minister of Tourism, where all income and monies of the Board shall be deposited.

To the contrary, I noted that the Fund had not yet been established by the Board and there was no verifiable effort to indicate a move towards that direction.

The failure to establish the Tourism Fund was attributed to management's laxity and undermines the furtherance of the objectives and functions of the Board as envisaged by the Tourism Act.

Management explained that the Ministry is in the process of revising the Tourism Legal Framework to provide a framework for the Tourism Fund.

Recommendation

I advised the Accounting Officer, in consultation with the relevant stakeholders, to expedite the setting up of a Tourism Fund to mobilise revenues for further developments in the Tourism Sector.

2.1.16 Digital Transformation Programme

a) Failure to Charge 2% Gross Annual Revenue for Registered Television Stations and FM Radio Stations by Uganda Communications Commission

The UCC New License framework on fees and fines under General Notice No. 977 of 2017 imposes a 2% levy on television and radio operators.

However, I noted that UCC has not enforced the payment of a 2% gross annual levy on the licensed Television and FM radio operators. As a result, none of the licensed Television and FM radio operators has been assessed and revenue collected.

Failure to collect a 2% Gross Annual Revenue levy from the operators deprives the Commission of revenue and realization of the objectives in the sector. It also scales back the amount of money received by the Consolidated Fund hence trimming the national resource envelope.

The Accounting Officer explained that the Broadcasters appealed the levy to the Minister of ICT and National Guidance and that the appeal has not yet been resolved. The Commission is currently reviewing the Communications Act and a proposal for a separate levy tier for broadcasters has been incorporated.

Recommendation

I advised the Accounting Officer to comply with the provisions of the law and institute a mechanism to levy a charge on the GAR of these operators.

b) Management of NBI/EGI by the National Information Technology Authority of Uganda

The Authority reported revenue from exchange transactions of UGX.24.223Bn. Some of the services the Authority offers include; a) Internet Bandwidth, b) NBI Leased capacity, c) Dark Fibre utilization, and d) Certification of IT services and product providers. The NBI/EGI commercialization contract provided for 50%: 50% sales revenue collected sharing between NITA-U and M/s Soliton Telmec Uganda Ltd. My review of the management of the NBI/EGI revealed the following;

- i) 366 sites without signed acceptance of Memoranda of Understanding and Service Level Agreements were allocated more bandwidth than the signed capacity. In addition, the signed capacity is what is billed and over-delivered bandwidth is not billed. This implies that the over-delivered bandwidth of 5,781 Mbps, which was valued at UGX.9.864Bn was not billed.
- ii) Out of the 719.47 Kilometers of dark fibre rolled out in the country, only 15% (108.67 Kilometres) of dark fibre service was provided to 6 MDAs compared to the 85% (610.8 kilometres) provided to 7 private customers.
- iii) 9 MDAs and LGs that had applied for accessing the NBI/EGI or upgrading their internet bandwidth had not been connected for periods as long as six months and others for more than one year.

The Accounting Officer explained that the challenge stems from the limited budgets allocated by the connected MDAs. These budgets are insufficient to adequately cater to the ideal bandwidth required to support their operations. He further explained that to mitigate this, NITA-U has continued to provide support to these MDAs by utilizing the available buffer capacity from the bulk Internet procured for the Government.

Recommendation

I advised the Accounting Officer to prioritize and maximize the utilization of NBI/EGI services by agencies as a way of promoting the digital transformation agenda of the Government and reducing revenue loss.

2.1.17 Sustainable Urbanisation and Housing Programme

a) Undercapitalization of the NHCCL

Sustainable Development Goal (SDG) 11 aims to make cities and human settlements inclusive, safe, resilient, and sustainable. The SDG emphasizes the urgent need for a comprehensive approach to urban housing crisis, including providing varied housing options and equitable access to basic services.

The National Housing and Construction Company Limited (NHCCL) is a key institution tasked with implementing housing development programs in the country. According to the NHCCL Strategic Plan, 2018 - 2022, the country has a national housing shortage estimated at 1.6 million housing units.

To produce mass and affordable housing, NHCCL resolved to capitalize the company to a tune of UGX.231.5Bn through a rights issue, in which the Government of Uganda (GoU) would contribute UGX.118Bn.

In the year under review, the government allocated only UGX.30Bn (25%) of the expected GoU contribution. As a result of the undercapitalization of the NHCCL, only 1,474 (2.12%) out of the planned 69,288 units were constructed during the strategic plan period.

Management stated that the matter of undercapitalization had been brought to the attention of Parliament which recommended budget provision. In addition, engagements with MoFPED were ongoing to secure the necessary funds for housing.

Recommendation

I advised the Accounting Officer to continue engaging the relevant stakeholders for increased funding to undertake housing projects to reduce housing shortage in the country.

2.1.18 Manufacturing Programme

a) Outdated Standards and Delayed Approval of standards by Uganda National Bureau of Standards

The National Standards Council is mandated by Section 15(1) of the UNBS Act CAP 210 to establish and declare specifications for any commodity or for the manufacture, production, processing, treatment or performance of any commodity to be a standard specification.

However, I noted 75 standards that had been presented to the Council for approval but have not been approved due to lack of Council. The Council was disbanded by the line minister during the year.

In addition, a review of the standards catalogue as of November 2024 revealed the existence of 1,139 standards that were due for renewal to meet the current operational environment. I noted that the outdated standards relate to the frequently used items such as Petroleum, petrochemical and natural gas industries - Lubrication, shaft-sealing and control-oil systems and auxiliaries, Insulated flasks, and Maize grain among others.

This could lead to sub-standard commodities being imported into the country since they do not have a mandatory standard to be tested against.

Recommendation

I advised the Accounting Officer to liaise with the Minister to ensure that the Council is constituted so that pending standards are approved and outdated quality standards reviewed.

2.2 Observations from other Compliance Areas

During the financial year, I conducted audits on other compliance areas whose summary findings are provided here.

2.2.1 Special Audit of the Pension and Gratuity Payroll

Introduction

In a letter dated 29th November 2022 and referenced HRM 155/222/02, the Hon. Minister of Finance, Planning and Economic Development requested the Auditor General to conduct a special audit on the Salary, gratuity and pension payroll management processes and provide recommendations for improvements.

Pursuant to Article 163 of the Constitution of the Republic of Uganda, 1995 (as amended) and Sections 13 and 22 of the National Audit Act (NAA) Cap 170, I undertook a special audit on the payroll for active staff in the 2023 Audit year and completed it. I commenced the pension and gratuity payroll under the Pensions Act, Cap 89 in the current audit year, 2024.

The overall objective of the special audit was to establish the effectiveness of pension and gratuity management processes and recommend remedial measures. The special audit covered a period from FY 2019/20 to 2023/24.

I carried out the Special audit in a total of 238 entities (comprised of 62 Ministries, Departments and Agencies (MDAs) and 176 Local Governments). The key findings arising from the special audit on the pension payroll and gratuity management are below:

2.2.1.1 Funding of Pension, Gratuity and Arrears

62 MDAs and 176 LGs had an initial approved pension, gratuity and arrears budget of UGX.3Tn for the period under review, and also obtained supplementary funds of UGX.170.422 Bn (MDAs) and 600.269 Bn (LGs) resulting in a revised budget of UGX.3.773 Tn out of which UGX.3.685 Tn (98%) was released resulting into a funding shortfall of UGX.0.088Tn (2%), as shown in table below;

Table 27: Budget and releases for the period

Particulars	FYs					Total
	2019/20	2020/21	2021/22	2022/23	2023/24	
	Amounts in UGX'Bn					
Total Initial Budget (A)	519.96	574.57	592.65	750.80	564.24	3,002.22
Total Supplementary (B)	64.24	75.10	45.10	218.72	367.53	770.69
Total Revised Budget (C)	584.21	649.67	632.17	969.52	931.77	3,772.92
Total Warrant/Release (D)	569.06	637.87	621.64	935.64	915.49	3,685.30
Amount not released (E=C-D)	15.14	11.79	10.52	33.88	16.28	87.62
Total %age performance (D/C) *100	97%	98%	98%	97%	98%	98%

Source: OAG Analysis

Funding shortfalls led to the accumulation of arrears. Over funding ties up funds which would have been used to deliver other public services.

The Accounting Officers attributed the shortfall to inadequate release of funds and overfunding to release of supplementary funds without the Accounting Officers' requests.

Recommendation

I advised the Ministry of Finance, Planning and Economic Development to ensure the release of funds in accordance with the appropriation. In addition, all supplementary budgets should be supported by appropriate requests to enhance accountability and responsibility as required by PFMA.

2.2.1.2 Absorption of pension and gratuity funds

Out of the total funds released of UGX.3.685Tn, UGX.1.405Tn to 62 MDAs and UGX.1.903Tn to 176 LGs was utilized resulting in un-utilized funds of UGX.0.38Tn. The under-absorption of released funds resulted in non-payment of pensioners and accumulation of arrears.

2.2.1.3 Diversion of pension and gratuity funds

Paragraph 10.4.1 of the Treasury Instructions, 2017 requires that in reviewing payment requests, an Accounting Officer shall have a primary responsibility of ensuring that there is no mischarge and diversion of funds through wrong coding of transactions. An Accounting Officer shall be held personally liable for any wrong charge accounts used for expenditure incurred by his or her vote.

I noted that 19 MDAs and 36 LGs diverted funds amounting to UGX.14.63Bn for pension and gratuity to other activities as summarized in table below;

Table 28: Funds diverted

Particulars	Number	2019/20	2020/21	2021/22	2022/23	2023/24	Total
MDAs	19	0.139	0.363	6.810	2.912	1.391	11.613
LGs	26	1.701	0.423	0.158	0.391	0.345	3.018
Total	55	1.840	0.786	6.968	3.303	1.735	14.630

The diversion of funds meant for pension and gratuity affects the livelihoods of the intended beneficiaries.

Recommendation

I advised Accounting Officers to comply with the budget controls. I also advised the PS/ST to cause the affected Accounting Officers to explain the anomaly and take appropriate action.

2.2.1.4 Misclassification of pension and gratuity expenditure

Section 7.10.3 of the Treasury Instructions 2017 stipulates that the chart of accounts provides a basis for a uniform budget classification and execution. Therefore, it is mandatory for all votes to use the coding structure to budget and execute the budget. By implication, the entities must charge expenditure to the appropriate code during budgeting and execution.

I noted that pension and gratuity funds for 29 MDAs and 126 LGs amounting to UGX.66.902Bn were charged on incorrect account codes of salary, pension, gratuity and salary/pension/gratuity arrears. Table below refers;

Table 29: Misclassified expenditure

Particulars	Number	Total (UGX)
MDAs	29	22,474,584,055
LGs	126	44,427,189,711
Total	155	66,901,773,766

Misclassification of funds distorts budget performance assessment and monitoring as well as misstates the financial statements.

Recommendation

The Accounting Officers should ensure that wage, pension and gratuity expenditure is charged on the appropriate codes or ensure appropriate authorisation.

2.2.1.5 Over payment of Gratuity

A re-computation of gratuity benefits for pensioners/beneficiaries in 19 MDAs and 115 LGs revealed an over payment of UGX.11.393Bn to 1,502 pensioners, as summarised in table below;

Table 30: Overpayment of gratuity

Particulars	Number of entities	Total number of pensioners / beneficiaries	Total recomputed gratuity (UGX'Bn)	Total gratuity paid (UGX'Bn)	Total gratuity overpaid (UGX'Bn)
MDAs	19	142	11.623	14.963	3.340
LGs	115	1,360	46.44	54.54	8.05
Total	134	1,502	58.063	69.503	11.39

The overpayments were because of wrong computations, system errors and in some instances intentional. A forensic investigation was carried out on some of the overpayments in Ministry of Water and Environment and a separate report issued to the Criminal Investigations Directorate of Uganda Police and the Inspector General of Government.

The overpaid amount to existing pensioners is recoverable, while for non-existing pensioners is a financial loss to Government.

Recommendations

I advised the Accounting Officers to;

- Recover the overpaid gratuity from existing pensioners by adjusting the monthly pension.
- Liaise with anti corruption agencies and conduct investigations into overpayments for non-existing pensioners and take appropriate action.

2.2.1.6 Gaps and inconsistencies in the Pension Act Cap 89

The pension Act, Cap 89 was a key document reviewed in undertaking the special audit on pension and gratuity payroll. I noted areas that require Government attention to enhance effectiveness of pension and gratuity management sustainably. These include;

a) Discrimination of Beneficiaries by Sex

Article 21 clause (1) of the Constitution of the Republic of Uganda provides that all persons are equal before and under the law in all spheres of political, economic, social and cultural life and in every other respect and shall enjoy equal protection of the law.

I reviewed the Pension Act Cap 89 provisions and observed areas that require review as indicated below;

- Section 16 (b) of the Pension Act Cap 89 as amended provides that pension is not assignable except by an order of any court for the payment of periodic sums of money towards the maintenance of the wife, former wife, or minor child of the officer to whom the pension, gratuity or other allowance has been granted. This provision is segregative and does not cater for the husband. It creates a scenario where the pension benefits for the husbands are assignable as per provisions but excludes the pension earned by the wives hence creating conflict originating

from gender among family members. The provision is inconsistent with the Constitution.

- Furthermore, Section 20 also makes mention of a widow as a beneficiary and a widower is not included, while Sections 10 and 17 (first schedule) provide for marriage gratuity which only includes women while men are excluded.

As indicated above, husbands are excluded from the beneficiaries rendering the provisions discriminatory contrary to the Constitution.

b) **Unharmonized Policies/ Laws on Beneficiaries to Estates**

I noted that the Pension Act Cap 89 under Sections 18, 19 and 20 refers to spouses, widows and children as the beneficiaries. However, Section 25 of the Succession Act Cap 268, provides that all property in an intestate estate devolves upon the personal representative of the deceased upon trust for those persons entitled to the property under this Act. In addition, Section 27 of the Succession Act further provides for the mechanisms of distribution of the deceased's property referring to spouse, lineal dependents, dependent relatives and the customary heir.

The intended beneficiaries under the Pension Act and The Succession Act vary. This may create conflict and lengthy adjudication for the intended beneficiaries to access the benefits of the deceased. The intention of the Pension Act was to benefit the widow and children whereas the Succession Act broadens it to cater for members mentioned in the Will or as specified in the Act in the case of intestacy.

The Accounting Officer of the Ministry of Public Service acknowledged the issues and explained that the Ministry is addressing discriminatory provisions through the Pensions Act Amendments under the "Public Service Pension Fund Bill, 2024," to make it more gender-responsive.

Recommendation

I advised the Ministry of Public Service to engage all the key stakeholders and expedite the enactment of the Public Service Pension Fund Bill 2024.

2.2.1.7 Lack of Policy Guidelines on payment of full pension

Section 30(1) of the Pension Act Cap 89 provides that any officer to whom a pension is granted under the Act may, at his or her option exercisable not later than the day immediately preceding the date of his or her retirement from the public service, or at such later date as the pensions authority may in any special case approve, be paid in lieu of such pension, a pension at the rate of two-thirds or any greater fraction of such pension together with a gratuity equal to fifteen times the amount of the reduction so made in the pension.

In addition, Section (L-D) paragraph 3 of the Public Standing Orders 2021 provides that a public officer has the option to receive all his or her pension as an annuity or to

commute a third (1/3) of his or her pension for a 15-year period and receive it as a lump sum at retirement.

From the above provisions, the pension entitlements covered a period of 15 years. The Government, in practice adopted a policy of paying benefits as 1/3 in commuted pension gratuity and the remaining 2/3 as reduced monthly pension running for 15 years. Whereas the assumption on limiting the age to the 75th anniversary was based on the life expectancy by the time, it has been observed that several pensioners have clocked and exceeded the 75th birthday and continued to be on the payroll. However, the Pension Act and regulations do not provide clear guidance on whether the pensioner continues receiving reduced pension amounts or the pensioner, upon clocking 75 years is entitled to revert to full pension.

As a result, different Accounting Officers have applied the above provisions differently. Some have maintained the reduced pension depriving some pensioners of their would-be full pension annuity, while on the contrary, several other Accounting Officers have provided full pension to those who have turned 75 years, leading to an increased pension burden on Government.

The Attorney General in a letter dated 02nd May 2023 and referenced CA No.40/2015 to the PS/ST advised that there was no provision in the Pensions Act which provided for full pension and therefore the pensioners were not entitled to full pensions.

I noted that despite the Attorney General's advice, there is still a practice of providing full pension to pensioners who had attained more than 15 years after retirement.

This practice of paying unauthorized full pension increases the pension burden on the Government.

Recommendation

I advised the Ministry of Public Service to liaise with the relevant authorities to provide policy guidance to all Accounting Officers in this regard. I also advised that the practice should be stopped in the meantime.

2.2.1.8 Guidance on the election of retirees to receive either CPG or Annuity

Section 30 (1) Pension Act Cap 89 states that any officer to whom a pension is granted under the Act may, at his or her option exercisable not later than the day immediately preceding the date of his or her retirement from the public service, or at such later date as the pensions authority may in any special case approve, be paid in lieu of such pension a pension at the rate of two-thirds or any greater fraction of such pension together with a gratuity equal to fifteen times the amount of the reduction so made in the pension.

In addition, Section (L-D) paragraph 3 of the Public Standing Orders 2021 provides that a public officer has the option to receive all his or her pension as an annuity or to

commute a third (1/3) of his or her pension for a 15-year period and receive it as a lump sum at retirement.

However, the PSF Form 18, used for mandatory retirement excludes an option for the retiree /pensioner to elect or to choose a pension annuity or commuted pension gratuity as required by law. Impliedly the Commuted Pension Gratuity was adopted as a policy and became compulsory for all pensioners contrary to the provisions of the Pension Act.

Recommendation

I advised the Ministry of Public Service to review the current Form in tandem with the provisions of the Pension Act or make amendments to the provisions of the Standing Orders 2021.

2.2.1.9 Pension Indexation

The Permanent Secretary MoPS in a letter dated 07th May 2024 and Ref. COM 096/153/01 Vol.13 clarified that regulation 5 of the Pensions Regulations provides a formula for calculating indexation from July 1988. This was provided to cater for currency devaluation, which covers July 1988 to December 2001. However, the regulation remained open since it did not specify the end date. This has been construed by many beneficiaries to mean wage indexation as well as Pension indexation. In the same letter, it indicates that the Attorney General guided the Pensions Authority to repeal Regulation 5 of the Pension Regulations since it is inconsistent with Article 254(2) of the Constitution. This repeal was subsequently approved by Cabinet.

The Circular Standing Instruction No.4 of 1994 issued by the Head of Civil Service led to Pension indexation to wage from 1994 to 2018. This was not authorized as changes were not part of the Pension Amendment Statute of 1994. This implies that some Accounting Officers may have indexed Pensions for the period indicated which was not covered by the scope.

Relatedly, it was further noted that the Circular Standing Instruction No.7 of 2018 introduced the pension Price indexation, and the Circular Letter dated August 2021 communicated pension adjustments for the FY 2019/2020 and FY 2020/2021.

The subsequent financial year was not indexed, hence the pension due was understated.

The Accounting Officer of the Ministry of Public Service explained that Pension and Gratuity remained under-funded, and the Ministry has recommended prioritization of the reform of the Public Service Pension Scheme to ensure it is fully funded and self-financing, and does not depend on the Treasury.

Recommendations

I advised the Ministry of Public Service to;

- Streamline pension indexation by expediting action to operationalize the Cabinet decision to fast-track repeal of Regulation 5.
- Annually compute the amount due resulting from Pension indexation and engage the Ministry of Finance to provide a budget to cater for that increase.

2.2.1.10 Management of UTL case-implications

During the verification of the terminal benefits/ pensions of former employees of Uganda Posts and Telecommunications Corporation (UPTC), which were done in accordance with the orders of the Court of Appeal in respect to Civil Appeal No. 230 of 2013 and No. 10 of 2014 and Civil Suit No. 135 of 2003, I observed that there were 9 employees who had crossed from Uganda Posts and Telecommunications Corporation to Uganda Telecom Limited (UTL) and served 3 years before their retirement. In that judgement, it was decided that the Public Enterprise Reform and Divestiture Act Cap 78 Section 31 protects the employee contracts and as such;

- There was a continuation of service when the employees transferred their services from UPTC to Uganda Telecom Ltd.
- The figure used in determining the last pay was the last pay in UTL which was not pensionable emoluments.

It is worth noting that this ruling was not appealed. This implies all employees who transfer services from the Pensionable Service to other Government service without a break in service, may use their last pay in the new employment in the computation of the gratuity and pension.

Recommendation

The impact of this ruling requires scrutiny and policy guidance by the Attorney General, especially for those employees who retired under the Public Enterprise Reform and Divestiture Act Cap 78 to ensure sustainability.

2.2.1.11 Long outstanding unpaid pensioners

During the Audit, I noted over 5,649 pensioners who had not accessed the payroll of which some had taken over 20 years as summarized in the table below;

Table 31: Pensioners who had not yet accessed the payroll

Period	1-5 Years	6-10 years	11-15 years	15-20 years	Above 20 years	Total
No. of pensioners	2,878	972	700	549	550	5,649

I also observed that some people retire and join the pension payroll immediately as required.

This may be attributed to the lack of a proper database of retired employees by the respective organizations, insufficient funding and prioritization of pension payments to those who can follow up.

As a result, some pensioners have remained unpaid despite having served a qualifying service period or met the conditions under the Pensions Act. This has caused anguish and suffering for pensioners, and some have died without enjoying their pension benefits.

Recommendation

I advised the Accounting Officers to institute measures to ensure that all pensioners are promptly paid as required.

2.2.1.12 Un-updated records for former employees

During the audit, I noted that there was poor record-keeping of pensioners' files in 236 LGs and MDAs. Some files lacked key information relating to appointments, confirmation and promotions among others. Where the pensioner had a break in service, it was not properly documented, and the transfer of service file was incomplete.

In addition, the files had gathered dust and may not be kept for a long time as required by the Ministry of Public Service which requires such files to be kept permanently.

This was partly attributed to a lack of appropriate Records Officers, lack of storage space and generally not prioritizing record keeping. This may have resulted in some pensioners not timely accessing the pension payroll which undermines the rights of the pensioners.

Recommendation

I advised the Ministry of Public Service to institute measures to ensure that all records are uploaded in the records management systems and the systems integrated with HCM and other critical systems to ensure completeness and regular update of pension data.

2.2.1.13 Sustainability considerations in pension management a) **Sustainability of Early Retirement**

Section 10(1) (e) of the Pension Act Cap 89 provides that on medical evidence, to the satisfaction of the pension's authority, that he or she is incapable because of any infirmity of mind or body of discharging the duties of his or her office and that the infirmity is likely to be permanent. Section 10(2) of the same Act states that a pension, gratuity or other allowance shall be paid to an officer who retires on the attainment of the age of forty-five years if he or she has served for a continuous period of ten years or more. Section 28 of the Pension Act Cap 89 provides that if an officer holding a pensionable office retires from public service in consequence of the abolition of his or her office or for the purpose of facilitating improvement in the organization or the department to which he or she belongs is entitled to a pension from the date of abolition of office.

As indicated in the above provisions, a person who retires at 45 years and below becomes pensionable till death. This implies that a person who retires and subsequently engages in gainful employment continues to access pension till death.

Relatedly, with improved living conditions, life expectancy has generally improved. Out of the provisional 64,275 validated pensioners, there are 10,641 (16.6%) pensioners who are above 75 years of which 30 are above 100 years. Therefore, a pensioner who retired at 45 years and has lived up to 75 years would have received pension payments for 30 years. Additionally, there are 7,466 (11.6%) pensioners who retired early as per provisional validation results.

This may become unsustainable as the conditions of living and life expectancy improve. This may accumulate pressure on Government resources and excessively increase the pension bill and in the long run, affect the implementation of other Government activities since the funds will be committed to paying pension.

The Accounting Officer explained that Early retirement from the Public Service is permitted by law governing employment in the Public Service and it is employees' constitutional rights and freedoms to seek employment or exit from service. I concurred with the assertion but noted that if there are no reforms in this area, pension management will remain unsustainable.

Recommendation

I advised the MoPS that policies on early retirement should be reviewed and new reforms introduced to ensure sustainability.

b) Cost implications of enhanced pay for science employees

Following the Government's decision to increase salaries for scientists, their salaries were subsequently increased accordingly. This move was aimed at attracting and retaining critical talents, as well as the importance of science and innovation, in driving the country's development.

However, I did not obtain evidence that there was a comprehensive analysis of the cost implication of the increased wages and the resultant exponential increment in the pension liability.

In addition, it has been observed that some science employees who had served and qualified for early retirement had since retired, as a result of the increase. In essence, the increase appears to have become an incentive for early retirement. I further analysed two (2) salary scales of an Officer and a Commissioner for Science and Arts who had served for 30 years (360 months) to determine the effect of the increase in the salaries on pension and gratuity and observed the following;

i) Scenario One

I compared the position of Education Officer (Teacher) for science (U4-PTEACHSC) and non-science (U4-PTEACHLWR) payments to determine the effect on their retirement benefits. I noted that an officer with science qualifications earns UGX.4,000,000 whereas an arts Teacher earns UGX.1,078,162. The following was observed;

- a) The science teacher will get UGX.172,800,000, while the Arts teacher will get UGX.46,576,598 as gratuity payments at the end of service.
- b) The science teacher will get UGX.1,920,000, while the Arts teacher will get UGX.517,518 as a monthly Reduced pension.
- c) The reduced monthly pension of a science teacher of UGX.1,920,000 is more than twice the net pay of a serving Arts teacher of the same scale.

ii) **Scenario Two**

Relatedly, I compared the Position of a Commissioner for Science (U1SE-1 SC) and non-science (U1SE-1), payments to determine the effect on their retirement benefits. I noted that an officer with science qualifications earns UGX.10,622,398, whereas one with arts qualifications earns UGX.1,859,451. I noted the following;

- a) The science officer will get UGX.462,711,657, while the Arts officer will get UGX.80,774,551 as gratuity payments at the end of service.
- b) The science officer will get UGX.5,141,241, while the Arts officer will get UGX.897,495 as a monthly Reduced pension.
- c) The Reduced monthly pension of a science officer of UGX.5,141,241 is more than thrice the net pay of a serving Arts officer of the same scale.

If the discrepancies are not addressed and managed, the increment for science officers may be an incentive for early retirement, create disharmony within public service and the Pension liability may not be sustainable.

Recommendation

There is need for Government to conduct a study to review the salary schemes alongside the terms and conditions of service for in-service officers and inform the pension reforms to ensure sustainability.

2.2.1.14 Delays in Public Service Pension Reforms

The Public Service has been in the process of introducing reforms in the pension sector. The Public Service Pensions Fund Bill, 2023 was introduced on 14th March 2023 and aimed at implementing a mandatory contribution system for public servants' pensions. However, the bill underwent significant changes during the committee review, prompting the decision to withdraw it.

Under the proposed legislation, every public servant would be required to contribute five per cent of their gross salary to the pension fund each month, while the Government's contribution would be reduced to 10 per cent of the employee's gross salary. This reform will ensure sustainability of Pension management in the public service and provide funds for investment.

However, the process has been delayed. The delays in the process retards efforts aimed at providing a solution to the escalating Government pension liability.

Recommendation

I advised the Ministry of Public Service to continue to engage all stakeholders to fast-track the reforms.

2.2.1.15 Implementation of the Administration of the Judiciary Act Cap 4

Following the enactment of the Administration of the Judiciary Act, Cap 4 and subsequent implementation of the provisions therein, several reforms have been introduced including reforms relating to staff rules and pay structure including retirement benefits.

The new reforms;

- a) Redefined a Judicial Officer to include all personnel involved in the dispensation of justice. Previously, it included Judges of the High Court and above;
- b) The pensionable emoluments of the Judicial staff were reviewed and enhanced; and
- c) Redefined the CPG and Pension computation in accordance with the Judicial Act Cap 4.

However, the impact of the enhanced pensionable emoluments on the computation of gratuity and pension appears not to have been assessed. The impact includes;

- i) The new pension re-computation does not consider the length of service. This implies that a Judicial Officer who has served for 40 years and one who has served for 10 years will earn the same monthly pension contrary to the principles of equity.
- ii) Review of the already retired Judicial Officers' pension and gratuity based on the enhanced emoluments.
- iii) The enhanced pensionable emoluments exponentially increased the pension liability.
- iv) Expansion of the Court system to improve access to the Court services to deliver Justice implies recruiting more staff and increasing the number of Judicial Staff.

The re-definition of Judicial Officers, enhanced emoluments, and the choice of retirement scheme to Pension scheme increases the Pension liability exponentially.

I analysed the Judicial salary pay structure before and after the salary enhancement, assuming a period of service of 36 years and observed that the increment of the pension ranges from 39% - 234%.

The Accounting Officer of the Ministry of Public Service concurred with the observation and explained that the revision has created a precedence which other services such as Uganda Peoples Defence Forces is advocating for, and that there is need for urgent intervention by Cabinet and Parliament to address the identified issues.

Recommendation

I advised the MoPS to undertake a comprehensive study on the sustainability of the reforms, specifically on the retirement benefits for the Judicial Officers and take appropriate action.

2.2.1.16 Analysis of increase of Pension up to year 2034

In my last year's report on the validation of public service employees, I established that there were 356,602 employees who were verified on the active payroll. An analysis of this payroll was conducted to establish the number of staff who will be retiring in the next 10 years and computed the expected cost of pension and gratuity. The analysis was to project the additional pension and gratuity costs that will be required.

From the analysis, the number of people retiring will increase by an average of 12% annually, for the next 10 years. It is projected that by the end of FY 2033/34, the pension bill will increase by UGX.4.6Tn, from the FY 2023/24 budgeted annual pension bill of UGX.1.2Tn. The projection excludes Uganda Peoples Defence Forces (UPDF). The trend may not be sustainable if pension reforms are not fast-tracked.

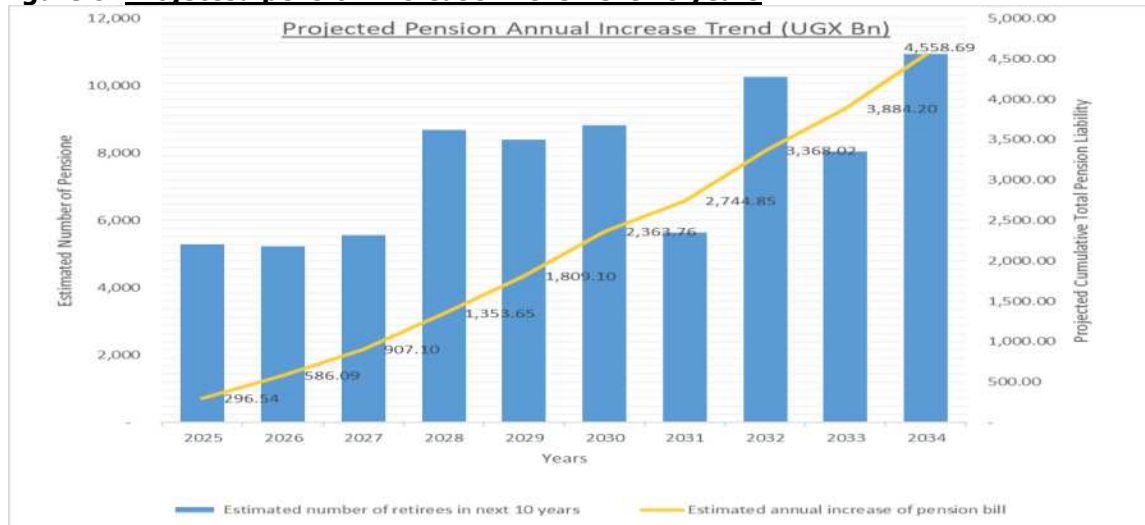
The analysis revealed that 77,116 employees were slated for retirement within the next 10 years as shown in the table below;

Table 32: Employees expected to retire in the next 10 years

Sn	Year of Retirement	Estimated number of retirees per year	Estimated total annual increase of the pension bill (UGX Bn)	Projected cumulative total pension liability (UGX Bn)
1	2025	5,310	296.54	296.54
2	2026	5,256	289.56	586.09
3	2027	5,588	321.01	907.10
4	2028	8,708	446.55	1,353.65
5	2029	8,425	455.45	1,809.10
6	2030	8,850	554.65	2,363.76
7	2031	5,668	381.09	2,744.85
8	2032	10,287	623.17	3,368.02
9	2033	8,066	516.19	3,884.20
10	2034	10,958	674.49	4,558.69
Total		77,116	4,558.7	

OAG analysis

Figure 6: Projected pension increase in the next 10 years



If the exponential increase in the pension bill is not managed, it will become unsustainable and create a strain on national resources.

The Accounting Officer concurred with the observation and noted the findings are consistent with the actuarial valuation of the Public Service Pension Scheme by Zamara Actuaries, Administrators & Consultants Ltd in 2022.

Recommendation

I advised the Ministry of Public Service to engage all relevant stakeholders to fast-track the pension reforms to ensure sustainability.

2.2.1.17 The Information System (IS) audit of the Human Capital Management System (HCMS) Pension Management

Reference is made to the earlier HCMS Information Systems audit which was conducted and a report issued in 2023. A number of issues were raised relating to pension payroll management. During the current audit, the following specific issues in regard to Pension, have been established to still be outstanding;

a) Weaknesses in the implementation of Wage Budgetary Controls

I identified weaknesses in the wage budgetary controls within the HCMS, particularly in the Establishment Management Control module. Despite the system's capability to manage wage and structure data, budget estimates for wages, pensions, and gratuities were prepared outside the system.

This was due to delays in integrating HCMS with the Programme Budgeting System (PBS), the continued operation of parallel systems (IPPS and HCMS), and direct wage payments through IFMS outside payroll management.

Recommendations

I advised the Ministry of Public Service to;

- Enforce strict timelines for migrating all entities to a single payroll management system.
- Expedite the full implementation of HCMS.
- Enhance system interfaces for seamless data flow.
- Strengthen monitoring and enforcement of compliance with HCMS controls.

b) Incomplete Integration of HCMS and IFMS

The audit revealed that the integration between HCMS and IFMS is incomplete. Although HCMS sends invoice files to IFMS, the processed payment information is not relayed back to HCMS, resulting in one-way data sharing.

This limitation hinders the generation of payroll reconciliation reports.

Management attributed the delay to the recent upgrade of IFMS and noted that full integration is still pending. The Accounting Officer indicated that the full integration and functionality enhancement is anticipated to be completed by 31st December 2024.

Recommendation

I advised the Ministry of Public Service to continue with the initiative and ensure completion of a two-way integration between HCMS and IFMS to facilitate accurate payroll reconciliation.

c) Failure to update records of deceased civil servants on HCMS

I established that the integration between NIRA and HCMS, as outlined in a 2018 MOU, had been implemented. However, records of deceased civil servants are not automatically updated leading to inaccuracies in employee data.

The failure to promptly update records of deceased civil servants may lead to delayed deletion and continued salary/pension payments. This could result in financial loss to Government.

Recommendation

I advised the Ministry of Public Service to engage NIRA and other stakeholders to enhance the integration between NIRA systems and HCMS, particularly for updating records of deceased Government employees.

d) Delayed Deactivation of IPPS user accounts of retired officers

Section 4.1.5 of the Ministry of Public Service Information Security Guideline of February 2023 in summary states that IPPS information systems must possess tools to store and

monitor security breaches, failures, and inappropriate system usage. They should maintain audit logs containing specific data like user IDs, login/logout times, terminal details, and successful/unsuccessful system and data access attempts.

Contrary to the above provision, I reviewed transaction logs on the IPPS and noted cases of user accounts of retired officers that were not deactivated immediately at the point of retirement. Further, some of these accounts of retired officers were used to make changes/approvals on the payroll after the date of retirement of the users.

Failure to deactivate accounts of users on the system can lead to fraudulent transactions approved through accounts of the retired officers.

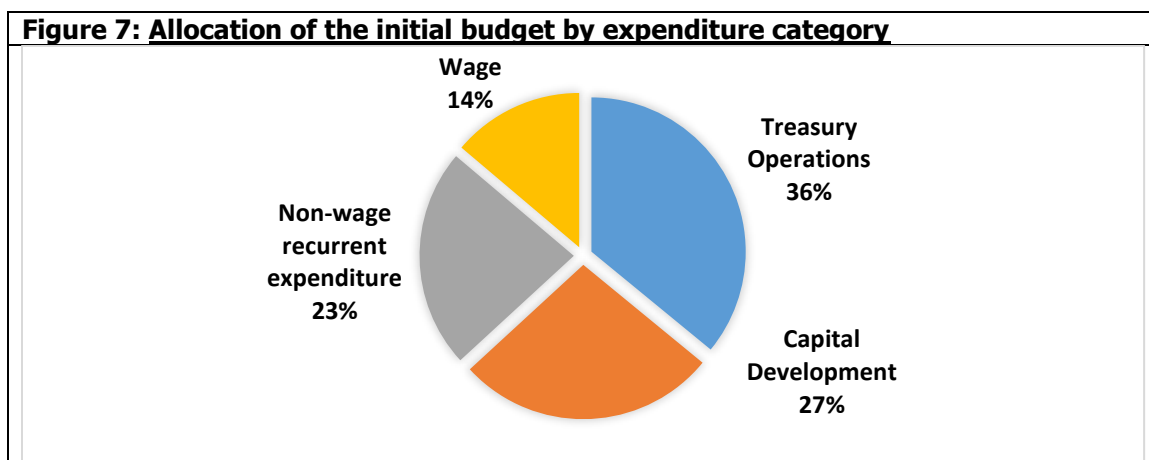
Recommendation

I advised the Ministry of Public Service to ensure prompt deactivation of accounts of users on the IPPS/HCM upon retirement.

2.2.2 Performance of the Approved Budget

Introduction

Parliament appropriated an initial revenue and expenditure budget of UGX.52.737Tn for the financial year 2023/2024. The expenditure budget was to be spent as follows; UGX.18.951Tn (36%) on Treasury operations, UGX.14.356Tn (27%) on capital development, UGX.12.138Tn (23%) on non-wage recurrent expenditure, and UGX.7.289Tn (14%) on wage, as shown in the fig below;



Source: OAG analysis of the FY 2023/2024 budget

The expenditure budget was revised through a supplementary appropriation of UGX.8.932Tn to UGX.61.669Tn. Out of UGX.61.669Tn, a sum of UGX.55.179Tn² was allocated to Central Government Votes and the balance of UGX.6.490Tn³ was allocated

² This figure include financing to MDAs and project financing

³ This figure includes financing to LGs and AIA for LGs

to the Local Governments. However, the revenue budget was only revised by UGX.3.510Tn to UGX.56.247Tn.

The following observations were made from my review of the performance of the budget.

2.2.2.1 Revenues, expenditure and implementation of activities

- i) Government had a total revised revenue budget of UGX.56.247Tn however UGX.47.110Tn (84%) was realized resulting in a revenue shortfall of UGX.9.137Tn. This affected the ability of the Government to finance the implementation of planned activities and negatively affects the credibility of the Government budget.
- ii) The government had a total revised expenditure budget of UGX.61.669Tn out of which UGX.50.172Tn was warranted resulting in an unfunded budget of UGX.11.498Tn representing 18.64% underperformance.
- iii) Out of the total availed warrants of UGX.50.172Tn, Government only spent UGX.48.68Tn leaving a balance of UGX.1.492Tn as unutilized warrants representing 3% underperformance. This was attributed to: insufficient funds on the Consolidated Fund account, cancelled invoices, unimplemented activities by MDAs and LGs as well as late releases among others.

The failure to fully fund the revised budget and underutilization of warrants affected implementation of planned activities.

Recommendation

I advised MoFPED to put in place strategies to ensure that the budget is funded as appropriated and all planned activities implemented.

2.2.2.2 Planned activities and service delivery by MDAs and LGs

- i) I sampled 1,028 outputs with a total expenditure of UGX.6.832Tn from a sample 98 MDAs to assess the extent of implementation of planned activities. Out of the 1,028 outputs, 485 (47%) outputs worth UGX.2.658Tn were fully implemented, 520 outputs (51%) worth UGX.4.076Tn were partially implemented, while 23 (2%) outputs worth UGX.97Bn were not implemented at all.
- ii) Similarly, I assessed the extent of implementation of a sample of 1,433 outputs worth UGX.1.602Tn in 133 LGs and noted that 991 (69%) outputs worth UGX.729.30Bn were fully implemented, 400 (28%) outputs worth UGX.873.18Bn were partially implemented while 42 (3%) outputs were not implemented.
- iii) I analysed a sample of 183 activities worth UGX.1.337Tn in 31 MDAs to assess if there was adequate service delivery to the citizens from the activities that were implemented and noted that; 138 activities worth UGX.1.290Tn had delayed and were therefore behind schedule, 17 activities worth UGX.25.205Bn had quality

deficiencies while 25 activities worth UGX.21.439Bn were completed but were not functional.

- iv) Similarly, 45 projects worth UGX.52.39Bn in 32 LGs were not completed within the expected contract duration and were behind schedule by between two (2) and 32 months which resulted in delayed service delivery. Construction projects worth in four (4) LGs worth UGX.3.96Bn were completed but not in use.
- v) Twenty (20) LGs had a total supplementary funding of UGX.164.5Bn however, out of this, only UGX.119.17Bn was approved by the respective District/City/Municipal Councils as required by the regulations, implying that the balance of UGX.45.33Bn was not approved.
- vi) Thirty-eight (38) LGs received total supplementary funding of UGX.233.94Bn out of which UGX.131.08Bn (56%) was not requested for by the respective Accounting Officers.
- vii) Twenty-six (26) LGs did not utilize all the supplementary funds received. Out of the supplementary funds of UGX.243.94Bn received, only UGX.191.10Bn (78%) was utilized leaving UGX.52.83Bn un-utilized as at the end of the financial year

The failure to fully implement planned activities was due to repurposing of funds, delayed procurements, weaknesses in contract management, delayed funding, among others.

This affected the achievement of government budget priorities and service delivery to the citizens. In addition, anomalies in the management of the supplementary budgets distorts budget execution and affects credibility of the budget.

Recommendation

I advised the Accounting Officers to enhance contract supervision and ensure that procurements are undertaken in a timely manner. Further the Accounting Officers were advised to adhere to the regulations regarding management of supplementary funds.

2.2.2.3 Performance of sample projects

- i) I compared the total cumulative disbursements for a sample of 46 projects against the planned disbursements and noted that out of the expected disbursement of UGX.11.837Tn, a total of UGX.7.285Tn (62%) had been disbursed resulting in under-disbursement of UGX.4.551Tn.
- ii) Out of the 46 sampled projects, 31 projects expected to receive GoU counterpart funding amounting to UGX.1.22Tn to support project implementation. However, only UGX.947Bn (78%) had been disbursed resulting in undisbursed counterpart funding of UGX.282.34Bn representing 22% under-performance.

- iii) I assessed the extent of implementation of a sample of 428 project activities worth UGX.6.49Tn and observed that 137 (32%) activities worth UGX.2.411Tn were fully implemented, 109 (25%) activities worth UGX.3.56Tn were partially implemented while 182 (43%) activities worth UGX.522Bn were not implemented at all.
- iv) I analyzed a sample of 135 project activities worth UGX.1.592Tn to assess if the activities were implemented in a timely manner, were of acceptable quality and if the completed facilities/structures were functional. I noted that 120 activities/facilities worth UGX.1.544Tn had delayed and were behind schedule, 11 facilities worth UGX.44.753Bn were completed but were not functional, while four (04) facilities worth UGX.3.603Bn had quality deficiencies which affected their utilization and service delivery.

The above shortcomings were caused by, inadequate project preparedness, delayed compensation of PAPs, repurposing of funds, weaknesses in contract supervision, delayed commencement of projects, inadequate capacity of contractors, delayed handover of sites, delayed recruitment of the required caliber of staff among others.

Failure to deliver expected services to beneficiaries negates the purpose for which project funds were borrowed and negatively affects achievement of project objectives.

Recommendation

I advised MoFPED to ensure that funding is only provided to projects that are ready, enhance contract supervision and monitoring, ensure timely compensation of PAPs and implementation of other project activities.

2.2.2.4 Programmatic approach to planning and budgeting

The government took a decision to undertake planning and budgeting using the programmatic approach. Over the last four (4) years, some milestones were achieved towards the full transition from the sector approach to programmes. I, however, observed that the following challenges still exist which will continue to affect the full adoption of the approach if not addressed.

- i) Failure to implement proposed programme specific reforms. At the time of this report, NPA had proposed 24 programme specific reforms out of which only one (1) had been fully implemented, three (3) were partially implemented while 20 reforms were not implemented at all by the programme heads.
- ii) The Public Finance Management Act, Cap 171, is yet to be revised to align it to the programmatic approach. This means that entity budget framework papers (BFPs) are still presented to and reviewed by sectoral committees of Parliament. Further, programme secretariats are currently not included in the approval of the entity BFPs.

- iii) Entities continue to submit requests for supplementary funding to the Minister of Finance without going through the Programme secretariats. This contradicts the principle of having programme resources allocated by the programme secretariats and distorts implementation of the programme budgets.
- iv) Planners in a number of entities were yet to fully conceptualize the programmatic approach to planning and budgeting. This continues to affect the proper alignment of entity work plans and budgets to the programme PIAPs.

Recommendation

I advised MoFPED to address the above short comings to ensure full adoption of the programmatic approach to planning and budgeting.

I have issued a separate detailed audit report on Budget Performance.

2.2.3 MANAGEMENT OF THE PARISH DEVELOPMENT MODEL

Introduction

The Parish Development Model (PDM) is a strategy for service delivery by the Government of Uganda to improve the incomes and welfare of all Ugandans at the household level by transforming 39% of households from a subsistence economy to a money economy as approved by Parliament. According to the PDM Policy Framework 2022, the outcomes of the strategy will be measured in the FY 2024/2025 at the closure of the NDP III.

The strategy is implemented under seven (7) pillars, and the primary pillar is the "Agriculture Value Chain Development (Production, Storage, Processing, and Marketing)". The other six pillars which support the primary pillar include: Infrastructure and Economic Services; Financial Inclusion (FI); Social Services; Community Mobilization and Mind-set Change; Parish Development Management Information System (PDMIS); and Governance and Administration.

In the FY 2023/2024, Parliament appropriated UGX.1,097.633Bn for the PDM Programme, of which UGX.1,059.4Bn was for the Parish Revolving Fund (PRF) to finance 10,594 PDM SACCOs in 176 LGs and Kampala Capital City Authority (KCCA). Each SACCO is supposed to receive UGX.100Mn in a financial year to develop and implement viable community led income generating enterprises. In addition, a sum of UGX.38.233Bn was appropriated to specific entities to support implementation of the programme as indicated in the table below;

Table 33: Total Budgets, Releases and Expenditure for PDM for FY 2023/24

Vote	Vote Name	Activity	Budget (UGX 'Bn)	Release (UGX 'Bn)	Expenditure (UGX 'Bn)
008	LGs (PRF – MoFPED)	• Revolving Fund	1,059.400	1,059.400	1,058.750
	Sub-total		1,059.400	1,059.400	1,058.750
008	MoFPED	• PDM loan Processing and Parish Chiefs	17.997	17.997	17.618

Vote	Vote Name	Activity	Budget (UGX 'Bn)	Release (UGX 'Bn)	Expenditure (UGX 'Bn)
		bicycle and rent of offices.			
011	MoLG	• PDM Secretariat and support to coordination	12.317	12.317	11.986
020	MoICT&NG	• IT Support to PDM (<i>Equipment and operations</i>)	4.481	4.392	4.392
143	UBOS	• PDM Services (<i>Data collection and validation</i>)	1.900	1.900	1.900
122	KCCA	• Administration	1.538	1.538	1.538
	Sub-total		38.233	38.144	37.434
	Grand Total		1,097.633	1,097.544	1,096.184

With the exception of Pillar 3, which is funded separately under MoFPED for direct disbursement of Parish Revolving Fund (PRF) to PDM SACCOs, the other pillars are funded under existing government institutional arrangements where MDAs and LGs must align their plans, interventions and budgets for implementation of the PDM.

In the FYs 2021/2022 and 2022/23, I carried out an assessment on government's preparedness and implementation of PDM Strategy, respectively.

In the period under review, I designed audit procedures to;

- Establish whether MDA&LGs' planning and budgeting processes are aligned to the implementation of the PDM strategy,
- Assess whether the Pillar 3 - Financial Inclusion Pillar has been implemented in accordance with the PDM policy and guidelines,
- Assess whether all the 7 modules of the PDMIS have been implemented in accordance with the requirements of the PDM policy and guidelines,
- Assess the monitoring and evaluation framework of the PDM, and
- Follow-up on Government's institutional arrangements necessary for implementation of the PDM and their functionality.

The following positive observations were noted;

- i) All the approved budget of UGX.1,059.40Bn for PRF for disbursement to the planned 10,594 PDM SACCOs was realized and UGX.1,058.37Bn (99.9%) was transferred to PDM SACCOs.
- ii) Enterprise specific trainings by local Subject Matter Specialists/experts were carried out for most of the SACCOs.

I noted the following key observations as areas of improvement;

2.2.3.1 **Planning and Budgeting**

Paragraph 6.4 of Parish Development Model (PDM) policy framework, March 2022 on the financing strategy requires all Ministries, Departments, Agencies and Local Governments (MDALGs), to align their plans, interventions and budgets to the implementation of the PDM to be funded under the existing arrangements.

I reviewed the approved work plans and budgets of 176 LGs, KCCA and 25 participating MDAs and noted the following;

a) **Alignment of MDA Work Plans and Budgets to the PDM**

A comparison of the PDM Working Group Activity Implementation Action Plans with the 25 MDAs' approved budgets and work plans revealed that;

- Six (6) out of the seven (7) Pillar Working Groups did not have approved pillar implementation action plans. Only the Infrastructure and economic services Pillar had an action plan.
- Twenty-five (25) participating MDAs did not align their work plans to the pillar action plans. This made it difficult for the 25 participating MDAs to align their budgets and work plans to the PDM. The summary in the table below refers;

Table 34: Alignment of work plans to the Pillar action plans

SN	Pillar	Lead entity responsible	Participating Sectors
1.	Agriculture value chain development	MAAIF with MoTIC as co-chair	MoTIC, MoTWA, MoFA, MoLHUD, NPA, OPM, MoLG, MoWE, and MEMD
2.	Financial inclusion	MoFPED with MoTIC as co-chair	MAAIF, OPM, NPA, OWC, MoLG, ICT, Internal Affairs and Min of Presidency
3.	Social services	MOES (lead), MOH (co-chair)	MoWE, MoLHUD, MoPS, OPM, Gender, MoLG, OWC, Internal Affairs and Min of Presidency
4.	Community mobilization and mind-set change	MGLSD	ICT, MoLG, OWC, OPM, MoFPED, MoIA and OP
5.	Parish-based Management Information System (PBIS)	ICT	UBoS, MoDA, Security, OPM, MAAIF, NPA, OWC, MoLG, Internal Affairs and Min of Presidency
6.	Governance and administration	MOLG MoPS – co-chair	MoFPED, MoKCCMA, Local Gov Association, IGG, OP.

Source: OAG review of PDM Operational Guidelines

- Pillar 2 Working Group implementation action plan existed but not all the targets were quantified and costed. This made it difficult for the ten (10) participating MDAs to align their budgets and work plans to the Working Group action plan for effective implementation of the PDM.

Failure to align the MDA budgets and work plans to the PDM hinders the achievement of pillar objectives.

The Accounting Officers promised to align the MDA budgets and work plans with the PDM action plans after undertaking training and capacity building of their staff.

Recommendations

- The Accounting Officers of the Pillar Lead Entity Working Groups should ensure that the pillar working group implementation action plans are prepared and the MDA work plans and budgets are aligned to these action plans.
- The PDM Secretariat should sensitize MDAs and LGs on the bottom-up approach of identification of PDM priorities to ensure alignment to the PDM.

b) Alignments of the LG Work Plans and Budgets to the PDM

Paragraph 1.7 of the Users Handbook for the Parish Revolving Fund (PRF) under PDM Pillar 3 - Financial Inclusion (Version: October 2022) requires all LGs through their respective Core Implementation Teams, to align their plans, interventions and budgets to the implementation of the PDM. In addition, Paragraph 3.4 of the Implementation Guidelines for PDM, 2021 requires PDCs to identify and prioritize social services needed at parish level and share them for approval and consolidation at the Sub County and district levels.

I analyzed the process of identification of parish/wards priorities in 115 LGs out of 139 sampled LGs and noted that out of 5,865 parishes/wards, 5,099 did not provide evidence for the identification of priorities and only 169 provided evidence using the format prescribed in Annex 1 of the Guidelines for onward submission to the divisions/Sub-counties and Municipal Council/District.

Failure to identify priorities from the parishes/wards hinders LGs from aligning their budgets and work plans to PDM activities thus affecting the achievement of the PDM objective of improving the incomes and welfare of all Ugandans at the household level.

The Accounting Officers attributed this to;

- Inadequate guidance to Local Governments on the prioritization of PDM activities in the budgets and work plans.
- Use of a different mode of identification of priorities through consultative budget conference instead of the stipulated procedure in the PDM guidelines.
- Non-functional PDCs to guide the identification of PDM priorities.

Recommendations

- The PDM Secretariat in liaison with MoFPED and NPA should issue harmonized and comprehensive guidelines on the identification and alignment of parish/ward priorities in the LGs budgets and work plans.
- The Accounting Officers of LGs should;
 - ✓ Ensure that PDCs and LLGs are trained in the identification of parish/ward priorities, which should be aligned to the LG's budgets and workplans.
 - ✓ Ensure that all PDCs are fully constituted and functional.

2.2.3.2 Funding and Utilization of PDM Funds

a) Funding

i) Administrative and PRF funds

A review of the PDM funds release revealed the following;

- All the approved budget of UGX.1,059.40Bn for PRF for disbursement to the planned 10,594 PDM SACCOs was realized.
- Out of an approved budget of UGX.38.233Bn (excluding PRF) for PDM administrative and support activities in five (5) MDAs and KCCA that received direct funding, UGX.38.144Bn (99.8%) was released, resulting in a deficit of UGX.0.089Bn (0.2%). As a result, consultancy services under Parish Development Model equipment was not fully implemented.

The Accounting Officer of MoICT&NG explained this was out of the entity's control.

Recommendation

MoFPED should prioritize the funding of PDM activities.

ii) Late Release of PRF Funds to PDM SACCOs

Paragraph 6 of the circular on the implementation of financial inclusion activities under the parish development model during the stabilization phase ref: EDP 86/103/02 vol.3 dated 8th January 2024 states that capitalization of PDM SACCOs will commence in quarter 3 with the transfer of UGX.50 million per SACCO and the balance of UGX.50 million transferred in Quarter 4.

I noted that;

- No funds were disbursed to any of the 10,594 SACCOs in quarter 3 yet UGX.529.250Bn was expected.
- Only 10,582 out of the 10,594 SACCOs received UGX.529.100Bn in quarter 4 instead of UGX.529.250Bn of the expected disbursements in quarter 3.
- 10,586 SACCOs received the second disbursement of PRF in the first week of July of FY 2024/25 instead of quarter 4 of FY 2023/2024. This was late given that it was outside the financial year. Of these, seven (07) SACCOs did not receive any PRF in FY 2023/24 but received all the PRF of UGX.0.700Bn in quarter 1 of the subsequent FY 2024/2025. This showed inconsistencies in the release of funds contrary to the guidance.

Consequently, there was delayed disbursement to SACCO beneficiaries which affected the intended timely transformation of the subsistence households into the money economy.

The Accounting Officers of LGs explained this was out of their control.

MoFPED attributed the late release to cash flow challenges towards the end of the FY and the failure of the PDM SACCOs to absorb earlier releases held in bank accounts. In

addition, MoFPED explained that the PDM Policy Committee had resolved that PDM funds be transferred from MoFPED to the SACCOs in January 2025 and June 2025, to align with the planting seasons.

Recommendations

- The Accounting Officers of LGs should ensure that PDM SACCOs disburse PRF to households timely.
- MoFPED should ensure timely release in the subsequent periods.

iii) Under release of PRF to PDM SACCOs

Paragraph 6 of the circular on the implementation of financial inclusion activities under the parish development model during the stabilization phase ref: EDP 86/103/02 vol.3 dated 8th January 2024 states that capitalization of PDM SACCOs will commence in quarter 3 with the transfer of UGX.50 million per SACCO and the balance of UGX.50 million transferred in Quarter 4.

I noted that 3 PDM SACCOs received UGX.0.150Bn out of the expected amount of UGX.0.300Bn leading to under-release of UGX.0.150Bn, as summarized in the table below;

Table 35: Under release of PDM SACCO Funds

SN	Supplier No	Vote Name	PDM SACCO Name	PRF Amount Expected in FY	Amount of PRF Received	Variance
Amounts in UGX						
1	1037736	Isingiro DLG	Katanoga - Nyamuyanja PDM SACCO	100,000,000	50,000,000	50,000,000
2	1041190	Zombo DLG	Zulume-Athuma PDM SACCO LTD	100,000,000	50,000,000	50,000,000
3	1041442	Zombo DLG	Zingili Ward-Paidha PDM SACCO LTD	100,000,000	50,000,000	50,000,000
Total				300,000,000	150,000,000	150,000,000

Consequently, there were inadequate funds to disbursement to SACCO beneficiaries which undermines the objective of the PDM.

MoFPED attributed this to errors during the change of the affected SACCOs' receiving accounts from the bank to the Wendi wallet, which caused the funds to bounce. In addition, MoFPED explained that the affected PDM SACCOs would be capitalized in the subsequent period.

Recommendations

- Accounting Officers of LGs should ensure that the right information about SACCO Bank account details is submitted to the MoFPED to ensure timely release of funds.
- MoFPED should ensure that the arrears are paid in the subsequent release to the SACCOs.

b) **Utilization of Parish Development Model Funds**

i) **Administrative Funds - Other MDAs**

- Out of the total receipts of UGX.38.144Bn for PDM administrative and support activities in five (05) MDAs and KCCA that received direct funding, UGX.37.434Bn (98%) was spent, resulting to un-utilized funds of UGX.0.71Bn (2%).

Table 36: Administrative Funds to other MDAs

Vote	Vote Name	Activity	Release (UGX'Bn)	Expenditure (UGX'Bn)
008	MoFPED	PDM loan Processing and Parish Chiefs bicycle and rent of offices.	17.997	17.618
011	MoLG	PDM Secretariat and support to coordination	12.317	11.986
020	MoICT&NG	IT Support to PDM (<i>Equipment and operations</i>)	4.392	4.392
143	UBoS	PDM Services (<i>Data collection and validation</i>)	1.900	1.900
122	KCCA	Administration	1.538	1.538
	Grand Total		38.144	37.434

The funds that were not absorbed were meant for wages for the PDM Secretariat and payment of parish chief allowances which were partially implemented.

- It was noted that UGX.1.9Bn budgeted under UBoS and meant for data collection and training of data collectors was reallocated to the National Population and Housing Census Data collection and analysis. However, the results from the 2024 census had not been integrated into the PDMIS. MoFPED explained that a steering committee had been established to review and guide on the applicability of the 2024 Census results in the PDMIS.
- I further noted that out of UGX.11.081Bn spent under MoLG, UGX.5.75Bn was re-purposed and spent on other Ministry PDM related activities as a result of re-prioritization as guided by the Cabinet and the National Policy Committee.

Failure to utilize PDM funds for administrative costs and coordination of PDM activities may undermine the achievement of the PDM objective.

Recommendations

- PDM Secretariat, UBoS, MoICT&NG and MoFPED should fast-track the process of integrating 2024 census results into the PDMIS.
- The Ministry of Local Government should roll-over the un-implemented activities from which funds were re-purposed.

ii) **Administrative Funds - Parish Chief Allowances**

Paragraph 4(h) of the of the Circular on the Implementation of the Financial Inclusion Pillar of the Parish Development Model in the stabilization phase from the PSST dated 8th January 2024 ref: EDP103/86/02 vol.3 requires payment of UGX.100,000 per month (UGX.1,200,000 p.a) per parish chief as allowance for rent and bicycle repair.

I noted that in the FY 2023/24 MoFPED budgeted and received UGX.12.700Bn for PDM Parish Chiefs bicycle repair and rent of offices (which was later reallocated to pay parish chiefs allowances). Out of expected amount to be paid of UGX.12.700Bn, UGX.12.277Bn (97%) was paid to parish chiefs leading to underpayment of UGX.0.422Bn. Out of the UGX.0.422Bn, a sum of UGX.0.137Bn related to 114 parish chiefs who were not paid at all. A summary is in the table below;

Table 37: Payment of Parish Chiefs' Allowances

Detail	Amount (UGX)				
	Q1	Q2	Q3	Q4	Total
Expected	3,174,900,000	3,174,900,000	3,174,900,000	3,174,900,000	12,699,600,000
Actual	3,113,200,000	3,052,500,000	3,057,600,000	3,054,000,000	12,277,300,000
Variance	61,700,000	122,400,000	117,300,000	120,900,000	422,300,000

Source: OAG Analysis of MoFPED Parish Chief Allowances data

Failure to facilitate the parish chiefs affects the provision of technical guidance to the PDM enterprise groups and SACCOs as well as ensuring compliance with the PDM guidelines and regular update of data on the PDMIS.

MoFPED explained that the respective LGs had not submitted details for the 114 parish chiefs that were not paid while, others were not appointed as substantive parish chiefs as per the payroll review. He further added that the responsibility of payment had been shifted to the respective LGs in the subsequent period.

Recommendation

The Accounting Officers of LGs should engage MoPS and MoFPED for additional wage and ensure that substantive parish chiefs are recruited and monitored.

iii) **Parish Revolving Funds**

a) **Transfer of Parish Revolving Funds to PDM SACCOs**

Out of UGX.1,059.40Bn for PRF in respect of 10,594 PDM SACCOs, UGX.1,058.37 (99.9%) was transferred to 10,589 PDM SACCOs resulting in un-remitted funds of UGX.0.650Bn (0.1%). The un-remitted funds were meant for the three (3) PDM SACCOs that did not receive the second instalment of PRF, and five (5) parishes that had not met the capitalization requirement.

MoFPED explained that Accounting Officers of the affected LGs had confirmed that the five (5) parishes were non-existent.

Recommendation

The Ministry of Local Government should verify the existence of the five (5) parishes and if found to be non-existent should notify MoFPED to exclude them from the budget.

b) Disbursement of Parish Revolving Fund (PRF) to the Households

Paragraph of the Users Handbook for the Parish Revolving Fund (PRF) under PDM Pillar 3 - Financial Inclusion (October 2022) stipulates that the money for each Parish under the PRF shall be disbursed directly from the Consolidated Fund to the PDM SACCO Bank account solely for on-lending to subsistence households in the parish who are members of a registered PDM Enterprise Group in that parish.

My review of the MoFPED capitalization and the PRF disbursement reports as at 31st December 2024, revealed that out of the total cumulative transfers from FY 2021/22 to 2023/24 of UGX.2.197Tn, a sum of UGX.2.138 (97.23%) had been disbursed as summarized in the table below;

Table 38: Cumulative capitalization and disbursements of PRF to households

SN	Details	FY 2023/24 (UGX' Tn)	Cumulative up to Dec 2024 (UGX' Tn)
1.	Capitalization	1.058	2.197
2.	PRF disbursement	1.014	2.138
3.	Percentage Rate of Disbursement	95.81%	97.23%
4.	Number of Beneficiaries (in Millions)		2.199

Source: OAG analysis of MoFPED capitalization and the PRF disbursement reports

From my physical inspection of 7,114 sampled PDM SACCOs in 116 LGs, I noted that since the inception of the PDM in FY 2021/22, UGX.0.708Bn (79%) out of the PRF received of UGX.0.902Bn had been disbursed leaving UGX.0.192Bn (21%) not disbursed by end of the financial year 2023/2024.

I further noted that 212 inspected PDM SACCOs in 14 LGs could not account for PRF of UGX.1.544Bn received and withdrawn from their bank accounts. The amount had not been disbursed to households by the time of my audit.

The failure to account for the Parish Revolving Fund (PRF) coupled with the low rate of disbursement may undermine the achievement of the pillar objective of eradicating poverty.

The Accounting Officers of LGs attributed the shortcoming to late release of funds by MoFPED, challenges associated with limited network access and lack of ICT gadgets for loan processing on the PDMIS. In addition, Accounting Officers explained that the transition from the manual systems to PDMIS and Wendi application caused delays. However, MoFPED attributed the late release to cash flow challenges and under absorption by SACCOs.

Recommendations

- MoFPED should ensure timely release of funds to PDM SACCOs.
- The Accounting Officer of MoICT&NG should ensure that the challenges associated with the PDMIS are resolved.

c) Implementation of Funded Projects

Paragraph 32 (b) PDM - A LG Guide for Supporting Households & Enterprise Groups in Accessing Loans Under the PRF (Guide No.2), January 2023 states that a PRF has been established to ensure loans, of up to UGX.1Mn per household, are provided to subsistence households through a special type of a multi-purpose cooperative called the PDM SACCO. Each loan under the PRF shall mainly be used for purchasing capital inputs and operational expenditures e.g. seeds, fertilizers, acaricides, veterinary drugs etc.

I reviewed loan files and carried out physical inspections, and observed the following;

- A total of 342 beneficiaries in 253 PDM SACCOs in 50 LGs had implemented ineligible projects.
- A total of 170 beneficiaries in 124 PDM SACCOs in 37 LGs had non-existent projects.
- A total of 1,004 beneficiaries who received PRF of UGX.1Bn did not account for funds received of UGX.0.286Bn in terms of support documentation.

Implementation of ineligible projects and non-existent projects undermines the achievement of PDM objectives.

The Accounting Officers of LGs attributed this to;

- Unfavorable seasonal variations for the particular funded projects
- Contradicting guidelines on flagship projects
- Delayed release of funds by MoFPED.
- Limited land in the urban settings
- Inflexible District/urban flagship projects

MoFPED explained that a tool to facilitate real-time monitoring of the funded beneficiaries and their projects had been developed. In addition, MoFPED explained that in the FY2024/25 funds would be released in two tranches, in January and June 2025.

Recommendations

- MoFPED should ensure timely release of funds to PDM SACCOs in accordance with the new disbursement cycle. In addition, MoFPED should fast track the roll-out of the monitoring tool.
- The Accounting Officers of LGs should;
 - ✓ Engage the PDM Secretariat to harmonize the guidance on enterprise selection.
 - ✓ Improve supervision and monitoring to ensure that implementation is as planned.

- The PDM Secretariat should review the implementation guidelines to allow flexibility in selection of flagship projects.

d) **Matching of Disbursement of Funds to Households with Planting Seasons**

Paragraph 6 of the circular on the implementation of financial inclusion activities under the parish development model during the stabilization phase ref: EDP 86/103/02 vol.3 dated 8th January 2024 provided that capitalization of PDM SACCOs would commence in quarter 3 of FY 2023/24 to align with the next planting season as such UGX.50 million, per PDM SACCOs would be transferred in quarter 3 and the balance of UGX.50 million shall be transferred to the PDM SACCOs in quarter 4.

I noted that 26,525 PRF beneficiaries inspected in 69 LGs who were engaged in various crop production projects received funds out of the planting seasons.

This may lead to low yields for those that planted late and diversion/misuse of funds for those who did not plant.

The Accounting Officers of LGs attributed this to late release of funds to PDM SACCOs by MoFPED.

MoFPED explained that beginning with the FY 2024/25 funds would be released in two tranches, in January and June 2025 to favor both crop and non-crop beneficiaries.

Recommendation

MoFPED should ensure timely release of funds to PDM SACCOs in line with the proposed new funds transfer cycle.

e) **Failure to follow the prescribed allocation criteria for Special Interest Groups**

Paragraph 4.1.3 of the Users Handbook for the Parish Revolving Fund (PRF) under PDM Pillar 3 - Financial Inclusion October 2022 prescribes the allocation criteria which should be adopted in the utilization of the Parish Revolving Funds by Special Interest Groups as follows;

Table 39: Allocation criteria for the Parish Revolving Funds

SN	Category	Description	Required allocation
1.	Women	All women from the age of 18 years	30%
2.	Youth	All persons aged between 18 to 30 years	30%
3.	Persons with Disabilities	Persons with a substantial functional limitation in their daily life activities caused by physical, mental or sensory impairment and environment barriers.	10%
4.	Older Persons	Women and men, aged 60 years and above	10%
5.	Men/General Community	Others	20%
	Total		100%

I noted that out of the 7,114 SACCOs in 99 LGs;

- A total of 1,034 SACCOs did not meet the requirement for Women.
- A total of 1,181 SACCOs did not meet the requirement for the Youth.
- A total of 1,230 SACCOs did not meet the requirement for the Persons with Disabilities.
- A total of 1,110 SACCOs did not meet the requirement for Older Persons.
- A total of 1,142 SACCOs did not meet the requirements for men.

A summary is in the table below.

Table 40: Allocation of PDM to Special Interest Groups

Categories	NO of SACCOs meeting the required minimum	No of SACCOs Below the required minimum	No of SACCOs above the required minimum	Total Number of SACCOs that did not meet the requirement
	(A)	(B)	(C)	(D)=(B+C)
Women	373	451	583	1,034
Youth	275	903	278	1,181
Persons with Disabilities	229	1,147	83	1,230
Older Persons	347	798	312	1,110
Men	326	576	566	1,142

Source: OAG Analysis of SACCO disbursements

This limits the inclusion of all categories of subsistence households which undermines the achievement of the pillar objective of eradicating poverty.

The Accounting Officers of LGs explained that some categories do not have the required numbers as per the guidelines while others showed more interests than other special interest groups.

Recommendation

The PDM Secretariat should provide guidance in such circumstances and amend the guidelines where necessary to allow for flexibility in the allocation criteria.

2.2.3.3 PDM Governance and Administrative Structures

The PDM Governance Structures are guided under: Paragraph 2.1, 2.3, 4.1 & 22 of the Governance and Administration Pillar Operations Manual, February 2022; Paragraph 21 of the PDM - A Local Government (LG) Guide for Supporting Households & Enterprise, January 2023; Paragraph 2.6.4 & 3.0 of the PDM Users' Handbook for PRF under Pillar 3, (22nd version, October 2022); and Paragraph 91 of the PDM, Guide 2.

I reviewed the existence and functionality of the PDM governance and administrative structures at the National level, Local Government and KCCA level, Parish and SACCO level and made the following observations;

a) **Implementation of the National Policy Committee Resolutions**

Paragraph 2.1 of the Governance and Administration Pillar Operations Manual, February 2022, stipulates that the NPC, chaired by His Excellency (HE) the President, shall provide overall policy direction to the PDM, oversee, guide the operationalization of the programmes and ensure alignment with NDP III and NRM Manifesto. The Committee will convene at least once a quarter.

I was not availed with records of the NPC resolutions made to ascertain the status of implementation of resolutions. I could not establish whether the resolutions made were implemented.

The Accounting Officer of MoLG explained that the resolutions are always in the cabinet minute extract and management would endeavour to extract the minutes.

Recommendation

The National Coordinator PDM Secretariat should ensure that the resolutions are extracted and maintained by the Secretariat for follow-up.

b) **Functionality of the Pillar Working Groups**

PDM Pillar Working Groups should review, propose amendments to the Operational Guidelines and respective Pillars Manuals, and to assist in the alignment of plans and budgets of MDAs to the PDM.

I reviewed the operations of the pillar working groups and noted the following;

- i) Pillar 4 - Social Services, and Pillar 6 - Parish Based Management Information System (PDMIS) did not have approved pillar manuals.
- ii) I noted that all the seven (7) pillar working groups did not have evidence to indicate that they held regular meetings.
- iii) Pillar 1 - Agriculture value chain development, did not undertake a review of the operational guidelines due to failure to convene pillar meetings.
- iv) All the 7 Pillar working groups did not submit the required number of quarterly performance reports to the PDM Secretariat as required but provided bi-annual reports.

Failure to develop pillar manuals, convene regular meetings and monitor Pillar performance may hinder the alignment of plans and budgets of MDAs to the PDM.

The Accounting Officers of the Pillar lead agencies attributed this to inadequate funding.

Recommendation

The Accounting Officers of the Pillar lead agencies should engage the PDM Secretariat and MoFPED to ensure that the required funding is provided for proper functioning of the Pillar Working Groups.

c) **Unfilled Parish Chiefs and Town Agent Positions**

In the letter to all Local Government Chief Administrative Officers dated 7th October 2021 ref: BPD103/155/01 from the PSST indicated that the requirement of parish chiefs/Town Agents was a pre-requisite for effective implementation of the PDM and accordingly funds were appropriated for this purpose in the FY 2021/22. The deadline for recruitment was therefore set to have been completed by 30th September 2021 and extended to 31st October 2021.

I noted that 3,959 (97%) Parish Chiefs and Town agent positions out of the required 4,098 in a sample of 62 LGs were filled, leaving 139 (3%) positions unfilled.

The failure to recruit Parish Chiefs and Town agent limits the provision of technical guidance to the PDM enterprise groups and SACCOs as well as ensuring compliance with the PDM guidelines and regular update of data on the PDMIS.

The Accounting Officers attributed this to the ban on recruitment and inadequate wage bill.

Recommendation

The Accounting Officers of the LGs should engage MoPS for clearance to recruit and MoFPED for allocation of funds.

d) **Existence and Functionality of SACCO Committees and Sub Committees**

The PDM Operational Guidelines from MAAIF provides that the Executive Committee of the PDM SACCO shall constitute the Production, Marketing, Finance & Investment and the Business Development Services Sub-Committees.

I noted that a total of 2,190 PDM SACCOs in 96 LGs either did not constitute the supervisory, executive committees as well as the Loan, Production, Marketing, Business Development services, or the Finance and investment sub-Committees.

This could lead to mismanagement of the SACCOs due to lack of appropriate oversight by the committees.

The Accounting Officers of LGs attributed this to;

- Inadequate resources to fund all the required committees.
- Unclear and conflicting guidelines on Implementation of PDM.
- The production and marketing, Business Development services, Finance, planning and investment were inactive because efforts were put on disbursement of PRF to SACCOs which was the role of the loans committee.

Recommendation

The Accounting Officers should ensure that Commercial Officers support the boards to constitute the required committees and Sub-committees.

e) **Agriculture Extension Services**

Paragraph 3.1.1 of the MAAIF PDM operational guidelines on knowledge/extension services for crop, animal husbandry and fisheries provides that Government extension services are expected to support and guide farmers in making decisions on; the technological options, management of the various technologies, farming system, types of products and their demand, quality specifications, sources of inputs and sell of products, resource use and marketing, relevant and reliable knowledge and information, and feasible off-farm income generation options.

Furthermore, the Government would employ three extension staff at the local government (sub-County) level in the areas of livestock, crops and fisheries on permanent and pensionable terms to provide advice to mixed farmers producing a range of enterprises.

I noted the following;

- **Staffing**

Out of the required extension staff positions in 135 LGs of 5,874, 2,561 (44%) had been filled leading to a shortfall of 3,324 (57%).

I further noted that the staff structure in the MCs did not provide for positions of Agriculture extension officers at the LLG (Division) level. This constrains the implementation of PDM activities at the Division level.

- **Adequacy of resources (means of transport)**

Section 3.1 of the compendium of costed service delivery standards for Local Governments, August 2023 on extension worker tools and equipment requires each extension worker to be equipped with motorcycle, helmet and protective clothes.

However, I noted that, out of the 2,561 existing extension workers, 1,035 in 114 LGs lacked motorcycles.

- **Professional certification of extension workers**

Paragraph 3.1.1 of the MAAIF PDM operational guidelines provides that MAAIF will develop and institutionalize a professional certificate course to equip extension workers with practical skills, which will be a requirement to provide extension services at the Parish level.

However, I noted that all 2,561 extension staff lacked professional certificates to provide extension services.

Inadequate staffing and resources (transport), and lack of professional certification of extension staff limits the reach of extension services which affects on-farm production.

The Accounting Officers of LGs explained that the staffing gaps existed because of ban on recruitment while, the lack of resources was attributed to limited funding. They further explained that they are unaware of the professionalization initiative by MAAIF.

Recommendations

- MAAIF should retool Extension Workers to support and guide farmers in making decisions on the technological options, management of the various technologies, among others.
- MAAIF should develop strategies to ensure professional certification of extension workers is achieved.

f) Guidance on the implementation of PDM activities

The PDM Governance Structures are guided under: Paragraph 22 of the Governance and Administration Pillar Operations Manual, February 2022 requires PDM Pillar Working Groups to review, propose amendments to the Operational Guidelines and respective Pillars Manuals.

In addition, the PDM Secretariat should review and update PDM guidelines for approval by the NPC.

I reviewed the PDM implementation guidelines, operational manuals and circulars, and noted the following contradictions;

Table 41: Contradictions in the Implementation of PDM Activities

SN	PDM implementation guidelines, operational manuals and circulars	Contradictions	Implication	Management Response
1.	PDM Operational Guidelines Pillar 1.	List of priority commodities as selected by each local government based on ecological advantages.	Distorts the implementation of the program and undermines the achievement of the PDM objectives.	The PDM National Coordinator explained that the Secretariat was preparing a paper for Cabinet to address these contradictions.
	Circular on the implementation of financial inclusion activities under the parish development model during the stabilization phase, 8th January 2024.	Qualifying project along the agricultural value chain and in line with the priority PDM enterprises i.e. poultry, fish, dairy, coffee, piggery, fruits and food crops.		
2.	Circular on the implementation of financial inclusion activities under the parish development model during the	Paragraph 2(e) Ensuring, effective use of digital systems mainly PDMIS and Mobile wallets to support beneficiary	The use of the village vetting committees undermines the need of the data collection and	The PDM National Coordinator explained that although the use of PDMIS

SN	PDM implementation guidelines, operational manuals and circulars	Contradictions	Implication	Management Response
	stabilization phase, 8 th January 2024.	identification. Paragraph 8(a) (iii) provides that an eligible borrower must be from a subsistence household, as determined at the community meetings where applicants are vetted by the village residents.	household profiling in the PDMIS.	for identification and selection, it is planned that the village vetting meetings and PDMIS would be used concurrently to complement each other.
3.	Paragraph 3 of the letter from the PSST dated 5th April 2024 ref: EDP103/86/02 vol.3 stated that Government had adopted a policy to use the Wendi mobile wallet to disburse funds to PDM beneficiaries and that all supervised financial institutions were to integrate with the wallet application through Post Bank. Paragraph 4.2 of the Pillar-No. 6 - The Parish Development Management Information System (PDMIS) Operation Manual requires system Development (all 7 modules) to include integration to existing systems.	MoICT is trying to integrate with other existing core banking systems while the MoFPED is only integrating with post bank through the Wendi platform and all other government and supervised financial institutions banks should utilize the Wendi platform through post bank.	There is role ambiguity between the parties.	The PDM National Coordinator explained that the promotion of the use of Government Banks through Wendi Application was patriotic move to benefit Government owned Banks and also limit capital flight.

The Accounting Officers of LGs explained that these contradictions delayed the implementation of PDM activities. However, the Accounting Officer of MoLG explained that contradictions are reconciled through subsequent circulars that become an integral part of guidance to the PDM implementers.

Recommendation

The PDM Secretariat and the Pillar Working Groups should coordinate the revision and update of the existing guidelines and going forward should offer timely clarity in such circumstances.

2.2.3.4 PDM SACCO Operations

Paragraph 2.3 (C) of the operational manual; Paragraph 3.7 & 3.8 of the users' handbook for the parish revolving fund (PRF) Under PDM pillar 3 - Financial Inclusion, October 2022; Instruction 10.1.6 (a-h) of the Treasury instructions, 2017; Paragraph 4.1.1 of the Parish Development model users handbook under the parish revolving fund; Annex 2 of PDM - A Local Government Guide for Supporting Households & Enterprise Groups in Accessing Loans under the PRF (Guide No.2), January 2023; and the guidance letter from the PDM National Coordinator ref: HRM/133/292/01 of 5th June 2023 require that;

I made the following observations;

a) Selection and Implementation of Prioritized/Flagship Projects

Each Parish shall select flagship projects that will benefit all interested subsistence households in a participatory manner as guided by the Commercial Officer, Community Development Officer (CDO) and relevant sector experts.

- A total of 313 parishes in 19 LGs did not select any flagship projects contrary to the guidelines.
- A total of 1,213 parishes in 80 LGs selected flagship projects that were inconsistent with the LG selected priority commodities.
- A total of 30,900 Farmer households/individuals implemented projects not from the priority commodity list.

Failure to select and implement prioritized projects may undermine the achievement of the pillar objectives.

The Accounting Officers of LGs attributed this to;

- Contradicting guidelines on recommended flagship projects and enterprise selection from MoLG, and MAAIF.
- Non-consultative selection criteria for flagship projects which could not match specific enterprise conditions.
- Some flagship projects were not suitable for the selected LGs and urban centres.
- Delayed release of guidelines after selection of flagship projects.
- Failure by the community to appreciate the principles of the PDM.
- Limited options given by MAAIF yet LGs have various viable commodity projects.

MoFPED explained that a tool to facilitate real-time monitoring of the funded beneficiaries and their projects had been developed.

Recommendations

- The PDM Secretariat should harmonize the various guidance on flagship projects and enterprise selection.
- The Accounting Officers should liaise with the MAAIF to ensure that selected LG commodity lists that are consistent with the ecological advantages of the regions.
- MAAIF should review the LG commodity list in consultation with the LGs to increase the selection options.
- MoFPED should fast-track the roll-out of the PDM monitoring tool.

b) Multiple Funding of Beneficiaries from the PDM and Emyooga Wealth Creation Programmes

Paragraph 8(b) of the circular on the implementation of the Financial Inclusion Pillar of the Parish Development Model in the stabilization phase from the PSST dated 8th January 2024 ref: EDP103/86/02 vol.3 requires that households/individuals who have benefited from Emyooga should not benefit from PRF loans.

Out of a sample of 6,679 Emyooga beneficiaries' data from 13 HLGs availed for review, 608 beneficiaries of PRF amounting to UGX.0.603Bn had also obtained UGX.1.025Bn from the Emyooga Program as summarized in the table below;

Table 42: Multiple funding of Beneficiaries

SN	Category	Number	Emyooga Amount (UGX)	PRF Amount (UGX)
1.	Same NIN, Same Telephone No. and Same Name	81	128,324,150	78,780,000
2.	Same NIN and Name	80	114,693,500	78,600,000
3.	Same Telephone No. and Name	381	662,663,450	379,550,000
4.	Same Telephone No. and Different Name	66	119,346,250	65,650,000
	Total	608	1,025,027,350	602,580,000

This eliminates other would-be beneficiaries from the program hence undermining the objectives of other wealth creation initiatives. Besides the mentioned individuals may not be able to repay the amounts obtained.

The Accounting Officers of LGs explained that the beneficiaries were applying through other LGs, making it difficult to track them.

MoFPED and PDM Secretariat attributed this to implementation of Emyooga programme on a manual system thus making it difficult to reconcile beneficiaries from the two programmes.

Recommendation

MoFPED should establish a digitalized centralized database of all wealth creation program beneficiaries to detect and prevent duplicate beneficiaries.

c) **Insurance Policy for Farming Enterprises**

For farming enterprises, the borrower must obtain an agriculture insurance policy under the Uganda Agriculture Insurance Scheme (UAIS).

I noted that a total of 19,693 PRF beneficiaries who carried out farming enterprises in 1,817 PDM SACCOs in 119 LGs did not obtain agricultural insurance policies from UAIS.

Lack of recourse in form of insurance will expose the farming enterprises to the adverse effects of climate change and may result in failure to recover the loan funds.

The Accounting Officers of LGs attributed this to inadequate guidance on Agricultural insurance and insufficient funds disbursed to each PRF beneficiary to register with the Uganda Agriculture Insurance Scheme (UAIS).

Recommendation

The PDM Secretariat should provide adequate guidance on provision of Agricultural insurance to PDM farmers.

d) **Existence of Registered Offices and Signboard**

Section 20(1 & 2) of the Cooperative Societies Act Cap 112 provides that;

- Every registered society shall have a registered address to which notices and communications may be sent and shall send to the registrar notice of every change of address within one month of the change.
- Every registered society shall display its name and address on a signboard in a conspicuous position outside its place of business.

I noted the following;

- A total of 2,985 PDM SACCOs in 127 LGs did not have registered offices on their documents.
- A total of 567 PDM SACCOs in 41 LGs' registered offices did not exist.
- A total of 2,898 PDM SACCOs in 121 LGs did not have evidence of a sign board showing their names and address.

The Accounting Officers of LGs attributed this to limited funding to establish these offices. They further indicated that the SACCOs were operating mainly under the homes of the chairpersons, under trees at the premises of public institutions and others were renting from trading centres.

Recommendation

The PDM Secretariat should engage the MoFPED on modalities of establishing SACCO offices. In the meantime, the Accounting Officers of LGs should provide office space and cupboards at the LLG establishments.

2.2.3.5 **Implementation of the PDMIS**

Paragraph 2 of the PDM Pillar-No. 6 - The Parish Development Management Information System (PDMIS) Operation Manual stipulates that;

- The PDMIS shall be a modular system covering all seven pillars of the PDM. At its full implementation, it shall have; the registration & data collection, Production, Processing and Marketing, Infrastructure, Financial inclusion module, Social Services, Community mobilization & mind-set change, and Monitoring and Evaluation (M&E) modules.
- The MoICT&NG will implement the system in a phased approach starting in FY 2021/22, with the Registration & data collection, Financial Inclusion, and Monitoring & Evaluation modules in the first phase.

a) **Status of Implementation of the PDMIS Modules**

The first modules shall be rolled out to a further 6,720 parishes in the first half of 2022/2023. In the second half of 2022/23 the modules for Agro-processing, Infrastructure development, Services and mind set change shall be developed. Rollout of all modules shall be done to parishes in the second half of 2022/23. Project staff shall continuously be trained on how to use the system.

I reviewed the implementation of the PDMIS and noted the following;
Out of seven (07) modules; two (02) modules were fully implemented, two (02) - modules were partially implemented, and 3 modules were not implemented as summarized in the table below.

Table 43: Implementation of PDMIS Modules

SN	PDMIS Modules	Expected year of completion	Status of Implementation	Functionality
1.	Data Collection and Registration	2022	Rolled out	Partial data collection
2.	Financial Inclusion	2023	Rolled out	Functional
3.	Monitoring and Evaluation	2023	Not rolled out	Not functional
4.	Citizen Participation Information System	2023	Not rolled out	Not functional
5.	Product, processing & Marketing	2023	Not developed	Not functional
6.	Infrastructure	2023	Not developed	Not functional
7.	Social Services	2023	Not developed	Not functional

Source: Pillar 6 - The PDMIS Operation Manual and OAG Analysis

Failure to develop all the 7 modules undermines the PDMIS's envisaged objective of offering end to end supervisory, management and monitoring functions of the entire PDM programme therefore affecting the achievement of the PDM objectives.

The Accounting Officer of MoICT&NG attributed this to insufficient funding that compelled them to use the phased mode of implementation to sequentially have all the unimplemented modules accomplished.

Recommendation

The Accounting Officer of MoICT&NG should engage the MoFPED to allocate additional funding to ensure full implementation of the PDMIS.

b) Utilization of the Wendi Mobile Application Platform

Paragraph 3 of the letter from the PSST dated 5th April 2024 ref: EDP103/86/02 vol.3 stated that Government had adopted a policy to use the Wendi mobile wallet as payment platform to disburse funds to PDM beneficiaries through Government owned banks and all participating private financial institutions.

The letter also stipulated that more than 6,000 PDM SACCOs had been on-boarded and the remaining SACCOs would be migrated on to Wendi before close of the FY 2023/24.

I noted the following from the analysis of MoFPED PDM SACCO transfer data as at August 2024;

- Out of the 176 HLGs and KCCA expected to utilize the Wendi mobile application platform, 66 HLGs had all their PDM SACCOs paying through the Wendi, 78 HLGs had some of the PDM SACCOs paying through wendi, while 32 HLGs and KCCA did not pay through Wendi. A summary is in the table below;

Table 44: Utilisation of the Wendi Mobile Platform by HLGs and KCCA

SN	Category	Number of HLGs
1	Fully on Wendi	66
2	Partially on Wendi	78
3	Not on Wendi	33
	Total	177

Source: *OAG Analysis of MoFPED PDM SACCO data*

- Out of the 13 supervised financial institutions participating in the financial inclusion pillar, only 3 financial institutions had connected (integrated) to the Wendi mobile application platform, while 10 had not connected (integrated) to the platform.
- Out of 10,589 PDM SACCOs that received PRF in FY 2023/24, a total of 4,013 (38%) received funds amounting to UGX.401Bn outside the Wendi mobile platform. Included in these are 49 PDM SACCOs that received PRF outside the Wendi mobile application platform yet they had accounts in participating Government owned banks which had already connected (integrated) with Wendi. Details in the table below;

Table 45: PDM SACCOs using the Wendi Mobile Platform

SN	Bank Name	Nature of Account	Number of PDM SACCOs
1	Absa Bank Uganda Limited	Not on Wendi	12
2	Bank Of Africa Uganda Limited	Not on Wendi	37
3	Centenary Rural Development Bank Limited	Not on Wendi	1,719

SN	Bank Name	Nature of Account	Number of PDM SACCOS
4	DFCU Bank Limited	Not on Wendi	474
5	Diamond Trust Bank Uganda Limited	Not on Wendi	9
6	Equity Bank Uganda Limited	Not on Wendi	107
7	Finance Trust Bank Uganda	Not on Wendi	188
8	Housing Finance Bank Uganda Limited	Not on Wendi	46
		Wendi Account	721
9	Kenya Commercial Bank Uganda Limited	Not on Wendi	11
10	Opportunity Bank Uganda Limited	Not on Wendi	482
11	Postbank Uganda Limited	Wendi Account	5,345
12	Pride Microfinance Limited	Wendi Account	963
		Not on Wendi	3
13	Stanbic Bank Uganda Limited	Not on Wendi	472
	Total		10,589

Source: OAG Analysis of MoFPED PDM SACCO data

By the end of FY 2023/24, 4,013 (38%) SACCOs out of the targeted 10,589 had not been on-boarded on the Wendi platform.

The benefits of Wendi which include; convenience, security, lower transaction costs, transparency and ease of tracking the PDM funds was undermined.

MoFPED explained that all Government owned financial institutions had on-boarded on to the Wendi platform and encouraged the other participating financial institutions to on-board. MoFPED further explained that some Government owned financial institutions had less coverage country-wide.

Recommendations

- MoFPED to ensure that all participating banks are integrated on the Wendi Platform as per the Cabinet directive. In addition, MoFPED should ensure that Post Bank increases the country-wide agency coverage of the Wendi mobile application platform.
- Accounting Officers of LGs and KCCA must ensure that PDM SACCOs and members are on-boarded on the Wendi platform.
- The PDM SACCO executive should ensure that payments to beneficiaries are made through the SACCOs' mobile wallet.

c) Review of the PDMIS Integration with Existing Systems

Paragraph 4.2 of the Pillar-No. 6 - The Parish Development Management Information System (PDMIS) Operation Manual states that the PDMIS development and rollout to all Parishes across the country requires the following activities provides that the PDMIS development and rollout to all Parishes across the country requires system Development (all 7 modules) including integration to existing systems.

The inception report for the registration and data collection module and the financial inclusion modules by the contractor dated 26th May 2022 indicated the following external integrations were supposed to be implemented;

- NIRA for National Identification verification,
- Uganda Registration Services Bureau (URSB),
- Agricultural Insurance Service Providers,
- Mail servers,
- IFMS for approved PDM SACCOs capitalization,
- Commercial banks,
- Ministry of Trade, Industry and Cooperatives (MoTIC) for approval of PDM SACCOs.

I reviewed the status of integration at the time of the audit and noted the following;

- Only four (04) banks (Centenary, Postbank, Housing Finance, and Pride Microfinance banks) out of the 13 supervised participating banks had completed the two-way integration with the PDMIS financial inclusion module, while the integration with Stanbic Bank was still in progress, with user acceptance tests not yet conducted. Integrations with the other 9 supervised participating banks had not been effected. Further the Accounting Officer of MoICT&NG explained that integration with NIRA, mail servers, Agricultural Insurance Service Providers had been completed.
- Integrations with IFMS and MoTIC had also not been implemented.

The Accounting Officer of MoICT&NG explained that MoFPED had not yet provided the Application Programming Interface (API) to facilitate the integration of the PDMIS with the IFMS. The Accounting Officer explained that the integration with Equity Bank, Stanbic Bank and Opportunity Bank were completed but would be commissioned to production once MoFPED signs the integration MoUs.

The Accounting Officer of MoICT&NG further explained that they had not integrated with MoTIC because MoTIC did not have a system to integrate with. However, MoICT&NG had developed a component within the FIS module.

I noted that Government had adopted a policy to use the Wendi mobile wallet as a payment platform to disburse funds to PDM beneficiaries through Government owned banks and all participating private financial institutions. With introduction of the Wendi mobile wallet, the two-way integration of the PDMIS with Commercial Banks conflicts the implementation of the Wendi payment system.

Recommendations

- The Accounting Officer of MoICT&NG should engage the stakeholders to ensure complete integration of the PDMIS with the existing systems.
- MoFPED and MoICT&NG should harmonize the integration of PDMIS and Wendi with Commercial Banks.

- d) **Review of PDMIS Records**
i) **Multiple loan approvals of the same individuals**

Review of the loan's disbursement report revealed that there were multiple payments to the same household/ individuals. I observed the following;

I noted multiple loan approvals and payments to 902 individuals who received loans amounting UGX.0.896Bn as summarized in the following table;

Table 46: Multiple Loans by same individuals

SN.	Category	No. of household/ individuals	Total loan amount (UGX)
1.	Duplicate NIN, same Name, same phone number	50	49,800,000
2.	Duplicate NIN, Same Name, different phone number	800	795,200,000
3.	Duplicate NIN, different name, different phone number	52	50,720,000
	Total	902	895,720,000

Multiple loan disbursements deny potential beneficiaries obtaining from PDM funds hence undermining the PDM objectives.

- ii) **Multiple Approval of loans to the Same Households**

Paragraph 3.4 of the Users Handbook for the Parish Revolving Fund (PRF) Under PDM Pillar 3 - Financial Inclusion, October 2022 provides a loan size for each household including charges and insurance, not to exceed UGX.1million shillings per household. For avoidance of doubt, a household is defined as an individual (including single people who live alone) or group of persons that live together, cook together and eat together.

I noted from my review of PDMIS records, that loans amounting to UGX.10.432Bn for 5,710 households were approved multiple times through 10,646 individuals.

Multiple loan disbursements of PRF to the same household denies potential beneficiaries from obtaining PDM funds hence undermining the PDM objectives.

- iii) **Loans Approvals for Members of Un-registered Enterprise Groups**

Paragraph 4.1.7 (b) of the Users Handbook for the Parish Revolving Fund (PRF) Under PDM Pillar 3 - Financial Inclusion, October 2022 provides that the guarantors are the Enterprise Group members. The members are known third parties who encourage the borrower to meet their loan obligation, beside fear of social backlash.

My review of the PDMIS records revealed that UGX.0.826Bn was approved for 832 beneficiaries yet they were from un-registered enterprise groups.

This would make it difficult to enforce recovery in the event a member defaults given that group members are co-guarantors to the loan beneficiaries.

iv) **Existence of Loan Amounts below UGX.1Mn in the PDMIS**

Paragraph 4 (a) of the circular on the implementation of financial inclusion activities under the parish development model during the stabilization phase ref: EDP 86/103/02 vol.3 dated 8th January 2024 provides that the loan amount for each borrower should UGX.1Mn.

I noted that a total of UGX.8.611Bn loan amounts to 13,844 beneficiaries in 94 LGs whose individual loan amount were less than UGX.1Mn were captured in the PDMIS.

Regarding all the issues raised during the review of the PDMIS records, the Accounting Officers of LGs explained that they did not have the mechanism to track whether beneficiaries from the same households had already applied and received PRF funds. The Accounting Officer of MoICT&NG attributed the shortcoming to;

- Disbursements by LGs that had earlier been made outside the PDMIS but later advised by the PS/ST in the January 8th 2024 circular, to capture those records in the system. During capture of backlog entries, the system revealed that some households had two or even more individuals who had received funds. While there were multiple approvals, these were not paid through the system.
- Loan top-ups after the Cabinet directive that each household must receive UGX.1Mn hence creating duplicate entries.

However, I noted that the loan data report extract provided by MoICT&NG could not show the distinction between top-up loans and new loans.

The Accounting Officer of MoICT&NG explained that the controls were effective going forward.

MoFPED explained that the President, during his wealth creation tour in the Sebei sub-region, ordered the PDM Secretariat and relevant authorities to investigate the issue of approval and disbursement of loans that are below UGX.1Mn. Going forward, the Wendi wallet has been configured to ensure that all PDM loans are exactly UGX.1Mn.

Recommendation

The Accounting Officers of LGs and MoICT&NG should institute corrective measures to address the identified gaps in PDMIS, including making thorough data clean-up in the PDMIS.

2.2.3.6 Monitoring and Evaluation Framework

Paragraph 7.2 of the Implementation Guidelines for the Parish Development Model, February 2022 states that;

- The Government shall develop PDM Results Framework which should at higher level make it possible for the PDM to feed into the Industrialization Policy, the NDP III Framework; and the National Vision.
- The M&E tools shall entail the annual reports to the PDM National Policy Committee.

- The M&E tools shall entail a National Survey every two years, to measure progress of the PDM.

I reviewed the Monitoring and Evaluation Framework and noted that;

- The PDM Results Framework had not been developed hence there were no performance indices for the Parish based subnational level outcome results for each Pillar which makes it difficult to track implementation progress.
- The National Survey to measure progress of the PDM was not carried out.
- The Government Annual Performance Report (GAPR) from the Office of the Prime Minister did not mainstream PDM into the report.

The above shortcomings will make it difficult to measure the outcomes of the strategy in the FY 2024/2025 at the closure of the NDP III and going forward.

The PDM Coordinator explained that the Secretariat together with other stakeholders was in the process of developing the Monitoring and Evaluation Framework.

Recommendation

The PDM Secretariat should fast track the development of the PDM Result Framework that will enable the monitoring and evaluation of the strategy.

2.2.3.7 Follow-up on Risks identified in prior year Audit **a) Creation of vulnerability index databases**

Paragraph 4.1 of the Parish Development Model Pillar 2 - Infrastructure and economic services operation Manual, May 2023, provided that the vulnerability index should be calculated using information obtained on the PDMIS in the area of existing status, economic activities, security requirements, geographical location, population, existing similar development programs, among others. Each activity lead Ministry (MoWT, MoLG, MoWE, MoEMD, ICT&NG, and MoLHUD) would develop its formula for calculating the Parish Vulnerability Index, which would be submitted to the Pillar Working Group for approval. The vulnerability index should be utilized at the PDM activity planning stage.

The seven (7) activity lead ministries did not develop the formula to calculate the Parish vulnerability index. The Parishes that urgently needed social services may not have been prioritized during pillar activity selection.

Parishes with urgently needed social services (projects) may not be prioritized during pillar activity selection.

The Accounting Officers attributed this to the incomplete data collection and registration.

Recommendation

The Accounting Officers of MoWT, MoLG, MoWE, MoEMD, MoICT&NG, and MoLHUD should ensure that the respective vulnerability index formulae are developed and approved.

b) Exclusion of Parish/Wards in MOFPED PDM Plans/Budgets

I noted that MoFPED maintained a parish database of 10,594 as a basis for funding PDM SACCOs in the FYs 2022/2023 and 2023/24. However, the list of gazetted administrative units as at June 2022 from the MoLG indicated 10,717 parishes, thus leading to a variance of 123 excluded parishes.

Omission of gazetted parishes/wards excludes them from benefiting from the PRF funding which undermines the PDM objective and distorts the planning and budgeting for the programme. As a result, the PDM objective of eradicating poverty may not be achieved, thus affecting economic transformation.

The Accounting Officer of MoFPED explained that the PDM budget for the affected financial years in question, was informed by a schedule of 10,594 gazetted parishes in 176 Local Governments and Kampala Capital City Authority submitted by Ministry of Local Government (MoLG) therefore this was the official list used by MoFPED for PDM payments.

The PDM Coordinator explained that MoFPED and MoLG are reconciling the number of gazetted and operationalized parishes.

Recommendation

The Accounting Officers of MoFPED and MoLG should expedite the reconciliation of the number of parishes to align the budgeting for PDM SACCOs with the number of gazetted and operational parishes/wards.

c) Un-funded Parishes

Analysis of MoFPED's payment file for the FY 2023/24 indicated that UGX.1,058.750Bn had been paid to a total of 10,589 SACCOs out of the anticipated 10,594, implying that five (5) parishes with expected PRF of UGX.0.500Bn were not paid as shown in the table below;

Table 47: Unfunded SACCOs

SN.	Name of HLG	Parish Name	Expected PRF (UGX 'Mn)
1	Moroto	Nadunget	100,000,000
2	Yumbe	Kanabu	100,000,000
3	Otuke	Okwang Trading Center	100,000,000
4	Kapelebyong	Kapelebyong	100,000,000
5	Bushenyi	Kitwe	100,000,000
	Total		500,000,000

As a result, the objectives of the PDM in the five (5) parishes were not achieved. MoFPED explained that the Accounting Officers of the affected LGs had confirmed that the five (5) parishes were not operational.

Recommendation

The Ministry of Local Government should verify the existence of the five (5) parishes and if found to be non-existent should notify MoFPED to exclude them from the budget.

d) Delayed Completion of PDM data collection

According to the PDM implementation road map for UBoS, data collection was jointly launched by Uganda Bureau of Statistics (UBoS) and Ministry of Information Communication Technology and National Guidance (MoICT& NG) in 181 HLGs on 6th June 2022 and was expected to be concluded on 31st July 2022. The data collection exercise was carried out by a mix of parish Chiefs/Town agents and other recruited officials with good understanding of the community, literate, public servant and possessing a SMART phone, with UBoS's role being review of the questionnaires and advising the MoICT on data collection.

Paragraph 30 of the Circular on the Implementation of the Financial Inclusion Pillar of the Parish Development Model in the stabilization phase from the PSST dated 8th January 2024 ref: EDP103/86/02 vol.3 states that Accounting Officers should prioritize 100% data collection/household registration in order to have in place a complete Parish Register by the end of January 2024.

However, a review of the status of the PDM data collection as reviewed from the PDMIS National Household Registration Reports as of April 2024 revealed the following anomalies;

- Household level data collection was at 79.93% progress level.
- Population registered was only at 46.30% progress level.

Details are in the table below;

Table 48: PDM Data collection and Registration

Details	Expected Number	Actual Number	Percentage Covered %
Number of Households Registered	9,800,000	7,832,965	79.93
Total Population Registered	48,931,207	22,654,113	46.30
Number of Villages Profiled	71,572	8,216	11.48

Source: Analysis of data from PDMIS Registration module

This data should have been the basis upon which the population would be profiled to identify qualifying beneficiaries, as well as facilitate periodic reviews and impact assessments. It should be noted that the criteria/algorithm for identifying Subsistence Households was suspended and development of the vulnerability indices was not carried out due to lack of appropriate data.

The Accounting Officer of UBoS explained that the budgeted funds for PDM Services had been reallocated to the National Population and Housing Census Data collection and analysis. However, the results from the 2024 census had not been integrated into the

PDMIS. MoFPED explained that a steering committee had been established to review and guide on the applicability of the 2024 Census results in the PDMIS.

The Accounting Officer of MoICT&NG attributed the delay in completion of data collection to inadequate funds and lack of gadgets. In addition, the Accounting Officer explained that the gadgets had since been secured from UBoS after the 2024 census exercise and that their distribution to parish chiefs was ongoing. The Accounting Officer of MoICT&NG further explained that the pillar working group technical team including UBoS had already initiated working on census data sharing to form a complete baseline for PDM.

Recommendation

The Accounting Officer of UBoS in liaison with the MoICT and the PDM Secretariat should integrate the results of the census into the PDMIS data collection and registration module to facilitate profiling and identification of subsistence households.

e) Licensing of PDM SACCOs Under the Microfinance Institutions Money Lenders Act

A SACCO shall not carry on the business of provision of financial services to its members unless it is a registered society and licensed under this Act or it is operating on a probationary period pending registration under the Cooperatives Societies Act or it has applied for a licence under this Act.

10,589 SACCOs that received PRF funding in the FY 2023/24 were not licensed to take on the business of lending under Microfinance Institutions money lenders act.

As a result, enforcement of recovery of PRF funds from beneficiaries by the PDM SACCOs may be legally challenged leading to loss of funds.

The Accounting Officers of LGs explained that the SACCOs were still under the probationary period and there was delayed release of guidance on licensing of PDM SACCOs by the PDM Secretariat. However, on verification I noted that the two (02) year probationary period had elapsed.

Recommendation

The Accounting Officers of LGs to engage the PDM secretariat to ensure that the SACCOs are registered as per requirements of the cooperative Act.

f) Registration of Enterprise Groups as Community Based Organizations

The PDM Enterprise Groups shall be registered by the Community Development Officers at the Sub-County, as a Community Based Organization. A copy of the certificate of Registration of the Enterprise Group (together with details of the members of the Group) shall be sent to the Chairperson of the PDM SACCO and to the DCO.

6,181 Enterprise groups in 460 PDM SACCOs in 18 LGs were not registered by the Community Development Officers at the Sub County as Community Based Organizations (CBOs).

Irregularities in registration of Enterprise Groups could lead to loss of PRF due to funding illegitimate enterprises.

The Accounting Officers attributed this to scepticism by the community that led to non-responsiveness and inadequate funding for printing certificates.

Recommendations

The Accounting Officers of LGs should ensure that;

- The communities are sensitized on the reality and importance of the programme.
- Adequate budget allocations to facilitate printing of certificates.

Conclusion

The Government envisaged that the adoption of the Parish Development Model (PDM) strategy would improve service delivery and the incomes and welfare of all Ugandans at the household level by transforming 39% of households from a subsistence economy to a money economy.

Whereas a lot has been done to implement the strategy, there are still notable areas that require improvement and as such Government should consider implementing the recommendations in this report to address the challenges highlighted above for better management of the PDM.

2.2.4 Audit of Procurement Management

Introduction

Government spending on procurement of goods and services is substantial. It is therefore essential that the government procurement is well managed. In this regard, the Electronic Government Procurement (e-GP) was introduced in 2016, aimed at automating the public procurement processes to enable the interaction of Government to business (G2B) services. The Government entities' procurement processes, in relation to the purchase of goods, works, services and non-consultancy services are to be undertaken online.

The e-GP aims to standardize the electronic documents, supplier registration, provide information on goods and services and encourage online bidding and procurement management. All these should engender transparency, efficiency, and accountability in government procurement processes.

The medium-term plan was to roll out e-GP to 200 entities, however, only 36 entities have been onboarded on the system. The system has also undergone various updates aimed at serving the stakeholders involved in public procurement better. I undertook a

review of procurement management in 72 entities, 36 of which were on e-GP and had planned procurements worth UGX.10.58Tn. The other 36 entities were still on the legacy system. I noted the following;

Key Findings

- i) There has been a delay in rolling out e-GP to government entities. Only 36 (33 MDAs and 3 LGs) out of the planned 200 MDAs/LGs (mediums term planned entities) have been onboarded to the e-GP system, representing 18%.

I further noted that some of the 36 entities are using the system partially due to the incomplete development of the system. Consequently, some procurement activities are done outside the system, thereby limiting the transparency the system was acquired to achieve.

As technology continues to evolve, the risk of the current e-GP system becoming obsolete increases before other entities are onboarded. The slow implementation negatively impacts on the intended service delivery and undermines the attainment of the intended benefits, including enhanced transparency, efficiency and cost savings.

The Accounting Officer explained that the slow rate of roll out of the system was initially due to unjustified high costs demanded by the vendor for change requests from Government. He indicated that a new vendor was sourced for system development and enhancement in June 2020 with delivery schedules. He further added that the development contract with the new vendor expired on 4th December 2024 and alternative options for system development, enhancement and roll out were being discussed by Management with a new roll out date of July 1, 2025.

- ii) Out of 72 entities, 11 (15%) undertook sixty-three (63) unplanned procurements worth UGX.59.02Bn. There is a risk of such entities exceeding their procurement budgets, potentially leading to domestic arrears. This was caused by poor planning and budgeting.

The Accounting Officers explained that the procurements were initiated in prior periods and completed in the current year and thus not included in the current year's plans.

- iii) I noted the splitting of nineteen (19) procurements worth UGX.2.40Bn, without following the criteria, contrary to Regulation 10 of the PPDA (Rules and Methods for Procurement of Supplies, Works and Non-Consultancy Services) Regulations, 2023.

This was noted in five (7%) out of 72 sampled entities. Although the practice reduces reliance on a single provider and may involve various expertise, there is risk of collusion by suppliers, which undermines fair competition. In addition, the entities lose out on cost efficiency from bulk buying.

- iv) Irregular initiation of procurements was noted in 8 (11%) entities, where twenty-one (21) procurements worth UGX.42.79Bn were undertaken. The procurements lacked requirements such as approval from the Accounting Officer and confirmation of availability of funds. There is risk of financial over commitment, which leads to budgetary constraints in future periods thus impacting the entities' ability to deliver their mandates.

The Accounting Officers attributed the above to the need to undertake emergency procurement of critical goods and services.

- v) Seventy-nine (79) procurements worth UGX.25.45Bn were undertaken by 13 entities (18%) out of the sampled 72, without obtaining market prices to support the estimated values of the procurements. This leads to award of contracts at unreasonable and uneconomical prices.
- vi) I noted that 79 procurements worth UGX 1,062.45Bn in fourteen (14) entities took an average of six (6) months from initiation to final contract signing. Delayed procurements hinder timely service delivery and increase contract costs through inflation/fluctuations in prices and/or exchange rates.

The Accounting Officers explained that the delays were due to delayed responses from various stakeholders during the procurement process.

- vii) Ten (10) entities, out of 72 procured 44 contracts worth UGX.47.13Bn without requiring performance security. This exposes the entities to financial risk, when contractors fail to fulfill their obligations and there isn't any recourse to recovering the funds, leading to projects being delayed or rendered incomplete.
- viii) I noted 5 entities that undertook 14 procurement evaluation processes without following the prescribed evaluation criteria as stipulated in the bidding documents, contrary to regulation 5(1) for PPDA (Evaluation Regulations), 2023. These procurements were worth UGX.2.93Bn.

This undermines fair competition, leading to perceptions of bias or favoritism in contract awards. In addition, it exposes entities to legal challenges from unsuccessful bidders, administrative reviews leading to delays in contract implementation and additional costs in the form of legal fees.

Recommendations

- i) I advised the Accountant General to expedite the completion of the system design and development and roll-out the implementation of the e-GP system to other MDAs/LGs to realise the full potential of electronic procurement in enhancing government efficiency, transparency, and accountability.
- ii) The Accounting Officers should enhance procurement planning processes by undertaking comprehensive needs assessments to ensure the procurement activities align with budget allocations. In instances of departure from the

procurement plans, the PDEs should review and update the procurement plans accordingly.

- iii) I advised the Accounting Officers to adhere to the regulations on contract splitting, unless justifiable reasons for are explicitly documented and approved.
- iv) I advised the Accounting Officers to ensure the PDEs undertake adequate procurement planning to avoid the purported emergency procurements. In addition, the Accounting Officer should strengthen controls on procurement initiation to enhance adherence to the regulations.
- v) I advised the Accounting Officers to ensure market assessments are done before procurement initiation to avoid overestimation of costs of items/materials, which potentially lead to overpayments.
- vi) I advised the Accounting Officers to streamline the procurement processes and timely engage the various stakeholders in the procurement process to reduce delays.
- vii) I advised the Accounting Officers in future to ensure that all contractors for supplies and works that are subject to this requirement, provide performance security to mitigate financial risks associated with non-performance of contracts.
- viii) I advised the Accounting Officers to enforce adherence to the evaluation criteria in the bidding documents to promote transparency and fairness in the procurement process which builds trust among bidders and the public.

Conclusion

While the introduction of e-GP represents a significant step toward digitalizing government procurements, further efforts are required to overcome the existing challenges and roll out the system's benefits across all government entities to enhance transparency, competitiveness and accountability in Government procurement processes.

PART III: VALUE FOR MONEY AND ENGINEERING AUDITS

3.1 Value for Money Audits

During the year, I undertook 29 Value for Money (VFM) audits on a broad range of Government programs, in fulfilment of my mandate enshrined in Article 163(3) (b) of the Constitution of the Republic of Uganda 1995 and amplified in Section 21 of the National Audit Act Cap. 170. The audits were completed, and the detailed individual reports were issued to respective government entities.

Eight (8) were follow-up on implementation of recommendations of Value for Money audits undertaken in earlier years, while 21 relate to audits completed during the year. The summaries below present key findings from the VFM reports;

3.1.1 Implementation of the National ICT Initiatives Support Program by the Ministry of Information & Communications Technology and National Guidance

Introduction

Information Communication Technology has become a transformative dimension of service delivery and a key driver of social and economic development. In the National Development Plan (NDP III), Uganda committed to increasing government services online to 80% by 2024/25, through an overarching digital Vision for Uganda, whose aim is to align Information and Communication Technology (ICT) investments in the various sectors in a manner that will improve the country's Global ICT indices for purposes of attracting investors.

Despite Government's emphasis on local ICT Innovation and commercialisation, Uganda is still heavily reliant on importation of ICT solutions. This reliance on imported ICT solutions is not only financially costly but deprives local innovators of the opportunity to provide locally developed ICT solutions as a means of participating in the country's economic development. In 2017, the Government through the Ministry of ICT and National Guidance embarked on a National ICT Initiatives Support Program (NIISP) to create an ICT ecosystem which provides local innovators with the necessary financial, technical and infrastructure resources to incubate, develop and market their products in Uganda, the East African Region and beyond.

I undertook a Value for Money Audit, to assess the effectiveness of the implementation of the Program in attaining the objectives and outcomes identified at the start of implementation.

Key Audit Findings

Audit noted the following achievements by the Ministry of Information and Communication Technology and National Guidance (MoICT) in implementation of the National ICT Initiatives Support Program (NIISP);

- (i) A National ICT Innovation Hub was constructed in Nakawa at a cost of UGX.11.14Bn to provide free office space, internet and technical support necessary for local ICT innovators to develop their products. The National ICT Innovation Hub employs 7 staff. The Ministry equally set up regional hubs at Muni, Soroti and Kabale Universities at a combined cost of UGX.750 Mn to provide the same services to innovators across the Country.
- (ii) An online system for managing applications from innovators and assessing their applications was developed for enhanced accountability and transparency of the innovator selection process.
- (iii) Seven (7) local innovation hubs namely, Innovation Village, Outbox, Makerere Innovation and Incubation Centre (MIIC), Techbuzz, Resilient Africa Network, Hive Colab and CAMTech, were engaged by MoICT as NIISP implementation partners to provide support to innovators.
- (iv) Eight (8) locally developed ICT systems namely; EMIS, E-poster, Electronic Document Management System, Academic Information Management System (AIMS), Caucus, Online Business Registration System, Electronic Government Procurement System and Integrated Health Management Information System were deployed for use by different MDAs to solve problems related to digitization of procurement processes, document management, online business registration, online learning plus student experience management by universities.

Despite the achievements above, the audit identified areas of improvement that need to be addressed as indicated below;

i) **Non-Achievement of program outputs**

The Ministry set out to achieve 5 outputs through the program namely;

- To provide systematic and sustainable support to national ICT innovators,
- To establish and operationalize ICT innovation parks,
- To promote ICT products, services and solutions for improved service delivery using digital marketplaces as part of a wider digital ecosystem,
- To promote local electronics manufacturing and assembly, and
- Program Management.

The Audit established that none (0) was fully attained, four (4) were partially attained and the promotion of local electronics manufacturing and assembly was not implemented at all. In addition, the Program targeted to improve Uganda's global innovation index ranking from 99th /128 in 2017 to 75th /128 in 2022 and to create 2.3 million jobs, however, by 2023 Global ICT index had declined to 121st/132 countries. Equally, only 570 out of the targeted 2.3 million new jobs were created.

ii) **Lack of an enabling legal environment**

The Program lacked the requisite legal framework as the ICT innovation and manufacturing policy and Program implementation guidelines among other key policy

tools were not developed. This was because the development of the required legislative instruments and review of existing laws to foster effective program implementation was not prioritised.

iii) **Non-existent Governance structures**

Out of the eight (8) program implementation support committees namely Program Steering Committee (PSC), Program Management Unit (PMU), Innovation technical support (Selection) Committee, Monitoring & Evaluation (M&E) committee, Procurement and contracts committee, Financial and Audit committee, Publicity, Branding, and Marketing committee and Legal and Intellectual Property Rights (IPR) Committee which were supposed to form the back bone of the program's governance structure, only one (selection committee) was formed.

iv) **Limited Support to local innovators**

Under the Program, MoICT & NG had a target of supporting 500 local innovators during the five financial years of Program implementation i.e. 2017/2018 to 2021/2022. Despite receiving a total of 1,902 applications for financial support from qualifying local innovators, only 115 innovators (representing 23 percent of the target) were selected to benefit under the NIISP Program.

v) **Development and use of developed innovations/products**

Out of a sample of 50 innovators interacted with during the audit, only 45 reached the development stages of their products. However, of the 45 completed products, only 24 (53 percent) were deployed and being used at the time of audit. Various products were still under incubation despite the time lag after receipt of funds. There is thus no value for money obtained from those products. This is attributed to the Ministry's inability to connect innovators to the respective MDAs and private players whose input and funding were crucial to the completion and deployment of their innovations.

vi) **Lack of Customization of training and research support to innovators**

There was no customisation of research and training support given to innovators directly by the Ministry and/or through the innovation hubs contrary to implementation guidelines. Given the unique nature of each innovation, the absence of customised support undermined the effectiveness of the research and training interventions.

vii) **Non-Establishment of ICT parks**

The two (2) ICT parks expected to be established under the NIISP Program for a combined sum of UGX.13.8Bn were not established. Instead, an innovation hub at Nakawa, with fewer benefits (like facilities and technical support) to innovators than a park was constructed and equipped at a total cost of UGX.11.145Bn. Three other regional innovation hubs were equipped under the Program at Kabale, Muni and Soroti Universities at a combined cost of UGX.750Mn. This was attributed to unrealistic cost estimations leading to under budgeting for the parks.

viii) **Limited Program monitoring and evaluation**

The Ministry of ICT & NG did not conduct Baseline studies to establish the status of five (5) key Program indicators before Program commencement. In the absence of this baseline information, there were no yardsticks against which indicator information obtained from monitoring and evaluation can be evaluated to assess the extent of achieving of Program objectives.

In addition, only four (4) out of the targeted 28 M&E reports were produced, representing 14% performance. The produced reports also focused on only 45 out of the 115 innovators and captured information on only 9 out of the 50 indicators designed to assess MoICT & NG's performance under the program.

These anomalies were attributed to the Ministry's failure to constitute an M&E committee for the program.

Key Recommendations

I advise the Accounting Officer of MoICT & NG to implement the following recommendations to enable Government maximise benefits obtained from the Program;

i) **Legal environment reviews and reforms**

Take part and encourage a government-wide evaluation and development of laws, regulations and legal tools to enable Government's prioritization of locally developed ICT solutions and innovations.

ii) **Program funding structure reforms**

In a bid to enhance innovator accountability and responsibility for the funds given to them, the Program should explore the option of funding innovators using grants and adopt a loan scheme where the funds are advanced as loans which are repayable after a pre-agreed time period.

Alternatively, to boost funding and increase private sector participation, a guarantee scheme, where government insures private sector investors who provide funding to innovators against losses attributable to selected innovations can be explored.

iii) **Sustainability assessment and prioritization**

Engage developers and innovators whose products could not be sustained beyond the support received under the Program. The engagement should focus on identifying the root cause of each innovator's failure to sustain their innovation beyond the Program support period and finding practical alternatives and solutions.

iv) **Innovator and innovation database creation**

Create a database for innovators and innovations that can be made accessible to all stakeholders for future reference, funding or innovation purchase.

v) **Post M&E framework**

Engage UBOS and other stakeholders for indicator data such as job creation in the ICT sector and IT products uptake which will be useful in performing a retrospective evaluation of the Program's performance over the years of its implementation i.e. 2017/18 to 2021/22.

Overall Audit Conclusion

Despite commendable efforts and achievements registered under the NIISP, there is still insignificant progress towards creating a systematic and sustainable enabling environment for: nurturing, promoting and uptake of locally developed ICT innovation for socio-economic development. Whereas conditions such as the fast-paced technological evolution, existence of competitive international solutions with wide integration capabilities and budget cuts are beyond the control of MoICT & NG, the audit noted inefficiencies in implementation of the NIISP. The Program's success was undermined by the non-prioritization of supporting legal and governance structures, non-implementation of some key planned Program activities, failure to provide customised non-financial support to innovators plus selective follow up and reporting of the Program M&E function.

3.1.2 Promotion and uptake of Improved Agricultural Varieties by the Ministry of Agriculture, Animal Industry and Fisheries

Introduction

The Ministry of Agriculture, Animal Industry and Fisheries (MAAIF) through its variety release committee has approved and released various improved agricultural varieties/technologies to the market. In the last three years, 68 plant candidate lines were submitted to the variety release Committee out of which 48 plant candidate lines were approved, multiplied and subsequently released to the farmers.⁴ In addition, MAAIF developed and piloted the National Food and Agricultural Statistical System (NFASS) and e-extension systems to track and maintain performance statistics. Further, 98 seed companies were certified to multiply and distribute certified seed, while 833 agro input dealers were licensed to provide inputs to farmers in the last three (3) years of 2020/2021, 2021/2022 and 2022/2023.

I carried out a Value for Money audit and observed that despite the above achievements, there were areas that needed attention to promote the uptake of improved crop varieties/technologies. Below are the key findings and recommendations for the Government to implement.

Key Audit Findings

- (i) Performance reports were manually produced by all the district production departments. The manual data collection templates were not standardised and

⁴ Compendium of Technologies developed by NARO 2012-2022

interlinked to the National Food and Agricultural Statistical System (NFASS) to enable real time monitoring and evaluation of improved varieties. Currently, the Ministry has embarked on piloting the e-extension system in only 74 out of the 135 districts.

- (ii) Farmers could not fully adopt the improved seed varieties due to the limited number of seed breeders and distributors which has resulted in relatively high price at which the farmers buy the improved varieties. The variance in average prices between what the farmers were willing to pay and the average market price of the varieties was more than 50% in 9 of the 15 varieties analysed which affected uptake of the varieties by the farmers.
- (iii) Currently, the Ministry has only 20 substantive inspectors against the ideal number of 71 superintending over the entire country. This has resulted in the Ministry delegating enforcement responsibility to the extension workers who are already inadequate for their function. This has affected the capacity of the Ministry to undertake regular inspections to ensure that the market is free from uncertified varieties.
- (iv) Sensitization of extension workers by MAAIF to support farmers was last undertaken in 2018. Similarly, no sensitization of farmers by extension workers on the improved varieties was undertaken in the previous three (3) year period hence limiting dissemination of knowledge about the new crop varieties.
- (v) The existing institutional coordination frameworks between MAAIF, NARO and Extension services were not functional to support joint planning for the promotional activities. This affected the effectiveness of promotional activities.

Key Recommendations

The Accounting Officer is advised to;

- i) Fast track the full roll out of the e-extension system which is interlinked to the NFASS in all the 135 District Local Governments to enable real time monitoring and evaluation of performance of improved varieties.
- ii) Explore options for increasing the number of seed breeders and distributors to lower the breeding and distribution costs and ultimately the price of the improved seed.
- iii) Engage MoPS to recruit more inspectors and extension workers to address the current shortage to undertake more seasonal inspections.
- iv) Ensure that sensitization is prioritized at planning and budgeting. In addition, the Ministry should expedite the engagement with NARO and its ZARDIs to supplement the Ministry's sensitization activities.

- v) Enhance and fully operationalize the existing institutional coordination frameworks which will improve coordination amongst the three (3) key entities. In addition, NARO should enhance dissemination of information through the ZARDIs where the interaction between the key stakeholders is coordinated by extension workers.

Overall Audit Conclusion

The MAIIF, through the Variety Release Committee approved various improved crop varieties/technologies developed by NARO. Despite the approval and release of improved varieties, the audit established that largely the measures put in place to promote the uptake of these crop varieties have not achieved the desired outcome due to; incomplete and unreliable performance statistics for decision making, relatively high prices at which the agro-dealers sell seed, inadequate enforcement inspections, limited sensitization for extension workers and farmers about new crop varieties, ineffective monitoring and evaluation of performance and inadequate coordination between the key players responsible for promoting the uptake of improved crop varieties.

The audit has made recommendations which if implemented, will improve the promotion and uptake of new crop varieties/technologies by farmers.

3.1.3 The Regulation of the Dairy Industry in Uganda by Dairy Development Authority

Introduction

The Dairy Development Authority (DDA) has undertaken measures to regulate the dairy industry, which has increased milk production by 37% from 2.81 billion litres in the FY 2020/21, to 3.85 billion litres in the FY 2022/23. In addition, the measures have resulted in improved domestic consumption from 46 litres to 64 litres per capita, an increase in the number of registered dairy processors from 130 in 2022, to 160 in 2024, an increase in number of milk collection centres from 483 in year 2022, to 729 in the year 2023, while milk coolers have increased over time from 355 with a capacity of 1.5 million litres in 2016, to 791 in 2023 with a capacity of 2.8 million litres.

Furthermore, there has been improved compliance of milk and milk products to international standards which has increased the export value from USD.102.6Mn in 2021/22, to USD.264.5Mn in 2022/23.

Despite these achievements, some gaps were identified during the audit as detailed below;

Key Audit Findings

- i) The current regulations being used by DDA are inadequate to effectively regulate the dairy industry. The regulations were last updated in 2015, which is nine (9) years ago. The draft revised regulations were still with the MoJCA and MAIIF, awaiting completion of the RAPEX process.

- ii) DDA lacked adequate statistics on licenses withdrawn, premises closed, and dairy products destroyed/recalled due to absence of a comprehensive system at the regional offices to enable capturing and consolidation of the performance statistics. This has affected planning and performance assessment for regulatory activities.
- iii) 60 (28%) dairy handlers inspected were operating without licenses due to limited inspection coverage by the 19 out of the ideal 28 DDA inspectors. These handlers were operating from unhygienic places and dealing in unprocessed milk which exposes the public to health risks.
- iv) 92 (44%) of the 211 registered dairy handlers inspected were not adhering to the DDA set standards of hygiene. The handlers were using non-food grade materials, operating in unhygienic conditions. This further exposes the public to the risk of consuming unhealthy and unsafe dairy products.
- v) The current enforcements, market surveillance and follow-up inspections were inadequate to cover production and handling of the milk before it is delivered to the collection centres because DDA relies on the services of the Directorate of Animal Production under MAAIF which is not undertaken.
- vi) 66 (76%) out of 87 recommendations by DDA inspectors were not followed by DDA due to limited staff and the high staff turnover in anticipation of RAPEX. This negates the purpose for conducting the inspections.
- vii) Two (2) out of six (6) milk sheds did not have dairy laboratories. The four (4) operational laboratories were not adequately equipped. In addition, the National Dairy Laboratory was not accredited by UNBS. This influences the quality of milk and milk products.
- viii) Dairy products for 27 (69%) out of 39 sampled processors were not certified by UNBS due to the lengthy certification process. Operating without UNBS certification may result in public health risks.

Key Recommendations

The Accounting Officer is advised to;

- i) Follow-up with MoJCA and MAAIF with a view of having the draft regulations approved without further delay.
- ii) Improve the quality of the data capture system at the regional offices to ensure that performance statistics are collected and consolidated in a timely manner.
- iii) Enhance the sensitisation of the dairy handlers on the benefits of registration and licencing going forward as well as liaising with MoFPED and MoPs to address the challenges of old fleet and understaffing.

- iv) Enhance the quality of inspections undertaken by its inspectors to ensure that only dairy handlers that meet the criteria are registered.
- v) Engage with the Directorate of Animal Production and come up with a mechanism through which on farm activities are inspected.
- vi) Liaise with MoPs and ensure that the vacant positions for inspectors are filled and replacements for the staff who left the organisation.
- vii) Prioritise the equipping of the four (4) laboratories, putting in place laboratories in the two (2) milk sheds without laboratories.
- viii) Enhance the co-ordination between DDA and UNBS to ensure that licensed dairy handlers obtain certification in a timely manner.

Overall Audit Conclusion

The Dairy Development Authority plays a crucial role in overseeing and regulating the dairy industry. Whereas the Authority has made significant efforts in regulating the industry, there are areas that require attention if the regulatory function is to be more effective. These areas include gaps in the existing legal framework, non-registration of all dairy handlers, limited enforcements and surveillance and inadequate follow-up on implementation of inspection recommendations among others. These challenges, if not addressed, can hinder the full realization of the regulatory objectives set by the DDA.

The audit has made recommendations which, if implemented, will improve the regulatory effectiveness of DDA in the dairy sector.

3.1.4 Supervision of District Service Commissions by the Public Service Commission

Introduction

The Public Service Commission (PSC) is mandated to supervise the operations of the District Service Commissions (DSCs) to ensure that they execute their mandate in an efficient and effective manner. The department of guidance and monitoring at the PSC, which is responsible for the supervision of the DSCs, is 96% staffed and has been fully funded. In addition, the Commission had received, considered and taken a decision (approve or reject) on all the applications for approval of members of DSCs and as such the Commission did not have any backlogs. PSC had also planned to undertake induction trainings for 600 members, but inducted 875 members, representing a performance of 146%.

I carried out a Value for Money audit on the supervision by PSC of the DSCs and observed that despite the above achievements, there were areas that needed improvement to enhance the supervision of DSCs by the PSC. Below are the key findings and recommendations for government to consider;

Key Audit Findings

- i) Out of the 135 districts, 130 (representing 98%) had District Service Commissions with the required quorum of between three (3) to five (5) members to conduct business. Five (5) districts had less than the required quorum due to delays to nominate members to replace those who died or whose contracts had expired. This affected the performance of these DSCs.
- ii) Five (5) DSCs had backlogs due to the insufficient number of sittings, failure by Chief Administrative Officers (CAOs) to make submissions for consideration by the DSCs in time and the low local revenue from which the activities of DSCs are funded. As a result, UGX.30.6Bn meant for recruitments, confirmations and promotions in the various districts was returned to the consolidated fund, over the four (4) year period.
- iii) The PSC did not undertake needs assessment in all DSCs before conducting trainings because the activity was not prioritised in the annual work plans and budgets. As a result, the trainings were not informed by the capacity gaps and training needs of the DSC members.
- iv) Nine (9) out of the 135 DSCs were not inducted at all in the last four (4) years which affected the effectiveness in executing their mandates. In addition, PSC undertook refresher trainings for only 261 members out of the planned 285 due to the high turnover of the DSC secretaries since the majority are appointed in acting capacity.
- v) The PSC undertook only four (4) stakeholder engagements out of the planned seven (7) for the period under review due to failure to jointly undertake such related engagements with other government entities.
- vi) Performance assessments were undertaken by PSC in only 85 (33%) out of the planned 260 while no performance assessment was undertaken in 59 districts in the four (4) years under review. Further, although the existing e-recruitment system can accommodate a module through which performance assessment processes can be automated, the assessment tool used by the Commission was manual which affected the ease with which performance information can be accessed and analysed.
- vii) Only 62 (46%) out of 135 DSCs were monitored by the PSC in the period under review, due to an ineffective monitoring and evaluation unit, to routinely monitor and identify challenges faced by DSCs.
- viii) 75% of the sampled appeals took more than six (6) months to be disposed of, due to delays in obtaining legal guidance from Solicitor General and delays by the CAOs to provide additional information to support the process of appeals handling using the existing manual appeals handling system. This denied the applicants timely redress of their complaints and resulted in loss of trust in the process.

- ix) Despite the existence of the Service Commission's forum, there was minimal effort by the three (3) Commissions (PSC, HSC, and ESC) to handle cross cutting supervisory activities due to inactivity of the forum. This resulted in duplication of activities and sometimes issuance of contradictory guidelines to DSCs.

Key Audit Recommendations

I advised the Accounting Officer to;

- i) Follow up with all the DSCs that had less than five (5) members and ensure that they are fully constituted with the mandatory five (5) members to be able to conduct business.
- ii) Engage MoFPED to identify an alternative funding mechanism for DSC activities to address the funding shortfalls rather than relying on the uncertain and low local revenues collected by the districts.
- iii) Ensure that going forward, detailed needs assessments are prioritised in the Commission's work plans and budgets and once funds are released, this activity should be undertaken.
- iv) Ensure that going forward, regional inductions, refresher trainings and mentorships are prioritised in the Commission's work plans and budgets such that once resources are provided, this activity is undertaken in a timely manner. In addition, the PSC should engage Ministry of Local Government and Districts to explore the option of substantively appointing secretaries of the DSCs to address the challenge of the high turnover.
- v) Explore the option of having joint stakeholder engagements with Ministry of Local Government and Ministry of Finance, Planning and Economic Development, which hold regular and routine regional engagements/workshops with the same stakeholders to leverage on the attendance of the targeted stakeholders.
- vi) Explore adding a module on the e-recruitment IT system, to facilitate automation of all processes of guidance and monitoring department including the performance assessment of the DSCs.
- vii) Prioritise constituting and involving the monitoring and evaluation unit in the work plans and budgets going forward such that once funds are released, this activity is implemented.
- viii) Automate the appeals handling process and ensure that the system does not allow submission of appeals without complete supporting documents. In addition, the Accounting Officer should explore the option of hiring an internal legal officer to handle legal matters arising out of the processing and disposal of appeals.

- ix) Engage the ESC and HSC to revive the Service Commission's forum to enhance coordination among the three (3) Commissions.

Overall Audit Conclusion

The PSC has endeavored to supervise the DSCs and ensure that they execute their mandate. The audit has revealed areas that require attention from the PSC to improve the performance of the DSCs. These areas, if addressed, will improve the supervision of DSCs by PSC, leading to enhanced local governance and administrative efficiency.

3.1.5 Effectiveness of the Implementation of the Investing in Forests and Protected Areas for Climate-Smart Development Project by the Ministry of Water and Environment, National Forestry Authority and Uganda Wildlife Authority

Introduction

Uganda's forests, covering approximately 13% of the country's land area, are vital ecosystems that support diverse wildlife and provide essential services for local communities. The forestry sector has been crucial for Uganda's economy, contributing 3.5% to the Gross Domestic Product (GDP) annually between 2016 and 2019, while also providing energy for 88% of the population and supporting 1 million jobs. Recognizing the importance of sustainable forest management, Uganda has committed to increasing its forest cover from 11.5% in 2021 to 21% by 2030 as part of its updated Nationally Determined Contributions under the Paris Agreement. In addition, a wide range of tourism products including forest hikes, mountain climbing, gorilla tracking, and bird watching among others are offered in wild reserves and National Parks across the country.

The "Investing in Forests and Protected Areas for Climate-Smart Development" (IFPA-CD) project, a 6-year project (2020 to 30th June 2026) with total funding of United States Dollar (USD 148.2Mn) from the World Bank and USD 30Mn from the Ugandan government, aims to enhance forest management and conservation efforts. This initiative is critical given the alarming rate of deforestation in Uganda, which has seen forest cover decline from 24% in 1990 to just 9% by 2018 due to population growth, urbanization, and increased demand for biomass fuel threatening biodiversity and climate resilience.

The project has four components, namely (i) Improved management of protected areas, (ii) Increased revenues and jobs from forests and wildlife protected areas, (iii) Enhanced tree cover in refugee-hosting areas, and (iv) Effective project management and monitoring. These are implemented by the Ministry of Water and Environment, (MWE) National Forestry Authority (NFA) and Uganda Wildlife Authority (UWA).

Implementation of the project has encountered significant delays, starting from its signing by the World Bank on 20th March 2020, to its official launch in March 2022. Procurement delays have further affected many project activities due to the back-and-forth reviews between the World Bank and project implementing agencies. Additionally, the underutilization of funds raises concerns regarding the likelihood of meeting project

objectives within the remaining timeframe of one and a half years, as the project is set to conclude by 30th June 2026.

Key Audit Findings

Status of implementation

To achieve the project's goal of enhancing the sustainable management of forests and protected areas while increasing community benefits from these resources in targeted landscapes, the following outcomes have been accomplished;

a) Infrastructure and equipment

UWA Constructed of 27 km of electric fencing (18 km in Queen Elizabeth National Park, and 9 km in Murchison Falls National Park, built of a 10 km buffalo wall at Gisozi, Gitenderi, and Rukongi sites along the boundary of Mgahinga National Park as well as employing 340 community members. On the other hand, NFA procured a bulldozer and a tipper lorry as well as 28 motorcycles to enhance monitoring of Central Forest Reserves.

b) Community Involvement

Over 4,000 energy-saving stoves and 370 rainwater tanks were provided, benefiting communities around protected areas by UWA, and procurement of 5,940 beehives with essential equipment to support livelihoods of people surrounding forest reserves by NFA.

c) Forest Restoration

NFA restored an area of 1,745 hectares in Bugoma, Kagombe and Rwensambya Central Forest reserves as well as enriching 3,284 hectares of forest land with 982,878 seedlings since inception, and demarcation of 106.48 km of boundaries in Central Forest Reserves to enhance forest protection.

Despite the reported progress above, implementation challenges were noted. These included;

i) Funding and Absorption

The IFPA-CD project has encountered significant challenges related to fund absorption, with only 33.9% of the disbursed USD 43.5 million utilized as of September 30, 2024. The underutilization primarily stems from delays in procurement approvals and prolonged review processes between implementing agencies and the World Bank. Component 3, aimed at improving landscape management in refugee-hosting areas, exhibited the least absorption at just 1.4%, while Component 4, focusing on project management, had the highest absorption rate of 69.6%.

Activities such as Construction and renovation of staff houses, design and construction of jetty docking area Eco gates, construction of a picnic site in Bwindi Impenetrable

National Park, Agroforestry supply, and establishment of fuel woodlots in refugee host districts, among others are pending implementation.

ii) **Activity implementation delays**

Several planned activities under Component 1 have not yet been implemented due to various delays. For instance, the construction of staff housing for both the Uganda Wildlife Authority (UWA) and National Forestry Authority (NFA) has faced nine-month delays awaiting approvals from necessary regulatory bodies. Additionally, strategies for managing invasive species have been significantly delayed by over 25 months due to over quotation of costs by the contractor. These delays not only affect fund absorption but also pose a risk to achievement of project objectives.

iii) **Community Engagement and Support Limitations**

While some community engagement activities such as reducing human-wildlife conflicts through infrastructure improvements have been successful, beneficiary feedback indicates dissatisfaction with the level of support provided. Water harvesting tanks often serve multiple households, leading to rapid depletion during dry periods, and energy-efficient stoves require longer cooking times than traditional methods. Furthermore, manual invasive species removal is costly and unsustainable in the long term. To enhance project outcomes, it is essential to create channels for beneficiary feedback and provide advanced tools for invasive species management, ensuring that community needs are adequately addressed, and sustainability is prioritized.

iv) **Monitoring and Reporting**

Effective monitoring structures were in place, including quarterly reporting and a mid-term review. However, delays in data consolidation, updating of the Results Framework and submission impeded timely decision-making.

Key Recommendations

- i) I advised the Accounting Officer of the Ministry of Water and Environment in collaboration with other implementing agencies of National Forestry Authority and Uganda Wildlife Authority to implement the following measures to enable attainment of benefits from implementation of the IFPA-CD project.
- ii) Enhance Monthly Progress Reviews to facilitate close monitoring of fund utilization and ensure timely completion of project activities.
- iii) Streamline procurement processes and implement strategies for quicker approvals, including pre-emptive consultations with necessary regulatory bodies such as National Environmental Authority (NEMA) and the Solicitor General's office, to minimise procurement delays.
- iv) Develop a strategy to fast-track completion of delayed activities, such as the establishment of agroforestry systems, fuel woodlots, and community forest

regulations. Prioritize activities that have the most significant impact on reducing deforestation and supporting community livelihoods.

- v) Strengthen community engagement for beneficiaries to provide feedback on project activities, allowing for continuous improvement based on community experiences.
- vi) Enhance Follow-Up Mechanisms through the development and enforcement of systematic follow-up procedures to address recommendations from monitoring reports and World Bank missions promptly.

Overall Audit Conclusion

While the Investing in Forests and Protected Areas for Climate Smart Development project shows promise in enhancing forest management, increasing economic benefits from tourism, and improving community engagement, significant challenges remain especially in the form of procurement delays, low community needs assessment and feedback, coordination and routine monitoring of the project. Addressing these issues through adaptive management strategies will be crucial for achieving the project's long-term objectives. Continued investment in monitoring, stakeholder and community engagement, and resource allocation will be necessary to maximize the project's impact on Uganda's forest ecosystems and local communities.

3.1.6 Management of Work Permit Processes by the Directorate of Citizenship and Immigration Control

Introduction

A work permit is a legal document issued to foreigners who seek to invest, carry on business, work and reside in the host country. Worldwide countries regulate foreign workers through the issuance of work permits to control the entry, stay and exit of foreign workers. If unregulated, migrant labour creates competition for the local work force for the few available jobs. In Uganda, the regulation of migrant labour is through issuance and monitoring of work-permits by the Directorate of Citizenship and Immigration Control (DCIC).

Despite all the controls put in place by DCIC to issue and monitor work permits, several migrant workers are in Uganda illegally and doing jobs which should be reserved for locals, especially in the informal sector, where jobs do not require professional experience and qualifications. As a result, local businessmen have expressed their displeasure about the existence to illegal foreigners. In 2011, there was a strike by traders, under Kampala City Traders Association, expressing their disappointment at foreigners carrying out petty trades in Uganda.

In the last two financial years, there has been a notable increase in the number of work permits issued by the Directorate from 11,229 in FY 2020/21 to 14,185 in FY 2021/22, which is an increase of 26% in a period of one year. Despite this, there was no evidence of a corresponding increase in resources for the monitoring of expatriates. It is against

this background that the Office of the Auditor General decided to undertake a value for money study on the management of work permits by DCIC.

I observed that DCIC undertook various interventions to improve the management of work permits and achieved notable milestones and effective performance. These include amending the Uganda Citizenship and Immigration Control Act to align with the evolving needs of the Directorate, engaging with stakeholders, decentralisation of immigration services to regional offices, and investment in information systems such as the e-immigration system, Migration Information and Data Analysis System (MIDAS), and Personal Identification Secure Comparison and Evaluation System (PISCES) to simplify the application, processing, issuance, and monitoring of work permits. Furthermore, DCIC has recruited additional staff to enhance service delivery and ensure more efficient and accessible work permit management. Despite the notable performance, the following were observed;

Key Audit Findings

- i) DCIC does not follow-up to confirm whether employers appoint local counterparts to be trained, and neither does the Directorate assess whether skilled foreign nationals train and mentor Ugandans. This has affected the transfer of skills to Ugandans.
- ii) I noted several instances in the last three years where foreign nationals did not leave the country following the expiry of their work permits. For instance, 6,035 work permits expired and were cancelled, 5,048 (85%) of these expired and cancelled work permits did not leave the country. The continued stay of foreign nationals with expired or cancelled permits has resulted in illegal employment of foreign nationals and loss of revenue.
- iii) Whereas 102 foreign nationals were fined for overstaying their work permits in the period from July 2019 to June 2023, their respective employers were not fined for knowingly employing foreign nationals without valid entry permits. As a result, fines estimated at UGX.306Mn were not collected, resulting in loss of revenue to the Government.
- iv) The Directorate still faces some challenges while using the e-Immigration system, including limited coverage of the system, absence of key roles, failure to provide real-time notifications on over stayers, delays to migrate legacy data, and limited reporting capabilities. Without implementing the system's full functionality, DCIC may not realise value for money from the investment in the system over its lifetime.
- v) The enforcement efforts of compliance with the class of permit issued were inadequate. For instance, a review of six (6) monthly investigation reports revealed 11 cases of non-compliance to the class of permit issued to the foreign workers. As a result, many work permit holders are employed in jobs outside their class of work permits, which has contributed to unemployment in some job categories where Ugandans are qualified to work.

- vi) There are several foreign nationals working or running private businesses in Uganda without valid work-permits. DCIC identifies foreign nationals working without permits and over the three years, the Directorate has deported 2,403 foreigners working without valid permits and regularized 1,969 others. However, this makes up a small proportion of the total number of foreign nationals irregularly working in Uganda. The failure to fully identify and apprehend immigrants working without work permits has contributed to increasing unemployment among citizens.
- vii) Only 30% of the applications for work-permits were processed within the required time of seven (7) days during the period from 01st July 2018 to 30th June 2023. It took 24 days to process and reach a final decision to approve or reject an application. The delays in processing work permits have resulted in delays in bringing in the required skills and expertise from foreign nationals, which negatively affects business investments and contributes to the irregular employment of foreign nationals.
- viii) DCIC lacks a comprehensive policy framework to guide the employment of foreign nationals in Uganda, which has affected efforts to combat the irregular employment of foreign nationals.
- ix) The draft migration policy under development had a number of gaps. For instance, it lacks a clear definition of a skilled worker, quotas to show the number of foreign nationals to be issued with permits per category of employment, and job categories protected in the policy for the citizens, among others. This has affected efforts to manage work permits and attain lasting benefits from skilled foreign nationals.
- x) There was inadequate coordination among some key stakeholders in the management of work-permits. For instance, there were no joint-risk analyses and enforcement by the various stakeholders, among others. This has resulted in the failure to effectively control the number and category of jobs that foreigners hold, limit the number of renewals and enforce the exit of foreigners following expiry of their permits.

Key Recommendations

The following are my key recommendations;

- i) Management should develop mechanisms of monitoring and ensuring skills transfer from foreign nationals to local counterparts.
- ii) DCIC should enhance its capacity to enforce the timely exit of foreign nationals by increasing staffing, training and other logistical resources for the relevant departments.
- iii) DCIC should fast track the interface between the enforcement and permit issuance functions to enable simultaneous fining of the employees and employers of foreign nationals that have overstayed their work permits.

- iv) DCIC should implement system enhancements to ensure that all the additional functionality is used without further delays.
- v) Fast track the integration process of the e-immigration system and other stakeholder systems to provide alerts on change of permit class so as to enable the quick identification of immigrants who violate their work-permits.
- vi) Management should put in place mechanisms to systematically capture and record information of all foreign nationals resident in Uganda and empower Uganda's foreign missions to screen and issue G2-class work-permits to foreign nationals intending to work in Uganda before their arrival in the country.
- vii) Management should automate the permit processing system to send alerts to applicants when queries have been raised or applications are deferred, thereby minimizing the delays taken to respond.
- viii) DCIC should ensure that a policy framework is quickly developed and approved for implementation.
- ix) The Directorate should further improve the draft immigration policy by consulting widely with all stakeholders to ensure that all key interests are considered and addressed by this policy.
- x) The Directorate should enhance its coordination mechanism with the various stakeholders and should include a provision for measuring the effectiveness of such cooperation using Key Performance Indicators.

Overall Conclusion

Although DCIC has undertaken steps to enhance the effectiveness of management of work permits, there is still need to address the weaknesses identified in the current processes if the overall objective of the management of work permits is to be achieved. DCIC needs to improve its automation of both regional offices and the gazetted border points, monitor the transfer of skills, enforce exit upon expiry of work permits, reduce revenue leakages, enforce compliance of permit class and minimize entry of illegal migrants into the country.

3.1.7 Supervision of Districts by the Ministry of Local Government

Introduction

The Ministry of Local Government (MoLG) is mandated under section 105 of the Local Governments Act Cap 138 to guide, inspect, monitor and coordinate local governments to ensure compliance with the provision of the laws. The Ministry shoulders this responsibility through direct supervision of local government and coordination of the technical support activities offered by line ministries to ensure the implementation of national policies and adherence to performance standards in each local government.

This includes monitoring performance and harmonising and coordinating with different departments within the local government structure. My preliminary assessment of the performance of MoLG in executing this mandate revealed that in the last three years, some achievements have been made, which include developing an inspection checklist which was approved by the ministry to guide inspections and compiling a repository of cross-cutting findings regarding supervision of districts. Despite these achievements, the following were observed;

Key Audit Findings

- i) The Ministry did not undertake a comprehensive needs assessment before undertaking training in the three-year period under reviewed.
- ii) Out of the 5,054 elected leaders in 135 districts, only 2,250 (44%) leaders were inducted despite receiving all the budgeted funds.
- iii) The Ministry did not maintain a comprehensive database on the trainings undertaken. I therefore carried out field inspection and noted that training was conducted in only 14 of the 30 districts sampled. The training was majorly carried out in IT systems initiated by MoFPED.
- iv) No training was undertaken in emerging areas such as disaster management, climate change, and refugee management, which are the most pertinent areas in Local Governments.
- v) MoLG is not actively involved in the local government performance assessment process undertaken by OPM. The Ministry's role is limited to performance improvement planning and follow up on the results of the national assessments.
- vi) Out of the expected 58 support visits to the 20 worst performing districts, the Ministry only conducted 25 visits. In addition, MoLG made 56 support visits to districts that were not among the worst performing which implies that the results of the LGPA do not inform the MoLGs support supervision.
- vii) Out of 369 planned inspections, 233 (73%) were not undertaken. Out of the 136 (27%) inspections that were undertaken, only 22 inspection reports were prepared, which affects the effectiveness of the supervision.
- viii) The Ministry does not undertake adequate follow up of the extent to which inspection recommendations were implemented due to more supervisors than inspectors to conduct the inspection with a ratio of 4 supervisors to one inspector.
- ix) Review of the inspection reports revealed that the inspectors did not assess all the required parameters provided in the approved checklist, which compromises the quality of inspections and their impact on service delivery.

- x) There is currently no coordination framework through which MoLG and other MDAs, such as OPM, MoPs, and MoWE handle related issues affecting service delivery at the districts.

Key recommendations

The following are my key recommendations;

- i) Ensure that going forward, detailed training needs assessments are planned for in the Ministry's work plans and once funds are released, the activity is undertaken.
- ii) Ensure that induction is done for all newly elected political leaders and the funds provided for induction are not re-purposed for other activities.
- iii) Ensure that the training work plans and activities are aligned to the capacity building policy. Further, the Accounting Officer should ensure that funds provided for training are not repurposed to other ministry activities.
- iv) Play a more active role in the entire performance assessment process of local government. In addition, MoLG should engage OPM to have the assessment criteria and methodology reviewed and improved to make it more acceptable to all parties involved.
- v) Ensure that the districts selected for support supervision are informed by the results of the national assessment. In addition, follow-up should be undertaken on the recommendations from the support supervisions.
- vi) Ensure that funds provided for inspection are not repurposed to other Ministry activities. In addition, the Ministry should explore the option of inspecting districts on a rotation basis and revisiting the inspection staff structure to have more inspectors doing the inspection than supervisors.
- vii) Ensure that the inspections cover all the areas provided for in the approved inspection checklist.
- viii) Put in place a functional and robust institutional framework through which MoLG coordinates with other stakeholders involved in supervision of districts. In addition, MoLG should automate the supervision processes to enhance the coordination with other players.

3.1.8 Evaluation of Implementation of the Health Facilities Programme under the Uganda Intergovernmental Fiscal Transfer Programme in the Health Sector, implemented by Ministry of Health

Introduction

The Uganda Intergovernmental Fiscal Transfer (UgIFT) Program for Results is a Government of Uganda (GoU) Program financed by the World Bank to support the

implementation of the Intergovernmental Fiscal Transfer Reform Program. The original UgIFT was approved by the World Bank Board on 27th June 2017 and declared effective on 29th May 2019 through Program for Results (PforR) instrument with an overall allocation of credit of SDR 145.9 Million (USD 200 million equivalent) from the International Development Association (IDA).

The main objective of audit was to assess the performance of the UgIFT program interventions in improving access to and quality of health services, as well as strengthening health system capacity in underserved local governments. The interventions included upgrade of HC IIs to HC III and construction of new HC IIIs, operationalization of these HC IIIs and transitioning of refugee serving health center IIIs.

Key Findings

The program has achieved significant progress, completing 247 health facilities (65%) of planned construction projects. Of these, 231 Health facilities (97%) are now operational. In addition, a total of 1,949 staff were recruited for the newly constructed and upgraded facilities against a target of 1,260, and an additional 7,755 health workers for the least-staffed local governments against a target of 5,273.

There were however noted areas of improvement in the program implementation including:

- i) As of November 2024, out of the revised plan for 340 HC II upgrades, 242 (72%) were completed, 79 (23%) were ongoing, and 15 (5%) had stalled, while of the 31 planned new HC IIIs, 5 (16%) were completed, 25 (81%) were ongoing, and 1 (3%) had stalled; delays across projects ranged from 23 to 77 months.
- ii) From the UgiFT monitoring reports out of the 247 completed HC IIIs, 231 (94%) were operational; however, field inspections and interviews at 54 selected HC IIIs revealed that only 22 (41%) were operational while 32 (59%) were non-operational. Additionally, from the reports, 212 (86%) had received cold chain equipment, 208 (84%) maternity equipment, and 188 (76%) laboratory equipment. Inspections at 46 completed HC IIIs found six facilities under-equipped, lacking vital items like centrifuges, refrigerators, and microscopes.
- iii) 229 (93%) out of 247 completed health facilities had been reported to have received drug kits aligned with the requirements for a Health Centre III. Inspections revealed that 6 out of 46 facilities (13%) are still receiving drug kits intended for Health Centre IIs (HC IIs) instead of Health Centre IIIs (HC IIIs).
- iv) From the report, of the 250 HC IIs that were upgraded to HC IIIs between FY 2018/19 and 2021/22, 231 had a reliable power supply. Inspections and interviews with Health facility in-charges in 46 completed Health Centre IIIs visited indicated that only 30 (63%) had a reliable power source. The remaining

17 (36%) were experiencing challenges with the reliability of power connections especially those using solar.

- v) Sustainability of health infrastructure remains a challenge, with only 136 of the 250 health facilities constructed between 2018/19 and 2020/21 having Operation and Maintenance (O&M) plans, and inspections of 47 completed facilities revealing the absence of dedicated O&M budgets; additionally, 12 of the 46 completed HC IIIs visited were critically understaffed, with either only one midwife, one clinical officer, or none at all.
- vi) Of the 13 refugee-hosting districts visited, only 5 DHOs (Yumbe, Obongi, Adjumani, Terego, and Kikuube) were aware of the UgIFT intervention to transition humanitarian partner-run Health Centre IIIs, but none had prepared an integrated refugee response plan; by October 2024, 120 health workers had been recruited for 17 transitioned facilities in Yumbe, Obongi, Adjumani, and Terego, while no recruitment had occurred in the remaining 9 districts.
- vii) The HMIS data for the 247 completed facilities indicates a positive trend over the three years (2021/22, 2022/23, and 2023/24) in key health service delivery outcomes, including an increase in deliveries, live births, antenatal care visits, and immunizations.

Recommendations

I advised the Accounting Officer of MoH to:

- i) Strengthen oversight mechanisms by assigning dedicated monitoring teams to track construction progress, enforce performance contracts with contractors, and address delays by promptly replacing non-performing contractors.
- ii) Coordinated with the Ministry of Energy and Mineral development as well as the National Water for Sewerage Corporation to ensure the electricity and water connections of completed facilities are established.
- iii) Follow up with National Medical Stores to upgrade the essential medicines package of the completed facilities to that of a HC III to ensure quality of service delivery at these facilities.
- iv) Set up a mechanism for monitoring the implementation of the operation and maintenance plans for health infrastructure to preserve the sustainability of this significant investment in the health sector.
- v) Establish a monitoring framework to track the progress of recruitment and deployment for the upgraded and newly constructed HC IIIs across the local governments.
- vi) Ensure that the CAOs and DHOs of the refugee-hosting districts are sensitised and engaged in preparation and execution of the health transition plans to ensure a smooth transition process.

Overall Audit Conclusion

The UgIFT program in the Health Sector has made notable progress in improving access to healthcare services in underserved and refugee-hosting districts. These efforts have positively impacted maternal and child health services, as evidenced by increased deliveries, antenatal visits, and immunization rates. This positive trend implies that the establishment of these health centre IIIs has increased access to and utilisation of health services by the surrounding communities. However, the quality of health care is compromised by non-availability of medical equipment, unreliable utilities and the staffing gaps at these health facilities. Addressing these staffing and infrastructure gaps will be critical to ensuring that the program not only expands access but also supports quality of care at the facilities.

3.1.9 Evaluation of the Seed School Programme under the Uganda Intergovernmental Fiscal Transfer Program in the Education Sector, implemented by Ministry of Education and Sports **Introduction**

The Government of Uganda (GoU), in collaboration with the World Bank (WB), has been implementing the Uganda Intergovernmental Fiscal Transfer (UgIFT) Program for Results to strengthen local government service delivery. Within the education sector, UgIFT focused on (i) constructing and operationalizing seed secondary schools in underserved sub-counties, and (ii) transitioning selected refugee-serving primary schools into government management to improve education quality and equity.

The program reversed the erosion of fiscal transfers to local governments, expanded secondary access, and enhanced the equity of funding. However, it continued to face gaps in infrastructure, staffing, oversight, and coordination, thereby affecting the timely and effective delivery of project outcomes.

A notable achievement arising from implementation of the programme since 2023 is that both boys and girls experienced an increase in enrolment, reflecting improved access to secondary education facilitated by the establishment of seed secondary schools. Enrolment grew by 47.5% in 2023 and a further 18.5% in 2024, reflecting the success of seed schools in improving accessibility for learners within their communities. Notably, the proportion of girls enrolled also increased, rising from 45.2% of total enrolment in 2022 to 47.8% in 2023, and further to 49.8% in 2024. This upward trend underscores the pivotal role of seed schools in promoting gender equity by providing greater educational opportunities for girls in underserved communities, key findings arising from the programme evaluation are detailed below;

Key Findings

i) Progress of Construction of the seed secondary schools

Out of the 259 planned seed schools, 104 seed schools (40.2%) have been completed, 116 seed schools (44.8%) are still under construction, 12 schools (4.6%) are stalled, and 27 schools (10.4%) have not yet started construction as of October 2024.

ii) **Staffing shortages in the Seed secondary schools**

Staffing levels in most schools remain below the approved Ministry of Education and Sports (MoES) standards, with only 10.3% of schools fully staffed with staffing shortages more prevalent in critical subjects like Sciences, Mathematics, and Geography.

iii) **Utilization of key infrastructure**

Field inspections conducted at 37 seed secondary schools revealed gaps in the availability and functionality of critical infrastructure such as classrooms, teacher accommodations, laboratories, libraries and playgrounds. These deficiencies hinder the program's goal of providing equitable access to quality education and perpetuate disparities in learning outcomes, particularly in underserved regions.

iv) **Access to utilities**

46% of the schools lacked electricity; 41% of schools experienced intermittent electricity; 35% of the schools experienced intermittent access to clean water; 8% of the schools lacked access to clean water. In addition, only 38% of schools had reliable internet access, 14% experienced intermittent connectivity, and 49% had no access to the internet at all.

v) **Utilization of Information Management Systems**

TELA (Teacher Effectiveness and Learner Achievement) and E-Inspection system usage remained inadequate (33.5% and 35% respectively), impeding accountability, timely intervention, and effective data-driven decision-making.

vi) **Learner Enrollment and Academic Performance**

The total enrolment numbers across the new seed secondary schools showed an overall increase of 74.7% over the years between 2022 and 2024. Although enrolment soared, academic results/quality continued to trail national averages, due to persistent resource and teaching capacity constraints.

vii) **Status of Transitioning Refugee-Serving Primary Schools**

UgIFT program targeted to recruit 1,969 teachers across 51 refugee-serving primary schools, only 627 teachers (31.8%) had been recruited as of November 2024. The lack of focus on recruiting teachers for refugee-serving primary schools has caused shortages, with schools reporting teacher-to-pupil ratios as high as 1:435 contrary to the planned 1:53.

Recommendations

I advised the Accounting Officer of the MoES to:

- i) Strengthen oversight mechanisms by assigning dedicated monitoring teams to track construction progress, enforce performance contracts with contractors, and address delays by promptly replacing non-performing contractors.
- ii) Prioritize and fast-track recruitment for teaching positions in seed secondary schools, particularly for specialized subjects to ensure adequate subject coverage across all seed schools.
- iii) Collaborate with local governments to address utility gaps, ensuring reliable electricity, water, and internet connectivity in all operational seed schools by allocating targeted funding.
- iv) Improve contractor supervision and strengthen oversight mechanisms to ensure that school infrastructure projects, including laboratories, libraries, and teacher accommodations, are completed on time and meet quality standards by the time the schools are operational.
- v) Strengthen enforcement mechanisms to ensure all operational schools adopt and utilize the TELA and E-Inspection systems, providing clear guidelines and monitoring frameworks for compliance.
- vi) Conduct regular capacity-building programs for school administrators and inspectors to enhance their understanding and effective use of IIS modules.
- vii) Develop strategic plans for scalable expansion of seed secondary schools, allowing for the addition of infrastructure, staff, and resources as learner enrolment increases.
- viii) Establish a monitoring framework to track and enforce teacher recruitment progress in refugee-serving schools.

Overall Audit Conclusion

The Uganda Intergovernmental Fiscal Transfer (UgIFT) Program in the education sector has significantly expanded access to secondary education by constructing and operationalizing seed secondary schools in underserved areas and transitioning refugee-serving primary schools to government management. Despite notable achievements, such as increased enrolment and improvements in gender equity, the program faces persistent challenges, including delays in school construction, staffing shortages, inadequate infrastructure and utilities, and limited adoption of critical monitoring systems like TELA and E-Inspection. These issues undermine the program's goals of equitable access to quality education and improved learning outcomes. To fully realize its potential, the program requires strengthened oversight, accelerated recruitment of qualified teachers, enhanced infrastructure functionality, and improved accountability measures, ensuring the long-term sustainability and success of these critical interventions.

3.1.10 Impact Evaluation of the Micro-Scale Irrigation Programme under the Uganda Intergovernmental Fiscal Transfer Program in the Agriculture Sector, implemented by Ministry of Agriculture Animal Industry and Fisheries

Introduction

The Government of Uganda, with World Bank support, implements the Uganda Intergovernmental Fiscal Transfer (UgIFT) program to enhance local government service delivery. Initially focused on Education and Health, UgIFT was expanded in 2020 through Additional Financing of US\$300 million to include Water, Environment, and Micro-Irrigation, integrating refugee services into local government systems. The program aims to improve funding adequacy, equity, and management for these sectors. Originally set to end in FY 2023/24, it was restructured and extended to December 2025. The Program Development Objective emphasizes equitable and effective LG service delivery in targeted sectors, including support for refugees and host communities.

I undertook a Value for Money audit to assess the impact of the micro-scale irrigation intervention under the UgIFT Program as a means of support to farmers for purchase and use of micro-scale irrigation technology. Key areas of focus included the installation and utilisation of irrigation technology for small holder farmers practicing agriculture on 2.5 acres with a co-payment system of funding. The audit also assessed factors that are causing the observed impact of the program. This involved evaluating the performance of the district local governments in implementing support activities such as sensitization and training of farmers, establishment of demonstration farms and farmer field schools, farm visits and other post-installation support.

The audit assessed the implementation of UgIFT programme interventions in the Agricultural sector across beneficiary districts over the period FY 2020/21 to 2023/24, capturing both Phase 1 and Phase 2 of the program.

Key Findings

- i) The micro-scale irrigation intervention has had a positive impact on the value earned by farmers per acre of land for the farmers that received irrigation equipment under the UgIFT program compared to the farmers that expressed interest but have not yet received irrigation equipment between FY 2020/21 and FY 2023/24. Through sensitivity analysis it was observed that total farmland size, use of; fertilizers, certified seed, application of pesticides, attending farmer demonstration farm trainings and level of education were significant predictors for revenue of farmers.
- ii) Of the 5,580 planned installations as per the revised plan, 3,142 (56.31%) have been completed 187 of the 318 Demonstration farms have been set up and only 40 of the intended 1,425 Farmer Field Schools have been set up.
- iii) In Financial Year 2022/23, the 40 Phase 1 Districts achieved 825 micro scale irrigation equipment installations against 2,783 target installations with a total

expenditure of UGX.24,920,783,987. Out of the 825 micro scale irrigation equipment installations against the total spent of UGX.24,920,783,987, the average unit cost of setting up the irrigation equipment was calculated to be UGX.30,207,011 for an average of 2.5 acres. I noted that the average unit cost of the irrigation equipment varies among districts. This variation was attributed to district-specific challenges in availability of suppliers of similar irrigation systems and the nature of irrigation systems designs

- iv) I noted from the payment schedule to the contractors under micro scale irrigation project that a total of UGX.13,553,630,755 had been spent on payment of VAT to contractors, contrary to the provision in the VAT Act which provides that VAT on donor funded projects is deemed to have been paid by the Government. Since the average cost of reaching one beneficiary farmer was UGX.30,207,011, the opportunity cost of the VAT paid is that 448 potential beneficiaries were deprived of the opportunity to benefit from the installation of irrigation equipment because districts had to pay the aforementioned VAT on a project where VAT was deemed to be paid.
- v) I noted that 199 out of the 344 beneficiary farmers (57.85%) owned less than 12.5 acres of farmland implying that the remaining 145 farmers (42.15%) owned more than 12.5 acres of farmland and these farmers were already engaged in commercial farming before receiving the system. Additionally, the uptake by female farmers is low at 19% due to the lack of land and financial capacity to co-fund the program.
- vi) The farmer attendance of farmer field schools and demonstration farms is low at 17.4% and 43% respectively and as a result, farmers who did not attend achieved lower yields and revenues as they were not well trained and sensitized on the choice of irrigation system, how to operate and maintain it as well as other effective agronomic practices. I noted that only 42% of the interviewed beneficiary farmers had received training from the demonstration sites before acquiring the irrigation equipment while 57% received irrigation equipment without prior training on its use at a demonstration farm. Consequently, 70% of the farmers who admitted to never attending the trainings faced challenges with functionality and usage of their systems.

Recommendations

I advised the Accounting Officer of MAAIF to:

- i) Prioritise the provision of farmer training on demonstration farms to ensure the enhancement of good agronomical practices.
- ii) Review the program to ensure that it targets the actual intended beneficiaries who are smallholder farmers to support them to transition from subsistence farming to commercial agriculture and to ensure that future co-payment programs have detailed assessments regarding affordability by intended beneficiaries prior to the roll out of the program.

- iii) Expedite establishment of Farmer Field Schools and Demonstration Farms in each of the beneficiary District Local Governments to facilitate training and knowledge sharing in irrigation technologies and agronomical practices.
- iv) Support the District Local Governments in creating linkages with the suppliers of irrigation equipment to ensure that they are easily accessible to the beneficiary farmers for timely maintenance and repairs farmers.

Overall Audit Conclusion

The Micro-Scale Irrigation Program under the Uganda Intergovernmental Fiscal Transfer (UgIFT) has demonstrated significant potential to uplift smallholder farmers by increasing productivity and income through enhanced irrigation practices. While achieving commendable progress in installations and benefits to participating farmers, the program faced notable challenges in equitable beneficiary targeting, cost variations, and inadequate training. The impact assessment revealed positive gains for beneficiaries in income per acre, but disparities in regional impact and farmer participation hindered uniform success. Addressing these challenges through improved targeting, expanded training initiatives, and resolving operational inefficiencies will be crucial for maximizing the program's sustainable impact and fostering agricultural transformation.

3.1.11 The Management of Public Debt by the Ministry of Finance Planning And Economic Development

Introduction

Uganda, Public debt management is provided under Article 160(2) of the 1995 Constitution of the Republic of Uganda and amplified by the Public Finance Management Act Cap 171. Uganda's Debt stock has been increasing in the last 6 years (FY 2018/19-2023/24), from USD12.55Bn in FY 2018/2019 to USD25.59Bn in FY 2023/2024, an increase of 104%. The increase is attributed to multiple factors, such as a shift in spending toward Infrastructure development and the impact of the COVID-19 pandemic. Before the pandemic, public debt was 35.1% of GDP in FY 2018/2019 but increased to 48.4% in FY 2021/2022. Debt has since been on a downward trend, reducing to 46.9% in FY 2022/23 and then to 46.8% in FY 2023/24. It is, however, projected to increase to slightly over 50% by end of June 2025, following a number of expenditure pressures in FY 2024/25.

Consequently, Uganda's overall risk of debt distress has shifted from low to moderate level and Fitch, a credit rating agency, has revised Uganda's credit rating from B+ Stable to a negative outlook.

Furthermore, development partners are now closely monitoring the countries' borrowing capacity in areas such as debt management, fiscal sustainability and debt transparency. Given the importance of public debt to the financing of the country's economy, and the current debt position of the country, I found it pertinent to undertake a study on public debt management by the Government. The main objective of the study was to review

the management of Public Debt to establish the effectiveness and efficiency of the Public Debt as a source of financing for Government projects and programs.

Key Findings

The following are the summary key findings of the audit;

- i) Uganda's Debt stock for the period under review, has had an upward movement/increase from USD12.55Bn in FY 2018/19 to USD25.59Bn in FY 2023/24, representing 104% increase over the six Financial Years.
- ii) The Debt service cost as a portion of the National budget in the FY 2023-2024 was UGX.18.56Tn (35%) of the annual National Budget of UGX.52Tn. This increased from UGX.8.85Tn (27%) in FY 2018/19 out of an annual budget of UGX.32.7Tn.
- iii) It cost Government UGX.1,371.38Bn in interest payments for loans acquired through external sources for the FY ended June 2024. This represents 151% upward trend over the last six FYs from UGX.545.91Bn in FY 2018/19.
- iv) I noted that fifteen (15) out of the 49 loan funded projects included in the Project Implementation Plan between FY 2018/19 and FY 2023/24 were implemented without having both the Pre-feasibility and the detailed feasibility studies.
- v) The current loan approval processes are so lengthy with duplicated responsibility centres. I noted that the average time taken during the loan approval process was approximately 756 days, which is over a two-year period.
- vi) Notable delays were noted in declaring Government loans effective from the date of loan signature. Twenty-seven (27) out of eighty-two (82) externally financed projects listed in the Report had delays ranging from five (05) months to twenty-four (24) months between the signature date and declarations of effectiveness.
- vii) There is a growing number of non-performing government loans meant to Finance Government projects and programs. A total of five (05) credit facilities were non-performing. The funds have not been used and the Government is incurring costs in terms of interest repayments, Commitment fees and associated penalties.
- viii) There was a downward trend in Commitment fees paid by the Government on Undrawn loan funds. The Government paid UGX.73.82Bn in Commitment fees for the FY ended 30th June 2024 down from UGX.90.64Bn (23%) in FY 2018/2019.
- ix) There are notable delays in the completion of the Public Debt Funded Projects. The projects are completed past the target periods upon securing extensions with the funders. The delays ranged from one (1) year to ten (10) years. A total of fifty-two (52) projects were observed to have been significantly delayed.

- x) The government obtained two (2) non-concessional loans for FY 22/23 amounting to USD.739Mn for budget support instead of Infrastructure development.
- xi) It cost Government UGX.5.564Bn in penalty charges for the cancellation of a loan obtained from AFD meant for the Muzizi Hydropower plant project alone. And for the period under review, two loans worth USD 156 Million were cancelled.

Recommendations

I advised that;

- i) The MoFPED should become more conscious in contracting new debt to finance the budget deficit, Government should also increase its revenue mobilization strategies if a balanced budget is to be realized thus reducing the reliance on debt.
- ii) The Government should invest in more productive sectors of the economy to increase its domestic revenues, which will in turn be utilized to service debt. The increase in income will reduce the portion of the national budget utilized to service debt.
- iii) The Minister for Finance Planning and Economic Development should obtain loans from cheaper sources as this helps to lower the cost of debt incurred in interest rates payments for Government loans.
- iv) Feasibility studies should be undertaken for all projects that the Government intends to finance through Public Debt as this helps to assess the viability of undertaking such projects and to determine any associated risks of the proposed projects.
- v) The PS/ST should develop and implement a framework in consultation with all stakeholders in the value chain to ensure that all functions related to the Government loan approval processes are approved within the timelines set in the framework.
- vi) Government should endeavor to prioritize and timely fulfil conditions precedent to the declaration of the loans effective such that loan-funded projects can be executed on time.
- vii) As for the non-performing loans, the Ministry of Finance and the implementing Government agencies should ensure that loan funds are drawn as scheduled in the loan agreements to implement the intended project activities to save Government from paying commitment fees on undrawn amounts.
- viii) The project implementing Government Agencies are encouraged to draw the loan funds as scheduled to avoid payment of commitment fees on any undrawn loan funds by the Government. This in turn reduces the cost of public debt.

- ix) The Ministry for Finance, Planning and Economic Development should enhance its monitoring role of all debt-funded projects to improve the feedback mechanism and timely implementation to achieve value for money for the borrowed funds.
- x) MoFPED should prioritize the acquisition of cheaper concessional external loans to finance its budget deficits as compared to the more expensive domestic borrowing which has a crowding-out effect on the local investors and Government should be more cautious in contracting new debt if it is to achieve debt at sustainable levels.
- xi) The Minister for Finance, Planning and economic Development should undertake thorough feasibility studies to ascertain the viability of projects before government's commitment in obtaining financing is approved, especially through debt.

Overall Conclusion

Uganda's overall risk of debt distress remains medium hence, public debt may be sustainable in the medium term as evidenced by the liquidity indicators set by the World Bank and IMF. As such, the Government is encouraged to be more cautious in contracting new debt in the future, increase its revenue mobilization and continue to rationalize its expenditure to maintain sustainable debt levels.

3.1.12 The Management of Revenue Collections from the Telecommunications Sector by Uganda Revenue Authority and Uganda Communications Commission

Introduction

One of the key objectives in Uganda's development agenda as stipulated in the National Development Plan (NDP) III is strengthening the mobilization of resources for the NDP implementation. This requires concerted efforts in mobilizing resources from all facets of the economy.

The NDP III has Digital Transformation as one of its programs, aimed at increasing the penetration of ICT services. The ICT Sector remains one of the greatest contributors to Uganda's GDP (9%) and Social and Economic Development. MTN and Airtel are among the largest taxpayers in the country.

I carried out a value-for-money audit on the Management of Revenue from the Telecom Sector in Uganda to examine the extent to which revenue assurance practices by URA and UCC have led to the effective collection of revenue from the Telecom Sector. The revenue streams (taxes) included Local Excise Duty, Value Added Tax, Corporate Income Tax and Withholding tax that covered prepaid voice (airtime), prepaid internet (data), mobile money-related charges and charges on international calls.

Key Findings

The following are the summary key findings of the audit;

- i) The Government of Uganda procured the Telecommunications Intelligent Network Monitoring System (TIMS) and Data Monitoring System (DMS) for security purposes but was later adopted to provide revenue assurance from the telecom sector.
- ii) Several revenue streams were not captured by the TIMS and DMS. These include post-paid voice, post-paid internet data, value-added services, and agent commissions, among others. The failure to capture the information resulted from the non-provision of Enterprise Resource Planning (ERP) files by the Telecom Operators.
- iii) There were notable variances between data extracted from the TIMS/DMS and communicated to URA and reported in the tax returns of the Telecom Operators. This was mainly attributed to delayed and non-provision of business operation rules and applicable charges used by the operators to the TIMS and DMS management team. Some of the variances are shown below;

Table 49: Data Variances in TIMS/DMS and that communicated to URA

Services/Products	MTN U Limited/ MTN Mobile Money	AIRTEL U Ltd/ Airtel Mobile Commerce
Prepaid Voice	14%	1%
Mobile Data	-31%	4%
Mobile Money Withdrawals	3%	-8%
Revenue from Mobile Money Transfer Fees	32%	17%
International Incoming Calls	10%	-25%

- iv) Whereas the TIMS and DMS were envisioned to capture all telecom-related revenues, several operators were not onboarded on the TIMS and DMS. These included operators for the provision of internet services apart from MTN and Airtel.
- v) There was no clear data-sharing framework between all the stakeholders involved in the process of assurance of revenues from the telecom sector. These include;
 - a) Guidelines for sharing information between the Telecoms TIMS and DMS Management.
 - b) Guidelines for sharing information between the TIMs and DMS Management and URA, UCC and other stakeholders.
- vi) The TIMS and DMS have not been optimally utilized. I noted that telecom operators are now evolving and not only are they providing the ordinary services of voice and internet but are now providing other services such as insurance, loans, banking, fees payments, merchant payments (MTN Momo and Airtel Money Pay), payments for utilities and other fintech services. As a result, the telecom companies are rich with transaction data that would be very useful for

taxation purposes. If TMS and DMS are adequately optimized, they can be used to provide assurance of the above services.

- vii) Over the past years, insufficient measures have been taken to guard against base erosion and profit shifting (transfer pricing) by the large Mobile Telecom Operators as the bulk of their expenses are related to party transactions. I noted that over the last three years, UGX 2.4 Trillion has been paid for various goods and services to related companies. Management noted that Transfer pricing audits were ongoing.
- viii) There were no specific telecom sector compliance initiatives by URA, such as an industry compliance manual and return examination checklist for its employees to follow during the assessment among others.
- ix) Of all the returns submitted by the Telecom operators, only the Excise Duty return was customized to the characteristics of the sector. Other returns such as VAT and Corporate Income Tax were not customized.

Key Recommendations

I advised the Accounting Officers of Uganda Revenue Authority and Uganda Communications Commission to;

- i) Develop a framework to define and streamline business operation rules and ensure timely sharing, reconciliation and oversight to enhance efficiency and effectiveness in revenue mobilization.
- ii) Ensure that all revenue streams and telecom operators are monitored by the TIMs and DMS.
- iii) Ensure that Enterprise Resource Planning files are captured in TIMS and DMS to ensure complete revenue assurance.
- iv) Consider having engagements with the vendors of TIMS to explore ways in which it can be extended to other non-telecom revenue streams to ensure optimal usage of the system and enhance revenue mobilization.
- v) Ensure that any changes in the business operations such as bonus airtime, combo bundles and other promotion packages are communicated in advance by the MNOs with detailed start and anticipated end periods.
- vi) Enhance its capacity to carry out Transfer Pricing Audits for Mobile Network Operators to guard against base erosion and profit shifting.
- vii) Customize returns for tax heads like VAT, Withholding Tax and Corporation Income Tax to reduce the reconciliations to be made upon receipt of returns.

- viii) Put in place specific industry tax compliance manuals related to the Telecom Sector. The Authority should also put in place a return examination checklist to guide staff on what tax compliance activities are to be performed in regard to the Telecom sector.
- ix) Ensure that the units managing assurance of revenue from the telecom sector are adequately staffed and that they receive proper training. The steering committee should be designated with the responsibility of ensuring that all key players acquire skills to operate and maintain the TIMS and DMS system to reduce reliance on the vendor.
- x) Have the Steering Committee bring together all stakeholders to regularly track the progress and milestones of the contract, resolve any existing bottlenecks and advise the accounting officer responsible on actions to be taken to realise value for money.

Overall Conclusion

There is adequate technology to ensure reliable assessment and assurance of revenue from the telecom sector. However, several bottlenecks have hindered the Government's potential to fully harness the benefits of the available technology in increasing revenue mobilization. Some of the major bottlenecks include delayed provision of business rules by telecom operators, non-provision of ERP files by Telecom Operators, and insufficient training and knowledge transfer to URA staff among others. The Government is advised to address the above bottlenecks and heighten its efforts in monitoring the revenue of the telecom operators and the reconciliation of the taxes due to the Government.

3.1.13 Government of Uganda's efforts, through Ministry of Education and Sports to support the management of Menstrual Health and Hygiene in Primary and Secondary Schools

Introduction

Menstrual hygiene entails the use of clean menstrual management products to soak menstrual discharge by adolescent girls and women, changeable in privacy as required, alongside access to water, soap, and disposable methods. Menstrual health and hygiene (MHH) include the broader systemic factors that link menstruation with health, well-being, gender equality, education, equity, empowerment, and rights.

The Ministry of Education and Sports (MoES) through the gender unit is responsible for promoting MHH in schools and provides guidance on programming menstrual health and hygiene management (MHHM) in schools.

However, several studies by academic scholars have cited challenges with MHHM as the main reason for girls being absent from school. These included lack of sanitary pads, poor disposal mechanisms for menstrual materials, embarrassment and fear of teasing related to menstruation by mainly boys, absence of water and separate toilet facilities for girls in many schools.

Considering the above concerns, I undertook a Value for Money Audit to assess Government of Uganda's efforts, through the MoES, to support MHHM in Primary and Secondary schools (both government and private).

Key Findings

From interviews/surveys held, audit noted that 64% of the female learners (138 out of 216) indicated that they had been absent from school or class because of menstruation. The main reasons given include:

i) **Harmful myths and cultural beliefs**

There are harmful myths and cultural beliefs that have affected the menstrual health and hygiene of female learners leading to fear, stigma and use of unhealthy and unsafe practices during menstruation and shying away from schools. This is more prevalent in the Eastern and Northern regions of Uganda.

ii) **Lack of menstrual materials and sanitation facilities**

- a) There is non-prioritization of the establishment of water, sanitation and hygiene facilities in schools by the District Local Governments.
- b) 22 of the 48 schools visited (46%) did not provide any emergency pads and other MHHM support for female learners and they lacked access to water and appropriate sanitation and menstrual disposal facilities.

iii) **Ineffective governance and support structure**

Inter-Ministerial Committee on Menstrual Health and Hygiene (IMCMHH) which was formed to spearhead the MHHM agenda at the national level is ineffective as there are gaps in the resource mobilization and planning for MHHM at national, district and school levels:

- a) The Gender Unit spends only 10% of its GoU budget and none of it donor budget on MHHM activities;
- b) There is limited parental involvement in the provision of MH support, whereby parents are not providing enough pads, underwear and guidance on menstrual hygiene, which leads to the girls being absent from school.

iv) **Lack of Capacity building and sensitisation**

- a) There is inadequate capacity building for senior women and senior men teachers (SMT) to provide adequate MHHM support to female learners. As a result of the limited capacity of the SMT to perform their role, there is also limited involvement of male learners in MHHM education and training.
- b) MoES has not conducted sensitisations for the Parents Teachers Associations (PTAs) and the School Management Committees (SMCs) for

any of the schools visited. Similarly, there is no national and global knowledge hub for MH information in place limiting access to accurate information about menstrual health especially on how girls prepare for and manage their periods. This further leads to the spread of harmful myths and misconceptions.

v) **Inadequate Monitoring, Supervision and Reporting**

- a) There is inadequate monitoring, supervision, and reporting of MHH in government primary and secondary schools. The monitoring and inspections were majorly in government schools. The district local governments (primary schools) and the Directorate of Education Standards (Secondary Schools) did not inspect private schools over the period under review.
- b) The school inspection tools used have no MHHM specific indicators to allow school inspectors at the local Governments (undertaking inspections in primary schools) and at DES (undertaking inspections in secondary schools) to capture information on MHHM practices.

Key Recommendations

The Accounting Officer of MoES should:

- i) Prioritise the dissemination of guidelines, policies and manuals on MHHM to district local governments, schools and other relevant key stakeholders as well as orientation of key stakeholders on the guidelines, policies and manuals to foster implementation.
- ii) Work closely with MoFPED and the National Curriculum Development Centre to ensure that funding is secured for the review of the primary curriculum and that the review process considers the integration of menstrual hygiene and hygiene messages.
- iii) Set up a mechanism of monitoring the functionality and effectiveness of the inter-ministerial committee for MHH to ensure that it achieves the key deliverables as per the Terms of Reference.
- iv) Work closely with the Ministry of Water and Environment and the District Local Governments to ensure that projects that are implementing piped water systems in the country prioritize connections at schools and other education institutions to ensure that learners have a reliable access to water within the school premises.
- v) Provide specific guidance to the District Local Governments on how they can maximize the use of the education sector development grant to construct sanitation facilities that are engendered and supportive of menstrual hygiene as per the revised construction designs for pit latrines in schools.

- vi) Follow up with DLGs and the Directorate of Education Standards on a regular basis to ensure that they plan for and conduct inspections in Private primary and secondary schools that comprehensively assess and provide feedback on the appropriateness of the water, sanitation and menstrual disposal facilities in those schools.
- vii) Ensure that the Gender Unit works closely with other departments of the MoES such as the departments of Guidance and Counselling, Basic Education and Secondary, Special Needs Education, Health/HIV Unit, to continuously incorporate MHHM topics in the agenda for teacher trainings to build their capacity to take on the role of Senior Woman Teacher or Senior Man Teacher.
- viii) Prioritise the MHH awareness activities in the budgeting and planning process of the Ministry, especially the orientation sessions for the PTAs and SMC on MHM; the development of social behaviour change communication strategy for MHH and; development of a national and global knowledge hub for menstrual hygiene.
- ix) Undertake review of the existing Basic Requirements and Minimum Standards and inspection tools and systems to provide for MHM specific indicators and allow information and data collection, analysis and reporting on MHM.

Overall Audit Conclusion

Proper Menstrual health and hygiene management is key for ensuring a safe and conducive learning environment for learners at school. Government of Uganda, through the Ministry of Education and Sports, has made efforts to develop guidelines and manuals that govern menstrual health and hygiene in schools. However, there are still gaps in resource mobilization and planning for MHHM with no or poor sanitation facilities, lack of capacity building of senior women teachers and senior men teachers on MHHM; limited awareness creation and; inadequate monitoring and inspections of schools that is focused on MHHM. This has resulted in absenteeism amongst girls and reduced their learning time.

Addressing these gaps will go a long way in reducing absenteeism among female learners, improving their participation in learning activities at school and supporting them to achieve better learning outcomes.

3.1.14 Monitoring and Enforcement of air Quality Standards in selected cities in Uganda by the National Environment Management Authority

Introduction

Air quality is a critical aspect of environmental management as it influences human health and environmental sustainability. It is compromised when contaminants are introduced into the atmosphere, disrupting the chemical composition, rendering it unsafe. Pollutants such as particulate matter (PM), gases, and total volatile organic compounds significantly degrade air quality. Health problems arise from short- and long-

term exposure to these pollutants. PM_{2.5}, the most prevalent and harmful air pollutant, penetrates the respiratory system and enters the bloodstream, contributing to higher incidence of asthma, stroke, heart disease, lung disease, and cancer, among other complications.

Uganda's Constitution guarantees the right to a clean and healthy environment, aligning with its commitment to Agenda 2030, which includes targets to reduce air pollution-related deaths and illnesses (SDG 3.9.1) and minimising the environmental impact of cities through improved air quality (SDG 11.6.2).

The National Environment Management Authority (NEMA) is Uganda's primary regulatory agency for environmental management, including monitoring and enforcement of air quality standards. NEMA's mandate is to safeguard environmental and public health by ensuring compliance with air quality standards through inspections, enforcement, and sensitisation for compliance, in collaboration with various stakeholders.

Despite these commitments, Uganda faces severe air quality challenges due to rapid urbanisation, industrialisation, and a lack of comprehensive monitoring and enforcement mechanisms. Emissions from manufacturing industries, poorly maintained vehicles, waste burning, dust from unpaved roads, and other human activities contribute to deteriorating air quality. Reports indicated that Uganda's annual average PM_{2.5} concentration reached approximately 50 µg/m³, exceeding the WHO guideline of 10 µg/m³. This problem was reportedly severe in cities and industrialised areas, leading to respiratory diseases, including a national asthma prevalence of 11.02% and an air pollution-associated mortality rate of 27.3 per 1,000 people.

In light of the above concerns, I undertook a Value for Money Audit to assess the performance of NEMA in monitoring and enforcing air quality standards in selected cities towards promotion of a clean and healthy environment.

Key Findings

i) High Pollution levels exceeding WHO and National Standards

The annual average air quality PM_{2.5} concentrations in the selected cities consistently exceeded the WHO and national set safe limits for the period under review. This pollution, primarily attributed to transportation, industrial emissions, and waste/biomass burning, was notably worse during drier months and peaked during rush hour traffic, highlighting the impact of human activity. Furthermore, air quality was significantly poorer in business areas with higher traffic and industrial activity compared to less congested residential zones.

ii) Inadequate monitoring equipment

The availability of air quality monitoring equipment is inadequate, with most (75%) of the operational stationary air quality monitors concentrated in Kampala, leaving monitoring gaps in the other cities in Uganda. This hinders comprehensive air quality assessments across the country.

iii) **Non-functional Monitors**

Out of the 162 installed air quality monitors in the selected cities, only 121 were operational, with significant downtime challenges. This leads to data gaps and compromises the accuracy of air quality assessments.

iv) **Inadequate pre-export and periodic vehicle inspections**

Pre-export inspections, conducted by Uganda National Bureau of Standards (UNBS) have continued to rely on outdated standards, that do not address key pollutants like PM_{2.5} and oxides of nitrogen, as required under the Euro 4 framework adopted by the East African Community. In addition, periodic vehicle inspections by the Ministry of Works and Transport were not conducted for the review period. This allows high-emitting vehicles to operate unchecked, contributing to elevated levels of air pollution.

v) **Ineffective enforcement by NEMA**

NEMA has not effectively enforced the requirement for factories to install emission monitors and report on their air quality stack emission levels contrary to the law. Inspections are limited, facilitating unchecked industrial emissions.

vi) **Limited Public Awareness**

Public awareness of air quality issues was limited, with only two out of the nine selected cities having conducted outreach programmes. This limits voluntary compliance and personal efforts to reduce exposure to air pollution.

Key Recommendations

The Accounting Officer of NEMA, in collaboration with the lead agencies, should:

- i) Develop a National Air quality monitoring programme and centralised database to streamline countrywide air quality monitoring, reporting, forecasting and impact-assessment.
- ii) Fast track the implementation of the adopted East African Community vehicle exhaust emissions Standards (Euro 4 equivalent), for pre-export and periodic inspection of motor vehicles.
- iii) Invoke the penalty clauses provided in the National Environment Act, Cap. 181 and National Environment (Air Quality Standards) Regulations, 2024, to enforce compliance with air quality standards.
- iv) Conduct a risk assessment of registered factories to prioritize routine inspections of high-risk polluters.
- v) Automate air quality management systems to facilitate swift identification, follow-up and actions on non-compliance.

- vi) Include specified interventions for air quality awareness in the approved work plans and budgets and incorporate air quality issues in all training/sensitisation programmes conducted.
- vii) Prioritise development of the National Environment Action Plan, including air quality management measures, and support adoption or adaptation of the same by cities and other local governments, with clear strategies for resource mobilisation for establishment and operation of adequate systems for air quality monitoring, reporting, enforcement and public sensitisation.
- viii) Enhance public access to up-to-date air quality information through varied methods including displays on the NEMA website.

Overall Audit Conclusion

NEMA, in collaboration with lead agencies, has established a legal framework for air quality monitoring and enforcement, developed monitoring networks through partnerships, and initiated public awareness campaigns. However, compliance with air quality standards remains inadequate due to limited monitoring infrastructure, concentrated mainly in Kampala, leaving cities like Hoima and Mbale unserved. Reliance on independent operators, resource and staffing shortages, and non-functional environmental committees have further weakened enforcement efforts. Public awareness initiatives have been limited in coverage, heavily reliant on digital platforms, and dependent on development partners, limiting their impact. As a result, major pollution sources, including transportation, industrial emissions, and waste burning, operate with minimal regulation. Consequently, the annual and daily average PM_{2.5} concentrations consistently exceeded WHO and national set safe limits for the period under review, posing serious risks to public health and the environment.

3.1.15 Monitoring and Assessment of Available Ground and Surface Water Resources by the Ministry of Water and Environment

Introduction

Uganda's water resources encompass both surface and groundwater sources. Surface water includes major lakes like Victoria, Kyoga, Albert, George, and Edward, as well as wetlands and rivers such as the Nile, Katonga, Semliki, and Malaba. Groundwater resources comprise fractured basement aquifers, regolith aquifers, and sedimentary aquifers.

Water resources are critical to Uganda's economic growth, public health, and climate resilience. However, the increasing threats posed by climate change, including erratic rainfall, prolonged droughts, and severe flooding, have heightened the need for effective monitoring and management of water resources. The Directorate of Water Resources Management (DWRM) in the Ministry of Water and Environment is responsible for managing and developing water resources of Uganda in an integrated and sustainable manner to provide water of adequate quantity and quality for all social and economic needs for the present and future generations. The Directorate comprises four

departments of which the Department of Water Resources Monitoring and Assessment (DWRMA) is tasked with providing reliable data on water resources to inform planning and ensure sustainable usage.

Despite the department's efforts, significant gaps remain in monitoring infrastructure, data quality, and resources, compromising the country's ability to adapt to climate-related water challenges. In light of this, I conducted a Value for Money (VFM) audit whose objective was to assess the measures implemented by DWRMA in providing reliable data on ground and surface water resources for climate change adaptation.

Key Findings

I found that the DWRMA had expanded its network from 88 to 243 ground and surface water monitoring stations since 2005, enhancing data collection capacity. Introduction of telemetry at 56 of these stations enabled real-time data transmission, crucial for flood forecasting and disaster management. In addition, partnerships with entities like Uganda National Meteorological Authority (UNMA) and the Nile Basin Initiative have bolstered data sharing and disaster preparedness.

However, I identified the following challenges and areas of improvement:

i) **Insufficient Monitoring Stations Coverage**

- a) Critical climate-vulnerable regions such as Karamoja, Rwenzori, and the Cattle Corridor are underserved.
- b) 43% of groundwater stations and 49% of surface water stations are non-functional due to vandalism, resource constraints, and equipment failure.

ii) **Data Gaps and Inaccuracies**

- a) Manual data collection processes are inconsistent, with errors in observer records and missing data in critical zones, undermining the reliability of data for planning and disaster response.
- b) Manual data collection is hindered by logistical challenges, with observers trekking long distances to have the data collected.

iii) **Guidelines and Standards**

Operational manuals and guidelines lack alignment with international standards like the World Meteorological Organisation (WMO) Technical Regulations, limiting their utility in climate adaptation. Key gaps include the absence of dedicated climate-sensitive parameters, flexible monitoring frequencies, and updated methodologies.

iv) **Limited Modelling and Forecasting**

- a) The modelling and forecasting unit operates with only 8 staff against the required 18 and lacks essential IT tools like specialized modelling software and cloud computing infrastructure.

- b) Climate change modelling is confined to donor-funded projects, undermining its ability to sustain long-term initiatives.
- v) **Weak Dissemination Mechanisms**
 - a) Key stakeholders including the Office of the Prime Minister, Uganda National Roads Authority, Ministry of Health and District Local Governments often lack timely access to water resource data.
 - b) Public awareness campaigns to curb vandalism and promote sustainable water use are infrequent.

Key Recommendations

The Accounting Officer of the Ministry of Water and Environment is advised to:

i) Expand and Upgrade Monitoring Infrastructure

Prioritise establishing new stations in climate-vulnerable regions and allocating resources for rehabilitating of the non-functional stations.

ii) Enhance Data Quality and Accuracy

Increase supervisory visits to monitoring stations from quarterly to monthly and provide training and adequate stipends to gauge observers to improve reliability.

iii) Align Guidelines with International Standards

Ensure review of policies, plans and manuals is included in the Ministry's Strategic and annualised plans, and liaise with the Ministry of Finance, Planning and Economic Development to secure appropriate funding for the implementation of the road map towards attaining alignment with WMO standards.

iv) Bolster Modelling and Forecasting Capacity

Secure funding to operationalize the Modelling and Forecasting Unit with specialized software and IT tools and integrate climate change modelling into annual work plans and budgets.

v) Improve Dissemination and Stakeholder Engagement

- a) Ensure that the Water and Environment Information System becomes fully functional within the planned timelines and that staff and stakeholders are adequately trained in its use.
- b) Address the current data collection gaps by rehabilitating non-functional monitoring stations and expanding sensitization and outreach programs to cover all 17 catchments, which will ensure that stakeholders, including local governments, researchers, and disaster preparedness agencies,

receive reliable and comprehensive water resource information to support effective decision-making and planning.

- c) Streamline and simplify the data approval process by decentralizing approvals to Water Management Zones for routine data requests. Additionally, the Accounting Officer should ensure that guidelines are put in place to specify which data types require centralized approval and which can be approved at the zone level.

Overall Audit Conclusion

The DWRMA has made significant progress in expanding Uganda's water monitoring network and leveraging real-time data for disaster preparedness. However, gaps in monitoring coverage, data quality, and resource allocation hinder its ability to produce reliable data for effective climate change adaptation and disaster risk response.

Strengthening institutional capacity, aligning processes with international standards, ensuring timely data dissemination, and raising public awareness of water resource monitoring are crucial for enabling the department to contribute effectively to the sustainable management of water resources amid climate challenges.

3.1.16 Regulation of Secondary Education in Uganda by the Ministry of Education and Sports

Introduction

Article 30 of the Constitution of the Republic of Uganda, 1995 as amended provides for all persons to have a right to education. Furthermore, Uganda's Vision 2040 recognizes the provision of secondary school education as a human right and emphasizes character formation and talent development. The Ministry of Education and Sports (MoES) has overtime, developed policies and guidelines to help in regulation of secondary education.

I undertook a value for money audit (VFM) on regulation of secondary schools by the ministry of education and sports. The study was carried out in 73 government, government aided and private schools across the different regions of Uganda (Northern, West Nile, central, Eastern, Western and Southwestern), over a period of 3 years – 2021/2022, 2022/2023 & 2023/2024. The main objective was to assess the extent to which MoES has enforced the existing laws and regulations in secondary school education. Below are the key findings;

Key Findings

- i) Out of a sample of seventy-three (73) schools comprising 28 private, 30 USE and 15 government aided, I noted that one (1) out of twenty-eight (28) private secondary schools was not licensed. Although the same school was not licensed, it existed in the education management information system (EMIS). The Ministry indicated that while the department for private schools and institutions has 3,186 secondary schools in their records, EMIS has 6,000. This is because the data

availed by the private schools and institutions department does not include unlicensed schools.

- ii) Thirty-one (31) of the sampled higher local governments did not have education development plans clearly indicating the planned distribution of secondary schools in the local government.
- iii) Out of the 73 schools, 26 did not have evidence of lawful occupation of premises. Of the twenty-six (26) schools, nine (9) are private schools, twelve (12) are universal secondary schools (USE) while five (5) are government aided.
- iv) Thirty-seven (37) and 55 secondary schools did not have building plans and occupational permits respectively contrary to the guidelines.
- v) Twelve (12) of the 35 rural schools and 23 of the 38 urban schools fulfilled the minimum acreage of 10 and 5 acres respectively.
- vi) All the head teachers of the 73 sampled schools had more than five (5) years of continuous teaching experience and had registration certificates. However, 84 teachers in both government and private schools were not registered with the Ministry of education and sports.
- vii) All schools visited had the required minimum number of teachers on full-time basis and the required number of science teachers. However, out of the 73 schools visited, 5 schools had teachers without appointment letters or contracts.
- viii) Eighteen (18) schools did not have boards of governors. 8 of these were government schools whose boards had expired while 10 were private schools whose owners were handling the board roles.
- ix) Out of the 55 schools that had boards, 12 schools had illegal boards of governors that were not approved by the Minister while 43 schools had their boards of governors approved by the minister.
- x) There were five (5) schools that had never been visited by any of the three stakeholders in the period under review. As a result of inadequate support supervision Seven (7) private schools had changed ownership and location without notifying the district or Ministry of education and sports.
- xi) Some of the government schools that receive funding in terms of salaries for teachers, support for infrastructure and textbooks continue to charge fees. Though the education ACT allows voluntary contributions to respond to emergencies, the ACT does not spell out what constitutes emergencies.
- xii) Out of the 2,636 teachers in the sampled government aided and USE schools, 631 teachers had stayed at one duty station for more than 5 years and 509 teachers had stayed for more than 10 years.

- xiii) Out of the sampled 73 schools, none of them met all the prescribed ratios in terms of: classroom to students, desk to students, latrine stance to students, staff accommodation to school, teachers to students.
- xiv) Out of the 73 schools sampled, 68 schools indicated that their EMIS data was not updated in the system. Only 5 had their EMIS data updated. In addition, in a sample of 22 schools with a total enrolment of 20,405 had only 18,394 students on EMIS while 2,011 students were not updated on the system.

Key Recommendations

I advised the MoES to;

- i) Ensure that there is coordination between the Ministry departments and the relevant stakeholders in data management and enforcement of the laws, regulations and guidelines. This will enhance licensing and registration of schools, deployment of teaching staff, regulating school fees and overall governance of the schools.
- ii) Provide guidelines regarding voluntary fees contributions and what constitutes emergencies in the context of schools.

Overall Conclusion

In conclusion, addressing the inadequacies is crucial for the MoES to fulfil its mandate effectively. By focusing on improving the implementation and enforcement of the policies, guidelines and the laws, data collection and management, stakeholder engagement, infrastructure development and support supervision, the ministry can create a more supportive and effective secondary education system that aligns with the outcomes envisaged in the constitution and Vision 2040.

3.1.17 Effectiveness of Provision of Railway Services by Uganda Railways Corporation Introduction

The provision of railway services in Uganda, is a responsibility of the Uganda Railways Corporation (URC), a body corporate established by the URC Act Cap. 216. The services provided by URC include freight, passenger, warehousing and terminal services as well as marine services, as an extension of the railway line using train ferries to roll on and roll off goods in transit for cross border transportation.

The Government of Uganda has prioritized the development of reliable and resilient railway infrastructure to reduce transport costs, enhance interconnectivity, and support economic growth, aligning with Sustainable Development Goal (SDG) 9.1 and commitments under Uganda's third National Development Plan-NDP III (FY 2020–2025). However, only 269 (21%) of Uganda's 1,266 km railway network is operational, leading to over-reliance on road transport, increased transport costs, road deterioration, traffic congestion, and safety concerns. Theft, vandalism, and public encroachment on railway

land reserves further hinder operations, requiring costly repairs and compensation. Additionally, limited investment in the railway network, due to high initial costs, has left over 90% of the traffic along the northern corridor (Malaba - Kampala railway line) carried by road, with a mere 7% being moved by rail because of poor infrastructure.

In response to these challenges, the Office of the Auditor General conducted a Value for Money Audit to assess the mechanisms undertaken by URC in the provision of railway services (carriage of passengers and goods) during the financial years; 2020/21 to 2022/23. Below are the summarised key findings and recommendations.

Key Audit Findings

- i) Although the targeted number of commuter passengers was set at 3,178,174 for the three-year period, the number of passengers transported was 837,528, resulting in a significant performance gap of 2,340,646, representing a 73.6% shortfall from the target.
- ii) I noted that whereas URC had established a process of recording and reporting the actual revenue attributable to passenger services, there was no corresponding process or system in place to track complete actual unit costs related to the management of these services.
- iii) A comparison of actual passenger revenue and estimated passenger costs revealed that the passenger revenue generated cannot cover the estimated operational costs resulting in revenue losses of approximately UGX.1.179Bn in the period audited.
- iv) The budgeted cargo freight volume in the period reviewed totaled 1,318,066 tons although URC fell short of this target, transporting only 689,908 tons. This represents a significant shortfall of 47.66% compared to the projected volume.
- v) Despite the availability of demand, I noted URC's inability to fulfil the entire demand for import and export freight services. URC only delivered 255,527 Metric Tonnes (MT) out of 411,837MT of orders, equating to 62% of confirmed import and export cargo orders.
- vi) Out of 1,420 wagons owned by URC, during the wagon census conducted in April 2023, only 646 were fit (in good condition) while 774 were not in good condition of which 198 were scrap. Out of 51 locomotives owned, only 11 were active. Only 2 ferries/motor vessels out of 5 were in use.
- vii) The maintenance budget for rolling stock and permanent ways was funded by only 35%. In addition, maintenance schedules were not adhered to as maintenance was reactive subject to availability of funds.
- viii) A review of train schedules from January 2022 to June 2023 revealed that only 735 trains (67%) of the 1,100 recorded trips departed on time, 58 trains (5%) departed early, 200 trains (18%) were delayed, and 107 trains (10%) were not

deployed as planned. The train delays were majorly due to limited crew, unavailability of fuel, and locomotive failures, among others.

- ix) A complete database of customer complaints could not be obtained as the resolution of complaints was done on a one-on-one basis between the client and their relationship manager. However, out of the sampled 8 customer complaints, 5 were related to delayed cargo delivery. Additionally, I noted that there was low customer retention.
- x) URC uses translogic system based in Kenya, to monitor cargo and train movements, a system inherited after the Rift valley Railways (RVR) concession. Control officers manually update train arrival times on manual control charts after phone communications with locomotive drivers.
- xi) There were staffing gaps of 404 of which 297 (73.5%) were in the technical departments of Mechanical and Civil Engineering as well as Operations which resulted in inadequate skillset to run critical components of railway services.

Key Recommendations

I advised the Accounting Officer to;

- i) Engage the Ministry of Works and Transport and the Ministry of Finance, Planning and Economic Development to secure funding to increase the availability and variety of specialized rail transportation wagons to meet customer demands and reduce revenue loss due to unmet cargo orders.
- ii) Implement a dynamic budgeting model that incorporates past performance data to create more accurate and realistic passenger and cargo service targets.
- iii) Establish a comprehensive cost-tracking system for tracking complete actual operational costs associated with passenger and cargo services to enable a more accurate assessment of profitability and cost-efficiency. This will facilitate the identification of cost drivers and potential cost-saving opportunities.
- iv) Develop and implement strategic plans to revamp and upgrade ferry services to take advantage of potential benefits or opportunities within the regional transportation network across Lake Victoria.
- v) Establish a structured and regular maintenance schedule for railway infrastructure to prevent degradation and ensure operational reliability.
- vi) Establish a centralized system for recording, tracking, and resolving customer complaints. Regularly analyze customer feedback to identify areas for improvement and communicate proactively with passengers regarding delays and service disruptions.

- vii) Prioritize investment under the AfDB Project to modernize train control, cargo monitoring, and communication systems.
- viii) Consider recruiting qualified personnel to fill critical vacancies in the technical departments, particularly in Mechanical and Civil Engineering as well as Operations.

Overall Audit Conclusion

The URC faces numerous challenges that affect its ability to provide reliable and effective railway passenger and cargo services. These issues, which cut across multiple areas, include the poor condition of railway infrastructure and rolling stock, inadequate customer service mechanisms, lack of management information systems, limited staff capacity, inadequate maintenance and stakeholder coordination. To address these challenges and improve the performance of URC, a holistic approach encompassing enhanced resource allocation, robust training and capacity-building programs, improved asset management and maintenance and strengthened stakeholder coordination is essential.

3.1.18 The Local Economic Growth Support Project Implemented by the Ministry of Local Government and beneficiary District Local Governments

Introduction

The Local Economic Growth Support (LEGS) Project was initiated in 2019 to enhance agricultural production and productivity and improve household income and livelihoods through investments in water and market access infrastructure, agricultural value chain development and enhanced access to rural financing.

The Project which was implemented by the Ministry of Local Government as the lead Executing agency supported 17 Districts to rehabilitate community access Roads and construct Market Facilities, Agro-Processing Facilities, Bulking and Storage Facilities, Milk Collection Centres, Infrastructure to provide Farmers with Water for Production and Consumption among others. The project also enabled farmers to access affordable Rural Financing for Agro-Inputs, Value Addition Technologies, Bulk Transport Facilities and Machinery.

I conducted a Value for Money Audit to assess the extent to which the implementation of the LEGS project by the Ministry of Local Government has delivered the intended outputs.

Key Findings

By 30th June 2024, the project was able to complete some infrastructure projects as planned and these are: 2 valley dams, 3 piped water systems, 157km of Community access roads, 2 multi-purpose bulking centres, 1 milk collection centre, 4 Agro Processing Facilities and Restoration of natural resources in Kibuku, Kumi and Kyenjojo. The project also completed training of 150 artisans on construction of Biogas units,

institutional energy saving cook stoves and molding of household energy saving cook stoves and 90 technicians were trained in artificial insemination techniques. Additionally, 247 groups across the country benefited from component B of the project receiving a total of UGX.13.754Bn through Islamic financing.

Key Findings

However, I also established that there were areas that require improvement, as highlighted below:

- i) There was delayed completion of infrastructure projects and this affected: all 6 irrigation schemes and valley dams planned for completion by 30th June 2024, 10 out of 13 projects for water for domestic use, 32 out of 44 planned projects for post-harvest handling. Additionally, 120 out of a target of 210 technicians were not trained in Artificial Insemination techniques.
- ii) The project did not set up community management committees for 5 Road works in Katakwi, Gomba, Alebtong and Nakaseke. Similarly, the projects had not set up Water User Associations, Water Boards and partnerships with the private sector to sustainably run the project after handover. This affected ownership of the projects among the surrounding communities to guarantee sustainability of the roads.
- iii) I noted that fees were not being collected from the users of completed storage and bulking facilities to sustain maintenance of the facilities. There were also no MoUs signed with the users to indicate their responsibilities towards sustainability.
- iv) I noted that, due to delays in accountability, funds worth USD.6Mn for Islamic financing had not yet been disbursed to Micro finance Support centre by 30th June 2024; five years after project commencement. The implementation of project activities was thus curtailed. As a result, appraised applications amounting to UGX.18.969Bn from 314 groups remained unfunded as 30th June 2024.
- v) In the FY 2019/20, the project spent UGX.3.28Bn which was deemed ineligible. Although, the money was later refunded to the LEGS project account on 7th September 2021 which was more than 2 years after disbursement, it denied bona fide applicants the opportunity to benefit timely from the project. It also led to the withholding of disbursements by IsDB pending refunds of the affected funds.
- vi) Beneficiary groups experienced delayed processing of their applications for financing with delays ranging from 6 months to 2 years, contrary to the recommended 21 days.
- vii) As at 30th June 2024, an amount of UGX 10.1Bn was outstanding in on lent loans of which UGX.4.61Bn (46%) related to overdue loan amounts for periods ranging

from a month to over a year. There is a risk that these amounts may not be paid back thereby affecting the revolving and availability of funds to other applicants.

- viii) From the LEGS loans collection report, as at 30th June 2024, MSC had collections totalling UGX.5.27Bn out of the total disbursed loans of UGX.13.75Bn. These collections were not re-disbursed as a revolving fund despite there being 314 groups from various districts which had applied for loans but had not been financed.
- ix) Interest worth UGX.270.2M was charged to the final beneficiaries contrary to Islamic financing guidelines.
- x) I noted that MSC in some instances directly selected, appraised and disbursed funds to 26 groups amounting to UGX.1.42Bn in Buikwe, Nwoya and Alebtong districts without the involvement of the district team.
- xi) I also observed that the project spent UGX.1.16Bn over a period of 3 years to undertake a mid-term evaluation of the project. However, it had not produced a report showing the level of achievement of project outcomes and objectives.

Key Recommendations

I advised the Accounting Officer of the Ministry of Local Government to;

- i) Support and skill the procurement department to ensure that they can deliver all planned procurements on time.
- ii) Prevail over contractors who have surpassed project completion deadlines.
- iii) Ensure that, for all interventions of the ministry, adequate consultations are undertaken with all key stakeholders to avoid costly changes to on-going projects.
- iv) Ensure that all procured AI kits are delivered to the trained technicians for use
- v) Undertake assessments of the need for refresher training and support of the trained techniques to ensure that skills acquired are not lost overtime.
- vi) Expedite the procurement and distribution of motorcycles to cooperatives as planned.
- vii) Ensure sustainability by formation of all Community user committees for all roads and water sources constructed and conduct regular monitoring and support to enhance their effectiveness.
- viii) Support MSC to recover long outstanding loans and increase uptake through revolving the recovered amounts.

- ix) Institute a system of collecting data to evaluate project outcomes.
- x) Dedicate specific staff to perform loan appraisals, monitoring, Islamic finance training and sensitisation in the underserved districts. The training consultant (Islamic University in Uganda) should provide the groups not yet funded with the necessary support to enable them to qualify for loans under the project.
- xi) Make deliberate efforts to enhance loan disbursement to under-served districts. For projects not meeting the criteria, MSC should liaise with the District Community Development Officers to support the groups and prepare them to qualify for funding.

Overall Audit Conclusion

The project experienced delays towards the achievement of many planned outputs. By 30th June 2024, many infrastructure projects had not been completed while some had not yet commenced. Rural affordable financing to farmers' groups was also delayed as guidelines were not followed, lent funds were not recovered, and there were delays in processing applications, while the funds recovered were not lent to other applicants. This implies that, for the five years of the project from 2019/20 to 2023/24, intended beneficiaries continued to experience key bottlenecks which the project set out to address such as limited availability of water for consumption and production, challenges in post-harvest handling, access to markets and accessibility to affordable financing.

As a result of the failure to undertake the Mid-Term Evaluation, the project was not able to institute timely measures to address its implementation challenges which eventually necessitated a project extension up to December of 2025. The project management needs to institute measures to fast-track the implementation of all remaining activities to ensure realization of the intended benefits to the target beneficiaries.

3.1.19 Scaling and Commercialization of Research Outputs in Makerere, MUST and Busitema Public Universities

Introduction

Research plays a crucial role in addressing societal challenges by converting knowledge into technologies and strategies. The NDP III emphasizes the importance of Research and Innovation to foster economic growth, enhance competitiveness, and contribute to the achievement of the Sustainable Development Goals (SDGs). Public universities, as outlined in Uganda's Universities and Other Tertiary Institutions Act, are responsible for education, research, and learning. Despite the various initiatives in promoting research in universities the translation of research outputs into scalable innovations from universities remains low.

This performance audit assessed the effectiveness of public universities in Uganda in transforming research outputs into scalable innovations for commercialization and policy change. The audit focused on evaluating the research project closure procedures,

dissemination activities, intellectual property protection, and incubation frameworks to determine their role in enabling the scaling of innovations.

Key Findings

The findings below highlighted several challenges that hinder the successful transformation of research into commercially viable innovations and policy solutions;

- i) The audit revealed that public universities lacked centralized systems for tracking completed research, except for Makerere University's recent initiative in the Research Innovation Fund (MAK-RIF), leading to difficulty in identifying research outputs with potential for innovation and scaling.
- ii) The post-research management work plans were lacking due to uncertainties about the impact and funding for scaling, causing valuable research findings to remain underutilized, particularly at Makerere University, where externally funded projects are left unmanaged by the institution.
- iii) Research dissemination processes were fragmented across university units, with outputs primarily viewed as the property of individual researchers rather than being systematically shared and promoted by the universities. Universities were not actively promoting or disseminating research findings to potential users or markets. The lack of coordinated dissemination has limited engagement with industry partners and relevant stakeholders, mainly remaining confined within the academic domain and thus hindering the uptake of research findings.
- iv) Intellectual property (IP) management was another challenge, with university policies on IP rights and benefit-sharing limiting innovation and external collaborations. The policies were seen as regressive, preventing the promotion of individual innovations.

Key Recommendations

I advise and recommend that public universities improve research output management by;

- i) Adopting and updating software systems for research output management, tracking, and reporting.
- ii) Developing closure frameworks for both internally and externally funded research.
- iii) Setting realistic research project timelines, addressing procurement and ethical review delays that feature majority of the research.
- iv) Creating centralized strategies for research output management and dissemination that integrate efforts at various units of the university.

- v) Establish standardized IP ownership policies and provide IP protection training to encourage and promote awareness amongst the innovators.
- vi) Offering targeted training on research dissemination and presentation for broader audiences. Explore additional funding for dissemination activities.
- vii) Implement research capacity-building programs to foster a balanced research environment.
- viii) Fostering collaboration with the private sector, media, government, and industry for commercialization and incubation.
- ix) Invest in innovative ecosystems and raise awareness about incubation processes.

Overall Audit Conclusion

Overall, the audit concludes that weaknesses in research commercialization practices, such as poor coordination, limited institutional involvement in dissemination, and restrictive IP policies, prevent public universities from exploiting the full potential of research outputs. The current researcher-led model of scaling innovations, coupled with limited financial and structural capacity, hinders the universities' ability to drive scalable solutions and contribute to national development goals.

3.1.20 The effectiveness of Local Revenue Mobilization and Collection in selected Municipalities in Central Region

Introduction

Local Governments (LGs) are mandated by the Local Government Act, Cap 138 to collect revenue which is used to implement service delivery activities. Local revenue refers to the income collected by Local Government entities through various taxes, fees, and levies that are imposed within their jurisdiction to finance their operations and services.

Local revenue mobilization refers to the process of organizing or preparing taxpayers through raising awareness about taxes to generate funds to implement planned service delivery activities, while Local revenue collection is the process of collecting money owed to the Local Government in line with the applicable tax laws.

Local Governments have continued to grapple with local revenue shortfalls consequently, the Ministry of Local Government introduced interventions through automation of tax administration system which has seen an improvement in local revenue collections.

The team undertook an analysis of the local revenue collections in four revenue sources i.e. Business licences, property tax, Local service tax and Local Hotel tax in six selected municipalities for the period between FY 2020/2021 to FY 2022/2023 and noted an improvement in local revenue performance from 52% to 68%, as shown in the table below;

Table 50: Performance of Local revenue

Local revenue sources		Financial Years			Total performance (UGX 'Bn)
		2020/21	2021/22	2022/23	
		(UGX 'Bn)	(UGX 'Bn)	(UGX 'Bn)	
Business Licenses (A)	Budget	10.250	8.807	8.544	27.601
	Actual	4.618	6.923	6.599	18.140
	Variance	5.632	1.884	1.945	9.461
	%age	45	79	77	66
Property Tax (B)	Budget	8.965	13.018	17.152	39.136
	Actual	4.505	8.454	10.242	23.201
	Variance	4.460	4.564	6.911	15.935
	%age	50	65	60	59
Local Service Tax (C)	Budget	2.011	2.622	3.422	8.056
	Actual	1.899	2.593	3.067	7.559
	Variance	0.112	0.030	0.355	0.497
	%age	94	99	90	94
Local Hotel Tax (D)	Budget	0.356	0.918	1.404	2.679
	Actual	0.162	0.608	0.934	1.705
	Variance	0.194	0.310	0.470	0.974
	%age	46	66	67	64
Total Performance (A+B+C+D)	Total Budget	21.583	25.366	30.523	77.472
	Total Actual	11.185	18.578	20.842	50.605
	Total Variance	10.398	6.788	9.681	26.867
	Total %age	52	73	68	65

Source: OAG analysis

Despite the improvements, the overall performance was low when compared to the budget.

In light of the above concerns, I conducted a Value for Money Audit to assess the effectiveness of local revenue mobilization and collection in selected Municipalities in the central region. These Municipalities include Makindye Ssabagabo, Entebbe, Kira, Mukono, Nansana and Mityana.

Below is a summary of the key findings

Key Findings

- i) The team noted an improvement in revenue collections in the six Municipalities from UGX.11.185Bn in FY 2020/21 to UGX.20.842Bn in FY 2022/23, representing a 73% increase which was attributed to the automation of revenue administration systems. Despite the upward trend, the Municipalities continued to experience several shortcomings.

- ii) Despite a notable LST performance of 94% posted over the three (3) year period, I noted that 2 out of the 4 categories of LST were not assessed for tax purposes in all the six (6) Municipal Councils. This implies that the LST revenue targets set over the three (3) year period were below the LST revenue potential of Makindye Ssabagabo, Entebbe, Kira, Mukono, Nansana and Mityana.
- iii) For the LST category of self-employed and practicing professionals, the team noted that in three (3) Municipal Councils of Mityana, Makindye Ssabagabo and Nansana out of six (6) sampled, LST and trading licenses were not separated at the point of assessment which complicated the process of confirming whether LST was either being assessed or adequately collected. I further noted that five (5) out of the six (6) Municipal Councils based their revenue estimates for LST on prior year records.
- iv) For the persons in gainful employment category under Local Service Tax (LST), all the six (6) Municipalities lacked adequate records of residents for tax purposes. As a result, Councils only relied on payrolls submitted by employers to make assessments.
- v) The study noted that the MCs of Makindye Ssabagabo, Kira, Nansana and Mityana lacked an Enumeration and Registration Committee (ERC) to guide the enumeration and registration exercise for tax purposes.
- vi) The Municipal Councils of Entebbe, Nansana, Mityana and Mukono out of the six (6) sampled did not fill the Enumeration and Registration of Hotels, Lodges and Guest Houses (ERHL&GH) forms to capture relevant data such as list of hotels, number of rooms per hotel/lodge, and chargeable rates.
- vii) It was noted that revenue from Boda-boda riders, although gazetted was not being assessed by the Municipal Councils of Makindye Ssabagabo, Entebbe, Kira, Mukono, Nansana and Mityana.
- viii) The team noted that three (3) Municipalities of Mukono, Nansana and Makindye Ssabagabo did not plan to conduct sensitization at the Division level and consequently, there was a 11% decline in the number of taxpayers registered annually from 39,684 in FY 2020/21 to 28,511 in FY 2021/22 representing a taxpayer decline of 11,173 (28%)
- ix) Five (5) out of the six (6) Municipal Councils sampled had gaps in infrastructure meant to facilitate revenue mobilization and collection. Specifically, some Divisions did not have vehicles or motorcycles to facilitate Town Agents in enforcement thereby affecting enforcement activities.
- x) The arrears of revenue for the Municipalities of Makindye Ssabagabo, Entebbe, Mukono, and Nansana out of the six (6) MCs sampled over the three years under review had an upward trend. Analysis of the data shows that by the end of FY 2022/2023, the MCs had recovered less than 50% of their respective cumulative arrears over the three-year period under review. We also noted that the

Accounting Officers did not have a clear strategy on how to recover these arrears.

Key Recommendations

I advised the Accounting Officers of Makindye Ssabagabo, Kira, Mukono, Nansana, Entebbe and Mityana to;

- i) Ensure that enforcement budgets are funded as approved by Council to ensure uninterrupted mobilization and collection activities.
- ii) Formulate and operationalize the LST assessment committee to obtain data about persons in gainful employment, self-employed professionals and artisans eligible for LST, using the Local Councils (LCI & LCII). In addition, the Accounting Officer should ensure that no practitioner is allowed to undertake any work within the LG without proof of LST payment.
- iii) Develop a training program to equip Town Agents on the basic principles of tax administration to maximize revenue assessment. In addition, the Accounting Officer should engage the MoPS to consider revising the structure to provide for additional Town Agents to support assessment activities.
- iv) Engage the MoLG and other key stakeholders to develop a comprehensive database to curb individuals who evade taxes by changing their area of operation.
- v) Formulate and operationalize the ERC to obtain data about persons in gainful employment, self-employed professionals and artisans eligible for LST.
- vi) Come up with practical strategies on how to obtain data on hotels/lodges and liaise with other stakeholders such as the Local Councils (LC's), Gombolola, Internal Security Organization (GISO) to support the enforcement activities.
- vii) Seek clarity from the Attorney General on whether the presidential directive is applicable to municipalities outside the KCCA jurisdiction. In addition, the Ministry of Local Government should engage cabinet on the matter to provide clear guidance;
- viii) Engage Council to devise strategies to ensure that adequate revenue is realized to fund mobilization and collection activities.
- ix) Expedite the retooling of the revenue department to support the revenue mobilization and collection activities with the support received from GKMA Program.
- x) Collaborate with the Councils to come up with strategies aimed at recovering the outstanding arrears. In addition, management should make a comprehensive assessment/reevaluation of the outstanding balances to ascertain the collectability

of the arrears and establish the actual position of the outstanding arrears for the MC.

Overall Audit Conclusion

The study shows that the effectiveness of local revenue mobilization still faces a number of challenges in local revenue enumeration, assessment, sensitization, enforcement and collection in the selected Municipalities of Makindye Ssabagabo, Entebbe, Kira, Mukono, Nansana and Mityana which have negatively continued to affect the achievement of planned revenue targets. It had been envisioned that local revenue projections were bound to improve as a result of increased level of business activities, local development initiatives, expansion of real estate development, industrialization and the increased rural-urban migration. With this potential, the Municipal Councils can still narrow the performance gaps identified by implementing the proposed recommendations to address the challenges.

3.1.21 Follow up Report on the Value for Money Audit on Enforcement of Occupational Safety and Health Activities by the Department of Occupational Safety and Health under the Ministry of Gender, Labour and Social Development

Introduction

In December 2016, the Auditor General submitted a report to Parliament regarding the enforcement of Occupational Safety and Health (OSH) by the department of OSH in the Ministry of Gender Labour and Social Development (MoGLSD). The report provided detailed findings with underlying causes and recommendations to facilitate effective enforcement of OSH activities at workplaces in the country. The highlighted performance gaps in OSH enforcement were identified in the systems and processes such as workplace registration and equipment certification, workplace inspection, monitoring and coordination mechanisms, and OSH training and awareness.

Scope of the follow-up

The previous audit covered three (3) Financial Years (FYs) starting from 2012/13 to 2014/15 and was published in 2016. The follow-up thus evaluated progress made by the Ministry of Gender, Labour and Social Development (MoGLSD) and roles played by other stakeholders such as the Public and Private workplaces, and worker's representatives in implementing audit recommendations from 2016 to-date.

Summary of the extent of implementation of the Recommendations in the Previous Audit Report by the MoGLSD

I noted that MoGLSD has made efforts to implement the Auditor General's recommendations, which resulted in policy review and development, to facilitate effective enforcement of OSH to improve the working conditions for all Ugandans in the country. Out of eighteen (18) audit recommendations made in my 2016 report;

- i) 1 (6%) was fully implemented;
- ii) 6 (33%) were partially implemented; and
- iii) 11 (61%) of the recommendations were not implemented

MoGLSD has registered some progress in the enforcement of occupational safety and health at workplaces as indicated below;

- i) Developed and in the process of reviewing more Laws, Policies, guidelines and Regulations to improve enforcement of Occupational safety and health at workplaces in the country.
- ii) Upgraded the Occupational Safety and Health Management Information System (OSHMIS) to an online web-based system with five modules streamlining OSH processes to enable generation of equipment and plant examination certificates, building and architectural plan approval, and generation of workplace inspection, plant and equipment examination reports.
- iii) Created storage space for all available inspection equipment and an inventory management system that provides for authorization of equipment use to guard against misuse through damage, theft or loss.
- iv) Recruited OSH inspectors to enhance the enforcement of OSH Act requirements at workplaces. The staffing increased from eighteen (18) in 2016 to twenty-five (25) inspectors representing an increase of 38.9% by 2024. This has increased inspections and registration of workplaces in the country over the follow-up period to 2,149 workplaces. In addition, non-taxable income through workplace registration, plant and equipment examination/ certification has grown from an average of UGX.0.3 Bn to UGX.1.2 Bn annually during the financial years under audit.
- v) Promoted OSH awareness and sensitization in the country annually on every 28th April during the national celebrations of the world day for safety and health at work. This has created some level of awareness about the requirements of the OSH Act, Cap. 231 and its regulations among a section of employers in the country.
- vi) Procured inspection equipment/ tools during the follow-up period to facilitate effective and efficient workplace inspection, plant and equipment examination to enable making of evidence-based recommendations for corrective actions by inspected workplaces in the country.

However, there are still some unimplemented recommendations such as;

- i) Creating extensive and sustained sensitization about the importance of workplace registration and equipment certification.
 - a) The follow-up audit noted that workplace registration was still low, as 2,149 workplaces had been registered at the end of 2023, representing

0.215% of the estimated one million workplaces in the country, which is a 0.1% increase from the 2016 reported statistic of registered workplaces.

- b) There was an increase in delays to renew workplace registration certificates since 2016, which ranged from 1-300 days to the current 1-931 days representing a 210% increase.
- ii) Developing and implementing systematic risk assessment criteria to identify and assess OSH hazards and prioritize workplaces for inspection to enable the Ministry to provide assurance that the available resources are used efficiently to carry out the most critical inspections, and
- iii) Putting in place mechanisms to maximize the number and impact of workplace inspections through informed planning for inspections and equipment. There was lack of capacity, for example;
 - a) The current ratio of inspectors to workers in Uganda is 1:452,000 contrary to the recommended 1: 40,000 ratio of inspectors to workers as per the International Labour organization (ILO) standard.
 - b) Out of 102 required inspection equipment, the department possessed only 16 (15.7%) equipment with 86 (84%) critical inspection equipment missing to support evidence-based inspections. Out of the 25 staff, only 1 senior occupational hygienist had training in use of tools.
 - c) Out of a sample of 94 Government owned lifts, 39 (41%) had never been examined and certified for use whereas 55 (59%) had delays of certification renewal ranging from 12 to 156 months contrary to the recommended bi-annual certification period. Similarly, out of the 160 privately owned lifts, 23 (14%) had been examined and certified for use, 12 (8%) had never been examined and certified at all, and 125 (78%) had delays of certification renewal ranging from 12 to 144 months.
- iv) Out of the upgraded four (04) OSHMIS system modules, only 01 (workplace registration and certification) was fully operational and the 03 had technical challenges. There was also low utilization of the OSHMIS by inspectors to generate inspection reports due to inadequate training by the consultant and limited enforcement by management.
- v) Despite the strategic intent set forth in the MoGLSD Strategic Plan (2020/21 - 2024/25) and recommendations from the 2016 Auditor General's report, MoGLSD faces substantial challenges in finalizing critical OSH legislation and regulations. By the time of audit, only 14% of the proposed legislations have been enacted, with 49% in draft stages awaiting executive approval and 37% still uninitiated.

Overall Conclusion

Therefore, the Auditor General's 2016 recommendations remain largely unimplemented, and consequently, performance risks continue to manifest as evidenced by increased occupational accidents and injuries, unsafe working environment, inadequate enforcement of Occupational safety and Health Act Cap. 231 among others. Although MoGLSD has made progress by upgrading its information systems, recruiting additional inspectors, and developing policies and guidelines, the absence of finalized OSH legislation limits its capacity to enforce compliance effectively.

3.1.22 Follow up Report on the Value for Money Audit on the Implementation of Fuel Marking Programmed by the Ministry of Energy and Mineral Development

Introduction

In March 2014, the Auditor General submitted a report to Parliament on the Implementation of the Fuel Marking Programme (FMP) by the Ministry of Energy and Mineral Development (MEMD). The report provided detailed findings with underlying causes and recommendations to facilitate effective implementation of the fuel marking programme in the country. The audit highlighted performance gaps in the FMP implementation in relation to the programme systems and processes such as import inspection, procurement of marking agent, field monitoring of fuel outlets, marking fees, stakeholder coordination, Petroleum information system, standards development, availability and maintenance of the laboratory equipment.

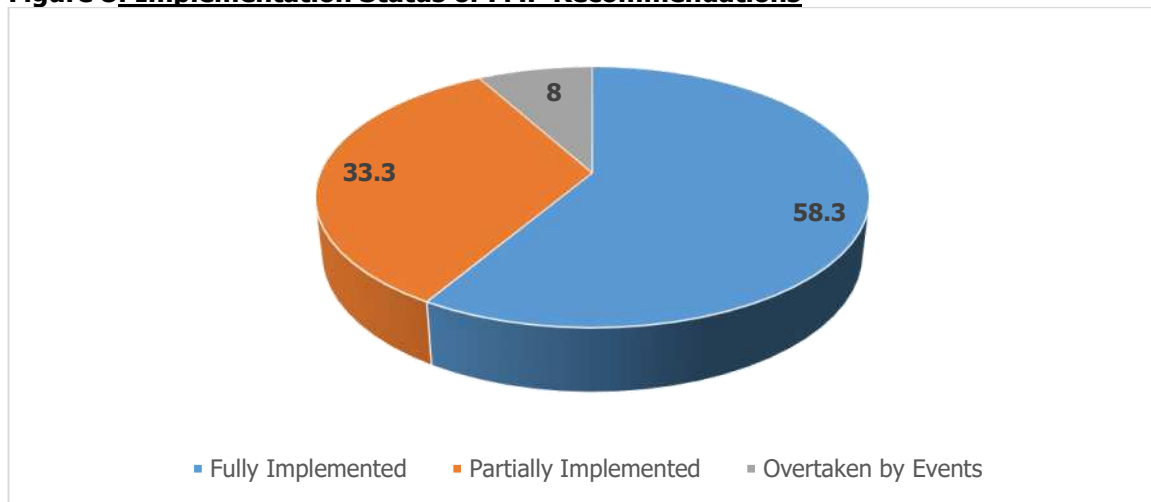
Scope of the follow-up

The previous audit covered three (3) Financial Years (FY) starting from 2010/11 to 2012/13 and was published in 2014. The follow-up audit evaluated progress made by the MEMD and roles played by key stakeholders such as the Uganda National Bureau of Standards (UNBS) and Uganda Revenue Authority (URA) in implementing audit recommendations from 2014 to 2024.

Summary of the extent of implementation of the recommendations in the previous Audit Report by MEMD

I noted that MEMD made efforts to implement the AG's recommendations that resulted in policy review and development to facilitate effective implementation of FMP in the country. The implementation status for the twelve (12) audit recommendations made in the AG's report of 2014, is indicated in the Figure below;

Figure 8: Implementation Status of FMP Recommendations



Source: OAG analysis of MEMD responses and supporting evidence

It can be observed from the figure above that 8% of the recommendations from the AG's report had been overtaken by events (no longer practicable), 33.3% partially implemented, and 58.3% were fully implemented.

The follow up further noted persistent weaknesses in the implementation of the FMP such as failure to conduct investigations on failed tests, non implementation of some Modules in the National Petroleum Information System (NPIS), Non-functional key equipment at the central testing lab, and poor laboratory conditions at Busia, Malaba and Mutukula border points.

Despite the above weaknesses, MEMD has registered progress in the implementation of the FMP. I noted that MEMD;

- i) Routinely conducts on-spot fuel monitoring at various petrol stations in the country. As of 30th June, 2024, out of 5,118 retail station outlets recorded in the data system, the monitoring coverage was on average 87.5% per month. In addition, the Programme conducts fuel quality tests at the designated border entry points, namely, Busia, Mutukula and Malaba, to ensure that the imported fuel conforms to the required quality standards.
- ii) Procured a marking agent SICPA Global Fluids Integrity in accordance with the PPDA Act Cap. 205 to carryout marker doping of Petrol (PMS), Diesel (AGO) and Kerosene (BIK) destined for the local market. Therefore, the compliance level with respect to Petrol (PMS) and Diesel (AGO) has increased at an average of 99.2% for monitoring done at least once a month according to the annual performance report during the FY 2023/2024.
- iii) Developed and operationalised the National Petroleum Information System (NPIS) that is used by the Ministry to capture data on downstream petroleum activities to address stakeholder information needs.

- iv) Developed 596 standards in consultation with UNBS that have been gazetted and operationalized to aid in the Fuel marking processes. Some of the developed standards include Standard Test Methods for Chemical Analysis of Copper Alloys, Standard Test Methods for Copper in Water, Standard Practice for Sampling and Handling of Fuels for Volatility Measurement, among others.
- v) Acquired a laboratory recognition certification (No. UNBS/LRS/0030) from UNBS on 25th July, 2022 to demonstrate the technical competence and operation of a laboratory quality management system of the MEMD-downstream petroleum testing laboratory to perform tests.
- vi) Procured and equipped ten (10) mobile testing vehicles to conduct on spot sample testing of fuel quality at various fuel retail stations and calibration of fuel pumps to ensure accuracy of measurements and value for money.
- vii) Equipped the central laboratory with the necessary equipment and apparatus to the acceptable standards and this has facilitated the testing of petroleum products leading to a National average compliance rate of 99.2% for monthly monitoring as of 30th June 2024.

Overall Conclusion

The MEMD has demonstrated commitment to addressing the AG's recommendations from 2014, with notable progress in the implementation of the FMP. The report reveals that out of twelve recommendations, seven (58.3%) were fully implemented, four (33.3%) partially implemented, and 1 (8%) was overtaken by events.

This indicates a significant effort by MEMD to enhance the effectiveness of the FMP, despite some areas requiring further attention such as failure to conduct investigations on failed tests registered in the central laboratory for the products that had initially passed the preliminary tests, inefficiency of the NPIS and poor laboratory conditions at the border points. Overall, the MEMD's actions reflect a strong dedication to improving fuel quality and regulatory practices. However, continued efforts are necessary to fully implement all recommendations and address any remaining gaps to ensure the Programme's sustained success and effectiveness.

3.1.23 Follow up Report on the Value for Money audit on the Management of Accommodation by Uganda Police Force

Introduction

In December 2012, the Office of the Auditor General (OAG) issued a report on the Management of Accommodation by Uganda Police Force (UPF).

Key issues noted and recommendations made in the said report included among others, the insufficient residential and office accommodation for the Police staff, which stood at a ratio of 1 house accommodating 2 police officers with most families sharing small rooms in housing units and uniports which are dilapidated. In addition, the hygienic

conditions in most of the places of accommodation were found to be disgraceful, characterized by old faulty sewerage and water systems, poor electrical installations and absence of systematic garbage disposal mechanism.

Scope of the follow-up

The previous audit covered three (3) financial years starting from July 2008 to June 2011 and the report was published in February 2012. The overall objective of the follow up was to assess the extent to which UPF acted on the findings and implemented recommendations in the previous audit report of the management of accommodation challenge from 2012 to date (2024).

Summary of the extent of implementation of the recommendations in the previous Audit Report by the UPF

I observed that the UPF has made efforts towards implementing the AG's recommendations regarding the management of Accommodation in the Police Force. I noted that all the twelve (12) audit recommendations made by the AG in his previous report have been partially implemented.

The following achievements have been observed following audit review of the previous report issued in 2012 towards management of accommodation in the UPF;

- i) As of November 2024, the UPF had made significant strides in addressing the housing crisis in the Police Force. This progress is evidenced by the completion of numerous housing projects, including 420 apartments in Naguru and additional units across various regions.
- ii) The reliance on in-house engineering support from the Police Force has notably accelerated project timelines, reducing construction periods from 2-3 years to 6-8 months.

However, despite these advancements, challenges still exist in regard to the provision of housing accommodation in the UPF, as explained below;

- i) At the time of reporting (November 2024), 53.1% of the 38,460 entitled officers had no adequate accommodation. Consequently, many officers were forced to live in substandard conditions that pose safety risks, highlighting a persistent housing crisis exacerbated by ongoing recruitment efforts aimed at achieving an UN-recommended police-to-population ratio.
- ii) Funding constraints continue to impede progress, with delays in disbursement affecting the completion of vital construction projects. The need for more housing units is urgent, particularly as recruitment efforts continue to increase.
- iii) While initiatives have been launched to clear unauthorized occupants from barracks and improve management practices through enforcement of Standard Operating Procedures, these measures have not fully resolved the accommodation issues faced by police personnel.

Overall Conclusion

The management of accommodation for police officers in Uganda reflects a continuous progress in addressing key challenges to achieving their desired goals. The report reveals that all the 12 key recommendations (100%) were partially implemented.

While the UPF has demonstrated a commitment to improving housing conditions through ongoing construction and renovation projects, significant gaps remain. Addressing the funding challenges and enhancing management practices are crucial in ensuring all entitled officers access safe and adequate housing.

Continued investment and strategic planning are essential to meeting the growing demands of the force and improving the overall welfare for police personnel in the country.

3.1.24 Follow up Report on the Status of Implementation of Audit Recommendations for the Value for Money audit on the Management of the Loan Portfolio by the Microfinance Support Centre

Introduction

In March 2014, the Auditor General published a report on the Management of the Loan Portfolio by the Microfinance Support Centre (MSC) Ltd. The report highlighted key findings and provided recommendations relating to the appraisal of special loan programmes, monitoring and tracking of loans, loan defaults, recovery of delinquent loans, portfolio growth, cost benefit analysis of operating zones, capacity building for MSC clients, and follow on loans.

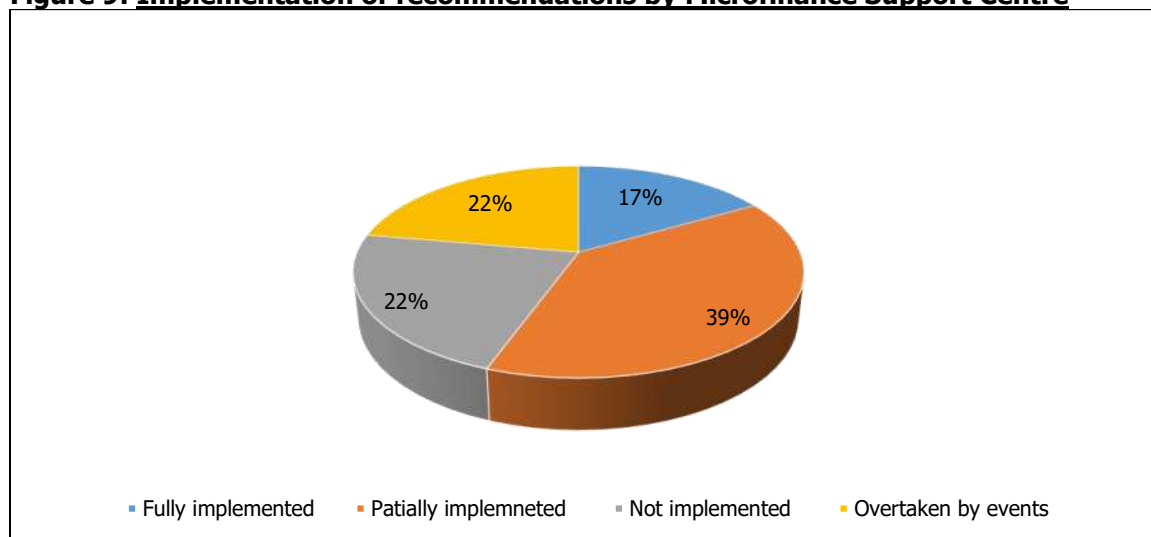
The OAG decided to undertake a follow-up of the 2014 Audit to assess the extent of implementation of the audit recommendations, given that the extent to which MSC addressed the issues raised would have a bearing on improvements in the implementation of their mandate of extending affordable Micro-credit funds to qualifying Ugandans with a focus on Agriculture and the active poor and, offering Business Development Services to build capacity in enterprise and financial management.

Summary of status of implementation of Auditor General's Recommendations of the Previous Audit Report and actions taken by MSC

I noted that MSC had made efforts towards implementing the Auditor General's recommendations, resulting in improvements in the Performance of the Loan Portfolio at Microfinance Support Centre. Out of the 18 key audit recommendations made in my 2014 report, 3 (17%) were fully implemented; 7 (39%) were partially implemented; 4 (22%) were not implemented and, 4 (22%) were overtaken by events

A summary presentation of the status of implementation of the audit recommendations is indicated in the Figure below;

Figure 9: Implementation of recommendations by Microfinance Support Centre



Source: OAG analysis and verification of MSC responses and supporting evidence

Although there was improvement in several areas including a reduction in the number of written off loans, enhanced record keeping by the SACCOs, development of field visit guides, improved cost benefit analysis and increased capacity building for SACCOs, I noted performance gaps and weaknesses in the management of the loan portfolio at MSC as follows;

- i) MSC set new targets to increase the loan portfolio from UGX.180Bn in 2020/21 to UGX.675Bn in 2023/24. The Loan portfolio instead dropped significantly from the realised amounts of UGX.104.65Bn (57%) in the FY 2020/21 to UGX.159.11Bn (23.5%) in 2023/24.
- ii) The tracking of the recovery status of loans from various categories such as special loans, secured loans, and unsecured loans is still not effective.
- iii) Although the credit policy provides for unrecovered loans exceeding 90 days to be forwarded to Debt recovery for legal action, we noted significant loans with arrears of periods ranging from 670 to 1,720 days.
- iv) Although MSC had employed various strategies to recover previously written off loans, the recovery was still low, averaging 5% per year. Should this rate persist, it could take MSC approximately 19 years to recover the entire amount of UGX.18.814Bn that was written off, assuming no further write-offs in the subsequent years.
- v) Client feedback and reporting back mechanisms need improvement as clients do not receive written advisory notes following MSC's monitoring visits, instead, findings and key issues on their loan uptakes are discussed verbally with members, with no formal feedback provided to aid tracking of progress made by the SACCOs.

- vi) I noted cases of clients that obtained two or more follow-on loans whilst having other loans in defaults, contrary to the guidelines. In one region sampled, for the month of September 2024, 15 clients had 2 and/or more loans in default amounting to UGX.1.564Bn.

Specific Recommendations

The Accounting Officer of the MSC should;

- i) Prepare an action plan to address and implement all recommendations that were partially and not implemented.
- ii) Continue with implementation of the agreed actions that have led to improved management of the Loan Portfolio at MSC.

3.1.25 Follow up Report on the Status of Implementation of Audit Recommendations on the Value for Money audit on the Management of Sewerage in Urban Areas by National Water and Sewerage Corporation

Introduction

In March 2015, the OAG issued a VFM Audit Report on the Management of Sewerage in Urban Areas by National Water and Sewerage Corporation (NWSC) and submitted the report to Parliament. Key issues noted and recommendations made in the said report related to the access to sewerage services, quality of the effluent discharged, effluent discharge permission, maintenance of treatment infrastructure (Inspection of the Treatment Infrastructure, Maintenance of operational records/data) Engagement and Coordination with other stakeholders.

The OAG resolved to undertake a follow-up of the 2015 audit to examine the corrective actions taken by NWSC to adequately address the recommendations and remedy the underlying problems that were identified during the previous audit. Following that, recommendations were made with the goal of addressing any outstanding issues that had been identified.

Scope of the follow-up

The previous audit covered the three (3) FYs 2011/12 to 2013/14. The follow-up hence evaluated progress made by the NWSC in implementing audit recommendations from FY 2014/2015 to-date.

Summary of status of implementation of Auditor General's Recommendations of the Previous Audit Report and actions taken by NWSC

The NWSC made efforts to implement the Auditor General's recommendations, resulting in improvements in the management of sewage services in urban areas. Of the six (06) key audit recommendations:

- i) 5 (83%) recommendations were partially implemented, while
- ii) 1 (17%) recommendation regarding obtaining of effluent discharge permits was not implemented by the time of audit (July 2024).

The following achievements and positive efforts towards management of sewerage services in urban areas by NWSC have been observed from the follow up;

- i) Restructuring the Department of Sewerage Services into a full directorate charged with the management of sewerage services in the country.
- ii) Expansion of the sewerage services infrastructure thus leading to an increase in sewer connections from 20,355 in FY 2015/16 to 28,703 connections in FY 2022/23.
- iii) Improvement in desludging of the pond systems and maintenance of the sewage facilities.
- iv) Obtaining sewage discharge permits for 17.6% of the treatment plants.

Despite the above progress, a few challenges still need to be addressed to achieve efficient and effective management of sewerage services in the urban areas by NWSC;

- i) The effluent discharge from three sewage treatment plants (Mbarara, Masindi and Hoima) still does not meet the standards for faecal coliforms.
- ii) NWSC was unable to secure valid effluent discharge permits for fifteen (15) sewage treatment infrastructure, representing 83%. There were ongoing challenges with the storage and easy retrieval of documentation at thirteen (13) of the plants.
- iii) NWSC faces challenges with land encroachment and vandalism of the sewerage infrastructure.

Overall Conclusion

The management of NWSC has demonstrated commendable commitment in addressing the AG's recommendations from 2015 with notable progress made in the management of sewerage services in urban areas. The report reveals that out of the 6 key recommendations, 83% were partially implemented and 17% not implemented. Overall, NWSC's actions reflect a strong effort towards addressing the need to efficiently and effectively manage provision of sewerage services in urban areas in Uganda, however, continued efforts are still necessary to fully implement all recommendations.

Specific Recommendations

The Accounting Officer of NWSC should;

- i) Prepare an action plan on how to address and implement all recommendations that are partially or not implemented.
- ii) Liaise with the Ministry of Water and Environment to secure valid effluent discharge permits for all sewage infrastructure.
- iii) Liaise with KCCA, Local Governments and Ministry of Water and Environment to ensure full implementation of the recommendations that are collaborative.

3.1.26 Follow up Report on the Implementation of Audit Recommendations on the Value for Money audit on the Facilitation and Promotion of Export Trade by Uganda Export Promotion Board

Introduction

In December 2018, the OAG issued a report on the Facilitation and Promotion of export trade by Uganda Export Promotion Board (UEPB) and submitted a report to Parliament. The key issues noted and recommendations made in the said report related to spearheading efforts to put in place a coordination mechanism with the different sector players, exploring alternative ways of obtaining information about external markets rather than relying on Embassies and Missions by regularly subscribing to online market and buyer information sources, engaging with the relevant stakeholders to ensure that activities such as evaluation studies and surveys and regular meetings with exporters are planned for, funded and implemented, developing comprehensive training plans as a guide for implementing activities aimed at building the capacity of the exporters.

The OAG decided to undertake a follow-up of the 2018 audit given that the extent to which the Board addressed the issues raised would have a bearing on improvements in the facilitation and promotion of export trade in Uganda. Following that, recommendations were made with the goal of addressing any outstanding issues that had been identified.

Scope of the follow-up

The previous audit covered three (3) FYs 2015/16 to 2017/18 and was mainly done at UEPB headquarters.

The follow up thus focused on the initiatives undertaken by UEPB in response to recommendations of the AG in the 2018 Audit report, aimed at facilitating the development, promotion and coordination of export related activities that support the development of export trade from 2018 to 2024.

Summary of status of implementation of Auditor General's Recommendations of the Previous Audit Report and actions taken by UEPB

It was noted that UEPB had made efforts to implement the Auditor General's recommendations, resulting in improvements in Export promotion in Uganda. Out of the 5 key audit recommendations made in the AG's report of 2018;

- i) 1 (20%) were fully implemented.
- ii) 2 (40%) were partially implemented.
- iii) 2 (40%) were not implemented,

The following achievements and positive efforts towards promotion of export trade made by UEPB was observed from the follow up;

- i) Export growth (both goods and services) was at an average of 8% per annum over the past 5-year period (2019 - 2023) from USD.6.171Bn in 2019 to USD.9Bn in 2023.
- ii) The development of a client management system that facilitates online registration and export readiness assessment of exporters has been implemented by UEPB.
- iii) UEPB has formulated a National Export Coordination Committee with membership from several MDAs, such as Ministry of Finance and Economic Development, Ministry of Trade and Industry and Uganda Investment Authority.
- iv) Market studies in the Democratic Republic of Congo and South Korea have been undertaken to assess export promotion and trade opportunities

The above demonstrates the significant efforts by UEPB to pursue initiatives aimed at promotion of export trade in Uganda, however opportunities still exist for further improvements. The following challenges are still existent;

- i) Barriers to free trade (Market entry) created by Uganda's target markets like Kenya and Tanzania for products like milk and sugar have continued to slow down the country's production and productivity efforts.
- ii) High cost of finance, which makes the cost of doing business high, yet majority of Uganda's export businesses are Micro-, small and medium-sized enterprises.
- iii) International trade dynamics resulting from effects of COVID-19 pandemic as well as the geo-political conflicts in Europe and the Middle East.
- iv) High transportation costs that majorly affect horticulture exports as airfreight charges remain relatively high hence making Uganda's products uncompetitive in the export markets.

Overall Conclusion

The UEPB has demonstrated commitment to addressing the AG's recommendations from 2018 with notable progress in the implementation of the export promotion and trade opportunities. The report reveals that out of the 5 key recommendations, 20% were fully implemented, 40% were partially implemented, and 40% was not implemented.

Overall, UEPB's actions reflect a strong effort towards increasing Uganda's export trade. However, continued efforts are necessary to fully implement all recommendations and address any remaining gaps to ensure the export promotion drive and expansion of trade opportunities are achieved.

Specific Recommendations

The Accounting Officer of UEPB should;

- i) Prepare an action plan to address and implement all recommendations that are partially and not implemented.
- ii) Liaise with Ministry of Trade Industry and Cooperatives (MoTIC), Ministry of Finance Planning and Economic Development (MoFPED), Ministry of Agriculture Animal Industry and Fisheries (MAAIF), UNBS and URA to ensure full

implementation of the recommendations that are collaborative like improved quality of exports, provision of export finance and the usage of cheaper transport routes like the lake and railway lines.

3.1.27 Follow up Report on the Value for Money Audit on the Implementation of the Vegetable Oil Development Project by the Ministry of Agriculture, Animal Industry and Fisheries

Introduction

In March 2014, the Auditor General issued a report to Parliament on the implementation of the Vegetable Oil Development Project (VODP) by the Ministry of Agriculture, Animal Industry and Fisheries (MAIIF). The report highlighted key issues and provided recommendations relating to delays in project implementation, delays in disbursement of funds for project activities, weaknesses in management of the Kalangala Oil Palm Growers Trust (KOPGT) loan portfolio, provision of production inputs, provision of extension services, market linkages and adaptive research. The recommendations aimed at addressing the identified performance gaps to enhance the Project's performance and similar future projects implemented by MAIIF.

The Office of the Auditor General (OAG) undertook a follow-up of the 2014 audit report, to assess the extent of implementation of the audit recommendations to improve the performance of vegetable oil projects and interventions implemented by MAAIF. Following that, follow-up recommendations were made to address any outstanding issues.

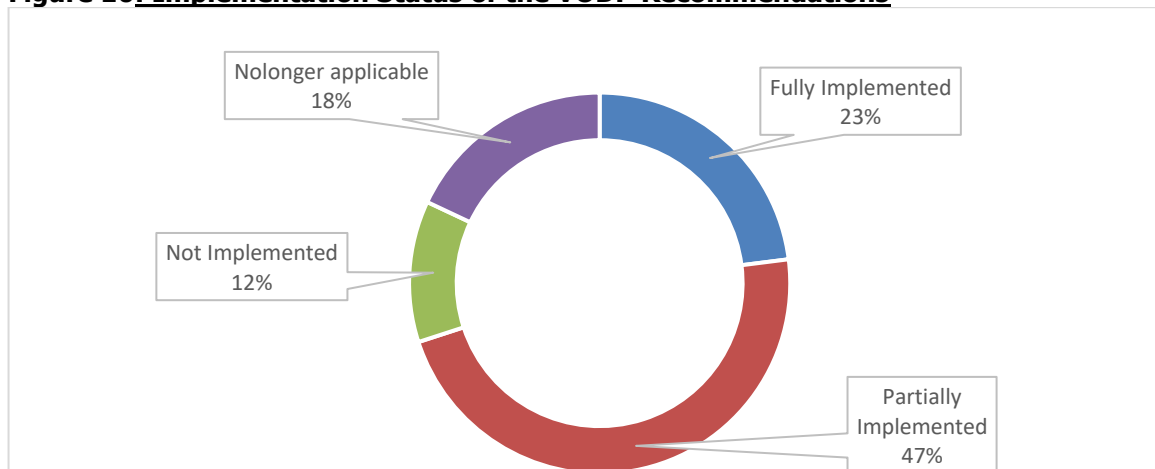
Scope of the follow-up

The previous audit covered fourteen (14) financial years starting from 1998/99 to 2011/12 and the report was issued in 2014. The follow-up thus evaluated progress made by MAAIF, VODP, and its successor projects VODP 2, National Oil Palm Project (NOPP), National Oil Seed Project (NOSP), and other key stakeholders in implementing audit recommendations from 2014 to-date.

Summary of the extent of implementation of the recommendations in the previous Audit Report and actions taken by MAAIF, VODP, VODP 2, NOPP, and NOSP

I noted that the Ministry, through VODP and its successor projects VODP 2, NOPP, and NOSP had made efforts to implement the AG's recommendations. The implementation status for the seventeen (17) audit recommendations made in the AG's report of 2014, is indicated in the Figure below;

Figure 10: Implementation Status of the VODP Recommendations



Source: Source: OAG analysis of MAAIF, NOPP and NOSP responses and supporting evidence

Specifically, it was noted that following the 2014 audit, MAAIF through VODP and its successor projects had managed to fully implement only four (4) of the seventeen audit recommendations. Major challenges remain in the timely implementation of project activities, disbursement and utilisation of project funds, and provision of farm inputs to farmers. The Local Seeds Business model under VODP 2, only focused on large farmers leaving out many small farmers. These continue to hinder production and value addition in the vegetable oil industry.

3.1.28 Follow up Report on the Status of Implementation of Audit Recommendations on the Value for Money audit on Management of Blood Transfusion Services by the Uganda Blood Transfusion Services

Introduction

In March 2013, the AG issued a report to Parliament on Management of Blood Transfusion Services by Uganda Blood Transfusion Services (UBTS). The audit report highlighted key problems in management of blood transfusion services, such as absence of accreditation and certification of the transfusion services; difficulties in meeting blood collection targets, inaccurate tracking of blood requirements, and ensuring appropriate use of blood and blood products; and deficiencies in quality management, training, blood-component therapy, and infrastructure development. These gaps hindered UBTS performance in providing essential blood transfusion services to the country. The report made recommendations for addressing the identified performance gaps to enhance UBTS' performance in providing blood transfusion services.

The OAG undertook a follow-up of the 2013 audit report to assess the extent of implementation of the audit recommendations, given that the extent to which UBTS addressed the issues would have a bearing on provision and access to blood transfusion services in the country.

Scope of the follow-up

The previous audit covered the operations of UBTS in the three (3) FYs of 2009/10, 2010/11, and 2011/12, and was published in March 2013. The audit involved visiting all the Seven (7) regional blood banks and selected three (3) out of six (6) Blood Centres in the various regions of Uganda to evaluate the performance of UBTS in providing safe and adequate quantities of blood and blood products to all hospitals and HCIVs for the management of patients throughout the country. The follow-up therefore examined the progress made by UBTS in implementing the 2013 Value for Money audit recommendations from 2013 to-date.

Summary of status of implementation of Auditor General's Recommendations of the 2013 Audit Report and actions taken by UBTS

It was noted that UBTS has made minimal progress in the implementation of the 2013 Value for Money audit recommendations. Out of the twenty-eight (28) audit recommendations in the AG's report of 2013;

- i) 23 (82%) were partially implemented, while
- ii) 5 (18%) of the recommendations were not implemented at all.

I noted some improvements in documentation through the Blood Safety Information System and enhancements in blood component to whole blood ratio. However, major challenges remain, notably in obtaining accreditation for most of the Regional Blood Banks, failure to achieve the World Health Organisation's recommended blood collection target of 1% of the population and lacking functional Hospital Transfusion Committees. UBTS still struggles to effectively meet blood demand, maintain quality standards, and to ensure appropriate use of blood and blood products. These challenges compromise UBTS' capacity to provide safe and adequate blood transfusion services across the country.

Therefore, in subsequent risk profiling assessments by my office, I will consider UBTS for possible Value for Money audits to examine the systemic and operational inefficiencies hindering it from realising its full potential.

3.1.29 Assessment of the effectiveness of Legal, Regulatory and Institutional Frameworks in Uganda to curb Illicit Financial Flows in the Management of Revenue from the Extractive Industry in Uganda

Background

In the 51st African Organization of English-Speaking Supreme Audit Institutions (AFROSAI-E) Governing Board Meeting held in Windhoek-Namibia in 2016, Supreme Audit Institutions were called upon to emerging issues where their contribution is indispensable. Due to the importance of the need to address Illicit Financial Flows (IFFs), AFROSAI-E sanctioned a study in April 2023, involving twelve (12) Supreme Audit Institutions, in which a Memorandum of Understanding was signed, to conduct a "Coordinated Audit on IFFs with a focus on tax revenue mobilization."

IFFs are illegal movements of money or capital from one country to another. According to Global Financial Integrity, IFFs are aided by lack of good governance in the mining sector due to weak state institutions and growing corruption. According to the World Bank, the IFFs reduce domestic resources and tax revenue needed to fund poverty-reducing programs and infrastructure in developing countries.

Introduction

In accordance with the Uganda Bureau of Statistics, GDP from Mining in Uganda was at a record low of UGX.65.69Bn in 2011. Since then, the mining industry's GDP has been increasing progressively. The GDP increased from UGX.412.11Bn in the first quarter to UGX.1,144.12Bn in the second quarter of 2023, an increase of 178%. The potential of the mining sector's contribution to Uganda's GDP may be affected by IFFs, perpetuated through money laundering, cash smuggling, drug trade, and tax evasion for eventual use in illegal activities such as organized crime and terrorism.

In Uganda, the study assessed the effectiveness of the legal, regulatory, and institutional frameworks in curbing IFFs in the extractive industry in Uganda. I undertook the study in three institutions namely, Ministry of Energy and Mineral Development (MEMD), Uganda Revenue Authority (URA) and Financial Intelligence Authority (FIA). These institutions are at the core of management of revenues from the extractive industry and in curbing IFFs in Uganda. The summary of my key findings from the coordinated audit on IFFs are presented below;

Summary of Key Findings

- i) The laws and regulations are generally up to date to curb IFFs in revenue mobilization in the extractive industry. However, Uganda should continue to refine and strengthen its legal framework and ensure strict implementation of the laws to strengthen the fight against IFFs and promote sustainable revenue mobilization from the extractive industry for National development.
- ii) The MEMD, URA and FIA, play a collaborative role in the prevention and detection of illicit financial flows in Uganda. This therefore requires an inter-institutional working arrangement to aid in the prevention and detection of illicit financial flows in the extractive industry in the country.
- iii) The laws enacted considered various aspects such as transfer pricing regulations, control of illicit financial flows, anti-money laundering provisions, cross-border monitoring, and strong mechanisms, which are collectively vital in the detection, prevention, and deterrence of IFFs in the extractive industry in Uganda. The implementation of the instituted mechanisms should be carried out collaboratively and bring on board other relevant agencies to enable Uganda to comply with the International Conference on the Great Lakes Region (ICGLR) Mineral Certification Scheme and prevent potential revenue losses.
- iv) Whereas Uganda has instituted multiple mechanisms, such as the enactment of relevant laws, regulations and undertaken national risk assessment on anti-

money laundering and financing of terrorism, it was observed that various mechanisms, such as operationalization of the Uganda National Mining Company (UNMC), development of a model agreement for future agreements, non-tax assessment of certain minerals and certification of the 3TG (Tin, Tantalum, Tungsten and Gold) designated minerals products had not been fully implemented.

3.2 **Engineering/Public Works Audits**

I undertook and completed seven (07) Engineering /Public Works audits during the period of reporting. Of these, three (03) were special audits whose reports were issued to the requestors. The table below provides a summary of the engineering audits undertaken;

Table 51: Engineering /Public Works audits during the period of Reporting

S/N	Engineering/Public Works Audits	No. of Entities	No. of Projects Audited (Roads, Building, Bridges, Sports Fields)	Value of Contracts /Works Audited (UGX) Bn	Value of Contracts/ Works Audited (USD) Mn	No. of Reports
1	Engineering Audit on a Selected Sample of Infrastructure Projects Implemented by Refugee Hosting District Local Governments Under the Uganda Support to Municipal Infrastructure Development, Additional Financing (USMID-AF) Program	11	11	57.63		12
2	Value for Money Audit/Assessment on Selected Infrastructure Projects Implemented by Entities Participating in The Greater Kampala Metropolitan Area (GKMA) Urban Development Program	9	18	50.28		10
3	Value for Money Audit/Assessment on Selected Urban Infrastructure Projects Implemented by the Uganda Support to Municipal Infrastructure Development Additional Financing Program (USMID-AF) Participating Municipal Councils and Cities	22	91	711.64		23
4	Engineering audit of a selected sample of infrastructure projects implemented by URC in the FY 2023/24	1	3	629.82		1
5	Special Audit on Alleged Mismanagement of Maintenance Funds Released by Uganda Road Fund to Entebbe Municipal Council for Financial Years 2020/21 and 2021/22	1	4	1.29		1
6	Special Audit of the International	2	1		379.7	1

S/N	Engineering/Public Works Audits	No. of Entities	No. of Projects Audited (Roads, Building, Bridges, Sports Fields)	Value of Contracts /Works Audited (UGX) Bn	Value of Contracts/ Works Audited (USD) Mn	No. of Reports
	Specialized Hospital of Uganda – Lubowa					
7	Special Engineering Audit on Ten Selected Infrastructure Facilities Implemented Under the Uganda Health Systems Support Project (UHSSP)	1	10		15.62	10
Total		47	138	1450.66	395.32	58

The Key Findings are presented below;

Engineering Audit on Selected Sample of Infrastructure Projects Implemented by Refugee Hosting District Local Governments Under the Uganda Support to Municipal Infrastructure Development, Additional Financing (USMID-AF) Program

A total of 64 projects worth UGX.160.438Bn were implemented across the eleven (11) refugee hosting districts selected for the USMID-AF program.

I conducted an engineering audit on one project with the highest contract sum in each of the 11 Districts, these projects comprised of Roads, Bridges, Buildings and sports facility projects. Accordingly, a total of 11 projects worth UGX.57.634Bn representing 35.9% of the total value of projects implemented were audited.

Below is a summary of key findings and observations resulting from the engineering audit;

1) **Inadequacies in Design and Planning**

I reviewed the design and planning documentation and noted the following inadequacies in ten (10) DLGs as detailed in the table below;

Table 52: Design and planning inadequacies noted

SN	DLG	Design and Planning Inadequacies Noted
1	Adjumani	Underestimation and omission of key items in the contract BoQs worth UGX.2.473Bn.
2	Arua	- Inadequate geotechnical investigations - The bar bending schedule was inconsistent with the design drawings. - Failure to undertake hydrological investigations - Omission of key work items worth UGX.563.9Mn.
3	Isingiro	- The geotechnical investigations undertaken were based on only one trial pit for each road. - Neither traffic surveys nor axle load surveys for the roads to be constructed were done. - No hydrological investigations were conducted for the roads.

SN	DLG	Design and Planning Inadequacies Noted
4	Kamwenge	- No geotechnical investigations were undertaken. - Inconsistencies in the specifications and drawings.
5	Kiryandongo	Omission of approach slabs for box bridge.
6	Lamwo	- Absence of specific geotechnical investigations at the locations of the five box culverts. - Omission of the structural analysis of the box structures in the design report.
7	Madi-Okollo	- No evidence of needs assessment. - No evidence of undertaking geotechnical investigations. - No design report.
8	Moyo	No evidence of undertaking geotechnical investigations.
9	Obongi	- No design report. - Incomplete Drawings
10	Yumbe	Absence of evidence of road drainage design.

Failure to undertake adequate and detailed plans and designs can lead to the implementation of infrastructure that do not address the needs. Additionally, this can lead to adoption of foundations and infrastructure designs that are not suitable for the existing site conditions.

Recommendation

I advised the Accounting Officers to ensure that for future projects of similar nature, detailed designs and plans in form of geotechnical investigations, hydrological are conducted and properly documented.

2) Procurement Issues

I noted the following issues arising from my review of the procurement of the works contractors in the six (6) DLGs of Adjumani, Arua, Kiryandongo, Madi-Okollo, Obongi and Yumbe;

Table 53: Procurement issues noted

S/N	DLG	Procurement Issues Noted
1	Adjumani	- Inadequate due diligence was undertaken on the contractor by the Evaluation Committee. - Unjustified cancellation of the initial procurement process.
2	Arua	Irregular inclusion of VAT component of UGX.911,822,962.
3	Kiryandongo	- Absence of a breakdown of the Engineer's Estimates. - Inadequate due diligence undertaken on the contractor by the Evaluation Committee. - Absence of a complete procurement file for the procurement of the contract for additional works. - Incomplete works contract for additional works.
4	Madi-Okollo	- Absence of a breakdown of the Engineer's Estimates. - Unjustified inclusion of UGX.39,999,360 in the contract amount. - Inadequate due diligence was undertaken on the contractor by

S/N	DLG	Procurement Issues Noted
		the Evaluation Committee.
5	Obongi	Unjustified Splitting of the procurement into two (02) phases.
6	Yumbe	- Erroneous arithmetic checks during financial evaluation. - Unjustified Splitting of procurements.

These procurement irregularities can lead to challenges during project implementation.

Recommendation

I advised the Accounting Officers to ensure that procurements undertaken do not contravene the relevant procurement regulations and guidelines. Further more, the anomalies observed should be avoided.

3) Expiry of Performance Securities Prior to Completion of Works

Apart from Madi-Okollo where the contractor failed to submit a performance security, I established that performance securities submitted in eight (8) DLGs expired prior to the completion of works contrary to the contract requirements. The table below refers;

Table 54: Status of the Performance Securities as at the time of audit

S/N	DLG	Status of the Performance Security as at the Time of Audit
1	Arua	Expired nine (09) months prior to the revised completion date for the works.
2	Isingiro	Expired thirteen (13) months prior to the revised completion date for the works.
3	Kiryandongo	Expired nine (09) months prior to the completion date for the works.
4	Lamwo	Expired five (05) months prior to the completion date for the works.
5	Madi-Okollo	No performance security for the first contractor who was later terminated.
6	Moyo	Expired five (05) months prior to the revised completion date for the works.
7	Obongi	The performance guarantees submitted by the contractor for phase 1 and 2 works expired three (03) and five (05) months respectively prior to the revised completion dates for the works.
8	Terego	Expired eight (08) months prior to the completion date for the works.
9	Yumbe	Expired eight (08) months prior to the revised completion date for the works.

Failure to maintain valid performance securities constitutes a fundamental breach of contract and exposes the DLGs to the risk of financial loss in the event the contractors fail to perform.

Recommendation

I advised the Accounting Officers to always ensure that contractors maintain valid guarantees as contractually required.

4) **Delayed Completion of Works and Unjustified Extension of Time**

In five of the eleven DLGs, work completion was delayed by 28 to 163 days, warranting liquidated damages of UGX.1,153,110,843.1, which were not charged as detailed in the table below;

Table 55: Delays in the implementation of the works

S/N	DLG	Delay [days]	Uncharged Liquidated Damages [UGX]
1	Isingiro	28	152,166,865.20
2	Kiryandongo	163	412,509,171.3
3	Madi-Okollo	56	61,509,168
4	Moyo	163	286,028,652
5	Terego	131	240,896,986.6
	TOTAL		1,153,110,843.1

Of the remaining six DLGs without delays, five granted unjustified time extensions of 193 to 392 days, leading to forfeited liquidated damages of UGX 2,251,221,181.3. The details for the unjustified extensions of time are presented in the table below;

Table 56: Delays to complete works and uncharged/forfeited liquidated damages

S/N	DLG	Unjustified extension of time [Days]	Forfeited Liquidated Damages [UGX]
1	Adjumani	275	1,187,105,095
2	Arua	392	557,773,771.30
3	Kamwenge	270	141,707,795
4	Madi-Okollo	193	109,837,800
5	Obongi	240	254,796,720
	Total		2,251,221,181.3

Delayed completion of works denies the intended users timely usage of the infrastructure and failure to charge damages, denies the Client compensation arising from the delayed completion.

Recommendation

I advised the Accounting Officers to put measures in place to ensure that works are always completed in time, failure of which liquidated damages are charged as per the contract provisions.

5) **Irregular/Unjustified/Questionable Payments/Certifications**

I reviewed payment documentation for the eleven (11) DLGs and noted various payments totalling UGX.4,134,430,658.5 that I considered irregular, unjustified and/or questionable due to either absence of documents supporting these payments, payments being made against contractual provisions, use of wrong rates for payment or payments made for unexecuted works as shown in the table below;

Table 57: Summary of irregular/unjustified/questionable payments/ certifications

SN	DLG	Irregular / Unjustified / Questionable Payments [UGX]	Remarks
1	Adjumani	286,250,000	• Unsupported payment of UGX.286,250,000 relating to environmental, health, and social safety activities.
2	Arua	917,556,333	• Irregular advancement of UGX.294,158,867 to the contractor. • Irregular release of retention money of UGX.250,891,466 • Unsupported payments of UGX.309,526,000 for Preliminary and General items, UGX.34,980,000 for environmental studies and permits, UGX.22,500,000 for additional foundation investigation and UGX.5,500,000 for material testing.
3	Isingiro	345,921,382	• Irregular advancement of UGX.200,000,000 to the contractor. • Irregular release of retention money of UGX.130,921,382. • Unsupported payment of UGX.15,000,000 for an environmental and social audit report, and provision of sexual health and first aid clinic on the main site compound fully furnished and equipped.
4	Kamwenge	806,453,057	• Irregular release of UGX.197,039,057 without as-built drawings. • Unsupported payments of UGX.447,739,000 for concrete test cubes, samples, tests required by the Engineer, and excess excavated material among others, and UGX.11,000,000 for EHSS activities. • Questionable payment of UGX.150,675,000 for imported gravel with no specifications.
5	Kiryandongo	416,161,941	• Irregular release of UGX.239,252,850 without as-built drawings. • Unsupported payments of UGX.176,909,091 for various environmental, social, health and safety measures.
6	Lamwo	373,876,593	• Irregular release of UGX.320,456,593 retention money before submission and approval of as-built drawings. • Unsupported payments of UGX.27,500,000 for relocation of services and special tests, UGX.25,920,000 for environmental, social, health and safety measures.

SN	DLG	Irregular / Unjustified / Questionable Payments [UGX]	Remarks
7	Madi-Okollo	724,122,557.5	Unsupported payment of 724,122,557.5 for earthworks, and other playground facilities.
8	Moyo	155,514,326	- Irregular release of UGX.143,014,326 before submission and approval of as-built drawings. - Unsupported payment of UGX.12,500,000 for Safety Officer and Social Safeguard Specialist as well as implementation of environmental and health and social requirements.
9	Obongi	52,501,719	- Unrecovered advance payment of UGX.11,741,719 - Payment of UGX.35,260,000 for unexecuted works. - Unsupported payment of UGX.5,500,000 for implementation of environmental, health and social safety requirements.
10	Terego	26,072,750	Unsupported payment related material tests for the Engineer, Training and Capacity Building/Environment, Social and Community officers, and Environmental, Health and Safety activities.
11	Yumbe	30,000,000	Failure to apply discount of UGX.30,000,000 in IPCs 1 and 2 offered by the contractor
	Total	4,134,430,658.5	

Irregular/unjustified payments expose the DLGs to the risk of financial loss.

Recommendation

I advised the Accounting Officers to conduct further review of these payments and take appropriate action.

6) Inspection of Works

I inspected all the selected project sites in the eleven (11) DLGs between 05th August to 20th August 2024. During the physical inspection of the works, I observed the following omissions and defects on the sites;

Table 58: Observed defects in the different project sites

S/N	DLG	Observation
1	Adjumani	Chamfered concrete encasing for cross and access culverts and eroded fill at box culvert.
2	Arua	Stockpiled sand on bridge deck, blocked weep holes, unbound stones at wing wall edges and unpainted girders.
3	Isingiro	Bleeding of bitumen, stripping of aggregates, insufficient backfill on

S/N	DLG	Observation
		some of the access culverts, damaged end structures, honeycombs on some of the concrete elements, etc.
4	Kamwenge	Cracks in veranda, terrazzo work top, floors and timber roof members. Missing shower heads, bench provision, access hatches, grout in tiles, peeling of paint, blocked floor trap, rusted hoop iron, etc.
5	Kiryandongo	erosion gulley, scouring and wash away of wearing course, damaged head wall on cross culvert, exposed top slab of box bridge, poor welding of joints on the guard rails, erosion of backfill at culvert crossing, missing guard rails on box culverts, disintegration of concrete end structures etc.
6	Lamwo	Cracks on head walls, silted drains and culverts outlets and inlets, poorly compacted gravel material on road edges, erosion gulley along fill edges, unmarked signposts, developing potholes, etc.
7	Madi-Okollo	Honey combing on some concrete elements and a deformed tank.
8	Moyo	Unfinished paint works, un-protected rebar on the main building, disconnected down pipes, unpainted ceiling areas, damaged wall at the garbage area, unfinished drain works, broken ceiling eaves.
9	Obongi	Poor workmanship of welds on the clinic door of the Administration Block, poor workmanship of the lighting base (compound lighting), vandalized main switches in the lockups, broken taps, peeling of paint, cracks on apron slabs, blocked down pipe, missing locks on some cabinets, etc.
10	Terego	Ponding of water on paved surfaces, peeling of wall paints, silted catch drains, uncovered inspection chambers for the VIP Latrines, etc.
11	Yumbe	Rusted guard rails, missing bolts, honeycombing of surround concrete, damaged aprons, uninstalled guardrails at the edges of the cross culverts, cracks on concrete end structures, poorly jointed culverts, erosion of the embankment and damaged the road edges, etc.

Defects if not rectified lead to faster deterioration of the infrastructure which reduces their service life.

Recommendation

I advised the Accounting Officers to ensure that all the above observed defects and/or omissions are rectified before project closure.

7) Implementation of Environmental, Health, Social and Safety Measures

All the eleven DLGs had challenges and inadequacies in the implementation of environmental, health, social and safety measures as highlighted in table below;

Table 59: Non-adherence to environmental, health, social and safety measures

S/N	DLG	Observation
1	Adjumani	Improper waste disposal, inadequate traffic control measures, absence of warning signage for excavations.
2	Arua	Expiry of the Environmental and Social (ES) Guarantee nine (09) months prior to the revised completion date.

S/N	DLG	Observation
3	Isingiro	• Expiry of the Environmental and Social (ES) Guarantee thirteen (13) months prior to the revised completion date. • Spillage of bitumen in the contractor's storage yard. • Absence of firefighting equipment at the contractor's yard. • Inadequate PPEs.
4	Kamwenge	• Expiry of the Environmental and Social (ES) Guarantee six (06) months prior to the revised completion date
5	Kiryandongo	• Expiry of the Environmental and Social (ES) Guarantee nine (09) months prior to the revised completion date. • Borrow pits at Ch. 5+450 LHS along Kololo-Laboke road and Ch. 12+360 RHS along Karuma-Okweche road were not re-instated.
6	Lamwo	• Improper reinstatement of borrow pits at Ch. 23+100 and Ch. 9+100 resulting in water ponding and steep slopes respectively. • Absence of several required permits and approvals such as Certificate of Registration of Workplace, Surface Water Abstraction Permit, Approval of Contractor's Camp Layouts and Construction Drawings, and ESIA approvals.
7	Madi-Okollo	• Absence of ES performance security. • Inadequate safety on site. • Failure to conduct HIV/AIDS awareness programs.
8	Moyo	• Absence of ES performance security.
9	Obongi	• Expiry of the Environmental and Social performance security for phase 1 works prior to completion. • Absence of Environmental and Social performance security for phase 2 works.
10	Terego	• Expiry of the Environmental and Social (ES) Guarantee eight (08) months prior to the completion of works. • No evidence of Environmental approvals for auxiliary facilities and Decommissioning plans, a site clinic and a Social Development Officer.
11	Yumbe	• Expiry of the Environmental and Social (ES) Guarantee seven (07) months prior to the completion of works. • The borrow pit at Ch. 2+000, RHS-offset of 2km along Ariwa-Akiiri road was not re-instated.

Failure to implement adequate environmental, social, health and safety measures can lead to environmental degradation as well as increasing the risk of injuries in the event of accidents.

Recommendation

I advised the Accounting Officers to ensure that contractors fully implement all the required environmental, health, social and safety measures during the execution of works.

8) **Quality of Works and Materials**
a) **Material Testing and Quality Control**

I reviewed the material testing and quality control documents and noted that nine (09) of the eleven (11) DLGs had inadequacies in quality control and material testing as detailed below;

Table 60: Material testing and quality control inadequacies noted

S/N	DLG	Materials and/or works not tested
1	Adjumani	- Change of culvert bedding from CRR to an inferior material i.e. sand. - No tests undertaken on 900mm concrete culverts.
2	Arua	No test results undertaken on steel, sand and aggregates.
3	Isingiro	No test undertaken on sand, aggregates, bitumen, concrete, gravel, culverts and subgrade layer.
4	Kamwenge	- No test undertaken on sand, aggregates and steel. - No specifications for gravel.
5	Kiryandongo	No tests undertaken on gravel, steel, pipe culverts, coarse aggregates and sand.
6	Lamwo	No concrete mix designs, trial mixes, and crushing load tests for pipe culverts
7	Madi-Okollo	No tests undertaken on bricks, blocks, steel bars, coarse aggregates and sand.
8	Moyo	No tests undertaken on pavers, gravel and kerbstones.
9	Obongi	- No tests undertaken on concrete, pavers, concrete pipe culverts, and absence of manufacturer's certificates for cement, reinforcement, and iron sheets. - No evidence of undertaking concrete mix designs.

Failure to undertake adequate material testing and quality control increases the risk of use of substandard materials affecting the durability of the works.

Recommendation

I advised the Accounting Officers to always ensure that adequate testing is undertaken on all materials used in the permanent works.

b) **Concrete Members**

I checked the quality of the concrete members on seven (07) of the eleven (11) DLGs and noted that some of the tested concrete elements did not meet the minimum compressive strength as detailed in the table below;

Table 61: Concrete elements that failed the minimum test strength requirements

SN	DLG	Failed Concrete Elements
1	Adjumani	- Manhole at Ch.0+640 LHS on Administration Road. - External wall on the box culvert at Ch. 0+250 on Market Road.
2	Arua	Abutment 1 and the 2 upstream wing walls for Enyau-1.
3	Isingiro	Culvert end-structures
4	Kiryandongo	Wing wall on the box culvert at Km 3+842 and the headwall of the

SN	DLG	Failed Concrete Elements
		box culvert at Km 3+944 on Kololo-Laboke road.
5	Lamwo	• Top slab concrete for box culverts at Ch. 2+100 and Ch. 3+800.
6	Madi-Okollo	• All the tested elements (slabs, columns and beams).
7	Yumbe	• Head wall and walkways for box culvert at Ch. 4+000

Failure to meet the required concrete strength can compromise the functionality and durability of the infrastructure.

Recommendation

I advised the Accounting Officers to conduct further tests on the failed concrete elements and in the event of failure, take appropriate remedial measures.

c) **Laboratory Tests**

I collected samples of natural gravel, sand, coarse aggregates, concrete kerbs, steel reinforcement from seven (07) of the eleven (11) DLGs and conducted laboratory tests on these. The summary of the failed parameters per DLG is presented in the table below;

Table 62: Summary of the laboratory test results for the sampled materials

SN	DLG	Material	Tested Parameters that Failed	Effects
1	Adjumani	Gravel	PI, LS,	• High PI leads to slippery road surfaces especially in rainy seasons. • High chloride content leads to faster corrosion of steel reinforcement in concrete. • Poorly graded aggregate mix can result into a loosely packed concrete mix which can lead to voids, segregation of the mix components and weak concrete. • Poor quality concrete elements lead to weak infrastructure.
		Concrete kerbs	UCS	
		Sand	Chloride content, PSD	
		Coarse aggregates	PSD	
2	Arua	Sand	Chloride content, Organic impurities, PSD	
		Gravel	CBR	
		Coarse aggregates	PSD	
3	Isingiro	chippings	PSD	
4	Kamwenge	Pavers	UCS	
5	Kiryandongo	Gravel	SP, GC, PSD, CBR	
6	Madi-Okollo	Bricks	UCS	
		Sand	Chloride content, PSD	
		Coarse aggregates	PSD	
7	Yumbe	Gravel	SP, GC, CBR	

Recommendation

I advised the Accounting Officers to put measures in place to ensure that all materials used in the permanent works always meet the requirements.

9) Quantity Verifications

I undertook an analysis of the drawings availed to me and also physically measured some of the executed work items to establish the consistency with which the supervision team accurately measured the quantities during certification.

I noted inconsistencies in some of the quantities certified in all the sampled projects resulting in overpayments equivalent to UGX.2.733Tn, as shown in the table below;

Table 63: Overpayments/over certifications noted

S/N	DLG	Project	Overpayment [UGX]
1	Adjumani	Upgrading of Administration Road (1.43km), Market Road (1.09km) and Illa Road (0.66km) to Bituminous surface in Adjumani District	231,477,509
2	Arua	Construction of 2 bridges: Enyau-1 on Odianyadri-Congo road and Enyau-2 bridge on Awindiri-Ajono road under USMID-AF	603,203,850
3	Isingiro	Construction of Eight (8) Sealed Roads (7.09) km Under USMID-AF	271,886,808
4	Kamwenge	Construction of Market Shed and Taxi Park at Nkoma-Katalyeba Town Council Under USMID-AF	141,707,795
5	Kiryandongo	Construction of Alaro-Ongwalo-Yabwengi Road (1.448km), Kololo-Laboke Road (11.842km) and Karuma-Okweche-Alero Road (18.66km)	301,858,740
6	Lamwo	Rehabilitation of Lamwo Town Council-Palabek Ogili Sub-County Road (25.125km)	631,793,250
7	Madi-Okollo	Construction of Play Field at the District Headquarters	52,845,300
8	Moyo	Construction of Moyo Town Market in Moyo Town Council in Moyo District	60,312,032
9	Obongi	Construction of Ndirindiri Market Phase One and Two	176,342,169
10	Terego	Construction of a Resource Centre at Leju Town Council in Terego District	44,010,755
11	Yumbe	Rehabilitation/Construction of Ariwa-Kiri Road 34.76km	218,288,913.04
	Total		2,733,727,121.04

These overpayments if not recovered shall result in a financial loss to the projects.

Recommendation

I advised the Accounting Officers to ensure that the overpayments are recovered and measures put in place to ensure that for future projects, payments are always made for actual works done.

10) **Supervision of Works**

An evaluation of supervision arrangements in the various DLGs revealed inadequacies, as detailed in the table below;

Table 64: Supervision inadequacies noted

S/N	Supervision inadequacy observed	DLGs affected
1	Failure to prepare adequately detailed monthly progress reports.	Adjumani, Arua, Isingiro, Kamwenge, Kiryandongo, Lamwo, Madi-Okollo and Yumbe
2	Failure to monitor personnel and equipment mobilization of the contractor	Adjumani and Madi-Okollo
3	Failure to implement a Contract Management/Implementation Plan	Adjumani, Kiryandongo, Kiryandongo, Madi-Okollo, Moyo and Yumbe
4	Failure to prepare measurement sheets	Madi-Okollo, Moyo, Obongi and Yumbe
5	Failure to prepare minutes for site meetings	Arua and Moyo

Failure to adequately supervise the works can lead to implementation of works that do not meet the required quality.

Recommendation

I advised the Accounting Officers to ensure that measures are put in place to ensure that adequate supervision of future projects is undertaken.

Engineering Audit on a Selected Sample of Infrastructure Projects Implemented by Uganda Railways Corporation

During the year, URC implemented four public works contracts totaling UGX.661.144Bn. I conducted engineering audits on three railway projects valued at UGX.629.817Bn, representing 95% of the total public works project value.

Below is a summary of key findings and observations resulting from the engineering audit.

1) **Planning and Design Inadequacies**

A review of the planning and design documents for two projects revealed significant inadequacies as shown below;

Table 65: Inadequacies in Planning and Design

S/N	Contract	Inadequacies
1	Refurbishment of Kampala Namanve Mukono railway line section (26.8Km)	• Provision of ramps thinner than recommended • Omission of reinforcement in the ramps • Specification of different grades of concrete for platform and access slabs • Inadequate basis for removal of existing rails. • Specification of use of G3 material for fill, yet this is of low quality

S/N	Contract	Inadequacies
2	Rehabilitation of Mukono-Malaba Railway Section	• Reliance on un updated railway engineering manual • Inadequate condition assessment • Absence of detailed design reports and drawings • Anomalies in the preparation of BoQs and use of ambiguous specifications.

Inadequate planning and design can lead to inappropriate interventions that fail to address the functional requirements of the infrastructure.

Recommendation

I advised the Accounting Officer to ensure that designs are always comprehensively reviewed for adequacy and to re-evaluate the identified issues to implement appropriate corrective measures.

2) **Procurement Issues**

A review of the procurement processes for works contractors and design/supervision consultants revealed several inadequacies summarized below;

Table 66: Procurement Issues

S/N	Project Name	Observation
1	Refurbishment of Kampala Namanve Mukono railway line section (26.8Km)	• Procurement documentation for supply of rails not availed. • Procurement documentation for feasibility study by the consultant not availed. • Absence of detailed breakdown of the engineer's estimate • Separation of rails from the works contract. • Irregular variation of price for rails by 55.6%.
2	Rehabilitation of Mukono-Malaba Railway Section	• Procurement of contractor and supervising outside the procurement plan • Inadequate justification for use of direct procurement • Unsupported increase of the estimated value for rehabilitation
3	Rehabilitation of Tororo-Gulu railway line	• Inadequate justification for use of direct procurement

Procurement inadequacies risk engaging contractors and consultants at uncompetitive rates, increasing project costs and reducing value for money.

Recommendation

I advised the Accounting Officer to ensure that all procurements adhere strictly to relevant regulations and guidelines to enhance transparency, competitiveness, and cost efficiency.

3) **Inadequacies in Contract Formulation**

A review of works contracts for two projects revealed several inadequacies in their formulation:

Table 67: Inadequacies in Contract Formulation

S/N	Project Name	Observation
1	Refurbishment of Kampala Namanve Mukono railway line section (26.8Km)	• Provision of insurance bond in lieu of withholding retention • Failure to stipulate URC's benefit from lending of its equipment to works contractor.
2	Rehabilitation of Mukono-Malaba Railway Section	• Absence of penalties for late submission of updated work programs (SCC 36.3) • Schedule of key personnel not part of the contract (SCC14.1) • Silence on schedule of key equipment to be deployed by contractor (GCC 28.1)

Inadequate contract formulation limits the supervisor's ability to oversee works effectively, contributing to delays and poor-quality outcomes.

Recommendation

I advised the Accounting Officer to ensure that contracts are thoroughly reviewed by technical personnel to eliminate clauses that hinder effective supervision and execution of works.

4) **Delayed Payments of Contractor's Interim Payment Certificates**

Delays in payments to contractors, ranging from 5 to 406 days, were noted for the Mukono-Malaba railway section and Tororo-Gulu line projects. These payment delays caused work suspension on the Tororo-Gulu line, leading to a potential monthly loss of UGX.667,413,156 for URC.

Recommendation

I advised the Accounting Officer to ensure timely payment of contractors' Interim Payment Certificates (IPCs) to avoid project delays, financial losses, and disruptions in progress.

5) **Delayed Engagement the Supervising Consultants**

A review of supervising consultants' contracts revealed that consultants were engaged after significant progress had already been made on the projects as detailed in the table below;

Table 68: Delayed Engagement of Supervising Consultants

S/N	Contract	Project progress at engagement of consultant (%)
1	Refurbishment of Kampala Namanve Mukono railway line section (26.8Km)	90%
2	Rehabilitation of Mukono-Malaba Railway Section	70%
3	Rehabilitation of Tororo-Gulu railway line	11%

Delayed engagement of supervising consultants hampers timely design reviews, issue resolution, and quality assurance, potentially leading to wasteful expenditure and compromised project quality.

Recommendation

I advised the Accounting Officer to ensure that supervising consultants are engaged before the commencement of works to enhance project oversight and efficiency.

6) Unjustified/Irregular Payments

A review of two contracts revealed unjustified or irregular payments totaling UGX.9,444,182,398.82 due to unsupported documentation and payments for items that did not meet specifications as presented in the following table;

Table 69: Unjustified/Irregular Payments

SN	Contract	Unjustified/ Irregular Payment (UGX)	Remarks
1	Refurbishment of Kampala Namanve Mukono railway line section (26.8Km)	9,320,737,640.42	Payment for level crossings and ballast which did not conform to the specifications.
3	Rehabilitation of Tororo-Gulu railway line	123,444,758.4	- No agreement for provision of rental services between URC and the contractor - No evidence of payment of rent to URC.
Total		9,444,182,398.82	

These irregular payments expose URC to potential financial loss.

Recommendation

I advised the Accounting Officer to review these payments thoroughly, ensure proper documentation, and recover funds where necessary.

7) Inspection of the Works

Physical inspections of three railway project sites conducted between 6th and 18th August 2024 revealed several defects, omissions, and deficiencies as summarised in the table below;

Table 70: Observed Defects/Omissions

SN	Project Name	Key Observations
1.	Refurbishment of Kampala-Namanve-Mukono railway line (26.8km)	Contaminated ballast, cracked sleepers, hanging rails, vandalized turnout, missing bolts, seepage, erosion, waterlogging, and debris in ballast.
2.	Rehabilitation of Mukono-Malaba railway section	Ponding water, collapsed embankments, blocked culverts, broken sleepers, silt in turnouts, and missing fasteners and parapets.
3.	Rehabilitation of Tororo-Gulu railway line	Damaged rails, collapsed embankments, corroded rails, silted and blocked culverts, missing fasteners, and erosion along the track.

The observed defects and omissions if not addressed, can compromise the aesthetics, safety and functionality of the railway infrastructure.

Recommendation

I advised the Accounting Officers to address all observed defects and omissions and to ensure adequate and timely maintenance of railway infrastructure components.

8) Quality Control of Works

An evaluation of quality control procedures identified omissions in material testing and approvals for two of the three railway projects:

Table 71: Quality Control Omissions

SN	Project Name	Quality Control Omissions
1.	Refurbishment of Kampala Namanve Mukono railway line section (26.8Km)	• C50 mix design not availed • Material approvals not availed
2.	Rehabilitation of Mukono-Malaba Railway Section	• Ballast crushing strength and attrition value, loading test results for culvert class.

Failure to conduct necessary quality control procedures and tests before material use increases the risk of incorporating substandard materials, compromising the quality and durability of the works.

Recommendation

I advised the Accounting Officer to ensure that all materials are tested, results reviewed, and approvals secured before incorporation into project works.

9) Quality of Works and Materials

Laboratory tests conducted on concrete culverts and construction materials from three railway projects revealed failures in key quality parameters:

Table 72: Quality of Works and Materials

S/N	Project Name	Failures Observed
1.	Refurbishment of Kampala Namanve Mukono railway line section (26.8Km)	- Compressive strength of 900mm culverts - Ballast particle size distribution
2.	Rehabilitation of Mukono-Malaba Railway Section	Ballast (Aggregate) particle size distribution.
3	Rehabilitation of Tororo-Gulu railway line	Ballast loose density and Particle size distribution

The use of materials that fail to meet specifications compromises the integrity and durability of railway infrastructure.

Recommendation

I advised the Accounting Officer to ensure that non-compliant materials are excluded from works to uphold project quality and standards.

10) Conformance of Works to Specifications and Drawings

A review and physical measurement of selected work items revealed that some items on two of the three projects did not meet the required specifications as detailed below;

Table 73: Observed Non-Conformances

SN	Contract	Non-conformance
1	Refurbishment of Kampala Namanve Mukono railway line section (26.8Km)	- Railway cant at selected locations - Sleeper spacing greater than specified - Thickness of ballast under the sleepers - Ballasted profile width - Culvert size and number of cells - Length of some level crossings - Transition between ballasted track and concrete track
2	Rehabilitation of Mukono-Malaba Railway Section	- Ballast thickness - Section dimension of vertical supports on steel bridge parapets

Works that fail to meet specifications compromise the durability and functionality of railway infrastructure.

Recommendation

I advised the Accounting Officer to ensure strict adherence to contractual specifications during project execution to maintain quality and functionality.

11) Quantity Verifications

The audit of the project for the refurbishment of the Kampala-Namanve-Mukono railway line section (26.8km) revealed inconsistencies in the quantities of works certified, leading to overpayments amounting to UGX.4,634,770,900.5.

If these overpayments are not recovered, they may result in a financial loss to the project.

Recommendation

I advised the Accounting Officer to take immediate action to recover the overpayments from the contractor and strengthen controls to prevent similar occurrences in the future.

12) Supervision of Works

An evaluation of supervision across three projects revealed significant inadequacies: Poor quality progress reports were prepared by all supervision teams.

- On the Mukono-Malaba project, the Survey Assistant did not provide control points to the contractor.
- The supervising consultant's replacement for Inspector of Works on the Mukono-Malaba project lacked the requisite six years of experience.
- The in-house supervision team for the Kampala-Mukono project lacked a Materials Engineer.

Inadequate supervision can result in poor quality works, compromising the durability of the infrastructure.

Recommendation

I advised the Accounting Officer to enhance the capacity of the technical team to strengthen supervision and monitoring arrangements for ongoing and future works.

Value for Money Audit/Assessment on Selected Urban Infrastructure Projects Implemented by Municipal Councils and Cities Participating in the Uganda Support to Municipal Infrastructure Development Additional Financing Program (USMID-AF)

Government of Uganda (GoU) represented by Ministry of Lands, Housing and Urban Development (MoLHUD) secured an additional financing facility of USD 360 million from the International Development Association (IDA/World Bank) to finance Uganda Support to Municipal Infrastructure Development-Additional Financing (USMID-AF) Program.

The 22 Municipal Councils and Cities participating in the program include; Arua, Gulu, Kitgum, Lira, Apac, Soroti, Moroto, Mbale, Tororo, Busia, Kamuli, Jinja, Lugazi, Entebbe, Hoima, Mubende, Fort Portal, Kasese, Mbarara, Ntungamo, Kabale and Masaka.

I conducted an audit on 91 infrastructure projects with a total cost of UGX.711.640Bn consisting of Roads and Building projects as summarized below;

- a) 11 USMID funded projects carried over from the FY 2020/21 that were incomplete during the previous audit.
- b) 36 USMID funded projects implemented since FY 2021/22.

- c) 44 non-USMID projects consisting of two non-USMID projects from each LG financed from URF, SFG, DDEG, TDG and implemented in the FY 2023/24.

Below is a summary of the key findings I noted, the details of which are included in the consolidated audit report for the 22 Municipal Councils and the 22 individual reports issued separately;

- i) I undertook measurements on some of the executed work items and noted that there were inconsistencies in some of the quantities certified resulting in overpayments of UGX.1.651Bn on the USMID funded projects and UGX.95.961Mn on the non USMID funded projects.
- ii) I also noted that the Municipalities of Lugazi and Busia made payments above certified amounts totaling to UGX.134.284Mn on the USMID funded projects while Fort Portal City made a payment above the certified amount totaling to UGX.7.583Mn on one of its non-USMID funded projects.
- iii) On seven (7) USMID funded projects implemented in the Municipalities/Cities of Hoima, Kasese, Lira, Kitgum and Lugazi, payments totalling UGX.2.367Bn were made without necessary supporting documents. This lack of documentation increases the risk of overpayments and payments for unexecuted activities.
- iv) Out of the forty-seven (47) USMID funded projects that were assessed, only three projects in the LGs of Masaka and Kabale were completed within the initial intended completion period. Delayed completion of works denies intended users timely usage of the completed infrastructure.
- v) Complete material tests were availed for only 27 out of the 47 USMID funded projects. Failure to undertake all the required tests increases the risk of use of sub-standard materials as well as approval of sub-standard works, thus affecting durability of the completed works.
- vi) Out of 47 USMID-funded projects evaluated, evidence of full compliance with all expected environmental protection measures was provided for 30 projects, while evidence of full compliance with social and Occupational Safety and Health (OSH) measures was provided for 40 projects. The failure to implement these measures poses significant risks, including environmental degradation, social exploitation, and workplace accidents.
- vii) During the physical inspection of the USMID funded projects, I observed defects on 21 projects. The defects included; broken walkway slabs, non-functional street lights, damaged stone pitching, segregation in asphalt concrete, bleeding, missing drainage covers, missing guard rail bolts. These defects if not promptly corrected could compromise the durability and functionality of the completed infrastructure.

Recommendations

I advised the respective Accounting Officers to;

- i) Ensure that the overpayments and payments made above the certified amounts are recovered.
- ii) Investigate the basis on which payments without supporting documents were made and, if found unsatisfactory, ensure the necessary recoveries are made.
- iii) Put in place measures to ensure that contractors complete works within the intended completion dates
- iv) Always ensure that supervision teams undertake all the expected tests for materials and works during the implementation of the works.
- v) Always ensure that contractors implement all the expected environmental, social and OSH measures during the implementation of works.
- vi) Ensure that the identified defects are promptly corrected.

Value for Money Audit/Assessment on Selected Infrastructure Projects Implemented by Entities Participating in the Greater Kampala Metropolitan Area (GKMA) Urban Development Program

The Government of Uganda, led by the Office of the President - Ministry of Kampala Capital City and Metropolitan Affairs (MKCC&MA), is implementing the Greater Kampala Metropolitan Area Urban Development Program (GKMA-UDP). The program spans five fiscal years, beginning in 2023/24 and is being implemented in the nine GKMA implementing entities of Kampala Capital City Authority (KCCA), the District Local Governments of Wakiso, Mukono and Mpigi, and the Municipalities of Kira, Nansana, Makindye-Ssabagabo, Mukono and Entebbe.

In line with the funding requirements, I conducted an audit/assessment on eighteen (18) infrastructure projects comprising Roads and Building projects with a total cost of UGX.50.284Bn implemented by Local Governments (LGs) participating in the GKMA program. For the financial year 2023/24, no GKMA financed projects had commenced and as such, I only focused on Non-GKMA financed projects.

Below is a summary of the key findings I noted, the details of which are included in the consolidated audit report for the 9 entities and the 9 individual reports issued separately;

- i) Of the 18 assessed projects, 13 were completed within the initial timelines, while 3 experienced delays. For the remaining 2 projects, though still within their execution timelines, schedule status could not be determined due to missing work programs and progress reports. Delayed completion of works denies users timely access to infrastructure, while the absence of work programs and progress reports hinders stakeholders' ability to monitor project progress.
- ii) I undertook measurements on some of the executed work items and noted that there were inconsistencies in some of the quantities certified resulting in overpayments of UGX.377,567,873.

- iii) Of the nine assessed entities, only Makindye-Ssabagabo MC, Nansana MC, and Mukono DLG provided evidence of conducting all required material tests for their projects. The other six entities either conducted partial tests or none at all, increasing the risk of substandard materials affecting the quality and durability of works.
- iv) Defects were observed in all road projects across the nine entities, including stripping, bleeding, potholes, rutting, alligator cracks, edge failures, disjointed and collapsed culverts, poorly compacted gravel, and poorly filled culvert inlets. For building projects, except for the KCCA project where earlier observed defects were corrected, issues included broken tiles, poor grouting, uneven floors, split timber, openings in ridges and door shutters, disjointed fascia boards, damaged pin boards, and exposed bars in ground beams. If not promptly addressed, these defects could impact infrastructure performance and functionality.
- v) All entities provided environmental screening reports for their projects, except KCCA, which provided none, and Makindye-Ssabagabo MC, which provided one for a single project. Furthermore, the assessment of fulfilment of measures in the screening reports showed that only Mukono DLG provided evidence of fulfilling all measures, but only for one of its two projects. Without proper screening and implementation of mitigation measures, projects risk causing adverse environmental and social impacts, such as degradation, pollution, and harm to communities.

Recommendations

I advised the respective Accounting Officers to;

- i) Ensure timely completion of works and prepare, monitor, and document progress through work programs and reports.
- ii) The highlighted overpayments are recovered.
- iii) Always ensure that supervision teams undertake all the expected tests for materials and works during the implementation of the works.
- iv) The observed defects are promptly corrected.
- v) Ensure that environmental screening is undertaken, screening reports prepared and measures proposed fully implemented.

I have issued separate Engineering/Public Works Audit reports.

PART IV: INFORMATION SYSTEMS, FORENSIC AND SPECIAL AUDITS

This Section provides a summary of findings from Information Systems (IS), Special and Forensic Audits.

4.1 Information Systems Audits

Introduction

Sections 13 and 22 of the National Audit Act Cap. 170, mandate the AG to audit all Government investments and to carry out special audit engagements, which, among others, include Information Technology (IT) Audits. In addition, Paragraph 18 of the International Standards of Supreme Audit Institutions (ISSAI) 1315, requires external auditors to consider whether the audited entity has responded adequately to the risks arising from IT by establishing effective general IT and application controls and evaluate whether these are effectively implemented to maintain the integrity of information and the security of the data processed by such systems.

Furthermore, INTOSAI GUIDE 5100, requires SAIs to conduct thorough examination of controls related to IS to ensure that internal IT controls that maintain confidentiality, integrity, and availability of data have been adopted by public sector entities. Relatedly, the transition by governments and public sector entities to computerized IS and electronic processing triggered significant changes that present high-risk control environment.

Based on my annual risk assessment, all Government Information Systems were assessed and ranked in accordance with the OAG Risk Audit Framework.

Objectives of the IS Audits

The overall objective of the IS Audit was to evaluate the integrity, consistency, and availability aspects of the system and data processes, mainly focusing on General, Application, and specific controls.

These Audits were redacted to remove critical system sensitive information for purposes of confidentiality and protecting the systems from external parties who may use audit information for unauthorized access.

Audits Undertaken

Ten (10) IS audits were undertaken as separate audit engagements and separate reports were issued to the Accounting Officers of the respective entities. Below are the redacted executive summaries of the issued reports;

4.1.1 Integrated Revenue Administration System at the Local Government Finance Commission

The Government of Uganda, represented by the Ministry of Finance Planning and Economic Development (MoFPED) implicated the Integrated Revenue Management

System (IRAS) in forty Local Governments as an upgrade of the Local Revenue Database Management System initially used by the commission.

The IRAS offers a variety of modules and functions to support the local revenue administration, namely, Taxpayer Registration, Revenue Management/ Administration, Revenue Budgeting, Revenue Assessment/ Billing, Payment Processing and Receipting, Accounting and Reporting, evaluation, e-physical planning, and General Features.

I undertook an audit of IRAS and other systems incidental to its operation covering a period of six FYs from 2018/19 to 2023/24.

Key Findings

From the review of the IRAS, I noted several good practices that Management should be commended for. The key ones include the following;

- i) A review of the IRAS application indicated that it was implemented in 166 out of 176 higher Local Governments (i.e. 94.3%) and 2,102 out of 2,185 Lower Local Governments (i.e. 96%) as of June 2024. In the past six financial years, a sum of UGX.194Bn was collected through the IRAS solution where it is being implemented.
- ii) I noted that a total of 1,554,604 taxpayers were registered and active in the IRAS solution, in the one hundred sixty-six (166) Local Governments where the solution is being implemented.
- iii) The average cost of implementing IRAS per site was about UGX.269Mn (excluding VAT), with this cost covering a Higher Local Government (HLG) including all its Lower Local Governments (LLGs). As such, the Government of Uganda has approximately UGX.44.65Bn to implement IRAS in 166 sites (both Higher and Lower Local Governments). Implementation of the IRAS model has resulted in cost savings for the Government, due to the centralized nature of the system, as well as the treatment of all LLGs as part of the Higher LG, in each locality.

However, I noted some areas that require improvement. I proposed recommendations that management should implement to improve the effectiveness of the implementation of the IRAS, as indicated in the table below;

SN	Area of Improvement	Recommendation
1	The integration/interface with the Programme Budgeting System (PBS) was not implemented at the time of the audit. Consequently, the system lacks an automated mechanism for enabling Non-Tax Revenue (NTR) budgeting processes in the Lower Local Authorities.	I advised management to expedite the integration between the systems to facilitate automated NTR budgeting processes, streamline operations, and enhance financial management.
2	I observed several disparate revenue	I advised management to engage relevant

SN	Area of Improvement	Recommendation
	collection systems exist within the Local Governments. The LGFC adopted the IRAS, while the MoLG adopted the ELOGREV system. Additionally, Kampala Capital City Authority (KCCA), under the Uganda Revenue Authority Tax Registration and Expansion Project (TREP), deployed the E-CITIE System. This has resulted in increased maintenance costs and duplication of services.	stakeholders to explore options for streamlining or integrating the various systems to enhance process efficiency, data accuracy, and security, and reduce operational costs.
3	I noted that the LGFC lacked appropriate IT governance structures such as IT Steering and Strategy Committees, which may lead to misaligned investments.	I advised management to expedite the establishment of IT governance structures, including IT Steering and Strategy Committees, to align IT strategies with organizational goals, optimize IT resource utilization, and ensure robust oversight of IT initiatives.
4	Despite the extensive rollout of the IRAS solution and the presence of IT infrastructure at the Commission, LGFC does not have a fully established IT department. This may limit the realization of the full benefits of the system.	I advised Management to establish a fully-fledged IT department and develop the capacity to operate the system internally.
5	Critical IT policies had not been approved by the Commission, namely; Risk Management Policy, Security Policy, IT Strategic Plan, and IT Policy. This may lead to inconsistent application of IT procedures and standards.	I advised Management to adopt a proactive approach to IT governance by developing, approving, and maintaining a comprehensive set of IT policies.
6	The Commission did not have an updated Disaster Recovery Plan. This may result in confusion and delays during recovery efforts, in the event of a disaster.	I advised Management to develop an IT continuity and disaster Recovery Plan to ensure that IT continues to serve the business under all circumstances.
7	I noted absence of an established process for conducting system upgrades within LGFC.	I advised Management to expedite the establishment of a formal process for conducting system upgrades, to ensure they are well-managed and adhere to best practices.
8	LGFC lacks a formalized policy for granting access to the system's database, compromising the security and integrity of the database. This is due to the absence of a formal policy and documented procedures for user account creation and access management.	I advised management to establish and implement a formalized policy for granting access to the system's database to ensure security and integrity.
9	LGFC lacked documented network security policies and procedures. There were no guidelines governing network access, implementing data encryption, and responding to security incidents.	I advised Management to expedite the establishment of clear network access control guidelines, to ensure only authorized personnel can access the network, and implement robust data

SN	Area of Improvement	Recommendation
		encryption and security incident response protocols.

Conclusion

The LGFC has made significant progress in automating revenue management in Local Governments through the implementation of the IRAS application. This has reduced the manual processes, created efficiencies and improved revenue collection in Local Governments. However, several areas of improvement have been identified in the detailed audit findings that require immediate attention from Management, to enhance the overall performance and sustainability of the system and revenue management. Addressing these issues will optimize the benefits of the IT systems and ensure the protection of information assets.

4.1.2 Electronic Court Case Management Information System at Judiciary

Introduction

The Electronic Court Case Management Information System (ECCMIS) is a fully-featured system that automates and tracks all aspects of a case lifecycle, from initial filing through disposition and the filing of appeals, for each party involved in any case type.

The system was designed based on the Judiciary business rules, requiring minimal human intervention. It can facilitate the efficient and reliable collection, organization, distribution, and retrieval of significant amounts of case-specific data as well as the processing of payment of relevant court fees and fines. The system can generate reports from the system for decision-making. The following are the key processes/functions that the system facilitates: e-filing of cases, e-payment for the applicable court fees, mobile phone access for case status inquiry/follow-up, e-processing of cases, and reporting/analytics.

I undertook the audit of ECCMIS and other systems incidental to its operation covering the period of 2 Years and 5 months from March 2022 to June 2024.

Below is a summary of my key findings;

Key Findings

Based on the review of the ECCMIS, I commend the Judiciary Management for several practices, including but not limited to the following;

- i) The current implementation of the ECCMIS allows a litigant to perform multiple tasks - such as preparing a suit, filing it, paying fees, downloading summons, serving the defendant, filing a consent settlement, and recovering for the client - without needing to visit the courthouse. This was not possible during the manual file system era.
- ii) It was noted that Management periodically conducts security awareness training for its employees to mitigate risks associated with its information assets.

- iii) The system is configured with notifications that alert both external and internal users about the progress of their cases. This helps in enhancing transparency, ensuring timely updates, and improving overall efficiency in case management.

However, I noted some areas that require improvement. I have proposed recommendations, that management should implement to improve the effectiveness of the implementation of the ECCMIS, as indicated in the table below;

SN	Area of Improvement	Recommendation
1	System Integration The ECCMIS requirements documents, initial scope, and contract highlighted the need for interfaces with other systems within and outside the Judiciary. Apart from the URA eTax system, other proposed integrations had not yet been implemented by the time of this audit, potentially leading to inconsistencies in data across government systems.	I advised management to expedite the completion of interfaces where progress had already been made. For interfaces where work had not yet started, management should initiate their implementation promptly.
2	Manual Processes Some case filing processes are still manual, such as the entry of subject matter amounts and forwarding of cases, increasing the risk of human error.	I advised management to consider reconfiguring the ECCMIS to eliminate unnecessary manual processes to achieve efficiency in court processes.
3	System Downtime ECCMIS experienced frequent downtimes due to reliance on a single Internet Service Provider (ISP) (i.e. NITA-U), resulting in system unavailability during provider-related issues and disrupting case processing.	I advised management to explore the feasibility of contracting multiple ISPs along with multiple upstream providers to reduce redundancy and ensure reliability.
4	NTR Reporting There was a variance of UGX.5.6Bn between the Non-Tax Revenue (NTR) recorded by ECCMIS and the revenue reported in the Judiciary financial statements for the period from 2020/21 to 2022/23, which undermines financial reporting accuracy.	The Accounting Officer was advised to expedite the rollout of ECCMIS, to all operational court stations across the country to ensure comprehensive and consistent recording of NTR in both ECCMIS and the Financial Statements.
5	Service Level Agreement No evidence of an Service Level Agreement (SLA) between the IT department and user departments was presented, leading to unclear performance metrics.	The Accounting Officer was advised to establish a formal Service Level Agreement (SLA) between the IT department and user departments.
6	IT Staffing Gaps Several vacant positions in the approved IT staff structure resulted in insufficient staffing levels, to meet operational demands.	The Accounting Officer was advised to continue engaging relevant stakeholders to fill the vacant positions.
7	IT Continuity Plan The Judiciary had not developed a formal IT Continuity Plan, risking major operational disruptions in the event of a disaster.	The Accounting Officer was advised to expedite the review and approval of the Backup, Disaster Recovery, and Business Continuity Strategy.
8	Automated Payment Reconciliation The system lacked automated payment reconciliation, requiring manual verification	The Accounting Officer was advised to prioritize the development and

SN	Area of Improvement	Recommendation
	and creating opportunities for fraudulent activities.	implementation of fully automated reconciliation functionality in ECCMIS.
9	Case Assignment and User Access ECCMIS lacked adequate controls for assigning cases and restricting user access based on roles and responsibilities, increasing the risk of unauthorized access to sensitive data.	I advised management to conduct a thorough review of staffing levels at all court stations to ensure that there are sufficient personnel to handle the designated roles without the need for dual responsibilities.
10	Log Management Policy The Judiciary lacked a comprehensive Log Management Policy, and the location intended for storing database audit trail logs was accessible to both database administrators and system developers, posing a significant risk.	I advised management to prioritize the development of a comprehensive Log Management Policy that outlines procedures for logging, storing, and reviewing database activities as guided.

Conclusion

The automation of court case management processes by the Judiciary has significantly reduced manual procedures, created efficiencies, and improved revenue collection. However, several areas for improvement have been identified requiring immediate attention from Management to enhance the system's overall performance and sustainability. Addressing these issues will optimize the IT system's benefits and ensure the protection of information assets.

4.1.3 Express Penalty Scheme System at the Uganda Police Force

Introduction

The Express Penalty Scheme (EPS) System is used by the Traffic Directorate of Uganda Police Force (UPF) in the management of revenue generated by the Uganda Police through the issuance of tickets to the various motor vehicle users that commit offences that have been listed in the Traffic and Road Safety Act. Cap 347. The EPS was first introduced in 2005 and was developed to enforce compliance with Traffic Regulations and enforce discipline on roads in Uganda.

The EPS is integrated with the Uganda Driver Licensing System (UDLS), who are mandated to issue driving permits on behalf of the Government. This integration is a result of many drivers not possessing or/and forging driving permits which is an offence under the Traffic and Road Act.

The Information Systems audit focused on the acquisition, deployment, and management of the EPS System, the evaluation of general and specific controls applied to the system and the overall environment since its inception. Emphasis was put on the evaluation of IT Governance, Application Controls, Database Management Controls, Operating System Management controls, Network Security Controls, and other general controls.

I undertook the audit of EPS and other systems incidental to its operation covering 2 Years.

Below is a summary of my key findings of the audit;

Key Findings

Based on the review of the EPS system, I commend the Management of the UPF for several commendable practices, including but not limited to the following;

- i) The system's automation led to a 70% increase in revenue, a reduction in errors in data entry, and improved reconciliation with the Uganda Revenue Authority (URA) as Payment Registration Numbers (PRNs), were automatically generated through the EPS system.
- ii) The development of the EPS system was primarily handled by staff from the UPF, with support from the Uganda Revenue Authority. The internal development brought numerous positive outcomes, such as capacity building for staff involved in the project, cost savings compared to hiring external vendors, and full ownership of the application and its source code.

However, I noted some areas that require improvement as summarized below. I have proposed recommendations, that Management should implement to improve the effectiveness of the implementation of the EPS, as indicated in the table below;

SN	Area of Improvement	Recommendation
1.	A business case for the project was neither prepared nor presented to any committee or Management for review and approval. This implies that the EPS system was not thoroughly discussed or justified before its inception.	I advised management to adopt the practice of requiring a comprehensive business case for all proposed IT initiatives before committing resources.
2.	The UPF had not implemented governance structures regarding IT Management despite their heavy reliance on IT resources to attain business objectives. This poses a risk of misalignment of IT projects to the UPF's overall strategic objectives.	I advised management to expedite the development and finalization of the IT Digital Transformation Strategy, emphasizing IT Governance structures to ensure alignment of IT projects with UPF Strategic Objectives.
3.	UPF did not have a separate approved ICT Strategy to realize the goal of digitalizing processes. As a result, several ICT-related Strategic Objectives were not implemented or only partially implemented, leading to delays in the digitalization of processes.	The accounting officer was tasked with a standalone ICT Strategy to ensure focused and comprehensive planning for IT initiatives and achieve digitalization goals.
4.	The UPF did not have an approved ICT staff structure. As a result, most IT personnel carried out conflicting roles in their day-to-day operations.	The accounting officer was tasked to expedite the approval and implementation of a robust ICT staff structure with associated job descriptions to improve service

SN	Area of Improvement	Recommendation
		delivery and segregation of duties.
5.	The UPF did not have an IT security policy to guide Management in the protection of information assets. This exposes the UPF systems to security vulnerabilities like denial-of-service attacks, hacking, password cracking, and electronically engineered fraud.	The accounting officer was tasked to prioritize the approval and implementation of the IT security policy to minimize risk and protect information assets from security vulnerabilities like denial-of-service attacks, hacking, password cracking, and fraud.
6.	The UPF systems were not integrated, resulting in manual or non-existent data sharing between them.	I advised management to expedite the integration of planned systems to enhance efficiency and data consistency across the organization.
7.	The Force did not have both Business Continuity and Disaster Recovery Plans in place encompassing business impact analysis, all key business functions and processes, roles, responsibilities, and communication processes. This may lead to prolonged disruptions of business.	I advised management to fast-track the approval and implementation of comprehensive Business Continuity and Disaster Recovery Plans (BCP/DRP) to prevent prolonged business disruptions.

Conclusion

I observed that the EPS System had enabled the Traffic and Road Safety Directorate of the Uganda Police Force, to automate the punishment of traffic offenders in real-time, by way of issuing fines and penalties with the view of enforcing driver discipline among road users across the country. However, weaknesses still exist regarding IT governance, system design and general controls. Given the criticality of the system, Management should take appropriate and timely action to address the reported audit findings and recommendations to ensure that confidentiality, availability and integrity of information in the system are maintained, which will in turn enable the Uganda Police Force to meet its objectives.

4.1.4 Parish Development Model Management Information System at the Ministry of Information, Communication Technology and National Guidance

Introduction

The government of Uganda, through the Ministry of Ministry of Information, Communication Technology and National Guidance, developed a Parish Development Management Information System (PDMIS) to support the implementation of the Parish Development Model (PDM), with the ultimate objective of improving accountability, transparency, efficiency and effectiveness in service delivery.

The PDMIS was envisioned as an integrated system that seeks to support community profiling, data collection, analysis, tabulation, storage, and dissemination at all levels. This system will also enable the digitization of all processes across all the PDM pillars, to support planning and decision-making at the grassroots and national level.

The PDMIS modules were implemented as stand-alone systems with specific functionality for registration and data collection, financial inclusion, monitoring & evaluation and citizen participation and information system.

I undertook the audit of PDMIS and other systems incidental to its operation covering 2 financial years. Below is a summary of my key findings of the audit;

Key Findings

From the review of the PDMIS, I noted several good practices which included the following;

- i) Management completed the integration of the PDMIS with some external entities, including the National Identification and Registration Authority (NIRA), the Insurance Consortium of Uganda (ICU), Centenary Bank, and Wendi (a consortium of Postbank, Housing Finance, and Pride Microfinance banks).
- ii) Additionally, the integration with Equity Bank, Stanbic Bank, and Opportunity Bank is in the final stages of User Acceptance Testing (UAT). This demonstrates significant progress in enhancing the system's connectivity and functionality. Management continues to work towards further integrations, with the interface and Application Programming Interface (API) for the Integrated Financial Management System (IFMS) pending provision by the Ministry of Finance, Planning, and Economic Development (MoFPED).
- iii) As a result of the development and operationalization of the financial inclusion and registration Module, a total of 10,594 SACCOs had been capitalized with approximately UGX.2.1 trillion, as at 30th July 2024. Out of this amount, UGX.1.357 trillion was initiated through the PDMIS, and UGX.1.135 trillion had been approved and disbursed to 1,154,758 beneficiaries, via the PDMIS. This demonstrates the significant impact of the initiative on enhancing the functionality and effectiveness of the PDMIS in supporting the Parish Development Model.

However, I noted some areas that require improvement. I have proposed recommendations, that Management should implement to improve the effectiveness of the implementation of the PDMIS, as indicated in the table below;

SN	Key Finding	Recommendation
1	Absence of Audit Review Functionality The Lack of internal and external audit roles during system development weakens control and could impact IT investment effectiveness.	Management should build internal audit capacity and integrate it into the system implementation plan. Management should also provide for external audit access-only functionality.

SN	Key Finding	Recommendation
2	Failure to Undertake IT Risk Assessments There was no IT risk management framework or policy; risks were not monitored or managed effectively.	Management is advised to customize and tailor the IT risk management framework to better fit the Ministry's needs.
3	Unfilled IT Positions Out of 43 approved IT positions, 27 were vacant, including critical roles such as Commissioner ICT and three Assistant Commissioners ICT, affecting leadership and digital transformation goals.	Management is advised to engage relevant stakeholders to expedite the filling of vacant positions to ensure effective staffing and operation.
4	Absence of IT Strategic Plan The Ministry lacks a comprehensive standalone IT strategy, leading to uncoordinated projects and reactive decision-making.	I advised management to develop a standalone IT strategic plan that aligns with the Ministry's strategic objectives and facilitates resource management.
5	No IT Steering Committee The absence of a high-level IT Steering Committee results in misalignment with strategic objectives and potential resource wastage.	Management should establish an entity-wide IT Steering Committee to oversee and align IT initiatives comprehensively.
6	No Independent Quality Assurance for PDMIS The lack of independent quality assurance could lead to system failures and non-compliance with standards.	Management is advised to conduct independent quality assurance assessments to ensure the system meets requirements and industry standards.
7	Unsatisfactory Management of System Upgrades and Changes There was no record of changes made to the PDMIS modules, as well as approval of changes by the Accounting Officer and other key business process owners of the PDMIS systems. The practice for change management was ad-hoc.	Management is advised to come up with a policy that details the procedures to be undertaken while making changes to systems and expedite the constitution of a change management committee that will govern the changes.
8	Errors in Loan Acquisition Reports I noted errors in the loan acquisition reports data such as an incomplete number of beneficiaries captured on the Financial Inclusion System (FIS) and Disbursed Capitalization funds not captured in the FIS.	Management should update the system with all information that reflects all PDM beneficiaries' transactions for centralized reporting purposes and consider setting up a task force to reconcile this information, capture information to update the system and enforce the usage of the system.

Conclusion

I observed that while wide-ranging system controls have been implemented to enhance the efficiency and effectiveness of the PDMIS operations, there are existing gaps that have hindered its full utilization and its ability to serve as a real-time central repository, for all information related to the Parish Development Model and the Parish Revolving Fund. Given the critical role of the PDMIS in achieving the objectives of the Parish Development Model, these gaps should be addressed promptly and comprehensively, to enhance the confidentiality, availability, and integrity of PDM information. This will also

support the Ministry of Information Communications Technology and National Guidance, in successfully realizing Pillar 6 of the PDM.

4.1.5 **Grants Management System at the Uganda National Council for Science and Technology**

Introduction

The Uganda National Council for Science and Technology (UNCST) in partnership with the Association of African Universities (AAU), under the support of the Science Granting Council Initiative (SGCI) Africa undertook to upgrade the UNCST partial Online Research Grants Management System, for the benefit and adoption of other Science Granting Councils (SGCs) across sub-Saharan Africa.

The system scale-up was to cover the entire grants management cycle - from issuing calls for research proposals to the preparation of project completion reports. This scaled-up solution supports oversight, data capture, data management, data validation, quality control, and regulatory compliance to research management in Uganda.

I reviewed the Grants Management System and other systems incidental to its operations, the Audit scope of this audit encompassed a comprehensive review of the system right from its initiation in the year 2017.

Below is a summary of my key findings.

Key Findings

I reviewed the Grants Management System (GMS) in UNCST and observed that Management implemented virtualization technology, to utilize its available information technology resources to provide services. This has led to better utilization of hardware and reduced the need for additional physical servers.

I, however, noted some areas that require improvement if UNCST were to utilize its systems efficiently and effectively to achieve the intended purpose. I have proposed recommendations, that Management should implement to improve the effectiveness of the implementation of the system, as summarized in the table below;

SN	Area of improvement	Recommendation
1	The Grants Management System (GMS) acquired in 2017 has been significantly underutilized, due to the absence of innovation fund allocations, over the past five years, leading to a misalignment of IT resources and wastage of funds.	The accounting officer was advised to conduct a comprehensive review of the system to assess alignment with current and future business objectives.
2	There were no formal IT governance or IT staff structures, leading to inefficient use of IT resources, potential security vulnerabilities, and strategic misalignment, which can hinder effective technology leverage.	I advised management to; • Establish IT governance structures and develop a clear IT staff structure. • Implement IT governance frameworks and risk management processes.

SN	Area of improvement	Recommendation
3	The IT policy exists only in draft form and has not been formally approved, leading to inconsistencies in IT management practices and increased vulnerability to security breaches and compliance challenges.	The Council was advised to prioritize the formal review and approval of the existing IT policy, to ensure alignment with best practices and organizational objectives.
4	The ICT strategy has not been reviewed or updated since its validity period ended in 2020, resulting in outdated technology infrastructure and misalignment with organizational goals, hindering the ability to respond to new technological trends.	The Council was advised to evaluate the current ICT infrastructure and develop an updated ICT strategy aligned with current needs and future challenges.
5	There was a lack of robust mechanisms for actively monitoring IT operations against predefined service levels, leading to operational discord, reduced service quality, and missed improvement opportunities.	I advised management to implement proper IT Service Management practices and internal SLAs, to ensure IT delivers intended value.
6	The Business Continuity and Disaster Recovery Plan (BCP/DRP) remains in draft format, leaving UNCST unprepared to manage disruptions effectively, potentially leading to prolonged downtime and operational halts.	I advised management to review and update the draft plan to cover all critical areas and align with current organizational needs and external risks.
7	There was no Business Impact Assessment (BIA) conducted, leading to inefficient resource allocation and potential shortages during a crisis, which can increase operational costs and risks during business disruptions.	I advised management to undertake a comprehensive Business Impact Assessment to identify and analyze business functions and resources.
8	The Grants Management System (GMS) lacks data type validation, leading to data integrity problems and compromised reliability of reports and analytics, impacting decision-making and organizational performance.	Implement stringent data type validation controls to ensure only appropriate data types are accepted in each field.
9	Despite UNCST disbursing grants, there were no grant monitoring reports within the system, raising concerns about the appropriate use of grant funds, potentially leading to non-compliance with grant agreements and misuse of funds.	The Council should establish a mandatory process for creating and submitting detailed grant monitoring reports for all current and future grants.

Conclusion

I observed several areas for improvement in system design, general controls, and specific controls, as highlighted in the detailed report. Given the criticality of this system, addressing these areas is essential to enhance system efficiency, ensure confidentiality, availability, and integrity of information, and enable the Council to effectively execute its mandate.

4.1.6 **Gorilla/Chimpanzee Reservation System at Uganda Wildlife Authority**

Introduction

The Uganda Wildlife Authority (UWA) is a semi-autonomous Uganda Government Agency with the mandate to conserve, manage, and regulate Uganda's wildlife. The Authority is further mandated to ensure sustainable management of wildlife resources and supervise wildlife activities in Uganda, both within and outside the protected areas.

UWA implemented the smart card-based system in 2014 across major National Parks to handle Gorilla and Chimpanzee permit reservations and bookings.

However, the system was phased out during the COVID-19 lockdown in 2020 due to its challenges and support issues. The Authority later attempted to replace the system by contracting M/s MFI solutions at a contract price of UGX.300Mn with 30% (ie UGX.90Mn) paid upfront. However, this did not take off due to several challenges, thus the expenditure was wasted. Consequently, Management resolved to internally develop an interim solution/system - the Gorilla/Chimpanzee Reservation System (Go-Chimp), which was put in operation from April 2022 until September 2023 when serious challenges were reported.

Accordingly, I found it imperative to undertake the audit of the GoChimp system and other systems incidental to its operation. The audit scope covered four FYs 2020/21 to 2023/24.

Below is a summary of my key findings;

Key Findings

From the review of the system, several commendable practices were identified. These practices demonstrate the commitment of the management to ensuring the system's effectiveness and efficiency. Notable among these were:

Management has effectively engaged with stakeholders throughout the implementation of the new system (BARCS) that is replacing GoChimp. I noted that regular training sessions were conducted to ensure that all users, including tour operators, park clerks, and administrators, were well-versed in using the system. This will eventually lead to better user adoption and minimize errors due to user misunderstanding.

In spite of the above, I noted some areas that require improvements. I have proposed recommendations, which management should implement to improve the effectiveness of the IT usage in the entity, as below;

SN	Area of Improvement	Recommendation
1	Tracked Permits with deposited amounts less than the total invoiced/activity amounts I noted that there were variances between the stipulated total activity amounts and the amounts paid, totaling UGX.3,336,310 and USD.1,260,810 for bookings that were confirmed.	I advised management to reconcile the variances between the stipulated total activity amounts and the amounts paid.
2	Irregularities in payment status of Tracked Permits in the System I noted 1,264 tracked permits had neither a recorded activity value nor a corresponding deposit amount. Additionally, 104 permits had a recorded activity value of USD 137,300 but lacked corresponding deposit amounts.	I advised management to review the identified discrepancies and ensure they put in place system controls that ensure transparency and accuracy of revenue management.
3	Disparate/Disintegrated Systems I noted a delay in the integration of the 15 systems that UWA utilizes to fulfil its mandate, which hampers information sharing, seamless operations and full automation of the entity's environment.	I advised management to take steps to integrate its systems and automate information sharing to improve operational efficiency and reduce the occurrence of errors.
4	No segregation of duties I noted a Violation of the Principle of Segregation of duties and observed that UWA staff were reserving gorilla permits as tour operators, while other some staff members were found to be undertaking full-time employment with tour operators while still employed by UWA.	I advised management to proactively strengthen internal controls, such as implementing tighter controls over permit reservation systems and conducting regular audits of employee activities, to mitigate the risk of future incidents.
5	Irregularities in the acquisition of ICT Systems at UWA These were: non-approval of the procurement method by the contracts committee, failure to conduct a market survey, retrospective submission of the N7 form to NITA-U, irregular receipt and evaluation of a single bid and irregular extension of the bid validity.	I advised management to strictly adhere to the regulatory framework and mitigate the risk of non-compliance with the PPDA Regulations.
6	Irregularities in the Gorilla Permit Reservations These included unsupported cancellations, incomplete/missing Tour company details, unauthorized rescheduling of bookings, incomplete deposits and discrepancies in the confirmed bookings.	I advised Management to review the identified discrepancies and ensure they put in place systems controls that ensure transparency and accuracy in the new booking system.
7	Rescheduling of already Cancelled Permits and Rescheduling of already Tracked Permits There were 25 instances where permits that were previously cancelled were rescheduled and instances where Permits that had already been used for gorilla or chimpanzee tracking activities were found to be rescheduled.	I advised management to review the identified discrepancies and enhance the system to automatically lock permits that have been used for tracking, preventing any further rescheduling.
8	Unsupported Complementary Permits	I advised management to put in

SN	Area of Improvement	Recommendation
	I noted unsupported complimentary permits and unsanctioned issuance of Free Tracking Passes.	place administrative controls in the reservations process and ensure strict adherence to ensure there are no unauthorized issuance of gorilla tracking passes.
9	Financial Discrepancies in Permit Reservations and Purchases. I discovered non-compliance with the full payment requirement, incomplete payments for reserved permits, unpopulated monetary fields and gaps with the system controls that allowed for such irregularities.	I advised management to consider the implementation of stringent data validation rules at the point of data entry to ensure all fields are populated with accurate and relevant information in the new system.
10	Weaknesses in the implementation of the Booking and Revenue Collection System (BARCS) The system had not yet achieved full automation, and the self-service module had not yet been implemented.	I advised management to consider addressing the gaps in the new system to ensure full utilization of the same.

Conclusion

The Management of UWA has made progress in automating the reservation and booking (BARCS) processes, in their transition from the Smart Card, and Go-Chimp, to finally implementing the BARCS information systems. This transition has to some extent increased efficiency, and improved revenue collection. However, to fully realize the potential of the BARCS system, several areas require immediate attention, especially the increased manual processes. Enhancing the system's performance and sustainability will not only optimize the benefits of automation but also ensure the continued protection of UWA's information assets.

4.1.7 Data Archiving Systems at the Ministry of Works and Transport

Introduction

The Government of Uganda through the Ministry of Works and Transport (MoWT) entered a contract with M/s Face Technologies (Pty) on the 5th of November 2018 to supply, Deliver and install the digital archiving system and re-modelling of storage space under Phase 1 at the contract sum of UGX.3Bn. Five million Driving Permit records had to be digitalised.

The Ministry of Works and Transport awarded another contract worth UGX.29Bn to M/S Face Technology (PTY) Limited to undertake the archiving of the Uganda Driving permits still outstanding at the end of phase 1, as archiving of motor vehicle registration records at URA, remodeling of the Uganda railway main station and Uganda Revenue Authority warehouse for motor vehicle records Kampala.

Relatedly, the Ministry of Works and Transport awarded an additional contract worth UGX.22Bn to M/s TISCON Consultancy for a consultancy of the functional design and supervision of the Motor Vehicle Registration System.

As a result, I undertook an audit on the Data Archiving Systems to establish whether the system was safeguarding the entity's assets, maintaining the integrity of stored and communicated data, supporting the MoWT objectives effectively, operating efficiently, and making recommendations for improvement of the system. The audit covered a period of four and a half years (2019/2020 to December 2023/2024).

Below is a summary of my key findings of the audit.

Key Findings

From the view of the data archiving systems at The Ministry of Works and Transport (MoWT), I noted that the MoWT had made significant progress in Motor Vehicle registration as part of its mandate through the implementation of the Motor Vehicle Archiving System application. This has reduced the manual processes, created efficiencies, and improved e-tax revenue collection on Motor Vehicle Registration.

However, I noted some areas that require improvement. I proposed recommendations, that Management may implement to improve the effectiveness of the implementation of the Data archiving system(s) and Motor Vehicle Registration, as indicated in the table below;

SN	Area of Improvement	Recommendation
1.	Although the need for IT strategic planning is known by MoWT Management, IT planning is performed on an as-needed basis in response to a specific business requirement. The alignment of business requirements, applications and technology takes place reactively rather than by an organization-wide strategy. The strategic risk position is identified informally on a project-by-project basis. Management explained that the strategic plan development was in process.	I advised The Accounting Officer to expedite the finalisation of an IT Strategic Plan with due consideration of the ongoing RAPEX aimed at streamlining the Ministry's IT investments.
2.	The Ministry had decommissioned the archiving systems without adherence to the system closure procedures; The systems include Phase 1 of the contract for the Digital Archiving of Driver permits between GoU and M/S Face Technology and Phase 2 of the Digital Archiving of driver permits and motor vehicle records (GoU and M/S Face Technology).	I advised Management to ensure that going forward the system decommission procedures are documented and adhered to during the subsequent system decommission initiatives.

SN	Area of Improvement	Recommendation
3.	I noted understaffing within the IT unit in the Ministry, the IT unit establishment had nine positions in the Information Technology (IT) unit, these include the Principal IT Officer (1), Senior IT Officer (2), Senior Information Scientist (1), IT Officer (4), and Librarian (1), however, five positions are fully occupied and five are still vacant.	I advised the Accounting Officer to continue engaging the relevant stakeholders such as the Ministry of Public Service, the Ministry of ICT and National Guidance and the Ministry of Finance Planning and Economic Development on the improvement of the wage bill and operationalization of the new organisation structure.
4.	There was the absence of an IT Steering Committee despite the Ministry's heavy IT investments. The absence of an IT steering committee may be attributed to a lack of appropriate IT policies and Governance framework.	I advised the Accounting Officer to expedite the composition of an IT Steering Committee (or equivalent) composed of executive, business and IT management to guide the implementation of IT initiatives in the Ministry.
5.	Although the Ministry has implemented a disaster recovery site, I established that the MoWT does not have both the Business Continuity Plan (BCP) and the Disaster Recovery Plan (DRP) to aid in the resumption of business in the event of any disaster.	I advised the Accounting Officer to expedite the development of a Business Continuity Plan and Disaster Recovery Plan to ensure that IT continues to serve the business in whatever circumstances.
6.	I noted delayed implementation of the motor vehicle registration system, five months (September 2024) after the expected implementation date, the Ministry is yet to implement the solution, and the entity continues to use the Uganda Revenue Authority Electronic Tax System (e-Tax) to execute its mandate of Motor Vehicle Registration.	I advised Management to expedite the design and subsequent implementation of the Motor Vehicle Registration for the country to realize the envisaged benefits.
7.	Whereas the contracts guide Intellectual Property Rights, the contracts do not explicitly demand the ownership or transfer of the source code of the system to the Government, restrictions on access to the source code, and Source Code Escrow arrangements either optional or mandatory.	I advised the Accounting Officer to ensure that signed contracts for the provision of IT systems extensively address all aspects of Intellectual Property Rights; including the ownership or transfer of the source code, access to the source code, and Source Code Escrow (whether Optional /Mandatory).
8.	M/s Tiscon Consultancy reported a total of UGX.3,580,183 MV records archived during the three quarters, the actual data on the system contained a total of UGX.5,119,931 MV records for the same period hence resulting in a variance of UGX.1,539,748	I advised Management to put more effort into the independent internal control system that will ensure that the vendor performance reports are verified against the actual deliverables.

Conclusion

The Ministry of Works and Transport (MoWT) made significant progress in Motor Vehicle registration as part of its mandate through the implementation of the Motor Vehicle Archiving System application. However, areas requiring improvement were identified in the report, necessitating immediate attention from Management to enhance the overall performance and sustainability of the system and Motor Vehicle Registration processes. Addressing these issues optimized the benefits of the IT systems and ensured the protection of the Government's information assets.

4.1.8 Electronic Local Government Revenue Management System of the Ministry of Local Government

Introduction

The Ministry of Local Government (MoLG) in Uganda manages key programs, including PRELNOR, MATIP, AGRI-LED, and TREP, aimed at improving local governance and economic growth. As part of a tax reform strategy initiated in the fiscal year 2015/2016, the government sought to boost domestic revenue by introducing automated systems for tax collection and business registration. The Local Government Revenue Collection and Management System (LGRMIS), known as E-LOGREV, was established to streamline taxpayer registration, assessments, e-payments, reconciliations, enforcement, reporting, and integration with other government systems.

E-LOGREV serves as a web-based platform enabling clients to submit applications, monitor application statuses, conduct self-assessments, register and track payments, print payment advice forms, and access acknowledgements and notices. This system enhances transparency and efficiency in local revenue management.

To ensure the effectiveness of E-LOGREV, evaluating its integrity, consistency, and availability is crucial, focusing on General, Application, and Database controls. I found it imperative to audit the Electronic Local Government Revenue Management System (ELOGREV). I conducted a thorough review of the System Development Lifecycle (SDLC) to ensure best practices in planning, design, implementation, and maintenance were followed. The audit covered six financial years, from 2019/20 to 2023/2024.

Below is a summary of my key findings of the audit.

Key Findings

From the view of the ELOGREV, I noted achievements that Management should be commended for such as the establishment of a standby call centre to address the user-related challenges that arise from system usage; this has improved the system uptake and usage by the Local Governments; a total of 347,261 taxpayers were registered and active in the system in the Ten (10) Higher Local Governments and 61 Lower Local Governments where the solution is implemented with valid contracts signed with the system vendor.

However, I noted some areas that require improvements where I have proposed recommendations that Management may implement to improve the effectiveness of the implementation of the ELOGREV, as indicated in the table below;

SN	Summary of the Findings	Recommendation
1.	ELOGREV has interfaced with URA E-Tax and NIRA NSIS, but not with URSB, PBS, and IFMS. This limits automation in taxpayer detail fetching, NTR reporting and budgeting processes, resulting in inefficiencies.	Management should expedite engagements with relevant stakeholders to secure necessary interfaces.
2.	The contract with M/s Tucksee Pty Limited does not clearly state the requirement for source code transfer to the Government, complicating future system maintenance, updates or modifications.	Management should ensure future contracts explicitly specify source code ownership to align with best practices and enhance transparency and accountability.
3.	The absence of IT governance structures such as IT Steering and Strategy Committees, and the lack of SLAs with IT vendors and user departments, may cause misalignment of IT investments with business goals and hinder performance measurement.	Management should establish IT Steering and Strategy Committees and formulate SLAs and service charters to define clear performance metrics and ensure alignment with organizational goals.
4.	Without formal master data management policies or procedures, vendor data modifications are made ad-hoc, risking data inconsistencies, errors, and security vulnerabilities.	Management should expedite the development and implementation of master data management policies and procedures to guide the vendor and ensure data integrity.
5.	No IT risk management policy is in place, and internal audit activities are limited to physical verification, leading to potential unchecked IT risks and vulnerabilities.	Management should develop and implement an IT risk management framework to conduct continuous risk assessments and enable internal audits to address IT-related risks effectively.
6.	The ELOGREV rollout cost per site is UGX 249.99 million, while IRAS treats Higher and Lower LGs as single sites, resulting in cost savings. The current model leads to high costs and resource duplication.	Management should review and adjust the costing model to optimize resource utilization and minimize costs by adopting a more unified and efficient approach.
7.	ELOGREV, intended for widespread deployment to enhance revenue management in Local Government units, has been implemented at only 71 out of 2,366 sites since the 2014/2015 financial year. This slow rollout limits the benefits of improved revenue collection, accountability, and operational efficiency.	Management should continuously engage relevant stakeholders to ensure enhanced and sustainable project financing. The rollout of ELOGREV should be harmonized with other systems like ECITIE and IRAS to avoid duplication and resource wastage.
8.	MoLG lacks key IT policies such as an IT Strategic Plan, Risk Management Policy, and Security Policy. Policies are developed and communicated reactively and inconsistently, leading to unmanaged IT-related issues, non-compliance, and misalignment with organizational goals.	Management should proactively develop and maintain comprehensive IT policies, including Risk Management, Security, and IT Strategic Plans. Formal processes for policy development, review, and communication should be established.

SN	Summary of the Findings	Recommendation
9.	MoLG lacks updated Disaster Recovery and Business Continuity Plans and has not conducted disaster simulations or trained staff on disaster management. This puts the ministry at risk of significant disruption, data loss, and ineffective response during actual disasters.	Management should develop IT continuity and disaster recovery plans, establish critical teams and contacts for disaster management, and regularly test disaster recovery procedures to ensure their effectiveness.
10.	ELOGREV implementation is funded by both MoFPED and URA TREP, leading to potential budget overestimation and duplication of payments. Budget projections do not consider sites already covered by other revenue systems, risking resource wastage.	Management should assess the status of revenue systems at LG sites to avoid budget slack and duplication. Management should also expedite the harmonization of revenue management systems in Local Governments to prevent resource wastage.

Conclusion

The Ministry of Local Government (MoLG) made significant progress in automating revenue management in Local Governments through the implementation of the ELOGREV application, the initiative reduced manual processes, created efficiencies, and improved revenue collection in Local Governments. However, the above concerns require redress by management, especially the costing framework of establishing the new sites.

4.1.9 The Billing System of National Water and Sewerage Corporation

Introduction

National Water and Sewerage Corporation (NWSC) leverages Management Information Systems (MIS) to streamline its business operations and enhance decision-making across key functional areas such as Financial Management, Inventory Management, Customer Relations, Planned Preventive Maintenance (PPM) of static plant and equipment, Procurement, and Human Resource Management, among others.

The revenue management ecosystem at NWSC combines both off-the-shelf solutions and in-house innovations, reducing the cost-of-service delivery. Central to this ecosystem is the Billing System, which integrates with several other systems to ensure seamless operation. The key integrations are described below:

a) E-Water System

Acts as an interface connecting the NWSC Billing System with third-party revenue collectors, including banks, mobile money agents, and telecom operators. This system facilitates the real-time relay of customer bill payments into the NWSC Billing System.

b) **Customer Relationship Management System**

The Customer Relationship Management System (CRM) empowers NWSC staff to log and manage customer complaints, requests, and inquiries efficiently. The CRM authenticates users through the Billing System credentials and provides updated customer balances, contact details, and transaction histories.

c) **On-Spot Mobile Application**

A handheld device used by field staff for meter reading and on-spot bill generation. Through an Application Programming Interface (API), it connects to the Billing System to access and update customer account details, contact information, and balances.

d) **SMS System**

Handles outgoing notifications to NWSC customers. At the end of each billing cycle, SMS messages are generated to inform customers of their total billing. The Billing System updates the delivery status (sent or not sent) for tracking purposes.

e) **IScala System**

Supports NWSC's finance and accounting functions. The Billing System sends transaction summaries (e.g., billing, collections, account details) to IScala, which logs successful data transfers in a dedicated table.

f) **Email System**

Used by the Billing System to send email notifications to both internal and external stakeholders. For example, new connection notifications include the status of the connection and other relevant updates.

g) **EFRIS Integration**

The Billing System interfaces with the Uganda Revenue Authority (URA) Electronic Fiscal Receipting and Invoicing System (EFRIS) through an API. Transaction details for NWSC invoices and bills are sent to EFRIS, which returns an FDN number that is then updated in the Billing System database for compliance and tracking.

My review of the information systems at NWSC revealed some positive practices, as noted below:

- i) I noted that the IT Directorate's strategic plan is well-integrated into NWSC's overall Strategic Direction and Corporate Plan. Furthermore, its implementation is effectively guided through annual action plans, ensuring alignment with the corporation's objectives.
- ii) The NWSC IT Development team follows established development methodologies. Additionally, the team has developed and adhered to custom Software Development Guidelines, ensuring consistency and quality in their processes.

- iii) The NWSC IT Departments have established performance measurement frameworks that define target standards and service quality. These frameworks are effectively utilized to track, monitor, and evaluate departmental performance, service delivery, and overall quality of services provided.

In spite of the above, I noted some areas that require improvements. I have proposed recommendations, which management should implement to improve the effectiveness of the IT usage in the entity, as below;

SN	Area of Improvement	Recommendation
1.	There was no IT Steering Committee which may lead to misalignment of the IT initiatives with strategic objectives.	I advised Management to amend policies to establish an IT Steering Committee with representation from critical areas of the corporation.
2.	I observed that there were unfilled key IT positions leading to inefficiencies and potential failure to achieve strategic goals.	Mobilize resources to expedite recruitment as per the restructuring framework, prioritizing critical positions.
3.	There was no external independent quality assurance for IT projects. The reliance on in-house reviews risks delaying projects and having unmet system requirements.	Adopt both internal and external quality assurance mechanisms for all major IT projects.
4.	Internally developed systems such as the Billing system and E-water were not disclosed as intangible assets even though their value to the organisation is immense. This may lead to misstatement of the assets' values in the financial statements.	I advised Management to establish a clear policy for the capitalization and amortization of internally developed systems.
5.	I noted that IT systems were not patented, which risks loss of intellectual property and reduced motivation for innovation.	Develop a comprehensive patent policy and update HR guidelines to protect intellectual property.
6.	The Disaster Recovery and Business Continuity Plans (BCP) were inadequate. I noted the lack of a corporation-wide and approved IT BCP which risks uncoordinated recovery efforts.	Finalize and implement unified BCPs, ensuring rigorous testing, training, and stakeholder communication.
7.	Incomplete Backup of Critical Data: Backups were outdated during a ransomware attack, leading to data loss and manual restoration.	Regularly review, update, and test backup policies to ensure data integrity and preparedness for future incidents.
8.	Gaps in Post-Incident Procedures: Limited vigilance and failure to notify regulators risk repeated vulnerabilities and non-compliance.	Enhance incident response protocols, ensure timely regulatory notifications, and conduct forensic reviews post-incident.
9.	Whereas requests for water connections are supposed to be handled on a first come first serve basis and clients can expect a connection between 4 to 8 weeks, there were delays in making the connections.	I advised Management to institute measure to review all outstanding applications and take appropriate action
10.	There was persistent reliance on estimation of water meter readings instead of undertaking field meter readings, which leads to charging more or less than what the customers consumed.	I advised Management to continue procuring and replacing faulty or defective meters promptly to maintain accurate billing.

Conclusion/Recommendation

The Management of NWSC has made progress in integrating IT governance and operations into the Corporation's strategic direction. Notable efforts include the adoption of internal quality assurance practices, the implementation of backup methodologies, and the use of structured software development methodologies. These initiatives have contributed to improving service delivery, aligning IT strategies with corporate goals, and enhancing cybersecurity measures.

However, to fully capitalize on the potential of these advancements, several areas require immediate attention, particularly the establishment of an IT Steering Committee, addressing staffing gaps, and enhancing incident response and disaster recovery plans. Strengthening these areas will ensure the sustainability of IT operations and further protect NWSC's information assets, enabling the Corporation to meet its strategic objectives effectively.

4.1.10 The Electronic Government Procurement System

Introduction

The Government of Uganda with support from the World Bank and other Development Partners through PPDA, NITA-U and MoFPED initiated the Electronic Government Procurement system (e-GP) in 2014 under the Regional Communication Infrastructure Program (RICP). The aim of the system was to improve efficiency, transparency, integrity and accountability in public procurement and disposal processes.

As a result of implementation challenges encountered by the contracted developer and inspiration from other countries, the Government of Uganda requested the Ministry of ICT and National Guidance to explore possibilities of locally developing the system through the National ICT Initiatives Support Program (NIISP).

Eventually, M/S Honeycomb Technologies Ltd was contracted in 2020 and by the time of the audit, the system had so far been fully developed and deployed across 36 entities out of the envisaged 335 entities.

I undertook an audit of e-GP system and related system interfaces covering the period since its inception.

Below is a summary of areas that require improvement. I have proposed recommendations, that Management should implement to improve the viability of and effectiveness of the implementation of the e-GP System, as indicated in the table below;

SN	Key Finding	Recommendation
1	Lack of a Comprehensive Business Case Without a comprehensive business case, the Ministry risks poor decision-making, inefficient use of resources, and potential scope creep, leading to increased costs and delays.	I advised Management to develop and implement a comprehensive business case in future projects of like nature.

SN	Key Finding	Recommendation
2	Lack of a Business Impact Assessment Under the circumstances, the project faces substantial risks, arising from poor planning, operational disruptions, and unexpected costs.	I advised the e-GP Project Manager to ensure that the project implementation is anchored on a viable business impact analysis to guarantee viability.
3	Non-compliance with the NIISP Guidelines Non-compliance with the National ICT Initiatives Support Program (NIISP) guidelines exposed the Government to the risk of awarding a contract for the development of the System, to a firm that did not have experience in the same. Project delays and persistent System failures are likely.	I advised Management to always follow due approved procurement process, laws and regulations in place.
4	Unclear Ownership of the e-GP System Failure by the developer/vendor to hand over the System code creates limited access and significant control and operational issues, and the vendor's continued backend access of the System makes the matter even worse.	I advised Management to heighten efforts to ensure the handover of the source code and prerequisites and takeover of full control of the e-GP System.
5	Failure to develop user manuals, guidelines and other System documentation The absence of well well-documented and approved e-GP System user manual and guidelines undermines knowledge transfer and promotes reliance on the vendor.	I advised Management to engage the Vendor to develop user manuals for all user categories since it was part of the contract deliverables before the System handover.
6	Failure to integrate with other Government Systems The vendor was paid UGX.385Mn for Systems integration but did not complete the deliverable. The failure by the vendor hinders the government from benefiting from the envisaged benefits of the integration including seamless information sharing among others.	I advised Management to follow up with the vendor to ensure that all the pending interfaces are implemented as per the contract.
7	Non-compliance with the Standard Bidding financial proposal format There was non-compliance with the standard pricing schedule provided by the PPDA. I was not able to confirm how the amounts charged for each item had been arrived at.	I advised Management to always ensure that while undertaking procurements, the PPDA laws and Regulations are strictly adhered to. The contract should be reviewed in this regard.
8	Irregular charging of Value Added Tax; UGX.1.057 Bn The charging and payment of VAT was irregular. The contract was overpriced and the VAT paid caused financial loss to Government.	I advised Management to ensure that VAT is not charged by vendors in future projects (home grown Systems development and maintenance) of this nature. The amount paid should be recovered
9	Delayed implementation and roll-out of the e-GP System Delays in System roll out could lead to technology obsolescence since the technology used to develop the System could be out of life	I advised Management to set realistic and achievable targets. There is need to expedite the roll out.

SN	Key Finding	Recommendation
	before deployment, escalating operational costs.	
10	Failure to operationalise the Report and Disposal module a) Non-functional Disposal Module I noted that of the 2 proposed modules, all entities enrolled on the e-GP System were using only the procurement module. The supplier and oversight portals could not use or view the contents of the disposal function. b) Failure by the System to generate Procurement Reports A review of the reporting functionality under the oversight module indicated that the interface was not functional as it returned an error upon selection.	I advised Management to ensure the vendor develops and deploys the disposal module to ensure transparency in the procurement process.
11	Insufficient Internal and External Audit Review Functionality In the absence of a functional oversight portal, it becomes difficult for external oversight parties to provide assurance the procurement processes in the different entities across the Government.	I advised Management to review the existing oversight portal and make it functional.
12	Procurements processed outside the E-GP System Failure to utilize the e-GP System undermines the government's investments in ICT Systems.	I advised Management to enforce the use of the e-GP System by ensuring that all the procurements undertaken in the rolled-out entities are affected by the procurement System.
13	Discrepancy between Rejected Procurement Plans on e-GP and Payments processed on the IFMS This may lead to intentional bypass of the E-GP System controls by the entity.	I advised Management to expeditiously and wholly integrate the e-GP and IFMS Systems to minimize human intervention as much as possible.
14	Workflow discrepancies or procedural bypass on the e-GP System oversight This poses a risk of non-compliance with procurement laws, reduced accountability, and operational inefficiencies.	I advised Management to ensure full compliance with the e-GP workflows across all entities.

Conclusion

I commend the Government's unwavering commitment to enhancing fairness, transparency, and accountability in public procurement by automating key processes and implementing the e-GP System across various MDAs.

Recognizing the vital role procurement plays in government service delivery and the broader goal of streamlining the procurement process, it is imperative to address the identified gaps promptly and thoroughly. This will ensure the confidentiality, availability, and integrity of the e-GP system are upheld.

4.2 Forensic Audits

I am mandated under Article 163(3) of the Constitution of the Republic of Uganda, 1995 and Section 21 of the National Audit Act Cap 170, to undertake Forensic Audits. During the audit year, I undertook eight (8) Forensic Investigations which were all concluded, and the reports submitted to the requesters, as shown in the table below;

Table 74: Forensic Investigations conducted by OAG

SN	Subject of Investigation	Requester of Investigation	Entity Under Investigation
1	Forensic investigation report on transfer of funds from Kaliro District Local Government accounts to Kaliro District Civil Servant SACCO'S Account No.9030006818411	Criminal Investigations Directorate	Kaliro District Local Government
2	Forensic investigation report on the alleged corruption and embezzlement of funds in Kitagwenda District Local Government in Financial Year 2020/2021	Criminal Investigations Directorate	Kitagwenda District Local Government
3	Special audit report on the management of UPE Capitation Grant in Jinja City for the Period 2019 To September 2022	Criminal Investigations Directorate	Jinja City
4	Forensic Investigation Audit Report on the Training Costs for the Initial Cabin Crew Trainings made by Uganda National Airline Company Limited (UNACL)	Inspectorate of Government	Uganda National Airline Company Ltd
5	Forensic Audit on the Supply, delivery and Installation of two passenger lifts and property management at Communications House	Inspector General of Government	Uganda Communications Commission
6	Forensic Investigation Report into the Alleged Embezzlement of Funds by the Directors of Nsambya Carpentry, Joinery, Craft and Training Agency	Criminal Investigations Directorate	Nsambya Carpentry, Joinery, Craft and Training Agency
7	Investigation Report on Select Pension and	Inspector General	Ministry of Water

	Gratuity Payments at Ministry of Water and Environment in Financial Years 2019/20 To 2022/23	of Government	and Environment
8	Forensic Investigation Report into Allegations of Corruption in War Loss Compensation to Buyaka Growers Cooperative Society Ltd under Ministry of Trade, Industry and Cooperatives during Financial Years 2020/2021, 2021/2022, And 2022/2023	Criminal Investigations Directorate	Buyaka Growers Cooperative Society Ltd

4.3 **Special Audits**

I am mandated under Article 163(3) of the Constitution of the Republic of Uganda, 1995 and Section 21 of the National Audit Act Cap 170, to undertake Special Audits. During the audit year, I also undertook other special audits, which were all concluded and the summaries are available in the Auditor General's Report for each of the individual entities. Below is a summary of the executed Special Audits;

Table 75: Special Audits conducted

SN	Title of Special Audit	Requester Of Special Audit	Entity Under Investigation
1	Special audit on allocation and utilization of funds warranted to MEACA for deputy Prime Minister.	Rt. Hon. 1 st Deputy Prime Minister	Office of the Prime Minister
2	Special audit in NEC – verification of 94 former staff (Ref. PSST).	Permanent Secretary/ Secretary to the Treasury	National Enterprise Corporation
3	Special Audit Report on the Verification of terminal benefits and pension of 46 Former Employees of Mbale Municipal Council in Respect of HCCS No.12 Of 2007 Masette & Others Vs Mbale Municipal Council of the High Court of Uganda	Permanent Secretary/ Secretary to the Treasury	Mbale Municipal Council
4	Special Audit Report on Alleged Mismanagement of maintenance funds released by Uganda Road Fund to Entebbe Municipal Council for financial years 2020/21 and 2021/22	Deputy Director Economic Fraud and Anti-Corruption, Directorate of Criminal Investigations.	Entebbe Municipal Council
5	Special Audit Report on the Management of the Entebbe Airport Car Parking Management	Rt. Hon. Speaker of Parliament	Uganda Civil Aviation Authority

SN	Title of Special Audit	Requester Of Special Audit	Entity Under Investigation
	System in Uganda Civil Aviation Authority (UCAA)		
6	Verification of the Contract Management Team's (CMT) responses to the Auditor General's review report on the Construction of the Uganda Revenue Authority Headquarters Building Project	Commissioner General of Uganda Revenue Authority	Uganda Revenue Authority
7	Report on Business Valuation of Soroti Fruits Ltd for period 31st December 2023	Rt. Hon. Prime Minister	Soroti Fruit Ltd
8	Report on the Verification of the Government of Uganda's Share Holding in Tropical Bank Limited	Permanent Secretary/ Secretary to the Treasury	Tropical Bank Ltd
9	Special Audit Report on the Implementation of the Mtv Africa Music Awards (Mama) by the Ministry of Tourism, Wildlife and Antiquities in The Financial Year 2020/21 And 2021/22	Permanent Secretary, Ministry of Tourism, Wildlife and Antiquities	Ministry of Tourism, Wildlife and Antiquities
10	Special Audit Report on the Verification of the Compensation Claim By M/S Krone (U) Ltd	Attorney General	M/S Krone Uganda Limited

In addition, I undertook a **Special audit on Management of Pension and Gratuity** across all Government Agencies. The request was made by the Minister of Finance, Planning and Economic Development. Along with the consolidated report, individual audits reports have been issued on a total of 207 entities.

The findings from the Special audit have also been included in the statutory audits of the individual entities for the financial year ended 30th June 2024 that I have submitted to Parliament.

4.3.1 **Other Special audits on Valuations and Verifications**

I conducted four (4) other special audits on valuation and verification of claims and below is the status;

Table 76: Special audits on Valuations and Verifications

SN	Requester	Basis of valuation/ verification	Audit Status
1	Parliament of Uganda	Special audit report on the Parliamentary Adhoc Committee findings regarding Bujagali Energy Limited	Report Issued
2	PS - Ministry of Energy and Mineral Development	Special Audit Report on the status of Pader-Abim Community Multi-Purpose Electric Co-Operative Society Limited's (PACMECS) Leased Assets and Operations before Handover To UEDCL	Report Issued

3	PS - Ministry of Energy and Mineral Development	Audit report on the electricity power lines and connections claims by service providers against the defunct Rural Electrification Agency	Report Issued
4	PS- Ministry of Energy and Mineral Development	Special audit for the End of the Lease and Assignment Agreement between UMEME Limited and Uganda Electricity Distribution Company Limited	On-going

PART V: HIGHLIGHTS FROM LOCAL GOVERNMENT AUDITS

5.1 Focus Areas

5.1.1 Management of Health Centre IVs in Local Governments

Health Centre IV is a facility established at a county level to provide health services to a population of approximately 100,000 people by providing emergency surgery and blood transfusion services and the services offered at HC IIIs.

According to the Health Sub Programme Grant, Budget, and Implementation Guidelines for Local Governments for FY 2023/24, the Public Service Standing Orders and the Health Sector Service standards & Service delivery standards, 2016, LGs are required to ensure that Health Facilities are adequately funded, staffed, have appropriate infrastructure and facilities, and are adequately managed to provide primary health care.

I undertook an audit in a sample of 107 HCIVs in 104 HLGs during the FY 2023/24, which received UGX.45.321Bn as conditional PHC grants to implement planned activities for the provision of primary health care.

The following were my observations;

a) Funding and utilisation

- The Higher Local Governments (HLGs) audited allocated UGX.4.056Bn (10%) of the PHC (Non-Wage Recurrent) subgrant to the District Health Office instead of 15%. In addition, 29 HLGs over allocated PHC subgrant to Health Facilities by UGX.1.274Bn whereas 21 HLGs under allocated by UGX.0.804Bn.
- The HLGs audited allocated UGX.0.702Bn (5.2%) of the RBF subgrant to the District Health Office instead of a maximum of 5%. In addition, 19 HLGs over allocated RBF subgrant to Health Facilities by UGX.0.086Bn whereas 29 HLGs under allocated by UGX.0.174Bn.
- 1 HCIV in 1 HLG did not prepare annual work plans and budgets for the FY 2023/24 while 6 HCIVs in 6 HLGs prepared their work plans and budgets, which were not wholly incorporated into the HLG's work plans and budgets.
- UGX.0.063Bn in 3 HCIVs in 3 HLGs was spent on ineligible activities while UGX.0.153Bn was not accounted for.
- 15 HLGs remitted UGX.2.473Bn to 41 Private Not For Profit (PNFP) health centres without signing a memorandum of understanding. I further noted that 2 funded PNFPs in 2 HLGs were not included in the list of the would-be-funded health facilities issued by MoH.

b) **Administration of HCIVs**

- I noted that 13 health facilities in 4 HLGs that received PHC amounting to UGX.0.302Bn were not included on the National Health Facility Master List. A total of 66 staff paid wage of UGX.0.867Bn had been deployed in these non-accredited health facilities.
- I noted that 93 HCIVs in 93 HLGs had not implemented the new structure as approved by MoPS. Out of the approved old structure of 7,966 positions in 93 HCIVs in 93 HLGs, only 3,796 (47.7%) positions were filled leaving a gap of 4,170 (52.3%).
- 7 HCIVs in did not have a record of the daily staff attendance. I further noted that 204 staff in 16 HCIVs were absent from duty for an average of 88 days in the year under review. These staff were paid UGX.0.610Bn for the period they were absent.
- 59 staff in 17 HCIVs who were on long-term study leave earning a salary of UGX.1.499Bn per annum had not been bonded by the facilities/HLGs.
- I noted that 4 HCIVs in 4 HLGs either had expired or lacked health unit management committees.

c) **Health infrastructure and medical equipment**

- I noted that out of the 355 counties in the country, only 211 (59%) had established HCIVs leaving 144 counties without HCIVs.
- 50 HCIVs in 50 HLGs did not have land titles for 275 acres of land on which health infrastructure such as OPD, theatre, Male ward among others were installed.
- 81 HCIVs in 81 HLGs lacked 2,037 key medical equipment such as X-Ray machine, Oxygen plant, Autoclave, blood bank, Operating theatre among others that are required as a minimum to offer health services. I further noted that 54 HCIVs in 54 HLGs had not repaired 382 equipment that are key in the provision of health services. This was attributed to underfunding, for instance; UGX.0.131Bn was budgeted for maintenance and repairs but only UGX.0.058Bn (4%) was received.

In addition, 62 HCIVs in 62 HLGs had 895 obsolete/non-repairable and hazardous equipment that was due for disposal but had not been included in the disposal plan.

- I noted that 57 HCIVs in 54 HLGs had no designated person to manage the storage, distribution, and control of medical equipment. I further noted that 25 HCIVs in 25 HLGs did not have appropriate safety gear for staff working in areas such as the X-ray room, theatre and laboratory that are prone to safety hazards.

The failure to adequately staff, to fund, and equip health facilities leads to a decline in healthcare quality, increased morbidity and mortality, and exacerbates healthcare inequality, particularly for vulnerable populations. Overburdened healthcare workers experience burnout, and emergency services become strained, while economic burdens rise due to lost productivity and higher long-term healthcare costs.

Recommendation

The MoFPED should prioritize and increase funding for health centres, invest in modern infrastructure and essential equipment, and address staffing shortages in the health centres.

5.1.2 Management of Universal Primary Education Capitation Grants

The Government introduced Universal Primary Education (UPE) in 1996 with the primary goal of providing free primary education to all school going children in the country. As such, Government sends capitation grant to the beneficiary schools to purchase scholastic materials handle emergency expenditures, facilitate co-curricular activities, administration and school management.

I conducted an audit into the management of UPE capitation primary schools to assess the extent of disbursement of the budgeted funds, adequacy and utilization of UPE Capitation grants and its contribution to provision of quality education in Uganda. Below are my key findings and recommendations.

a) Adequacy of Planning, Budgeting and Release of Capitation Grant

Planning and budgeting of UPE capitation grant is guided by UPE Implementation Guidelines for Local Governments. Allocation of capitation budget for schools depends on the verified enrolment figures. The rate per learner of UGX.20,000 and a fixed amount of UGX.1,350,000 per school per year are used by both Ministry of Education (MoE) and MoFPED to budget for the grant.

I noted the following;

- A review of the enrolment numbers in the Education Management Information Systems (EMIS) and actual enrolment as per school records in the 1,111 sampled schools in 95 LGs revealed inconsistencies in enrolment figures whereby 85,785 pupils were on the head teachers' enrolment but not on EMIS while, 73,971 pupils were on the EMIS enrolment but not on head teachers' enrolment.
- I carried out a pupils' head count during a physical inspection of 684 sampled primary schools in 66 LGs and noted inconsistencies between enrolment figures ascertained during my head count and those on EMIS and the head teachers' records as summarized in the table below;

Table 77: Inconsistencies in UPE enrolment figures

Number of Primary School	Audit Head count between October to November	Enrolment by Head teacher as at End of term 1 2024	EMIS Enrolment as at May 2024
684	664,103	681,464	811,993

- Based on EMIS enrolment of 5,944,226 pupils in 8,492 funded primary schools in 114 LGs and the IPF enrolment used by MoFPED to release funds, my re-computations revealed that the expected UPE Capitation Grant was UGX. 131,866,919,933 out of which only UGX.125,115,445,928 was received leading to an under receipt of UGX.7,018,433,477 in 91 schools and over receipt of UGX.1,019,618,735 in 19 schools.
- I noted from inspected 2,762 schools in 36 LGs that the Special Needs Education (SNE) grant was not released in those schools despite the requirements in the guidelines which stated that schools with SNE learners should receive a variable grant of UGX.22,000 per SNE learner.
- I noted that the rates that were being used in the budgeting and release of capitation grant were revised as per the table below;

Table 78: UPE Capitation Grants unit costs

Particulars	2019-2020 (UGX)	2020-2021 (UGX)	2021-2022 (UGX)	2022-2023 (UGX)	2023-2024 (UGX)
Fixed grant per school	1,350,000	1,350,000	1,350,000	1,350,000	1,350,000
Variable grant per learner	12,000	17,000	17,000	20,000	20,000

A consideration of the time-value of money for the FY 2023/2024 in regard to the grant rates per child based on the 2022/23 rate revealed that the appropriate fixed grant per school for FY 2023/2024 was UGX.1,433,700 instead of UGX.1,350,000 and the variable grant per learner was UGX.21,240 instead of UGX.20,000 as shown in the **table below**;

SN	Particulars	Present value (2023/2024)	Annual Interest rate (2023/2024)	Future value for 1 year $((FV) = PV \times (1 + (i)^t))$ Where <i>FV</i> -Future value, <i>PV</i> -Present value, <i>i</i> -Interest rate & <i>t</i> -time	Variance
		(A)		(B)	(A-B)
1	UPE Capitation Fixed grant per school	1,350,000	6.2%	$1,350,000 \times (1 + (6.2\%)^1) = 1,433,700$	83,700
2	UPE Capitation Variable grant per learner	20,000	6.2%	$20,000 \times (1 + (6.2\%)^1) = 21,240$	1,240

Inconsistencies affect planning and budgeting for capitation grants which eventually affect service delivery whereas the inadequate funding per pupil affects the schools' ability to manage their operational costs.

The Accounting Officers attributed the inconsistencies in the enrolments to; Network and system challenges that delay update on the system, duplicate entries that distort the integrity of the data on EMIS, Lack of tool like smart phones, computers to facilitate the input and update of data on the EMIS, capacity gaps among the head teachers of primary schools who are responsible for updating information in the EMIS system and Frequent movements in pupils' numbers that are not updated on EMIS.

Recommendations

The Accounting Officer of MoES should;

- Identify solutions for the system bottlenecks and increase monitoring and supervision to ensure that the EMIS is promptly updated.
- Engage MoFPED and Parliament to increase the unit provisions for capitation grant.

b) Inadequate Number of Teachers at Primary Schools

Manpower planning and recruitment of teachers in primary schools is guided by the Planning, Budgeting and Implementation Guidelines for Local Governments for the Education and Sports Sector 2021. Furthermore, the basic minimum standards for schools by the Ministry of Education and Sports require a Teacher to Pupil ratio of 1 teacher to 53 pupils.

I noted the following;

- A review of 136 LGs indicated that out of 111,101 primary school teachers on the approved structure, 85,073 (77%) teachers were in post leading to a staffing gap of 26,028 (23%) teachers.
- In a sample of 717 schools in 91 LGs, I compared the MoES Standard of teacher to pupil ratio of 1:53 and established that the average ratio in the inspected schools was 1:75 which was below the standard and implies that the teacher pupil interaction was not conducive for effective learning.

The failure to have adequate staffing affects the effective delivery of education services to pupils.

The Accounting Officers attributed this to inadequate wage and the ban on recruitment of teachers.

Recommendation

The Accounting Officers of LGs should engage MoPS for clearance to recruit staff and MoFPED for allocation of funds.

c) Other Education Service Delivery Standards

I review other education service delivery standards as indicated in the table below;

SN	No. of Schools	No. of LGs	Category	Actual Ratio	Recommended Ratio
1.	811	103	Classroom to Pupil	1:101	1 classroom for every 53 learners
2.	741	92	Pit Latrine to Pupil	1: 80	1 Pit Latrine for every 40 learners

I noted the following;

- In a sample of 811 schools in 103 LGs, I compared the MoES Standard of Classroom to Pupil ratio of 1:53 and established that the average ratio in the inspected schools was 1:101 which was below the standard and implies that the classroom environment was not conducive for effective learning.
- In a sample of 741 schools in 92 LGs, I compared the MoES Standard of Pit Latrine to Pupil ratio of 1:40 and established that the average ratio in the inspected schools was 1:80 which was below the standard. This affects hygiene and sanitation in schools.

The Accounting Officers attributed this to inadequate funding.

Recommendation

I advised the Accounting Officers to engage MoES, MoFPED and development partners to provide additional funding to improve infrastructure in primary schools.

d) Physical Inspection of UPE School Structures

During physical inspection of the school structures between October and November 2024, I observed the following;

- Pit latrines in various schools in 45 LGs had been condemned and were not in use thus affecting accessibility by the pupils and teachers.
- Classrooms in various schools in 54 LGs had old and dilapidated structures.

The Accounting Officers attributed this to inadequate funding

Recommendation

The Accounting Officers should engage MoES, MoFPED and development partners to provide additional funding to improve infrastructure in primary schools.

5.1.3 Implementation of Road Maintenance Grant

In a bid to reduce the Roads rehabilitation backlog, Government decided in February 2023 to allocate a Road Rehabilitation Development Grant of One (1) Billion shillings to each of the 176 Local Government (LGs) comprising of 135 Districts, 10 Cities and 31 Municipal Councils in the FY 2023/24.

The Ministry of Works and Transport (MoWT) issued the “Works and Transport Rehabilitation Grant Implementation Guidelines for FY 2023/24” in May 2023. Furthermore, on 27th July 2023, Parliament passed a resolution to guide the implementation of the Grant.

During the period under review, 176 LGs received a sum of UGX.176Bn in the financial year.

I designed audit procedures to assess whether the utilization of the Road Maintenance Grant was undertaken in accordance with the parliamentary resolution and the Road Rehabilitation guidelines issued by MoWT.

The following were my observations;

a) **Planning**

I noted the implementation of the Grant was affected by conflicting guidelines issued by the Ministry of Works and the Resolution of Parliament.

- In May 2023, the Ministry guided that 85% of the Grant should be allocated for rehabilitation works and 15% for other operational expenses, which the LGs and Ministry of Finance, Planning and Economic Development (MoFPED) had considered during planning and budgeting.
- On 27th July 2023, Parliament resolved that 95% of the Grant funds should be used for maintenance works and operational expenses of the grant should not exceed 5%(UGX.50M), and strictly used for repair and maintenance of road equipment.

I further noted that there were notable delays in submission of the Grant work plans to URF/MoWT by 81 LGs ranging from 3 days to one-year.

I also noted work plans for 6 LGs were not approved by the respective DRCs. However, my interactions with the Accounting Officers of the Cities and Municipalities revealed that they did not have independent Road Committees due to lack of clarity in the law and guidelines. Details are shown on the table below:

SN	Nature	Vote Code	Entity Name
1	DLG	831	Dokolo District Local Government
2	DLG	857	Katakwi District Local Government
3	DLG	909	Ngora District Local Government
4	MC	717	Kumi Municipal Council
5	DLG	891	Mbale District Local Government
6	City	609	Mbarara City

The Accounting Officers explained that the notable delays in submission of the Grant work plans to URF/MoWT were occasioned by;

- The conflicting guidelines.
- Delayed approval of work plans by the DRCs.

Recommendations

The MoWT should;

- Ensure harmonization of the implementation guidelines with the Resolution of Parliament for effective implementation of the Grant.
- Ensure timely issuance of implementation guidelines.

b) Utilization of the Road Maintenance Grant

I reviewed the budget performance of 140(80%) out of 176 LGs and noted that out of the approved budget of UGX.140Bn, UGX.139.968Bn was received. Analysis of the expenditure of the LGs revealed that out of UGX.139.968Bn received, UGX.139.178Bn (99%) was utilized by the end of the year, resulting in an under absorption of UGX.0.789Bn (1%).

I noted that UGX.88Bn meant for Q3 and Q4 was released in May 2024 which led to delayed implementation of the road activities within the financial year. This affected the maintenance of the planned roads.

The Accounting Officers explained that this was mainly due to;

- The late release of the funds (in Quarter 4).
- Lack/ Inadequate Road equipment to implement works.
- Presence of heavy rains and the guidance of the MoWT to halt works during heavy rains.

Recommendations

MoLG should;

- Re-equip districts with road units and plan to establish road units in the LGs without road units.
- Capitalize the regional mechanical workshops and create more sub mechanical workshops to effectively serve.
- Ensure timely release of the Grant funds.

c) Inspection of service delivery under the Road Maintenance Grant

I carried out physical inspections between October and December 2024 on a sample of 425 implemented road projects in the 140 LGs in the FY 2023/24. I further made an analysis of 303 road projects implemented in 75 LGs and observed the following;

- Out of the sample of 303 roads worth UGX.35.820Bn inspected ,159 had anomalies for instance; uninstalled culverts, unconstructed headwalls, silted culverts, bushes on roadsides, among others.
- Out of the sampled 303 projects, 165 were Completed roads and 138 were Incomplete works/ Ongoing road works.

- In 3 LGs that is Kyenjojo, Bundibugyo and Mitooma DLGs, works worth UGX.0.873Bn were executed outside the work plans.

The Accounting Officers attributed this to;

- Delayed release of funds from MoFPED
- Lack of road equipment
- Frequent breakdown of road equipment

Recommendations

The Accounting Officers should;

- Liaise with MoFPED to ensure timely release of funds.
- Liaise with the MoWT, URF and Parliament to provide for monitoring and supervision under the grant.
- Recruit competent technical staff to undertake the works under the Grant.

5.1.4 District Water Supply and Sanitation Conditional Grant

The District Water Supply and Sanitation Conditional Grant (DWSSCG) is a government program intended to realize Sustainable Development Goal (SDG) No.6, which is the attainment of universal and equitable access to safe and affordable drinking water by 2030.

I sampled 104 districts out of 135 districts that received UGX.74.344Bn during the financial year. The aim of the grant is to develop, rehabilitate and carry out major repairs of rural water infrastructure to enable access to clean and safe water. The grant also aims at funding the operation and maintenance of piped water systems in small towns within a district.

I designed audit procedures to assess whether the utilization of the District Water Supply and Sanitation Conditional Grant was implemented in accordance with the Grant Guidelines and the effectiveness of implemented water infrastructure in improving sustainable access to safe water by rural communities in Uganda.

The following were my observations;

a) Planning, Budgeting and Utilization of the Water Grant Funds

The planning, budgeting and utilization of the Water Grant funds are guided by the District Rural Water Supply and Sanitation Conditional Grant Budget and Implementation Guidelines for Local Governments, 2022.

I reviewed the planning, budgeting and utilization processes of the Grant in 104 districts with a total budget of UGX.74.622Bn and noted the following;

- In seven (7) districts, thirty-six (36) projects with a budget of UGX.2.187Bn were not in the approved five-year Development Plans of the districts.
- In thirty-nine (39) districts, the planning process did not cater for seventy (70) on-going UGIFT projects (seed schools and health centre upgrades).
- A total of 104 DLGs received UGX.74.344Bn out of UGX.74.622Bn budgeted (99.6%) for the financial year 2023/24. Out of the funds received, the districts spent UGX.72.789Bn (98%) leading to un-utilized funds of UGX.1.555Bn.

Failure to budget according to the prescribed allocation thresholds leads to wasteful expenditure on non-priority activities which hinders achievement of intended grant objectives.

The Accounting Officers explained that;

- Some areas lacked existing water sources.
- The water projects could not be planned due to insufficient funds allocation.
- Water sources will be provided after completion of the various constructions.
- The districts did not plan for the water sources on the assumption that the UGIFT projects were fully funded with water sources
- There were previous futile drilling efforts due to very low water table.
- The funds that remained unutilized related to retention monies.

Recommendation

The Accounting Officers should ensure that the five-year district Development Plans incorporate all projects envisaged in the respective districts.

b) Review of the Implementation of the Projects

I carried out physical inspections between September and November 2024 of 449 newly constructed water facilities in fifty-three (53) districts and noted that 424 projects/facilities were functional, 11 projects were partially functional while 14 projects/facilities were not functional.

Relatedly, an analysis of the information extracted from the water management information system of sixty-eight (68) districts revealed that 5,462 water facilities were not functional while 4,975 were recommended for decommissioning.

Furthermore, I noted that 890 villages in twenty-seven (27) districts had non-functional/decommissioned facilities and lacked alternative sources of water.

The Accounting Officers explained that;

- Some of the water sources were in the former IDP camps where improved piped water supply was provided.
- Inadequate funding was the limiting factor for the supply of water to all villages.
- Rehabilitation and repair of some non-functional boreholes was prioritized in the subsequent financial year.

- The non-functional (not in use) water facilities were due to poor identification of sites with less population.
- Some sites were in the cattle corridor/water stressed zones with challenges in drilling water and were prone to contamination.
- The MIS system was not fully updated to show the correct functionality status.
- There was a policy shift that phased out the shallow well water sources which were still on the water MIS system.

Recommendations

The Accounting Officers should;

- Engage MoWE to ensure update of the MIS system that reflects the actual water sources in the district.
- Engage Government through MoWE for improved budget allocation.
- Ensure that preliminary feasibility studies are comprehensive to detect and prevent early water source failures.

c) Minimum Quality Standards

Testing of the minimum quality standards is guided by the District Rural Water Supply and Sanitation Conditional Grant Budget and Implementation Guidelines for Local Governments, 2022. The Guidelines require the testing of all new water sources and 20% of the existing water sources annually.

I noted that;

- Thirty-four (34) districts lacked water quality testing kits.
- Only 2,757 (6%) out of 44,265 of the existing water sources in 44 districts were tested while only 573 out of the 645 (89%) new water sources were tested.

Failure to fully comply with the testing requirements derails the overall objective of ensuring access to safe and clean water for all. The water sources found to be unsuitable for human consumption pose a direct health risk to the local population.

The Accounting Officers explained that;

- Due to low funding, water quality monitoring is done on water points which are prone to contamination
- Testing less than 20% of the existing water sources was due to delayed submission of the guidelines to the districts.
- The districts rely mainly on the low local revenue for testing existing facilities.

Recommendations

- MoWE should consider setting up regional water testing laboratories.
- Government through MoWE should encourage partnerships with educational institutions/Universities and other sector players such as National Water and Sewerage Corporation (NWSC) in undertaking water test activities.

- The Accounting Officers should ensure that the district water departments and district health departments work on preventive strategies to avoid continued water contamination through human behaviour.
- Government should prioritize testing of existing water sources in the districts by providing adequate funding to augment the local revenue sources.

5.1.5 **Implementation of Uganda Support to Municipal Infrastructure Development, Additional Financing Program**

The Government through the Ministry of Lands, Housing and Urban Development (MoLHUD) received additional financing from the World Bank/IDA to implement the second phase of the Program (USMID Additional Financing-USMID-AF) for 5 years starting 2018/19 to 2022/2023 and was extended for 12 Months to 30th June 2024 to ensure completion of program projects.

The project supports 33 LGs of which 22 MCs/Cities and 11 Refugee hosting districts in the following areas;

- To leverage institutional strengthening at the municipal LGs.
- To improve municipal urban infrastructure.
- Support to selected district LGs hosting refugees to improve planning, land tenure security, and small-scale infrastructure investments.

Out of 33 LGs, I assessed performance in 24 LGs (72%) which received UGX.1,219.676Bn (99%) out of UGX.1,232.554 Bn budgeted to implement the following key activities over the five-year period;

- Constructions of civil works for selected infrastructure sub projects such as roads, markets, mayors' gardens, bridges, playgrounds.
- Renovation of selected infrastructure.
- Supply and installation of streetlights.

I designed audit procedures to assess whether the utilization of Uganda Support to Municipal Infrastructure Development, Additional Financing (USMID-AF) Program was done in accordance with the grant guidelines.

The following were my observations;

a) **Planning, Funding and Absorption of USMID-AF Program**

Uganda's legal framework supports participatory planning in local governments, with MoLHUD assisting LGs in preparing infrastructure inventories to guide project prioritization. Under USMID-AF, LGs will select impactful sub-projects annually, ensuring alignment with development plans and approval by councils.

I reviewed the budget performance of LGs and noted the following;

- Out of the availed amount of UGX.1219.676 Bn for USMID-AF activities, in 24 implementing LGs, UGX.755.904 Bn was spent by the entities during the period under review leading to an under absorption of UGX.463.772Bn.

The Accounting Officers attributed the under absorption to;

- Slow implementation of works by contractors.
- Delays in the procurement processes that affected commencement of projects.
- Delayed release of Q4 funds by MoFPED.

Recommendations

The Accounting Officers should;

- Strengthen contract management processes.
- Streamline procurement processes to shorten the procurement process.
- Engage MoFPED to ensure timely release of project funds.

b) Implementation of program projects

I reviewed the implementation of program projects over the project period from 2018/2019 to 2023/2024 and noted that 12 LGs planned to implement 119 of projects in the period. Of the planned projects, 59 (50%) with a total contract sum of UGX.148.751Bn had been completed, 28 (23%) with a total contract sum of UGX.23.636Bn projects had not been commenced while 32 (27%) with a total contract sum of UGX.367.559Bn had been partially implemented.

In the financial year 2023/24 Program participating LGs spent UGX.321.554Bn on 42 ongoing projects and new projects. Through inspection of these projects, I noted the following;

- 28 (67%) out of 42 projects had poor workmanship such as cracks on implemented structures, open culverts and manholes, poor external finishes.
- 14 (33%) out of 42 projects were incomplete.

The Accounting Officers attributed this to slow progress of works by contractors, delay in award of contracts and delayed in release of funds to contractors.

Recommendations

The Accounting Officers should;

- Implement stricter monitoring and evaluation mechanisms to ensure contractors adhere to agreed timelines and milestones.
- Expedite procurement procedures to minimize delays in awarding contracts.
- Liaise with the Ministry of Finance to ensure timely release of funds to contractors.

c) **Sustainability of USMID-AF Program projects**

The Program Operational Manual assigns MoLHUD, through the Project Support Team (PST), the responsibility for program coordination and implementation, the Program will provide resources for the preparation of follow-on program/ interventions that will ensure sustainability of program to sustain results as USMID-AF program concludes.

An assessment of the sustainability of the USMID-AF program projects noted the following:

- 82 out of the 84 projects implemented in the 19 LGs did not have sustainability plans.
- I noted that 14 LGs did not allocate any resources availed towards ensuring program sustainability.
- 5 sub-projects completed in the 4 LGs had defects such as clogged drainages, non-functional solar lights, Paspalum alongside road not well maintained and damaged road furniture.

The Accounting Officers attributed it to the limited resources at the LGs level making it difficult to manage the costly maintenance of infrastructure.

Recommendations

The Accounting Officers should;

- Mainstream the LG budget to incorporate sustainability activities as guided by Program.
- Develop and implement comprehensive sustainability plans for all completed projects to ensure the long-term functionality of infrastructure.

5.1.6 **Audit of Uganda Intergovernmental Fiscal Transfers 2023/2024**

The Government of Uganda (GoU) established the Intergovernmental Fiscal Transfers Reform Program (IGFTRP) to address challenges faced in financing Local government service delivery across all decentralized service delivery.

This program was planned to be used for three main purposes: Education, the renovation, construction and equipping of classrooms, construction of latrines, laboratories and teachers' housing, Health, Upgrading, construction, equipping of Health Centre IIIs, maintenance, rehabilitation and expansion of health infrastructure and Capacity development, to help improve local government management and service delivery performance.

My audit focused on determining whether Uganda Intergovernmental Fiscal Transfers (UgIFT) program was implemented in accordance with applicable laws, regulations and guidelines. I reviewed to confirm whether the budgeted development grant for education and health components of the program were fully released and on-time, the released funds were utilised, ownership of land for the investment, the level of

completion and functionality of the projects in achievement of service delivery objectives of the program.

Below are the key findings;

a) **Funding and absorption of UgIFT funds**

I evaluated the funding and absorption levels in 97 LGs and noted that a total of UGX.263.7Bn (99%) was received in 97 LGs, out of the budgeted UGX.267.3Bn. Out of the funds received, the LGs spent UGX.174.4 (66%) by the end of the financial year, resulting in an under absorption of UGX.89.3Bn.

A total of 89 LGs failed to spend UGX.89.3Bn of the released funds. 87 (98%) LGs failed to spend UGX.86.8Bn (88%) of the released amount on education projects while 2 (2%) LGs on Health projects, as shown in the table below;

Table 79: LGs that failed to utilize UgIFT funds

SN	Project	No of LGs	Un utilized amount
1	Education (construction of seed schools)	87	86,856,707,699
2	Health (Upgrading of HC II to HC III and Supply of medical Equipment.	2	2,478,350,441
Total		89	89,335,058,140

As a result, this delayed the provision of the planned education and health services to the intended beneficiaries.

The Accounting Officers explained that under absorption was mainly due to delayed release of funds by MoFPED, slow works by the contractors who have many sites, delayed initiation and conclusion of the procurement process and works that did not start in some Districts due to land issues.

Recommendations

- The Accounting Officers should liaise with MoFPED so that those funds are released timely.
- The Accounting Officers should ensure that the procurement processes are streamlined for timely implementation and robust due diligence undertaken to attract competent contractors.
- The Accounting Officers should engage the relevant stakeholders, including political leaders to have land issues resolved and process the land titles.

b) **Delayed release of UgIFT funds**

I noted that 36 LGs did not receive UgIFT funds timely and on average, it took 30 days from the expected date of release. I further observed that 14 (39%) LGs received funding in the 2nd quarter while 4 (11%) LGs received the UgIFT funds in the 3rd and 4th quarter.

The Accounting Officers explained that the delays were mainly caused by;

- The delays by MoFPED in issuing supplementary funding for UgIFT.
- It was beyond the districts' control since funds are disbursed by MoFPED.

This resulted in partial/non implementation of 16 key infrastructural facilities in schools and health centres.

Table 80: Partially and non-implemented UgIFT infrastructural facilities

SN	Project	No of partial/non implemented facilities
1	Education (construction of seed schools).	13
2	Health (Upgrading of HC II to HC III and Supply of medical equipment.	3
Total		16

Recommendation

The Accounting Officers should engage MoFPED on timely release of funds for timely delivery of services.

c) Government investments in untitled Land

I observed that 67 LGs invested a total of UGX.247.4Bn on 1,128 acres of land without evidence of ownership in terms of land titles, as shown in the table below;

Table 81: Government projects on untitled Land

SN	Project	No. of projects on untitled land	Size (acres)
1	Education (construction of seed schools)	108	986
2	Health (Upgrading of HC II to HC III and Supply of medical equipment	69	142
Total		177	1,128

There is a risk of loss of funds while settling land disputes including loss of the infrastructure.

The Accounting Officer attributed this to inadequate funds to process land titles and the institutional ownership of the land such as land belonging to faith based and traditional institutions that prefer memorandum of understanding to transferring title.

Recommendation

The Accounting officers should fast-track the processing of land titles for UGIFT projects and, going forward, desist from investing government funds on untitled land.

d) **Completion and functionality of prior year projects (2022/23)**

I conducted physical inspections of 132 projects in 72 LGs worth UGX. 194.46Bn expected to be completed by the end of 30th June 2024 and in use for service delivery.

I noted the following;

- 105 (80%) out of 132 projects in 57 LGs inspected were not completed while 5 projects in 4 LGs were abandoned, and works had stalled.
- 22 completed projects in 15 LGs were not in use due to delayed commissioning of completed projects and inadequate teachers to work in the schools and health workers to operate the medical equipment because of a ban on recruitment.

Non completion/utilisation of infrastructure implies that program objectives of improving health and education services were not achieved.

Recommendations

The Accounting Officers should;

- Engage MoPS to lift the recruitment ban to ensure that staff are recruited for the newly constructed education and health facilities.
- Engage contractors and political leaders for timely commissioning of the completed projects to improve health and education services in the districts.

5.1.7 **Cross-cutting issues from Higher Local Governments**

a) **Recognition and Valuation of Assets**

Disclosed in the financial statements of 130 Local Governments (LGs), under Note 26 (Property, Plant and Equipment) and Note 27 (Non-produced Assets) are amounts of UGX.6,062Bn and UGX.4,551Bn respectively. The amounts indicate a significant increase in the asset account balances of UGX.5,102Bn (531%) for Property, Plant and Equipment and UGX.3,875Bn (573%) for Non-produced Assets.

The above was a result of a change in the accounting policy to full adoption of the accrual basis of accounting, as guided by the Accountant General in the financial year 2023/24 as government commitment to adopt IPSAS.

I further noted that the significant increase in the asset balances was caused by new additions in the year, whose values/cost, were based on management estimates as guided by Accountant General. The estimates, however, were not guided by the valuations of the Government Chief Valuer.

Recommendation

Accounting Officers should engage the Accountant General and Government Chief Valuer, to ensure that the districts' assets are re-valued in a phased manner over an agreed period of time for correct recording of the assets at more realistic values.

b) **Long Outstanding YLP and UWEP Balances**

Included in the statements of financial position and Note 22, of 127 LGs, is an outstanding balance of UGX.143Bn in respect of Youth Livelihood Program (YLP) and Uganda Women Empowerment Project (UWEP).

I noted that out of the previous year's balance of UGX.131Bn, only a sum of UGX.8Bn (6%) was collected during the year under review, indicating low recovery, thus undermining the objectives of the programmes.

Accounting Officers attributed the failure to recover the outstanding amounts to;

- Disintegration of groups, that were advanced the programme funds, which could not be traced and most of the business enterprises had since collapsed.
- Some funds were advanced to YLP groups in administrative units that have since been absorbed by the newly created votes, making it challenging to enforce collection due to the new jurisdiction protocols.

Recommendation

Accounting Officers should liaise with the Ministry of Gender, Labour and Social Development (MoGLSD) to devise strategies that will enable full recovery of the amounts due from the groups.

c) **Understaffing**

I compared the approved staff structure and the staff list and noted that in 45 HLGs, out of the approved 30,287 staff positions, 20,888 (69%) were filled, leaving 9,399 (31%) positions vacant.

The vacant key positions included; Chief Finance Officers, Principal Finance Officers, Senior Finance Officers and Senior Land Management Officer.

Understaffing overstretches the available staff beyond their capacity, creates job-related stress and negatively affects the level of service delivery in the district.

Accounting Officers explained that the districts recruit on replacement basis, however, recruitment to fill other positions will be done once the halt on recruitment is lifted.

Recommendation

Accounting Officers should engage the Ministry of Public Service (MoPs) and Ministry of Finance, Planning and Economic Development (MoFPED) to fast-track recruitment.

d) **Mischarge of Expenditure**

Treasury Instruction No.10.10.16, 2017 states that all payments shall be fully coded according to the chart of accounts codes to enhance expenditure classification and reporting.

I noted that in 9 LGs, a sum of UGX.3.33Bn was incurred on item codes for which they were not budgeted.

There is a risk that funds intended for planned activities could have been diverted to other activities and there is a possibility of falsification of supporting documents.

Some of the Accounting Officers attributed the anomaly to failure by the PBS to capture all codes as per chart of Accounts, while others did not provide a response.

Recommendation

Accounting Officers should ensure that expenditure is incurred on item codes for which they were budgeted

e) Unaccounted for Funds

Instruction 10.1.6 (a- h) of the Treasury Instruction 2017 states that no payment shall be made for goods, services and works outside properly authorized commitments and without adequate supporting documents which are to include among others a signed Contract/agreement, Certificates of completion of works, Goods Received Notes, Goods Delivery Notes and any other documents in support of a payment.

A review of payment vouchers revealed that in 4 LGs, expenditure totaling UGX.0.67Bn remained unaccounted at the close of the financial year. Specifically, there were no activity reports, pre and post inspection reports or other evidence to confirm pull implementation of the activity.

There is a risk that funds were misappropriated.

The Accounting Officers explained that by the time of audit, the accountabilities had been filed in separate files. These, however, were not availed for audit verification.

Recommendation

I advised the Accounting Officers to always ensure that sufficient and appropriate documentation is attached to the payments made. In the meantime, the unaccounted-for funds should be recovered from the individual officers

5.2 Highlights from Audit of Lower Local Governments for the period 2021/22

I undertook financial audits in a total of 860 Lower Local Governments (LLGs), which Included: Sub-counties, Town Councils and Municipal Divisions for the financial year 2021/22 and noted the following cross-cutting findings;

5.2.1 Lack of Strategic Plans

Contrary to Section 35(3) of the Local Government Act Cap 243, I noted that the 86 LLGs with a total budget of UGX.10.135Bn did not have strategic plans to indicate their vision, mission, goals and objectives.

Table 82: LLG without Strategic Plans

Category	Number	Approved Budget (UGX'Bn)
Municipal Division	8	-
Sub-County	29	2.951
Town Council	49	7.184
Total	86	10.135

Source: OAG Analysis

As a result, activities budgeted and implemented might not have been in line with the National Development Plan (NDP) III, thus denying the public the envisaged service delivery.

The Accounting Officers attributed the above to limited capacity of staff at LLGs to prepare strategic plans, and inadequate funding to source private consultancy services to develop the strategic plans.

Recommendation

Accounting Officers should budget and ensure the Strategic plans are developed, approved and followed while implementing government development programs which are in line with the NDP.

5.2.2 Under realization of revenue budgets

During the financial year 2021/22, a total of 710 LLGs realised UGX.80.494Bn out of the budgeted UGX.100.409Bn, representing 80% performance from the different revenue sources, while UGX.19.915Bn remained un-collected, as summarized in the table below;

Table 83: LLGs' Revenue performance

Category	Budgeted Revenue (UGX'Bn)	Amount Realized (UGX'Bn)	Variance (UGX'Bn)
Division	6.794	4.784	2.010
Sub-County	7.567	5.636	1.931
Town Council	86.048	70.074	15.974
Total	100.409	80.494	19.915

Source: OAG Analysis

The revenue shortfalls negatively affected the implementation of planned activities at the LLGs.

The Accounting Officers attributed this to inadequate releases from the MoFPED, especially under the Uganda Road Funds, DDEG, and the low local revenue collections coupled with the failure by the Higher Local Governments to remit the due share of revenue collected.

Recommendation

The Accounting Officers should put in place strategies to widen the local revenue base for effective service delivery. In addition, the MoFPED and other government agencies should ensure adequate release of budgeted funds to LLGs.

5.2.3 **Under absorption of realised funds**

I noted that out of the total receipts for the financial year 2021/22 of UGX.68.747Bn, a sum of UGX.63.020Bn (92%) was spent by 389 LLGs, resulting in an under absorption of UGX.5.728Bn.

Table 84: Absorption of Funds in LLGs

Category	Amount Realized (UGX'Bn)	Amount Spent (UGX'Bn)	Variance (UGX'Bn)
Division	3.801	3.716	0.085
Sub-County	23.415	21.543	1.872
Town Council	41.531	37.761	3.771
Total	68.747	63.020	5.728

Source: OAG Analysis

Under absorption of released funds resulted in partial/non-implementation of planned activities, thus affecting service delivery.

The Accounting Officers attributed this to delayed release of funds and slow progress of contracted works.

Recommendation

The Accounting Officer should always ensure that funds are fully absorbed in implementing planned activities. In addition, they should ensure proper planning of works to be undertaken and strengthen contract management practices.

5.2.4 **Implementation of quantified activities in the workplan**

An assessment of 572 quantified activities with an expenditure of UGX.13.062Bn sampled for assessment revealed the following;

- A total of 283 activities worth UGX.6.537Bn were fully implemented.
- A total of 147 activities worth UGX.4.951Bn were partially implemented
- A total of 141 activities worth UGX.1.573Bn were not implemented

The failure to implement all planned activities negatively affected service delivery.

The Accounting Officers explained that this was as result of receiving less than the budgeted funds that could not support the implementation of all planned activities, which would in some Quarters come in late.

Recommendation

The Accounting Officer should liaise with MoFPED to ensure adequate and timely release of funds to enable the implementation of all planned activities.

5.2.5 **Implementation of District Discretionary Equalization Grant**

The District Discretionary Equalization Grant (DDEG) is aimed at ensuring that funding is focused on areas where services are behind (lagging) the national average standards, both in the rural and urban areas.

I sampled 53 LLGs and reviewed their work plans and noted that out of the budgeted UGX.2.987Bn, only UGX.2.163Bn (73%) was received, implying a shortfall of UGX.0.824Bn, as detailed below;

Table 85: Release of DDEG Grant

Category	Budgeted amount (UGX)	Funds released (UGX)	Variance (UGX)
Town Council	2,987,650,025	2,163,538,851	824,111,174

Source: OAG Analysis

Underfunding under the Grant negatively affected the realisation of the intended objective.

The Accounting Officers explained that this was a result of underfunding from the Government.

Recommendation

The Accounting Officer should engage the MoLGs and MoFPED improved grant allocations to enable LLGs to achieve the intended Grant objectives.

5.2.6 **Implementation of Activities Under the Uganda Road Fund**

Section 22 (a) of the Uganda Road Fund (URF) Act specifies that the Fund may be applied for routine and periodic maintenance of public roads which include national, district, urban roads and community access roads.

LLGs as sub agencies under the districts and municipal councils are responsible for the maintenance of urban and community access roads.

A review of utilization of the Road Fund at LLGs revealed the following;

- I reviewed 76 LLGs and noted that out of the total budget of UGX.10.460Bn, only UGX.6.394Bn (61.1%) was received resulting in a shortfall of UGX.4.065Bn (38.9%).
- From a sample of 47 LLGs that received, UGX.5.986Bn for the maintenance of 2,126 Km of roads, UGX.3.927Bn was spent on maintenance of 1,276 Km of roads resulting in an under absorption of UGX.2.058Bn.

Underfunding and low absorption of funds resulted in partial or non-implementation of the planned 850Km road activities.

The Accounting Officers explained that this was caused by inadequate and late release of funds at the end of the last quarter of the financial year.

Recommendation

The Accounting Officer should always utilize all released funds to implement the planned activities. In addition, MoFPED should ensure adequate and timely release of road funds.

5.2.7 Land Management

Instruction 16.13.11 of the Treasury Instruction, 2017 states that a government entity shall be considered to have control for land if it has the title. If the government entity does not have title to the land, the entity shall not be considered to have control.

A review of the land management processes at the LLGs indicated the following;

- I noted that 534 LLGs did not have land titles for the 2,262 pieces of land.
- I noted that 245 LLGs did not record 1,081 pieces of land in their respective asset registers. This was contrary to Regulation 88 of the Local Governments Finance and Accounting Regulations, 2007.

There is a risk of loss/encroachment on the LLGs land. In addition, there is a risk of failure to track and monitor the pieces of land and may subsequently lead to loss of land.

The Accounting Officers attributed the lack of land titles to lack of funds to undertake the process of surveying the land and processing the land titles.

Recommendations

The Accounting Officer should;

- Ensure they plan and budget to undertake the processes of acquiring land titles.
- Ensure that all land owned by LLGs is recorded in the fixed asset registers.

5.2.8 Under Staffing

I carried out an assessment of the staffing levels at the LLGs and noted that out of the approved staff structure of 22,053 positions in 767 LLGs, 9,414 positions (43%) were filled leaving 12,639 (57%) vacant.

Understaffing affected effective delivery of services at LLGs.

The Accounting Officers explained that this was caused by a government ban on the recruitment of new staff other than on replacement basis due to wage budget ceilings.

Recommendation

The Accounting Officers should continue to liaise with Ministry of Public Service and MoFPED to come up with a plan of filling the vacant positions to enable effective service delivery at LLGs.

5.3 Audit of Secondary Schools and Tertiary Institutions

5.3.1 Academic year ended 31st Dec 2021 and FY ended 30th June 2021

I undertook a financial audit of Secondary schools and Tertiary Institutions for the academic year ended 31st December 2021 and financial year ended 30th June 2021 respectively and observed the following key findings that are also included in individual entity reports:

- a) **Budget Performance**
- i) **Under Budget performance**

A review of Approved budget estimates of 202 schools revealed that they budgeted to receive UGX.376,198,283,022 but only realised UGX.210,485,838,979 (56%) leading to an underfunding of UGX.165,712,444,043 (44%).

The failure to realise all budgeted amounts affected the implementation of several school activities.

The Accounting Officers mainly attributed this to the effects of Covid-19 that affected incomes of parents making them unable to pay full fees.

Recommendation

The Accounting Officers should ensure realistic budgets are prepared and put in place practical measures to collect all the budgeted funds. In addition, all unimplemented or partially implemented activities should be rolled forward to the next financial year.

- ii) **Excess Budget Performance**

A review of Approved budget estimates of 17 schools revealed that they budgeted to receive UGX.27,498,109,152 but realised UGX.34,086,383,826(124%) leading to an excess funding of UGX.6,588,274,674 (24%).

There is a risk that the excess funds collected were not declared and approved by the respective school boards. As a result, oversight over expenditure of these funds was impaired.

The Accounting Officers mainly attributed this to under budgeting of expected revenues.

Recommendations

The Accounting Officers should;

- Ensure that realistic budgets are prepared considering all foreseeable factors that could affect revenue and expenditure.
- Ensure that any excess funds realised are submitted to the school boards for approval.

b) **Accumulation of Receivables**

Paragraph 4.6.3 (b) of the Simplified Guidelines on Budgeting, Accounting and Reporting for Secondary Schools, 2017 states that money owed to the school represents an asset that is idle, as it denies the school the opportunity of using the money to provide services promptly.

I noted that receivables of UGX.23,063,008,924 had accumulated in 147 schools by the end of the financial year.

The receivables represent an idle asset, which denied the schools the revenue required to implement planned activities.

Recommendation

The Accounting Officer should put in place practical measures to collect the receivables so that they are minimised as much as possible.

c) **Accumulation of Domestic Arrears**

Section 21(2) of the Public Finance Management Act, 2015 provides that a vote shall not take any credit from any local company or body unless it has capacity to pay the expenditure from the approved estimates as appropriated by Parliament for that financial year.

I noted that Domestic arrears of UGX.31,878,628,751 had accumulated in 109 schools by the end of the financial year.

Accumulation of payables damages the school's creditworthiness and could lead to litigation.

Recommendation

The Accounting Officers should desist from incurring expenses when they do not have funds to clear such expenses. Furthermore, the Accounting Officers should give respective items under domestic arrears first call in next financial year's budget so that they are promptly settled.

d) **Lack of Land titles**

Indicator 12(xiii) of the Basic Requirements and Minimum Standards Indicators for Education Institutions, 2010 requires Schools to have land titles for the land on which they are located.

I noted that 3 Schools did not have titles for the pieces of land in which they were located.

There is a risk of loss of these pieces of land in case of encroachment or disputes.

The Accounting Officers mainly explained that the schools were located on land that belonged to the Church and Muslim foundations.

Recommendation

The Accounting Officers should engage the MoES, MoFPED, Church foundations and Muslim organisations to explore ways of allowing the schools to acquire the respective land titles.

e) Under Staffing

Section 5 (g) of Education (Pre-primary, Primary and Post primary) Act, 2008 provides that Government through its relevant agencies shall be responsible for recruitment, deployment and promotion of both teaching and non-teaching staff.

A review of staff establishments of 7 Schools revealed that out of the 444 approved staff positions, only 225 (51%) were filled leaving 219 (49%) vacancies.

Understaffing negatively affected effective provision of education services.

Recommendation

The Accounting Officers should liaise with the Ministry of Education and Sports, Ministry of Public service as well as Ministry of Finance Planning and Economic development to find a solution for this matter.

f) Lack of Strategic Plans

Guideline 2.3.8 of the Budgeting and implementation guidelines for Primary and Secondary Schools, 2019 provides that at School level, School development plans have to be made by School staff and approved by BOG containing practical actions aimed at providing the minimum standards and basic requirements for ensuring that the Schools are child friendly with necessary facilities and resources to enable Ugandan children – girls and boys- of School going age to enter, remain and successfully complete the Secondary cycle of education.

I noted that 56 schools did not have strategic plans to guide them plan achievement of short term, medium term and long-term goals.

Non-existence of the school strategic plan affects effective planning and budgeting in the short term and long term.

Recommendation

The Accounting Officers should make budget provisions to prepare strategic plans to guide school operations.

5.3.2 Academic year ended 31st Dec 2022 and FY ended 30th June 2022

I also undertook financial audits of Secondary schools and Tertiary Institutions for the academic year ended 31st December 2022 and FY ended 30th June 2022 respectively and observed the following key findings that are also included in individual entity reports:

a) Budget Performance **i) Under Budget performance**

A review of Approved budget estimates of 173 schools revealed that they budgeted to receive UGX.401,381,692,377 but only realised UGX.325,853,039,933(81%) leading to an underfunding of UGX.75,528,652,444 (19%).

Failure to realise all budgeted amounts negatively affected implementation of planned school activities.

The Accounting Officers mainly attributed this to;

- effects of Covid-19 that affected the incomes of parents making them unable to pay full fees.
- the decrease in enrolment of students that affected fees collection.

Recommendation

The Accounting Officers should ensure realistic budgets are prepared and put in place practical measures to collect all the budgeted funds. In addition, all unimplemented or partially implemented activities should be rolled forward to the next financial year.

ii) Excess Budget Performance

A review of Approved budget estimates of 50 schools revealed that they budgeted to receive UGX.153,748,392,810 but realised UGX.170,275,770,322 (111%) leading to an excess funding of UGX.16,527,377,512 (11%).

There is a risk that the excess funds collected were not declared and approved by the respective school boards. As a result, oversight over expenditure of these funds was impaired.

The Accounting Officers mainly attributed this to;

- increase in salaries of science teachers
- Under budgeting of expected revenues
- Increased enrolment of students than initially expected.

Recommendations

The Accounting Officers should;

- Ensure that realistic budgets are prepared considering all foreseeable factors that could affect revenue and expenditure.
- ensure that any excess funds realised are submitted to the school boards for approval.

b) Accumulation of Receivables

Paragraph 4.6.3 (b) of the Simplified Guidelines on Budgeting, Accounting and Reporting for Secondary Schools, 2017 states that money owed to the school represents an asset that is idle, as it denies the School the opportunity of using the money to provide services promptly.

I noted that receivables of UGX.19,986,102,058 had accumulated in 141 schools by the end of the financial year.

Receivables represent an idle asset, and it denied the schools the revenue required to implement planned activities.

Recommendation

The Accounting Officers should put in place practical measures to collect the receivables so that they are minimised as much as possible.

c) Accumulation of Domestic Arrears

Section 21(2) of the Public Finance Management Act, 2015 provides that a vote shall not take any credit from any local company or body unless it has capacity to pay the expenditure from the approved estimates as appropriated by Parliament for that financial year.

I noted that Domestic arrears of UGX.15,118,083,015 had accumulated in 124 schools by the end of the financial year.

Accumulation of payables damages the school's creditworthiness and could lead to litigation.

Recommendation

The Accounting Officers should desist from incurring expenses when they do not have funds to clear. Furthermore, the Accounting Officers should give respective items under domestic arrears first call in next financial year's budget so that they are promptly settled.

d) **Lack of Land titles**

Indicator 12(xiii) of the Basic Requirements and Minimum Standards Indicators for Education Institutions, 2010 requires Schools to have land titles for the land on which they are located.

I noted that 34 Schools did not have titles for the pieces of land in which they were located.

There is a risk of loss of these pieces of land in case of encroachment or disputes.

The Accounting Officers mainly explained that the schools were located on land that belonged to the Church and Muslim foundations.

Recommendation

The Accounting Officers should engage the MoES, MoFPED, Church foundations and Muslim organisations to explore ways of allowing the schools to acquire the respective land titles.

e) **Under staffing**

Section 5 (g) of Education (Pre-primary, Primary and Post primary) Act, 2008 provides that Government through its relevant agencies shall be responsible for recruitment, deployment and promotion of both teaching and non-teaching staff.

A review of staff establishments of 150 Schools revealed that out of the 12,734 approved staff positions, only 6,449 (51%) were filled, leaving 6,285 (49%) positions vacant.

Understaffing negatively affected effective provision of education services.

Recommendation

The Accounting Officers should liaise with the Ministry of Education and sports, MoPS as well as the Ministry of Finance Planning and Economic development to get a solution to this matter.

f) **Lack of Strategic Plans**

Guideline 2.3.8 of the Budgeting and implementation guidelines for Primary and Secondary Schools, 2019 provides that at School level, School development plans have to be made by School staff and approved by BOG containing practical actions aimed at providing the minimum standards and basic requirements for ensuring that the Schools are child friendly with necessary facilities and resources to enable Ugandan children – girls and boys- of School going age to enter, remain and successfully complete the Secondary cycle of education.

I noted that 72 schools did not have strategic plans to guide them plan to achieve short term, medium term and long-term goals.

Non-existence of the school strategic plan affects effective planning and budgeting in the short term and long term.

Recommendation

The Accounting Officers should make budget provisions to prepare these strategic plans.

PART VI: AUDIT OF TREASURY MEMORANDA

6.1 Treasury Memoranda Backlogs

In accordance with Section 12 (f) of the National Audit Act, Cap 170, I am required to undertake the audit of the Treasury Memoranda. During this audit year, I undertook audits of 13 Treasury Memoranda that I received from the Ministry of Finance Planning and Economic Development (MoFPED), prior to audit year 2024. These were in 428 entities comprising of: 124 Ministries, Departments and Agencies (MDAs), 13 projects, 58 Statutory Corporations (SC), 219 Local Governments (LGs) and Value for Money/engineering audits for 14 Municipalities. The table below refers;

Table 86: Showing category of entities per Treasury Memoranda

SN	Treasury Memoranda	MDAs	Projects	SC	LGs	VFM
1.	Treasury Memorandum on the report of the Public Accounts Committee - Central Government on the report of the Auditor General for Financial Year 2015/16.	37	1			
2.	Treasury Memorandum on the report of the Public Accounts Committee on Commissions, Statutory Authorities and State Enterprises for the Financial Year 2020/21.			56		
3.	Treasury Memorandum on the parliamentary resolutions on the report of the Public Accounts Committee- Central Government on the report of the Auditor General for Financial Year 2014/15 (Ministry of Energy and Mineral Development).	1	3			
4.	Treasury Memorandum on the report of the Public Accounts Committee - Central Government on the report of the Auditor General for Financial Year 2020/21.	32				
5.	Treasury Memorandum on report of the Public Accounts Committee (Central Government), on the report of the Auditor General on the health sector for the Financial Year 2019/20	14				
6.	Treasury Memorandum on the report of the Public Accounts Committee – Local Government on the Auditor General's report for the Financial Year 2016/17 on 115 District Local Governments.				115	
7.	Treasury Memorandum on the report of the Public Accounts Committee – Local Government on the Auditor General's report for the Financial Year 2016/17 on 41 Municipal Councils and 63 Town Councils.				104	

SN	Treasury Memoranda	MDAs	Projects	SC	LGs	VFM
8.	Treasury Memorandum on the report of the Public Accounts Committee on the Auditor General's Report on entities with unqualified opinion for Financial Year 2014/15.	20				
9.	Treasury Memorandum on the report of the Public Accounts Committee on the Auditor General's report on Health Sector for Financial Year 2014/15.	17	3			
10.	Parliamentary resolutions on the report of the Public Accounts Committee on the Auditor General's report on Public Sector Management for Financial Year 2014/15; Ministry of Local Government, Office of the Prime Minister, Ministry of Public Service.	3	6			
11.	Treasury Memorandum on the report of the Committee on Public Accounts (Local Government) on the Value for Money Audit on Uganda Support to Municipal Infrastructure Development (USMID) Program implemented by 14 Municipal Councils in the Financial Year 2015/16.					14
12.	Report of the Committee on Commissions, Statutory Authorities and State Enterprises (COSASE) on the special audit report of Auditor General on defunct banks.			1		
13.	Report of the Subcommittee of the Committee on Commissions, Statutory Authorities and State Enterprises on the investigation into the operations of the Departed Asians' Property Custodian Board.			1		
Total		124	13	58	219	14

Source: OAG analysis of Treasury Memoranda prepared by MoFPED

The Accountability Committees made 2,803 recommendations. Based on my verification, I observed that 31% of the recommendations were fully implemented, 35% were partially implemented and 34% were not implemented at all, as summarised in table below;

Table 87: Summary of Treasury Memoranda implementation status

No of entities	No. of Recommendations issued	Recommendations implemented		Recommendations partially implemented		Recommendations not implemented	
		No	%	No	%	No	%
428	2,803	884	(31%)	979	(35%)	940	(34%)

6.2 Treasury Memoranda Audits in Progress

At the close of the audit year, seven (7) Treasury Memoranda were still under verification. The results of these audits will be included in my subsequent report to Parliament. These include;

- i) Treasury Memorandum on the report of the Public Accounts Committee on Commissions, Statutory Authorities and State Enterprises for the Financial Year 2021/22.
- ii) Treasury Memorandum on report of the Public Accounts Committee (Central Government), on the report of the Auditor General for the Financial Year 2021/22.
- iii) Treasury Memorandum on the report of the Public Accounts Committee – Local Government on the report of the Auditor General for Financial Year 2021/22 (Cities and Municipalities Volume 1).
- iv) Treasury Memorandum on the report of the Public Accounts Committee – Local Government on the report of the Auditor General for the Financial Year 2021/22 (Cities and Municipalities Volume 11).
- v) Treasury Memorandum on the report of the Public Accounts Committee – Local Government on the report of the Auditor General for the Financial Year 2021/22 (Cities and Municipalities Volume 111).
- vi) Supplementary Treasury Memorandum on the report of the Auditor General for the Financial Year 2020/2021.
- vii) Treasury Memorandum on the report of the Public Accounts Committee - Central Government on the report of the Auditor General for financial years 2013/14, 2014/15, 2015/16 and 2016/17; Uganda's Missions abroad.

APPENDICES

Appendix 1: Public Corporations and State Enterprises supposed to be Consolidated

SN	Entity	Nature	Category	Remarks
1.	Bank of Uganda	Corporation	Not for profit	Consolidated
2.	Civil Aviation Authority	Corporation	Not for profit with a commercial orientation	Consolidated
3.	Deposit Protection Fund of Uganda	Corporation	Not for profit	Consolidated
4.	Electricity Regulatory Authority	Corporation	Not for profit	Consolidated
5.	Insurance Regulatory Authority	Corporation	Not for profit	Consolidated
6.	National Drug Authority	Corporation	Not for profit	Consolidated
7.	National Enterprises Corporation (NEC)	Corporation	For profit	Consolidated
8.	National Water and Sewerage Corporation	Corporation	Not for profit with a commercial orientation	Consolidated
9.	Uganda Air Cargo Corporation	Corporation	For profit	Consolidated
10.	Uganda Communications Commission	Corporation	Not for profit	Consolidated
11.	Uganda Development Corporation (Group)	Corporation	For profit	Consolidated
12.	Uganda Railways Corporation	Corporation	For profit	Consolidated
13.	Uganda Wildlife Authority	Corporation	Not for profit	Consolidated
14.	Uganda Wildlife Conservation Education Centre	Corporation	Not for profit	Consolidated
15.	Housing Finance Bank limited	Enterprise	For profit	Consolidated
16.	Kiira Motors Corporation	Enterprise	For profit	Consolidated
17.	Kilembe Mines Limited	Enterprise	For profit	Consolidated
18.	Mandela National Stadium	Enterprise	Not for profit with a commercial orientation	Consolidated
19.	National Housing and Construction Company Limited	Enterprise	For profit	Consolidated
20.	New Vision Printing and Publishing Company Limited	Enterprise	For profit	Consolidated
21.	Post Bank Uganda Limited	Enterprise	For profit	Consolidated
22.	Pride Micro Finance	Enterprise	For profit	Consolidated
23.	The Microfinance Support Centre Ltd	Enterprise	Not for profit	Consolidated
24.	Uganda Broadcasting Corporation	Enterprise	Not for profit with a commercial orientation	Consolidated
25.	Uganda Development Bank Limited	Enterprise	For profit with a development mandate	Consolidated
26.	Uganda Electricity Distribution Company Limited	Enterprise	For profit	Consolidated
27.	Uganda Electricity Generation Company	Enterprise	For profit	Consolidated
28.	Uganda Electricity Transmission Company Limited	Enterprise	For profit	Consolidated

SN	Entity	Nature	Category	Remarks
29.	Uganda Energy Credit Capitalization Co. Ltd (Company Limited by Guarantee)	Enterprise	For profit with a service delivery mandate	Consolidated
30.	Uganda National Airlines Company Limited	Enterprise	For profit	Consolidated
31.	Uganda National Oil Company Limited	Enterprise	For profit	Consolidated
32.	Uganda Post Limited	Enterprise	For profit	Consolidated
33.	Uganda Printing and Publishing Corporation	Enterprise	For profit	Consolidated
34.	Uganda Property Holdings Limited	Enterprise	For profit	Consolidated
35.	Bujagali Energy Limited (Concession)	Enterprise	For profit	Disclosed and not consolidated
36.	Dairy Corporation Limited	Enterprise	For profit	Disclosed and not consolidated
37.	Enterprise Uganda Limited (Company Limited by Guarantee)	Enterprise	For profit with a service delivery orientation	Disclosed and not consolidated
38.	Housing Finance Investments	Enterprise	For profit	Disclosed and not consolidated
39.	Kampala Industries and Business Park Limited	Enterprise	For profit	Disclosed and not consolidated
40.	Nakivubo War Memorial Stadium(concession)	Enterprise	Not for profit with a commercial orientation	Disclosed and not consolidated
41.	Production Enterprises Corporation Limited	Enterprise	For profit	Disclosed and not consolidated
42.	Science and Technology Equipment Production (Unit) Ltd	Enterprise	For profit	Disclosed and not consolidated
43.	Uganda Crane Industries Ltd.	Enterprise	For profit	Disclosed and not consolidated
44.	Uganda Livestock Industries limited (Cannot be traced)	Enterprise	For profit	Disclosed and not consolidated, it cannot be traced
45.	Uganda Seeds Limited	Enterprise	For profit	Disclosed and not consolidated, it was sold
46.	UGMA Engineering Corporation Limited	Enterprise	For profit	Disclosed and not consolidated
47.	Uganda Fisheries Enterprises Limited	Enterprise	For profit	Disclosed and not consolidated
48.	Uganda Telecommunications Corporation Limited (UTCL)	Enterprise	For profit	Not consolidated and not disclosed
49.	Insurance Training college	Enterprise	For profit	Not consolidated and not disclosed
50.	Uganda Hotel and Tourism Training Institute	Enterprise	Not for profit with a commercial orientation	Not consolidated and not disclosed

Appendix 2: Inconsistencies in the submitted information

a) Inconsistencies in the Statement of Performance

SN	Entity	Operating Revenue (UGX) "Bn"			Operating Expenses (UGX) "Bn"			Other Gains and Losses (UGX) "Bn"			Surplus/Deficit (UGX) "Bn"		
		Summary Statement	Verified Figure/FS	Variance	Summary Statement	Verified Figure/FS	Variance	Summary Statement	Verified Figure/FS	Variance	Summary Statement	Verified Figure/FS	Variance
1	Bank of Uganda	1544.65	1537.89	6.76	746.18	621.39	124.79	-343.89	295.18	-639.07	1142.35	1142.35	0.00
2	Electricity Regulatory Authority	43.56	43.55	0.01	40.52	40.48	0.04	0.07	0.20	-0.14	2.97	2.86	0.11
3	National Drug Authority	87.21	87.19	0.02	86.11	86.10	0.01	-1.57	1.68	-3.25	2.67	2.78	-0.11
4	National Water & Sewerage Corporation	622.25	622.23	0.02	594.18	580.30	13.88	0.00	0.00	0.00	28.06	60.36	-32.30
5	Uganda Civil Aviation Authority	329.22	329.28	-0.07	293.25	295.62	-2.37	2.76	2.76	0.00	33.21	32.01	1.20
6	Uganda Railways Corporation	28.20	29.32	-1.12	65.01	66.31	-1.29	3.11	1.27	1.84	-39.93	36.35	-76.27
7	Uganda Wildlife Conservation Education Centre	28.72	28.79	-0.07	23.18	23.24	-0.07	0.00	0.00	0.00	5.54	5.54	0.00
8	Mandela Stadium limited	22.93	22.93	0.00	4.26	4.26	0.00	0.00	0.00	0.00	18.67	18.67	0.00
9	Uganda Electricity Distribution Company Limited	111.3	111.30	0.00	122.22	121.39	0.83	0.00	0.00	0.00	-10.92	-10.92	0.00
10	Uganda Electricity Generation Company Limited	352.25	350.60	1.66	286.67	250.05	36.62	-0.67	-0.67	0.00	64.92	54.28	10.64
11	Uganda Electricity Transmission Company Limited	264.21	252.40	11.80	122.52	129.01	-6.49	17.91	-10.81	28.72	123.78	82.26	41.52
12	Uganda National Oil Company Limited	42.84	42.79	0.05	49.24	48.84	0.40	2.27	2.27	0.00	-4.13	3.78	-7.91
13	National Housing & Construction Company Limited	22.15	22.35	-0.20	23.51	17.62	5.89	0.07	5.68	-5.60	-1.28	3.28	-4.56
14	Uganda Energy Credit Capitalization Company	8.74	8.74	0.00	11.79	11.88	-0.09	0.00	0.00	0.00	-3.05	-3.14	0.09
15	Uganda Post Limited	18.55	18.55	-	18.11	17.33	0.78	0.297	-	0.297	0.14	0.1	0.04
16	Uganda Development Corporation	43.62	36.17	7.45	51.38	57.23	(5.85)	10.34	-	10.34	(21.06)	(18.1)	(2.96)
17	Uganda Property Holdings Limited	9.84	9.84	-	8.56	8.56	-	(0.3)	0.3	(0.6)	1.57	1.57	-
18	Uganda National Airlines Co. Ltd.	369.73	349.59	20.14	612.32	584.42	27.9	-	-	-	(242.59)	(237.85)	(4.74)

b) Inconsistencies in the statement of financial position

Entity	Retained Earnings			Share Capital			Other Reserves			Financial Assets			Non-Financial Assets			Liabilities			Net worth		
	Summary Statement	Verified Figure/FS	Variance	Summary Statement	Verified Figure/FS	Variance	Summary Statement	Verified Figure/FS	Variance	Summary Statement	Verified Figure/FS	Variance	Summary Statement	Verified Figure/FS	Variance	Summary Statement	Verified Figure/FS	Variance	Summary Statement	Verified Figure/FS	Variance
Bank of Uganda	5466.80	867.62	4599.18	20.00	20.00	0.00	0.00	4599.18	- 4599.18	25716.76	15181.90	10534.86	513.63	11048.49	- 10534.86	20743.58	20743.58	0.00	5486.80	5486.80	0.00
Electricity Regulatory Authority	34.55	34.44	0.11	0.28	0.28	0.00	5.24	5.24	0.00	27.29	27.20	0.09	41.88	36.63	5.25	23.83	23.86	-0.03	45.34	39.96	5.38
National Drug Authority	140.36	118.57	21.79	0.00	0.00	0.00	0.00	21.80	- 21.80	88.59	73.09	15.50	70.12	85.63	-15.50	18.35	18.34	0.01	140.36	140.37	- 0.01
National Water & Sewerage Corporation	439.37	489.92	-50.55	1022.02	0.00	1022.02	0.00	1012.19	- 1012.19	668.27	672.09	-3.82	3944.46	3943.87	0.59	3151.34	3113.84	37.49	1461.39	1502.11	- 40.72
Uganda Civil Aviation Authority	356.69	357.02	-0.33	192.37	192.37	0.00	2072.41	2072.41	0.00	307.23	307.35	-0.13	3928.17	3940.65	-12.48	1613.93	1626.21	- 12.28	2621.46	2621.79	- 0.33
Uganda Railways Corporation	-443.15	- 444.94	1.80	- 476.27	0.00	- 476.27	3781.75	476.27	3305.48	257.03	109.28	147.75	3708.62	3854.69	- 146.07	150.76	150.88	-0.12	3814.88	3813.08	1.80
Uganda Wildlife Conservation Education Centre	19.61	19.61	0.00	103.92	0.00	103.92	0.00	103.92	- 103.92	3.25	3.25	0.00	120.49	123.74	-3.25	0.21	0.21	0.00	123.53	123.53	0.00
Mandela Stadium limited	278.96	278.94	0.02	0.10	0.10	0.00	0.00	0.00	0.00	74.81	74.81	0.00	205.27	205.27	0.00	1.01	1.03	-0.02	279.06	279.04	0.02
Uganda electricity Distribution Company Limited	-103.09	- 103.09	0.00	249.97	249.97	0.00	0.00	0.00	0.00	216.95	216.95	0.00	1997.47	1997.47	0.00	2067.54	2067.54	0.00	146.88	146.88	0.00
Uganda electricity Generation Company Limited	27.82	17.18	10.64	931.71	105.21	826.50	0.00	826.50	- 826.50	231.78	239.75	-7.96	8285.34	8167.30	118.04	7557.60	7458.16	99.44	959.52	948.89	10.64
Uganda Electricity Transmission Company Limited	486.53	360.87	125.66	1623.85	388.61	1235.24	0.00	1319.38	- 1319.38	1731.01	1691.86	39.15	4329.81	4258.24	71.57	3950.44	3881.24	69.20	2110.38	2068.86	41.52
Uganda National Oil	-32.95	-32.61	-0.35	10.00	10.00	0.00	1624.00	1624.00	0.00	1565.86	378.33	1187.53	55.14	1237.48	- 1182.34	19.95	14.42	5.54	1601.05	1601.40	- 0.35

Entity	Retained Earnings			Share Capital			Other Reserves			Financial Assets			Non-Financial Assets			Liabilities			Net worth		
	Summary Statement	Verified Figure/FS	Variance	Summary Statement	Verified Figure/FS	Variance	Summary Statement	Verified Figure/FS	Variance	Summary Statement	Verified Figure/FS	Variance	Summary Statement	Verified Figure/FS	Variance	Summary Statement	Verified Figure/FS	Variance	Summary Statement	Verified Figure/FS	Variance
Company Limited																					
National Housing & Construction Company Limited	473.27	477.76	-4.49	103.04	103.04	0.00	36.10	36.17	-0.07	28.45	113.16	-84.70	666.35	586.04	80.32	82.39	82.22	0.17	612.41	616.97	-4.56
Uganda Energy Credit Capitalization Company	74.80	0.27	74.52	0.00	74.43	-74.43	0.00	0.00	0.00	59.98	59.98	0.00	28.55	28.55	0.00	13.74	13.83	-0.10	74.80	74.70	0.10
Uganda Post Limited	(6.35)	(6.39)	0.04	19.49	19.49	-	75.07	75.07	-	64.99	62.95	2.04	50.54	50.54	-	27.32	25.32	(2)	88.21	88.17	(0.04)
Uganda Development Corporation	(72.9)	(69.85)	(3.05)	974	1,186.5	(212.5)	188.1	-	188.1	860.73	531.75	(329)	242.02	587.96	(345.9)	13.54	3.03	(10.5)	1,089.2	1,116.7	(27.5)
Uganda Property Holdings Limited	24.98	24.98	-	15.52	15.52	-	255.8	255.8	-	6.84	6.84	-	291.4	291.4	-	1.89	1.89	-	296	296	-
Uganda National Airlines Co. Ltd.	(1,040.7)	(1,016.5)	(24.2)	1,969.4	1,872.6	96.8	-	-	-	167.7	71.92	95.78	910.16	999.33	(89.17)	149.21	215.17	(65.96)	928.65	856.08	72.57

Appendix 3: Procurement budgets for entities on e-GP

SN	Entity	Amount (UGX)
1	Ministry of Water & Environment	4,130,671,472,219
2	Ministry of Works & Transport	2,716,956,941,419
3	Ministry of Energy & Mineral Development	1,030,981,888,451
4	Ministry of Agriculture, Animal Industry & Fisheries	485,752,084,436
5	Kampala Capital City Authority	317,791,512,978
6	Parliament of Uganda	227,004,893,988
7	Uganda Civil Aviation Authority	220,625,021,787
8	Ministry of Finance, Planning & Economic Development	204,482,063,199
9	National Social Security Fund	200,522,889,984
10	Ministry of Health	188,234,752,422
11	Directorate of Citizenship and Immigration	110,011,584,978
12	Office of the President	91,033,942,000
13	Ministry of Education & Sports	77,777,630,108
14	Ministry of Information, Communications Technology & National Guidance	75,761,511,922
15	Office of the Prime Minister	58,699,018,170
16	Ministry of Local Government	52,804,123,966
17	Ministry of Tourism, Wildlife & Antiquities	48,007,111,396
18	Ministry of Trade, Industry & Cooperatives	34,951,667,398
19	Uganda National Bureau of Standards	34,186,000,000
20	National Planning Authority	34,169,085,660
21	National Information Technology Authority-Uganda (NITA-U)	32,905,669,822
22	Directorate of Public Prosecutions	32,771,271,654
23	Uganda Registration Services Bureau	27,545,960,381
24	Ministry of Land, Housing & Urban Development	25,991,154,241
25	Mpigi District Local Government	18,259,175,840
26	Ministry of Kampala Capital City & Metropolitan Affairs	16,430,450,000
27	Uganda Institute of Information & Communication Technology	14,124,293,659
28	Ministry of Justice & Constitutional Affairs	13,407,626,316
29	Ministry of Gender, Labour & Social Development	10,594,476,500

SN	Entity	Amount (UGX)
30	Public Procurement & Disposal of the Public Assets Authority	10,494,275,928
31	Mukono District Local Government	8,507,683,827
32	Ministry of Public Service	8,386,629,606
33	Ministry of Foreign Affairs	8,000,839,614
34	Ministry of Internal Affairs	6,851,600,003
35	Jinja District Local Government	5,199,031,189
36	Ministry of East African Community Affairs	4,723,490,000
	Total	10,584,618,825,061

Appendix 4: Details of other procurement Observations

SN	Entity	Unplanned Procurements		Split Procurement		Irregular Initiation		Failure to Carry out Market Assessments		Delayed procurement processes			Procurements without Performance Security	
		No	Value (UGX) Bn	No.	Value (UGX) Bn	No.	Value (UGX) Bn	No.	Value (UGX) Bn	No.	Value (UGX) Bn	Delays (Months)	No.	Value (UGX) Bn
1	Amudat DLG												4	0.65
2	Butebo DLG			3	0.01			3	0.04				2	0.04
3	Education Service Commission			4	0.59									
4	Financial Intelligence Authority	1	0.13										4	1.77
5	Ibanda DLG							15	1.12					
6	Kabale DLG												2	1.42
7	Kanungu DLG							19	1.64					
8	Law Development Center							17	5.2					
9	Microfinance Support Centre	2	0.14											
10	Ministry of Energy and Mineral Development	9	31.66											
11	Ministry of Finance, Planning and Economic Development					3	16.2							
12	Ministry of Tourism Wildlife and Antiquities MoTWA					5	13.97							
13	Ministry of Trade, Industry and Cooperatives MoTIC					1	6.06	1	6.2					
14	Moroto DLG												5	0.64
15	Mountains of the Moon University							3	1.47					
16	Muni University												2	10.9
17	Napak DLG							2	0.11				2	0.36
18	National Agricultural Research Organization NARO									20	26.09	6		
19	National Oil Palm Project									4	11.1	5		
20	National Population Council (NPC)	2	0.04											
21	Office of the President									6	2.5	7		
22	Presidential Initiative On Banana Industrial Development									6	2.09	3		
23	Rukiga DLG												8	3.69
24	Soroti RRH							1	0.051					
25	Uganda Broadcasting Corporation	8	0.25											
26	Uganda Bureau of Statistics					1	2			2	91.74			
27	Uganda Communications Commission	3	6.41											
28	Uganda Petroleum Institute -Kigumba			6	0.82			9	5.26					
29	Uganda Retirement Benefits Regulatory Authority	1	0.1											
30	Uganda Revenue Authority	4	7.01	5	0.29	5	0.34							
31	Uganda Wildlife Research and Training Institute	2	0.14											
32	Wakiso DLG			1	0.69									
33	Ministry of Internal Affairs									4	668.05	3		
	Total	32	45.88	19	2.4	15	38.57	70	21.091	42	801.57		29	19.47

ANNEXURES

Annexure 1: Summary of Entity Findings for MDAs and Projects

Entity Name	Programme Name	Opinion	Summary of Key Findings I noted that;
Office of the Prime Minister (OPM)	Development plan implementation Governance and security Natural resources, environment, climate change, land and water Regional balanced development	Unqualified	i) The Ministry had verified stock of outstanding commitments amounting to UGX.1.19Bn at the year-end. ii) The Ministry paid UGX.525Mn to Uganda Veterans Assistance Board instead of the budgeted and approved UGX.500Mn, leading to an excess payment of UGX.25Mn. iii) A review of the disaster risk management plan revealed that a number of recommendations have not yet been implemented. iv) By the end of the financial year, OPM had paid UGX.2.74Bn to 274 land slide victims; however, UGX.30Mn bounced, and a balance of UGX.9.34Bn remained unspent. v) The bank deducted bank charges amounting to UGX.5.49Mn from the land slide victim beneficiary accounts contrary to the signed MoU. vi) There were challenges in resettlement of landslide victims. Out of the 271 beneficiaries who received funding, a total of 224 land slide victims were transferred to Bulambuli District without land despite receiving UGX.10Mn each for construction of houses. vii) Most of the beneficiaries had diverted the UGX.10Mn meant for construction of houses. viii) The land on which the victims were to be resettled lacked basic social services like roads, electricity, schools and health facilities. ix) There was poor hygiene and sanitation in the temporary camp where the victims had been temporarily settled as the toilets were all full. x) The affected persons on Apaa Game Reserve had not yet been compensated and UGX.2.5Bn was still held on the Ministry's Centenary Bank account. xi) OPM has not taken possession of 200 acres of land procured in Kasese and the land is susceptible to future ownership claims from third parties. xii) OPM budgeted to transfer UGX.7Bn to URCS as per the approved budget estimates however, only UGX.2.95Bn (42%) was released out of which UGX.2.7Bn was remitted. The balance of UGX.0.25Bn was transferred back to the consolidated fund at the closure of the financial year.

			xiii) A review of the Ministry's approved structure revealed that out of the 400 positions approved, only 239 (60%) were filled, leaving 161 (40%) posts vacant. xiv) There was a shortfall of UGX.58.3Bn on the Ministry's approved budget and this affected implementation of planned activities. xv) OPM did not utilise UGX.1.957Bn which further affected implementation of planned activities. xvi) Out of the six (6) outputs with 31 activities worth UGX.1.9Bn assessed, three (3) outputs with 20 activities worth UGX.1.1Bn were fully implemented while three (3) outputs with 11 activities worth UGX.0.8Bn were partially implemented. xvii) There were average delays of three (3) months on the implementation of four (4) projects worth UGX.2.36Bn. xviii) I undertook a special audit of the pension payroll, and a separate report was issued. xix) Out of the 29 recommendations issued in the Treasury Memoranda, 12 were fully implemented, five (5) were partially implemented, while 12 were not implemented. xx) The Ministry implemented two (2) Donor-Funded projects during the year under review which were all audited by my Office and separate reports issued.
Ministry of Agriculture, Animal Industry and Fisheries (MAAIF)	Agro-industrialization	Unqualified	i) The Ministry had an increase of 38% in domestic arrears from UGX.19.47Bn in 2022/2023 to UGX.26.89Bn in 2023/2024. ii) Out of the total staff establishment of 967 positions, only 653 (67%) positions were filled leaving 314 vacant posts including key positions such as Commissioner, Assistant Commissioner, Principal Officers and Senior officers among others. iii) The Ministry is undertaking constructions at Buwama and Bunghokho mechanisation centres which were incomplete by the time of inspection in November 2024, the sites appeared abandoned and the land was encroached on. iv) Funds amounting to UGX.1.04Bn were irregularly diverted from budgeted activities without obtaining the necessary approvals. v) There were several shortcomings in the implementation of PDM activities such as lack of an approved budget leading to diversion of UGX 0.27Bn to fund coordination activities, lack of a working Group activity implementation plan and failure to review operational guidelines.

			vi) There were shortcomings in the procurement function which include; Failure to align the procurement plan to the approved budget, delays in procurement processes, delays in contract implementation and failure to recover liquidated damages. vii) The Ministry did not prioritise the following mandate activities; designing, developing and maintaining a national information base, mobilizing financial and technical assistance for the development of the sector, maintaining effective national platforms for engagement, and regulation of the use of agricultural chemicals. viii) The Ministry had a shortfall of UGX.76.1Bn representing a 76.3% performance leading to non-implementation of several planned activities. ix) The Ministry did not absorb UGX.11.5Bn meant for payment of outstanding pension & gratuity arrears, contract staff salaries for projects that did not commence, unutilised salaries and training of staff on quality assurance systems and processes. x) The Ministry paid UGX.5.40Bn beyond the appropriated amount of UGX.0.344Bn for settlement of domestic arrears. xi) I assessed 26 outputs with 115 activities worth UGX.127Bn and noted that 8 outputs with 27 activities worth UGX.6.73Bn were fully implemented, while eighteen (18) outputs with 88 activities worth UGX.119.6Bn were partially implemented. xii) Seven (7) projects worth UGX.41.6Bn had average delays of 5 months from the expected completion dates. xiii) There were shortcomings in the implementation of the FMD intervention such as; inadequate funding of the contingency budget of UGX.58.146Bn, non-utilization of UGX.0.939Bn that was meant for allowances of district officers, and procurement of 240 refrigerators and freezers instead of the refrigerated containers approved by Cabinet. xiv) I undertook a special audit of the pension payroll that covered a period from FY 2019/20 to 2023/24 and a separate report was issued. xv) I undertook two (2) value for money audits on; the uptake of improved crop varieties/technologies and the impact evaluation of the Micro-Scale irrigation programme under the Uganda Intergovernmental Fiscal Transfer Program (UgIFT) and issued separate reports. xvi) I undertook a follow-up audit on the status of Implementation of audit recommendations on the Value for Money audit on the
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			Implementation of the Vegetable Oil Development Project (VODP) and issued a separate report. xvii) I undertook an audit of three (3) Treasury Memoranda on the reports of the Public Accounts Committee on the Auditor General's reports for the financial years 2014/15, FY 2015/16 and FY 2020/21 and noted that out of the 70 recommendations issued, 16 were fully implemented, 27 were partially implemented while 27 were not implemented.
Kampala Capital City Authority (KCCA)	Agro-industrialization Community mobilization and mindset change Development plan implementation Digital transformation Human capital development Integrated transport infrastructure and services Natural resources, environment, climate change, Land and water Public sector transformation Tourism development	Unqualified	i) The Authority's domestic arrears increased by 192% from UGX.79.39Bn in 2022/23 to UGX.231.71Bn in 2023/24. ii) Out of 1,800kms of roads, only 595kms were maintained under the URF arrangement due to repurposing of funds to pay for domestic arrears. Furthermore, the planned 2km drainage and bridge works were not undertaken. iii) The funding for URF reduced by 59% from UGX.24.14Bn in FY 2022/2023 to UGX.10Bn in 2023/2024. iv) Out of the approved 1,424 positions, only 838 (59%) were filled, leaving 586 vacant. v) Twenty-seven (27) parcels of land with no definite measurements and values had encumbrances in form of court injunctions. vi) The Authority lacked equipment and a leachate treatment plant to manage solid waste in Kampala and consequently UGX.1.54Bn was spent on hiring equipment. vii) Following the Kitezi disaster, KCCA put in place measures to ensure better solid waste management in the City and the surrounding areas however, land in Ddundu Mukono had not been accessed, funding of UGX.4.92Bn for disaster response had not been utilised while the temporary dumping sites at Nkumba and Katikolo lacked the capacity to handle the volume of waste collected in Kampala. viii) Inspections carried out at Kitezi revealed that despite the interventions undertaken by KCCA, the residents who were compensated had returned in spite of the cracks developing in the various landfill spots. ix) The e-GP system is not being fully utilised due to system breakdown, inability to seek Solicitor General's clearance online and inability to undertake partial initiation of call off orders on the system. x) It took an average of 117 working days from receipt of the development application to making a decision (approve/reject/defer) by the Physical Planning Committee (PPC) following the

			recommendation by the Technical Review Team (TRT). xi) The Technical Review Team took an average of 132 working days to advise PPC on the decision taken on an application. xii) Only 22 PDM activities out of the 59 that were received from the five (5) divisions were incorporated in KCCA's budget and work plan. xiii) The Authority received UGX.117.6Mn for payment of Parish Chiefs' allowances out of which UGX.114Mn (97%) was spent leaving a balance of UGX.3.6Mn. xiv) 49 PDM SACCOs had disbursed UGX.9.36Bn (89%) out of UGX.10.48Bn received from MoFPED for onward lending leaving a balance of UGX.1.12Bn (11%) undisbursed. xv) I noted that 20 PDM SACCOs did not have the production, marketing, business development services, finance and investment sub-committees. xvi) The Authority had not adequately executed four (4) of its mandated activities. xvii) The Authority had an approved budget of UGX.339.86Bn, out of which UGX.339.71Bn (99.9%) was warranted, resulting in a shortfall of UGX.152.23Mn which affected implementation of planned activities. xviii) Out of the UGX.339.71Bn warranted, only UGX.338.05Bn (99.5%) had been utilised leaving a balance of UGX.1.66Bn, which affected implementation of activities. xix) Out of 15 outputs assessed, eight (8) outputs with 15 activities worth UGX.7.89Bn were fully implemented while seven (7) outputs with 26 activities worth UGX.11.93Bn were partially implemented. xx) There were delays in the implementation of five (5) projects worth UGX.3.967Bn of three (3) months on average. xxi) The Authority had outstanding arrears of UGX.79.39Bn however, only UGX.69.26Mn was budgeted and released, which led to under budgeting by UGX.79.33Bn. In addition, UGX.49.88Bn was spent from the current year budget to settle domestic arrears. xxii) Funds amounting to UGX.1.890Bn were irregularly diverted from the budgeted activities without the necessary approval. xxiii) I undertook a special audit of the pension payroll for the financial years 2019/2020 to 2023/2024 and issued a separate report. xxiv) I conducted a Value for Money (VFM) audit of infrastructure projects implemented by KCCA, one of the entities participating in the GKMA Program and issued a separate report.
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			xxv) I conducted an audit of the Treasury Memorandum for KCCA on Report of the Public Accounts Committee on Commissions, Statutory Authorities and State Enterprises for the financial year 2020/21 and noted that out of the 14 recommendations issued; seven (7) recommendations were fully implemented, two (2) recommendations were partially implemented while five (5) recommendations were not implemented. xxvi) The Authority implemented five (5) Donor-Funded projects during the year under review which were all audited by my Office and separate reports issued.
Kampala City Roads Rehabilitation Project (KCRRP)	Integrated transport infrastructure and services Public Sector Transformation	Unqualified	i) Out of the expected total disbursement of USD.288Mn, only USD.59.16Mn (20%) was disbursed which affected implementation of activities. ii) Out of the cumulative disbursements of USD.59.16Mn, USD.54.5Mn (92%) was absorbed as at 30th June 2024. The balance of USD.4.66Mn was held on the project bank accounts in Bank of Uganda. iii) I sampled three (3) activities worth UGX.208.51Bn and noted that targets for one (1) activity worth UGX.15Bn had been fully achieved while targets for the remaining two (2) activities worth UGX.193.51Bn were not yet achieved. iv) There was no key staff of the main consultant for package one roads such as a director and resident engineer, all supervising consultancy works were being executed by the local consultant. v) The Consultant completed and submitted the final design review reports for Lots 1 and 2 in March 2024, but these were not yet approved by KCCA at the time of my report. vi) There was a delay paying all local staff working with the supervising consultant for package 2 road by six months. This affected their livelihoods and demotivated the workers. vii) The final design review report for lots 3, 4 and 5 civil works had not been completed and submitted by the consultant to the KCCA and the AfDB which affected progress of works. viii) Progress of works for Lot 1 stood at 95% against a planned 115% of the contract with a slippage of 20% and a duration of 65% of time lapsed on the contract. ix) Three (3) out of nine (9) roads were handed over to the KCCA pending installation of streetlights and temporary signage, road markings, road

			cleaning and tree planting and completion of walkways. The remaining six (6) roads faced challenges of acquisition of Right of Way, large sewer lines passing through the carriage ways among others which affected progress of works. x) The progress of Lot 2's works stood at 29.76% against a planned level of 55% with a slippage of 25.24% and a duration of 65% of time lapsed on the contract. The contractors faced challenges of acquisition of Right of Way, relocation of utility lines among others which affected progress of works. xi) The progress for Lot 3's works stood at 23.21% against a planned of 32.32% of the contract with a slippage of 9.11% and a duration of 65.39% of time lapsed on the contract. The contractor faced challenges of drainage, and many of the workers whose contracts had expired which affected progress of works. xii) The progress for Lot 4's works stood at 7.4% against the planned 20.26% of the contract with a slippage of 8.8% and a duration of 65% of time elapsed on the contract. The works on major road junctions were yet to commence, the contractor faced challenges of obtaining the Right of Way and was not observing Environmental, Health and Safety (EHS) measures. xiii) The progress of Lot 5's works stood at 21.89% against a planned of 56.19% of the contract with a slippage of 34.30% and a duration of 54.52% of time lapsed on the contract. There were delays in completing works on the drainage channels on various roads and works on tow junctions were yet to commence. There were also other anomalies on the completed works such as untrained inlets to box culverts, dumping of construction waste near the sentema-Mugema Junction, among others. xiv) I noted anomalies such as absence of embankment protection and warning tape at Salaama road pipe culvert works, absence of designated crossing areas with flagmen on Kayemba road, Open manholes without warning signs and warning tape on Eighth Street, unbent iron bars surrounding the open manholes on Eighth Street, among others. xv) The Project Implementation Team (PIT) lacks a budget to facilitate essential administrative functions and procure requisite equipment such as; laptops, printers, stationery and other tools necessary for effective project execution.
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			xvi) The project procured a consultant to provide consultancy services for Resettlement Action Plan (RAP) worth UGX.1.6Bn and consultancy services for RAP of two (2) drainage channels worth UGX.1.99Bn without professional indemnity. xvii) The project had not registered and mutated land acquired from PAPs into the names of the Uganda Land Commission as required. xviii) The project had no budget allocation to facilitate the activities of Grievance Management Committees (GMCs) such as sitting allowances for members, logistics for grievance resolution meetings and stakeholder engagement sessions. xix) KCCA had a partially constituted overall Grievance Management Committee (GMC). The Committee lacked representatives from the Project Implementation Team, the contractors, insurance companies and the community leaders as required by project governance framework. xx) The asphalt machines worth UGX.2.47Bn procured in April 2024 had not been utilised because KCCA had not trained its staff and lacked capacity to operate the machines. xxi) Heavy equipment purchased under the KCRRP valued at UGX.14.8Bn was not insured, rendering the equipment vulnerable to loss or damage.
Treasury Operations (TOP)	Development Plan Implementation	Unqualified	i) Payables increased by 50% from UGX.6.144Tn in the financial year 2022/2023 to UGX.9.240Tn in 2023/2024. ii) Invoices worth UGX.8.313Tn remained unfunded by the close of the financial year. iii) Out of the revised budget of UGX.22.628Tn, UGX.20.579Tn (91%) was warranted, leaving an unwarranted budget of UGX.2.048Tn. iv) Out of the warranted amount of UGX.20.579Tn UGX. 16.823Tn was spent representing 81.75% of the funds warranted. v) Supplementary funding amounting to UGX.2Tn was not warranted defeating the purpose for which the funds were appropriated. vi) The total public debt as at 30th June 2024 was UGX.93.607Tn, of which UGX.39.159Tn was Domestic Debt Stock while 54.449Tn was External Debt Stock. vii) The country's external debt stock increased by 40% from UGX.38.917Tn in FY 2019/20 to UGX.54.449Tn in FY 2023/24. viii) During the year, Treasury requested BoU to switch Bonds totalling to UGX.0.684Tn, which resulted in the accumulation of accrued interest

			amounting to UGX.1.547Tn. ix) A total of UGX.1.301Tn was borrowed from the domestic market on the 8th February 2024 using private placement.
Uganda Bureau of Statistics (UBoS)	Development plan implementation	Unqualified	i) A comparison of the strategic and annual work plans for the last three (3) years with the mandate as stipulated in relevant laws revealed that the entity had not adequately fulfilled its mandate. ii) The entity had an initial budget of UGX.249.298Bn for its activities including conducting the National Population and Housing Census. The budget was inadequate which resulted in to request for supplementary funding of UGX.147.294Bn, revising the budget to UGX.396.592Bn. iii) Out of the total budget of UGX.396.592Bn, UGX.394.278Bn (99%) was spent. iv) I assessed the extent of implementation of 15 outputs with 212 activities worth UGX.372Bn. I observed that Six (6) outputs with 83 activities worth UGX.174Bn were fully implemented, eight (8) outputs with 121 activities worth UGX.196Bn were partially implemented, while one (1) output with eight (8) activities worth UGX.1.9Bn was not implemented. v) The Bureau did not absorb UGX1.505Bn of donor funding implying non-implementation of planned activities. vi) An error was detected in the Provisional Report of the census and the results were recalled indicating that the final report containing comprehensive statistical data and information from the Census would be issued in December 2024. This is in line with International Industry Practice. vii) The Bureau disclosed prepayments and advances of UGX.4.7Bn relating to census funds advanced to Districts, Cities and Kampala City Divisions that remained unaccounted for by the close of the financial year. viii) At the end of the financial year, there were payables amounting to UGX3.42Bn, due to Census Enumerators, supervisors, guides, and suppliers.
Ministry of Defence and Veteran Affairs (MoDVA)	Governance and Security	Unqualified	i) Out of the total expenditure for the year of UGX.4.06Tn, expenditure amounting to UGX.1.99Tn (49%) was classified and therefore audited and reported on separately. ii) Eighteen (18) procurements worth UGX.38.11Bn took an average of seven (7) months from initiation to contract signing which affected the achievement of planned activities.

			iii) Management excluded the requirement for performance security in 14 contracts worth UGX.27.46Bn which exposes the entity to a risk of under or non-performance by the contractors. iv) The Ministry did not absorb UGX.0.54Bn that was meant for pension and gratuity for non-uniformed officers. v) The Ministry's work plans and budgets were not appropriately quantified and costed to enable assessment of implementation of planned activities. vi) Six (6) projects worth UGX.152.42Bn had delays averaging four (4) months from the expected completion date. This affected the achievement of the Ministry's planned activities. vii) Two (2) projects worth UGX.0.628Bn were not functional despite being completed, which affected service delivery. viii) At the time of inspection in October 2024, which was four (4) years after the expected completion date of the UPDF National Referral Hospital, the project was not complete, with stalled works in some areas. ix) The Ministry amended the original contract for the procurement of assorted medical equipment for UPDF National Referral Hospital without the necessary approvals. In addition, a variation request of UGX.29.67Bn was awarded to the contractor without obtaining Solicitor General's approval. x) The contract for the supply of Medical Equipment for the UPDF National Referral Hospital was signed in the FY 2020/2021. However, by the time of my report (December 2024), the delivered items had not yet been installed since works were still on-going. The Ministry was incurring warehousing and insurance costs for the storage of the equipment. xi) I undertook a special audit of the pension payroll that covered a period from FY 2019/20 to 2023/24 and issued a separate report. xii) Out of 44 recommendations given by Parliament on two (2) Treasury Memoranda of central Government for the FYs 2014/15 and 2020/21, 12 recommendations were fully implemented, 14 were partially implemented, while 18 were not implemented at all.
Directorate of Ethics and Integrity (DEI)	Community mobilization and mindset change	Qualified	i) Funds amounting to UGX.201.7Mn were irregularly diverted from budgeted activities and spent on other activities without seeking and obtaining the necessary approvals. ii) The entity did not account for UGX.294.4Mn relating to IMF Structural

	Governance and Security		Benchmarking funding by the time of the audit. iii) Out of the approved staffing level of 153, the Directorate has only 66 (43%) positions filled, leaving a staffing gap of 87 (57%). iv) A sum of UGX.1.349Bn which could have been paid directly to the intended beneficiaries was paid to staff personal accounts. v) The evaluation of 13 bids amounting to UGX.0.217Bn reviewed did not adhere to evaluation criteria. vi) Review of 30 procurements worth UGX.2.166Bn revealed that the Accounting Officer did not appoint contract managers. vii) Procurement delays at various stages were noted for procurements with a total value of UGX.1.293Bn.
Ministry of Health (MoH)	Human Capital Development	Unqualified	i) The Ministry's domestic arrears increased from UGX.6.796Bn in FY 2020/21 to UGX.72.878Bn in the FY 2022/23 (representing 972.4% increase) with a slight decrease of 9.6% in the year under review. ii) UGX.17.133Bn was transferred to the Hospital (Emergency – Life support for Civilian War Victims) as financial contributions to annual running costs of the project. However, whereas the Monitoring and Evaluation procedures required MoH and the MoFPED representatives to verify the expenditures related to the government contributions through audit visits, I was not provided with supervision reports for audit verification. iii) Whereas the Ministry has an internship committee that manages the placement of interns, it does not have a formal policy on medical internships. The available policy is still in draft form. iv) The Ministry conducted 391 procurements worth UGX.31.418Bn during the FY 2023/24. Despite the high utilization of the e-GP system, 4 procurements worth UGX.0.680Bn were conducted outside the system. I also noted that the Ministry initiated 21 procurements worth UGX. 0.276Bn for the supply of laptops, desktops, mini-computers and printers instead of making a single procurement. None of the sampled procurements made through the e-GP system had scanned signed contract documents uploaded. v) I assessed the management of Parish Development Model (PDM) and noted that the Ministry only aligned 2 out of the 5 pillar working group activities in the annual work plan. vi) I carried out an assessment of the formulation of policies and legislation in accordance with the mandate of the Ministry and noted that several Bills were at various stages of development and

			approval. The Ministry was still conducting consultations with stakeholders to discuss the Principles of the Bill for the Health Professional Council Authority Bill, 2021 and Assisted Reproductive Health Bill, 2022. vii) Legislations such as the Public Health (Amendment) Act, 2021, The Mental Health Act (2019), The Uganda Human and Organ Transplant Act, 2022, Traditional and Complementary Medicine Act, 2019 and the HIV Prevention and Control Act, 2014 were being implemented without relevant regulations. viii) There were laws that required review and update to identify key gaps in improvement and implementation and these included; The Uganda Cancer Institute Act, 2016, Uganda Heart Institute Act, 2016, The Tobacco Control Act, 2015, The Occupational Safety Health Act, 2006, The Medical and Dental Practitioners Act, The Allied Health Professionals Act, 1996 and Nurses and Midwives Act, 1996. ix) The following policies required review and update; Community Health Extension Workers National Policy, 2018, National e-Health Policy 2016, National Medicines Policy, 2015, Uganda National Malaria Control Policy. 2011, National Child-Focused Policy Research Agenda (2016–2020), Uganda Human Resources for Health Policy, 2006, National Policy on Public Private Partnership in Health, 2012, Adolescent Health Policy for Uganda, 2004, Uganda Food and Nutrition Policy, 2003 and Uganda Sanitation and Hygiene Policy, 1997. x) The Ministry had an approved budget of UGX.242.543Bn out of which UGX.216.017Bn (89%) was warranted resulting in a shortfall of UGX. 26.527Bn. The shortfall related to payment of contract staff salaries, payment of allowances, Procurement of medical supplies and services, upgrade of 43 health centers among others. xi) Out of the total warrants of UGX.216.017Bn, UGX.214.229Bn was utilised leaving a balance of UGX.1.782Bn which was meant for activities such as employee costs like salaries, allowances, contributions to NSSF, payment of gratuity, acquisition of furniture and fittings. xii) I assessed the extent of implementation of outputs/activities and noted that Eight (8) outputs were fully implemented while ten (10) outputs were partially implemented.
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			xiii) The Ministry did not prioritize planned activities like setting up 12 regional ambulance hubs with ambulance spots in all Health sub-districts, establishing and functionalizing a centre of excellence for trauma at national level (Paediatric Surgical Hospital, CUFH Naguru), construction of General Hospitals in Rubaga Division and Wakiso District and construction of 2 blood banks in Soroti and Jinja xiv) The Ministry had only acquired 276 (53%) of the required 516 ambulances for delivery of EMS services leaving a gap of 240 (47%). xv) There was underutilisation of the medical equipment procured during the Covid 19 period, particularly in Entebbe RRH and Kisenyi HCIV. Physical inspection of three (3) ambulances stationed at the Naguru Trauma Dispatch and Call centre revealed that some of the equipment in the road ambulances such as oxygen humidifiers and air conditioning systems were non-functional while other equipment was missing. I also noted that the Ministry only received UGX.1.8Bn out of the required UGX.20Bn for maintenance. xvi) Maintenance of Ministry vehicles and ambulances is not entirely funded by the Government of Uganda (GoU). Instead, it relies on multiple sources such as UCREPP, the Global Fund, and CDC. xvii) I undertook a special audit of the pension payroll and issued a separate report. xviii) The Ministry implemented ten (10) Donor-Funded projects during the year out of which nine (9) projects were audited and separate reports issued. One will be audited in January 2025.
Ministry of Internal Affairs (MIA)	Governance and Security	Unqualified	i) A review of the progress of implementation of the rationalisation of the NGO-Bureau revealed that MIA had not yet developed a customized strategy while the future of the temporary staff remained uncertain. The counselling and retirement training support for staff was not provided. ii) The Ministry had a budget shortfall of UGX.0.8Bn which was meant for acquisition of computers, printers and photocopiers, procurement of assorted furniture, baggage scanners and renovations of the Amnesty Commission building. iii) Five (5) activities worth UGX.0.5Bn were partially implemented, while three (3) activities worth UGX.0.2Bn remained unimplemented, even when the funds required for implementation were released. iv) There has been a 12% decrease in the number of community service orders issued, from 16,605 orders in FY 2021/22 to 14,593 in FY

			2023/24. This implies that the objective of reduced congestion in prisons through the utilisation of the non-custodial sentencing option may not be achieved. v) Whereas the District Community Service Committees are operational in 143 districts, only 82 District Community Service Committee meetings were held in 56 districts (representing a coverage of 39%). vi) Trafficking of persons has generally been increasing which poses a security threat to Uganda's residents, results in exploitation, and increases vulnerability and public outcry. vii) The government does not have shelters for victims of trafficking. Instead, the victims are kept in police cells or remand homes for children, even though the victims of trafficking in persons are not offenders of the law. viii) The Coordination Office for Prevention of Trafficking in Persons at the Ministry of Internal Affairs faces challenges in repatriating trafficked migrant workers due to workers securing jobs in countries where Uganda does not have bilateral agreements. ix) Four (4) planned procurements worth UGX.237.92Mn were completed off the EGP system. x) Four (4) procurements worth UGX.668.05Bn took on average, three (3) months from initiating a procurement process to contract signing xi) I undertook a special audit of the pension payroll that covered a period from FY 2019/20 to 2023/24 and issued a separate report. xii) I undertook an audit of the two (2) Treasury Memoranda on the Parliamentary resolutions on the reports of the Public Accounts Committee - Central Government on the report of the Auditor General for FY 2015/16 and FY 2020/21 and noted that out of the 22 recommendations given by Parliament, 12 were fully implemented, eight (8) were partially implemented while two (2) were not implemented.
Ministry of Finance, Planning and Economic Development (MoFPED)	Private Sector Development	Unqualified	i) A comparison of the entity's strategic and annual work plans for the last three (3) years revealed that the Ministry had not adequately executed its mandate. For example, the Ministry targeted to achieve GDP growth of 6 to 7% annually by 2024/2025, however, the GDP growth has averaged 3.7% over the Strategic Plan period for 2020/21 to 2024/25. ii) The entity had an approved budget of UGX.2.677Tn out of which UGX.2.388Tn (89%) was warranted resulting in an unwarranted

			amount of UGX.289Bn. iii) The Ministry had outstanding obligations in respect of tax incentives granted by the Government to spur industrial growth amounting to UGX.713Bn at the beginning 2023/2024 and an additional UGX.480Bn was incurred during the year. The Ministry's Top Management decided to transfer Tax arrears of UGX.713Bn to Vote 130 Treasury Operations without appropriate policy and approval. iv) There were delays in the completion of the Ministry building, estimated to be 94% by the end of November 2024, leading to cost escalations. The contract had been varied from UGX.44.2Bn to UGX.93.799Bn. v) The Financial Inclusion Pillar Operations Manual under PDM was neither reviewed nor proposals made for amendments to the manual. vi) The Pillar Working Group budget and work plan did not prioritize the budgets and work plans to accommodate PDM-related activities contrary to the guidance provided. vii) 123 Parishes did not get PDM disbursements despite being gazetted by the Ministry of Local Government (MoLG) in 2022. xiii) The Ministry awarded a contract to a construction company using the direct procurement method at UGX.9.3Bn for renovation works of the Finance and Treasury buildings, including the Perimeter wall, and UGX.2.787Bn was advanced to the contractor in June 2024. The Ministry secured a letter of credit to UGX.5.233Bn set to expire on 31/12/2024, however, six months later, contract implementation had not commenced.
INVITE Project in MoFPED	Private Sector Development	Unqualified	i) Out of the approved project budget of USD 30.175Bn, the project had only drawn USD.7.5Bn (24.7%). ii) The Project utilized UGX.0.63Bn of the approved UGX30.175Bn funding for the financial year leading to unimplemented activities.
Uganda Export Promotion Board (UEPB)	Private sector development	Unqualified	i) As a result of the RAPEX policy shift, UEPB ceased operations effective 30th September 2024, and its operations have been merged into the Uganda Free Zones and Exports Promotions Authority. ii) Contrary to Section 5(a) of the UEPB Act Cap 81, the Board did not maintain up to date price data to facilitate exporters in making informed decisions. iii) Out of the approved budget of UGX.8.2Bn, the total warrants for the year amounted to UGX.6.9 (84%). iv) The entity had total warrants of UGX.6.99Bn out of which UGX.5.56Bn

			had been utilized by the close of the financial year. The balance of UGX.1.41Bn was meant for partially or unimplemented activities due to effects of the RAPEX.
Uganda Hotels and Tourism Training Institute (UHTTI)	Tourism Development	Unqualified	i) Although the PS/ST exempted UHTTI from remitting funds to the Consolidated Fund, there are still efforts put forward for the institute to remit its Non-Tax Revenue to the Consolidated Fund. ii) The Institute has a structure of 168 Approved positions out of which 106 (63%) are filled leaving 62 vacant positions. iii) A significant gap was identified in the organization's training and development resources, highlighting the necessity for a dedicated e-learning platform. iv) A comparison of the entity's strategic and annual work plans and budgets for the last three (3) years with the mandate as stipulated in relevant laws revealed that the entity had not adequately executed its mandate.
Uganda Investment Authority (UIA)	Manufacturing Private sector development	Unqualified	i) A comparison of the entity's strategic and annual work plans for the last three (3) years revealed that the entity had not adequately executed its mandate. ii) The Authority's receivables increased by 0.1% from UGX.21.418Bn in 2022/2023 to UGX.21.443Bn. iii) The Authority had outstanding payables of UGX.1.891Bn relating to unpaid rent, goods and services consumed and property, plant and equipment, which create a risk of litigation and penalties due to payment delays. iv) The approved structure provides for 113 staff positions, out of which only 72 positions (64%) are filled, leaving a gap of 41 positions. v) The Kampala Industrial and Business Park, Namanve (KIBP), located in Namanve, is a 2,200-acre facility partly in Wakiso and Mukono Districts. The land has been allocated to investors for development in various sub-sectors such as Agro-processing, mineral processing, ICT, logistics and freight, warehousing, general manufacturing, and Tourism promotion activities. However, the business park cannot be used optimally because of inadequate infrastructure. vi) The Authority has 27,877.16 acres of land, valued at UGX.454.402Bn based on the historical costs. However, the Authority has not valued the land for over 10 years. There are disputes on some of the Authority's land. vii) I noted a delayed realization of the Presidential Directive on Industrial

			Parks implying delayed investments, which hinder the country's attractiveness as an investment destination.
Ministry of Foreign Affairs (MoFA)	Community Mobilization and Mindset Change, Development Plan Implementation, Governance and Security & Manufacturing	Unqualified	i) The Ministry's position increased by 66% from UGX.42.15Bn in 2022/23 to UGX.69.93Bn in 2023-24, out of which 98.6% related to contributions to international organizations. There was no budget allocation for settlement of payables during the year. ii) 23 Missions received UGX.12.81Bn from programmes for which Missions have no contribution as per the NDP III. iii) From a sample of 12 Missions, management recruited 144 local contract staff earning annual salaries amounting to UGX.14.07Bn, without approval by the Permanent Secretary of MoFA. iv) Uganda's Embassy in Algiers was operating without local contract staff which subsequently affected the operations of the Mission in achieving its mandate objectives. v) Seven (07) Missions paid out UGX.1.30Bn to the Mission/Embassy officials travelling from their duty stations to undertake Mission activities within the host country using rates for travel abroad to cater for their allowances. vi) Only 10 out of 38 Missions received capital development funding amounting to UGX.51.67Bn in the FY 2023/24, despite urgent need for capital development by the other 28 Missions. vii) I reviewed the progress of on-going construction works and noted that some projects were behind schedule. viii) The Ministry does not have a policy on management of diaspora for both in and out of the country. ix) For the last four (4) years, the Ministry had planned to open Missions in South Korea and Brazil as a way of promoting Uganda's interests in these regions, but these have not been opened due to funding challenges. x) The Ministry had an approved budget of UGX.30.46Bn, out of which UGX.30.44Bn was warranted resulting in a shortfall of UGX.17Mn meant for ICT equipment at Arusha Consulate. xi) Out of the total warrants of UGX.30.44Bn, UGX.29.59Bn was utilized leaving a balance of UGX.848Mn meant for gratuity, pension and maintenance of equipment which activities were not implemented. xii) The Ministry work plans uploaded in the Programme Budgeting System (PBS) had costs at output level, but these were not supported by activity costs.

			xiii) Out of the sampled 23 outputs with 253 activities worth UGX.28.59Bn, 10 outputs with 42 activities worth UGX.1.98Bn were fully implemented while 13 outputs with 211 activities worth UGX.26.61Bn were partially implemented. xiv) I undertook a special audit of the pension payroll covering a period from FY 2019/20 to 2023/24 of the ministry and issued a separate report. xv) I conducted an audit of the Treasury Memoranda on the Report of the Public Accounts Committee for the financial years 2014/2015, 2015/2016 and 2020/2021 and noted that out of the 27 recommendations issued, four (04) recommendations were fully implemented, nine (09) were partially implemented, while 14 were not implemented.
Ministry of Trade, Industry and Co-operatives (MoTIC)	Agro-industrialization, Manufacturing & Private Sector Development	Unqualified	i) UGX.1.165Bn was earmarked for renovation of office space at the Ministry, was remitted to Management Training and Advisory Centre (MTAC), for utilisation as part of their Development Budget funding. ii) Planned procurements worth at UGX.2.45Bn were not implemented. iii) A comparison of the entity's strategic and annual work plans for the last three (3) years revealed that the entity had not adequately executed its mandate. iv) Out of the approved budget of UGX.189.7Bn, the total warrants for the year amounted to UGX.166.24Bn (87%) resulting in a shortfall of UGX.23.45Bn. v) I assessed the extent of implementation of 15 outputs with 112 activities worth UGX.26.16Bn and I observed that 4 outputs with 21 activities and expenditure of UGX.3.67Bn were fully implemented, while 11 outputs with 91 activities worth UGX.9.42Bn were partially implemented. vi) I undertook a special audit on the utilization of the supplementary budget for renovation funds for the FY 2021/2022 and included the findings in the Ministry's report for the year ended 30th June 2024. vii) I undertook a forensic audit on the funds released from the Ministry for Buyaka Growers Cooperative Society and issued the report to the requester. viii) I undertook a special audit of the pension payroll that covered a period from FY 2019/20 to 2023/24 and issued a separate report.

Uganda Post Limited (UPL)	Digital Transformation	Qualified	i) UPL reported Non-Current Assets amounting to UGX 93.817Bn, which significantly varies from the Chief Government Valuer's valuation, indicating a potential misstatement. It is also important to note that the CGV did not value all the property. ii) There were unresolved property disputes and contestation of ownership of land that led to refusal by UTCL to pay rent for the occupied office space and telephone masts, which led to UTCL owing Posta over UGX.4.5billion in accumulated rent. iii) The Company had accumulated payables of UGX.19.51Bn by the end of 2023/2024 which creates a risk of litigation and payment of penalties and fines arising from delayed settlement. iv) The Company's receivables reduced by UGX.1.3Bn from UGX.15.78Bn in the year 2022/2023 to UGX.14.71Bn in 2023/2024, which represents an idle asset that would have been put to use. v) Out of the 252 positions in the staff establishment, 151 positions (64%) were filled, leaving 100 vacant, including key positions such as Manager Security and Investigations, Manager Finance, Head of Mail and Commercial Services, among others.
Uganda Tourism Board (UTB)	Tourism development	Unqualified	The entity had an approved budget of UGX.27.33Bn out of which UGX.27.107Bn (99.18%) was warranted resulting in a shortfall of UGX.0.223Bn. Out of the total warrants of UGX.27.10 Bn, UGX.26.453 Bn was utilized leaving a balance of UGX.0.654Bn which affected the implementation of planned activities. Analysis of annual budget for the FY 2023/2024 and the strategic plan 2020/21-2024/25 forecasts indicated a 37.25% variance in the funding requirements for the year under review to implement activities to deliver strategic planned objectives. Contrary to the requirements of the Tourism Act, Cap.82, the Board had not yet established the Tourism Fund, leading to failure to meet its intended goals.
National Population Council (NPC)	Community mobilization and mindset change Human capital development	Unqualified	i) NPC ceased operations effective 30th September 2024 as its operations have been merged into the National Planning Authority (NPA). ii) A comparison of the entity's strategic and annual work plans for the last three (3) years revealed that the entity had not adequately executed its mandate. iii) The entity recognized its historical tangible assets worth UGX.1.549Bn

			for the first time which increased its total assets to UGX.2.009Bn. The values were based on original historical costs without revaluation. iv) Out of the approved budget of UGX.12.024Bn, UGX.10.291Bn was warranted, resulting in a shortfall of UGX.1.733Bn. v) Out of UGX.10.291Bn warrants, 10.256Bn was utilized leaving a balance of 0.034Bn. vi) NPC operationalized the National Data Bank that was developed at a cost of UGX8.474Bn in June 2024. However, the link to the databank on the website that was to redirect users to the actual databank was non-functional by the time of the audit.
Uganda Revenue Authority (URA)	Development Plan implementation	Unqualified	i) Revenue collections increased by 16.5% and 8.5% in the financial years 2022/2023 and 2023/2024 respectively. ii) URA collected UGX.27.938Tn (93%) against a target of UGX.29.856Tn for the financial year 2023/24 resulting in a revenue shortfall of UGX.1.917Tn. iii) As of June 2024, unpaid Government-related tax waivers amounted to UGX.713.471Bn. iv) There were 603 instances where motor vehicles had varying information at IM4 and IM7; of these 27 vehicles had the years of manufacture changed, 4 had their condition changed, 568 had changes in price at the two different levels of clearance, while 3 vehicles had their chassis numbers changed at IM7 and IM4.
Uganda Revenue Authority (URA) Corporate	Development Plan implementation	Unqualified	i) URA had a cash balance of UGX.46.6Bn as at 30th June 2023 on the Expenditure Account, but only UGX.4.3 Bn was transferred to the UCF implying utilization of expired appropriations of UGX.42.3Bn. ii) URA had a cash balance of UGX.26.6Bn as at 30th June 2024 on the Expenditure Account, but had not transferred any amount to the UCF by 30th October 2024. iii) The Authority operates a separate retirement benefits scheme, making an additional contribution of 10% on each employee's salary to this scheme resulting in a total Government contributing 20% towards the retirement benefits of each employee which burdens the Government's financial obligation for employee retirement benefits. iv) URA has an old fleet of vehicles with high repair costs and requires replacement to effectively and efficiently deliver its services. v) URA's bank accounts held in Stanbic Bank Limited were at risk of being garnished as it was in the case of miscellaneous application No. 641 of 2023.

			vi) The Authority awarded multi-year contracts amounting to UGX.53.9Bn without evidence of approval by the Parliament. vii) I assessed the extent of implementation of 11 outputs with 52 activities worth UGX.617.7Bn and observed that Six (6) outputs with 17 activities were fully implemented, while five (5) outputs with 35 activities were partially implemented.
Ministry of Justice and Constitutional Affairs (MoJCA)	Governance and Security	Unqualified	i) I noted that 71 human rights awards, court awards, ex-gratia and compensations ordered by courts worth UGX.1.976Bn remained unpaid for a period ranging from 2 years to over 10 years, which has resulted in additional interest totaling to UGX.159Mn by the end of the financial year 2023/2024. ii) The Ministry may not be adequately prepared for the RAPEX, given their lack of a clear and comprehensive strategy discussed and agreed upon by the Commission's Board, pending legal issues, and transparency regarding managing human and other resources post-merger and is therefore unlikely to anticipate and adequately address the likely challenges. iii) The Ministry had an approved budget of UGX.215.776Bn, out of which UGX.205.727Bn (95%) was warranted, resulting in a shortfall of UGX.10.051Bn. UGX.200.985Bn had been utilised by the close of the financial year. iv) I assessed the extent of implementation of activities for which funds were availed and utilised and noted that eight (8) outputs with 39 activities and expenditure worth UGX.2.719Bn were fully implemented while seven (7) outputs with 80 activities worth UGX.37.022Bn were partially implemented. v) I noted that the MoJCA installed mobile shelves and procured TVs for the server room, but these items were not included in the year's procurement plan. vi) While Government has adopted various programmes such as the Peace Recovery and Development Plan (PRDP) and the Presidential directives on monetary compensation of victims of war, there was no assessment of the impact of the intervention of compensation of war debt claimants even though UGX.119.829Bn had so far been paid out to verified claimants. vii) The Ministry's procurement plan, extracted from e-GP was not detailed as it presents a consolidated summary of procurement subjects, listing only the total estimated amounts without specific timelines, itemized

			needs, and resource allocations. viii) There were on average 2 months' delays at contract signing after the Attorney General's approval or after the removal date of the best-evaluated bidder notice, which resulted from e-GP technical challenges. ix) I undertook a special audit of the pension payroll that covered a period from FY 2019/20 to 2023/24 and issued a separate report. x) I reviewed the extent of implementation of the Parliamentary recommendations in the three Treasury Memoranda for the financial years 2014/15, 2015/16 and 2020/21 and noted that out of 29 recommendations by Parliament, 10 were fully implemented, eight (8) were partially implemented, while 11 were not implemented.
Uganda Police Force (UPF)	Governance and security	Unqualified	i) UPF's domestic arrears increased by UGX.14.135Bn from UGX.98.81Bn in FY 2022/23 to UGX.112.953Bn in 2023/24, which shows that the entity faces difficulties settling its outstanding debts. ii) Funds amounting to UGX.1.170Bn meant for acquiring non-residential buildings were irregularly diverted to vehicle maintenance, repairs and feeding, without seeking and obtaining the necessary approvals. iii) UPF completed the construction of regional mechanical workshops in four (4) regions of Arua, Soroti, Mbarara and Gulu at the cost of UGX.6Bn, intended to reduce costs, time and distance taken to deliver vehicles to the central mechanical workshop in Kampala for repair. However, UPF paid UGX.3.963Bn to different service providers for repair and maintenance services. iv) UPF had an approved budget of UGX.905.7Bn, out of which UGX.905.6Bn (99.9%) was released. The shortfall of UGX.0.12Bn was meant for the construction of accommodation for police officers. v) Out of the total budget of UGX.905.7Bn, UGX.158.355Bn was for classified expenditure. UGX.747.07Bn of the total UGX.747.246Bn non-classified warrants was utilized, and the unabsorbed balance of UGX.0.175Bn was meant for pension payments, gratuity and general staff salaries. vi) Despite receiving funds to implement planned activities, UPF partially implemented several activities, mainly construction, training, and land surveys which implies that the intended service benefits were either delayed or not achieved. vii) Despite receiving funds to implement the planned activities, UPF did not undertake the procurement of land, construction of

			accommodation blocks, a Police hospital at Nsambya, and district police stations. viii) UPF planned to ensure the safety of persons and security of property through building an effective territorial policing system using the sub-county policing model piloted in the Masaka Region since 2023. However, UPF does not have sufficient staff to implement the model fully. Whereas the model requires 4,368 motorcycles, UPF only has 952 functioning motorcycles. In addition, UPF lacks sufficient structures to accommodate the model. ix) In 2019, the UPF procured a fixed-wing aircraft at USD.7.84Mn, responsible for critical operations such as medical evacuations, aerial surveillance, and maritime search and rescue, but it has not met its intended objectives. The aircraft's operational costs are high, and the design is unsuitable for non-tarmacked runways which limits its functionality in remote areas. A decision to dispose off the aircraft has been made, pending implementation. x) In the financial year 2021/22, UPF procured equipment worth UGX.1.059Bn to enhance the performance of the Inspectorate of Vehicles department, including equipment for piloting the automation of vehicle inspections at the Naguru IOV station, but these were not yet deployed for use by the time of this audit. xi) The IOV has limited space for use as driver testing grounds, the vehicle inspection lanes are not tarmacked to enable the driver to utilise the road signs, the facility still uses rudimentary tools to identify the end of the testing lanes instead of traffic Cones, the facility's waiting area is not well-furnished with chairs, and has a limited number of motor vehicles for driver testing. xii) UPF has 280 dogs in the police canine unit, however, the dogs are concentrated in Kampala, and the number of dog handlers was not aligned with the other resources, including transport facilities, kennels, and dog handler trainers. In addition, there were no Memoranda of Understanding to guide the collaboration between UPF and other government facilities (MAIIF Labs and district veterinary officers) on which UPF relies for the treatment of dogs. xiii) Out of the 745 incidents reported on water bodies, the Police Marine unit was able to respond to only 210 (28%) incidents, with 323 people rescued and 243 dead bodies retrieved. xiv) The marine unit's workforce has insufficient resources, including
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			finances, skilled manpower and boats which resulted into poor maintenance of the marine vessels. 18 out of the unit's 60 vessels were non-functional and the unit does not have a well-constructed Marina. xv) There were significant delays in acquiring land titles. 118 land parcels surveyed in 2020/21 did not have titles at the time of audit. xvi) Some of UPF's land such as Kabalagala, Nakawa, and Pallisa police stations is encumbered, while land in prime locations such as Kireka, Nsambya, Jinja, Mbarara and Arua Police Barracks is not developed or secured through fencing. xvii) I undertook a special audit of the pension payroll that covered a period from FY 2019/20 to 2023/24 and issued a separate report. xviii) Out of 12 recommendations given by Parliament in the two (2) Treasury memoranda on the report of the Public Accounts Committee for financial years 2015/16 and 2020/2021, five (5) recommendations were fully implemented, six (6) were partially implemented, and one (1) was not implemented.
Fisheries Training Institute (FTI)	Agro-Industrialization	Unqualified	i) The Institute had outstanding receivables of UGX.355Mn as at the end of the FY 2023/2024 which was an increment of 556% from the prior year (2022/2023) receivables balance of UGX.54Mn. ii) The Institute's arrears significantly increased from UGX.27Mn to UGX.328Mn. iii) The Institute made unjustified direct procurements worth UGX.0.153Bn which exposed it to the risk of uncompetitive prices. iv) The Institute budgeted to collect NTR of UGX.0.459Bn during the year and collected UGX.1.809Bn representing a 394% performance. v) Out of the GoU approved budget of UGX.2.9Bn, funds amounting to UGX.0.89Bn were released resulting in a shortfall of UGX.2.01Bn representing a 31% performance. vi) Out of the total available funds to the Institute during the year worth UGX.3.349Bn, funds amounting to UGX.3.342Bn were utilized leaving an unspent cash balance of UGX.0.007Bn. vii) I sampled six (06) activities worth UGX.1Bn for performance assessment and observed that none of these activities was appropriately quantified and as such I was not able to undertake the assessment. viii) I noted delays in transfer of subvention funds from MAAIF to FTI of up to three and a half (3½) months from the date of receipt of the

			quarterly release by MAAIF.
Mulago National Referral Hospital (MNRH)	Human Capital Development	Unqualified	i) The hospital's receivables increased by UGX.0.38Bn (115%) from UGX.0.33Bn at the end of the previous year to UGX.0.71Bn in 2023/2024. No collection was made during the year under review. ii) The Hospital made payments amounting to UGX.5.096Bn (UMEME Ltd-UGX.2,096Bn and NWSC (UGX.3Bn) during the year without supporting bills/invoices. iii) Works for which UGX.2.465Bn advance payments were made had not yet been executed despite expiration of the advance payment securities. iv) The physical inspection of the utilisation of the installed modules of the Integrated Health Management System (IHMS) that was rolled out to the Hospital in 2017 revealed that; a) The billing/accounts module was not in use in the Private Inpatients Ward 6B and the billing was being done manually. b) The laboratory module was not in use reportedly due to having been not synchronized with the laboratory system provided by the manufacturers of the laboratory equipment. c) The Pharmacy module, which was meant to be used for recording and tracking of the movement and utilization of the medicines and health supplies was not in use. v) A total of UGX.1.391Bn that was deducted from staff salaries was not remitted to the respective beneficiaries. vi) Out of the staff establishment of 2351, 1369 (58%) positions were filled leaving a staffing gap of 983 (42%). vii) The adults' ICU has a bed capacity of 44 beds but only 20 (45%) were utilised representing underutilisation. viii) The hospital had an approved budget of UGX.129.078Bn out of which UGX.128.948Bn (99.9%) was warranted resulting into a shortfall of UGX.0.130Bn. UGX.15.414Bn of the warrants meant for salaries, pension and Heavy ICT Hardware improvement were not utilised. ix) Out of a total of 09 outputs with 110 activities worth UGX.35.161Bn assessed, three (03) outputs with six (06) activities and expenditure of UGX.13.158Bn were fully implemented while six (06) outputs with 104 activities worth UGX.22.003Bn were partially implemented. x) Out of the 16 sampled activities, four (04) activities worth UGX.1.350Bn

			had delays averaging four (04) months from the expected delivery date. xi) I carried out a special audit on the gratuity and pension payroll for the period 2019/2020 to 2023/2024 and issued a separate report.
Butabika National Referral Mental Hospital	Human Capital Development	Unqualified	i) The hospital had not integrated the revenue billing system to the medical system as well as delayed enrolment of the e-AFYA system. ii) The Hospital had an approved budget of UGX.22.720Bn out of which UGX.21.464Bn (94.5%) was warranted. The shortfall of UGX.1.257Bn affected implementation of activities such as acquisition of vehicles and office equipment, Digital X-ray machine, small medical equipment- Treatment trolleys, weighing scales and wheelchairs. iii) Out of the total warrants of UGX.21.464bn, the Hospital had utilized warrants worth UGX.20.254bn by the close of the financial year. iv) I observed that, apart from activities under administrative services that were individually costed, the budgets for the other Hospital outputs were not supported with individual activity costs. v) I assessed the extent of implementation of eleven (11) outputs worth UGX.20.254Bn and noted that four (4) outputs with 14 activities were fully implemented, seven (7) outputs with 37 activities had sixteen (16) activities fully implemented, eleven (11) activities partially implemented while ten (10) activities were not implemented. vi) I reviewed the delivery of services and noted insufficient rehabilitation capacity at the rehabilitation unit, long stay of patients, high doctor to patient, and nurse to patient ratios. vii) I reviewed the management of essential medicines and health supplies and noted delays in the supply of medicines by NMS and a shortfall in supplies by NMS. viii) I undertook a special audit of the pension payroll and an audit of the Treasury memorandum for the health sector entities for the financial year 2014/15 and issued separate reports.
Uganda National Airlines Company Limited (UNACL)	Integrated Transport and Infrastructure Services	Unqualified	i) The company incurred a net loss of UGX.237.854Mn in 2024, a 25.6% improvement from the UGX.324.940Mn loss in 2023. Sustained losses threaten financial sustainability and shareholder value. ii) Contingent liabilities of UGX.11.94Bn (USD 3.15Mn) were disclosed, primarily relating to pending court cases which expose the company to significant legal costs, potentially straining financial resources. iii) Some GSAs were awarded contracts without advance payment guarantees, exposing UNACL to financial risks. Outstanding balances from GSAs totalled USD 158,876 (UGX.588.79 Mn) without guarantees

			in place. iv) GSAs transacted with UNACL after contract expiration, generating USD 378,143.34 (UGX.1.43Bn) in sales, with 22.1% (USD 708,692 or UGX.2.68Bn) outstanding as of 30th June 2024. v) Contracts worth UGX.7.42Bn experienced significant execution delays. vi) No regular performance appraisals and progress reports by contract managers were submitted for contracts worth UGX.4.075Bn, which contradicts the PPDA regulations. vii) I noted that key strategic objectives, such as marketing improvement, route network expansion, and customer engagement underperformed. viii) Out of the approved UGX.593.84Bn budget, UGX.542.21Bn (91.3%) was realised, leaving a shortfall of UGX.51.64Bn. ix) Of the 19 outputs with 53 activities worth UGX.456.2Bn assessed; only 5 activities (UGX.269.8Bn) were fully implemented, 26 (UGX.96.6Bn) partially implemented, and 22 (UGX.89.88Bn) not implemented. x) A forensic audit on cabin crew training costs was conducted following a request by the Inspectorate of Government (IGG). The following were the key findings; a) UNACL had a training manual approved by UCAA, outlining procedures and compliance standards for cabin crew training. b) The first phase of training (USD 32,000) was rejected by UCAA due to non-compliance with regulatory requirements, such as unapproved training venues, insufficient course hours, and missing mandatory content. c) The second phase (USD 36,400) of the training met UCAA standards. d) The third phase (USD 80,000) of the training conducted as a refresher, was approved by UCAA and addressed earlier deficiencies. e) The total training cost was USD 148,400. There was no sufficient evidence found to classify these costs as financial loss. xi) An audit of the Treasury Memorandum for FY 2020/2021 assessed the implementation of Parliamentary recommendations. Of the 18 recommendations, 12 were fully implemented, and 6 were partially implemented, resulting in a compliance rate of 66.7%.
Uganda Railways Corporation (URC)	Integrated Transport and Infrastructure Services	Unqualified	i) UGX.1.151bn relating to deducted PAYE remained outstanding as 30th June 2024. ii) Uganda Railways Corporation (URC) incurred a net loss of

			UGX.36.345Bn in FY 2023/2024, an increase of UGX.1.169Bn (9.2%) from the previous year's loss of UGX.35.176Bn. iii) The Return on Assets (ROA) has remained negative, declining further to -0.933% in FY 2023/2024 from -0.81% in FY 2022/2023, signaling underutilization of assets and poor operational efficiency. iv) The liquidity ratio reduced from 2.78 times in FY 2021/2022 to 0.72 times in FY 2023/2024, indicating a liquidity crisis driven by a sharp increase in current liabilities (UGX.64.56Bn in FY 2022/2023 to UGX.152Bn in FY 2023/2024). v) The total arrears from tenants with expired agreements amounted to UGX.1.6Bn as of 30th June 2024. vi) The URC has significant gaps in executing its mandate, including incomplete railway restoration, limited passenger service expansion, and inadequate asset protection, undermining strategic objectives and service delivery. vii) Out of the approved budget of UGX.354.2Bn for FY 2023/2024, only UGX.91.5Bn (26%) was realized, with significant shortfalls in internally generated revenue, GoU development funding, and exceptional income (arrears from MoFPED & UNRA). viii) Out of the approved budget of UGX.354.21Bn for FY 2023/2024, only UGX.91.51Bn (26%) was realized, resulting in a funding shortfall of UGX.262.7Bn. ix) Out of 35 planned activities worth UGX.20.09Bn, 14 were fully implemented, while 21 were partially or not implemented, highlighting inefficiencies in fund utilization and planning. x) Under the procurement for supply of desktops and laptops valued at UGX.119.2Mn, performance security of UGX.11.9Mn (10% of the contract value) was not documented as having been received by the company, contrary to the PPDA Contracts Regulations 2023. xi) I undertook 3 other audits in URC as shown below: - Value for Money audit on the Effectiveness of Provision of Railway Services by Uganda Railways Corporation, - Engineering Audit of Infrastructure Projects of the Uganda Railways Corporation and - Audit of Treasury Memoranda for the financial year 2020/21.
Uganda National Roads Authority (UNRA)	Integrated transport infrastructure and services	Unqualified	i) UNRA's operations have ceased, and its functions have been absorbed by the Ministry of Works and Transport. Management disclosed these developments in Note 1.3 of the financial statements.

			ii) Management disclosed UGX.997.722Bn in payables, with UGX.0.781Bn outstanding for over five years. The delays in settling these obligations resulted in UGX.27.660Bn in interest charges on unpaid Interim Payment Certificates (IPCs) and ten (10) contractors with outstanding IPCs worth UGX.299.32Bn had suspended works as at 30th November 2024. iii) UNRA budgeted UGX.10.308Bn for arrears settlement but utilized UGX.367.824Bn, leading to a diversion of UGX.291.120Bn from planned activities. This reflects inadequate provision for arrears and hinders the Authority's ability to execute planned projects. iv) As of 30th June 2024, UNRA had non-performing LCs valued at UGX.16.794Bn. v) Procurements worth UGX.102.486Bn experienced delays in evaluation, exceeding the timelines specified in Regulation 5 of the PPDA Regulations, 2014. vi) UNRA signed Addendum No.1 for the Kira-Matugga Road project worth UGX.22.089Bn, with significant cost escalations up to 663% for some items. The variations lacked adequate justification and placed an additional UGX.18.72Bn (11.02%) strain on public resources. vii) Direct procurement method was used to award a contract worth UGX.15.79Bn, contrary to PPDA regulations requiring competitive bidding for projects above UGX.0.5Bn. viii) A total of 114 PAPs owning 2.79 acres, valued at UGX.2.367Bn, remain uncompensated which disrupts project timelines and risks additional costs due to disputes. ix) A call-off order worth UGX.2Bn was issued for road maintenance, exceeding the planned cost of UGX.0.07Bn without a funding commitment. As of November 2024, works worth UGX.1.842Bn remained unpaid. x) The approved budget for FY 2023/2024 was UGX.3,002.2Bn, of which UGX 2,661.Bn (88.63%) was warranted. The unwarranted funds of UGX.143.21Bn related to totally unfunded outputs, while UGX.198.024Bn involved partially funded outputs. xi) Out of warrants worth UGX.2,660.92Bn, only UGX.2,409.32Bn was utilized. xii) Seven outputs with 36 activities worth UGX.415.024Bn were assessed. While UGX.84.213Bn worth of activities were fully implemented, UGX.330.811Bn was either partially or unimplemented, indicating
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			inefficiencies in fund utilization and procurement processes. xiii) UNRA received UGX.229.51Bn in supplementary funding, but UGX.53.68Bn was utilized without formal approval from the Minister as required by financial regulations. xiv) Physical inspections revealed defects in five out of six sampled projects worth UGX.236Bn. Issues included impassable road sections, poorly compacted gravel, and inadequate drainage systems. xv) UNRA delayed the completion of 22 road projects valued at UGX.63.912Bn, increasing administrative costs and denying citizens access to essential infrastructure. xvi) Of the UGX.324.903Bn budgeted for land acquisition, only UGX.276.226Bn was utilized to compensate 5,068 PAPs which left some PAPs uncompensated. xvii) Stations like Gulu, Arua, Kitgum, and Luwero achieved only 30.7% (507 km of planned 1,650.6 km) road maintenance due to funding shortfalls. Similarly, Jinja station failed to finalize construction of stores due to a UGX.0.478Bn shortfall. xviii) I audited the Treasury Memorandum for the financial year ended 30th June 2021 and noted that out of 14 parliamentary recommendations, 29% were fully implemented, 7% partially implemented, and 64% not implemented, highlighting significant gaps in compliance. xix) UNRA was implementing 10 donor-funded projects during FY 2023/24, out of which 9 were audited and separate reports issued. One audit is still in progress.
Contingencies Fund	Development plan implementation Governance and security	Unqualified	i) The approved budget for the financial year FY2022/23 was UGX.52.547Tn, which would have translated into UGX.262.738Bn funding, for the Contingencies Fund for 2023/24. However, Parliament had only appropriated UGX.171Bn (65%) to the fund, leading to a deficit of UGX.91.738Bn. Only UGX.88.508Bn (51%) was released to the Contingencies Fund for emergencies.
Uganda National Bureau of Standards (UNBS)	Agro-industrialization Manufacturing Private sector development	Unqualified	i) The Bureau had an approved budget of UGX.60.042Bn (94%) out of which UGX.56.717Bn was warranted resulting in a shortfall of UGX.3.325Bn. ii) I assessed the extent of implementation of eight (8) outputs with thirty-four (34) activities for which UGX.56.711Bn and noted that Four (4) outputs with thirteen (13) activities were fully implemented while four (4) outputs with twenty-one (21) activities were partially implemented.

			iii) Domestic arrears increased by 101% from UGX2.467Bn at the end of the previous year to UGX.4.952Bn at the end of FY 2023/2024. iv) Planned procurements worth UGX.2.238Bn were not implemented due to delays in initiation and underfunding. v) There is an oversight vacuum at the Bureau, because the National Standards Council was dissolved on 8th October 2024. As a result, several policies and standards have remained in draft form and others have not been initiated. vi) UNBS failed to conduct Annual Audits of Service Providers that may lead to substandard products being cleared by the agents. vii) The PVoC service providers failed to implement the UNBS Capacity Building and Knowledge Transfer Initiative contrary to PVoC contract agreement. Implying UNBS may not have staff available in future to undertake PVoC activities in the event the programme is reverted to GoU. viii) Some commodities were released by the Bureau to the market due to lack of capacity to test the commodities, creating a risk of releasing sub-standard products to the market. ix) The Bureau failure to develop standards for certain imported commodities due to understaffing. This could have led to the release of substandard products onto the market. x) I noted delays by the Bureau to destroy seized substandard items/products. This creates a risk of the release of substandard products to the market. xi) I noted the inadequate presence at Border Posts by UNBS with only 27 out of the 170 border entry points manned. This was attributed to understaffing.
National Drug Authority (NDA)	Human Capital Development	Unqualified	i) I noted that the Authority had long outstanding receivables of UGX.58.706Bn out of which UGX.58.388Bn (99%) were due from Ministry of Health. ii) I noted long outstanding payables of UGX.0.063Bn owed to 8 creditors. These have been outstanding for over 2 years. iii) NDA had an approved expenditure budget of UGX.105.192Bn out of which UGX.83.697Bn (79.6%) had been utilised by the close of the financial year. The balance UGX.21.494Bn was meant for activities which were either partially or not implemented at all. iv) I assessed the implementation of thirty-four (34) activities with a total of 312 outputs worth UGX.83.694Bn and noted that eight (8) activities

			with 21 outputs were fully implemented; twenty-five (25) activities with 287 outputs were partially implemented while one (1) activity with four (4) outputs was not implemented. v) Out of the 16 planned modules of the Integrated Regulatory Information Management System (IRIMS), only 5 modules (representing 31%) were fully functional while the remaining eleven (11) modules (representing 68%) although developed were still undergoing progressive roll-out. vi) The Authority completed the construction of the 12-floor Tower in December 2023, however, by the time of audit inspection, the Authority had occupied 3 floors of the tower for administration. The unoccupied floors were meant to house the Pharmaceutical, microbiology and Vaccines laboratories. vii) I reviewed the performance of the pharmacovigilance unit over a 3-year period in providing feedback and noted that out of the total of 273 Adverse Drug Reaction (ADR) complaints received only 113 were within the prescribed Service Delivery Timeline (SDT) of 18 days, 63 exceeded the expected SDT with feedback period ranging from 19 to 84 days; while 97 lacked feedback dates. viii) I reviewed Authority's Post market surveillance (PMS) complaints register and noted that out of the 100 complaints, 20% were acknowledge beyond the prescribed five (5) days, 76% were within the SDT, while 4% were never acknowledged. I further noted that out of the 100 complaints, the Authority provided feedback on 43% beyond the prescribed SDT of 20 days with an average delay of 133 days; 10% complaints fell within the SDT while feedback on 47% was not documented.
Africa Institute for Strategic Animal Resource Services and Development (AFRISA) Project (MUK) - 30th June 2023	Human Capital Development Programme	Unqualified	i) There was no approved strategic plan, work plan and budget for the period under review, and the Project management did not prepare quarterly performance reports. ii) I noted non-compliance with the meeting pattern by the Board, staff, departments and the committees, as required by Section 3.3 of the AFRISA Operations Manual, 2018
Italian Support to the Uganda Health Sector Strategic Plan (UHSSP) III and the	Human Capital Development	Unqualified	i) I compared the cumulative disbursements of project funds as at 30th June 2024 against the project financing agreement and noted that the cumulative Government of Uganda (GoU) counterpart disbursements to-date exceeded the expected amount by UGX.0.234Bn.

Peace, Recovery and Development Plan (PRDP) for Northern Uganda - Karamoja Region Staff Housing Project (KRSHP) Phase I			ii) The Project had an approved budget of UGX.2.967Bn for the financial year 2023/24. A total of UGX.2.521Bn was available for spending comprising receipts from GoU in respect of counterpart funding (UGX.0.404Bn) and Euros 504,020 (UGX.2.117Bn) as Cash and bank balances brought forward from the previous financial year. iii) Out of the total available funds of UGX.2.521Bn, only UGX.1.162Bn (46%) was spent leaving an unspent balance of UGX.1.359Bn unutilized. iv) 13 of the planned 17 staff houses/blocks were completed leaving 4 staff houses/blocks (8 Units) at 2 sites uncompleted, namely, Karita HCIII – 4 units (Amudat District) and Lemusui HCIII – 4 units (Nabilatuk).
Italian Support to Uganda Health Sector Development Plan (USDP) - Karamoja Infrastructure Development Project (KIDP) Phase II	Human Capital Development	Unqualified	i) I compared the cumulative disbursements of project funds as at 30th June 2024 against the project financing agreement and noted that the cumulative disbursements to the project were in accordance with the financing agreement, although the disbursement was delayed by twenty (20) months. ii) I noted that two (2) activities namely, construction works, rehabilitation and upgrade of health facilities; and procurement of assorted medical and laboratory equipment for 10 Health Centers, 2 ambulances, 5 supervision vehicles and 18 motorcycles valued at UGX.18.049Bn had not been fully implemented by close of the year. However, medical equipment had been procured for 9 out of the 10 Health facilities. iii) The Project had an approved budget of UGX.21.263Bn for the financial year 2023/24 out of which UGX.20.923Bn (98%) was available for spending resulting in a shortfall of UGX.0.340Bn. iv) Out of the total available funds of UGX.20.923Bn, only UGX.0.410Bn (2%) was spent, resulting in unspent balance of UGX.20.513Bn.
Uganda-Spain Debt Swap (Rehabilitation of Kawolo & Busolwe General Hospitals) Project	Human Capital Development	Unqualified	i) The financial statements for the financial year ended 30th June 2024 were submitted in December 2024 past the statutory deadline of 31st August. ii) The expected cumulative disbursement of USD.17.37Bn from the donors had been received as at 30th June 2024. However, there was a shortfall of USD.0.28Mn in respect of the expected GoU counterpart funding. iii) Cumulative for the 21 planned activities at Busolwe General Hospital were yet to be achieved. iv) The Busolwe General Hospital project had an approved budget of USD. 2.841Mn for the financial year 2023/24 and all the funds were released.

			However, only USD.2.624Mn (92%) had been spent resulting in an unspent balance of USD.0.217Mn. Physical progress at Busolwe hospital was at 67% by close of the year under review.
National Environment Management Authority (NEMA)	Natural Resources, Environment, Climate Change, Land, and Water	Unqualified	i) Domestic arrears amounting to 0.177Bn were paid but not budgeted ii) Included in the receivables of UGX0.12.5Bn are long outstanding debts of UGX.11.87Bn from the previous financial year iii) The term of the Current Board of directors expired in May 2024 and by the time of this report had not been renewed. iv) NEMA lacked a centralized database on the record of compliance certificates and licenses issued in the prior years v) NEMA lacked a tracking system to monitor the status of all issued permits, including whether their conditions were being met vi) UGX.12.24Bn on the National Environment Fund remained unspent and idle on the account vii) Audit revealed that procurements of laptops and desktops were split viii) NEMA signed a contract for the supply of motorcycles worth UGX.0.06Bn with a bidder without availing performance security ix) Motor vehicles that were overdue for disposal were kept at the Authority Parking Yard x) Out of the approved budget of UGX.42.29Bn the total warrants for the year amounted to UGX.39.89Bn, out of which UGX.35.67Bn had been utilized by the close of the financial year xi) Four (4) outputs with (29) activities and expenditure worth UGX.20.28Bn were fully implemented, while three (3) outputs with eighteen (18) activities worth UGX.9.66Bn were partially implemented. xii) I conducted a Value for Money audit on the monitoring and enforcement of air quality standards in selected cities in Uganda by the NEMA, and issued a separate report. xiii) An Audit of the Treasury Memorandum was undertaken in the entity xiv) A total of seven (7) projects were audited in the entity.
Adaptive Environment Monitoring Networks for East Africa (AdEMNEA) Project (MUK) for the Period 1st Jan 2023 to 31st Dec,	Human Capital Development Programme	Unqualified	There were no reportable issues

2023			
Building Resilient Communities through inclusive Education in Eastern Africa (RESILIENT Project) (MUK) for the period ended 31st Dec 2022	Human Capital Development	Unqualified	i) Out of the received grant of USD 417,721.85, only USD 238,868.68 was utilized, leaving unspent funds amounting to USD 178,853.17. ii) Out of five (5) outputs with a total of twenty-two (22) activities, only two (2) outputs with eight (8) activities were fully implemented while three (3) outputs with fourteen (14) activities were partially implemented.
Building Resilient Communities through inclusive Education in East Africa (RESILIENT Project) (MUK) for the period ended 31st Dec 2023	Human Capital Development	Unqualified	There were no reportable issues
Agricultural Cluster Development Project (ACDP)	Agro-Industrialization Programme	Unqualified	i) Out of the expected total donor disbursement of UGX.557Bn, the project received UGX.548Bn (98%). Out of the total expected GOU receipts of UGX.8.52Bn, the project received UGX.7.98Bn (94%). This affected project performance and achievement of the overall project objective/target. ii) Out of the cumulative disbursement of UGX.555.4Bn, UGX.513.5Bn was absorbed as at 30th June 2024. I sampled seven (7) activities worth UGX.339.81Bn (61% of disbursed) and noted that targets for one (1) activity worth UGX.2Bn was fully achieved while targets for the remaining six (6) activities worth UGX.337.80Bn were all partially achieved. iii) The project planned to provide matching grants to 300 Area-based Commodity Cooperative Enterprises (ACCES) and 3000 Rural Producer Organizations (RPOs), however, only 208 (70%) ACCES and 150 (5%) RPOs were provided with matching grants. iv) Out of the 358 matching grant facilities, 263 were functional while 84 were non-functional due to lack of power on site, delayed equipment delivery and partial delivery of equipment by contractor despite substantial payments.

			v) There was limited capacity of the 205 grantees to run and maintain the 3 phase electricity networks and generators due to high electricity commercial tariff rates and costs of running the generators. vi) There was limited capacity of the 358-value addition and post harvesting equipment grantees to maintain the equipment in the event of breakdown due to the low earnings for these cooperatives. vii) The project planned to rehabilitate 2,799kms of access roads and choke points out of which only 1,104kms (40%) were rehabilitated. The beneficiary local governments lacked corresponding budget allocation for regular maintenance of completed road chokes and as such, will fail to keep these road chocks in a motorable state. viii) The project planned to enroll 450,000 farmers, however, only 411,872 farmers (91.5%) accessed agro inputs. There were unpaid balances for 263,289 farmers worth UGX.3.053Bn deposited with UBA which were yet to be refunded thus exposing the Ministry to possible litigation from the beneficiary farmers. ix) After enrolment, the project planned to create and strengthen 30,000 Small farmer groups out of which 28,237 (94%) groups were created and strengthened. x) The project planned to develop designs for the rehabilitation and expansion of 22 irrigation schemes at USD.5Mn. However, only 18 (81%) prefeasibility studies were undertaken at a cost of USD.0.647Mn. Out of the 18, only five (5) 28% progressed to the feasibility and design stage for which the project spent USD.1.31Mn. xi) Out of the five (5) projects for which feasibility studies and designs were undertaken, only three (3) 60% were completed. xii) The project developed six (6) IT systems at a cost of UGX.15.7Bn, However, the MAAIF lacks an IT management framework and has not operationalised the Business Continuity Plan (BCP) in case of a disaster.
Agriculture Value Chain Development Project (AVCDP)	Agro-Industrialization	Unqualified	i) Out of the expected total disbursement of UGX.319.34Bn, a sum of UGX.185.7Bn (58%) had been disbursed despite one year to the end of the project life. ii) Out of the total disbursed funds of UGX.185.7Bn, the project had absorbed UGX.181.8Bn by the end of the financial year under audit leaving a balance of UGX.3.9Bn on the project account in Bank of Uganda. iii) I sampled 49 activities worth UGX.185Bn and noted that targets for

			20 activities worth UGX.40.15Bn had been fully achieved while targets for the remaining 29 activities worth UGX.146Bn were yet to be achieved. iv) Out of the planned procurements worth UGX.133.48Bn, procurements worth UGX.7.73Bn were not undertaken at all while procurements worth UGX.29.67Bn were not yet finalized as at 30th June 2024. v) I reviewed a sample of six (06) procurements worth UGX.31Bn and noted that the procurements took between three (03) to six (06) months from bid publishing to contract signing and seven (7) to eleven (11) months from bid initiation to actual contract signing. vi) I noted delayed contract implementation for three (3) contracts worth UGX.5.461Bn with delays ranging from 11 months to over a year by the time of my audit on 30th September 2024. These delays related to outstanding maize supplies of 358 tonnes and 5.6 tonnes of pasture seed worth UGX.1.55Bn.
Atomic Energy Council (AEC)	Energy Development	Unqualified	i) In its workplans and budgets, AEC did not prioritise three (3) activities of promoting education and building capacity in nuclear science and technology, development of the structural and architectural designs for the administration block and radiation block and constructing a perimeter wall fence and external works in Mpoma. ii) Out of the budget of UGX.62.15Bn, only UGX.26.05Bn (41%) was released. The shortfall of UGX.36.10Bn affected implementation of activities, such as registration of new facilities and radiation sources, national update of radiation sources and inventory. iii) UGX.24.65Bn was utilized during the financial year FY 2023/24 representing an absorption level of 94%, which affected procurement of monitoring equipment. iv) Out of the 24 activities planned for the year, only 4 were fully implemented, 5 were substantially achieved while 15 activities were partially implemented.
Medical and Environmental Anthropology for East Africa in the 21st Century (AnthEM Project) (MUK) for the period 31st Dec 2022	Human Capital Development	Unqualified	i) Out of the received funding of USD36,378.22, only USD 22,202 was utilized, leaving unspent funds of USD14,176.22 ii) Out of the seven (7) planned activities, five (5) activities were fully implemented, one (1) activity was partially implemented, and one (1) was not implemented at all.

Child Health Development Centre (MUK) for the year ended 30th June 2023	Human Capital Development	Unqualified	There were no reportable issues.
Environment for Development Initiative Project in Uganda (EfD - Mak Centre) for the year ended 30th December 2023	Human Capital Development	Unqualified	i) Out of the received project grant of USD 355,448.56, only USD 186,604.69 (54.87%) was spent, reflecting unspent funds of USD 153,465.32
Medical and Environmental Anthropology for East Africa in the 21st Century (AnthEM Project) (MUK) for the Period 31st Dec 2023	Human Capital Development	Unqualified	There were no reportable issues
Institutionalisation of Advanced Research Training in Africa -iCARTA Project (MUK) for period ended 31st December 2022	Human Capital Development	Unqualified	i) Out of the funding received of USD 107,205, only USD 86,466 was utilized, leaving unspent funds of USD 20,739.
Institutionalization of Advanced Research Training in Africa - iCARTA Project (MUK) for the Period ended 31st Dec 2023	Human Capital Development	Unqualified	There were no reportable issues
Integrated Bio repository of H3Africa Uganda Project (MUK) - 31st	Human Capital Development	Unqualified	i) The project management did not pay its staff salaries for the period of June 2022 to May 2023, despite having unutilized amount (bank balance) of USD 699,586.18 by year end.

May 2023			
Militarization, Sustainable Growth and Peace Project in Uganda implemented by Human Rights and Peace Centre, Makerere University -1st January 2023 to 30th April 20240	Human Capital Development	Unqualified	There were no reportable issues
Partnership for Peace: Better Higher Education for Resilient Societies (PFP) Project (MUK) for the period ended 31st Dec 2022	Human Capital Development	Unqualified	i) Out of the received grant of USD 32,759.55, only USD 25,993.78 was utilized leaving unspent funds of USD 6,765.77. ii) Out of the nine (9) activities in the work plan, only five (5) activities were fully implemented, while four (4) activities were partially implemented.
Partnership for Peace: Better Higher Education for Resilient Societies (PFP) Project (MUK) for the period ended 31st Dec 2023	Human Capital Development	Unqualified	There were no reportable issues
Strengthening Behavioural and Social Science Research Capacity to address evolving challenges in HIV Care and Prevention (MUK) - 31st March, 2021	Human Capital Development	Unqualified	i) Project management budgeted to receive USD 515,224; however, only USD 364,641.25 (70.8%) was realized, indicating a shortfall of USD 150,582.75 (29.2%). ii) Out of the total grant of USD 364,641.25 only USD 303,559.46 was expended reflecting unspent funds of USD 61,081.79 (16.8%).
Strengthening Behavioural and Social Science Research Capacity to	Human Capital Development	Unqualified	i) The Project management budgeted to receive USD 298,239 however; only USD 74,541 (25%) was realized indicating a shortfall of USD 223,698.00

address evolving challenges in HIV Care and Prevention (MUK) - 31st March, 2020			
Water Essence Africa - Creating Synergy to meet the Global Challenges (WATER ESSENCE) Project (MUK) for the period ended 31st Dec 2022	Human Capital Development	Unqualified	i) A review of the Project funding revealed that out of the received grant of USD 25,660.97, only USD 12,465.19 was utilized, leaving unspent funds amounting to USD 13,195.78. ii) Out of thirteen (13) activities in the work plan, the project fully implemented one (1) activity while six (6) activities were partially implemented and six (6) not implemented at all.
Water Essence Africa - Creating Synergy to meet the Global Challenges (WATER ESSENCE) Project (MUK) for the period ended 31st Dec 2023	Human Capital Development	Unqualified	There were no reportable issues
Vulnerability and Climate Change Adaptation in Conflict Affected Regions (VUCCA) Project (Gulu University) for period ended 31st Dec 2023	Human Capital Development	Unqualified	There were no reportable issues
BTVET Support Project of MoES for the year ended 30th June 2024			There were no reportable issues
Bukalasa Agricultural College	Agro-Industrialization	Unqualified	i) The College had outstanding commitments of UGX.267.5Mn at the end of the financial year 2023/2024 which exposes the College to the risk of litigation. ii) The College had outstanding revenue of UGX.22Mn at the year-end which affects the operations of the College since planned activities cannot be implemented.

			iii) The College undertook irregular direct procurements worth UGX.0.149Bn without any justification contrary to the PPDA regulations. iv) Out of the NTR budget of UGX.7.271Bn, UGX.7.130Bn was collected representing a 98.1% performance. v) The College had an approved GoU budget of UGX.1.472Bn out of which UGX.1.391Bn was warranted representing a 94.5% performance. vi) Out of the total available funds of UGX.9.39Bn, the college utilized UGX.9.02Bn that was inclusive of brought forward balances leaving an unspent cash balance of UGX.0.35Bn. vii) I noted that subvention releases from MAAIF had an average delay of three and a half (3½) months from the date of receipt of the quarterly release by MAAIF to actual remittance to BAC.
Busitema University	Human capital development	Unqualified	i) The University had outstanding payables of UGX.1.611Bn as at 30th June 2024 contrary to the Commitment Controls advised by MoFPED. ii) UGX.0.337Bn was spent on settlement of outstanding domestic arrears, yet the budget provision was only UGX.86Mn. iii) UGX.83.3Mn was charged to wrong codes. iv) I noted that 2 University staff absconded from duty when their leave expired in 2018. v) It was observed that procurements worth UGX.17.282Bn did not have any contract management plans on file. vi) Out of the total warrants of UGX.59.529Bn, warrants worth UGX.59.418Bn had been utilized, leaving a balance of UGX.0.112Bn which was meant for general staff salaries, board, committees and council allowances, ICT supplies, printing, stationery, photocopying and binding. vii) Two 2 outputs with 4 activities and expenditure worth UGX.1.15Bn were fully implemented. Fifteen (15) outputs with 73 activities worth UGX.10.925Bn were partially implemented, while eighteen (18) activities worth UGX.0.263Bn remained unimplemented. viii) Out of the 7 sampled projects, four (4) projects worth UGX.2.89Bn had delays from the expected completion date by an average of 15 months. ix) I noted that two (2) out of the 7 sampled projects worth UGX.245Mn were not functional despite completion due to not being connected to power and some variations which required more funds.

Capacity Building for Socially Just and Sustainable Energy Transition in East Africa (SET) Project (MUK) for the period 1st Jan 2023 to 31st Dec 2023	Human Capital Development	Unqualified	There were no reportable issues
Capacity Building for Research Based Teachers (CABUTE) Project (MUK) for the period 1st Jan 2023 to 31st Dec 2023	Human Capital Development	Unqualified	There were no reportable issues
CASH-IN - Privately Managed Cash Transfers in Africa PROJECT - 31st December 2023	Private Sector Development	Unqualified	i) There was under absorption of funds of DKK 516,017 (31%) out of DKK 1,659,258 which was available for spending, implying only DKK 1,143,241 was spent. ii) There was a three-month delay in filing PAYE returns for December 2022 and March 2023.
City-Wide Inclusive Sanitation Program (Grant OPP1179828) for year ended 30th November 2023	Public Sector Transformation	Unqualified	i) Out of UGX.0.36 Bn disbursed, only UGX.0.24 Bn (66.4%) had been recovered, leaving a balance of UGX.0.12 Bn (33.6%) outstanding and not disclosed in the financial statements as a receivable ii) Out of budget of UGX.4.69 Bn, only UGX.3.26 Bn was spent, resulting in an unspent balance of UGX.1.43 Bn (69%). iii) There were delays in completion of public toilets at Kyanja Agriculture Resource Centre (85%), City Square (85%) and Kalerwe sites (85%). In the three (3) sites the electrical, floor finishing and fitting and plumbing works had not been completed. iv) The project oversight team and project advisory/steering committee of the project rarely met and as such, could not provide the requisite oversight to the project v) The Weyonje app was restrictive in its access and usage by Kampala residents as it was only available for Android users
Centres for Disease Control and Prevention Urban Health Project	Human Capital Development	Unqualified	i) The project received USD.2,190,757, out of the expected USD.3,071,381, resulting in a shortfall of USD.880,624 ii) The project had an approved budget for the year of USD.1,861,449 out of which USD.1,771,724 was available for spending. Out of the

(KCCA) for year ended 30th September 2023			total available funds of USD.1,771,724, USD.1,441,332 (81%) was spent, resulting in an unspent balance of USD.330,402 iii) Assessment of the implementation of planned activities could not be done, since the project did not prepare performance reports iv) KCCA had not established a steering committee to provide strategic oversight and guidance to the project. The project may lose strategic focus, leading to failure to attain the intended project objectives.
Centres for Disease Control and Prevention Urban Health Project (KCCA) for the six months period ended 31st March 2024 (Closure audit)	Human Capital Development	Unqualified	i) UGX.421Mn was paid as a severance package to staff however, only UGX.25Mn was paid to URA instead of the actual tax obligation of UGX.144Mn. ii) Despite receiving notice of project closure from the funders, KCCA did not terminate or revise the terms of the consultancy for the baseline survey of the KCCA Urban Health Strategy. This resulted in unpaid arrears of UGX.43Mn. iii) KCCA had not implemented sustainability measures such as appointing a liaison officer with Reach Out Mbuya (ROM), preparing a handover report and transition plan and developing long term strategies to guarantee sustainability of the project outcomes. iv) At the time of project closure, CDC project had cumulatively received USD.2.53Mn out of the expected USD.3.91Mn resulting in a shortfall of USD.1.38Mn. Out of the total receipt, the project spent USD.2.13Mn leaving a balance of USD.0.40Mn. The pending unimplemented activities were transferred to Reach Out Mbuya for subsequent implementation. v) Equipment worth USD.58,000 which had been delivered was yet to be installed nine (9) months after its delivery due to the absence of a bunker that was supposed to receive the waste from the equipment. Further, the conveyor that was delivered was not as per the recommended technical specifications. vi) The supplier of the equipment had been paid in full despite not undertaking trainings which was part of the contract deliverables. vii) At the time of inspection, the facility where the equipment was supposed to be installed was being used by a private operator and KCCA had to rely on this operator to replicate the black soldier fly production.
Climate Change and Infectious Diseases – “One Health	Human Capital Development	Unqualified	There were no reportable issues

Approach” – CIDIMOH UBG Project for the period ended 31st Dec 2023			
Climate Change and Infectious Diseases (One Health Approach” - CIDIMOH Project (MAK) for the period ended 1st Dec 2023	Human Capital Development	Unqualified	There were no reportable issues
Climate Smart Agriculture in Sub- Saharan Africa (CSA) Project (MUK) for the period ended 31st December 2023	Human Capital Development	Unqualified	There were no reportable issues
Energy Technology Network (Energynet) Project (MUK) for the Period 1st Jan 2023 to 31st Dec 2023	Human Capital Development	Unqualified	There were no reportable issues
Gender and Digitalization Across Context (GENDIG) Project (MUK) for period 1st Jan 2023 to 31st Dec 2023	Human Capital Development	Unqualified	There were no reportable issues
Enhanced Capacity for Aquatic Resources in East and South Africa (ECARESA) Project (MUK) for the period 1st Jan 2023 to 31st Dec 2023	Human Capital Development	Unqualified	There were no reportable issues

Decolonizing Epistemologies: The Disciplines and the University in relation to the Society and the World Project (MUK) for the Period 1st Jan 2023 to 31st Dec 2023	Human Capital Development	Unqualified	There were no reportable issues
Co - Creating Knowledge for Local Adaptation to Climate Change in LDCS (COLOCAL) Project (MUK) for the period 1st Jan 2023 to 31st Dec 2023	Human Capital Development	Unqualified	There were no reportable issues
Competitiveness and Enterprise Development Project (CEDP-AF)	Sustainable Urbanisation & Housing	Unqualified	i) The Project had an approved budget of UGX. 180.516Bn for the FY 2023/24 out of which UGX. 103.901Bn (58%) was available for spending resulting in a shortfall of UGX 76.615Bn which affected the implementation of planned project activities. ii) Out of the total available funds of UGX 103.9Bn for the FY 2023/24, only UGX 46.16Bn (46%) was spent leaving an unspent balance of UGX.57.74Bn (56%). iii) Out of a sample of fifty-one (51) activities worth UGX 96.521Bn (Approx. USD 25.849)⁵ ten (10) activities worth UGX. 5.972Bn (Approx. USD 1.599) had been fully achieved while forty-one (41) activities worth UGX. 90.548Bn (Approx. USD 24.249) were partially implemented.
Competitiveness and Enterprise Development Project (CEDP- AF) Component 2-3	Public Sector Transformation	Unqualified	i) Out of the total available funds of UGX.73.82Bn for financial year 2023/24, only UGX.65.78Bn was spent resulting in unspent balance of UGX.8.09Bn representing an absorption level of 89%. Consequently, some Project activities were not fully implemented.

⁵ Exchange rate used is USD/UGX: 3734

(PSFU)			
Coordinating Office for Control of Trypanosomiasis in Uganda (COCTU)	Agro - industrialization	Qualified	i) The Accounting Officer did not disclose the effect of the rationalization on the entity operations despite having received confirmation that the entity would be merged with MAAIF. ii) Two (2) out of the 19 staff had been absorbed by MAAIF. However, there was no clear strategy on how the remaining 17 former staff were to be validated and absorbed within MAAIF. iii) There was no clear procedure through which government assets under COCTU are to be accounted for and handed over to MAAIF. iv) Off-budget financing to the tune of UGX.0.185Bn was not declared to the PS/ST and as such no supplementary appropriation was issued as guided by the PS/ST. v) The entity had an approved budget of UGX.7.28Bn out of which UGX.6.52Bn (89.6%) was warranted resulting in a shortfall of UGX.0.76Bn. This affected implementation of activities. vi) At the time of inspections (31st July 2024), 3,396 acaricides worth UGX.0.407Bn had not yet been delivered to the intended beneficiaries even though the Agency had ceased. vii) The entity collected 6,524 samples at a cost of UGX.0.238Bn, out of which, tests were undertaken on only 2,250 (34%) samples. The balance of 4,274 samples were archived in the sample bank to be transferred to MAAIF for future use.
Cotton Development Organization	Agro-industrialization	Unqualified	i) A decision was made to merge, mainstream and transfer the functions of CDO to the MAAIF without a clear strategy on how the staff of CDO are to be validated and absorbed within MAAIF. ii) There were no clear procedures through which government assets under CDO are to be accounted for and handed over to MAAIF. The assets may be lost during the transition if no clear handover procedures are followed. iii) At the time of the merger, CDO had buffer stocks worth UGX.28.1Bn comprising of physical stocks of cotton lint bales and work in progress as at 30th June 2024. Considering that the rationalization process is ongoing there is a risk that the spinners will not be able to access the buffer facility which may disrupt production. iv) UGX.5.9Bn (35%) had not been released to complete the construction of the processing seed factory in Pajule and as such, several works of

			the seed processing plant had not been undertaken. v) A private ginner was processing and packing the seed into 3kg packs and selling each pack to the farmers at UGX.3000 per bag in contravention of the MoU that required that the seed be handed over to CDO for distribution to farmers. As such, the ginner is using the facility without any return despite the substantial investment by Government. vi) 27,230 bottles of pesticides were still in the Uganda Ginners and Cotton Exporters Association (UGCEA) stores in Luzira at the time of my report, yet the first crop of cotton was due for harvest in October 2024. vii) Although procurement and processing of cotton seeds and the distribution to the farmers is the mandate of CDO, these activities were being done by the private sector players under the Uganda Ginners and Cotton Exporters Association who fund the entire processing of seed and distribution to the cotton farmers. viii) The entity had an approved budget of UGX.5.37Bn out of which UGX.5.28Bn (98%) was warranted resulting in a shortfall of UGX.83Mn. Of the warranted amount, UGX.5.25Bn was utilized which affected the implementation of planned activities. ix) I assessed the extent of implementation of eight (8) outputs with 20 activities worth UGX.2.44Bn and noted that all the eight (8) outputs were fully implemented.
Dairy Development Authority (DDA)	Agro-industrialization	Unqualified	i) A decision was made to merge, mainstream and transfer the functions of DDA to MAAIF without; a clear strategy on how the staff of DDA are to be validated and absorbed within MAAIF. ii) There were no clear procedures through which government assets under DDA are to be accounted for following the rationalisation. The assets may be lost during the transition if no clear handover procedures are followed. iii) As at 30th June 2024, DDA had arrears amounting to UGX.361Mn. Besides, there was no clear strategy on how these arrears will be absorbed and cleared by MAAIF. iv) The Authority had 16 pieces of land measuring approximately 2.597 hectares which had no land titles. During the year, a sum of UGX.27Mn was spent on securing five (5) land titles, which activity was not concluded. v) Ten (10) of the Authority's rented properties had no rental agreements

			or had agreements that had expired, as such it was not possible to determine how much rent was payable to the Authority from the properties. vi) DDA had a budget shortfall of UGX.948Mn. Despite the shortfall, UGX.297Mn of what was availed was not utilized. This affected the implementation of planned activities. vii) Three (3) outputs with 26 activities and expenditure worth UGX.618Mn were fully implemented, while nine (9) outputs with 51 activities worth UGX.13.33Bn were partially implemented. viii) I undertook physical inspections on a sample of five (5) projects worth UGX.3.35Bn and observed that they had delays from the expected completion dates. I also undertook a follow-up on three (3) completed structures worth UGX.887Mn and noted that the structures were not functional. ix) I conducted a Value for Money audit on the regulation of the dairy industry in Uganda by DDA and issued a separate report. x) Out of nine (9) Parliamentary recommendations given in the Treasury memorandum on the report of the Public Accounts Committee - Central Government on the report of the Auditor General for the financial year 2020/21, three (3) recommendations were fully implemented, four (4) were partially implemented, while two (2) were not implemented at all.
Development Response to Displacement Impact Project (DRDIP) IDA Credit No P152822-UG	Governance and Security	Unqualified	i) The Project had accumulated domestic arrears totaling to UGX.6.1Bn. ii) Variations amounting to UGX.6.8Bn were not approved by the Project Implementation Support Team iii) There were no budget enhancements for districts and ministries to maintain DRDIP projects such as the constructed schools, health centres, markets and roads among others. iv) There were delayed payments to suppliers by over 140 days on average after delivery of services. This affected the operations of the project implementation timelines. v) The MIS that was developed to ensure timely information for decision making was incompatible with the NIRA system/data base, community facilitators had limited computer skills while some districts had network problems and unstable electricity, among others. vi) The project expected total disbursements of USD.200,000,000 but received USD.200,758,960. The excess of USD.758,960 was foreign exchange gains.

			vii) Over the project life USD.1,570,490 was not absorbed which affected purchase and installation of medical equipment in 55 health facilities viii) Out of the 23 sampled activities worth UGX.44.4Bn, 21 activities worth UGX.30.5Bn were fully achieved, while the remaining two (2) worth UGX.13.9Bn were partially implemented. ix) Solar panels installed at Glory Land and Unity Primary Schools worth UGX.0.053Bn was weak and would not support the school for more than four (4) hours after sun set. x) There were shortcomings identified in the distribution of trees by the project such as beneficiaries receiving different varieties of tree seedlings from what they had requested for, poor quality seedling and supply of trees during the dry season among others. xi) The water in the pond reservoir and the fishponds for some of the sub projects was contaminated while the supplier had supplied less fish feeds than what had been paid for in some cases. xii) There were challenges of poor management of tree plantations, planting trees on less than the agreed acreage and insufficient training and support from implementing partners and district technical persons. xiii) Terego district never benefited from the capacity building for beneficiaries despite the release of all the funds for this activity.
Directorate of Citizenship and Immigration Control (DCIC)	Governance and security	Unqualified	i) DCIC had total releases of UGX.157.08Bn, out of which only UGX.156.5Bn had been utilised by the close of the financial year. ii) Out of the total warrants of UGX.157.09Bn, UGX.6.5Bn related to classified expenditure while UGX.150.59Bn was for non-classified entity operations. The balance of UGX.0.55Bn was meant for the payment of pension and gratuity and the procurement of furniture. iii) Sixteen (16) outputs, with 57 activities and expenditure worth UGX.57.160Bn were fully implemented. Seven (7) outputs with 61 activities worth UGX.68.455Bn were partially implemented. iv) Three (3) activities were only partially implemented despite the release of the required funds. For example, although all the planned funds were released, maintenance and servicing of the Namanve NCIC Archive Center fire detection and suppression system, Procurement of Network Access Drives (NAS) and simple storage media for the Passport office and Procurement of Orthopaedic Wheelchairs for PWD applicants was partially implemented. v) Three (3) activities amounting to UGX.0.377Bn were not implemented

			despite NCIC receiving the funds. The unimplemented activities were the renovation of Nakabat border offices, the renovation of Lia staff quarters and the procurement of uniforms for NCIC drivers. vi) There were weaknesses noted in the management of short-term visitor's passes, including manual process for extending visitor passes, along with the discrepancies between the system upload date and the actual extension date, which increases the risk of inaccurate record-keeping and difficulties in tracking extensions to enforce immigration laws effectively vii) The immigration laws provide for multiple-entry visas and other entry permits with durations ranging from 6 to 36 months. However, there is no policy to guide the management of multiple-entry visas. For example, there is no specification on the duration a traveler can spend in Uganda under each visit with a multiple-entry visa. This oversight has led to cases where individuals on multiple-entry visas remain in the country for up to 24 months without exiting. viii) For other Entry Permits/Certificates of Residence, NCIC issues entry permits and certificates of residence to non-Ugandans who meet the respective requirements. One of the requirements for acquiring Ugandan citizenship by registration is that the individual must have legally and voluntarily migrated to Uganda and resided there for at least 10 years. I noted that the NCIC is not issuing re-entry passes, which presents a risk. Holders of permits and residence certificates may leave the country for extended periods and return only for the purposes of renewing their permits or acquiring citizenship, circumventing the intended residency requirements. ix) I observed a lack of structured IT policies and frameworks at NCIC. For example, I noted that the IT risk management policy, IT change management/ response policy, IT data governance policy and backup and disaster recovery/business continuity policy were either not yet developed or approved for use by the institution. x) I noted the lack of an ICT department in the structure of NCIC to provide technical support and maintenance of the ICT infrastructure and systems. Furthermore, NCIC does not have enough designated staff to support its IT infrastructure. For instance, the 36 IT staff recruited specifically for this purpose were allocated non-IT work of the Directorate. As a result, the management of the IT infrastructure (database and application) is carried out by the system vendor, M/s
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			Computer Medics Ltd, despite NCIC having several IT-qualified staff on its payroll xi) I observed that the approved structure for NCIC by the Ministry of Public Service does not include key positions such as Principal Accountant, Head of Internal Audit, and Human Resource Functions. Removing such positions could lead to operational disruptions and delays, lack of transparency in financial operations, and failure to detect and address internal control weaknesses in time. xii) I undertook a special audit of the pension payroll that covered a period from FY 2019/20 to 2023/24 and a separate report was issued. xiii) I conducted a Value for Money audit on the management of work permit processes by NCIC, and a separate report was issued. xiv) Out of 25 recommendations given by Parliament on two Treasury Memoranda of central government for the FY 2015/16 and 2020/21, 10 recommendations were fully implemented, 13 were partially implemented while two (2) were not implemented.
Directorate of Government Analytical Laboratory (DGAL)	Governance and security	Unqualified	i) DGAL had an approved budget of UGX.42.82Bn, out of which UGX.30.49Bn (92%) was warranted, resulting in a shortfall of UGX.12.33Bn. ii) Out of the total warrants of UGX.30.49Bn, UGX.5.637Bn was for classified expenditure, leaving UGX.24.85Bn for non-classified entity operations. iii) Out of the non classified warrants, UGX.22.48Bn was utilised by the close of the financial year, resulting in an unspent balance of UGX.2.37Bn. iv) I assessed the extent of implementation of five (5) outputs with 36 activities worth UGX.24.85Bn and observed that all the five (5) outputs with 36 activities were partially implemented. v) The contract for the construction of the DNA data bank was behind schedule. Whereas the contract provided for insurance coverage and the procurement of two double-cabin pickup trucks for site management and supervision, neither of these provisions had been fulfilled. vi) DGAL's case backlog reduction strategy, developed in 2018, expired before a new one was developed, despite the entity continuing to accumulate case backlogs. vii) Overall case performance stood at 68%, with the specific laboratory performance as follows: Questioned documents laboratory 34%,

			Forensic Biology 47%, Pesticide Residue 71% and Firearms at 78%. This indicates that DGAL is not meeting the set target for completing analysis and reporting on received cases within stipulated timelines. viii) DGAL did not undertake the planned client satisfaction survey, which would have enabled the Directorate to assess client confidence in their services as well as identify areas of improvement. ix) DGAL continues to face challenges in accurately reporting the status of cases handled. For instance, several inconsistencies between the number of cases concluded and those reported in the Directorate's annual statistics reports. x) Whereas the approved staff structure has 124 staff, only 75 positions have been filled, leading to a staffing shortage of 49 staff. xi) I conducted a Special audit on gratuity payments and pension payroll for DGAL for the period FY 2019/20 to 2023/24 and a separate report was issued. xii) I audited the DGAL Treasury Memorandum for the financial year 2020/21 and observed that out of the eight (8) recommendations given by Parliament, four (4) were fully implemented, while the remaining four (4) were only partially implemented.
MUST DISCO Project for the period 1st August 2022 to 31st July 2023	Human Capital Development	Unqualified	i) The project's total available funds for the year were GBP 14,221, out of which GBP 11,231 (79%) was spent, resulting in an unspent balance of GBP 2,990.
Strengthening Drought Resilience of Small Holder Farmers and Pastoralists in the IGAD Region (DRESS-EA) Project for period ended 29th Feb 2024	Natural Resources, Environment, Climate Change, Water and Land Management	Unqualified	i) The project had planned to receive UGX. 9.23Bn in the project period of 4 years, but only UGX.2.19Bn (23.7%) was disbursed. ii) I assessed fifty-five (55) activities worth UGX1.32Bn and noted that targets for eight (08) activities worth UGX.0.59Bn had been fully achieved while targets for the remaining forty-seven (47) activities worth UGX0.73Bn were yet to be achieved iii) The Project had an approved budget of UGX.3.72Bn for the period 1st March 2023 to 29th February, 2024 out of which UGX.1.296Bn was remitted resulting in a shortfall of UGX.2.42Bn (34.8%). The total amount available for spending totaled UGX. 1.38Bn iv) Out of the total available funds of UGX. 1.382Bn, only UGX. 0.85Bn was spent resulting in unspent balance of UGX.0.53Bn representing an absorption level of 61.5%.

Drought Resilience in the Karamoja Sub-Region project (KDR) for the period ended 30th June 2023	Natural Resources, Environment, Climate Change, Water and Land Management	Unqualified	i) Out of the approved budget of UGX.11.98Bn for the financial year 2022/2023, UGX.6.59Bn (55%) was available for spending resulting in a shortfall of UGX.5.39Bn. ii) Out of the total available funds of UGX.6.59Bn, only UGX.4.34Bn (66%) was spent, resulting in unspent balance of UGX.2.25Bn.
Drought Resilience in the Karamoja Sub-Region project (KDR) for the period ended 30th June 2024	Natural Resources, Environment, Climate Change, Water and Land Management	Unqualified	i) Out of the expected donor disbursement of UGX.11.59Bn in the second year of the project implementation, only UGX.3.45Bn (29.8%) was disbursed. ii) Out of the expected GoU funding UGX.7.09Bn, only UGX.6.45Bn was received representing 91% performance. iii) All the eight (08) activities worth UGX.1.12Bn that were sampled were fully implemented. iv) Out of the approved budget of UGX.11.11Bn for the financial year 2023/2024 only UGX.5.58Bn (50%) was available for spending resulting in a shortfall of UGX. 5.53bn. v) Out of the total available funds of UGX.5.58Bn, only UGX.3.95Bn (71%) was absorbed resulting in unspent balance of UGX.1.63Bn.
East Africa's Centre's of Excellence for Skills and Tertiary Education in Biomedical Sciences- Phase 1 (EAOI) Project Id No. P-Zi-Ibo-24, Loan No.21001500319962 (ADB-Support to Uganda Cancer Institute)	Human Capital Development	Unqualified	i) The total disbursement to the project as at 30th June 2024 was USD. 28.551Mn (90.64%) out of the total loan amount of USD.31.500Mn while the GOU counterpart funding was UGX.14.945Bn (106%) out of the expected funding of UGX.14052Bn. ii) Out of the total available funds of UGX.10,967,439,135, UGX.10.315 Bn (94%) was spent resulting in an unspent balance of UGX.652.153Mn. iii) The installation of ICT Equipment for training and telemedicine that was delivered in 2021 at a contract price USD.1,064,510.49 had not been done due to the delayed completion of the multipurpose building where it is supposed to be housed. iv) The Institute signed a contract with a Contractor for the partial completion of the construction of the multipurpose building at a contract price of USD.2,750,715. This was above the un-spent funds on the original contract with M/s Roko of USD.2,101,985.40 by USD.648,729.6. v) The supply and installation of a Magnetic Resonance Imaging System (MRI) at a contract price of USD.2,415,000 was extended to May 2025 from 2020 due to the delayed completion of the multipurpose building.

			However, the advance payment guarantee of USD.483,000 had expired on 18th October, 2022 without renewal. vi) The supply and installation of medical laboratory furniture at a contract price of USD.883,000 by 30/06/2020 was extended to June 2025. However, the supplier requested for contract variation of USD.57,530.38 due to economic changes creating a contingent additional funding requirement.
Economic Policy Research Centre (EPRC)	Human Capital Development	Unqualified	There were no material reportable issues
Education Service Commission (ESC)	Human Capital Development	Unqualified	i) The Scheme of Service for teachers was not fully implemented. ii) The Commission had an approved budget of UGX.11.951Bn, all of which was warranted and utilized. iii) I assessed the implementation of 3 outputs with 20 activities worth UGX.3.295Bn and observed that one (1) output with 9 activities and expenditure worth UGX.0.656Bn was fully implemented while two (2) outputs with 11 activities worth UGX.2.639Bn were partially implemented.
Electoral Commission (EC)	Governance and security	Qualified	i) The Commission transferred UGX.4.32Bn to the districts of Wakiso, Kampala, Mukono and Mpigi for payment of activities meant to be undertaken by the Commission's Head Office. These funds remained unaccounted for. ii) Funds amounting to UGX.257.46Mn were irregularly charged from inappropriate budget and expenditure codes without seeking and obtaining the necessary approvals. iii) The Commission accumulated domestic arrears of UGX.10.49Bn. Although the arrears had reduced by 12% from UGX.11.97Bn, the amount remains substantial. iv) The Commission made payments of UGX.212Mn to clear court related arrears that were not disclosed in the prior year. v) The Commission delayed conducting elections for women and local councils with a cost of UGX.96.57Bn, due to lack of funds. vi) The Commission delayed in the implementation of phase 1 activities of the road map for the 2025-2026 general elections including field survey for voter turn-up, digitizing of election documents and acquisition of specialized printer equipment, system and materials. vii) The Commission had a shortfall of UGX.61.04Bn meant for conducting of women Council and administrative Councils (LCI & II) elections,

			demarcation of electoral areas and reorganization of polling stations countrywide. viii) The Commission did not receive warrants amounting to UGX.2.27Bn meant for recruitment of staff and an election observation mission among others. ix) I assessed seven (07) outputs with 22 activities worth UGX.62.69Bn and noted that two (02) outputs with six (06) activities worth UGX.46.07Bn were fully implemented, four (04) outputs with 13 activities worth UGX.11.72Bn were partially implemented and One (01) output with three (03) activities worth UGX.4.89Bn was not implemented at all.
Enhancing National Food Security Through Increased Rice Production Project (ENRP) for the year ended 30th June 2024	Agro-Industrialisation	Unqualified	i) Out of the 2,540 PAPs with claims worth UGX.14.1Bn in Bugweri and Bugiri districts, only 326 (13%) PAPs had been paid their compensation worth UGX.5.5Bn (39%) ii) 819 PAPs with claims worth UGX.081Bn from 17 villages under Bugiri District had not yet been verified by the project management iii) There were delays in contract implementation by the contractor due to inadequate capacity despite an advance of UGX.15Bn. Out of the 47 units of equipment expected on site, only 15 (32%) units were on site at the time of inspection. Besides some of the equipment was non-functional iv) Physical progress was estimated at only 4.8% and several preliminary activities had not been implemented by the contractor. Failure to execute preliminary site works despite advance payment resulted in outstanding commitments to the tune of UGX.89Bn v) Once Kitumbezi multi-purpose dam and Naigombwa Irrigation scheme are completed, it will be difficult for the cooperatives and the small holder farmers to effectively operate and maintain them without government support owing to the size of the investment. vi) Although the project closed on the 30th June 2024, management had not undertaken proper project closure procedures. This exposes project assets to abuse and may hinder proper project evaluation vii) Out of the expected cumulative disbursement of UGX.124.7Bn from IDB, only UGX.27.4Bn was availed resulting in a variance of UGX.97.2Bn (78%). Further, out of the expected UGX.134.1Bn from GoU and PEARL, only UGX.6.3Bn was availed. This affected the achievement of most of the project intended objectives. viii) Farm machinery equipment worth UGX0.76Bn was lying idle in the

			Ministry yard and at the various police posts more than 15 months after delivery.
Equal Opportunities Commission (EOC)	Human Capital Development Programme	Unqualified	i) Receivables of UGX.248Mn have remained outstanding for more than one year. ii) Properties worth UGX.5.238Bn were disclosed in the commentary by the Accounting Officer instead of the main financial statements. iii) Nine (9) outputs with 112 activities worth UGX.18.94Bn were assessed of which 2 outputs with 2 activities worth UGX.0.213Bn were fully implemented while Seven (7) outputs with 110 activities worth UGX.18.725Bn were partially implemented. iv) The entity received supplementary funding UGX.600Mn which was not requested by the Accounting Officer- and didn't meet the criteria for supplementary funding. v) Out of the 10 recommendations in the Treasury Memorandum, only 2 (20%) were fully implemented and 8 (80%) were partially implemented.
Electricity Regulatory Authority (ERA)	Energy Development	Unqualified	i) The authority budgeted to receive UGX.40.69Bn as income, however UGX.43.55Bn (107%) was earned. The good performance was attributed to the revision of generation levy from 0.3% to 0.7%. ii) Out of the 39 performance areas set for the year, 18 (46%) were fully achieved, 16 (41%) were substantially achieved, while 5 (13%). The outcomes that were not fully achieved include reduced weighted average end-user electricity tariffs, reduction of the duration of interruptions, increase the national electricity access rate and enhancing employee innovativeness. iii) Out of the total receivables balance of UGX.1.83Bn reported, UGX.1.13Bn (62%) relates to license fees and has been outstanding for over 91 days. Similarly, ERA's obligations amounting to UGX.53.79Mn have been outstanding for over 5 years. iv) Only 5 (11%) of the 59 court cases in which the authority was involved were settled. The 54 Pending cases may pose unexpected future financial challenges if not resolved timely. v) Only 43% of the planned procurements were implemented and contracts awarded, arising from cancelations, procurements initiated late in the year, and others that were taken over by donors.
Energy for Rural	Energy Development	Unqualified	i) The project closed on 30th June 2023, with a disbursement grace

Transformation Project Phase III - Under the Rural Electrification Programme (ERT III-REP)			period until 31st December 2023. The cumulative disbursements by the donor were USD.105.3Mn (99%) out of the expected USD 105.8Mn, while GoU counterpart disbursements were at 57% (USD. 18.68Mn out of USD.33Mn). ii) Under the Grid Extensions subcomponent, the distribution lines 5-10 of 307kms were dropped at GOU's request; Only 1,478km out of 1,640km (90%) of MV lines was achieved. The associated LV lines constructed amounted to 2,417km exceeding the revised planned target. 15 Lines had been completed and commissioned while the rest are still being completed. iii) Under the Grid Intensifications subcomponent, 958 out of the 1,234 planned transformers were installed and commissioned, 93 were pending commissioning, and 183 were not yet installed. Only 92,132(61%) of the targeted 150,000 connections were made. iv) Out of a revised number of Project Affected Persons (PAPs) of 55,285 approved for compensation, 50,360 PAPs were paid, leaving 4,925 PAPs (8.9%). v) Management did not put in place sustainability measures to ensure that the gains made during the project lifetime are not lost post-project closure.
Energy for Rural Transformation Project - Phase III (ERT III) PCU	Energy Development	Unqualified	i) The project closed on 30th June 2023, with a disbursement grace period until 31st December 2023. The cumulative disbursements of USD.12.65Mn and USD.7.6Mn from IDA-credit and GoU were more than the expected USS.11.80Mn and USD.2.5Mn. COVID-19 caused substantial delays that led to project extensions, warranting additional funds. ii) Out of the total 16 planned project activities, 10 were fully achieved, while 6 were partially achieved due to procurement and compensation challenges. As a result, some activities like the geothermal development preparation study were dropped. iii) Out of the total project budget of USD.5.51Mn for the financial year 2023/2024, USD.5.49Mn (99.6%) was received. The shortfall was meant for monitoring and supervision of construction projects. iv) Out of the total available funds of USD.5.93Mm, USD.5.89Bn (99%) was spent, donor funds amounting to USD 0.015 was refunded to the World Bank. v) Management did not put in place sustainability measures to ensure that the gains made during the project life time are not lost post

			project closure.
Enhancing Resilience of Communities to Climate Change Through Catchment Based Integrated Management of Water and Related Resources in Uganda (EURECCCA)	Natural Resources, Environment, Climate Change, Water and Land Management	Unqualified	i) The expected cumulative donor disbursement of UGX.27.12Bn were all received representing a 100% performance. ii) Out of the expected GOU counterpart funding of UGX.3.50Bn, only UGX2.05Bn was remitted resulting in a 58% performance. iii) I sampled sixteen (16) activities worth UGX.1.31Bn and noted that targets for fourteen (14) activities worth UGX.1.28Bn had been fully achieved while targets for the remaining two (2) activities worth UGX.0.03Bn were not achieved iv) The Project had an approved budget of UGX.1.603Bn for the period to December 2023 out of which UGX.1.603Bn was released thus resulting to 100% performance. The total funds available for spending amounted to UGX.1.641 including rolled over unspent funds v) The total available funds of UGX1.64Bn, were all spent representing an absorption level of 100%
Farm Income Enhancement and Forestry Conservation Project Phase II (FIEFOC II)	Natural Resources, Environment, Climate Change, Water and Land Management	Unqualified	i) UGX.12.06Bn was the total cumulative amount of undisbursed funds by December 2023 ii) I noted that out of the five (5) targeted activities worth UGX.221.25Bn, four (4) activities worth UGX.25.76Bn had been fully achieved while targets for the remaining one activity worth UGX.195.49Bn was partially achieved. iii) Out of the approved budget of UGX.26.19Bn for the financial year 2023/2024, UGX.17.75Bn (68%) was available for spending resulting in a shortfall of UGX.8.44Bn. iv) Out of the total available funds of UGX.17.75Bn only UGX.16.60Bn was spent resulting in unspent balance of UGX.1.14Bn representing an absorption level of 94%. v) The delayed completion of the construction of Wadelai Irrigation Scheme in Packwach District due to abandonment of the site and inability to liquidate the performance bank guarantee. vi) There was no sufficient evidence of sustainability measures put in place to ensure that the gains made during the project life time are not lost once the project closes. vii) Only UGX.165.12Mn (7%) out of UGX.2.41Bn loaned to Enable Youth Projects had been recovered by 30/06/2024 leaving a balance of UGX.2.26Bn outstanding.

Farm Income Enhancement and Forestry Conversion Project Phase III (FIEFOC II)	Natural Resources, Environment, Climate Change, Water and Land Management	Unqualified	i) The project had planned to receive donor funding of UGX.162.84Bn in the project period of 2 years, but only UGX.2.55Bn was disbursed representing 1.7% performance. ii) The project received GoU counterpart funding of UGX.2.39Bn. However, I noted that GoU counterpart contribution was not broken down per year. iii) I sampled twenty (12) activities and noted that 8 activities worth UGX.2.43Bn had been fully achieved while targets for the remaining four (04) activities were not implemented due to non-release of funds. iv) The Project had an approved budget of UGX.31.43Bn for the financial year 2023/2024, out of which UGX.3.07Bn (Donor and GoU) was released resulting in a shortfall of UGX.28.36Bn, representing 9.7% performance. The total amount available for spending was UGX.4.38Bn, including rolled over unspent funds. v) Out of the total available funds of UGX.4.38Bn only UGX.3.72Bn was spent, resulting in unspent balance of UGX.0.66Bn representing an absorption level of 85%. vi) There was delayed procurement of Civil works for Construction of Sipi Irrigation Scheme.
Strategic Towns Water Supply and Sanitation Project (STWSSP) implemented by MWE)	Natural Resources, Environment, Climate Change, Water and Land Management	Unqualified	i) I compared the total cumulative disbursements of project funds as of 30th June 2024 against the project financing agreement and noted that the total cumulative disbursements to date were less than expected. ii) The project had planned to receive US\$62.48Bn cumulatively and the actual receipts were US\$57.09Bn resulting in deficits of US\$5.40Bn in the project period of 5 years. In addition, all planned receipts from GoU of US\$9.23Bn were received 100%. iii) A sample of twenty-eight (28) activities worth UGX.267.53Bn indicated that targets for twenty-three (23) activities worth UGX.201.80Bn had been fully achieved while targets for the remaining five (5) activities worth UGX.65.73Bn were yet to be achieved. iv) The Project had an approved budget for external financing of UGX.22.7Bn out of which UGX.48.01Bn was remitted, representing 211% performance. The total available funds for spending amounted to UGX.58.11Bn. v) Out of the total available funds of UGX.58.11Bn only UGX.58.03Bn was spent resulting in unspent balance of UGX.0.08Bn representing an absorption level of 99.8%. vi) Delivery of services from eleven (11) implemented activities indicated

			that nine (9) were fully implemented, hence improved service delivery while two (2) were partially completed.
Fuel Marking and Quality Monitoring Program (FMQP)	Sustainable Development of Petroleum Resources	Unqualified	i) FMQP identified 230 non-compliant fuel stations, which increased by 43% from the previous year's 161 non-compliant stations, however there was no inspection metric and no volumes of the adulterated product to facilitate computation of appropriate penalties. ii) The quarterly procurement reports were incomplete and not submitted to MEMD for subsequent submission to PPDA, which undermines transparency. iii) The program's procurements were neither conducted by MEMD nor UNBS as required by the MOU and therefore were not conducted within e-GP. In addition, there were no framework contracts for frequently required supplies such as laboratory consumables and Motor vehicle repairs. iv) The Program realized all its budgeted revenue of UGX.9.913Bn for the financial year 2023/2024. The excess revenue performance under penalty fees could imply an increase in adulterated fuel and offenders, which should be investigated. v) Out of the 31 planned activities from 10 outputs, 23 (74%) activities were fully implemented, 5 (16%) activities were partially implemented, while 3 (10%) were not implemented at all, despite availability and absorption of all budgeted funds. vi) There was no evidence of assessment of the program outputs against targeted KPIs which not only compromises transparency and accountability but also hinders the ability to evaluate the program's performance appropriately.
Global Fund Project - Malaria Grant	Human Capital Development	Unqualified	There were no reportable issues
Global Fund Project - TB Grant	Human Capital Development	Unqualified	There were no reportable issues
Global Fund Project - HIV Grant	Human Capital Development	Unqualified	There were no reportable issues

Grid Expansion and Reinforcement Project (GERP) - MEMD	Energy Development	Unqualified	i) Total cumulative disbursements of project component funds as at 30th June 2024 against the project financing agreement was 105.5%. ii) I assessed a sample of five (5) project activities against their cumulative targets and noted that four (4) activities had been fully achieved while one (1) activity (integrated power sector plan) was dropped and therefore not implemented. iii) The Project Component had an approved budget of USD. 683,854 for the financial year 2023/2024 out of which USD. 611.294 (89%) was realized implying a shortfall of USD. 72,560 (11%). The unreleased funds were meant for the Consultancy for Biodiversity Offset Assessment.
Grid Expansion and Reinforcement Project (GERP) - UETCL	Energy Development	Unqualified	i) Cumulative disbursements were USD.77.47Mn (100%), while GoU counterpart funds were UGX.30.80Bn, representing 91% of the expected UGX.33.59Bn ii) I reviewed the implementation of 3 project components with six (6) activities and noted that only one (1) activity worth USD.784,937 was fully achieved, while five (5) worth USD.56,618,229 were partially achieved. iii) The Project had an approved budget of USD.50,413,740 for the financial year 2023/2024, out of which only USD.11,970,000 (24%) was realized. The project's absorption level was 59%, which affected implementation of Community Development plans and Livelihood restoration Action plans. iv) Only 3,410 (93.46%) of the total 3,583 PAPs have been compensated, the pending 173 were due to land ownership disputes, survey queries, insufficient documents from PAPs and pending court cases.
Gulu University	Human capital development	Unqualified	i) Gulu University entered a contract with M/S Chongqing International Construction Corporation (CICO) on 19th June 2019 at a contract sum of UGX.30Bn. Two interim payment certificates totaling UGX.2,337Bn were submitted by the Company for payment. However, due to the delay of one year to pay the amount, the University had to pay interest of UGX.527.5Mn. ii) The University paid UGX.18.9Mn to suppliers of the University who had supplier numbers, contrary to E-Cash payment guidelines. iii) Three employees were advanced UGX.14.7Mn however, the funds were not recovered during the financial year, contrary to the human resource manual. iv) From the review and analysis of the HCM payroll register and IFMS

			payment file, I noted that 6 staff were paid a total of UGX.99.1Mn off the HCM payroll. v) I noted that the University had no disposal plan for numerous assets recommended to be boarded off by the Board of Survey. vi) The University had an approved budget of UGX.68.65Bn out of which UGX. 68.52Bn (99%) was warranted, resulting in a shortfall of UGX.0.13Bn. vii) The University had total warrants of UGX.68.517Bn out of which warrants worth UGX 68.501Bn had been utilized by the close of the financial year, hence a variance of 0.016Bn representing 99.9% viii) I assessed a total of 49 outputs with 489 activities worth UGX 68.52 Bn and noted that Twenty-eight (28) outputs with 235 activities and expenditure worth UGX 55.72 Bn were fully implemented, while twenty-one (21) outputs with 254 activities worth UGX 12.80 Bn were partially implemented. ix) Out of the 3 sampled projects, one (1) project worth UGX 30.12Bn had delayed for more than a year. x) I reviewed teaching loads for academic staff for Semester 1 and 2 in academic year 2023/2024 and noted that in semester one, 52 staff were allocated less than 10 hours a week to teach, 107 staff were allocated more than 10 hours a week while 72 staff were allocated less than 10 hours a week to teach and 84 staff were allocated more than 10 hours a week. xi) Review of the post graduate students revealed that one hundred forty-seven (147) masters' students have taken more than two academic years to complete research for the master's program which is beyond the ideal programme duration xii) Review of the internal audit plan for the year 2023/2024 revealed that the unit did not perform all the planned activities. Besides, the internal audit plan presented was not approved by the Audit Committee. xiii) I observed inadequate facilities at Kitgum campus which include limited equipment for practical subjects such agriculture, music science, limited office and lecture space and furniture to support the increasing students' enrolment and the health unit was managed by a single staff that worked throughout the week with no essential drugs and equipment were in short supply. The unit remains closed during the weekend whereas students attend lectures over the weekend.
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Health Service Commission (HSC)	Human capital development	Unqualified	i) Health Service Commission (HSC) was assessed by the Uganda Revenue Authority (URA) to have outstanding taxes in regard to PAYE (Pay As You Earn) of UGX.1.407Bn and WHT (Withholding Tax) of UGX.0.009Bn. However, management did not reflect the tax arrears in the financial statements due to dissatisfaction based on assessment. ii) The Commission had an approved budget of UGX.12.209Bn out of which UGX.11.545Bn was warranted resulting in a shortfall of UGX.0.665Bn. The UGX.0.665Bn that was not warranted relates to acquisition of furniture and fittings, coordination of HSC activities, purchase of small office equipment and strengthening the operations of the hubs among others. iii) Out of the total warrants of UGX.11.545Bn an amount of UGX.11.097Bn had been utilised by the close of the financial year. The balance of UGX.0.449Bn was meant for activities like audits, recruitment of staff, development of the electronic document management system, integration of NITA-U and e-RS system among others. iv) I noted that the budgets for all the planned outputs were not supported by individual activity costing and budgets. v) I assessed the extent of implementation of six (6) partially quantified outputs and noted that four (4) outputs had all the eight (8) quantified activities fully implemented while two (2) outputs with a total of nine (9) quantified activities were partially implemented. vi) I reviewed the functionality of the e-recruitment system and observed that there was need for a more effective means of communication, such as SMS. Additionally, whereas the Health Service Commission had backups for information such as adverts and job descriptions, there was no backup for candidate data applications and profiles. vii) The Commission set up regional Hubs to facilitate health workers who have difficulty accessing the internet to submit their applications. However, only 10 out of the planned 18 hubs were equipped. viii) I noted delays in recruitment of health professionals, and this was attributed to delays in recruitment planning, initiation and issuance of recruitment minutes. ix) I noted a lack of a mechanism to track recruitment requests. For instance, recruitment clearance and recruitment minutes relating to advertised positions were not referenced with the reference number of the advert.
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			x) There were several posts namely, Consultant (Ophthalmology), Consultant (Pathology), Consultant (Psychiatry), Consultant (Internal Medicine), Medical Officer special grade (Public health), Medical Officer special grade (Anesthesia), Medical Officer special grade (Emergency medicine), Medical Officer special grade (ENT), Medical Officer special grade (Intensive Care) advertised by the Health Service Commission did not attract suitable applicants. xi) Several District Service Commissions did not submit any performance reports to the Health Service Commission during the financial year under review. xii) Ten (10) District Local Governments did not have substantive secretaries while seven (7) were not fully constituted. There were also reports indicating non-payment of retainer fees due to inadequate budget allocations. xiii) I undertook a special audit of the pension payroll, and a separate report was issued.
Uganda Medical and Dental Practitioners Council (UMDPC) for period ended 30th June 2023	Human capital development	Unqualified	i) Out of the total budgeted funds of UGX.2.218Bn, UGX.2.218Bn was spent, representing 100% absorption level ii) The entity lacked key performance indicators, targets, quarterly and annual performance reports and did not cost the individual activities. This impeded the assessment of implementation of planned activities. iii) All the 16 employees were fully verified, although 2 were on more than 1 payroll iv) Out of 26 approved positions, 16 were filled, leaving a gap of 10 positions v) UMDPC is not enrolled on the IPPS/HCM, which undermines the rationalisation of the HCM investment
Uganda Nurses and Midwives Council (UNMC) for period ended 30th June 2023	Human capital development	Unqualified	i) The Council was to be merged with other bodies in the FYs 2021/22 to 2022/23. This was a material uncertainty casting doubt on the Council's ability to continue as a going concern ii) Out of the NTR budget of UGX.4.348Bn, UGX.3.274Bn (75%) was realized, resulting in a shortfall of UGX.1.075Bn iii) The GoU Subvention budget of UGX.75Mn was fully realized, representing 100% performance iv) Out of the budget of UGX.200Mn expected from Implementing Partners, UGX.47.8Mn (24%) was realized, resulting in a shortfall of UGX.152.2Mn v) Out of the total of UGX.4.599Bn available to the entity, UGX.4.039Bn

			(88%) was spent, resulting in un-spent funds of UGX.559.4Mn vi) The budgets for the thirty-five (35) outputs assessed worth UGX.1.419Bn were supported by individual activity costing and budgets. vii) Out of 35 fully quantified outputs with a total of 35 activities worth UGX.1.419Bn, 19 outputs with 19 activities worth UGX.0.476Bn were fully implemented, 11 outputs with 11 activities worth UGX.0.403Bn were partially implemented and 05 outputs with five 5 activities with expenditure of UGX.0.540Bn were not implemented. viii) Out of 36 employees (February payroll), 35 (97%) who appeared for the headcount presented all the pre-requisite documents/information and were fully verified. ix) One (1) employee presented the pre-requisite documents but was not verified having attained the mandatory retirement age of 70 years, applicable to all employees of the Council. A total of UGX.114.5Mn was irregularly paid to this employee between Sept 2021 and June 2023 (period after attainment of the mandatory retirement age) x) Out of budgeted and approved wage funds of UGX.6.651Bn for four financial years (2019/20-2022/23), only UGX.5.671Bn (85%) was utilized, resulting in unutilized funds amounting to UGX.979.6 Mn xi) Out of thirty-six (36) staff (February 2023 payroll), 10 were recruited in October 2022 without obtaining clearance from the Ministry of Public Service as communicated in letter (REF: MSD/135/165/01 of 19th April 2021 to all Accounting Officers and Heads of Institutions). xii) Consequently, UGX.203,483,796 was irregularly spent on their recruitment expenses (UGX.21.9Mn) and emoluments (UGX.181.6Mn) in the financial year 2022/23 xiii) Four (4) former employees of the Council, who were on other Government entity payrolls were paid a total of UGX.192.4Mn by Council. This is irregular and the expenditure is recoverable. xiv) Out of the 59 approved positions, 38 (including the Registrar and Deputy Registrar who are required by the UNMC Act to be public servants and were on the payrolls for MoH and Mulago Specialized Women Hospital respectively) were filled, leaving a gap of 21 (35.6%) positions xv) A total of UGX.5.671Bn was paid off the IPPS/HCMS payroll, which makes tracking Government payroll expenditure difficult
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Uganda National Health Research Organization (UNHRO), for period ended 30th June 2023	Human capital development	Unqualified	i) Out of the subvention budget of UGX.240Mn, a total of UGX.205Mn (85%) was realized, resulting in a shortfall of UGX.35Mn ii) All the funds realised (UGX.205Mn) were utilized for Wage (UGX.168Mn) and Goods and services (UGX.37Mn) iii) All the five (5) outputs with a total of nine (9) activities worth UGX.37Mn were fully implemented iv) All 11 (100%) employees who appeared for the validation exercise presented all the pre-requisite documents/ information and were fully verified v) Out of the UGX.741Mn budgeted and approved as wage funds for four financial years, only UGX.706Mn was availed and was fully spent vi) Salaries amounting to UGX.35Mn for the month of June 2023 were not paid due to the shortfall in the subvention disbursement vii) Employees were paid using wrong scales/notches leading to underpayment of UGX.446.7Mn to 6 employees during the four financial years. viii) A total of UGX.706.3Mn was paid to employees off the IPPS/HCMS payroll ix) Out of the 26 approved positions, 11 were filled, leaving a gap of 15 positions.
Higher Education Students' Financing Board (HESFB)	Human Capital Development	Unqualified	i) Out of UGX.96.667Bn that was due for recovery as at 30/06/2024, only UGX.1.833Bn had been recovered, leaving a balance of UGX.94.834Bn, representing 98% unrecovered. ii) Whereas the ILMIS was supposed to have the recovery module, but the recovery component reports cannot be obtained from the system. iii) There were no repayment schedule/plan/agreements in the system for the 14,695 student beneficiaries that have been taken on by the Board from inception to date. iv) Comparison of the entity's strategic and annual work plans for the last three (3) years with the functions in the mandate revealed that the entity executed all functions apart from the one on exploring modalities for resource mobilization for the scheme. v) Out of the approved budget of UGX.45.856Bn the total funds available for spending for the year amounted to UGX.43.927Bn which was equivalent to 96% performance. vi) The Board was availed UGX.43.88Bn out of which funds worth UGX.38.8Bn (88.4%) had been utilised by the close of the financial year, leaving a balance of UGX.5.08Bn (11.6%) unutilized.

			vii) 10 outputs with 104 activities and expenditure worth UGX.3.138Bn were fully implemented. viii) Out of 27 activities, the entity fully implemented twenty-four (24) activities worth UGX.0.653.6Bn, while three (3) activities worth UGX.0.239Bn remained unimplemented.
Housing Finance Bank Limited	Sustainable Urbanisation & Housing	Unqualified	There were no reportable issues
Housing Finance Bank Limited (Pool Houses)	Sustainable Urbanisation & Housing	Unqualified	There were no reportable issues
Uganda Development Bank (UDB) Limited	Private Sector Development	Unqualified	There were no reportable issues
Pride Microfinance Limited (MDI) PML	Public Sector Development	Unqualified	There were no reportable issues
Post Bank Uganda Limited	Public Sector Development	Unqualified	There were no reportable issues
Hydropower Operations and Maintenance Excellence (HOME) Project - 2023	Energy Development	Unqualified	i) Out of the total project budget of UGX 30Bn, UGX 27.9Bn (92%) was disbursed, out of which UGX.19.2Bn was spent, representing an absorption level of 69%. ii) Many training courses under the project were short-term, tailored to the Engineering staff and do not result in certifications, which may result into a knowledge gap when the grant finally ceases in two years' time.
Imagining Gender Futures in Uganda (IMAGENU) (Project No. 17-07-AU)	Human Capital Development	Unqualified	i) Out of the UGX.530,441,320 that was budgeted for, only UGX.453,876,824 (86%) was spent, resulting in unspent balance of UGX.76,564,496 ii) UGX.4,277,000 paid to Komakech Daniel was not accounted for

implemented by Gulu University for the year ended 31st December 2023			
Industrial Court of Uganda	Administration of Justice	Unqualified	i) The entity had a total of 3,513 registered cases in the year under review. Of these, only only 529 (15%) were completed, leading to a backlog of 2,984 cases. I also noted that 953 cases had partially been heard during the year, but no judgements had been given. ii) Entity did not undertake the mandate activities of adjudicating upon questions of the law and fact arising from references to the Industrial Court and Disposing of the labour disputes referred to the court without undue delays. iii) The entity had an approved budget of UGX.5.40Bn for the year under and all the funds were released. iv) Out of the total releases of UGX.5.400Bn, UGX. 5.337Bn was utilized, leaving a balance of UGX. 0.063Bn which was for statutory obligations. v) The extent of implementation of activities for which funds were availed and utilized was assessed. Out of 4 outputs with 7 activities worth UGX.3.707Bn, two (2) outputs with 3 activities worth UGX.1.507Bn were fully implemented and two (2) outputs with 4 activities worth UGX.2.200Bn were partially implemented. vi) Three (3) outputs lacked individual activity costing, making it hard to assess their performance.
Access to Justice sub-programme (JLOS SWAP) for the financial year ended 30th June 2023	Administration of Justice	Unqualified	i) Out of the approved budget of UGX.89.329Bn, UGX.46.993Bn was released, resulting in a shortfall of UGX.42.336Bn (52.6%). ii) The funds available to spend was UGX.77.125Bn, comprising the funds released, and cash balances brought forward from 13 entities of UGX.30.132Bn. iii) Out of funds available to spend, UGX.53.404Bn (69.2%) was utilized, leaving unspent balance of UGX.23.722Bn on the program bank accounts of 16 entities, implying a negative effect on achievement of service delivery. iv) Some projects stalled due to funding cuts, reallocation of released funds and the failure to absorb available funds. Management lacked documented contingency measures to address such delays v) Several activities that had earlier been funded but not completed, did not receive disbursement in subsequent years for their completion. These included the IT systems meant to support entity operations,

			procurement of equipment and goods, consultancy services in support of various initiatives, and construction of justice centres. These may be abandoned before completion vi) There was an overestimation of the wage cost by UGX.0.51Bn vii) The sub-programme lacked a detailed risk assessment policy, risk-management guidelines, or risk register as required under the Treasury Instructions viii) Despite JLOS swap developing nine (9) IT electronic systems across the implementing entities, these were not integrated to enable seamless data sharing despite the program providing funding for integration.
Access to Justice sub-programme (JLOS SWAP) for the financial year ended 30th June 2024	Administration of Justice	Unqualified	i) The sub-programme had an approved budget of UGX.79.09Bn, out of which UGX.64.5Bn was warranted, resulting in a shortfall of UGX.14.59Bn, representing an 82% performance. The funds that were not released were intended for payment of construction works, training, disposal of cases, digitisation of processes and purchase of equipment, among others. In addition, the JLOS implementing institutions had rolled over balances to the tune of UGX.23.72Bn. ii) Funds worth UGX.71.06Bn had been utilised by the close of the financial year, resulting in an unspent balance of UGX.17.16Bn. Key activities that were partially implemented or not implemented despite the implementing entities receiving funds included the construction of Justice Centres and regional offices and activities related to addressing the backlog of cases at investigation and prosecution. iii) I reviewed the project for digitising passport and work permit records at DCIC. The slow progress of the digitisation process, with only 38% of records digitised over seven (7) financial years, highlights significant inefficiencies in achieving the intended goal. This pace could delay the realisation of the expected benefits of digitisation, such as improved record retrieval, enhanced storage management, and better service delivery. iv) I reviewed the management of the backlog of forensic investigation cases at DGAL and noted that DGAL has had a declining trend of backlog of cases over the past five (5) years. However, at the close of the financial year on 30th June 2024, the outstanding case backlog stood at 1,640 cases, which was a reduction of 7.5% from the 1,773 cases as at 30th June 2023. v) I reviewed the performance of the Industrial Court under the Ministry

			of Gender during the financial year and noted that only 529 cases were completed out of the 3,513 registered and brought forward cases. This shows only 15% performance of the actual cases, with the balance of 2,984 cases in backlogs (85%). vi) I assessed the performance of the Ministry of Internal Affairs' program to develop regulations and strategies for explosives and countering violent extremism and noted that whereas the Ministry has put in place the Explosives Act Cap 319, it lacks the necessary regulations to guide the implementation of the Act, particularly in regulating the manufacturing, storage, use, dealing, importation, exportation and transportation of explosives. vii) I undertook a review of the Directorate of Civil Litigation (DCL) system at the Ministry of Justice and Constitutional Affairs worth UGX.974Mn to confirm if the entity developed the system in a timely manner, was of acceptable quality, quantity and functionality and noted that whereas the project system was expected to have been launched in March 2024, following completion of development and testing phases, at the time of inspection (September), the system was not yet in use. I noted delays on various deliverables for phase 1. viii) I reviewed the performance of the digitisation of Birth, Death and Adoption orders documents by NIRA and noted that since the Financial Year 2019/2020, when the specifications for the BDAR were developed, the Authority has not been allocated any additional funding for the development/acquisition of the system and therefore EDMS has not been digitised. ix) I reviewed the progress of the Electronic Document management system (EDMS) and online publication system's implementation at the Uganda Law Reform Commission to assess whether the systems have been properly developed and observed that whereas the online publishing system has been developed, the EDMS was not yet developed. x) I reviewed the management of case backlogs at Uganda Police Force and noted that for the financial year 2023/24, the force had 4,700 case backlogs budgeted at UGX.715Mn, out of which only UGX.470Mn was released, representing 66% of the budget and noted that only 506 juvenile cases were investigated out of the planned 1,500 cases and that only 82 PSU cases were investigated
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			and concluded out of the planned 200 cases. The underperformance of Uganda Police in clearing the case backlogs implies that the program may not achieve its objective of the timely delivery of justice for victims and accused individuals, which may erode public trust in the justice system. xi) I noted delays in construction works and project defects at the JLOS implementing entities, i.e. Ministry of Gender, the Judiciary, Ministry of Justice and Constitutional Affairs, Office of the Director of Public Prosecutions, Uganda Human Rights Commission, Uganda Police Force and Uganda Prisons Service. In light of the above, project delays may result in increased direct and indirect costs, while defects in the works may result in further delays when correcting them. Any uncorrected defects may affect the building's integrity. xii) I reviewed the management of resources by the Secretariat and noted that the JLOS Secretariat does not have designated project staff at each implementing government unit to monitor the implementation of the project activities. xiii) Funds meant for the implementation of activities were released late. An analysis of the release schedules revealed that funds scheduled for quarterly release were not made available to the implementing institutions until three (3) months before the end of the financial year. xiv) Over the years, the sub-programme has experienced persistent underfunding. Whereas the sub-programme had a cumulative budget of UGX.505.3Bn in the last five (5) years, the total funding availed was UGX.338.4Bn, representing a shortfall of 33% or UGX.166.8Bn. xv) The implementing entities persistently failed to absorb funds amounting to UGX.171Bn over the five (5) year period, which affected the implementation of the sub-programme activities. xvi) The sub-programme did not have a detailed risk assessment policy, risk-management guidelines, or risk register. xvii) Over the years, the JLOS swap (Access to Justice sub-programme) has developed a number of IT systems across implementing entities. However, these systems aimed at improving service delivery have largely remained stand-alone with no provision for interface among the sister agencies. xviii) Out of 5 recommendations given by Parliament on the report of the
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			Public Accounts Committee Central Government on the report of the Auditor General for FY 2015/16, two (2) recommendations were fully implemented, two (2) were partially implemented while one (1) was not implemented.
Amnesty Commission	Administration of Justice	Unqualified	i) I observed that the Commission has made slow progress towards developing the Transitional Justice Policy system, which has taken over two (2) years. ii) The Amnesty Commission had a total budget of UGX.2.466Bn, out of which UGX.1.807Bn (73%) was warranted, resulting in a shortfall of UGX.066Bn which affected payment of rent, purchasing brick-making machines and sewing machines, thus affecting service delivery. iii) The Commission had one output with 12 activities worth UGX.1.807Bn that were assessed, of which ten (10) activities with expenditure worth UGX.1.42Bn were fully implemented, while two (2) activities worth UGX.0.38Bn were partially implemented. The partially implemented activities included the reintegration of reporters through training in agriculture and the holding of radio and TV talk shows. iv) The Commission failed to recover an advance payment to Toyota Uganda for the supply of a van worth UGX.80Mn made in December 2021. v) The Commission did not budget for domestic arrears from the previous year of UGX.454.56Mn. As a result, no domestic arrears were settled during the year. vi) Out of the approved structure of seven (7) Commissioners, positions for only four (4) Commissioners were filled, with three (3) positions remaining vacant. vii) Out of the two (2) recommendations given by Parliament on the Treasury Memorandum of the Report of the Public Accounts Committee on Commissions, Statutory Authorities and State Enterprises for the Financial Year 2020/21, one (1) recommendation was fully implemented while one (1) was partially implemented.
Insurance Training College (ITC)	Human Capital Development	Unqualified	i) The College reported a net surplus of UGX1.825Bn below the previous year's net surplus of UGX.1.881Bn. The fall was attributed to the increase in depreciation expenditure from UGX.0.568Bn in 2023 to UGX.0.774Bn in 2024. The reduction may affect the entity's ability to meet future obligations and/or investments. ii) The Return on Assets (ROA) shows the percentage of how profitable a company's assets are generating revenue. It measures

			Management's efficiency in using the enterprise's assets to generate earnings. The College's ROA reduced to 12% from the previous year's 19%. The College's ROA is way above the recommended 5% standard. iii) Approved procurements with an estimated cost amounting to UGX.0.058Bn in the consolidated annual procurement work plan were not implemented. Non-implementation of planned procurements delays service delivery. iv) The entity had an approved budget of UGX10.809Bn out of which UGX11.064Bn was realized resulting in excess funds of UGX0.255Bn representing 102.3% performance. v) I assessed the extent of implementation of activities for which funds were availed and utilised. A total of 4 outputs with 16 activities worth UGX9.97Bn were assessed and the following was observed. Four (4) outputs with 5 activities were partially implemented. Out of 16, the entity fully implemented eleven (11) activities worth UGX.9.010Bn, five (5) activities were partially implemented. Non-implementation of activities affects the attainment of the entity's mandate.
Investing in Forests and Protected Areas for Climate - Smart Development Project (IFPA-CD Project) Implemented by Ministry of Water	Natural Resources, Environment, Climate Change, Water and Land Management	Unqualified	i) Out of the expected Donor disbursements of USD 22.99Mn only USD 12.95Mn (56.3%) was disbursed. ii) Out of the expected GOU disbursements of USD 6.09Mn only USD 5.59Mn (91.8%) was disbursed. iii) I sampled thirty-one (31) activities worth USD 7.36Mn and noted that targets for nineteen (19) activities worth USD 1.13Mn had been fully achieved while targets for Six (6) activities worth USD 6.20Mn were partially achieved whereas Six (6) activities worth USD 0.02Mn had not been achieved. iv) Out of the approved budget of USD 19.26Mn for the financial year 2023/2024, USD 15.68Mn (81.4%) was available for spending resulting in a shortfall of USD 3.58Mn. v) Out of the total available funds of USD 15.68Mn only USD 4.50Mn was spent resulting in unspent balance of USD 11.18Mn representing an absorption level of 28.7%. vi) There was delayed designing of training modules for skilling in wood value addition which affected timely achievement of service delivery.

Irrigation For Climate Resilience Project (ICRP)	Natural Resources, Environment, Climate Change, Water and Land Management	Unqualified	i) There was a delay by MAAIF to account for funds amounting to UGX.678.18Mn which was advanced for implementation of various activities under the project. ii) Out of the expected cumulative disbursements of USD 150.50Mn, only USD 35.33Mn had been disbursed representing performance of 23%. iii) I sampled twenty-two (22) activities worth USD 31.31Mn and noted that targets for twelve (12) activities worth USD 4.63Mn had been fully achieved while targets for the remaining ten (10) activities worth USD 26.67Mn were yet to be achieved. iv) Out of the approved budget of USD 29.83Mn for the financial year 2023/2024, USD 28.76Mn (96%) was available for spending resulting in a shortfall of USD 1.07Mn. v) Out of the total available funds of USD 28.76Mn only USD 11.55Mn was spent resulting in unspent balance of USD 17.20Mn representing 40% absorption. vi) I noted that whereas 18,200 farmers were expected to benefit from matching grant of US\$ 16.6Mn, none had been enrolled at the time of audit. vii) There were delays in the construction of Kabuyanda dam with the time lapse at 52%, financial progress at 20% as well as the contractor abandoning the works and seeking to terminate the contract.
ITP Inclusive Green Economy-Environment for Development Initiative Project in Uganda (MUK) for the year ended 30th Dec 2023	Human Capital Development	Unqualified	i) Out of the received grant of USD 106,820.23, only USD 97,647.17 was utilized, leading to unspent funds of USD 9,145.22
Joint Clinical Research Centre (JCRC)	Human Capital Development	Unqualified	i) Out of the approved budget of UGX.101.654Bn, UGX.109.415Bn was realized. ii) I noted that UGX.12.429Bn remained un-utilized at the close of the year under review. iii) 60 outputs with 338 activities worth UGX.72.900Bn were assessed. I noted that 42 outputs with 291 activities and expenditure worth UGX.60.15Bn were fully implemented, while three (3) outputs with twenty-five (25) activities worth UGX.0.661Bn were not implemented at all.

			iv) The remaining 15 outputs with 22 activities worth UGX.12.089Bn were partially implemented. In this category, the entity fully implemented sixteen (16) activities worth UGX.11.489Bn, four (4) activities worth UGX.0.4Bn were partially implemented, while two (2) activities worth UGX.0.2Bn remained unimplemented. v) JCRC entered contracts worth UGX.259.1Mn with various suppliers at contract prices that exceeded the reserve prices by a total of UGX.23.2Mn.
Judicial Service Commission (JSC)	Administration of Justice	Unqualified	i) An analysis of the domestic arrears of the JSC revealed that the total arrears comprising PAYE reduced by 3% from UGX.137.98Mn in the previous year to UGX.133.84Mn as at 30th June 2024. However, only UGX.4.14Mn was budgeted to settle domestic arrears during the financial year 2023/24, and this resulted in the failure to clear a significant portion of the outstanding debt. ii) The JSC had an approved budget of UGX.20.433Bn, out of which UGX.18.075Bn (88%) was warranted, resulting in a shortfall of UGX.2.358Bn. Out of this, warrants worth UGX.17.78Bn (84%) had been utilised by the close of the financial year. iii) Out of the 10 outputs with 84 activities worth UGX.16.681Bn which were assessed, three (3) outputs with 14 activities and expenditure worth UGX.2.402Bn were fully implemented while seven (7) outputs with 70 activities worth UGX.14.280Bn were partially implemented. iv) Out of 70 activities, JSC fully implemented 53 activities worth UGX.12.087Bn and 17 activities worth UGX.2.193Bn were partially implemented. v) I reviewed the performance of complaints handling by the JSC and noted that whereas preliminary evaluation of complaints is expected to take one (1) day, the JSC often takes longer than the planned timeframe and has accumulated a backlog of complaints awaiting evaluation. Additionally, JSC did not maintain summary records of complaints received and evaluated, which prevented me from assessing the performance of the Commission in complaints evaluation. vi) The Investigations Department handled only 54% of the cases received from the evaluation unit under the Directorate of Disciplinary Affairs. Out of the 154 complaints received during the year, the Complaints Investigation Team investigated and recommended further action for only 84 cases, resulting in a backlog of investigation cases.

			vii) I observed that out of the 198 cases received by the Disciplinary Committee, only 106 were scheduled and heard, reflecting a performance rate of 53%. This partial performance resulted in a backlog of cases yet to be heard. In contrast, the full Commission's performance during the year was a 100% clearance rate of the cases it received. viii) I undertook a special audit of the pension payroll, and a separate report was issued. ix) From the reviewed Treasury memorandum of the Report of the Public Accounts Committee on Commissions, Statutory Authorities and State Enterprises for the Financial Year 2020/21, out of the seven (7) recommendations made by Parliament, five (5) were fully implemented, one (1) was partially implemented while one (1) was not implemented.
Judiciary (Courts of Judicature)	Administration of Justice	Unqualified	i) Management accrued domestic arrears to the tune of UGX.3.862Bn in the Financial Year 2023/2024. Further analysis of the arrears revealed that 73% of the debts were accrued for rent, which is contractual and therefore unavoidable, and for the repair of motor vehicles, which judicial officers need to deliver on their mandate. ii) The Judiciary had an approved budget of UGX.392.778Bn, out of which UGX.362.637Bn was warranted, resulting in a shortfall of UGX.30.14Bn, representing a 92% performance. The non-released funds comprised of UGX.5.0Bn that was meant for payments of contractual obligations incurred on projects constructed under the JLOS SWAP that were unfunded, funding to facilitate the disposal of court cases, and funding for various procurements, including motor vehicles, furniture, ICT equipment and motorcycles. iii) The Judiciary had total warrants of UGX.362.64Bn, out of which warrants worth UGX.351.10Bn had been utilised by the close of the financial year. The balance of UGX.11.54Bn was meant to pay salaries for staff, pension and gratuity for retiring staff. iv) Sixteen (16) activities worth UGX.65Bn were partially implemented despite the release of the required funds. For example, I noted that funds were available to dispose of cases and establish breastfeeding and children's playrooms, but these were partially implemented. v) A review of 878 case files of civil suits completed in the year 2024 revealed that 781 (89%) had been completed within the stipulated 24 months, while 97 case files (11%) took between two (2) years to 14

			years to be completed. In addition, A review of a sample of 889 case files of criminal cases completed in the year 2024 revealed that 706 cases (79%) were concluded within the stipulated 12 months, while 183 cases (21%) took anywhere from one (1) year to as a long as 22 years to conclude. vi) I reviewed a limited sample of the performance statistics for plea bargains in Judiciary and observed that the overall uptake and success of the mechanism needs further improvement. For instance, within the selected court performance, I found that plea-bargains' success varied from a performance of 0% to as high as 100% within the year. vii) I reviewed the statistics on mediations to assess their performance and observed a similar pattern of low updates. Overall, the clearance rates for cases referred to mediation were 21%, while significantly low performance was at higher courts. viii) I observed that the average length on remand for petty offences was 2.7 months against a recommended duration of two (2) months and six (6) months for capital offences against a recommended duration of six (6) months, respectively. A review of the average time spent on remand shows that over 1,722 petty offenders spent between seven (7) to twelve (12) months on remand, while over 1,313 capital offenders not yet committed to the High Court spent an average of seven (7) to twelve (12) months on remand, all partly attributed to slow judicial processes to conclude cases. ix) I assessed the performance of key construction projects in terms of project cost and timelines and observed that all six (6) projects were behind schedule. However, none had exceeded their initial project cost. x) I reviewed construction projects initially started under the JLOS SWAP project but later taken on using GoU funding, to assess both physical and financial progress and observed that all but two (2) of these projects have since been completed. The remaining two projects have experienced time lags, resulting in the abandonment and termination of the contracts. xi) A review of the bail deposits revealed that there had been an accumulation of the funds on the trust account overtime, with total bail funds increasing by 50% from UGX.16.179Bn in the FY 2021/22 to UGX.24.291Bn at the end of the FY 2023/24. An analysis of the refunds revealed that the percentage of bail refunds relative to the
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			bail balance remains below 30%, with only 10% refunded in the financial year 2023/24. xii) I undertook Information Systems Audit of the Electronic Court Case Management System (ECCMIS) and a separate report was issued. xiii) I undertook an audit of the two (2) Treasury Memoranda for FY 2015/16 and 2020/21 and noted that out of the 28 recommendations issued by Parliament, 11 were fully implemented, 15 were partially implemented, and two (2) were not implemented.
Kabale-Lake Bunyonyi and Kisoro-Mgahinga Road Improvement Project ADB Credit No. 2100150042497 and Ug-Project Id P-Ug-D00-003	Human Capital Development	Unqualified	i) As of 30th June 2024, cumulative donor disbursements for the project amounted to USD 3.84M, significantly lower than the expected USD 67.23Mn, leaving undisbursed funds of USD 63.39Mn. ii) Due to the slow disbursement of donor funds, the project incurred commitment charges totaling USD 982,053.44 as at 30th June 2024 since 11th August 2022. iii) Despite the financing agreement not specifying counterpart funding, the Government of Uganda had contributed UGX.39.32Bn for land compensation and monitoring. iv) As of 30th June 2024, key activities such as road works and institutional capacity building had not commenced, ferry construction was at 30%, and 195 PAPs remained uncompensated (UGX.5.73Bn). v) The project achieved 100% performance in fund releases for the financial year 2023/2024, with the full approved budget of UGX.39.875Bn disbursed. vi) Out of the total available project funds of UGX.39.95Bn for FY 2023/2024, only UGX 12.8Bn was spent, leaving an unspent balance of UGX.27.14Bn and an absorption level of 32%.
Kabale University	Human Capital Development	Unqualified	i) The University had outstanding payables of UGX.1,788,619,748 as at 30th June 2024, out of which UGX.1,778,758,881 relates to earlier financial years. ii) I noted that 12 programs were found to have 628 excess students compared to those provided by NCHE without seeking fresh review of the existing accreditation. iii) The University had an approved budget of UGX.67Bn out of which UGX.66.5Bn was warranted resulting in a shortfall of UGX.0.5Bn representing 99% performance. As a result, planned activities such as the acquisition of ICT equipment were not undertaken. iv) The entity had total warrants of UGX.66.5Bn out of which warrants worth UGX.66Bn had been utilized by the close of the financial year

			leaving a balance of UGX.0.5Bn not utilized. v) Five (5) outputs with 8 activities worth UGX.4.77Bn were fully implemented. vi) One (1) output with 4 activities worth UGX.1.5Bn was partially implemented. Out of the 4 activities, 3 activities worth UGX.1.25Bn were fully implemented while 1 activity worth UGX.0.25Bn was not implemented. vii) I noted delays in construction of the science laboratories and phase 1 of the faculty of engineering block.
Greater Kampala Metropolitan Area Urban Development Program	Agro-industrialization Community mobilization and mindset change Development plan implementation Digital transformation Human capital development Integrated transport infrastructure and services Natural resources, environment, climate change, land and water Public sector transformation Tourism development Human Capital Development	Unqualified	i) The program had not commenced on the procurement and set up of the program Management Information System (MIS). ii) Salaries of the Program Support Team/Program specialists for November and December 2023 and January to March 2024 were delayed by 4 (four) months. iii) Management delayed settling suppliers' invoices by over 45 days which constrains service providers' cash flows. iv) The GKA program delayed commencing operations since the financing agreement was signed in November 2023 and the loan became effective on 28th December 2023 resulting in a delay of one year and seven months from the initial program's planned start date of 31st May 2022. v) The program suffered a loss of USD.22.75Mn due to the currency depreciation of the USD against the SDR. vi) The AFD co-financing agreement was yet to be signed and as such the AFD financing had not been secured. vii) Out of the budget of UGX.19.14Bn, only UGX.18.98Bn was available for spending resulting in a shortfall of UGX.0.16Bn which affected implementation of planned activities. viii) Out of the total available funds of UGX.18.98Bn, only UGX.13.298Bn was spent resulting in an unspent balance of UGX.5.751Bn which affected implementation of activities. ix) Out of the available funds of UGX.18.9Bn only UGX.5.4Bn was transferred to the local governments and KCCA on the 13th and 15th of May 2024 respectively implying that the beneficiary entities only had one (1) and a half month to implement the planned activities for the year. x) Out of the planned 35 program activities, 26 program activities worth UGX.6.068Bn (31%) could not be assessed because these activities

			were not quantified and lacked clear and measurable performance indicators. xi) I analysed the remaining nine (9) activities that were quantified worth UGX.13.07Bn and noted three (3) activities worth UGX.7.97Bn were fully implemented, four (4) activities worth UGX.3.47Bn were partially implemented while two (2) activities worth UGX.1.63Bn were not implemented at all. xii) The Program delayed finalising designs for road designs, markets and drainage channels for clusters 1, 2 and 3, fill critical positions of senior labour officers and engineers, partition office premises and procure office vehicles.
Kampala Institutional and Infrastructure Development Project Phase II (KIIDP-II) for five months period ended 30th Nov 2023	Public Sector Transformation	Unqualified	i) The project had outstanding commitments of UGX.34.4Bn out of which UGX.21.7Bn relates to unpaid contractual obligations for five (5) works projects which had accumulated interest of UGX.8.04Bn as at 30th June 2024. ii) The project had outstanding receivables of UGX.2.7Bn which was an advance yet to be recovered from the contractor for Lubigi drainage works. iii) The total cumulative project disbursements from the donors were less than expected by USD.17.08Mn as per the project financing agreement, thus affecting implementation of activities. iv) The total cumulative project disbursements from GoU were more than expected by USD.6.50Mn due to the increase in the number of PAPs to be compensated. v) Sustainability of project investments is still a challenge due to the inadequate funding for maintenance of completed infrastructure. KCCA has failed to maintain completed drainage works, solar streetlights and to operationalise the iRoads system. vi) The project had roads and bridges worth UGX.376.8Bn, land worth UGX.3.9Bn and 22 motor vehicles which were all handed over to KCCA, following project closure. These assets were yet to be included in the fixed assets register of KCCA.
Kampala - Jinja Expressway (KJE) Project	Integrated Transport Infrastructure & Services	Unqualified	i) The procurement process for the Kampala Jinja Expressway, initiated in May 2018, remains incomplete as of September 2024, primarily due to delays in approving the Partial Risk Guarantee (PRG) requested by prequalified consortia. ii) As of 30th June 2024, cumulative donor disbursements for the project amounted to only USD 343,983.50, significantly lower than the

			expected USD 229,470,000, leaving undisbursed funds of USD 229,126,016.50. iii) The Government has incurred commitment fees totaling USD 1,718,445, further escalating project costs. iv) The Government of Uganda has contributed UGX.508.12Bn, of which UGX 498.44Bn was used to compensate 4,505 out of 16,058 Project-Affected Persons (PAPs), with progress hindered by budget constraints and unresolved cabinet approval for compensating PAPs on public land. v) The Project Implementation Unit (UGX.1.27Bn) has not been established due to delays in recruiting the Team Leader and uncertainty regarding project funding and bankability. vi) Civil works procurement has been delayed by five years due to funding and bankability issues, with bids now expected in January 2025. vii) The project had an approved budget of UGX.23.2Bn for FY 2023/2024, which was fully released by the Government of Uganda (GOU), achieving 100% performance. viii) Out of UGX.24.5Bn available for FY 2023/2024, only UGX.23.2Bn was spent, resulting in an unspent balance of UGX.1.3Bn and an absorption rate of 94.8%. The unspent funds, held in the project account, were intended for establishing the Project Implementation Unit (PIU).
Kampala Metropolitan Transmission System Improvement Project	Energy Development	Unqualified	i) Cumulative disbursement of donor funds was at 16% while that of GoU/Counter Part funds was at 89%. Low disbursements were due to the delayed procurement of the project supervision consultant. ii) Out of the six (6) activities implemented in the project, targets for four (4) activities were partially achieved while targets for two (2) were fully achieved. iii) The Project had an approved budget of USD. 16,649,169 for the financial year 2023/2024, out of which only USD. 15,196,533 (91%) was realized due to delays in execution of works by contractors given that disbursements are based on invoices. iv) Out of the total available funds available for the year totaling USD 19,877,165 USD.15,624,463 a sum of was spent representing an absorption level of 78%. The under absorption was attributed to procurement delays.
Mirama-Kabale Transmission line and Distribution	Energy Development	Unqualified	i) The Environmental and Social Audit (ESA) licence had expired in 2019 and by the time of audit had not been renewed.

(132kv) Project for period ended 30th June 2021			
Mirama-Kabale Transmission line and Distribution (132kv) Project for the period ended 30th June 2022	Energy Development	Unqualified	i) The Environmental and Social Audit (ESA) licence expired in 2019 and by the time of audit had not been renewed. ii) The contractor suspended all construction works effective November 28, 2023, and demobilized resources. iii) Extension lines, operated by UMEME, were not properly maintained. This was noted in Okwira TC (Scheme T23), Pamusa TC (Scheme T01), Katerema C (Scheme T01).
Kampala Water Lake Victoria Water and Sanitation (KW-LV WATSAN I) Project Implemented by NWSC for the year ended 30 June 2024	Natural Resources, Environment, Climate Change, Water and Land Management	Unqualified	There were no reportable issues
Kampala Water Lake Victoria Water and Sanitation (KW-LV WATSAN II) Project implemented by NWSC for the year ended 30th June 2024	Natural Resources, Environment, Climate Change, Water and Land Management	Unqualified	There were no reportable issues
Integrated Water Management and Development Project (IWMDP) implemented by NWSC for the year ended 30th June 2024	Natural Resources, Environment, Climate Change, Water and Land Management	Unqualified	There were no reportable issues

Integrated Water Management and Development Project (IWMDP) implemented by MWE for the year ended 30th June 2024	Natural Resources, Environment, Climate Change, Water and Land Management	Unqualified	i) Out of the expected cumulative donor disbursement of US\$280.00Mn only US\$152.33Mn was received representing a 54% performance. ii) The Project had an approved budget for external financing of UGX.149.67Bn (US\$40.45Mn), out of which UGX.145.21Bn (US \$38.02Mns) was remitted, representing 93.9% performance. The funds remitted, added to the project opening balance of UGX.80.47Bn, implies that the funds available to spend were UGX.225.68Bn (US\$60Mn). iii) I sampled thirty-five (35) activities worth US \$223.74Mn and noted that targets for Thirteen (13) activities worth US \$17.79Mn had been fully achieved while targets for the remaining twenty-two (22) activities worth US \$205.95Mn were yet to be fully achieved. iv) Out of the total available funds of US\$60.00Mn, only US\$28.01Mn was spent, resulting in unspent balance of US\$31.98Mn representing an absorption level of 46.7%. The unspent funds were still held on the Project bank accounts in Bank of Uganda.
Kawempe National Referral Hospital (KNRH)	Human capital development	Unqualified	i) The Hospital realized an increase in domestic arrears and other payables from UGX.0.73Bn at the end of the previous financial year to UGX.1.37Bn at the close of the year under review representing an increase of 87.7%. ii) NMS delivered supplies amounting to UGX.4.76Bn out of the hospital's budget of UGX.5.5Bn resulting into a discrepancy of UGX.0.74Bn, representing an under-delivery of 13.5%. iii) The hospital store does not have sufficient space and is not laid out to allow clear separation of different materials and products to minimise the risk of contamination and/or potency degradation, which may make the products unsafe for human consumption. iv) Out of the approved staff strength of 934 positions, only 435 positions were filled, leaving a gap of 499 positions, representing a staffing level of only 46.57%. This was far below the national average of 68%. v) The non-functioning of the oxygen filling station for about 6 months resulted in the hospital spending UGX.320.4Mn on piped medical oxygen and refilling of oxygen cylinders during the year. It also led to the Radiology Department being unable to carry out scan requests leading to the patients who could afford to have them done from outside the hospital. vi) The entity's mandate of Adolescent health and Research did not have

			clear deliverables in the annual work plan. vii) Warrants worth UGX.18.42Bn out the available warrants of UGX.22.74Bn had been utilised by the close of the financial year resulting in the balance of UGX.4.32Bn un-utilised. viii) All the 10 outputs with 41 activities worth UGX.16.36Bn that were assessed were fully implemented. ix) The hospital's gas filling station, CT scan and Fluoroscopy machine which were recently installed have not been working for over six months. The non-functioning of the filling station resulted in the hospital spending UGX.320Mn on piped medical oxygen and refilling oxygen cylinders during the period. x) The hospital was allocated drugs and medical supplies worth UGX.5.5Bn at NMS. I noted that drugs and medical supplies worth UGX.0.740Bn were not delivered during the period. This represented 13.4% of the planned deliveries to the hospital. xi) I noted that the hospital lacks sufficient storage space for medicines and medical supplies delivered to the hospital. The approved structure provides for 15 staff in the inventory management section; however, I noted that only seven (7) three (3) positions were filled and of which four (4) were porters. xii) I undertook a special audit of the pension payroll, and a separate report was issued.
Kayunga Referral Hospital	Human capital development	Unqualified	i) Notes 26 (Property, Plant and Equipment) and 27 (Non-produced Assets) revealed significant increases in asset balances of UGX.75.864Bn and UGX.3.6Bn respectively, caused by new additions in the year whose values were based on management estimates as guided by Accountant General. The estimates were not backed by valuations by the Government Chief Valuer. ii) Out of the approved structure of 1,112, only 172 (15%) positions were filled, leaving a gap of 940 (85%). Some of the gaps were in key positions including Senior Consultant (Cardiology, Infectious diseases, Medicine, Neurology). iii) The RRH did not utilize funds of UGX.0.53Bn, which was meant for Recruitment of staff, payment of utility bills. iv) I analysed a sample of 7 key outputs with total expenditure of UGX.4.16Bn and noted that 6 (86%) outputs with expenditure UGX.3.65Bn were fully implemented, 1 (14%) output with expenditure of UGX.0.513Bn was partially implemented.

			v) One Oxygen plant and the kitchen for the private wing was non-functional. vi) I noted that the health facility had accumulated expired drugs. I also noted instances of drug stock outs of EMHS vii) Inspection of the stores revealed that storage space was not adequate, pallets were available but these were not adequate, medical Sundries were stored in the corridor, recently delivered supplies did not have space to be stored, fire extinguishers and fire extinguisher balls were not available and accessible while the hospital had a fire horse in the corridors. viii) Less quantity of Blood was being delivered by Nakasero Blood bank as compared to the orders made by the RRH. ix) The RRH lacked 89 medical equipment that are required as a minimum to offer health services. x) There were only two people designated to both manage the storage, distribution, and control of medical equipment and supplies and to also supervise the management of the medical equipment in the RRH which over stretches and overwhelms the staff xi) The RRH had not repaired its medical equipment such as the incinerator, baby warmers for premature babies, and autoclaves, among others, which is critical for the provision of health services. xii) The RRH had 64 damaged beyond repair equipment that were due for disposal but the RRH did not have a budget or a disposal plan for the equipment. xiii) There was no proper storage for the obsolete and damaged equipment xiv) The RRH lacked an ICU to take care of patients that required specialized treatment xv) UPDF constructed the Oxygen plant at UGX.0.55Bn and delivered all parts in May 2023, however, to date it has not been operational xvi) There was inadequate staff accommodation for the newly recruited staff. xvii) The RRH lacked an isolation center to manage patients with infectious diseases such as tuberculosis, Ebola, Covid-19. - xviii) The RRH's private wing kept its medical supplies in the store that did not have favourable conditions for storage, the store did not have a thermometer to monitor temperature conditions, there was no fire extinguisher, and it had defects in the ceiling that allowed leakage
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			of water from the roof. xix) I undertook a special audit of the pension payroll, and a separate report was issued.
Entebbe Regional Referral Hospital	Human capital development	Unqualified	i) Notes 26 (Property, Plant and Equipment) and 27 (Non-produced Assets) revealed significant increases in asset balances of UGX.0.34Bn and UGX.0.75Bn respectively, caused by new additions in the year whose values were based on management estimates as guided by Accountant General. The estimates were not backed by valuations by the Government Chief Valuer. ii) The RRH did not utilize UGX.2.4Bn of the amount warranted. These funds were meant for the payment of salaries, pensions and recruitment of staff. iii) I analysed a sample of 5 key outputs with total expenditure of UGX.2.5Bn and noted that 4(80%) outputs with expenditure UGX.2.02Bn were partially implemented. However, 1(20%) output worth UGX.0.48Bn was not quantified to enable assessment iv) The newly approved staff structure that was communicated by MoH had not been implemented by the RRH. Even then, out of the approved old structure of 566, only 193 (34%) positions were filled, leaving a gap of 373 (66%) positions. Some of the key unfilled positions included Hospital Director, Senior Consultant (Internal Medicine), Senior Consultant (Paediatrics). v) Inspection of the stores revealed that storage space was not adequate, pallets were available but were not adequate, medical Sundries were stored in the corridor and recently delivered supplies did not have space to be stored. vi) There was less blood (quantity) delivered by Nakasero Blood bank as compared to the orders made by the RRH. vii) The RRH lacked 136 medical equipment that are required as minimum to offer health services. viii) There was only one staff designated to manage the storage, distribution, and control of medical equipment and supplies and to also supervise the management of medical equipment in the RRH. ix) The RRH had not repaired its medical equipment such as the incinerator, baby warmers for premature babies, and autoclaves among others which is critical for the provision of health services. x) The RRH had 51 damaged (beyond repair) equipment that were due for disposal, but the RRH did not have a budget or a disposal plan for

			the equipment xi) The RRH lacked an ash pit on the Hospital premises, the incinerator was in place but was not fully functional, it lacked a heat regulator, the placenta pit was not adequate, the waste bins were not adequate. xii) The Infectious/clinical waste was burnt in open space contrary to the guidelines xiii) The RRH did not undertake waste assessments during the year under review. xiv) The RRH did not have a comprehensive waste management plan. xv) The RRH's isolation ward for the ICU was non-operational and was not organized and functional to take care of patients that required specialized treatment. xvi) I noted that the UPDF constructed the Oxygen plant at UGX.0.55Bn and delivered all parts in May 2023, however, to date it has not been operational. xvii) The RHH lacked staff accommodation for the staff, which made hospital operations difficult. xviii) Grade A is dilapidated and condemned which has reduced the bed capacity for ERRH xix) I noted that there was no progress in the upgrade of Grade A hospital into a specialized hospital. xx) The tuberculosis wards in the isolation centre were turned into storage space for supplies and equipment because the Isolation lacked a designated storage space. xxi) I noted that the isolation centre did not have an incinerator within the premises. xxii) I undertook a special audit of the pension payroll, and a separate report was issued.
Gulu Regional Referral Hospital	Human capital development	Unqualified	i) Disclosed in the statement of financial position under note 28(a) on page 8 of the financial statements are payables amounting to UGX.0.327Bn. The amount increased by UGX.0.059Bn (22%) from UGX.0.267Bn in the previous year. ii) Out of the approved budget of UGX.16.262Bn, the total warrants for the year amounted to UGX.16.015Bn resulting in a shortfall of UGX.0.247Bn representing 98% performance. iii) Out of the total warrants of UGX.16.015Bn, only UGX.14.574Bn had been utilised by the close of the financial year, leaving a balance of UGX.1.441Bn not utilised.

			iv) Out of a sample of four (4) outputs with 23 activities worth UGX.3.196Bn assessed, 2 outputs with 14 activities and expenditure worth UGX.2.592Bn were fully implemented while two (2) outputs with 09 activities worth UGX.0.604Bn were partially implemented. v) I noted that out of 485 approved positions, a total of 339 positions were filled leaving a gap of 146 vacant positions as per the establishment. vi) I noted that four (4) equipment were both being underutilized and unutilized in accordance with patient load. xxiii) On inspection of the stores and the laboratory ,I noted that the Store had developed cracks on both the roof and the wall while the laboratory had insufficient space to accommodate other equipment such as the fridge that was procured which was procured was still being kept in the stores. xxiv) I undertook a special audit of the pension payroll, and a separate report was issued.
Lira Regional Referral Hospital	Human capital development	Unqualified	i) Out of the total warrants of UGX.18.593Bn, only UGX.17.322Bn had been utilised by the close of the financial year, leaving a balance of UGX.1.270Bn not utilised. ii) Out of a sample of six (6) outputs with 37 activities worth UGX.3.505 Bn assessed, 4 outputs with 21 activities and expenditure worth UGX.1.053Bn were fully implemented while two (2) outputs with 16 activities worth UGX.2.452Bn were partially implemented. iii) I noted that the hospital started operating a private wing in which patients are charged for medical service. As a result, the RRH collected NTR worth UGX.0.623Bn, which is reflected in the commentary by the head of accounts on page 7 of the financial statements. However, only UGX.0.050Bn was remitted to the consolidated fund leaving UGX.0.598Bn not transferred to the consolidated fund and spent at source. iv) Out of 532 approved positions on traditional staff establishment, 324 positions were vacant, while 1 position was filled over and above the approved structure. v) I observed that the hospital stores space is inadequate to sufficiently accommodate delivery and storage of medicines and medical supplies. vi) Four (04) of the sampled procurements worth UGX.0.370Bn were not in the approved budget. vii) Four (04) contracts were awarded to contractors who did not fully

			comply with the set evaluation criteria. viii) I undertook a special audit of the pension payroll, and a separate report was issued.
Kabale Regional Referral Hospital	Human capital development	Unqualified	i) I assessed the extent of implementation of activities for which funds were availed and utilised. A total of 6 outputs with 28 activities worth UGX.11.583Bn were assessed and the following was observed. a) 2 outputs with 16 activities worth UGX.2.445Bn were fully implemented. b) 4 outputs with 12 activities worth UGX.9.138Bn were partially implemented. Out of 12 activities, the entity fully implemented four (4) activities while eight (8) activities were partially implemented. ii) Some of the expenditures reported in the SEFA lacked documentary support such as bus receipts and activity reports such as acknowledgement of receipt of funds. The total amount of USD relating to bus fares, taxi charges and travel costs were charged to G2G SEFA without sufficient documentary support. iii) There was no evidence of approval of the vehicle requisition forms by the PHA. iv) There was no evidence of approval of the funds requisition forms by the director. v) There were inconsistencies between the amounts paid as per the GoU night allowances rates and the amounts actually paid to the project staff. vi) During the audit I noted an exchange rate difference of USD 1,012 between the expenditure amount as per the USAID Phoenix report and the translated Schedule of Expenditures of USAID awards to Kabale RRH. vii) I inspected some of the equipment in the Hospital and noted the following; a) Two (2) ultrasound machines broke down and were non-functioning. b) ICU beds, broken down and not in use. c) Worn out Incinerator with smoke not moving through the chimney. viii) I noted that in the financial year under review, the Hospital's Oxygen plants were not functional and as such faced challenges in providing Oxygen to patients in need.

			ix) I reviewed the delivery notes and invoices from the NMS and noted delays in delivery of Essential medicines. x) I reviewed five of the hospital orders and noted that although the Hospital made orders for Essential Medicines worth UGX.1.093Bn, the Hospital received essential medicines worth UGX.0.962Bn leading to variance of UGX.0.130Bn. I further noted that 2,595 Essential Medical items were ordered, however only 1,472 were delivered leading to a variance of 1,123 medical items. xi) I undertook a special audit of the pension payroll, and a separate report was issued.
Mbarara Regional Referral Hospital	Human capital development	Unqualified	i) The RRH had total warrants of UGX.17.326Bn out of which UGX.16.631Bn was utilized leaving UGX.0.695Bn un-utilized. ii) MRRH did not receive UGX.1.487Bn of its approved Budget for implementation of certain key activities. iii) I assessed the extent of implementation of activities for which funds were availed and utilized. A total of 4 outputs with 25 activities worth UGX.4.273Bn were assessed and the following was observed; a) Four (4) outputs with twenty-five (25) activities worth UGX.4.273Bn were partially implemented. Out of 25 Activities, the hospital fully implemented 8 activities and partially implemented 17 activities. iv) I assessed one project worth UGX.5.715Bn whose construction works had been delayed by 3 months (expected completion date was 02/09/2024). v) I sampled 17 essential medicines and reviewed the orders, delivery, consumption, balances and noted stock outs in a number of medicines. Some of the stock outs were up to a period of ten (10) months. In other instances, management borrowed medicines from other lower health facilities to respond to the stock outs. vi) My inspection of the x-ray unit revealed that the unit had not been operating for the past 3 months by the time of audit inspection. This was attributed to a complete breakdown of all the X-RAY machines in the unit. vii) I noted that MOH delivered a new CT scan Machine, However, this was not in use because of lack of essential accessories to facilitate its full. viii) I inspected the main theatre and noted the following; a) The hospital has a theatre of 8 operating rooms but only 6 were

			operational at the time of audit inspection. The two rooms that were not operational lacked equipment and operating tools such as; Operating table, anesthesia machines, operating lights and operating instruments among others. b) A number of equipment had mechanically broken down and could not be repaired; these included the water heater, anesthesia machines, operating beds, drip stands, trolleys and rusted weighing scale for babies. c) Faulty autoclave that required boarding off. This equipment had been non-functional for over a year, yet it remained in the store. ix) I inspected the hospital ICU and noted the following; a) The unit had a total of 8 rooms and 8 beds but only 2 out of the 8 beds were functional despite the hospital nursing 5 patients at the time. b) There were only 3 functional ventilator machines out of the required 8 for the 8 rooms. c) Only 3 monitors were functional in three rooms. The rest of the 5 monitors did not have critical accessories to enable their full functionality. x) Out of the 7 target (indicators) outputs of UGX.0.449Bn, five (5) targets with expenditure of UGX.0.311Bn were fully achieved while 2 targets of UGX.0.061Bn were partially achieved. xi) I reviewed the approved structure and noted that out of the approved structure of 1,269, only 301 (23.7%) positions are filled leaving a gap of 968(76.38%) vacant. xii) I undertook a special audit of the pension payroll, and a separate report was issued.
Mubende Regional Referral Hospital	Human capital development	Unqualified	i) There was a significant increment in the asset account balances of UGX.23.086Bn (98%) for Property, Plant and Equipment and UGX.1.050Bn (100%) for Non-produced Assets as a result of change in the accounting policy to full adoption of the accrual basis of accounting. ii) The entity had total warrants of UGX.13.371Bn out of which UGX.12.452Bn had been utilized by the close of the financial year. iii) I assessed the extent of implementation of 13 outputs with 47 activities worth UGX.12.452Bn and noted that two (02) outputs with eight (08) activities and expenditure worth UGX.12.054Bn were fully implemented. Eleven (11) outputs with thirty-nine (39) activities worth

			UGX.0.398Bn were partially implemented. iv) I inspected a completed project of a constructed multi-purpose building at the Hospital worth UGX.9.354Bn and noted that although the complex was complete it was not functioning theretofore not offering services as intended. v) The hospital experienced delays in delivery of medicines and sundries to the hospital by National Medical Stores with lead-times ranging between 11 to 92 days. vi) I noted that out of an approved structure of 1,195 positions for the hospital, only 290 (24%) are filled leaving 907 (76%) vacant. vii) I reviewed the hospital's strategic plan for the period 2020/21-2024/25 and noted that that several critical activities /project developments worth UGX.12.46Bn were not implemented as outlined in the strategic plan and the projected budget and expenditure income of UGX.25.02Bn for the period. viii) I undertook a special audit of the pension payroll, and a separate report was issued.
Moroto Regional Referral Hospital	Human capital development	Unqualified	i) The RRH had total warrants of UGX.12.815Bn out of which UGX.11.854Bn was utilized leaving UGX.0.961Bn un-utilized. ii) I noted UGX.0.061Bn was collected as NTR without the basis of assessment and the said funds were not remitted to the TSA for warranting but rather spent at source. iii) I noted that RRH diverted UGX.0.096Bn meant for electricity bills to cater for electrical supply and maintenance. iv) I assessed the extent of implementation of activities for which funds were availed and utilized. One (1) output with one activity worth UGX.0.120Bn was assessed and was fully implemented. v) I noted that the Hospital absorbed credit line from NMS of UGX UGX.0.767Bn out of allocated UGX.0.869Bn resulting into under absorption of UGX.0.102Bn. vi) I noted that Out of the ordered essential medicines of 3,684 by the hospital, only 2,819 was delivered by the NMS resulting into a shortage of 865. vii) I noted that out of 368 approved positions on traditional staff establishment, 132 positions were vacant, while 24 positions were filled over and above the approved structure. viii) I undertook a special audit of the pension payroll, and a separate report was issued.

			ix) I inspected service delivery areas and noted the following; a) In the ICU, out of the 53 required Staff, only 3 (5.6%) positions were filled, leaving 50 (94.4%) vacant. b) The Hospital lacked designated room as ICU opting to use Magnetic Resonance Imaging Room (MRI) with bed Capacity of three (3) beds c) Only two (2) oxygen plants at the RRH were both nonfunctional. d) The mortuary was initially designed for Moroto District Hospital before it was made a Regional Referral Hospital. There is limited space for hygienic storage and examination of the dead bodies until burial.
Jinja Regional Referral Hospital	Human capital development	Unqualified	i) The Hospital had an approved budget of UGX.23.624Bn out of which UGX.23.445Bn was warranted resulting in a shortfall of UGX.0.178Bn representing a 99% performance. ii) Out of UGX.3.46Bn verified domestic arrears at the end of financial year 2022/23, only UGX.0.17Bn (5%) was budgeted for, leaving UGX.3.30Bn (95%) un-budgeted for. iii) Management only budgeted for and paid salary and pension arrears. The other categories of arrears amounting to UGX.0.35Bn were not budgeted for and therefore not paid. iv) The outstanding water bill for the hospital increased from UGX.2.12Bn in FY 2022/2023 to UGX. 3.80Bn (76%) at the end of FYR 2023/ v) Out of the approved Staff positions 1,269, only 389 (31%) were filled, leaving 880 (69%) vacant. vi) Key equipment including fixed x-ray machine, Anaesthetic machine and sonography were missing at the Hospital. The x- ray machine that is in place is non-functional. vii) I noted that an Ultrasound scanner that was purchased in June 2022 at the cost of UGX.3.5Mn from St Jude Electrical and Medical Equipment Workshop to be used in OBS/GYN unit was not operational. viii) I undertook a special audit of the pension payroll, and a separate report was issued.
Mbale Regional Referral Hospital	Human capital development	Unqualified	i) Revised approved budget of UGX.18.902Bn out of which UGX.18.807Bn was warranted resulting in a shortfall of UGX.0.094Bn representing a 99% performance. ii) Out of 1,265 approved positions on Central Ministry Employees, 911 positions were vacant, while 354 positions were filled representing an understaffing of 72% of the approved structure.

			iii) The Hospital has a doctor to population ratio estimated at about 1:460,000 given its catchment area population of 4.6m people. iv) The Hospital had limited accommodation for the over 354 staff in post, only 98 staff (28%) currently have accommodation with housing gap of at least 256 house units. v) I undertook a special audit of the pension payroll, and a separate report was issued.
Soroti Regional Referral Hospital	Human capital development	Unqualified	i) The hospital had accumulated domestic arrears worth UGX. 0.63Bn. ii) Out of the approved structure of 1,231, only 283 (23%) positions were filled leaving 948 (77%) positions vacant. iii) The RRH was supposed to collect revenue to the tune of UGX.0.20Bn, however, by the end of the year only UGX.0.15Bn had been collected representing 75% performance. iv) 14 activities worth UGX.0.25Bn were partially implemented and 7 activities worth UGX.1.25Bn were not implemented. v) 10 staff were absent from duty for an average of 14 days in the month of June 2024. The staff were paid UGX.0.023Bn for the period when absent. vi) Out of the five (5) radiant baby warmers at the NICU, only two (2) were functional and in use at the unit. vii) The intensive care unit was lacking enough Oxygen at the time of Audit. viii) There were no temperature control gadgets installed in the medicine store. ix) The Male surgical ward was constructed in 1944 and is currently still in use in a dilapidated state. x) The Hospital had several obsolete/non-repairable equipment that was due for disposal but had no disposal plan. xi) I undertook a special audit of the pension payroll, and a separate report was issued.
Arua Regional Referral Hospital	Human capital development	Unqualified	i) As at 30th June 2024 the Hospital had payables amounting to UGX.2.637Bn, having only settled UGX.0.006Bn in the year. ii) Out of the approved 359 positions, only 273 (76%) were filled, leaving 86 (24%) positions vacant. The new hospital structure had not been implemented. iii) The RRH had an approved budget of UGX.15.15Bn and was all warranted 100%, however, the hospital did not utilize UGX.0.007Bn. The Un-utilized funds were meant for payment of pension to staff.

			iv) The average delays in delivery of medicine in the financial year were 18 days with the longest delay of 43 days (1 month and 13 days) in Cycle 6. v) Part of the RRH land had been encroached by squatters who had established their homes on the lower side of the hospital. vi) Some staff houses were not fit for accommodation as they were too old and not maintained, and there was inadequate staff accommodation for the newly recruited staff. vii) The RRH did not have an ICU to take care of patients that required specialized treatment. viii) The UPDF constructed the Oxygen plant at UGX.0.55Bn and delivered all parts in May 2023, however, to date it has not been operational. ix) I noted Shoddy construction works at the New Oxygen plant building and culverts to the blood bank. x) I undertook a special audit of the pension payroll, and a separate report was issued.
Yumbe Regional Referral Hospital	Human capital development	Unqualified	i) I interviewed the Hospital Director and noted that the Hospital lacked adequate transport facilities. ii) Out of 1,301 approved positions, only 138 were filled, leaving 1,163 (90%) vacant. iii) The RRH had an approved budget of UGX.11.35Bn and was all warranted 100%, however it did utilize UGX.1.53Bn. These funds were meant for the payment of salaries, pensions and recruitment of staff. iv) The hospital did not budget for NTR but collected UGX.0.050Bn. v) Water soluble drugs that had expired one year ago were still being kept in the insulated store for expired drugs. vi) I examined stores' records and noted that the Hospital experienced delays in delivery of medicines and sundries by National Medical Stores vii) I noted stock outs of essential drugs for 280 days between the last date the essential drugs were in store and when the 6th Cycle was delivered. viii) I inspected the Oxygen plant and noted the contractor, UPDF engineering brigade had abandoned the site. ix) MoH had delivered equipment to the hospital on 24/11/2022. This equipment had been idle at the plant for more than one year.
Fort Portal Regional Referral Hospital	Human capital development	Unqualified	i) The RRH had an approved budget of UGX.14.02Bn and 100% was warranted, however, it did not utilize UGX.1.45Bn of the amount warranted. These funds were meant for the payment of salaries,

			pensions and recruitment of staff. ii) I analysed a sample of 4 key outputs with total expenditure of UGX.12.55Bn and noted that 1 (25%) output with expenditure UGX.0.12Bn were fully implemented, 3(75%) outputs with expenditure of UGX.12.43Bn was partially implemented. iii) The Board did not approve the supplementary funds of UGX.0.533Bn. iv) I observed that the project worth UGX.1.63Bn was completed but had some defects. v) I noted instances of expired drugs at the hospital. vi) RRH had an endoscopy and C-arm machines that were in working condition but were not being used. vii) Hospital staff houses were dilapidated and in dire need of repair.
Hoima Regional Referral Hospital	Human capital development	Unqualified	i) Out of 1,195 approved posts, only 277 (23%) positions are filled leaving 918 (77%) vacant. ii) Over 30 fire extinguishers mounted in different locations of the hospital had not been serviced/maintained for the last 3 years. iii) The RHH has insufficient mortuary space. iv) The RRH irregularly deducted WHT of UGX.0.018Bn from a tax-exempt supplier of the Nissan hard body motor vehicle. v) The RRH had an approved budget of UGX.15.19Bn and 100% was warranted, however, UGX.0.448Bn was not utilized. These funds were meant for the payment of salaries, pensions and recruitment of staff. vi) I analysed a sample of 2 key outputs with total expenditure of UGX.1.78Bn and noted that both outputs were partially implemented. vii) Supplementary funds of UGX.0.115Bn were not approved by the Board. viii) I undertook a special audit of the pension payroll, and a separate report was issued.
Kigumba – Masindi – Hoima – Kabwoya – Road Project ADF Loan No. 2100150028796 – Project ID No. P- UG – DB0– 021 (RSSP-4)	Integrated Transport Infrastructure & Services	Unqualified	i) As of 30th June 2024, donor cumulative disbursements amounted to UGX.350.46Bn against an expected total of UGX.376.98Bn, leaving UGX.26.52Bn undisbursed. Due to undisbursed donor funds, the Government incurred commitment fees of USD 2.93Mn since the project's start date. ii) The GoU cumulative actual disbursements of UGX.147.45Bn exceeded the expected UGX.117.37Bn by UGX.30.08Bn, reflecting higher-than-planned contributions. iii) Significant progress has been made in implementing project activities, but delays in completing Kigumba Market still prevail, outstanding

			payments, and pending PAP compensation need urgent resolution to ensure timely project closure. iv) The project achieved 100% budget performance in FY 2023/2024, with the approved budget of UGX.33.89Bn fully disbursed by both GoU and donor partners due to timely fund releases. v) Out of UGX.34.23Bn available, UGX.29.04Bn (85.7% absorption level) was spent, leaving UGX.5.18Bn unspent. vi) The Integrated Management Information System (IMIS) development, with UGX.1.63Bn spent, remains incomplete, rendering it unavailable for use and risking cost overruns due to administrative delays.
Kilembe Mines Limited	Mineral Development	Qualified	i) Trade and other receivables increased by 5%, rising from UGX 2.204 billion in the 2022/2023 financial year to UGX 2.318 billion. Despite considerable doubt regarding the recoverability of receivables amounting to UGX 1.518 billion (65%), the company has not yet initiated the write-off process for these amounts. ii) A Board of directors was appointed in June 2022 to oversee the operations of Kilembe Mines Limited. However, retainer fees amounting to UGX.417Mn due to the Board had not been paid by the Company. iii) Kilembe Mines Limited does not have a succession plan in place and the Board charter does not have provisions of succession planning. iv) The Company had an operating margin of -112% which extremely below 15%. The negative operating margin shows that the company is spending more on operating costs than generating revenue. v) The Company's loss increased by 81% from UGX.2.392Bn in the year 2022/2023 to UGX.21.359Bn in the current year. This worsened the company's accumulated losses by 84%, to UGX.45.878Bn as at 30th June 2024. vi) The company's ROA is -57%, which declined from the previous year's return of -6%. The inadequacy of the ROA and its decline from the prior period suggests that the company's assets are not yielding positive returns. vii) The company's quick ratio as at 30th June 2024 was 0.6% and below the desired ratio of 1. This implies that the company's current assets are insufficient to cover its short-term obligations. viii) The company budgeted to collect UGX. 4,824,431,056. However, UGX. 2,210,448,321 was realized representing performance of 46%. ix) Out of 5 outputs with 28 activities worth UGX.4.82Bn assessed, I noted

			that three (3) outputs with 18 activities worth UGX.3.27Bn were partially implemented while Two (2) outputs with ten (10) activities worth UGX.1.55Bn were not implemented at all.
Kiira Motors Corporation (KMC)	Manufacturing	Unqualified	i) Kiira Motors (KMC) had no Board of Directors as at the time of audit (September 2024) to provide strategic guidance and direction to the Corporation. ii) The Corporation did not have the insurance cover for its high capital investment in inventory in form of work-in-progress, bus motor vehicle chargers, parts and materials for Kayoola buses at Luwero Industries Limited worth UGX.16.11Bn. iii) Out of 247 staff positions, only 155 positions were filled, while 92 (37.8%) were vacant. iv) The Corporation projected to collect revenue amounting to UGX.197Bn, however, only UGX.2.3Bn was collected, representing 1.2% performance. v) The Corporation had an approved government budget of UGX.97.84Bn which was all warranted. vi) I noted that subvention releases from STI to KMC are not made in a timely manner and this has affected the implementation of planned activities. There was an average delay of 56 days from the date of the quarterly release which affected implementation of activities. vii) A sum of UGX.30.04Bn of the available funds were not utilised by the entity. The funds are still held in the Corporation's bank account in Bank of Uganda. viii) Out of the three (3) outputs with 46 activities worth UGX.67.7Bn assessed, one (1) output with six (6) activities and expenditure worth UGX.10.17Bn was fully implemented while two (2) outputs with 40 activities worth UGX.57.6Bn were partially implemented.
Kiruddu National Referral Hospital	Human capital development	Unqualified	i) I noted that the Hospital paid UGX.0.538Bn in excess of the approved budget of domestic arrears for FY 2023/24. ii) The hospital did not record in its Assets register the 2 plots of land namely, plot 3927 block 273 where the main hospital building is located and plot 1774 block 255 where a sewerage treatment plant was constructed both registered in the names of Kampala Capital City Authority (KCCA). I also noted that the assets were not reported in the financial statements. iii) The hospital appointed and renewed contracts of twenty-six (26) contract staff without prior clearance from the Permanent Secretary.

			iv) The Hospital had an approved budget of UGX.28.054Bn out of which UGX.28.024Bn was warranted resulting in a shortfall of UGX.0.03Bn representing 99.9% performance. The UGX.0.03Bn that was not warranted relates to payment of gratuity. v) The Hospital had total warrants of UGX.28.024Bn out of which warrants worth UGX.27.052Bn had been utilised by the close of the financial year. The balance of UGX.0.972Bn was meant for activities like payment of general staff salaries, social security contributions, payment of pensioners, payment of gratuity and acquisition of furniture and fittings. vi) I assessed the extent of implementation of outputs and noted that one (1) output (Medical and Health Supplies) was fully implemented, and Four (4) outputs were partially implemented. vii) I noted that whereas the Hospital requested for UGX.0.522Bn in respect of supplementary funding, a total of UGX.0.613Bn was received. Therefore, UGX.0.091Bn was not requested by the Accounting Officer as required by the PFMR. viii) I noted that UGX.0.522Bn did not meet the criteria for supplementary funding prescribed in the Public Finance Management Regulations. ix) The newly rehabilitated ICU was underutilized with two (2) out of nine (9) beds, Monitors, Ventilators, syringe pumps and infusion pumps were also inadequate. I further noted the gastroscopy and Bronchoscopy machines were not functional. In addition, the radiology department had only 7 out of 21 staff positions filled while the digital x-ray machine had a depleted battery. x) Review of management of regional dialysis centers indicated that there were inconsistencies in preparation of MoUs with Lira and Mbarara RRHs. xi) Whereas UGX.1.357Bn had been spent on the procurement of dialysis consumables, management did not provide proof that RRHs remitted 50% of the NTR collections from dialysis services on behalf of KNRH as required by the MoUs. xii) I inspected the power room that houses both the hospital's solar inverter system and its distribution board and noted the existence of plenty of stagnant water in a service duct just beneath the high voltage distribution board. This poses a risk of electrical faults, short circuits, and potential damage to sensitive components. xiii) I inspected the cold chain stock cards and requisition books and noted
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			that four (4) out of the ten (10) sampled vaccines experienced stock-outs ranging from 12 to 90 days. xiv) Whereas the Hospital serves 48 parishes with one VHT attached to each parish, only 6 of the 48 were active. xv) I undertook a special audit of the pension payroll, and a separate report was issued.
Kyambogo University	Human Capital Development	Unqualified	i) The entity paid a total of UGX.9.8Bn to clear domestic arrears. However, the approved budget estimates for the FY under review showed that only UGX.0.093Bn had been budgeted for domestic arrears. ii) The University received printery equipment in 2018, but it has never been commissioned to date. iii) Halls of residence were dilapidated with broken and missing toilets, broken sewerage and plumbing system with leakages affecting the structures. iv) Sixteen (16) Course Units in five (5) departments were allocated less than 3 contact hours per week during the academic year 2023/24. v) Supplies amounting to UGX.0.739Bn were made without deducting the required withholding tax (6% VAT) worth UGX.0.044Bn. vi) I noted under-staffing levels in all the 104 departments leading to 1,653 (68%) unfilled positions. vii) A procurement of medical system management software worth UGX.0.139Bn was executed without prior approval of ICT specifications by NITA-U. viii) The solicitation document for the supply and installation of adapted ICT equipment, software and devices for persons with disability worth UGX.0.097Bn specifically identified the brand names of the items required. ix) Out of thirty-three (33) procurements worth UGX.5.5Bn reviewed, fifteen (15) procurements worth UGX.1.51Bn were not issued with contract documents. x) The University executed contracts worth UGX.1.43Bn before the lapse of the BEB notice display period. xi) The contract with M/s CK Associates Ltd for the removal of asbestos sheets and renovation of selected staff offices at a contract price of UGX.1.73Bn was delayed with progress at 93%. xii) The entity had an approved budget of UGX.138.48Bn out of which UGX.135.76Bn was warranted resulting in a shortfall of UGX.2.72Bn

			representing 98% performance. xiii) Out of total warrants of UGX.135.76Bn, warrants worth UGX.134.38Bn had been utilized by the close of the financial year leaving UGX.1.38Bn unutilized. xiv) I assessed a total of 45 outputs with a budget of UGX.138.48Bn and noted that 5 outputs with 25 activities and expenditure worth UGX.9.56Bn were fully implemented, thirty-nine (39) outputs with 500 activities worth UGX.124.82Bn were partially implemented and one (1) output (Research innovation & technology transfer) with one (1) activity worth UGX.0.011Bn was not implemented at all. xv) Supplementary expenditure amounting to UGX.3Bn did not meet the supplementary expenditure criteria. xvi) The University had accumulated domestic arrears of UGX.23.29Bn. xvii) The entity budgeted to collect UGX.77.15Bn during the year but only collected UGX.57.65Bn, leaving a balance of UGX.19.50Bn (25%).
Law Development Centre (LDC)	Administration of Justice Governance and Security	Unqualified	i) The Law Development Centre (LDC) had outstanding domestic arrears amounting to UGX.3.36Bn as at 30th June 2024. Included in the domestic arrears was a land-related liability of UGX.0.65Bn incurred in the year under review, which arose from a court case. ii) LDC only made a budget provision of UGX.78.7Mn towards the settlement of arrears of UGX.2.81Bn, leaving a balance of UGX.2.73Bn not budgeted for. iii) LDC received and fully utilized warrants totaling to UGX.34.21Bn, representing 100% of the entity's budget for the year. iv) I assessed the extent of implementation of all the 11 outputs with 87 activities worth UGX.34.14Bn for which funds were availed and utilized and noted that ten (10) outputs with 78 activities and expenditure worth UGX.33.04Bn were fully implemented and one (1) output with nine (9) activities worth UGX.1.09Bn was partially implemented. v) Management did not conduct market surveys or assessments for 17 procurements awarded, worth UGX.5.2Bn, to justify their estimated cost during procurement planning. vi) A review of the sampled procurements revealed that nine (9) procurements had significant price variances between market-assessed prices and the final contract amounts, with variances ranging from 11% to 55%. In all cases, the contract prices were below the market-assessed prices. vii) A review of procurements under restricted bidding method revealed

			that four (4) procurements worth UGX.0.42Bn that were undertaken using the restricted bidding method had shortlisted firms without the capacity to supply despite the entity having several pre-qualified providers. viii) Out of 176 full-time staff required per the approved structure, only 125 (71%) were filled, leaving 51 (29%) vacant positions. ix) I reviewed LDC's land records and noted a delay in the amalgamation of the certificates of title for its land located at Kagugube, Makerere, measuring 1.675 hectares. I further observed that several other claimants dispute LDC's ownership of the land, and the issue is yet to be resolved by LDC's management. x) A further review of the land records revealed that three (3) pieces of land were not under LDC's control, and LDC was either a squatter or other claimants were occupying the land. xi) LDC faces challenges with the Academic Institution Management System (AIMS), including limited full utilization of the various modules, including admissions, enrolment, registration, curriculum management, results management, fees and invoicing, biodata management, user role and profile management, student portal and reports generation.
Lira-Gulu-Agago Transmission Line Project	Energy Development	Unqualified	i) Out of the expected cumulative disbursements of Euros 40Mn, Euro.18.55 (46%) was disbursed by the donor, however the underperformance did not affect planned activities as the project is expected to save Euro.10Mn after settling all outstanding expenses. ii) The Project had an approved budget of USD.15.16Mn for the financial year 2023/2024 out of which only USD.8.95 (59%) was realized. The shortfall affected RAP implementation. iii) I reviewed the implementation of the 3 components with 4 activities and noted that targets for 3 activities worth USD.20.56Mn and UGX.31.83Bn had been fully achieved while targets for one (1) activity were partially achieved. iv) 468 (98.9%) of the total 473 PAPs have been compensated, the pending 5 were due to registered land disputes, valuation queries and payment delays.
Lira University	Human capital development	Unqualified	i) The University paid domestic arrears totalling UGX.0.30Bn during the year as disclosed in the cash flow statement without a budget. ii) Out of the approved budget of UGX.35.78, UGX.35.25Bn (98.5%) was warranted resulting in a shortfall of UGX 0.53Bn, which was meant for

			social security contributions and non-residential buildings. iii) Warrants worth UGX.30.68Bn had been utilised by the close of the financial year, leaving a balance of UGX 4.56Bn unutilized, which was meant for recruitment and promotion of staff. iv) Nineteen (19) outputs, with 74 activities and expenditure worth UGX.11.61Bn were fully implemented. Six (06) outputs with 27 activities and expenditure worth UGX.1.85 were partially implemented. v) Out of the twenty-seven (27) activities, the entity fully implemented thirteen (13) activities worth UGX 1.79. Thirteen (13) activities worth UGX.0.04Bn were partially implemented, while one (01) activity worth UGX.0.02Bn remained unimplemented. vi) Payment of salaries worth UGX.15.98Bn to the various staff under the different departments was not included as an activity in the University annual work plan. vii) Out of the 02 sampled projects, one (01) project for the construction of the administration block worth UGX.16.60Bn had been delayed by over 36 months. viii) Several course units in different programs were allocated hours less than 3 hours per week (45 hours in semester) recommended by the National Council for Higher Education during 2023/2024 academic year. ix) Several teaching staff were allocated less than 10 contact hours per week to teach various course units in different programs/courses contrary to the NCHE minimum recommended in the Quality Assurance framework. x) Out of the total admission of 6,196 students, only 1,766 have graduated leaving a balance of 4,430 students who had not graduated representing a graduation rate of 40%. The low rate of graduation is attributed to financial challenges of students. xi) Out of a total of 170 students registered for post graduate programs, 58 (34%) graduated leaving a balance of 112 (66%) students who had not yet graduated.
Local Government Finance Commission (LGFC)	Development plan implementation, Public sector transformation	Unqualified	i) Out of the 64 approved posts, only 42 (66%) were filled, leaving 22 (34%) posts vacant. ii) The proposed amendments to enhance revenue collections for Local Service Tax, Local Hotel Tax and royalties to improve the current collection from UGX.291Bn in FY 2021/2022 to UGX.1.0Tn by FY 2025/2026 had not been actioned.

			iii) The recommendations of the Commission to reinstate equalization grant for Local Governments lagging in terms of basic services were not implemented. iv) The entity had an approved budget of UGX.11.19Bn out of which UGX.11.08Bn (99%) was warranted, resulting in a shortfall of UGX.0.10Bn. v) Out of UGX.11.08Bn, UGX.11.07Bn had been utilised, leaving a balance of UGX.10.2Mn. This affected the implementation of planned activities. vi) I assessed the extent of implementation of five (5) outputs with 14 activities worth UGX.5.07Bn and noted that all the five (5) outputs were partially implemented. vii) I conducted an audit of the Treasury Memorandum for the Commission for the FY 2020/21, and a separate report was issued.
Charcoal Conflict in Climate Change's Decarbonisation Dilemmas Project (MUK) for the period 1st June to 31st Dec 2023	Human Capital Development	Unqualified	i) Project had a budget of UGX.236.7Mn, out of which UGX.118.4Mn (50%) was realized, resulting in a shortfall of UGX 118.4Mn. ii) Project spent UGX.19.5Mn over and above funds of UGX.46.5Mn that was availed for salaries iii) There was no approval by the University Council for the project and for the appropriation of project funds of UGX.118.5Mn.
Makerere Institute of Social Research Carnegie Corporation Grant Number G-22-59696 for the period 1st April 2023 to 31st March 2024	Human Capital Development	Unqualified	i) The roof of a building housing the library was in a bad state and needed repair. ii) There were no internal audit reports for the period under review, which creates weakness in internal controls, exposing the Institute to the risk of fraud and mismanagement
Makerere Institute of Social Research Andrew W. Mellon Foundation Grant No. (1808-06062) for the period ended 31st Dec 2023	Human Capital Development	Unqualified	i) The roof of a building housing the library was in a bad state and needed repair. ii) There were no internal audit reports for the period under review, which creates weakness in internal controls, exposing the Institute to the risk of fraud and mismanagement

Makerere University (MUK)	Human Capital Development	Unqualified	i) Functional fees amounting to UGX.1.492Bn that was paid to MUBS was not remitted to Makerere University. In addition, the University held long outstanding receivables worth UGX.45.529Bn. ii) The funds of two projects for July-September 2023 worth 58,896.47 GBP were disbursed by the Well Trust Grant to the College of Health Sciences account and utilized without necessary authority. iii) I observed delayed works for construction works of the office block and lecture room block at Kabanyoro under the College of Agriculture and Environmental Science at a contract sum of UGX.1.717Bn. In addition, the contractor delayed submitting performance security by 65 days while the advance guarantee for UGX.0.52Bn expired on 26th June 2024. iv) Procurements worth UGX.213.2Mn were undertaken without an evaluation report by committee members who only signed the code of ethics. v) The University had an approved budget of UGX.364.19Bn out of which UGX.362.62Bn (99%) was warranted, resulting in a shortfall of UGX 1.57Bn. vi) The University had total warrants of UGX.362.62Bn out of which warrants worth UGX.352.82Bn had been utilised by the close of the financial year. The un-utilised funds of UGX.9.80Bn affected general Staff Salaries, acquisition of Light Vehicles, educational Materials and Services, medical supplies and services, research expenses among others. vii) Out of the 31 outputs with 290 activities worth UGX.352.82Bn assessed, eight (8) outputs with 25 activities and expenditure worth UGX.224.82Bn were fully implemented, while twenty-three (23) outputs with 265 activities worth UGX.128Bn were partially implemented. viii) Supplementary expenditure amounting to UGX.10.20Bn did not meet the supplementary expenditure criteria. ix) The University registered underperformance in NTR collections of UGX.30.55Bn out of budget estimates of UGX.127.36Bn. x) Seven (7) out of ten (10) colleges which provided the information had two hundred twenty-seven (227) academic staff allocated less than the minimum contact hours of ten (10) per week to teach various course units in different programs/courses in the University. xi) 400 masters' students have on average taken more than four
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			academic years to complete research for the master's program which is beyond the recommended university accredited duration of 2 years for master's programmes.
Makerere University Holdings Limited (Makholdings)	Human Capital Development	Unqualified	i) Although the financial statements were prepared and submitted, they were signed by the Chairman of the Board and one of the Board members and not the CEO. ii) The Guest House collected UGX 372,317,700, out of which, only UGX 180,928,398 was banked, leaving UGX 191,389,302 was spent at source. iii) Makholdings had unremitted NSSF deductions amounting to UGX 56,691,079 by the close of the year under review. iv) The company Board has taken four consecutive years without holding the Annual General Meeting (AGM). v) Makerere University Holdings Company operated without a strategic plan and annual budget. vi) The signatories to the bank account for the Makholdings and Guest House are the Chairman of the Board and one Board member contrary to the Financial Manual. vii) The Company did not have an approved salary structure as a basis for paying salaries to staff.
Makerere University Africa Centre of Excellence in Materials Product Development and Nano Technology Project (MAPRONANO)	Human Capital Development	Unqualified	i) Three (3) outputs with five (5) activities were fully implemented worth US\$ 169,350.02, three (3) outputs with eleven (11) activities worth US\$ 604,661 were partially implemented and out of the eleven (11) activities, the project fully implemented seven (7) activities while four (4) activities were partially implemented. ii) Out of the released funds for Saliva Project, the project cumulatively spent funds worth UGX.1.742Bn resulting in unspent balance of UGX.7.3Mn (0.4%), representing an absorption level of 99.6%. iii) Review of project activities revealed that the project implementation was delayed by two years contrary to the contract agreement period which stipulated the completion date as 30th June 2022. iv) Some activities were overspent such as RT-PCR costs for comparison to test kit by UGX 12,533,000 (11%), Personnel costs by UGX 69,104,836 (11%), GMP Training, Travels and Partnership benchmarking at Revital EPZ by UGX 44,095,410 (44%). v) Out of the released funds for Nano Project, the project cumulatively spent funds worth UGX 2,154,709,124 resulting in an over expenditure of UGX 108,335,634 representing an over absorption level of 5%.

			vi) The project implementation was delayed by a year contrary to the end period specified in the contract agreement of 30 th June 2022.
Makerere University Business School (MUBS)	Human Capital Development	Unqualified	i) The school diverted UGX.7.68Bn from the current year's budget to pay unbudgeted domestic arrears. ii) The salary enhancement increased the MUBS gross payroll costs from January to June 2024 by UGX.551.8Mn per Month without a corresponding wage budget/release from MoFPED. iii) The school made payments worth UGX.0.027Bn on fuel card number 1402048292 meant for the generator at Jinja campus without supporting documentation such as fuel ledgers and consumption statements. iv) I noted that one 20KVA generator for Jinja campus delivered on 1st March 2023 worth UGX.0.069Bn VAT inclusive and paid on 15th June 2023 vide EFT No.5867155 broke down three months after delivery and was still non-functional at the time of audit inspection. v) The school had an approved budget of UGX.120.38Bn out of which UGX.117.53Bn (97.6%) was warranted resulting in a shortfall of UGX.2.85Bn. vi) Out of 43 outputs with 199 activities worth UGX.115.10Bn assessed, 15 outputs with 59 activities and expenditure worth UGX.93.43Bn were fully implemented, while 28 outputs with one hundred and forty (140) activities worth UGX 21.68Bn were partially implemented. vii) Supplementary expenditure amounting to UGX.14.57Bn did not meet the supplementary expenditure criteria. viii) Contrary to QA Framework for Universities and the Licensing Process for Higher Education Institutions, 2014, Appendix I, fifty-seven (57) course units in different programs were allocated hours less than 3 contact hours per week (39 hours in semester). In addition, one hundred and ninety-nine (199) teaching staff were allocated less than 10 contact hours per week to teach various course units in different programs/courses for semester one during 2023/24 academic year. ix) 322 masters' students have on average taken more than four academic years to complete research for the master's program which is beyond the recommended university accredited duration for master's programmes of two years. x) Out of 3,044 students who registered for various master's programs over a ten-year period (academic year 2013/14 to 2020/2021), 1,931

			(63%) students graduated leaving 1,113 (37%) students who are yet to graduate. Some of the delays were attributed to supervision delays and students' related challenges such as funding constraints and commitment. xi) Out of the 190 students who registered for PHD Programs over a ten (10) year period (academic year 2013/14 to 2020/2021) only 60 (31.5%) students graduated leaving 130 (68.5%) students not yet graduated. Some of the delays were attributed to supervision delays and students' related challenges such as funding constraints and commitment. xii) I conducted an audit of one (1) Treasury Memoranda for the school and noted that out of eight (8) recommendations issued, one (1) was fully implemented, four (4) were partially implemented while three (3) were not implemented at all.
Makerere University Regional Centre for Crop Improvement (MaRCCI)	Human Capital Development	Unqualified	i) For the 7 years of the project, 14 actions worth USD.5,400,000 were implemented, 1 action worth USD.600,000 was partially implemented. ii) Out of the available funds of USD.1,169,324.03 the project utilized USD.906,501.81 leaving a balance of USD.262,822.22 unutilized. iii) I noted that three (3) outputs with four (4) activities worth USD.141,112.34 were fully implemented, while four (4) outputs with twenty-one (21) activities worth USD.765,389.47 were partially implemented.
Management Training and Advisory Centre (MTAC)	Human Capital Development	Unqualified	i) The Centre had outstanding payables of UGX.1.370Bn as at 30th June 2024. ii) Outstanding statutory payables may attract penalties. iii) Out of 74 approved positions, only 54 positions were filled, leaving 20 positions vacant. iv) Four (4) staff were in acting positions for over 8 years although they qualify for the substantive appointments. v) It was noted that the entity had a procurement plan of UGX.22.763Bn that was not aligned with the entity's approved budget of UGX.19.347Bn vi) A review of the entity's strategic and annual work plans for the last three (3) years revealed that the entity had not adequately executed its mandate. vii) That the tenure of the MTAC Governing Council expired in 2015 and has since not been reconstituted even after the Solicitor General's legal opinion on the matter four (4) years ago.

			viii) The entity fully implemented eight (8) activities worth UGX.0.615Bn while five (5) activities worth UGX.1.705Bn were partially implemented. ix) The Centre had an unauthorized Multi-Year Commitment worth UGX.17.916Bn for the construction of MTAC-Mbale Outreach Centre with only UGX.5Bn (28%) of the funds released.
Mandela National Stadium Limited	Human Capital Development	Unqualified	i) There was no sustainability plan and budget in place to operate and maintain the stadium after the major renovation works. ii) The entity had an approved budget of UGX.23.30Bn out of which UGX.21.76Bn (93%) was released resulting in a shortfall of UGX.1.54Bn. iii) I assessed a total of 09 cost centers which had 45 activities and noted that nine (09) activities for three (03) cost centres with expenditure worth UGX.18.2Mn were fully implemented and thirty-six (36) activities for six (06) cost centres with expenditure worth UGX.1.992Bn were partially implemented. iv) Analysis of the trend of the debtors indicated that over the past four years, debtors have remained high with an average of UGX.2.4Bn compared to the operating capital of the company. v) Budgeted activities worth UGX.1.404Bn were not funded and therefore not implemented.
Markets and Agricultural Trade Improvement Programme (MATIP II)	Public Sector Transformation	Unqualified	i) The Ministry diverted UGX.64.87Mn to activities which were not related to the Project. ii) The cumulative disbursements of project funds as of 30th June 2024 totaled to USD.102.42Mn against the project financing agreement of USD.93.73Mn. The excess disbursements of 9% was from Government contribution of VAT deemed paid which was an in-kind contribution. iii) The cumulative disbursements totaled to UGX.325.5Bn, all of which was absorbed. iv) Eight (8) activities worth UGX.273.61Bn were fully implemented during the project lifetime. v) Inspection revealed low occupancy at Tororo, Busia and Moroto markets with an average occupancy rate of 55%. vi) Two (2) value addition facilities in Arua, and Soroti worth UGX.22.9Bn had not commenced operations at the time of inspection due to lack of operators. vii) After the commissioning of the markets worth UGX.64.08Bn, the

			vendors have not been fully relocated back to the facilities in Soroti, Busia and Moroto because they were operating in un-gazetted markets. viii) I inspected five (5) infrastructures built under the project and I noted that maintenance of the facilities is not being well managed, especially the sewage, toilets and general cleaning of the markets.
Masaka-Mbarara Transmission Line Project	Energy Development	Unqualified	i) The Project had an approved budget of USD.28,526,107 for the financial year 2023/2024 out of which only USD. 3,911,040.36 (14%) was realized. The shortfall affected compensation of PAPs, consultancy services for project management and supervision of works. ii) Out of the total USD.5,252,768.65 available for spending, only USD.3,971,768.73 (76%) was spent. The unspent balance of USD.1,338,601 was meant for the compensation of 318 PAPs, which was delayed mainly due to disputed amounts and absentia. iii) I reviewed the implementation of the three (3) components with four (4) activities and noted that targets for one (1) activity worth USD.2,444,682 were fully achieved while targets for the remaining three (3) activities had not yet been achieved. iv) The contract award for the EPC contractor has delayed by 2 years arising from halting the process due to whistle blower complaints that prompted investigations and further approvals.
Mathematics for Sustainable Development (Math4sd) Project (MUK) for the period 1st Jan 2023 to 31st Dec 2023	Human Capital Development	Unqualified	There were no reportable issues
Environmental Risk Management Under Increasing Extremes and Uncertainty (MERIT) Project (MUK) for the Period 1st January 2023 to 31st December, 2023	Human Capital Development	Unqualified	There were no reportable issues

Norwegian Programme for Capacity Development in Higher Education and Research for Development funded Projects (MUK) for the period 1st Jan 2023 to 31st Dec 2023	Human Capital Development	Unqualified	There were no reportable issues
Mbarara University of Science and Technology (MUST)	Human Capital Development	Unqualified	i) The entity had receivables amounting to UGX.2.382Bn from 2022/2023 that had not been collected. ii) Mbarara University had outstanding domestic arrears worth UGX.6.190Bn in the FY 2022/2023 but did not budget for them. UGX.6.182Bn relates to the National Enterprise Corporation (NEC) and has been outstanding for over 4 years. iii) The entity had thirty-seven (37) academic programs whose accreditation had expired and had not been reviewed. iv) The University failed to attract students for forty-four (44) programs during the Academic Year 2023/24. It was further observed that a total of Ten (10) programs did not attract students at all. v) I noted that eight (8) Programs offered by the University had exceeded the set maximum limit for the year 2023/2024. vi) MUST has not signed MoUs with its 2 affiliated institutions. The University cannot monitor and supervise to assess the adequacy of teaching services provided at the affiliated institutions which can tarnish MUST's reputation. vii) The entity had an approved budget of UGX.60.391Bn out of which UGX.57.545Bn was warranted resulting in a shortfall of UGX.2.846Bn representing a 95.3% performance. viii) The entity had total warrants of UGX.57.545Bn out of which warrants worth UGX.56.293Bn had been utilized by the close of the financial year. The balance of UGX.1.252Bn was meant for activities which were either partially or not implemented.
Mbarara University of Science and Technology Project	Human Capital Development	Unqualified	i) Out of the project's total available funds for the year, GBP 15,847.49, only GBP 12,879.66 (81%) was spent, resulting in unspent balance of GBP 2,967.8 (19%).

for Antenatal Couple's Counselling (ACCU)			ii) GBP 3,538.7 (equivalent to UGX 15,740,000) remained unaccounted for at year end.
MUST - Breeding Sites Project for the period 1st Dec 2022 to 30th Nov 2023	Human Capital Development	Unqualified	There were no reportable issues
MUST - Breeding Sites project for the period ended 30th Nov 2022	Human Capital Development	Unqualified	i) Out of the total available funds of US \$18,927.25 only USD.17,733 (93.7%.) was spent resulting in an unspent balance of USD.1,194.
MUST CAMTECH project for the period 1st Jan 2023 to 31st Dec 2023	Human Capital Development	Unqualified	i) The project had an approved budget of USD.240,361 all of which was available for spending. ii) Out of the amount received, only USD 192,095.73 (80%) was utilized, leaving a balance of USD 48,265.34 (20%) unutilized.
MUST CPAC Project for the period ended 31st Dec 2022	Human Capital Development	Unqualified	i) The project had an approved budget of €59,892 for the period, out of which €40,089 was available for spending, resulting in a shortfall of €19,803 (33%). ii) Out of the total available funds of € 40,089 (including opening balances of €195) only €37,183 was spent, resulting in unspent balance of €2,906, representing an absorption level of 93%.
MUST ESOCAP Project for period 1st Sept 2022 to 31st Aug 2023	Human Capital Development	Unqualified	i) The project had an approved budget of USD 51,194.80, out of which USD 6,520.59 (13%) was available for spending, resulting in an under funding of USD 44,674.21. ii) Out of the total available funds of USD 6,520.59, only USD 4,756.80 (73%) was spent, resulting in unspent balance of USD 1,763.79
MUST - Getting to Zero Project for the period ended 30th April 2021	Human Capital Development	Unqualified	i) The project had an approved budget of USD 20,490, out of which USD 18,014 (88%) was available for spending, resulting in a shortfall of USD 2,476. ii) Out of the total available funds of USD 18,014, only USD 15,272 (85%) was spent, resulting in unspent balance of USD 2,742
MUST - Global Health Fellowship Project for the period 1st July 2022 to 30th June 2023	Human Capital Development	Unqualified	i) The project had an approved budget of USD 29,699 out of which USD 18,146 (opening balance of USD 3,176 and receipts of USD 14,970) was available for spending, resulting in a shortfall of USD 11,553 (39%) ii) Out of the total available funds of USD 18,146, only USD 13,158 (73%) was spent, resulting in unspent balance of USD 4,988

MUST - IZUMI Project for the period 1st May 2022 to 30th April, 2023	Human Capital Development	Unqualified	i) The project had an approved budget of Euros 58,762 out of which Euros 25,672 (44%) was available for spending, resulting in a shortfall of Euros 33,090 ii) Out of the total available funds of Euros 25,672, only Euros 14,463 (56%) was spent, resulting in unspent balance of Euros 11,208
MUST - Kayanja Fellowship Project for period 1st Aug 2019 to 31st July 2020	Human Capital Development	Unqualified	i) Out of the total available funds of USD 61,436 (including opening balances of USD 812.53) only USD 46,265 (75.3%) was spent, resulting in unspent balance of USD 15,170.34 ii) USD 10,863.5 (UGX 39,000,000) remained unaccounted for by the end of the reporting period.
MUST - MENU Project for the period 1st Jan 2020 to 31st Dec 2020	Human Capital Development	Unqualified	i) Out of UGX 236,913,349 project receipts, only UGX 205,511,858 (87%) was spent, resulting in unspent balance of UGX 31,401,491
MUST - Mobile Wallet Project for the period 1st Jun 2022 to 31st May 2023	Human Capital Development	Unqualified	i) One student was paid UGX.19,060,100 for five (5) months in advance for the period January – May 2023 in violation of the project protocols
MUST – REVAMP Project for the period 1st July 2019 to 30th June 2020	Human Capital Development	Unqualified	i) Out of the project's total available funds of USD 217,794.32, only USD 176,909.09 (81%) was spent, resulting in unspent balance of USD 40,885.
MUST - SMART Discharge project for the period 1st Apr 2021 to 31st Mar 2022	Human Capital Development	Unqualified	i) Out of the project's total available funds of CAD 250,809.58, only CAD 199,107.38 (80%) was spent, resulting in unspent balance of CAD 51,702.20
Microfinance Support Center Limited (MSCL)	Private Sector Development	Unqualified	i) The company applied outdated collateral values in the computation of Expected Credit Loss (ECL). The collateral values relate to the time the securities were pledged with some dating back as far as 9 years ago. Best practice requires that current and forward-looking information is applied in estimating ECL. ii) MSC partially implemented its procurement plan. Out of the planned procurements worth UGX 9.59 Bn, only procurements worth UGX 3.597 were undertaken. iii) The entity budgeted to collect UGX.39.508Bn during the year, but only collected UGX.38.702Bn, representing a 98% performance.

			iv) According to the approved budget, the entity was supposed to receive UGX.180.14Bn out of which UGX.174.34Bn was received, resulting in a shortfall of UGX.10.8Bn. The shortfall represents 5.9% of the approved budget. v) Out of the total available Emyooga funds of UGX.156.7Bn (receipts of UGX.100Bn and opening balance of UGX.56.7Bn), a total of UGX.102.5Bn representing 65.4% of the funds was spent and/or disbursed by the entity, leaving a balance of UGX.54.2Bn (34.6%). vi) Out of the UGX.65Bn planned to be disbursed (lent out) under conventional loans in the financial year ended 30th June 2024, only UGX.26.4Bn had been disbursed. vii) A review of the loan portfolio of the company revealed that a total of UGX.117.8Bn relating to conventional lending was outstanding in gross loans and advances as at 30th June 2024 for which Non-performing loans stood at 66.4% (UGX.78.2Bn) indicating poor recovery of these loans. viii) Some clients were disbursed with loans amounting to UGX.1.9Bn secured with machinery and other chattels which were not comprehensively insured. This was contrary to the credit policy.
Ministry of East African Community Affairs (MEACA)	Agro-industrialization, Governance and security & Private Sector Development	Unqualified	i) MEACA's pension and gratuity arrears balance had grown by UGX.186Mn (2%) from UGX.8.99Bn as at 30th of June 2023 to UGX.9.18Bn by the end of June 2024. ii) The Ministry had not prioritized implementation of three (03) mandate activities of conducting research, sensitization of the public, private sector and civil society and building capacity of stakeholders on EAC integration citing inadequate funding. iii) The objectives of the three (03) programmes of Private Sector Development, Governance and Security and Agro industrialization under which the Ministry is funded are not aligned to the mandate and strategic objectives of the Ministry. iv) The Ministry did not convene the Sectoral Council meetings on Legal and Judicial Affairs and there was limited attendance of technical members from MDAs in Local and regional Technical meetings citing budgetary restrictions on travel abroad. v) The Ministry had a budget of UGX.39.37Bn out of which UGX.39.03Bn was warranted and UGX.38.48Bn had been utilized by the close of the financial year. All the outputs were not appropriately quantified to enable assessment of performance of the Ministry.

			vi) I undertook a special audit of the pension payroll, and a separate report was issued. vii) I undertook a Special audit on the utilisation of funds for the minister's office at the MEACA for the period 2021/2022 to 2022/2023 and a separate report was issued. viii) I conducted an audit of three (3) Treasury Memoranda for the Ministry and noted that out of the 16 recommendations issued, nine (9) were fully implemented, five (5) were partially implemented while two (2) were not implemented at all.
Ministry of Education and Sports (MoES)	Human Capital Development	Unqualified	i) The Ministry had outstanding commitments of UGX.1.04Bn comprising of employee costs of UGX.517.5Mn and Pension of UGX.520.9Mn. ii) The Ministry advanced UGX.13.098Bn to the Ministry of Defence and Veteran' Affairs and NEC construction works and Engineering Limited for the construction of schools, but the works were yet to commence. iii) Procurements worth UGX.4.657Bn were conducted outside the e-government procurement system in violation of issued guidelines. iv) The ministry appointed 154 Education Officers to Senior Education Officers, however, there was no salary increment for the promoted staff. v) A review of the scholarships awarded in the financial year under review revealed that scholarship opportunities totalling 139 were available but only 30 had been awarded resulting in shortfall of 109. vi) The Ministry has not put in place the Technical Vocational Education and Training Qualifications Framework, rendering it difficult for all assessment bodies to effectively execute their mandate. vii) The entity had an approved budget of UGX.731.9Bn out of which UGX.466.8Bn was warranted resulting in a shortfall of UGX.262.8Bn representing a 63.9% performance. viii) The entity had total warrants of UGX.466.8Bn out of which warrants worth UGX.407.7Bn had been utilised by the close of the financial year. The balance of UGX.59.1Bn (13%) was meant for activities which were either partially or not implemented at all such as establishment of a national teacher council, vehicles and motorcycles for supervision of EMIS activities, renovation of Ministry stores in Industrial area and finalization of the national feeding Policy. ix) I undertook a special audit of the pension payroll, and a separate report was issued.

Ministry of Energy and Mineral Development (MEMD)	Sustainable Petroleum Development & Sustainable Energy Development	Unqualified	i) Non-tax revenue of UGX.28.33Bn was collected during the year against a budget of UGX.54.27Bn, representing a performance of 52% of the target. This was attributed to the ban on exportation of unprocessed minerals. ii) UGX.129.05Bn of the receivables at year end had been outstanding for over 2 financial years. Long outstanding receivables may become bad debts leading to potential write-offs and loss to the ministry. iii) UGX.35.75Tn relating to historical assets was recognized in the statement of financial position for the first time following guidance by the Accountant General. The figure could change following the conclusion of the ongoing validation and revaluation of the assets by the Accountant General. iv) I noted; unspent warrants for pension and gratuity arrears amounting UGX.3.73Bn; a budget shortfall of UGX.7.95Bn (97%) on clearance of other domestic arrears; clearance of UGX.0.84Bn rent arrears for the former REA without budget provision and long outstanding arrears of UGX.7.14Bn as at the end of the financial year. v) I noted non-alignment of the Ministry's work plan and budget to PDM and failure by the Ministry to develop the formula to calculate the Parish vulnerability index. vi) The Ministry did not prepare multi-year procurement plans for 9 procurements worth UGX.31.66Bn. I also noted challenges with the e-GP system such as insufficient oversight support, lack of electronic submission support, duplication of entries, reporting challenges, procurement planning gaps and insufficient competition support. vii) The compensation of PAPs was at 76%, 89%, 88% and 95% for the refined petroleum products pipeline, karuma HPP dam-site, karuma reservoir area and isimba HPP respectively. Delays in compensation led to escalations in compensation for the petroleum product pipeline with a total of UGX.32.09Bn in supplementary assessments and valuations. viii) NDP III identified a human resource gap of 6,118 scientists for the energy transition, with only 29% of professions trainable locally. However, human resource needs were excluded from PIAP interventions, leaving them unfunded and unmonitored, risking energy transition objectives. The Ministry is addressing this through an Integrated Energy Resources Master Plan, expected by 2025, and
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			enhanced coordination under NDP IV. ix) Annual Mineral Rent fees amounting to UGX.4.39Bn due from exploration and mining companies remained outstanding as at 30th June 2024. Similarly, UGX.3.91Bn of the Mineral Royalties sharing fund account remained outstanding. x) In FY 2023/24, USD 3.01Bn in gold exports occurred without permits, preventing origin and purity verification, potentially breaching the 2011 presidential moratorium on export of unprocessed minerals, and resulting in UGX 68.84Bn in cumulative unpaid export levies. xi) Out of the approved budget of UGX.1.79Tn, the total warrants for the year amounted to UGX.1.67Tn (93%). The budget includes UGX.1.11Tn relating to external financing and GoU budget of UGX.678.96Bn. xii) Out of the Ministry's GoU approved budget of UGX.678.96Bn, UGX.601.05Bn was warranted representing an 89% performance. The shortfall of UGX.77.91Bn that was not warranted represents UGX.14.20Bn for outputs that were totally unfunded while the balance of UGX.63.60Bn relates to partially funded outputs. xiii) Out of the warrants of UGX.601.05Bn, UGX.566.01Bn had been utilized by the close of the financial year representing an absorption capacity of 94%. xiv) I assessed 24 outputs and 200 activities, finding two outputs fully implemented. Of 197 partially implemented activities, 68 were fully completed, 74 partially, and 55 unimplemented. Detailed costs per activity were not provided for fund utilization assessment. xv) I noted that two (2) projects worth UGX.4.71Bn were not functional despite completion/delivery. The non-functional projects included two weigh bridges delivered but not installed and the Beneficiation center constructed in fort portal but not equipped. xvi) The Electricity Connection Policy aims to increase annual connections to 300,000, but in 2023, service providers planned 256,257 connections, completing only 63,188 (24.66%) due to funding gaps and delays in verifying connections. xvii) I also carried out other audits in the Ministry as highlighted below, for which separate reports were issued; a) Follow up audit on the status of implementation of the Auditor General's recommendations for the value for money audit on the implementation of the Fuel Marking Programme by the Ministry
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			of Energy and Mineral Development b) Special audit report on gratuity payments and pension payroll for ministry of energy and mineral development for the financial years 2019/2020 to 2023/2024 c) A coordinated regional audit on illicit financial flows with a focus on tax revenue mobilization, and; d) Special audit on the electricity power lines and connections claims by service providers against the defunct Rural Electrification Agency. xviii) I undertook a special audit of the pension payroll, and a separate report was issued.
Ministry of Gender, Labour and Social Development (MoGLSD).	Community Mobilization and Mindset Change, Governance and Security & Human Capital Development	Unqualified	i) Out of an approved budget of UGX.363.43Bn, UGX.303.8Bn (84%) was warranted resulting in a shortfall of UGX.59.63Bn. ii) Out of the UGX.303.8Bn, warranted, UGX.247.44Bn had been utilized leaving a balance of UGX.56.36Bn unutilized iii) 426 workplaces had not renewed their certificates, leading to uncollected renewal fees UGX.0.49Bn. iv) Out of 1,400 planned inspections, only 390 workplaces (28%) were inspected, leaving 1,010 (72%) uninspected. v) Government institutions/workplaces were operating without Occupational Safety and Health (OSH) registration, and no fines were imposed on these institutions, contrary to existing regulations. vi) Out of the YLP recoverable amount of UGX.169Bn only UGX.40Bn (24%) had been repaid leaving UGX. 129Bn unrecovered. Similarly, out of the UWEP recoverable amount of UGX.67Bn only UGX.36Bn (56%) had been paid leaving UGX.31Bn unrecovered. vii) Out of 53 licenced firms, only 17 (32%) submitted labour returns. viii) I undertook a special audit of the pension payroll, and a separate report was issued.
Generating Growth Opportunities and Productivity for Women Enterprises Project (GROW)	Community Mobilization and Mindset Change	Unqualified	i) There was delay in training of women beneficiaries and this affected absorption of funds. ii) Out of the expected disbursement of UGX.112.57Bn, only UGX.52.18Bn had been disbursed resulting in a shortfall of UGX. 60.38Bn representing 46.4% performance. iii) Out of the total available funds of UGX.52.18Bn, only UGX.10.96Bn was spent resulting in unspent balance of UGX.41.22Bn representing an absorption level of 21%. iv) Most of the activities had not started due to lack of sensitization and

			training coupled with late disbursement, for instance in the first year of implementation.
Islamic Development Bank Operational (IsDB) Special Account for the Quarter ended 31st March 2024	Human Capital Development	Unqualified	There were no reportable issues
Islamic Development Bank (IsDB) Special Account for the quarter ended 30th June 2024	Human Capital Development	Unqualified	There were no reportable issues
Islamic Development Bank Operational (IsDB) Special Account for the Quarter ended 31st December 2023	Human Capital Development	Unqualified	There were no reportable issues
Ministry of Information, Communications Technology and National Guidance	Community Mobilization and Mindset Change & Digital Transformation	Unqualified	i) The entity had an approved budget of UGX.154.064Bn out of which UGX.139.803Bn was warranted resulting in a shortfall of UGX.14.261Bn representing a 90.74% performance. ii) The entity had total warrants of UGX139.803Bn out of which warrants worth UGX.139.614Bn had been utilized by the close of the financial year leaving a balance of UGX 0.188Bn unutilized. iii) Three (3) out of the seven (7) modules of the Parish Development Model Information System (PDMIS) had been developed and rolled out. iv) The PDMIS was yet to be fully integrated with banking systems. v) The Ministry awarded two contracts worth UGX 17.727Bn to various contractors without approved funding in the budget. vi) The Ministry failed to fully settle the outstanding Pension Arrears totaling to UGX.155.084Bn in the period under review.

Ministry of Kampala Capital City and Metropolitan Affairs	Development Plan Implementation, Public Sector Transformation, & Sustainable Urbanisation and Housing	Unqualified	i) Out of the 50 approved posts, only 28 (56%) posts were filled, leaving 22 (44%) posts vacant. ii) The Ministry had not prioritized implementation of four (4) mandate activities of development of a physical development plan, drainage master plan, legislative framework to coordinate local economic development and construction of bus terminals. iii) The Ministry had not implemented the following key strategic initiatives; slum upgrading, development of youth empowerment centres, designing of tourism products, GKMA solid waste management which are in the Greater Kampala Economic Development Strategy. iv) The entity had total warrants of UGX.7.80Bn out of which warrants worth UGX.7.62Bn had been utilised leaving a balance of UGX.178.93Mn. v) Out of 26 activities, the entity fully implemented two (2) activities worth UGX.70Mn while 24 activities worth UGX.7.24Bn were partially implemented.
Ministry of Lands, Housing & Urban Development	Natural Resources, Environment, Climate Change, Land and Water & Sustainable Urbanisation and Housing	Unqualified	i) There was a 55.8% increase in outstanding commitments, from UGX.163.2Bn in the previous year to UGX 246.3Bn in the current year owing to court awarded compensations. ii) Out of capitalization requirement of UGX.118.08Bn for the National Housing and Construction Company LTD, Only UGX.30Bn was provided resulting in a shortfall of UGX.88.10Bn (75%). iii) The Ministry made multi-year procurements of UGX.1.1Bn without the required approval of Parliament. iv) There was a budget shortfall of UGX.9.4 Bn (94%) which negatively affected the implementation and achievement of the services expected. In addition, there were unutilized warrants of UGX.10.7Bn resulting in partial or unimplemented activities. v) 75 activities were fully implemented; 25 activities were partially implemented; 12 activities were not implemented at all vi) Supplementary expenditure amounting to UGX.5.2Bn did not meet the supplementary expenditure criteria. vii) Whereas the Ministry clients' charter provides a period of 5 days to process a land title, it took an average of 51 days to process the title in the Ministry Zonal offices sampled viii) I undertook a special audit of the pension payroll, and a separate report was issued.

Ministry of Government	Local	Agro-Industrialization Development Plan Implementation Governance and Security, Human Capital Development Legislation, Oversight and Representation Natural Resources, Environment, Climate Change, Land and Water Public Sector Transformation Regional Balanced Development Sustainable Urbanisation and Housing	Unqualified	i) The Ministry had an outstanding arrears balance of UGX.22.43Bn at the close of the FY 2023/2024. I further noted that the Ministry provided for UGX.0.11Bn for settlement of prior year arrears yet the balance of arrears was UGX.22.47Bn in 2022/2023. This resulted in an under budgeting of UGX.22.37Bn. ii) PDM activities worth UGX.5.75Bn that were planned and fully funded were not fully implemented. iii) The PDM secretariat did not avail records of the NPC resolutions made to ascertain the status of implementation of resolutions. iv) The MoLG pillar working group did not develop the formula to calculate the Parish vulnerability index. v) The Ministry had total warrants of UGX.66.90Bn out of which UGX.63.80Bn had been utilized by the close of the financial year. The balance of UGX.3.10Bn was meant for recruitment of CAOs and enhancement of their salaries which were delayed. vi) I assessed 21 outputs with 58 activities worth UGX.31.54Bn and noted 12 outputs with 22 activities worth UGX.21.2Bn were fully implemented, nine (9) outputs with 36 activities worth UGX.10.34Bn were partially implemented. vii) The Ministry created 740 new administrative units which required UGX.74Bn at a rate of UGX.100Mn per unit as per the guidance issued by the Ministry. This resulted in an under budgeting of UGX.67.2Bn. I noted that UGX.6.7Bn was released for the start-up funds for the last three (3) years against the approved budget of UGX.6.80Bn resulting in under release of UGX.0.1Bn. viii) The Ministry provided funds to the newly created administrative units for construction of administration blocks without uniform approved standard structural designs. ix) Out of 21 newly created units provided with funds amounting to UGX.1.35Bn for the last three financial years, 19 units used the funds for constructions while the two (2) units used the funds to procure land. I inspected the 19 structures and noted Six (6) units had completed the construction or renovation of the structures while 12 units were still under construction. x) I undertook a special audit of the pension payroll that covered a period from FY 2019/20 to 2023/24 and a separate report was issued. xi) I undertook a value for money audit on supervision of Local Governments by MoLG and an Information Systems Audit of the
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			Electronic Local Government Revenue Management System (E LOGREV) issued separate reports. xii) I undertook an audit of the Treasury Memorandum financial Year 2014/2015 and noted that out of the 47 recommendations issued, 17 recommendations were fully implemented, 14 recommendations were partially implemented while 16 recommendations were not implemented.
Local Economic Growth Support Project (LEGS) under MoLG	Public Sector Transformation	Unqualified	i) I observed that the Microfinance Support Centre disbursed loans of UGX.0.686Bn to private companies, contrary to the financing agreement provisions which denied the intended beneficiaries access to project funding. ii) The project planned to spend UGX.62.54Bn out of which only UGX.35.80Bn was spent. This affected the implementation of project activities, some of which include construction of irrigation schemes, produce marketing yards, artificial insemination units and processing plants among others. iii) I carried out a Value for Money audit on the Project to assess the extent to which the implementation of the project by the MoLG delivered the intended outputs and a separate report was issued. iv) The project management engaged a consultant to provide consultancy services without a contract worth USD.301,477.89 (UGX.1.14Bn) contrary to the procurement and the Islamic Development Bank regulations.
National Oil Seed Project (NOSP) IFAD LOAN NO. 200000328100 (Component 2), implemented by MoLG	Agro-Industrialization Development Plan Implementation	Unqualified	i) Out of the expected total disbursement of UGX.111.98Bn, only UGX.18.32Bn (16%) had been disbursed awaiting the procurement of the civil works consultant. ii) Out of the total disbursed funds of UGX.18.32Bn, the project had absorbed UGX.12.13Bn by the end of the financial year under audit. The balance of UGX.6.19Bn was held on the project bank account in Bank of Uganda. iii) I sampled six (6) activities with a budget of UGX.72.78Bn and noted that targets for two (02) activities worth UGX.14.74Bn had been partially achieved while targets for the remaining four (04) activities worth UGX.58.04Bn were yet to be achieved.
Ministry of Tourism, Wildlife and Antiquities (MoTWA)	Tourism Development	Unqualified	iv) The Ministry entered a UGX.2.7Bn Grant Agreement on behalf of GoU with Maro Eco Tourism Resort Management for the development and improvement of the Maro Eco Tourism Centre. It was noted that there was a delay in implementation of phase one activities for which

			UGX0.68Bn was advanced. v) The entity had an approved budget of UGX.223.368 Bn out of which UGX.221.463Bn (99.15%) was warranted resulting in a shortfall of UGX.1.905 Bn. vi) Eleven (11) outputs with nineteen (69) activities and expenditure worth UGX.52.135 Bn were fully implemented. vii) Three (3) outputs with nineteen (19) activities and expenditure worth UGX.13.888 Bn were partially implemented. viii) The Ministry, one of the long-standing members of the UN World Tourism Organization (UN Tourism) had accumulated payables amounting to UGX.2.27Bn owing to the Organization based on the Lusaka Agreement. The long outstanding liability remains overdue for years.
Ministry of Water and Environment	Agro-industrialization Human Capital Development Natural Resources, Environment, Climate Change, Land and Water	Unqualified	i) The Ministry spent UGX.18.49Bn on unbudgeted domestic arrears. ii) UGX.119.95Bn of the domestic arrears have been outstanding for more than two. iii) Land acquired of UGX.13.15Bn lacked land titles. iv) The Ministry Property, Plant and Equipment (PPE) of UGX.803.84Bn, out of which UGX.113.57Bn related to historical assets recognized for the first time following guidance by the Accountant General. v) MWE did not withhold tax worth UGX.437.86Mn. vi) UGX.1.464Bn was paid to a private company on payment voucher No. D530/05/R/24 to settle interest that had accrued due to delayed payment of retention amounting to UGX.1.88Bn. vii) The Ministry procured goods and services at prices significantly different from those given by the market assessment reports. viii) The Q4 cumulative performance report disclosed total receipts of UGX.1.33Tn, while the total warrants report for the Ministry extracted from IFMS revealed total receipts of UGX.1.194Tn creating a variance of UGX.0.13Tn. ix) The Q4 cumulative performance report disclosed total expenditure of UGX.0.98Tn, while the total IFMS expenditure of the Ministry was UGX.0.62Tn creating a variance of UGX.0.36Tn. x) Out of the approved budget of UGX.1,226.96Bn, UGX.1,194.45Bn (97%) was warranted, out of which UGX.659Bn (55%) had been utilised by the close of the financial year. xi) I observed that though the work plans uploaded in the Programme Budgeting System (PBS) were quantified and had costs at output level,

			these costs were not supported by activity costs. xii) Two (2) outputs with 308 activities worth UGX.510Bn were partially implemented. Out of 308 activities, the entity fully implemented 194 activities, 68 activities were partially implemented while 46 activities remained unimplemented. xiii) Out of the 23 sampled projects, six (6) projects worth UGX.30.25Bn had delays averaging fifteen (15) months from the expected completion date. xiv) I undertook physical inspections on 23 projects sampled and noted defects on five (5) of the thirteen (13) projects worth UGX 2.106Bn. xv) Two (2) out of the 23 sampled projects worth UGX2.08Bn were not functional despite their completion. xvi) I undertook a special audit of the pension payroll, and a separate report was issued.
Ministry of Public Service (MoPS)	Public Sector Transformation	Unqualified	i) MoPs did not adequately implement 17 of its mandated activities in the last three (3) years. ii) The entity had an approved budget of UGX.34.39Bn out of which UGX.31.74Bn was warranted resulting in a shortfall of UGX.2.65Bn. UGX.29.9Bn had been utilised by the close of the financial year leaving a balance of UGX.1.84Bn. iii) I assessed 16 outputs with 101 activities worth UGX.12.7Bn; 56 activities worth UGX.4.1Bn were fully implemented, 45 activities worth UGX.8.67Bn were partially implemented. iv) MoPs did not have representation in the Governance and Administration and Social Services PDM working groups implying that the Ministry did not participate in the review and amendments of the operational guidelines. v) Out of the 41 Bills that give effect to RAPEX, 36 Bills affecting 43 institutions had been passed by Parliament, while four (4) affecting seven (7) institutions were pending legislation in Parliament. 43 out of the 60 entities have either been merged, mainstreamed, or transferred to their parent Ministries. vi) Seven (7) procurements worth UGX.811.2Mn were made outside the e-GP system which undermines the objectives of e-procurement. vii) I noted delayed contract implementation for four (4) contracts worth UGX.477.81Mn with an average delay of four (4) months. viii) I undertook a special audit of the pension payroll that covered a period from FY 2019/20 to 2023/24 and a separate report was issued.

			ix) The special audit also highlighted cross-cutting pension and gratuity policy matters for the Government to address in order to streamline and improve the pension and gratuity management processes. x) I conducted an audit of the Treasury Memoranda for FYs 2015/16, 2014/15 and 2020/21 and noted that out of the 29 recommendations issued; seven (7) recommendations were fully implemented; 15 recommendations were partially implemented while seven (7) recommendations were not implemented at all
Ministry of Works and Transport (MoWT)	Integrated Transport Infrastructure and Services	Unqualified	i) UGX.242.55Bn in payables was disclosed under the Statement of Financial Position, with UGX.30.98Bn outstanding for over three years, contravening Treasury Instructions 2017. ii) The Ministry settled arrears of UGX.69.53Bn during the year, including UGX.68.38Bn from funds appropriated for current activities, diverting funds for ongoing projects. iii) Irrecoverable receivables and advances totaling UGX.626.52Mn from past financial years remain unresolved, inflating the asset position in the financial statements. iv) Four (4) Logistics Officers and several other staff were paid salaries lower than their appointment letters and approved costed establishment structure, exposing the Ministry to legal risks. v) UGX.32.99Bn (30%) of the UGX.109.86Bn settlement for Motor Vehicle Inspection Services (MVIS) was paid, but ownership of assets has not yet been transferred to GoU contrary to the terms of the agreement. vi) The Ministry registered 13,176 motor vehicles older than 15 years contrary to Section 15 of the Traffic and Road Safety Act, undermining efforts to reduce road accidents and carbon emissions, vii) The Ferry Licensing Agreement (FLA) expired in August 2020, and the service provider has not paid USD 200,000 in vessel licensing fees and USD 4,000 in operating license fees for four years, resulting in financial loss. viii) Five out of ten activities in the Ministry's approved work plan were not aligned with the PDM Working Group's activity implementation plan, and differing quantitative targets were noted for overlapping activities. ix) The annual PDM reports necessary for confirming activity expenditures and outputs were not availed for audit verification. x) The Ministry of Works and Transport failed to develop a formula for

			calculating the Parish Vulnerability Index, contrary to the PDM operational manual, potentially affecting prioritization of vulnerable parishes. xi) The Ministry did not perform market assessments for procurements worth UGX.3.75Bn, contrary to Regulation 3(2)(a) of the Public Procurement Rules 2014. xii) The Ministry faced challenges in implementing its mandate, particularly in strengthening transport asset management, as the repair and maintenance of road equipment was not adequately executed, affecting District, Urban, and Community Access Roads (DUCAR). xiii) Out of the approved budget of UGX.1,470.018Bn, only UGX.754.344Bn (51.32%) was warranted, leaving a funding shortfall of UGX.715.675Bn, negatively affecting planned activities. xiv) Out of Warrants worth UGX.754.344Bn issued, UGX.753.678Bn was utilized. The balance of UGX.0.665Bn related to partially or unimplemented activities, including unpaid pensions and halted field trials for Consolid-55 road stabilizers. xv) Out of 28 outputs with 292 activities worth UGX.546.48Bn, 22 outputs and 179 activities worth UGX.359.04Bn were fully implemented. However, six outputs with 113 activities worth UGX.187.44Bn were partially implemented, while two activities worth UGX.0.7Bn remained unimplemented. xvi) Five out of 11 sampled projects worth UGX.34.001Bn faced delays averaging 13 months, caused by contractor abandonment, budget cuts, and adverse weather conditions. xvii) Inspections revealed defects on two projects worth UGX.7.87Bn, including incomplete rectifications and inadequate management of right-of-way issues, affecting usability and service delivery. xviii) One project worth UGX.2.71Bn, the Low-Cost Sealing of Bitereko-Nchwera Road, faces limited functionality due to the inadequate width of a critical bridge, which risks becoming a bottleneck. xix) Only UGX.25Bn (3.57%) of the UGX.699.64Bn required for the rehabilitation of 2,058.6 km of security roads in Karamoja Sub-Region and Surrounding Areas was released, significantly stalling the Cabinet directive to improve connectivity and security. xx) For the DRC Roads, the Mpondwe/Kasindi-Beni Road is 49.68% complete, Beni-Butembo road is 0.15% complete, and Bunagana-
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			Rutshuru-Goma road has not commenced. xxi) Out of UGX.4.4Bn budgeted for road maintenance under DRRU-West, only UGX.2.11Bn (48%) was received, leaving a shortfall of UGX.2.30Bn, which prevented the rehabilitation of 13 roads worth UGX.2.25Bn. xxii) DRRU-North received UGX.2.55Bn out of UGX.4.4Bn, resulting in only 66.6 km of the planned 135.9 km being rehabilitated. xxiii) For Standard Gauge Railway (SGR), the 273km Kampala-Malaba route, expected to be operational by March 2018, had not commenced by the end of the financial year due to lack of co-funding. xxiv) Compensation for 2,448 Project-Affected Persons (PAPs) for the Standard Gauge railway, valued at UGX.184.08Bn, remains unsettled, leading to increased costs due to re-assessments and administrative expenses. xxv) The Uganda Civil Aviation Authority (UCAA) renewed the Academy's certification for 12 months but cited non-compliance in training and staffing requirements, risking revocation of its certification. xxvi) I carried out a special audit on the pension and gratuity payroll and issued a separate report to Parliament.
Busega Mpigi Road Project (ADB Loan No: 2100150035493) for the year 30th June 2023	Integrated Transport Infrastructure and Services	Unqualified	i) Out of the expected total disbursement of UGX.534.523Bn, the project received UGX.271.688Bn, leading to a shortfall of UGX.262.835Bn ii) The GoU disbursed UGX.105.723Bn as counterpart funding out of the expected UGX.145.902Bn, leaving a balance of UGX.40.179Bn iii) UNRA on 18th June 2019 entered a contract with the Contractor for civil works for the construction of Busega - Mpigi expressway at a contract sum of UGX.547.543Bn without the engineer's estimates and detailed designs to support the contract amount.
Busega Mpigi Road Project (ADB Loan No: 2100150035493) for the year 30th June 2024	Integrated Transport Infrastructure and Services	Unqualified	i) The Busega-Mpigi Expressway project has experienced significant cost escalation from UGX.547.5Bn to UGX.1.35Tn as at 31st March 2023 due to inadequate detailed designs at contracting. ii) Total expected cumulative disbursement from ADF and ADB was UGX.530.44Bn, but actual disbursements amounted to UGX.428.08Bn (80.7%), leaving UGX.102.35Bn undisbursed. iii) The Government incurred commitment fees of USD 1.55Mn on undisbursed donor funds due to delayed utilization as at 31st March 2024.

			iv) Expected cumulative disbursement was UGX.145.90Bn, but actual disbursements totaled UGX.118.19Bn (81%), leaving UGX.27.71Bn undisbursed. v) The Busega-Mpigi Expressway project achieved 40.86% physical progress by 30th June 2024, with consultancy services and capacity-building activities largely completed; however, there were noted delays in compensating 1,527 Project Affected Persons (valued at UGX.50.89Bn). vi) The project had an approved budget of UGX.185.42Bn for FY 2023/2024, of which UGX 168.86Bn was available for spending, resulting in a shortfall of UGX.16.56Bn and an overall performance rate of 91.07%. vii) The total available funds for the project for the financial year 2023/2024 amounted to UGX 168.86Bn, all of which were fully utilized, achieving an absorption level of 100%.
Kapchorwa Suam road upgrading project for the year ended 30th June 2023	Integrated Transport Infrastructure and Services	Unqualified	i) Out of the expected total donor disbursement of USD.94,489,597, the project had received USD.61,006,943, leading to undisbursed funds of USD.33,482,654. ii) Due to the low absorption, the undisbursed loan balance attracted commitment charges of USD.1,379,406 iii) At year end, GoU had disbursed USD.33,977,860 as counterpart funding, in contrast to the expected USD.11,2800,000, leading to an over disbursement of USD.22,697,860. The over-disbursement was to cover unbudgeted civil works. iv) The project had an approved budget of UGX.66.9Bn, however, UGX.104.8Bn (156.6%) was available for spending, resulting in over expenditure above the budget provisions by 37.9Bn.
Kapchorwa Suam road upgrading project for the year ended 30th June 2024	Integrated Transport Infrastructure and Services	Unqualified	i) Total expected cumulative disbursement from ADB and ADF was USD 94.49Mn, but actual disbursements amounted to USD 84.82Mn (90% performance). ADB disbursed 99% of its expected funding, while ADF achieved only 83%, resulting in a total variance of USD 9.67Mn. ii) The government incurred a cumulative amount totaling UA 1.44Mn (USD 1.96Mn) as at 20th March 2024 in commitment fees due to undisbursed donor funds. iii) Cumulative disbursements from GoU were USD.40.77Mn, significantly exceeding the expected amount of USD.11.28Mn by 361%. iv) Seven additional interventions with a total value of UGX.44.37Bn

			were approved by ADB, subject to completion by 30th June 2025. However, only one intervention is in the final stages of procurement, while six remain at the initiation stage. v) For the financial 2023/2024, the project received UGX.116.42Bn against an approved budget of UGX.97.1Bn, resulting in a surplus of UGX.18Bn (120% performance). vi) All available funds of UGX 116.42Bn were fully utilized at end of financial year 30th June 2024, achieving a 100% absorption rate. vii) The training contract worth USD 125,000 for labour-intensive income-generating activities was not implemented by its expiry date of 30th June 2024.
Mountains of the Moon University (MMU)	Human Capital Development	Unqualified	i) The University had outstanding payables of UGX0.895Bn as at 30th June 2024, of which, UGX.0.814Bn relates to prior financial years. ii) funds to pay for the multi-year project worth UGX.15.492Bn were not released as budgeted. iii) The University had 71 academic programmes, out of which 2 were not accredited, 43 were accredited, 21 did not attract any students while 5 programmes admitted students beyond the accredited numbers. iv) Management signed contracts worth UGX.1.472Bn with various contractors without carrying out market surveys. v) The entity had an approved budget of UGX.43.48Bn out of which UGX.41.195Bn was warranted resulting in a shortfall of UGX.2.285 Bn representing a 95% performance. vi) The University had total warrants of UGX.41.195Bn out of which warrants worth UGX.41.193Bn had been utilised by the close of the financial year leaving the balance of UGX.0.731Bn unutilized. vii) Eight (10) outputs with 22 activities worth UGX.7.087Bn were fully implemented, while one (1) output with 2 activities worth UGX.0.328Bn was partially implemented.
Building Resilient Communities, Wetland Ecosystems and Associated Catchments in Uganda (UNDP Project implemented by MWE) for the	Natural Resources, Environment, Climate Change, Water and Land Management	Unqualified	There were no reportable issues

year ended 31st Dec 2023			
Multinational Lake Victoria Maritime Communications and Transport Project (MLVMCT)	Natural Resources, Environment, Climate Change, Water and Land Management	Unqualified	i) The AfDB has cumulatively disbursed USD 6.15Mn, which is 46% of the planned USD 13.38Mn. The GOU exceeded its planned disbursement by USD 0.21Mn. ii) I reviewed the status of implementation of the project activities and noted that; the MRCC Call Centre has been operationalized, and construction at the Fisheries Training Institute was completed. Procurement of SAR boats and MRCC equipment is ongoing, while delays were experienced at Masese and Kaazi due to terminated contracts. iii) The project received UGX.28.94Bn out of an approved GOU budget of UGX.29.89Bn in FY 2023.2024. This reflects a shortfall of UGX.0.95Bn from GOU contributions. iv) Out of the total available funds of UGX.29.53Bn, only UGX.7.46Bn was spent, representing a 25% absorption rate. v) Search and Rescue (SAR) equipment was delivered to Ministry stores instead of the designated landing sites due to incomplete civil works at the sites. This delay affects the installation, testing, and use of the equipment, compromising maritime safety operations.
Muni University	Human Capital Development	Unqualified	i) The entity had an approved budget of UGX.31.64Bn out of which UGX.30.44Bn (96%) was warranted resulting in a shortfall of UGX.1.20Bn. ii) Out of the total warrants of UGX.30.40Bn, UGX.30.38Bn had been utilized by the close of the financial year. iii) 13 outputs with 39 activities and expenditure worth UGX.0.87Bn were fully implemented. iv) Twenty (20) outputs had sixty (60) activities worth UGX 16.75Bn fully implemented, 19 activities worth UGX.5.63Bn were partially implemented while fourteen (14) activities worth UGX.3.59Bn remained unimplemented. v) Funds totaling to UGX.1.493Bn paid to principal investigations lacked progress reports. vi) The University signed contracts worth UGX.1.486Bn with bidders, without performance security. vii) The University released performance security of contracts worth UGX.9.393Bn before fulfillment of the obligations by the service providers.

			viii) I noted that works of UGX.11.231Bn were behind schedule.
Muyembe - Nakapiripirit Road Project	Integrated Transport Infrastructure & Services	Unqualified	i) Cumulative project disbursements as of 30th June 2024 fell significantly short of targets, with IsDB disbursing only USD 67.1Mn (61% of USD 110Mn) and GoU disbursing USD 4.6Mn (26% of USD 18Mn). ii) The secondary roads component (USD 10Mn), weighing and axle load control equipment (USD 2.59Mn), and workshop and familiarization visits (USD 0.15Mn) remain unimplemented. iii) The project had an approved budget of UGX.99.42Bn for the financial year 2023/2024, but total receipts amounted to UGX.126.5Bn, resulting in a surplus of UGX.27.08Bn (127% performance). iv) Out of the total available funds of UGX.126.535Bn, UGX.126.335Bn was spent, leaving an unspent balance of UGX.0.2Bn, representing an absorption level of 99.8%. v) The Muyembe-Nakapiripirit Road project, initially scheduled for completion in March 2023 and now extended to January 2025, has achieved only 71% physical progress. It is unlikely that the project will be completed in the remaining one month.
Koboko - Yumbe - Moyo road corridor Project	Integrated Transport Infrastructure & Services	Unqualified	i) As of 30th June 2024, out of the total expected donor funding of USD 130.8Mn, IDA had disbursed USD 34.4Mn (26.6%), leaving an undisbursed balance of USD 95.98Mn. ii) The Government incurred USD 1.78Mn in commitment fees on undisbursed donor funds due to delayed disbursements. iii) GoU funding of USD 20Mn had achieved disbursements of USD 9.17Mn (45.9%), leaving a variance of USD 10.83Mn. iv) Of the USD 17.9Mn (UGX.66.2Bn) approved budget for the financial year 2023/2024, only USD 16.6Mn (UGX.61.4Bn) was received, resulting in a funding shortfall of USD 1.3Mn (UGX.4.8Bn) and a performance level of 93%. v) The project had USD 34.8Mn (UGX.128.8Bn) available for spending during FY 2023/2024 but only USD 14.9Mn (UGX.53.5Bn) was spent, resulting in an absorption rate of 42.7%. An unspent balance of USD 19.93Mn (UGX.75.3Bn) remained on the special accounts. vi) Several key project activities, like the Completion of the Development and Operationalization of the National Crash Database remain unimplemented. vii) The compensation of Project-Affected Persons (PAPs) stood at 91%,

			with 3,049 PAPs paid UGX.29.8Bn out of the total 3,353 PAPs valued at UGX.35.91Bn, leaving 304 PAPs outstanding.
North-Eastern Road Corridor Asset Management Project (NERAMP)	Integrated Transport Infrastructure & Services	Unqualified	i) The project, initially allocated XDR 157,600,000 (USD 243.80 million), suffered a foreign exchange depreciation of approximately USD 34,395,304, reducing available funds to USD 209,404,696 as of 31st July 2024. ii) Out of the approved USD 243,800,000 for Donor Funds (IDA), only USD 161,719,480 (66.3%) had been disbursed, leaving USD 82,080,520 undisbursed. iii) Of the expected USD 11,200,000 for Government Counterpart Funds (GoU), only USD 2,878,855 (25.7%) had been disbursed, leaving USD 8,326,145 undisbursed. iv) Key project activities, including road rehabilitation and compensation of Project Affected Persons (PAPs), experienced significant delays. For Lot 1 (150.8km), no rehabilitation works had commenced. For Lot 2 (189.4km), progress on asphalt, base, and subbase layers was below planned targets. v) Out of 329 PAPs, 97 remain unpaid, risking project delays and community resistance. vi) For the financial year 2023/2024, the project achieved 97% receipt performance, with USD 81,940,611 received out of an approved budget of USD 84,222,912, leaving a shortfall of USD 2,282,301. vii) Out of USD 103,000,992 available for the project, only USD 79,411,852 (77%) was spent, leaving an unspent balance of USD 23,658,573 held in project bank accounts at the Bank of Uganda. viii) Lot 1 (Tororo-Mbale-Soroti, 150.8km): No works had commenced by September 2024, despite a planned completion by October 2024. ix) Lot 2 (Soroti-Lira-Kamdini, 189.4km): Progress was significantly behind schedule, with asphalt works at 0.45% for Lot 2A and 62.51% for Lot 2B. x) On the Tororo-Mbale-Soroti section (Lot 1), pothole seals were defective with bleeding and rutting observed. Drainages were blocked due to poor maintenance, and missing signage and markings increased safety risks. xi) On the Soroti-Lira-Kamdini section (Lot 2), the wearing course showed early signs of failure due to high bitumen content. Blocked culverts and a lack of access for PAPs disrupted drainage. Safety features like guardrails were missing on new structures, posing

			significant risks.
National Building Review Board (NBRB)	Infrastructures	Unqualified	i) Out of UGX.22.4Bn of the approved and released budget, only UGX.12.57Bn was utilized, leaving UGX.9.83Bn unspent. ii) None of the 3 outputs assessed comprising 63 activities worth UGX.19.11Bn were fully implemented. Only 7 activities worth UGX.0.44Bn were fully implemented, 31 were partially implemented, and 25 remained unimplemented. iii) Funds for the construction of the National Building Research Centre worth UGX.4.28Bn were released but not utilized due to contract termination and failure to secure land and appoint a new contractor.
Naguru National Referral Hospital	Human Capital Development	Unqualified	i) Out of the approved budget of UGX.18,434,720,542, the total warrants for the year amounted to UGX.18,164,516,991 resulting in a shortfall of UGX.0.270Bn representing 99% performance. ii) Out of the total warrants of UGX.18.165Bn, only UGX.16.77Bn had been utilised by the close of the financial year, leaving a balance of UGX.1.395Bn not utilised. iii) Out of a sample of nine (9) outputs with 40 activities worth UGX.2.92Bn assessed, 7 outputs with 27 activities and expenditure worth UGX.1.31Bn were fully implemented while two (2) outputs with 13 activities worth UGX.1.61Bn were partially implemented. iv) I undertook a special audit of the Hospital gratuity and pension payroll and issued a separate report
National Agricultural Advisory Services (NAADS)	Agro-industrialization	Unqualified	i) A decision was made to merge, mainstream and transfer the functions of NAADS to MAAIF without; a clear strategy on how the staff of NAADS are to be validated and absorbed within MAAIF ii) There were also no clear procedures through which government assets under NAADS are to be accounted for. The assets may be lost during the transition if no clear handover procedures are followed. iii) As at 30th June 2024 NAADS had arrears amounting to UGX.15.89Bn. Besides, there was no clear strategy on how these arrears will be absorbed and cleared by MAAIF. iv) NAADS had 34 Letters of Credit worth UGX.9.73Bn which had not performed for more than one (1) year, indicating a weakness in contract management. v) NAADS had not undertaken verification of the beneficiaries who received tea seedlings worth UGX.61.1Bn on credit following a Cabinet decision to have the verification completed by 30th October

			2022. vi) While the distribution of tea seedlings was meant for only season B of 2022 (August - October 2022), the distribution in three (3) districts worth UGX.7.55Bn was made in season A of 2023 (March – June 2023). These are arrears that could have been avoided if NAADS had complied with the Cabinet directive. vii) The entity had partially executed three (3) mandate activities of increasing access to critical and quality farm inputs and agro-processing and value addition as well as improving post-harvest handling and storage. viii) NAADS had a budget shortfall of UGX.4.02Bn. Despite the shortfall, UGX.381Mn of what was availed was not utilized. This affected the implementation of planned activities. ix) Two (2) outputs with 34 activities worth UGX.29.37Bn were partially implemented while one (1) output with two (2) activities worth UGX.999Mn were not implemented at all. x) The supplier of tractors had received full payment for the 12 tractors worth UGX.1.17Bn before delivery despite the contract agreement providing for 90% until full delivery is made. At the time of inspection, the tractors had not been distributed, one (1) month after the expected distribution date. xi) Three (3) milk coolers worth UGX.631Mn and two (2) cold rooms worth UGX.185Mn delivered in various districts were not operational because of lack of power to run the equipment. xii) I undertook a follow-up of six (6) completed projects highlighted in my prior year report to confirm their functionality and noted that three (3) projects worth UGX.3.67Bn were still not functional. xiii) Out of seventeen (17) recommendations given in the Treasury memorandum on the report of the Public Accounts Committee - Central Government on the report of the Auditor General for financial year 2020/21, four (4) recommendations were fully implemented, eleven (11) were partially implemented, while two (2) were not implemented at all.
National Agricultural Research Organisation (NARO)	Agro-industrialization Innovation, Technology Development and Transfer Programme	Unqualified	i) NARO had an arrears balance of UGX.4.12Bn in FY 2023/2024 that increased from UGX.2.17Bn in the FY 2022/2023 representing 89.7% increment. ii) NARO had eight (8) pieces of un-surveyed land estimated at 1,345.98Ha which exposes the land to encroachment. Further, five

	Regional Development Programme		(5) pieces of surveyed land measuring approximately 543.69 Hectares remained untitled. iii) The Agency had seven (7) pieces of land that had been encroached on by both private and public entities where in some cases developments had been undertaken by the encroachers, rendering recovery very difficult. iv) Out of the approved 1,180 staff, only 777 positions were filled, leaving a balance of 403 positions vacant representing a 34% gap. v) Out of a sample of 29 procurements, 20 procurements worth UGX.26.09Bn took an average of six (6) months from initiation to final contract signing. Further, there was an average delay of four (4) months from the planned date of contract signing to actual contract signing date. vi) I noted delayed contract implementation for eight (8) contracts worth UGX.26.26Bn with delays ranging from three (3) months to over two (2) years. vii) Two (2) mandate activities; management of the Agricultural Research Trust Fund (ARTF) and registration of potential agricultural research service providers in the public and private sectors were not undertaken. The service delivery benefits were not achieved. viii) Out of the budget of UGX.166.49Bn, only UGX.164.49Bn was warranted, resulting in a shortfall of UGX.2Bn. Further, the entity failed to utilise UGX.48Mn. ix) I assessed the extent of implementation of three (3) outputs with 14 activities worth UGX.37.57Bn and noted that two (2) outputs with 7 activities worth UGX.29.748Bn were fully implemented while one (1) output with seven (7) activities worth UGX.7.77Bn was partially implemented. x) NARO delayed completing implementation of 9 projects worth UGX.19.27Bn with delays averaging two (2) months from the expected completion date. Further, one (1) project worth UGX.307Mn was not functional at the time of writing this report. xi) Over the last three (3) years, Government has invested UGX.76.98Bn for the construction, supply and installation of the laboratory equipment of the Anti-tick vaccine facility. However, the commercial vaccine production facility has not been completed. Although the equipment had been delivered, they were yet to be installed. xii) Three (03) procurements related to laboratory equipment of the
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			Anti-tick vaccine facility worth UGX.28.728Bn took almost one year and a half to be completed. xiii) I noted delayed contract implementation for two (2) equipment contracts related to laboratory equipment of the Anti-tick vaccine facility worth UGX.9.25Bn with delays of over one year. xiv) I observed that the electrical and other vaccine facility related equipment, Heating Ventilation and Air Conditioning (HVAC) equipment, and the generator that had been supplied were being un-utilised at the facility premises and were yet to be installed. xv) The construction of the vaccine inoculum seed production laboratory was complete and equipped. However, field trial results which were planned to be approved in May 2024, were yet to be approved by NDA which has delayed the testing of the vaccine on the market. xvi) Only UGX.5.88Bn was released to support the activities of the Competitive Grant Scheme out of the projected UGX.17.02Bn. Failure to adequately fund core research activities may affect the timely completion of the research and achievement of the research objectives.
National Animal Genetic Resource Centre and Data Bank (NAGRC&DB)	Agro-industrialization	Unqualified	i) NAGRC & DB had a shortfall of UGX.25.79Bn which negatively affected their implementation and achievement of the expected services. ii) I reviewed the records in the PBS system and sampled out six outputs worth UGX.34.96Bn and noted that out of the six (6) outputs, only one (1) output worth UGX.0.1Bn was fully quantified, the balance of the five (5) outputs worth UGX.34.86Bn were not fully quantified. iii) The one (1) output that was fully quantified was partially implemented. Out of the five (5) activities in this output, three (3) activities were partially implemented while two (2) were not implemented at all. iv) Due to the non-quantification of the five (5) outputs within the PBS system worth UGX.34.86Bn, I relied on the excel work plan to undertake my assessment on the five (5) outputs. Based on this assessment five (5) outputs worth UGX.34.86Bn were all partially implemented. v) The entity paid arrears amounting to UGX. 9.6Bn that were not budgeted for using the current year's budget. vi) Two mandate activities were not prioritised by the entity in the last

			three (3) years these were setting up a National Animal Genetic Data Bank and development of guidelines for community breeding. vii) Funds worth UGX.5.63Bn were held in letters of credit as at 30th June 2024. Out of these, LCs worth UGX.4.78Bn had no movement of balances from the previous year's status. viii) NAGRC &DB irregularly paid UGX.18.3Mn as renewal charges for Letters of Credit that had expired. ix) The Gene bank building, the hatchery in Bukedi and Karamoja regions, managers' houses in Aswa and Ruhengyere, learning centre and floating fish feed plant at Kasolwe stock farm were still incomplete hence delaying service delivery. x) The entity completed five (05) structures worth UGX.2.95Bn but these remained non-functional. xi) Out of the planned procurements worth UGX.50.41Bn for 28 activities, procurements worth UGX.27.1Bn were not undertaken. xii) Three (3) procurements worth UGX.8.8Bn were undertaken outside the procurement plan and budget contrary to Regulation 3 of PPDA Regulations (PDE) 2014. xiii) Out of a sample of 14 procurements worth UGX.22.4Bn, ten (10) (71%) procurements worth UGX.18.4Bn took an average of seven (7) months from the date of initiation to the date of final contract signing. xiv) Review of the bid security amounts in the various bid documents required by NAGRIC & DB revealed inadequate securities and on one occasion higher security than what was required. xv) I noted delayed contract implementation for five (5) contracts worth UGX.11.9Bn with delays ranging from one (1) month to over a year with some suppliers justifying the extensions while some did not do so. xvi) NAGRC & DB had three (3) court cases with individuals involving land which could lead to possible loss of funds. xvii) Land measuring approximately 115,665 acres held by the entity did not have land titles which could result in encroachment, disputes and loss of public land. Relatedly, five (5) pieces measuring approximately 43,495.4 hectares had encumbrances in the form of encroachment by the local population. xviii) I reviewed the livestock records based on a summarized report of submissions from several farms and noted that during the year, 374
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			cattle, 233 goats and 345 pigs estimated at UGX.0.211Bn were lost through death.
National Children Authority	Human Capital Development	Unqualified	i) While there was a strategy on how the staff of NCA are to be validated and absorbed within the newly created Special Interest Group Secretariat at the MoGLSD, the terminal benefits of staff who will not be absorbed had yet to be computed for onward submission to the Ministry of Public Service (MoPS) for consideration. ii) The contracts of the NCA staff ended on 30th September 2024 and the validation exercise had not been fully concluded. iii) The aggregated funding of the councils had reduced thus would affect the operations of the newly formed Special Interest Group Secretariat. iv) The Authority did not implement mandate activities including Monitoring the implementation of laws relating to all forms of child abuse; Monitoring the progress of all investigations and criminal proceedings relating to child abuse; Preparation and maintenance of a national database on children. In addition, in consultation/liaison with other stakeholders, it did not supervise and monitor all religious and charitable institutions which provide childcare services to children; besides not exchange information with foreign Governments and International organizations, with respect to detection and prevention of all forms of child abuse. v) NCA fully implemented Two (2) outputs with two (2) activities worth UGX.0.365Bn, however I could not assess the implementation of the other four (4) activities because they were not supported with distribution sheets and attendance lists.
National Council for Higher Education (NCHE)	Human Capital Development	Unqualified	i) The entity had total warrants of UGX.19.735Bn out of which warrants worth UGX.14.713Bn had been utilised by the close of the financial year. The balance of UGX.5Bn that was not utilized was meant for construction of NCHE building which is yet to commenced. ii) The NCHE has delayed publishing and gazette the Higher Education Qualification Framework (UHEQF) since it was approved in 2016. iii) I noted that whereas new minimum standards for some courses of study had been developed, they were not in harmony with the competence-based training in the lower levels of education. iv) I noted that Six (6) universities had un-reviewed charters and were on provisional charters for more than five years contrary to the provisions in the Universities and other Tertiary Institutions Act, Cap

			26.
National Council for Older Persons	Human Capital Development	Unqualified	i) The contracts of the staff affected by RAPEX ended on 30th September 2024, the validation exercise had not been fully concluded and the terminal benefits of staff who would not be absorbed had yet to be computed. ii) The Council did not commission surveys and investigations in matters or incidents relating to; a) violation of rights of older persons. b) non-compliance with policies and programs. c) Taking appropriate actions in relation to the surveys and investigation or refer the matter to the relevant authority. d) holding Annual General Meetings of representatives from district councils for older persons for the purpose of reviewing the council's performance and plan for the subsequent year. e) assisting the Electoral Commission to ensure the conducting of free and fair elections of representatives of older persons to the respective local government councils. iii) 21 outputs with 26 activities worth UGX.2.05Bn were fully implemented. 3 outputs with 6 activities worth UGX.0.04Bn were partially implemented.
National Council for Persons with Disabilities	Human Capital Development	Unqualified	i) The contracts of the staff affected by RAPEX ended on 30th September 2024, the validation exercise had not been fully concluded and the terminal benefits of staff who would not be absorbed had yet to be computed. ii) There was a budget shortfall of UGX.34Mn where the following activities could not be implemented - engage district council leaders on the NCPD activities a) ascertain performance of the intervention of Government for NCDP members b) Facilitation and coordination of different office activities iii) 5 outputs with 27 activities worth UGX. 0.86Bn were assessed and the following were noted; a) Three (3) outputs with 4 activities and expenditure worth UGX.0.22Bn were fully implemented. b) Two (2) outputs with 23 activities worth UGX. 0.64Bn were partially implemented.

National Council of Sports (NCS)	Human Capital Development	Unqualified	i) I noted that the Council recovered only USD 5,000 out of USD 44,100 which was paid to Hotel Hill Top and Country Club for accommodation of athletes and officials during the EAC Games Kigali, leaving a balance of USD.39,100 (UGX.149.9Mn). ii) Whereas the National Sports Act Cap 151 established a National Recognition and Reward Scheme to recognize and award outstanding and deserving sports personalities who bring honour to the Country, it has not been operationalized fully. iii) The deductions amounting to UGX.316.9Mn made from 24 staff exceeded 50% of the basic pay of UGX.575.1Mn contrary to the public service standing orders. iv) UGX.4.873Bn advanced to sports federations was still outstanding. v) The Council had an approved budget of UGX.223.9Bn out of which UGX.223.5Bn was warranted resulting in a shortfall of UGX.0.375Bn representing a 99.8% performance. The unwarranted funds were meant for Modification and construction works for Kakyeka stadium. vi) Out of the total warrants of UGX.223.5Bn, a sum of UGX.217Bn had been utilized by the close of the financial year, leaving a balance of UGX.6.5Bn meant for subscription to international bodies, social security contributions, support to national sports federations/associations. vii) Two (2) outputs with 5 activities and expenditure worth UGX.65.6Bn were fully implemented. viii) Two (2) outputs with 3 activities worth UGX.153.1Bn were partially implemented. Out of the 3 activities, two (2) activities worth UGX.152Bn were partially implemented, while one (1) activity worth UGX.1.1Bn remained unimplemented. The partially implemented activity is Hoima city stadium construction, while Kakyeka Stadium Redevelopment remained unimplemented due to due to the delayed creation of a project code, delayed completion of project environment impact assessment. ix) Entity received supplementary funding of UGX.23Bn, which was not requisitioned for.
National Curriculum Development Centre (NCDC)	Human Capital Development	Unqualified	i) NCDC had long outstanding receivables of UGX 0.39Bn as at 30th June 2024. ii) There was understaffing of key positions in the areas of Curriculum Review and Instructional Materials Development and Planning. iii) Out of 19 development processes for the Higher Secondary

			Curriculum only (32%) had been completed leaving 13 (68%) outstanding. iv) Despite the plan by NCDC to train 130,055 secondary school teachers, only 81,495 (63%) were trained over a period of 5 years resulting into a shortfall of 48,560 (37%). v) The entity had an approved budget of UGX.23.30Bn out of which UGX 21.76Bn was warranted resulting in a shortfall of UGX 1.53Bn representing a 93% performance. vi) Fourteen (14) outputs with 59 activities worth UGX 11.46 Bn were partially implemented. Out of 59 activities, the entity fully implemented thirty (30) activities, ten (10) activities were partially implemented, sixteen (16) activities remained unimplemented while three (3) activities were not quantified to enable performance evaluation. vii) I noted that out of the budgeted NTR of UGX 0.11Bn, the entity only collected NTR of UGX 0.047Bn leaving a balance of UGX 0.063Bn (57%) uncollected.
Mount Elgon Ecosystem in Eastern Uganda Project for the 3 Month Period from 1st Oct to 31st Dec 2022	Natural Resources, Environment, Climate Change, Land, and Water	Unqualified	i) The project was not included in the Public Investment Plan, as required by the Budget Execution Circular issued by the PSST ii) All the expected total disbursement of USD.126,000 was disbursed. Of this amount, only USD.47,570 (38%) was spent, resulting in unspent balance of USD.78,430, which was held in the project bank account in Bank of Uganda iii) I assessed implementation of five (5) project outputs and noted that One (1) was fully implemented; two (2) partially implemented, while the remaining two (2) were not implemented
Institutional Capacity Strengthening for Implementation of the Nagoya Protocol on Access to Genetic Resources and Benefit Sharing in Uganda (ABS) (NEMA) for period ended 31st Dec 2023	Natural Resources, Environment, Climate Change, Land, and Water	Unqualified	i) Out of the expected cumulative donor disbursement of USD 2,140,374, only USD 854,237 (40%) was received ii) Out of the approved donor budget of USD 1,298,519, USD 581,752 was available for spending, representing a 45% performance. iii) Out of the fifty-one (51) activities worth USD 393,455 that were assessed, only one activity was fully implemented, thirty-nine activities were partially implemented, while eleven were not implemented iv) Three activities worth USD 54,430 were not implemented on time.

Global Biodiversity Framework-Early Action Support Project (NBSAPS), Project (NEMA) for period ended 31st Dec 2023	Natural Resources, Environment, Climate Change, Land, and Water	Unqualified	i) Out of the expected cumulative donor disbursement of USD 254,115, only USD 220,000 was received, representing 86% performance ii) Out of the total available funds of USD 220,000, only USD 63,457 (29%) was spent, resulting in unspent balance of USD 156,543 iii) Out of the seven (7) planned activities, five (5) were fully implemented, one (1) partially implemented and one (1) not implemented.
National Implementation Plans (NIPS) under the Stockholm Convention on Persistent Organic Pollutants Project (NEMA) for the year ended Dec 2023	Natural Resources, Environment, Climate Change, Land, and Water	Unqualified	i) Out of the expected cumulative donor disbursement of USD 279,000, only USD 130,000 was received, representing 47% performance ii) Out of the total available funds of USD 130,000 only USD 15,941 (12%) was spent, resulting in unspent balance of USD 114,059 iii) Two (2) activities were partially implemented, implying that the planned service delivery was not fully achieved
Strategy and Action Plan Development for Minimization and Proper Management of Single Use Plastics and Associated Plastic Waste in the Environment in Uganda (PWP Project in NEMA) for the year ended 31st Dec 2023	Natural Resources, Environment, Climate Change, Land, and Water	Unqualified	i) Out of the expected cumulative donor disbursement of USD 79,989, only USD 60,000 was received, representing 75% performance ii) The disbursed funds of USD 60,000 was not spent in the year under review, implying all planned activities were not implemented
Mount Elgon Ecosystem in Eastern Uganda Project for the 3 Month period 1st Jan 2023 to 31st Dec 2023	Natural Resources, Environment, Climate Change, Land, and Water	Unqualified	i) In the year under review, the Project had an approved budget of USD.1,429,822, out of which USD.1,278,635 was received, leading to a shortfall of USD.151,187. ii) Added to the unspent balance of USD.78,430, the total available funds for spending was USD.1,357,065. iii) Only USD.142,080 was spent, resulting in unspent balance of USD.1,214,985 (90%). The unspent funds were still held on the project bank account number in Bank of Uganda. iv) The project had not recieved co-financing from Government since

			inception
National Enterprises Corporation (NEC) - Headquarters	Governance and Security	Unqualified	i) The Corporation's payables increased from UGX.1.74Bn in the FY 2022/2023 to UGX.1.96Bn as at 30 th June, 2024. Increase in payables could be an indication that the Corporation is not able to easily meet its obligations when they fall due.
National Enterprises Corporation (NEC) - Construction Works and Engineering Ltd	Governance and Security	Unqualified	i) The Company had outstanding trade debtors worth UGX.20.37Bn by the close of the financial year. Continued accumulation of debtors ties up the Company's working capital and may affect the operations of the company. ii) NEC Works extended a loan advance to NEC Uzima worth UGX.1.47bn out of which UGX.280Mn was paid at the end of the financial year leaving an outstanding balance of UGX.1.19Bn. However, by the end of the financial year, these funds had not been refunded. iii) The Company had an operating margin of 4.4% below the 50% threshold which implies that the company is likely to face challenges of paying off its operating costs in future if this trend is not reversed. iv) The Company made profits of UGX.5.46Bn after tax in the year under review which was an increase from profits of UGX.4.89Bn realized in the previous year representing a rise in profits of 11.7% v) The Company posted a return on assets of 5.5% which was above the generally acceptable safety threshold. This implies that the company used its assets in an efficient manner. vi) The Company had a current ratio of 1.2 for the year under review which was below the desirable ratio of 1.5 implying that the Company has limited ability to meet its short-term obligations without raising external capital. vii) The company had a debt ratio of 79% as at the end of the financial year under review implying that majority of the company's assets are financed by debt viii) I assessed the implementation of seven (7) outputs with 16 activities and found that all activities were partially implemented. ix) I reviewed 12 construction projects worth UGX.248.016Bn implemented in the last three (3) years and noted that nine (9) projects worth UGX.160.18Bn were on-going and One (1) Project worth UGX.62.98Bn had not started.
National Enterprises Corporation (NEC) Security Services	Governance and Security	Unqualified	i) The Company had payables totalling UGX.99.6Mn as at 30th June 2024. ii) The Company did not have an approved staff structure and

			establishment as at the end of the financial year, which exposes the company to the risk of over or under recruitment. iii) The Company lacked an IT risk management framework/policy which is a weakness within the Company's IT controls. iv) The Company made a loss of UGX.1.31Bn in the year under review because the Company had just commenced commercial operations. v) The company had a Return on Assets of -104% meaning that it is not efficiently utilizing its assets. vi) The Company had a current ratio of 2, which is considered healthy. This means that the NSSL can meet its short-term cash requirements easily. vii) The Company had a zero-debt ratio for the financial year under review since it has not accumulated any long-term debts.
National Enterprises Corporation (NEC) AGRO	Agro-Industrialization	Unqualified	i) NEC AGRO SMC LTD's receivables increased from UGX.15.1Bn in the previous year to UGX.23.6Bn in the year under review representing an increase of 56%. ii) The company's annual work plan and budget were not aligned since the work plan was not quantified and appropriately costed. As such, it was impossible to assess the performance of the company in executing its budget and work plan. iii) NEC AGRO SMC LTD had not yet completed civil works and test running of the Grain Storage and Supply facility at Kigumba. iv) The Company collected UGX.99Bn out of the budget of UGX.60.9Bn representing a performance of 163%. v) NEC AGRO SMC LTD had an operating margin of 6.2%, which is below the 15% recommended threshold for the year under review. vi) NEC AGRO SMC LTD made profits of UGX.4.34Bn after tax in the year under review which was an increment from the profits of UGX.3.69Bn realized in the previous year representing a rise in profits of 17.7% vii) For the year under review, the Company posted a Return on Assets (ROA) of 11.5% down from 13.7% posted in the previous year, representing a reduction in ROA of 16%. viii) The company had a current ratio of 5.4 for the year under review, which was above the desirable ratio of between 1.5 and 2. ix) The Company had a debt ratio of 13.6% as at the end of the financial year under review in comparison with the previous year's debt ratio of 27% indicating a significant improvement in the Company's financial health.

National Enterprises Corporation (NEC) Farm - Katonga	Agro-Industrialization	Unqualified	i) Out of the total projected inflow of UGX.5.4Bn, NEC Farm Katonga realized UGX.2.8Bn (52%). ii) There was no alignment between the company's annual work plan and budget since the work plan was not quantified and appropriately costed. iii) NEC Katonga did not meet its quarterly production and sales targets during the year which affected profitability. iv) NEC Farm Katonga Ltd had an operating margin of 34.4%, which is above the 15% recommended threshold implying that the company was efficient in managing its costs. v) NEC Farm Katonga reported a loss of UGX.1.9Bn after tax. This was an increase from the loss made in the prior year of UGX.0.071Bn representing an increase in losses of UGX.1.8Bn. vi) For the year under review NEC Farm Katonga posted a return on assets of -21.0% representing a decrease of 30.5% from a return on assets of -0.6% from the previous year. vii) NEC Farm Katonga had a current ratio of 143:1 representing an increase of 267% from a current ratio of 39:1 viii) NEC Farm Katonga had a debt ratio of 0.21% as at the end of the financial year in comparison with the previous year of 1.11%. This is an indicator that the company is managing its debt prudently.
National Enterprises Corporation (NEC) Uzima Limited	Governance and Security	Unqualified	i) A review of the receivables revealed an increase from UGX.0.44Bn to UGX.4.66Bn representing a 948% increase. ii) Analysis of the payables revealed an increase of UGX.2.65Bn from UGX.1.9Bn in the previous year representing a 140% increase. iii) NEC UZIMA LTD projected to earn UGX.9.68Bn during the year however, it realized UGX.9.72Bn representing 100.3% performance iv) There is no alignment between the company's annual work plan and budget since the work plan is not quantified and appropriately costed. v) I assessed the extent of implementation of planned activities for which funds were availed and noted that all of them were partially implemented. vi) NEC UZIMA LTD had an operating margin of 8.1%, which is below the 15% recommended threshold which means that the company is likely to face challenges of paying off its operating costs in future. vii) NEC UZIMA Ltd reported a profit of UGX.0.52Bn after tax from UGX.0.16Bn realized in the previous year. Further, NEC UZIMA had

			positive retained earnings/revenue reserves of UGX.0.79. viii) Return on assets for NEC UZIMA increased to 2.8% from 1.4% recorded in the previous year, which was still low compared to the industrial average of 5%. ix) The company had a current ratio of 1.8 for the year, which is desirable. x) The company had a debt ratio of 24.3% at the end of the financial year, which implies that the Company has ability to manage its debt.
National Enterprise Corporation (NEC) Luwero Industries Ltd	Governance and Security	Unqualified	i) The Corporation had an operating margin of 40.1% compared to 49.4% performance of the FY 2022/2023. This is an indication that the Company managed its operating costs better in the previous year. ii) The Company made profits of UGX.10.65Bn after tax in the year under review up from profits of UGX.8.05Bn realized in the previous year representing a rise in profits of 32.3%. iii) The Company's return on assets was 13.2%, a reduction from the Return on Assets (ROA) of 14.9% that was posted in the previous year. This indicates that the company used its assets better in the previous year than the current year. iv) The Company had a current ratio of 1.8 for the year under review which is within the desirable range, the posted ratio fell by 92% from a ratio of 23.2 realized in the previous year. This implies that the Company was in better position to meet its short-term obligations. v) The company had a debt ratio of 18.1% as at the end of the financial year under review implying that most of the company's assets are financed by other sources other than debt. vi) I assessed the extent of implementation of activities for which funds were availed and utilized. Out of 14 activities worth UGX.7.001Bn assessed, eight (8) activities were fully implemented while six (6) activities were partially implemented. vii) The Company had an approved budget of UGX.10.27Bn out of which UGX.7.54Bn was provided resulting in a shortfall of UGX.2.73Bn representing a 73.4% performance.
National Forestry Authority (NFA)	Natural resources, environment, climate change, land and water	Unqualified	i) The Authority had outstanding Receivables of UGX.6.61Bn, of which some of the debtors date back to 2010. Only 0.3% had been recovered in the FY. ii) The Central Forest Reserves (CFRs) had been encroached upon, with

			609 illegal titles issued for these reserves due to inadequate demarcation and inadequate budget provisions for adverts and cancellation. iii) The Authority did not implementation Board of Survey 2022/23 recommendations. iv) The Authority spent UGX 100Mn in respect of fines and penalties during the year under review. The court cases could have been avoided if the Authority had performed its duties with due care. v) The Authority had 95 outstanding court cases with individuals and companies from the period 2002 up to 30th June, 2024 vi) A comparison of the entity's strategic and annual work plans for the last three (3) years in line with its mandate revealed that five (5) of the activities were neither budgeted nor prioritised. vii) The Authority had an approved budget of UGX.24.99Bn out of which UGX.20.18Bn (81%) was warranted hence a shortfall of UGX.4.8Bn which resulted into un-implemented activities and under service delivery. viii) The extent of implementation of activities from a sample of five (5) outputs for which funds were availed and utilised indicated that One (1) output with Seven (7) activities and expenditure worth UGX.12.05Bn was fully implemented while Four (4) outputs with forty (40) activities worth UGX. 6.76Bn were partially implemented.
National Housing Construction Company Limited (NHCCL)	Sustainable Urbanisation & Housing	Unqualified	i) The Company had approved budgeted revenue amounting to UGX.108.51Bn out of which only UGX.48.0Bn (44%) was realized, resulting into shortfall of UGX 60,513,347,531 (56%). This affected the completion of planned activities. ii) Out of the Company collections of UGX 48.0Bn, only UGX.33.33Bn (69%) was expended, leaving a balance of UGX 14.67Bn (31%) which was not absorbed. iii) The Company reported a fall in Profit after Tax from UGX. 34.59Bn in FY 22/23 to UGX. 3.28Bn in FY 23/24. This implies that the company is not performing well and may struggle to meet its current and long-term obligations. iv) The Company reported a fall in Return on Assets from 6.30% in FY 22/23 to 0.60% in FY 23/24. This implies a decline in the management's efficiency in using the enterprise's assets to generate earnings.

			v) I noted that NHCCL interest cover increased from 2.7 in FY 22/23 to 3.07 in FY 23/24 representing an increase of 14%. The implication is that the company is most likely to meet its interest payments. vi) I noted that the Company registered debt to equity ratios of 0.04 and 0.03 in the FY's 22/23 and 23/24 respectively. This implies that the ratio is low, and the company may not get leverage of tax from the profits generated. vii) Review of progress reports indicated that construction works on the proposed National Building Research and Quality Assurance Centre-Phase One costing UGX.11.94Bn inclusive of (18%) VAT was halted on 12th June 2023 without adequate justification. viii) The construction of EC headquarters by NHCCL as the main developer in partnership with China Communication Construction Company Limited has stagnated and this may affect credibility of the Company.
National Bureau for NGOs	National Bureau	Unqualified	i) I noted that although the NGO Bureau had arrears totalling to UGX.1.688Bn at the end of the previous financial year, 2022/2023, this amount was not planned or budgeted for in the entity's budget for the year under review. ii) The NGO Bureau incurred additional domestic arrears of UGX.1.501Bn, which are still under verification by the internal audit following the rationalisation. iii) Some staff of the Bureau were still uncertain of their fate following the merger of the Bureau, the severance packages, including the financial compensation, are yet to be agreed upon and budgeted for. Arrangements for handover of assets to the Ministry of Internal Affairs are yet to be concluded following the rationalisation. iv) The entity had unwarranted funds of UGX.0.35Bn which affected payments for employee costs (NSSF), taxes, and rent. v) Four (4) activities worth UGX.267Mn were partially implemented while three (3) activities were not implemented at all despite the release of funds. vi) About 60% of the Bureau's expenditure relates to rent, salaries, gratuity, and other operating expenses that do not directly relate to the Bureau's core activities of registration and monitoring of NGO's activities. vii) The Bureau is yet to develop and maintain an online and fully accessible database of all NGOs in Uganda and has not set up regional

			branch offices upcountry to oversee District NGO Monitoring Committees.
National Identification and Registration Authority (NIRA)	Governance and security	Unqualified	i) No alien has been registered and issued an Identification card over the years. ii) NIRA operates a register without input from other government institutions, even when they collect information required to register or update individual details. For instance, the register is not updated with information collected by National Citizenship and Immigration Control (NCIC) when registering nationals for passports and Uganda Police for those applying for certificates of good conduct. iii) NIRA's birth registration rate has declined for the last two (2) years. I further observed that only 35% of the births registered in 2023/24 were issued with certificates. iv) NIRA had a total revised budget of UGX.359.74Bn, out of which UGX.321.78Bn was warranted, resulting in a shortfall of UGX.37.95Bn, representing 89% performance. v) NIRA had a total of 12 outputs with 115 activities worth UGX.321.7Bn that were assessed, of which three (3) outputs with 21 activities and expenditure worth UGX.5.9Bn were fully implemented, while Nine (9) outputs with 94 activities worth UGX.315Bn were partially implemented. vi) I noted that two bidders failed to submit a manufacturer's authorisation certificate along with their bids. vii) The licence for the database of the central system expired on 28th June 2024, and the licence for the Third-Party Interface expired on 20th March 2024. Their license procurement process remained at the evaluation stage and was never concluded. viii) There were delays in funding the planned activities of the mass enrolment exercise. ix) NIRA budgeted to receive UGX.600.17Bn for implementing mass enrolment and ID renewal activities over the two financial years 2022/23 and 2023/24. However, I noted that no funds were warranted in 2022/23, while only UGX.262.05Bn was warranted in 2023/24, resulting in a shortfall of UGX.338.12Bn, which is 61% of the budget. x) Out of the total receipts for the financial year of UGX.262.05billion,

			only UGX.38.06billion was spent by the entity on mass enrolment and ID renewal activities. The rest of the funds remained on the LC deposit account with Bank of Uganda, and some funds were transferred to the UNICEF bank account. xi) Out of the 11,595 applicants who had passed the interviews and were on the final shortlist for implementing the mass renewal exercise, only 25 staff had been issued appointment letters by the time of the audit in October 2024. xii) NIRA planned to register citizens in the diaspora; however, there was no budget allocated to this activity, and there were no implementation work plans for registering citizens in the diaspora. xiii) The asset register for the period under review had 85 IT systems and hardware equipment which exceeded the recommended five-year useful life and, therefore, were due for disposal. xiv) Out of 11 recommendations given by Parliament on the Report of the Public Accounts Committee on Commissions, Statutory Authorities and State Enterprises for the financial year 2020/21; two (2) recommendations were fully implemented, seven (7) were partially implemented, while two (2) were not implemented at all.
National Information Technologies Authority (NITA-U)	Digital transformation	Unqualified	i) Mandate activities in the strategic and annual work plans were not budgeted for due to a lack of resources resulting in limitations in achieving desired goals. ii) The entity had an approved budget of UGX.49.55Bn of which UGX.47.28Bn (95%) was warranted resulting in a shortfall of UGX.2.27Bn. iii) The entity had total warrants of UGX.47.28Bn out of which warrants worth UGX.45.72Bn had been utilised by the close of the financial year. iv) The Authority had an opening balance of Domestic areas of UGX. 40.196Bn which were not budgeted for and incurred additional UGX 37.13Bn (92% increase), resulting in accumulated domestic arrears of UGX.77.32Bn. v) A review of bandwidth consumption during the period under review revealed that 366 sites with signed MoUs and SLAs and without signed acceptance were allocated more bandwidth than the signed capacity. In addition, the signed capacity is what is billed. This implies that the over-delivered bandwidth of 5,781 Mbps, is valued at UGX.9.864Bn was not billed.

			vi) Out of the 719.47 Kilometres of dark fibre rolled out in the country, only 15% (108.67 Kilometres) of dark fibre service was provided to 6 MDAs compared to the 85% (610.8 kilometres) provided to 7 private customers. vii) My review of the sampled applications by MDAs and LGs for accessing the NBI/EGI or upgrading their internet bandwidth revealed that 9 entities were not connected.
National Library of Uganda (NLU)	Human Capital Development	Unqualified	i) National Library of Uganda (NLU) is to be mainstreamed under MoES. ii) The NLU did not adequately execute the following mandates; (a) Carry out research in the field of library and information provision and disseminate results to the Government and public. (b) To design and carry out pilot projects in new areas of library and information provision and disseminate results to local governments and other organizations. (c) To carry and co-ordinate staff development programs for people working in libraries and information service. (d) To support and promote adult literacy and education through identification and shocking posts-literacy reading materials. iii) To promote the habit and culture of reading through reading campaigns and book exhibitions. The Library had an approved budget of UGX.1.13Bn for the year under review of which 0.97Bn was released and utilized resulting in a shortfall of UGX. 0.16Bn (14This affected the completion of planned activities. iv) Out of the sixteen (16) outputs with forty-two (42) activities worth UGX.0.95Bn assessed, 10 outputs with 18 activities worth UGX.0.66Bn were fully implemented while 6outputs with 24 activities worth UGX.0.29Bn were partially implemented.
National Oil Palm Project (NOPP)	Agro-Industrialization	Unqualified	i) Out of 5,892.98 hectares of land held by the private investor (Oil Palm Buvuma Limited), only 2,327.7 hectares had been planted with the nucleus estate of oil palm plantations while the remaining 2,277 hectares were pending valuation and compensation of tenants. ii) The Project Steering Committee held only one meeting in the first quarter of the financial year out of the minimum required number of two meetings. iii) Out of the expected total disbursement of UGX.206Bn, a sum of UGX.117Bn had been disbursed. This affected implementation of activities. iv) Out of the total cumulative disbursement of UGX.117.88Bn,

			UGX.105.65Bn was absorbed as at 30th June 2024. The balance of UGX.12.23Bn was held on the project bank account in Bank of Uganda. v) I sampled 12 activities worth UGX.59.26Bn (50% of disbursed) and noted that targets for two (2) activities worth UGX.14.16Bn had been fully achieved while targets for the remaining 10 activities worth UGX.45.10Bn were all partially implemented/achieved. vi) I assessed whether the project activities were undertaken in a timely manner and noted 3 implemented activities worth UGX.4.4Bn with delays in service delivery. vii) Out of a sample of eight (8) procurements worth UGX.31.3Bn, I noted delays in four (4) procurements worth UGX.11.1Bn taking on average five (5) months from the planned date of contract signing to the actual date of contract signing.
National Oil Seed Project (NOSP) Component 1 IFAD Loan No. 200000328100 (NOSP-MAAIF)	Agro-Industrialization	Unqualified	i) The Project Coordination Unit (PCU) did not prepare consolidated financial statements as required by the Project Design Report. ii) I compared the total cumulative disbursements of donor funds as at 30th June, 2024 against the project financing agreement and noted that out of the expected total disbursement of UGX.148.92Bn, a sum of UGX.32.8Bn (22%) was disbursed. iii) Out of the total disbursed funds of UGX.32.8Bn, the project had absorbed UGX. 20.33Bn by the end of the financial year under audit. The balance of UGX.12.51Bn was held on the project bank account in Bank of Uganda. iv) I sampled 17 activities worth UGX.12.05Bn and noted that targets for one (1) activity worth UGX.1.87Bn had been fully achieved, while targets for the remaining 16 activities worth UGX.10.18Bn were yet to be achieved. v) The project embarked on the procurement of private service providers to provide extension services at a cost of UGX.47.5Bn to work with National Agricultural Research Organisation (NARO) and Makerere University (MUK) to ensure that farmers have access to certified seed however, the procurement was cancelled by the Public Procurement and Disposal of Public Assets Authority (PPDA). This has affected the progress of the project. vi) Only soya beans were delivered in seasons 2023B & 2024A to demonstration/multiplication gardens and local seed business groups. The sunflower, groundnuts and sesame were not delivered

			at all despite the project disbursing UGX.0.18Bn for the purpose. vii) All funds meant for project support towards the research related production and productivity for the various varieties of sunflower, soya bean, sesame and groundnuts were disbursed late in the two seasons. viii) Delivery of inputs to the final beneficiary took 30 to 60 days, which was longer than the expected 30 days before planting date or date of application. ix) I noted that there were few Local Seed Businesses that have continued to produce and market seed in each season. x) Farmers were not sensitized on climate smart agriculture technologies such as the use of tolerant and resistant varieties, timely planting, use of clean planting materials and Irrigation systems. xi) There were no follow-ups on disease and pests attack like webworm on soya been, which affected productivity. xii) The project failed to execute planned procurements worth UGX.11.3Bn.
National Physical Planning Board (NPPB)	Sustainable Urbanisation & Housing	Unqualified	i) The Board did not adequately execute six (6) out of the twelve (12) mandated activities like advising the government on broad physical planning policies, planning standards and the viability of any proposed subdivision of urban or agricultural land and ensuring integration of physical planning with social and economic planning at the national and local levels. ii) Out of the approved budget of UGX.2.88Bn for the year, only UGX.2.72Bn (94%) was received by the Board resulting into a short fall of UGX.0.16Bn (6%). This affected field monitoring visits, visiting locus on complaints and appeals lodged by Local Governments and General Public. iii) Out of 15 activities assessed, 13 were fully implemented while 2 activities were partially implemented but not properly costed.
National Planning Authority	Agro-industrialization Development plan implementation Human capital development Mineral development Natural resources,	Unqualified	i) The dissemination of the Project Preparation Facility (PPF) Governance and operational manual to the recipients of funds from the PPF has not been done. ii) Out of 13 projects, 12 projects that have finalized feasibility studies have not been prioritized for implementation due to funding challenges. iii) I noted that with just one year left to the expiry of the NDP-III,

	environment, climate change, land and water Private sector development Public sector transformation Regional balanced development		regional development plans (Teso, Bunyoro, Luwero, Busoga) have not been developed and operationalized. iv) Implementation of a total of 24 reforms across 12 programmes was yet to start with just a year to the expiry of the NDP III. v) Thirteen (13) MDAs were warranted UGX.18.92Bn on programmes which were not directly related to their mandate activities during the year under review. vi) I undertook a review of the extent to which my recommendations on programmatic approach were implemented and noted that none of them was fully implemented despite one year to the conclusion of NDP-III. vii) The Authority had a revised budget of UGX.49.80Bn of which all was warranted and spent. viii) I assessed a total of 24 outputs with 48 activities worth UGX.28.027Bn and noted that 13 Outputs with 47 activities worth UGX.27.85Bn were fully implemented while one (01) output with one (01) activity worth UGX.0.18Bn was partially implemented.
National Pipeline Company	Sustainable Development of Petroleum Resources	Unqualified	There were no reportable issues
National Social Security Fund (NSSF)	Private Sector Development	Unqualified	i) Prior year's comparative information was restated to improve the understandability of the Fund's financial statements. ii) NSSF suspense account still had a balance of UGX.49Bn, compared to UGX.58Bn reported in the previous year, implying a reduction of unallocated contributions by 15%. iii) Land titles in the Nsimbe Estate plot (183.220 Hectares) and plot 3 Block 115 Mawokota (157.9701 hectares) had encumbrances, in form of caveats by purported purchasers. The same was noted in the Temangalo properties (Plot 12, Busiro Block 296 measuring 68.8 hectares, Plot 16, Busiro Block 296 measuring 8.78 hectares, Plot 20, Busiro Block 296 measuring 46.36 hectares, Plot 21, Busiro Block 296 measuring 24.2800 hectares). iv) Plots in Lubowa Kyadondo County Wakiso District, Bukerere Kyaggwe County Mukono District, Mbarara Municipality, Kawoko and Kigoma were occupied by squatters/ encroachers. v) There were discrepancies on plot sizes between the documented title measurements as per the land titles and the actual on-ground measurements. For example, Plot 483 at Papati, measures 11.055

			acres on title, while on ground it measures about 10.397 acres; Plot 109 at Kalagala measures 9.195 acres on title, while on ground it measures 8.796 acres; and Plot 8 Masaka Close Mbarara City Mbarara District on ground is about 0.122 hectares (0.301 acres) contrary to the area on the title search of 0.185 hectares (0.457 acres).
Deposit Protection Fund	Human Capital Development	Unqualified	There were no reportable issues
National Water and Sewerage Cooperation	Natural Resources, Environment, Climate Change, Water and Land Management	Unqualified	i) NWSC had a receivables figure of UGX.355Bn. Included in the figure are outstanding receivables of UGX.111.2Bn from related parties (MDAs), of which UGX.72.5Bn had been outstanding for more than 2 years.
National Women Council	Human Capital Development	Unqualified	i) The contracts of the staff affected by RAPEX ended on 30 th September 2024, the validation exercise had not been fully concluded and the terminal benefits of staff who would not be absorbed had yet to be computed. ii) Out of the approved budget of UGX. 7.000Bn for the year under review, UGX.6.692Bn (96%) was released resulting in a shortfall of UGX.0.308Bn affecting purchase of Motor Vehicle for Chairperson of Council, Monitoring of Women Council Activities at the district level and Support of the administrative Council work. iii) Seven (7) outputs with nineteen (19) activities worth UGX.3.3Bn were assessed and were fully implemented.
National Youth Council (NYC)	Human Capital Development	Unqualified	i) The contracts of the NYC staff ended on 30 th September 2024 and the validation exercise had not been fully concluded. ii) The aggregated funding of the councils had reduced thus would affect the operations of the newly formed Special Interest Group Secretariat. iii) NYC had outstanding domestic arrears of UGX3.4Bn disclosed in statement of financial position on page 19, comprised of gratuity arrears to staff of UGX.1.09Bn, NSSF Contributions of UGX.2.27Bn and URA Taxes of UG. 0.078Bn. iv) I assessed a total of thirty-four (34) worth UGX.2.87Bn and sixteen (16) activities worth UGX.1.27Bn were fully implemented, nine (9) activities worth UGX.1.07Bn were partially implemented while nine (9) activities worth UGX.0.53Bn was not implemented at all.

New Vision Printing and Publishing Company Limited for year ended 30th June 2024	Public Sector Transformation	Unqualified	i) The Company had an impairment loss on intangible assets amounting to UGX.1Bn. ii) The company had an allowance for Expected Credit Losses (ECL) on financial assets at amortized cost of UGX.4.9Bn. However, I noted that the assumptions used by management in the ECL model, particularly the collection period, did not reflect the actual collection trends.
Nile Hotel International Limited (NHIL)	Private Sector Development	Unqualified	i) Nile Hotel International Ltd achieved an operating margin of 54% compared to 30% in the previous financial year. The performance attained was attributed to a reduction in expenses by 30% (from UGX1.984Bn to UGX1.435Bn) and increased gross income by 9% (from UGX2.841bn to UGX3.092bn). ii) Nile Hotel International made a surplus of UGX 1.029Bn, after tax in the year under review up from a surplus of UGX 0.927Bn realized in the previous year, showing increased profitability.
MUST - Nursing First Miles Project for the period 1st Jan 2023 to 31st Dec 2023	Human Capital Development	Unqualified	There were no reportable issues
Office of the Director of Public Prosecutions (ODPP)	Governance and Security	Unqualified	i) The ODPP had an approved budget of UGX.92.467Bn, out of which UGX.83.826Bn (91%) was warranted, resulting in a shortfall of UGX.8.640Bn. As a result, 13 activities were either not funded or partially funded. ii) The ODPP had total warrants of UGX.83.83Bn, out of which warrants worth UGX.80.47Bn had been utilised by the close of the financial year. The balance of UGX.3.36Bn was meant for the payment of general staff salaries, construction and improvement of residential and non-residential buildings, and payment of gratuity and pension. iii) 10 outputs with 106 activities worth UGX.23.83Bn were partially implemented. For example, the ODPP handled fewer cases than initially planned. Consequently, fewer cases were sanctioned, prosecuted, and committed to the High Court despite the entity receiving sufficient funding to carry out the planned activities. iv) The mid-term review of the Strategic Plan was not conducted. The activity had not been prioritized in the budgets for 2023/24 and 2024/25. v) I reviewed the annual casework performance report for the FY 2023/2024 and noted that the ODPP did not meet any of the annual

			targets for the different cases that were examined. vi) The ODPP is expected to roll out PROCAMIS from the existing 30 stations to an additional 69 stations, according to the third Strategic Plan. I noted that as at 30th June 2024, only 45 stations (including the headquarters) were rolled on PROCAMIS. This implies that PROCAMIS had been rolled out to only 14 of the planned 39 additional stations/offices during the three financial years. vii) Integrated Software Specialists (the company charged with maintaining PROCAMIS) presented a cloud backup solution to the ODPP management to mitigate disaster recovery concerns. However, no progress has been made in implementing the recommendation. viii) Whereas the Asset Recovery Module was part of the contract for the setup of PROCAMIS, it has not yet been fully implemented and, therefore, was not in use. ix) A review of the PROCAMIS maintenance and support performance report revealed data mapping issues between the key JLOS institutions, including the Police, Judiciary and Prisons. For instance, PROCAMIS cannot seamlessly interface with the ECCMIS system of the Judiciary, Crime Management Systems of the Uganda Police and Prisons Management System. In the case of the ECCMIS system, the interface created by the consultant to enable this integration was incompatible with PROCAMIS. x) A review of payroll management in the ODPP revealed that in June 2024, the processing of general staff salaries was migrated from the IPPS to the HCM. However, 118 staff with a total base salary of UGX.878Mn had not been migrated to the HCM. Consequently, salaries for 188 staff were processed on the IPPS instead of the HCM. xi) I noted that the ODPP had various directorates and departments with an approved establishment of 1,482 staff. Of these, 577 positions were filled and 905 were vacant. Key among the vacant positions was the Deputy Director of Public Prosecutions in charge of Prosecutions. xii) I undertook a special audit of the pension payroll that covered a period from FY 2019/20 to 2023/24 and a separate report was issued. xiii) Out of 9 recommendations given by Parliament on three Treasury Memoranda of central government for the FYs 2014/15, 2015/16 and 2020/21, four (4) recommendations were fully implemented while
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			five (5) were partially implemented.
Office of the President (OP)	Community mobilization and mindset change Development plan implementation Governance and security	Unqualified	i) The Office of the President had outstanding domestic arrears to a tune of UGX.19.3Bn as at the close of the financial year 2023/2024. ii) Out of the total expenditure of UGX.300.463Bn for the FY 2023/2024, UGX.43.795Bn relates to classified expenditure which is audited and reported on separately in compliance with Section 23 of the Public Finance Management Act, Cap 171 iii) Out of 752 approved staff positions, 514 (68%) were filled while 238 (32%) were vacant as at 30th June 2024. iv) The National Leadership Institute (NALI) had 93 civilian employees who were paid an annual salary of UGX.0.354Bn but lacked employment contracts. v) Out of the 48 pieces of land, Office of the President had titled 21 pieces (44%) leaving 27 pieces untitled. vi) The Office of the President had a budget of UGX.299Bn out of which UGX.298.9Bn was warranted for both classified (UGX.43.795Bn) and un-classified expenditure (UGX.255.142Bn). vii) Out of the UGX.255.142Bn unclassified warrants, UGX.250.041Bn had been utilized by the entity by the close of the financial year leaving a balance of UGX.5.101Bn unutilized. The underutilised warrants mainly related to salaries, pensions and procurement of vehicles. viii) Out of the 14 outputs with 120 activities worth UGX.233.3Bn assessed, 13 outputs with 99 activities worth UGX.211.9Bn had been fully implemented. One (01) output with 21 activities worth 21.36Bn was partially implemented. Of the 21 activities, Office of the President fully implemented 19 activities worth UGX.20Bn, one (01) activity worth UGX.1Bn was partially implemented, while one (01) activity worth UGX.0.360Bn remained unimplemented. ix) Out of 18 sampled procurements, six (6) procurements had procurement delays on average between 15 and 258 days between initiation and contract signing. x) Out of the 18 sampled procurements, four (04) procurements were partially done on e-GP due to challenges in obtaining Solicitor General's approval on the system. xi) I undertook a special audit of the pension payroll and a separate report was issued.

			xii) I conducted an audit of the Treasury Memoranda on the Reports of the Public Accounts Committee - Central Government for the Financial Years 2015/2016 and 2020/2021 for the Office of the President and noted that out of the 13 recommendations issued, five (5) were fully implemented, and eight (8) were partially implemented.
OPEC Fund for International Development Project of MoES, Phase II	Human Capital Development	Unqualified	i) UGX.57.17Bn (59%) was cumulative disbursements of project funds as at 30th June 2024 against the project financing agreement of UGX.96.71Bn which was less by UGX.39.54 (41%). ii) Targets for three (3) activities worth UGX. 6.006Bn had been fully achieved, four (4) activities worth UGX. 47.494Bn had been partially achieved while one (1) target remaining worth UGX. 4.373Bn was yet to be achieved. iii) Out of the approved budget of UGX.26.429Bn for the financial year 2023/2024, UGX.14.846Bn was available for spending resulting in a shortfall of UGX.11.582Bn representing 60.92% performance. As a result, consultancy services, furniture and fittings acquisition and non-residential buildings were not implemented.
Parliamentary Commission	Legislation, oversight and representation	Unqualified	i) The Parliamentary Commission had an approved budget of UGX.945.56Bn, out of which UGX.912.41Bn was warranted, resulting in a shortfall of UGX.33.14Bn representing a 96% performance. This affected construction of the new Parliamentary Chambers and procurement of new vehicles. ii) The Commission did not utilize warrants worth UGX.4.88Bn which affected implementation of planned activities. iii) Two (2) outputs with 23 activities and expenditure worth UGX.16.23Bn were fully implemented. iv) Four (4) outputs with 19 activities worth UGX.227.63Bn were partially implemented. Out of 19 activities, the entity fully implemented eleven (11) activities worth UGX.222Bn, while eight (8) activities worth UGX.5.63Bn were partially implemented. v) One (1) output with one (1) activity worth UGX.1.59Bn was not implemented at all. vi) The contract for the construction of the new Parliamentary Chambers was significantly behind schedule since only 44.4% of the work had been completed despite most of the contract timelines (83.5%) having passed. Additionally, the contract completion date has been revised four (4) times as of December 2024.

			vii) I undertook a special audit of the pension payroll that covered a period from FY 2019/20 to 2023/24 and a separate report was issued.
Parliamentary Pension Scheme (PPS)	Legislation, Oversight and Representation	Unqualified	There were no reportable issues
Petroleum Authority of Uganda (PAU)	Sustainable petroleum development	Unqualified	i) The development of National Petroleum Data Repository Infrastructure Project was at 37% progress due to underfunding, leading to lack efficient and effective petroleum data management. ii) For both Tilenga and KFDA projects, PAU designated 177 wells as required for the first oil phase by November 2025, however by November 2024, 94 wells (53%) had been drilled, which risks the extension of development phase costs into the production phase. In addition, the progress in the construction of enabling facilities fell short of planned targets with Tilenga project at 42% vs. planned progress of 51% and KFDA at 88% vs. planned 91%. iii) Compensation of PAPs under EACOP was substantially complete and construction works had commenced. However, Implementation was at 40% of planned progress (42%) by September 2024, with delays in pipeline and marine terminal construction. iv) PAU lacks a consolidated regulatory oversight on the progress and readiness of supporting infrastructure managed by other government entities like Kabale International Airport managed by Ministry of works, the Kabalega Industrial Park by the UNOC and an electricity substation by UETCL. v) The authority had an approved budget of UGX.89.55Bn out of which UGX.66.18Bn (74%) was warranted. The shortfall of UGX.23.36Bn affected the completion of NPDRI Project, operationalization of a PAU regional office in Bulisa and development of Oil spill contingency plan.
Micro and Small Medium Enterprises Business Linkages on East African Crude Oil Pipeline (Uganda) Project in Petroleum Authority of Uganda (PAU)	Sustainable petroleum development	Unqualified	There were no reportable issues

Pharm biotechnology and Traditional Medicine Centre (PHARMBIOTRAC) ACE II of MUST	Human Capital Development	Unqualified	i) There was delay in payment of UGX.173m staff salary and PHD stipend by 4 months. ii) Out of a sample of One hundred thirty-Four (134) activities worth USD.6,225,000, I noted that targets for sixty-one (61) activities worth USD.3,263,177 had been fully achieved while targets for the remaining seventy-three (73) activities worth USD 2,820,781 were partially achieved or yet to be achieved. iii) Out of the total available funds of USD1,146,714 only USD 915,704 was spent, resulting in an unspent balance of USD 231,010 representing an absorption level of 79%.
Presidential Initiative on Banana Industrial Development/ Banana Industrial Research and Development Centre (PIBID/BIRDC) for the financial year ended 30th June 2023	Innovation, Technology Transfer and Development	Adverse	i) The entity did not use the reporting framework approved by the Accountant General for the preparation of financial statements ii) Out of the budgeted NTR of UGX.9Bn, only UGX.1.11Bn was collected, representing a performance of 12.4% iii) Out of the approved budget of UGX.29Bn, UGX.24.65Bn was warranted, reflecting a performance of 85% iv) PIBID had a total of UGX.42.66Bn available to spend (including unspent funds from the prior year) however, only UGX.21.61Bn was utilized, representing 51% absorption level v) I reviewed the implementation of the only out-put that was fully quantified and noted that, it was partially implemented. Out of the 27 activities worth 15.5Bn, 14 activities worth 2.39Bn were fully implemented, while 13 worth 13.11Bn were partially implemented vi) I noted shortcomings in the management of the entity payroll, including employment of staff above mandatory retirement age, staff without contracts and failure to enrol the entity on IPPS/HCM. vii) The Accounting Officer did not provide all the documents required, and as such some audit procedures could not be undertaken.
Presidential Initiative on Banana Industrial Development/ Banana Industrial Research and Development Centre (PIBID/BIRDC) for the financial year ended 30th June	Innovation, Technology Transfer and Development	Unqualified	i) A trend analysis of the domestic arrears showed a movement in arrears from UGX.2.64Bn in the previous year to UGX.4.26Bn, representing an increase of 62%. ii) PIBID has an asset base net worth of UGX.57.88Bn which is yet to be valued. iii) The Company made a net loss of UGX.1.1Bn which continues to stifle the Company's operations. iv) The Company has not fully operationalised the flour mill processing plant, delayed implementation of the irrigation system and has failed to improve farmers' incomes as expected, which are activities that

2024			are critical in executing its mandate. v) The entity had an approved budget of UGX.78.109Bn out of which UGX.37.289Bn was warranted resulting in a shortfall of UGX.40.82Bn representing a 48% performance and this affected implementation of the Company's critical activities. vi) STI delayed releasing quarterly subvention funds by an average of 88 days and this affected implementation of planned activities. vii) The Company had total warrants of UGX.37.289Bn out of which warrants worth UGX.28.549Bn had been utilised by the close of the financial year. This further affected the implementation of planned activities. viii) A total of four (4) outputs with 28 activities worth UGX.13.6Bn were assessed and I observed that all the four (4) outputs were partially implemented. Out of 28 activities, the entity fully implemented ten (10) activities worth UGX.11.099Bn, two (2) activities worth UGX.2.47Bn were partially implemented and 16 activities remained unimplemented because funds were not released. ix) The Company had a Tooke sales budget of UGX.5Bn for the financial year 2023/2024. Out of which, only UGX.2.568Bn had been collected representing a performance of 51% of the target. x) It took an average of 2-3 Months from planned contract signing date to actual contract signing date for a sample of six (6) procurements worth UGX.2.095Bn.
Science, Technology and Innovation Secretariat (STI)	Innovation, Technology Transfer and Development	Unqualified	i) STI transferred UGX.145.93Bn to DEI-BIO PHARMA in two tranches on 3rd October 2023 and 12th January 2024 prior to signing of the MOU between the company and Government which was done on 6th March 2024. ii) GoU was allocated 9.4% of the shares in DEI Bio Pharma for UGX.724Bn. No valuation report and audited financial statements of DEI Bio Pharma were provided to confirm if the Government investment was equivalent to the shareholding proportion allocated. iii) Out of the Innovation funds released worth UGX.32.72Bn, only UGX.2.2Bn had been disbursed to grantees by 30th June 2024. The balance of UGX.30.52Bn (93.2%) was still held in the UDBL, DFCU and Post Bank accounts. iv) Out of the UGX.22.7Bn expected to be provided to the Anti-tick Vaccine Project over a 5-year period from FY 2021/2022 to FY 2025/2026, funds amounting to UGX.18.14Bn had been provided by

			the time of audit. Consequently, the project achieved four (4) out of the nine (9) milestones representing 44% performance. v) STI advanced UGX.62.9Bn to National Enterprise Corporation for construction of a Vaccine Manufacturing Factory at Kakoge, Nakasongola District which was supposed to be completed in the FY.2023/2024. At the time of reporting (December 2024), works had not yet commenced. vi) I noted delayed transfer of funds meant for subventions by the STI with delays of up to three months in some cases. vii) STI transferred UGX.8.9Bn to some two (2) subventions on 24th June 2024, only a week to the end of the financial without approved work plans and budgets for the year. viii) The Secretariat did not have an approved STI Strategy and Staff structure. ix) Out of the approved budget of UGX.940Bn, the total warrants for the year amounted to UGX.935Bn, representing 99.4% performance. UGX.5.50Bn that was not warranted was meant for funding Preside grantee. x) Out of the total warrants of UGX.935Bn, warrants worth UGX.932Bn had been utilised by the close of the financial year while the balance of UGX.2.99Bn that was not utilised was meant for the rehabilitation of Mpoma that was not implemented. xi) Out of a sample of 20 activities, four (4) activities were fully implemented, 14 activities were partially implemented while four (4) activities were not done at all. I was not able to attach activity costs to the activities since the entity did not provide the costings. xii) I noted that STI received supplementary funding amounting to UGX.757Bn out of which UGX.178.68Bn was not requested for by the Accounting Officer as required by the PFMR. xiii) Out of the 58 approved positions, 24 were filled leaving 34 positions vacant with administrative support being grossly understaffed and none in the office of the Minister.
Project for the Restoration of Livelihoods in the Northern Region (PRELNOR) - IFAD Loan No.UG	Public Sector Transformation	Unqualified	i) Out of the budgeted USD.70.9Mn, the project received and absorbed USD.65.3Mn (92%). The balance of USD.5.6Mn was not realised due to foreign exchange loss suffered by the SDR against the USD ii) Out 15 key deliverables assessed, 8 (53%) were fully implemented, 3 (20%) partially implemented, while 4 (27%) were not implemented at all. This affected construction of 3 strategic bulk markets, 100

2000000947 and ASAP Grant No.2000000324 for 9-month period ended 31st March 2024			demonstration water harvesting infrastructure and recruitment of 7 weather station workers iii) The maintenance of completed 1,138 Kms of community access roads and 2 markets was not effectively undertaken by the districts due to failure by management to put in place effective sustainability measures iv) Inspection of Ayerolwango - Aswa River Community Road revealed that although the project had spent UGX.0.799Bn, the works had stalled due to the rocks in the basement, which were not envisioned v) Three projects namely; the bridge at St. Kizito P/S-Lamach, Lukole Satellite Market and Opit Satellite Market had inadequacies in their design and could not be completed within the project time frame. The projects have been handed over to the districts who may not be able to complete them
Reducing Climate Change Vulnerability of Local Communities in Uganda Through Ecosystems Based Adaptation (EBA) in Wetlands and Forest Ecosystem Project (For the year ended 31st December 2024)	Natural Resources, Environment, Climate Change, Water and Land Management	Unqualified	i) Out of the expected cumulative disbursement of UGX 10.57Bn only UGX 3.69Bn was received representing a 34.9% performance. ii) Out of the forty-three (43) activities sampled worth USD. 1.00Mn; thirty (30) activities worth USD 0.65 had been fully achieved, while thirteen (13) activities worth USD. 0.35 had been partially achieved. iii) Out of the approved budget of USD 1.98Mn for the year 2023, only USD 0. 46Mn was available for spending resulting in 23.26% performance. iv) Out of the total available funds of USD 461,330.2 only USD 460,669 was spent resulting in unspent balance of USD 661 representing an absorption level of 99.88%.
Public Procurement & Disposal of Public Assets (PPDA)	Governance and security Private sector development	Unqualified	i) According to the Authority's Ministerial Policy Statement, twenty-seven (27) positions were cleared for filling in financial year 2023/2024 but only ten (10) positions were filled. The total current staff establishment is 136 out of 160, implying a filled structure of 85%. ii) A comparison of the entity's strategic and annual work plans for the last three (3) years with the mandate as stipulated in relevant laws revealed that the entity had not adequately executed. iii) The entity had an approved budget of UGX. 24.1Bn out of which UGX. 23.9Bn (representing an 99.1% performance) was warranted resulting in a shortfall of UGX.0.215Bn which affected two activities of Administrative and Support Services and Facilities and Equipment

			iv) Management I assessed the extent of implementation of activities for which funds were availed and utilised. I noted that some of the Authority activities were not implemented.
Public Procurement & Disposal of Public Assets (PPDA) Appeals Tribunal	Governance and security Private sector development	Unqualified	i) A comparison of the entity's strategic and annual work plans for the last three (3) years with the mandate as stipulated in relevant laws revealed that the entity had not adequately executed its mandate. ii) The entity had an approved budget of UGX.3.55Bn out of which UGX.3.351Bn (94%) was warranted, resulting in a shortfall of UGX.0.198Bn. iii) The Tribunal did not conduct a mid-term review of the Strategic Plan as required to assess the level of implementation and its effectiveness against the set strategic objectives.
Public Service Commission (PSC)	Public sector transformation	Unqualified	i) After four (4) years of the Strategic plan implementation, PSC had not rolled out the e-recruitment system to the 135 DSCs and 10 City Service Commissions (CSCs) to enable smooth recruitment of public servants. ii) UGX.10Mn was not warranted which affected research activities and payment of water expenses. iii) Out of UGX.11.9Bn that was warranted, UGX.11.8Bn was utilised. The unutilised funds of UGX.125Mn were meant for salaries and pension. iv) Eight (8) outputs with 27 activities worth UGX.4.86Bn were not supported by individual activity costing and budgets. The extent of implementation of these activities could not be assessed.
Refugees on the Move (ROM): South Sudanese in Ethiopia, Sudan and Uganda Project for the period 1st Jan 2023 to 31st Dec 2023	Human Capital Development	Unqualified	There were no reportable issues

Securing Uganda's Natural Resource Base in Protected Areas Project (SIDA) - NFA	Natural Resources, Environment, Climate Change, Water and Land Management	Unqualified	i) Out of the fourteen (14) activities worth US\$ 2.66Mn sampled, twelve (12) activities worth UG\$2.39Mn were fully achieved while two (02) activities worth US\$0.27Mn were partially achieved. ii) Out of the total available funds of US\$2.78Mn only US\$ 2.15Mn (77.4%) was spent resulting in unspent balance of US\$0.63Mn.
Soroti University	Human capital development	Unqualified	i) I noted that the University had outstanding payables of UGX. 245,267,999 as at 30th June 2024 majority of which relate to prior financial years (2021/2022 and 2022/2023). ii) The University accumulated receivables amounting to UGX. 199,538,674 in relation to utilities prepayments and students' fees. iii) The entity had an approved budget of UGX. 26.720Bn out of which UGX 26.207Bn was warranted resulting in a shortfall of UGX 0.513Bn representing a 98.1% performance. iv) The entity had total warrants of UGX 26.207Bn out of which warrants worth UGX. 25.804Bn had been utilized by the close of the financial year leaving a balance of UGX.0.403Bn unutilized. The unutilised warrants relate to salaries and so,e procurements. v) I assessed the extent of implementation of activities for which funds were availed and utilized and noted that out of 17 outputs with 93 activities worth UGX. 4.3Bn, six (6) outputs, with 32 activities worth UGX.0.186Bn, were fully implemented while eleven (11) outputs with 61 activities worth UGX.4.118Bn were partially implemented. vi) The entity fully implemented thirty-one (31) activities worth UGX.1.667Bn, while thirty (30) activities worth UGX.2.452Bn were partially implemented.
South-Western Cluster Water and Sanitation Project (NWSC) for the year ended 30th June 2024	Natural Resources, Environment, Climate Change, Water and Land Management	Unqualified	There were no reportable issues
State House	Governance and security Innovation, technology development and transfer	Unqualified	i) Included in the total expenditure of State House of UGX.799.85Bn is UGX.455.18Bn, which relates to classified expenditure. This expenditure is audited and reported on separately. ii) At the start of the FY 2023/2024 the Science, Technology and Innovation – Office of the President (STI-OP), account in State House had a balance of UGX.114.06Bn. Out of which, UGX.55.06Bn was disbursed to Grantees, UGX.6.19Bn was remitted to Uganda

			Development Bank Limited for on-ward disbursement to grantees, UGX.7.93Bn was advanced to NEC- Construction towards the construction of a vaccine manufacturing facility. In addition, UGX.20.66Bn was spent on classified activities, UGX.10.06Bn paid to NSTEI-SEP project, while a balance of UGX.14.16Bn was utilised on STI secretariat operations. iii) State House did not prioritize implementation of two (02) mandate activities of construction of four (04) State Lodges and procurement of the Presidential Jet. iv) The entity had a total approved budget of UGX.344.67Bn for non-classified entity operations, all of which was warranted and absorbed. v) I undertook a special audit of the pension payroll and a separate report was issued. vi) I conducted an audit of the Treasury Memoranda for the entity on the Report of the Public Accounts Committee on the Auditor General's Report on entities with unqualified opinion for financial year 2014/15 and on the Report of the Public Accounts Committee - Central Government on the Report of the Auditor General for financial year 2020/21. Out of the seven (7) recommendations issued, six (06) recommendations were fully implemented and one (01) was partially implemented.
Strengthening Adaptive Capacity and Resilience of Communities in Uganda's Watersheds - Awoja Catchment (SACriAC)	Natural Resources, Environment, Climate Change, Water and Land Management	Unqualified	i) Out of the expected disbursement for two years of UGX.35.76Bn, only UGX.3.34 was disbursed and UGX.32.42 remained undisbursed. ii) I sampled Seventy-six (76) activities worth UGX.2.03Bn and noted that targets for twenty (20) activities worth UGX.0.57Bn had been fully achieved, twenty-six (26) activities worth UGX.1.33Bn was partially implemented, while thirty (30) activities worth UGX.0.13Bn remained unimplemented iii) The Project had an approved budget of UGX17.94Bn for the financial year 2023/2024 out of which UGX.2.43Bn was remitted resulting in a shortfall of UGX.15.51Bn representing 13.6% performance. iv) Out of the total available funds of UGX.2.43Bn only UGX.2.01Bn was spent resulting in unspent balance of UGX.0.42Bn representing an absorption level of 82%. The unspent funds were still held on the Project bank account number 0239592001 in Diamond Trust Bank.

Strengthening the Management of the Oil and Gas Sector in Uganda (SMOG) - Phase III	Sustainable Development of Petroleum Resources	Unqualified	i) The donor has cumulatively disbursed USD.9,925,052 which represents 95% to the total expected donor disbursements. However, GoU has not disbursed any of the expected USD.1,256,000. ii) Out of the 20 program activities, targets for 15 activities have been fully achieved, one (1) was partially achieved, while targets for four (4) had not been achieved by the end of the financial year. iii) Out of the project's available funds of USD.33,380.51, a sum of USD.27,957.34 was spent, representing an absorption capacity of 84%. The unspent funds of USD.5,423.17 were still held at the project bank account as at the end of the financial year.
Tax Appeals Tribunal (TAT)	Administration of Justice	Unqualified	i) A review of the tax disputes received and managed in the financial year 2023-2024 revealed that out of 558 cases, 30 cases were ruled, 95 cases were consented to, 3 cases were remitted back to URA, 32 cases were withdrawn, and 398 (71.3%) cases remained outstanding. ii) I noted that two of the four additional Tribunal members appointed in May 2023 did not meet the required qualifications under the Act, as their areas of speciality were not in line with taxation, finance, accounting or law as required. iii) TAT had an approved budget of UGX.7.628Bn out of which UGX.7.253Bn was warranted resulting in a shortfall of UGX.0.375Bn representing 95% performance. iv) TAT had 50 recommendations in the Treasury memoranda, of which 25 (50%) were implemented, 20(40%) were partially implemented and 5(10%) were not implemented.
MUST CAD Project for the period 1st June 2021 to 31st May 2022	Human Capital Development	Unqualified	i) The project's total available funds for the year were US \$54,166 out of which US \$45,079 (83%) was spent, resulting in unspent balance of US \$9,087
The Third National Communication (TNC) (MWE) for six-month period 1st Jan 2023 to 30th Jun 2023	Natural Resources, Environment, Climate Change, Water and Land Management	Unqualified	i) The project has outstanding commitments of USD 20,054.99 to be settled ii) Out of available funds of USD 27,356.71, only USD 25,309.29 was spent, representing an absorption level of 93%

Transformative Education and Lifelong Learning for Sustainable Growth (TELLS) Project (MUK) for the period 1st January 2023 to 31st Dec 2023	Human Capital Development	Unqualified	There were no reportable issues
Trypanogen Project (MUK) - 30th September 2023	Human Capital Development	Unqualified	There were no reportable issues
Uganda Energy Credit Capitalisation Company Limited (UECCCL)	Energy Development	Unqualified	i) The company deficit increased by 32% from UGX.3.13Bn (2022/23) to UGX.4.15Bn in the financial year 2023/24 despite the 60% increase in government subvention from UGX.2.8Bn to UGX.4.5Bn
Uganda Aids Commission (UAC)	Human capital development	Unqualified	i) NTR amounting to only UGX.700,000 out of the approved budget of UGX.45,000,000 was realized resulting into a shortfall of UGX.44,300,000 representing 1.6% performance. ii) 25 districts out of 135 districts did not allocate 0.1% of their total budgets (excluding pension, gratuity and transfers) for HIV and AIDS interventions as required by the Budget Circular for FY 2018/19 to all MDAs and LGs. iii) Although 118 Local Governments out of 135 were supported to develop HIV& AIDS strategic plans, only 60 districts developed them. iv) The entity completed validation of the National HIV sustainability framework and awaiting for Cabinet consideration and approval. v) UGX.16.967Bn out of the approved budget of UGX.17.600Bn was warranted resulting into a shortfall of UGX.0.633Bn representing 96% performance. vi) A total of UGX.16.529Bn out of UGX.16.967Bn that was warranted had been fully utilized by the close of the financial year resulting into UGX0.438 to remain unutilised. vii) Out of the four (4) outputs with 61 activities worth UGX.1.235Bn assessed, two (2) outputs with eighteen (18) activities and expenditure worth UGX.0.551Bn were fully implemented, while two (02) outputs with 43 activities worth UGX.0.614Bn were partially implemented. viii) I conducted an audit of the Treasury Memorandum for the

			Commission and noted that out of the 6 recommendations by Parliament, only 5 were fully implemented while 1 was partially implemented
Uganda Air Cargo Corporation (UACC) for the financial year ended 30th June 2024	Integrated Transport and Infrastructure Services	Unqualified	i) UACC had outstanding receivables worth UGX.20.75Bn, out of which debtors worth UGX.8.17Bn (39%) had been outstanding for a period of over five (5) years. ii) UACC had outstanding trade payables worth UGX.6.04Bn which is a 19% decrease from the prior year outstanding trade payables amount of UGX.7.49Bn iii) The entity budgeted to collect UGX.405.3Bn during the year however, by the end of the year, only UGX.55.3Bn (14%) had been collected. This resulted in loss of UGX.8.21Bn iv) The Corporation's return on assets was negative 6% which was below the recommended 5%, an indication that the entity is suboptimal and inefficient in utilising its assets due to the old and deregistered fleet v) The Corporation had a current ratio of 10:1 which is outside the desirable range of 1:2 vi) I assessed the implementation of 21 key activities worth UGX.405.89Bn and noted that 12 activities were not implemented while nine (9) activities were partially implemented. vii) I conducted an audit of the Treasury Memorandum on the report of the Public Accounts Committee on Commissions, Statutory Authorities and State Enterprises for the financial year 2020/21 and noted that out of the five (5) Parliamentary recommendations given to the UACC, four (4) were partially implemented, while one (1) recommendation was not implemented at all.
Uganda Blood Transfusion Service (UBTS)	Human capital development	Unqualified	i) I noted a 42% increase in domestic arrears of UGX.606.82Mn from UGX.1.438Bn at the end of 2022/23 to UGX.2.045Bn in 2023/2024. ii) I noted that out of 1,137 approved positions, 318 positions were filled, leaving 819 positions vacant. iii) UBTS was inadequately equipped and lacked essential medical equipment, which affected its service delivery. It experiences frequent power interruptions that damage the equipment and there was need for an electrical earthing plate and transformer to ensure equipment safety and un-interrupted power supply. iv) There was idle medical equipment at the Regional Blood Banks (RBBs).

			v) The entire revised approved budget of UGX.24.829Bn was warranted. vi) The entity had total warrants of UGX.24.829Bn out of which warrants worth UGX. 24.192Bn had been utilised by the close of the financial year resulting into the balance of UGX. 0.637Bn un-spent. The unspent funds were meant for General salaries, Pension and Gratuity payments. vii) The entity collected 356,035 units of blood out of the targeted 360,000 units resulting into a shortfall of 3,965 units representing 99% performance. viii) I undertook a special audit of the pension payroll, and a separate report was issued. ix) I carried out a follow up audit on the VFM audit report on Management of Blood Transfusion Services by the Uganda Blood Transfusion Services of 2013 and noted that the following challenges still existed; a) Lack of accreditation for most of the Regional Blood Banks, b) Non-achievement of the World Health Organisation's recommended blood collection target of 1% of the population, c) Lack of functional Hospital Transfusion Committees.
Uganda Broadcasting Corporation (UBC)	Community Mobilization and Mind-set Change	Unqualified	i) The Corporation reported the value of property plant and Equipment of UGX.318.79Bn that included assets that were initially acquired at UGX.26.32Bn that have since been fully depreciated and still in use. There is need to revalue the affected assets. ii) The Corporation owns 37 parcels of land that are not valued. iii) The Corporation payables have increased from UGX.55.68Bn to UGX.62.74Bn representing 12.8 % growth. This exposes the Corporation to risks of legal suits and penalties. iv) The Corporation has receivables of UGX.32.03Bn representing a 9.7% increase compared to the previous year. A lot of working capital is tied up in these receivables. v) The manager Mega FM had registered the radio station in November 2021 as a private entity in the names of Mega Community Broadcast Ltd with four shareholders. The manager was suspended on 28th February 2024 and was eventually dismissed on the 4th of April 2024 for failure to comply with the requirements in the suspension letter and the case handed over to CID and DPP. The manager Mega FM has consequently taken the Corporation to court claiming that UBC

			does not own Mega FM but instead the radio belongs to the community with a separate board. vi) The Corporation awarded a UGX.8.58Bn contract for Supply and installation of DTT/DTH hybrid one beam Television satellite solution. The contract execution has delayed by over 6 months.
Capital Markets Authority (CMA)	Private Sector Development	Unqualified	i) The Authority approved various Market Players without evidence of payment of the prescribed fees contrary to Section 51 (1) of the CMA Act Cap 64. ii) The Authority has failed to license the Financial Institutions that participate in the Capital Markets as either stockbrokers or dealers in the securities issued by the Government as required by Law. iii) The Authority did not come up with regulations to establish and manage a Compensation Scheme hence, the scheme has remained inactive. iv) The entity did not return the unutilized funds of 0.7Bn to the Consolidated Fund as required by the Financial Regulations. v) The Authority did not conduct and prepare a Board of Survey Report as required.
Enterprise Uganda Foundation (EUF)	Private Sector Development	Unqualified	i) A comparison of the entity's strategic and annual work plans for the last three (3) years with the mandate as stipulated in its memorandum of association revealed that the entity had not adequately executed its mandate. ii) Construction of Office Block at Plot 92a Butabika Road and Plot 2-4 Bukasa Lane, Butabika is behind schedule and the contract lacked essential accessibility features for disability as required under the Building Control Code 2019. iii) 6 Motor Vehicles worth UGX.135.75Mn used by the Enterprise Uganda are not registered in the entity names as required. iv) The Entity does not prepare its financial statements from QuickBooks despite using the system in the management of financial transactions.
Insurance Regulatory Authority (IRA)	Development Plan Implementation	Unqualified	i) Review of the implementation of the entity's Mandate - comparison of the entity's strategic Plan and annual work plans for the last three (3) years with the mandate as stipulated in relevant laws revealed that the entity had not adequately executed its mandate ii) I assessed the extent of implementation of activities for which funds were budgeted and utilized. A total of 25 outputs with 32 activities worth UGX. 25.44Bn were assessed. I observed some activities were

			either partially implemented or not implemented at all hence affecting service delivery. iii) I observed the delayed completion of procurements at the Authority worth UGX. 9.321Bn. The delays negatively affect service delivery. iv) IRA contracted M/s Regnology Ireland Ltd for the Supply, Installation and customization of regulatory reporting software at a two-year contract price of UGX.3.963Bn for a non-functional system and in addition made subscription payments to M/s Regnology Ireland Ltd to the tune of UGX.1.07Bn before the system was commissioned and operational. v) It was observed that UGX.2.352Bn was received for licences and compliance fees past the stipulated time of 31st August of the preceding year. Such delays of receipt of funds have an impact on the operations of the Authority. vi) During the year, the IRA released UGX.0.563Bn in 2023/2024 FY to the Insurance Appeals Tribunal for its operations. However, I noted that the Tribunal did not have proper operational structures. Urgent intervention is required in that regard. vii) The Insurance Appeals Tribunal that is empowered to Tribunal to uphold, reverse, revoke or vary a decision of the Authority or remit the matter back to the Authority for reconsideration, with or without guidance. However, the Tribunal obtains its financing from the Insurance Regulatory Authority. The Tribunal is operating without adequate structures and operational independence.
National Lotteries and Gaming Regulatory Board (NLGRB)	Community mobilization and mindset change Development plan implementation Private sector development Public sector transformation	Unqualified	i) The Board recognised the value of Plant, Property and equipment of UGX 10.87Bn in the statement of financial position and made a disclosure in Note 26 to the financial statements. However, the assets have been recognised at the historical acquisition costs without valuation. ii) NLGRB system the NCMS currently receives approximately 0.524202 GB of data per month, which translates to 6.290424 GB per year for the 32 on boarded operators. I was not availed capacity details of the database to confirm its overall capacity. The system requires additional storage to accommodate the information being captured. iii) Section 7 of the Anti-Money Laundering Act Cap 118 requires an accountable person to take appropriate steps to identify, assess and monitor its money laundering, terrorism financing and proliferation financing risks. I was not provided evidence in this respect that the

			assessment was done. iv) A comparison of the entity's strategic and annual work plans for the last three (3) years with the mandate as stipulated in relevant laws revealed that the entity had not adequately executed its mandate. For example; the entity did not maintain a national register for gaming equipment, a delay in developing the gaming framework, and delayed implementation of the NCMS. v) The entity had total warrants of UGX.13.576Bn out of which warrants worth UGX.12.647Bn had been utilized by the close of the financial year resulting in unutilized warrants of UGX 0.928Bn.
Uganda Development Corporation (UDC)	Innovation, technology development and transfer	Unqualified	i) The Corporation's Finance Policies and Procedure Manual lacked policies and guidelines to recognise and disclose the expenditure on exploration costs. I noted that the statement of financial position and note 17, disclosed that UDC had exploration costs worth UGX. 2.601 Bn. Although UDC used IFRS 6 to account for exploration costs, they lacked guidelines or policies on the classification of what qualifies for exploitation costs. ii) From the beginning of their term in 2021, the Board was not fully constituted since there was no representation from the Ministry of Finance as stipulated in the UDC Act. It was also observed that the tenure of the remaining members of the UDC Board expired on 25th November 2024. Currently, UDC does not have a Board. iii) UDC invested UGX.9.24Bn in Kigezi Highland Tea Factory Ltd and UGX.4.358Bn in Kayonza Growers Tea Factory Ltd through lease financing. However, there was no policy to guide the investment. iv) Because of lack of policy to guide lease financing, there was failure to execute lease financing agreements with Kayonza Growers Tea and Horyal Ltd of UGX.112.358Bn. v) UDC did not deduct the transaction fee of 1% (UGX.261.5Mn) of the sum invested in Abubaker Technical Services Ltd as required by the contract. vi) I sampled procurements worth UGX.2.685Bn and noted that the Corporation did not carry out market assessments as required.
Uganda Business and Technical Examination Board (UBTEB)	Human capital development	Unqualified	i) The Board had outstanding payables of UGX.2.135Bn as at 30th June 2024. There was no movement of payables from the prior year. The Board did not incur or pay any payables during the year under review. ii) UBTEB is operating without a Technical Vocational Education and

			Training Qualifications Framework. iii) I noted that one hundred one (101) institutions accredited by UBTEB were operating on expired licenses while others did not have licences from NCHE and MoES. iv) UBTEB planned to retool 1200 assessors and has so far achieved 890 (74%) only as at end of FY2023/24. v) The entity had total warrants of UGX.56.167Bn out of which, warrants worth UGX.52.67Bn had been utilised by the close of the financial year. The balance of UGX.3.497Bn was meant for activities which were either partially or not implemented at all.
Uganda Communications Commission (UCC)	Digital Transformation	Unqualified	i) Licensed Television and FM radio operators are supposed to submit Audited financial statements to the Commission for assessment of 2% Gross Annual Revenue levy. However, this was not done during the year. ii) The Commission is required to license operators. However, it was noted that NITA-U and Uganda Broadcasting Corporation (UBC) were operating without licenses by the Commission as required by the regulations. iii) The emergence of Artificial Intelligence, the Commission has not come up with regulations or guidelines to guide the use and development of Artificial Intelligence tools in the country. iv) Various operators were erecting different poles in almost the same locations with cables which included data cables, communication lines, fibre optic cables, and television broadcast cables. These cables were observed running haphazardly along the roadside hanging on several poles from one location to another. v) The Commission had an approved budget of UGX.207.6Bn but realized UGX.182.2Bn, out of which UGX.182.22Bn (99.9%) was utilized by the close of the financial year.
Uganda Communication Universal Services Access Fund (UCUSAF)	Digital Transformation	Unqualified	i) UCC entered into a Memorandum of Understanding with the Ministry of ICT and National Guidance and incurred expenditure of UGX.8.6Bn on behalf of the Ministry and also transferred UGX.2.6Bn to the Uganda Institute of Communication and Technology (UICT). However, the basis of arriving at the amount transferred was not clear. ii) The Fund had a balance of UGX 83.185Bn in its bank accounts at the end of the period under review. Several work plan activities were not implemented, negatively affecting service delivery.

Uganda Cancer Institute (UCI)	Human capital development	Unqualified	i) The entity had long outstanding payables amounting to UGX.17.59Bn by the close of the previous year 2022/2023, out of which no settlement was made during the year under review. ii) Although the contract for the construction of a 350 Bed hospital, a Paediatric ward, 8 level Building, service building and renovation of the six-level building at a contract price of UGX.69.676Bn had expired, the works were incomplete. The contract, the performance security and insurance policy had not been renewed. iii) Out of the approved budget of UGX.97.15Bn, the total warrants for the year amounted to UGX.96.81Bn resulting into a shortfall of UGX.0.34Bn representing 99.7% performance. iv) Warrants worth UGX.94.04Bn out of the total warrants of UGX.96.81Bn were utilised leaving a balance of UGX.2.77Bn unutilized. v) A total of 7 outputs with 72 activities worth UGX.57.03Bn were assessed and they were found to have been fully implemented. vi) The certificate of compliance for alignment of the annual budget to NDPIII for FY 2023/2024 issued by the National Planning Authority (NPA) indicated that the Vote scored only 40% regarding alignment of the Budget Framework Paper (18.2%) and the Annual Budget (26.4%) to the NDPIII. vii) A Review of the procurements amounting to UGX.1.624Bn showed that the contract managers did not prepare contract management plans using Form 49, to guide the supervision of the contract. viii) I undertook a special audit of the pension payroll, and a separate report was issued.
Uganda Civil Aviation Authority (UCAA)	Integrated Transport and Infrastructure Services	Unqualified	i) UCAA's failure to adhere to the On-Lending Agreement has resulted in rising borrowings of UGX.723.63Bn as of June 2024, with no corresponding repayments made to GoU despite principal repayments to China EXIM Bank totalling ¥145,384,615. ii) The financial analysis of the Authority for FY 2023/24 indicates a decline in financial performance, primarily driven by increased operating expenses (+18.9%), resulting in a reduction of the net surplus to UGX.32.008Bn. iii) Liquidity remains strong at 3.36 times, though it has decreased due to a 23.9% rise in trade and other payables since the previous year 2023. iv) The debt ratio of 38.44% remains within acceptable limits, while

			interest coverage has declined from 3.0 to 2.65 times since the previous year 2023, signalling reduced capacity to meet interest obligations. v) UCAA's failure to enforce CGV-determined rental rates and secure formal tenancy agreements with Tenants for the New Cargo Terminal Building has resulted in a USD 1,389,188 revenue shortfall. vi) UCAA's lack of formal agreements with government entities occupying airport space has resulted in an uncollected revenue shortfall of UGX.2.70Bn. vii) Two contracts worth UGX.2.23Bn were executed with invalid bid securities. viii) A review of four (4) procurement files revealed that supplies worth UGX.11.08Bn had not been executed as of November 2024, significantly delaying service delivery. ix) A review of procurements on the Electronic Government Procurement (EGP) system for FY 2023/2024 revealed that contracts worth UGX.73.37Bn lacked critical records. x) The review of UCAA's mandate implementation revealed significant delays and non-implementation of key activities, including the centralized aeronautical database, the aviation training center, and the new control tower at Entebbe International Airport. xi) The assessment of 44 activities worth UGX.52.50Bn revealed only one fully implemented activity, while the majority were partially or not implemented, highlighting inefficiencies in fund utilization and delays in achieving project objectives. xii) I carried out a special audit on the Management of the Entebbe Airport Car Parking management system for the financial years; 2020/21 and 2021/22 and following were noted; a) UCAA had established policies and procedures on car admission, fee collection, and cash management in the UCAA Financial Policies and Procedures Manual (2016), revised and later approved in April 2023. b) Exemptions for 614 vehicles were granted during the review period, but the policies did not provide guidelines for such exemptions. c) 654 suspicious transactions with irregular receipt numbers and missing prices resulted in a potential revenue loss of UGX.1.33Mn.
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			d) 15,539 entry transactions worth UGX.31.64Mn lacked payment or invoice references, reflecting significant recording flaws. e) 23,908 exit transactions had no entry records, posing revenue loss risks and security concerns. f) 54,585 transactions lacked vehicle license plates, while 14,109 transactions had unrecognizable plates, compromising toll enforcement and administration. g) UCAA implemented a draft policy for cash offloading, which was later approved in 2023. h) UGX.68,63Mn was irregularly spent at source through internal borrowings (IOUs) by staff, contravening financial regulations. i) Internal controls over the car parking IT system were inadequate.
Uganda Coffee Development Authority (UCDA)	Agro-industrialization	Unqualified	i) There was a decrease in UCDA payables from UGX.49.67Bn in the previous year to UGX.45.43Bn by close of the financial year 2023/24. ii) UGX.5.5Bn was diverted to settle outstanding obligations that had no budget provision. iii) Out of the 224 approved staffing positions, only 156 (70%) were filled, leaving 68 positions vacant. iv) The coffee learning hub project had not yet commenced due to lack of land for operation. v) UCDA had planned to undertake registration of all coffee farmers to ensure compliance with the European Union Deforestation Regulation (EUDR) by 30th December 2024. However, by the time audit (September 2024), the registration had not commenced. vi) The traceability system meant to capture geographic coordinates of production plots to verify deforestation-free practices had not yet been procured. vii) 29 out of the 40 beneficiaries of the coffee pulpers and wet mills equipment neither complied with the prescribed guidelines for the infrastructure nor met the eligibility criteria for receipt of equipment. viii) One (1) wet milling equipment supplied was faulty and failed to pass the test runs ix) UCDA had not facilitated the planting of 300 million coffee trees by the end of the strategic plan implementation period aimed at increasing coffee production by 5% in existing coffee areas, and 25% in new areas (Mid North Uganda). x) UCDA had an approved budget of UGX.44.756Bn out of which

			xi) UGX.44.696Bn was warranted, resulting in a shortfall of UGX.60Mn. The entity had total warrants of UGX.44.696Bn out of which warrants worth UGX.43.423Bn had been utilised by the close of the financial year, leaving a balance of UGX.1.273Bn. xii) Out of 107 activities, the entity fully implemented 82 activities worth UGX.19.662Bn while 25 activities worth UGX.2.166Bn were partially implemented. xiii) All the 17 recommendations that were issued in the Treasury Memorandum on the Report of the Public Accounts Committee on Commissions, Statutory Authorities and State Enterprises for the Financial Year 2020/2021 by Parliament were fully implemented.
Uganda Covid-19 Response and Emergency Preparedness Project (UCREPP)	Human Capital Development	Unqualified	i) I reviewed a sample of procurements and noted inconsistencies in the special conditions of contract stipulated in the solicitation documents and the signed contract agreements regarding the delivery timelines. ii) I noted delays in the evaluation of bids for four (4) procurements ranging from 71 to 73 days and delays in delivery of supplies (medical equipment) ranging from 23 to 84 days. iii) I compared the total cumulative disbursements of project funds as at 30th June 2024 against the project financing agreement and noted that the total cumulative disbursements to date were USD 133,592,803 resulting in undisbursed funds of USD. 61,907,197. iv) I noted that out of the thirty-four (34) project targets set to be achieved cumulatively by end of the project, only twelve (12) had been fully achieved, fourteen (14) partially achieved while eight (8) had not yet been achieved. v) In the FY 2023/24 out of the total available funds of USD. 35,909,760 only USD 24,017,767 was spent resulting in unspent balance of USD.11,891,992.94 (representing an absorption level of 67%). vi) I assessed the extent of implementation of activities for which funds were availed and utilised and noted that 62 activities had been fully implemented, 34 activities were partially implemented while 14 activities were not implemented. vii) I assessed twenty-one (21) construction projects implemented by the project, all of which had their contract completion dates scheduled for December 2024 and noted that only one (1) site (representing 5%) had been completed within the planned timelines, while twenty (20) sites were still at various stages of completion.

			viii) Whereas the project closure date was 31st December 2024, there was no evidence that management had put in place sustainability measures to ensure that the gains made during the project lifetime are not lost once the project closes.
Uganda Electricity Distribution Company Limited (UEDCL)	Energy Development	Unqualified	i) The amount due from related parties increased by UGX.23.90Bn (21.5%) from UGX.111.27Bn to UGX.135.18Bn majorly due to unpaid Electricity bills for Government entities. ii) The Company's deficit increased from UGX.2.18Bn to UGX.10.92Bn, which worsened the accumulated deficit by 37%. This was partly due to the regulator continuing to disallow lease rental fees in the tariff yet the company incurs depreciation from assets in use by Umeme Ltd. iii) The company's debt ratio as was 70.4% which indicates that more than half of the company's assets are financed by debt, particularly on-lent loans. iv) I noted low maintenance practices for transformers. Only 2,827 out of 5,133 transformers representing a 55% maintenance rate. Further, out of 285 transformer failures, 194 (68%) were caused by controllable factors while 91 (32%) were caused by uncontrollable factors. v) The company budgeted to collect UGX.108.66Bn. However, UGX.100.42Bn was realized representing 92% performance. Out of the available funds, 73% was absorbed. There were budget overruns and unapproved expenditure amounting to UGX.4.45Bn and UGX.0.64Bn respectively. vi) I noted that annual work plans were prepared separately from the budget estimates, and as a result the budget and activity performance are monitored separately. vii) I noted that 96 (55.5%) activities out of a total of 173 did not have performance measurement indicators. For the 77 activities (44.5%) with clear performance indicators, 56 (73%) were fully implemented, 20 (26%) were partially implemented and 1 activity (1%) was not implemented at all. viii) I assessed the company's performance under the Quality-of-Service standards (QOSs) and noted that services were not provided within the required timelines, thereby scoring below 100% under all the sampled standards.

Uganda Electricity Transmission Company Limited (UETCL)	Energy Development	Unqualified	i) I noted that the company had receivables of UGX.147.64Bn that had been outstanding for a period above 90 days. Similarly, Payables amounting to UGX.132.12Bn due to MEMD had been outstanding for over 2 years. ii) Out of the total planned procurements worth UGX.544.68Bn, only UGX.231.07Bn (42%) were implemented. This was due to delays arising from highly priced rejected bids leading to requests for re-submission. iii) I also noted inadequate needs assessments and delays in the completion of pending 34.7 km Tororo-Lira 132kV transmission line that resulted into increased project cost of USD.289,243.87 and UGX.0.71Bn. iv) The Company's profitability decreased by 13.36% from UGX.94.9Bn in FY 2022/23 to UGX.82.25Bn in FY 2023/24, majorly due to foreign exchange differences that recorded a loss of UGX.10.8Bn as compared to the registered profit of UGX.60.1Bn in the last financial year. v) Return on Assets was 1.89%, below the desired return of 5%, majorly since most of the company's assets are still Work-in-Progress. In addition, the debt ratio is 55% implying that the company's assets are majorly financed by debt, particularly on-lent loans. vi) I noted that the company did not fully achieve its five (5) targets under three (3) strategic goals in its five-year corporate business plan (2019/20-2023/24). In addition, out of 101 outputs planned for the year, 38 outputs were fully achieved, 12 were substantially achieved, 31 partially achieved while 20 outputs (20%) were not achieved. vii) Out of the UGX.117.44Bn submitted cost, only UGX.28.10Bn was approved by ERA resulting into UGX.89.33Bn (76%) rejected due to inadequate justification, which affected implementation of key infrastructure projects. viii) Out of 4,632.7 km total circuit length of transmission lines in service, a total of 417 km (9%) are supported on aged wooden poles. In addition, out of 27 structures affected by vandalism, only 9 (33%) had been restored with permanent structures. ix) The Company expected to received UGX.166Bn as GoU counterpart funding for compensation of PAPs and deemed energy, however only
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			UGX.152.9Bn (92%), was realized.
Uganda Electricity Generation Company Limited (UEGCL)	Energy Development	Unqualified	i) Out of total revenue of UGX.90.10Bn earned from Nalubale-Kiira Power Station, UGX.48.20Bn in respect of the investment component of the tariff was deferred. There is need for MEMD, MoFPED, ERA, URA and Accountant General to come up with the guiding framework for accounting treatment of the investment component of the tariff and the associated taxes. ii) Receivables increased by 56% to UGX.118.60Bn, while Payables decreased by 21% to UGX.38.10Bn. The outstanding payables majorly relate to the supply of heavy fuels and oils for Namanve TPP, and Owner's Engineer supervision costs for Karuma and Isimba HPP. iii) The Company's profitability improved by 60% due to increased revenue because of taking over Karuma and Nalubale-Kiira power plants. However, the Return on Assets is only 1.25%, indicating a sub-optimal utilisation of the company's assets in generating income. iv) The debt ratio was 88.7% implying that most of its assets are financed by on-lent loans for Karuma and Isimba HPPs. The 18% increase in interest payments may indicate potential challenges in meeting future interest payments. v) The company budgeted to receive revenue amounting to UGX.540.17Bn for the financial year 2023/2024, out of which UGX.431.18Bn was received representing 80% performance. Out of the available funds, 80% was absorbed, which affected the full implementation of activities. vi) From a sample of 69 activities, 43 (62%) were fully implemented, 21 (31%) were partially implemented while five (05) were not implemented. Unimplemented activities included Community development Action Plan (CDAP) at Isimba and Nyagak Plants. vii) Karuma Hydro Power plant (HPP) was commissioned on 12th June 2024, but there were 4,539 snags and outstanding scope of works which would be addressed during the defect's liability period. Similarly, 199 defects identified for Isimba since April 2019 were still pending. viii) Only 3 (5%) of the 58 approved investments approved by ERA for Nalubaale-Kiira Power Plant were completed, arising from procurement challenges. ix) I noted that Namanve Thermal Plant had a funding gap of

			UGX.60.89Bn which affected implementation of planned capital investments including the overdue overhaul of units and equipment upgrades.
Uganda Mission at the United Nations, New York	Development plan implementation Governance and security Tourism development	Unqualified	i) The Mission had an initial approved budget of UGX.16.706Bn which was revised to UGX.17.086Bn, out of which; UGX.17.046Bn was warranted, representing a 99.8% performance. ii) The Mission budgeted to collect NTR of UGX.6Bn during the year under review. However, UGX.5.4Bn was collected representing a performance of 90%. iii) The Mission incurred excess expenditure of UGX.937Mn, which was largely funded from the funds retained from the prior year for the purchase of an air circulation unit. iv) I assessed the implementation of three (3) programmes that were fully quantified with 9 activities worth UGX.10.7Bn and noted that, out of the 9 quantified activities assessed, one activity exceeded the target, while another one activity was fully implemented. Another 5 activities representing 56% were partially implemented. Two (2) activities representing 22% were not implemented at all. v) The Mission had accumulated security deposits from rental tenants amounting to UGX.1.333Bn, that were all transferred to the UCF in accordance with the requirements by the Ministry of Finance Planning and Economic Development. However, the Mission had failed to refund one of the tenants whose lease expired on 30th March 2023, and had deposited a total of USD.18,029.40 (UGX.66.8Mn), due to the delays in obtaining the funds back from Treasury. This exposes the Mission to a risk of costly legal suits. vi) The Mission had outstanding commitments at the yearend amounting to UGX.1.958Bn. Existence of domestic arrears means that the Mission did not adhere to the commitment control system of government, aimed at avoiding creation of domestic arrears. vii) I noted that, although the Mission compiled a procurement plan for the year under review, all procurements were planned to be undertaken, using the direct procurement method, even for instances, where other modes of procurement could be utilised. Use of direct procurement method does not guarantee attainment of economical prices for goods and services. viii) I noted that the Missions' performance was currently impacted by several challenges, key among which included the following;

			a) The Mission continues to face the problem of a restricted structure that cannot afford it to have enough staff to cover all UN agencies. The expanded role of the Mission, with the assumption of the role of Chair of the Group of 77 and China (G77+1), has left all Mission staff stretched and working long hours, and yet the structure was not correspondingly adjusted. b) The Mission currently has two Deputy Heads of Missions, with the second one posted, without a corresponding additional budget allocation. c) The Mission suffered from the passing of LGBT law in Uganda, the mission was attacked by the unknown persons and broke the front door of Uganda House. d) The high cost of living in New York also affects the operations of the Mission. x) I noted that funds to the tune of USD.31,773.25 (Equivalent to UGX.117Mn) were irregularly diverted from the activities on which they were budgeted and spent on other activities without seeking and obtaining the necessary approvals.
Uganda Embassy in the United States, Washington	Development plan implementation Governance and security Private sector development	Unqualified	i) I noted that the Mission had an approved revised budget of UGX.9.806Bn, all of which was warranted, representing a 100% performance. ii) Out of the total revenue of UGX.9.806Bn, a total of UGX.8.974Bn (92%) was utilized by the close of the financial year. The balance of UGX.0.832Bn (8%) relates to the activities that were partially implemented or were not implemented at all. iii) I assessed the implementation of three (3) programmes that were fully quantified with 28 activities worth UGX.9Bn and noted that out of the 28 quantified activities assessed, 17 activities representing 61% were fully implemented while 7 activities representing 25% were partially implemented. Four (4) activities representing 14% were not implemented at all. iv) I noted that funds to the tune of USD.26,045.96 (Equivalent to UGX.96Mn) were irregularly diverted from the activities on which they were budgeted and spent on other activities without seeking and obtaining the necessary approvals. v) I noted that, although the Mission compiled a procurement plan for the year under review, all procurements were planned to be undertaken using the direct procurement method, even for

			instances, where other modes of procurement could be utilised. Use of direct procurement method does not guarantee attainment of economical prices for goods and services. vi) The Mission's system of procuring air tickets is not streamlined, given that in most cases, individual officers obtain air tickets from travel agents and claim for refunds from the Mission. There is no planned schedule of travels that could facilitate proper planning for procurement of such air tickets, especially for travels that are well known in good time, to facilitate the purchase of such tickets at cheaper prices, through an approved provider with framework contracts with the Mission. vii) An inspection carried out at the two (2) chancery buildings indicated that the buildings have not been repaired since my last inspection, despite the fact that they are both in need of urgent repairs. Both buildings appear to have severe structural problems with cracks in the walls and floors, in several sections of the buildings.
Uganda Embassy in Belgium, Brussels	Agro-industrialization Community mobilization and mind-set change Governance and security Manufacturing Tourism development	Unqualified	i) I noted that out of the approved revised budget of UGX.8,994,383,085 for the year, UGX.8,822,617,007 was warranted to the Embassy representing 98.1% performance. ii) Out of the warranted amount, the Embassy spent a total of UGX.6,337,961,000 representing 71.8%. The unspent funds mainly related construction of the Official residence in the Embassy's empty plot which had not commenced as the Embassy awaited grant of authority from the Commune to commence construction. iii) The unspent funds earmarked to commence construction of the Official residence was deposited with a Notary and a third-party account opened on behalf of the Embassy and a deposit of Euros.707,203.18 made. Authorisation by PS/ST to open this account with a Notary was not provided at the time of the audit. iv) I assessed the implementation of all four (4) outputs with a total of twenty-eight (28) activities and expenditure worth UGX.6,337,961,000 and noted that none of the outputs were fully implemented. All the four (4) outputs were partially implemented. v) Out of the twenty-eight (28) activities, eleven (11) activities were fully implemented, fourteen (14) activities were partially implemented, two (2) activities were not implemented, and one (1) activity could not be assessed as it lacked performance targets and indicators set during planning.

			vi) Contrary to the Comprehensive National Development Planning Framework (CNDF) and specifically the Embassy's 2020/21-2024/25 Strategic Plan which states that a comprehensive mid-term review of the implementation of the Strategic Plan should be undertaken in the first six months of the third year of the plan's implementation, the Embassy did not have a Mid-term review of the Strategic Plan by the time of the audit.
Uganda Embassy in Algeria, Algiers	Agro-industrialization Development plan implementation Governance and security	Unqualified	i) The Embassy had arrears totaling to UGX.0.048Bn as at 30th June 2024 that reduced by UGX.0.301Bn from the previous year's balance of UGX.0.350Bn. Domestic arrears adversely hamper budget performance in the subsequent year. ii) Twelve (12) local contract staff who were paid a total of UGX.0.784Bn during the year were recruited without approval by the Permanent Secretary of MoFA. However, as at the time of audit (November 2024), contracts for five (5) staff were not yet renewed and as a result, the Embassy operated without local contract staff which affected the operations of the Embassy in achieving the mandate objectives and resulted in work overload for the Home-based staff. iii) During the year under review, UGX.1.52Bn was spent by the Embassy to pay for rent obligations for the Chancery and Officers' residences. This cost was 39% of the total Embassy expenditure which was relatively high. iv) The Embassy made cash payments amounting to Euros.321,800 (UGX.1.22Bn) during the year under review. This contravened the Public Finance Management Regulations and exposed the Embassy funds to the risk of abuse. v) The Embassy received UGX.0.197Bn from programmes for which the Embassy had no contribution as per the programme allocation in the NDP-III. vi) The Embassy secured 200 scholarships during the year however, only 37 were taken up. Similarly, the government of Algiers gave Uganda a milk export opportunity worth USD.500Mn but actual trading and uptake of the business offer was yet to start at the time of audit. vii) The Embassy had a budget shortfall of UGX.0.19Bn. These funds were meant for the procurement of the utility car, laptops and Cameras for the Embassy which was not done. viii) The Embassy did not utilise warrants amounting to UGX.0.392Bn. The unutilized warrants were meant for part payment for the utility car for

			the Embassy. This car was however not procured. ix) I assessed the extent of implementation of activities for which funds were availed and utilised and noted that out of the two (02) outputs with 26 activities worth UGX.4.17Bn, the Embassy did not fully quantify one output with 14 activities worth UGX.0.197Bn. x) One output with 12 activities that were fully quantified worth UGX.3.97Bn was partially implemented. Out of the 12 activities, seven (7) activities were fully implemented, while five (5) activities were not implemented at all. However, there were no activity costs for each of the activities which limited my analysis. xi) Supplementary expenditure totaling to UGX.0.28Bn did not meet the supplementary expenditure criteria.
Uganda Embassy in Burundi, Bujumbura	Agro-industrialization Community mobilization and mindset change Governance and security Manufacturing Tourism development	Unqualified	i) I noted that out of the approved revised budget of UGX.3,416,315,561 for the year, UGX.3,409,315,552 was warranted to the Embassy representing 99.8% performance. ii) Out of the warranted amount, the Embassy spent a total of UGX.3,403,240,994 representing 99.8%. iii) I assessed the implementation of all the four (4) outputs with a total of eighteen (18) activities and expenditure worth UGX.3,403,240,994 and noted that one (1) output with one (1) activity and expenditure worth UGX.145,235,442 was fully implemented. iv) Three (3) outputs with seventeen (17) activities worth UGX.3,258,005,552 were partially implemented. Out of the seventeen (17) activities, thirteen (13) activities were fully implemented while two (2) activities were partially implemented, and two (2) activities could not be assessed as they lacked performance targets and indicators. v) Comparative analysis of annual budget for the FY 2023/2024 and the strategic plan 2020/21-2024/25 forecasts indicated an overall variance in the funding requirements of 41.42% for the year under review, to implement activities to deliver on the strategic plan objectives. vi) Contrary to the Comprehensive National Development Planning Framework (CNDF) and specifically the Embassy's 2020/21-2024/25 Strategic Plan which states that a comprehensive mid-term review of the implementation of the Strategic Plan should be undertaken in the first six months of the third year of the plan's implementation, the Embassy did not have a Mid-term review of the Strategic Plan by the time of the audit. vii) I noted that the Embassy experienced prolonged load shedding (power

			cuts) that last several days in some cases and this was amidst scarcity of fuel in the country.
Uganda Embassy in Australia, Canberra	Agro-industrialization Community mobilization and mind-set change Governance and security Tourism development	Unqualified	i) The High Commission had budgeted to collect NTR of UGX.0.177Bn, however no NTR was collected during the period. This was because the main revenue source, immigration services had been automated and the collections no longer done at the High Commission. ii) During the FY 2023/24, the High Commission had an approved budget of UGX.5.906Bn that was all warranted and fully utilized, representing a performance of 100%. iii) Comparative analysis of annual budget for the FY 2023/24 and the Strategic Plan 2020/21-2024/25 forecasts indicated that whereas UGX.6.83Bn had been costed for the Strategic Plan, only UGX.5.906Bn (86%) had been provided. iv) The High Commission did not undertake a mid-term review of the 2020/21-2024/25 Strategic Plan by the time of the audit. v) Audit established that the tenancy agreement for the Official Residence of the Ambassador for the period 1st January to 31st December 2024 was due to expire. Management of the Mission indicated the possibility of purchase of the property to save on rental costs. vi) Two (2) outputs with 5 activities and expenditure worth UGX.5.557Bn were assessed and audit established that all the 2 outputs with 5 activities and expenditure worth UGX.5.557Bn were all fully implemented.
Uganda Embassy in China, Beijing	Agro-industrialization Development plan implementation Governance and security Tourism development	Unqualified	viii) The Embassy had twelve local contract staff who were paid a total of UGX.419.52Mn during the year but were recruited without approval by the Permanent Secretary of MoFA. ix) The Embassy paid out UGX.584.5Mn to officials travelling from their duty station to undertake Embassy activities within China using travel abroad rates due to lack of clarity on which rates to use from Ministry of Public Service. x) Three (3) key mandate activities including Trade promotion engagements/exhibitions, tourism familiarisation tours and sourcing for training opportunities and scholarships were not prioritized. xi) The Embassy had a total revised budget of UGX.5.38Bn which was all warranted and utilised. xii) I assessed four (04) outputs with 32 activities worth UGX.1.05Bn and noted that one (01) output with 21 activities worth UGX.257.7Mn

			were fully implemented while three (03) outputs with 11 activities worth UGX.795Mn were partially implemented. xiii) The Embassy received UGX.594.5Mn from programmes for which the Embassy has no contribution as per the programme allocation in the NDP-III.
Uganda High Commission in South Africa, Pretoria	Agro-industrialization Community mobilization and mindset change Governance and security Manufacturing Tourism development	Unqualified	i) I noted that the Official Residence had taken long without being renovated and over the period, the extreme weather conditions (winters and summers) have had negative effects on the condition of the building. This was caused by insufficient funds being allocated in its budget to undertake repair and maintenance works that are required to be undertaken annually on the official residence of the Ambassador because of the climatic conditions. ii) The Chancery building was acquired by the Government of Uganda in April 2001 with restrictions to being used for residential purposes only. As a result, I noted that the following operational challenges associated with using the building for office purposes: iii) Limited or lack of office space for officers such as the immigration and the Finance attachés while other officers use what used to be bedrooms and the small boardroom in what used to serve as the sitting room. iv) The clients are made sit outside in the compound under trees as they wait to be served, v) There is lack of space to store items that are not frequently used such as furniture. There is no store to keep all the old immigration documents and other stores and while some were being kept in a garage at the Official Residence, others were kept outside behind the boy's quarters and covered with plastic sheets. vi) I noted that the Missions staff structure is restricted to 1+3 because of being categorized under group "B" by Ministry of Public Service. The numbers are insufficient to enable the Mission to implement its mandate in the six countries of accreditation. vii) I further noted that the budget allocated to the Mission for implementation of the Mission mandate in the six countries was very low. The associated challenges with low funding levels of only UGX.4.185Bn allocated for the FY 2023/24 included; a) No budget allocations for commercial and economic diplomacy activities, as a result, the High Commission did not plan to secure any business nor educational opportunities during the period

			under review. b) low wage bill that did not permit recruitment additional local staff, c) difficulties in meeting by high energy bills for heating/cooling offices and residences, fuel for cars and generators, d) the freeze on travel abroad restricted the movement/travels to other countries of accreditation. viii) Out of 26 activities planned, Management fully implemented thirteen (14) activities, six (06) activities were partially implemented, while three (02) activities remained unimplemented. The remaining four (04) activities were not quantified therefore I could not assess the level of their implementation.
Uganda Consulate in Kenya, Mombasa	Agro-industrialization Governance and security Tourism development		i) I observed that during the year, the Consulate had a total budget for rent of UGX.0.520Bn which was all warranted and UGX.0.514Bn was spent, leading to underutilisation of UGX.6,426,743. This meant that the rent for officers was over budgeted. ii) I noted that the Consulate had a budget allocation of UGX.10.086Bn that was all received from one programme (Governance and Security) to implement activities in other programmes to which the Consulate has contribution as per the programme allocation in the NDP-III. Non allocation of funds to all programmes to which the Consulate contributes limits its ability to achieve the planned outputs in all Programmes. This also led to allocation of funds for Governance and Security to other activities in the other programmes. iii) The Consulate is entitled to VAT refunds from the Kenya revenue Authority on procurements that include the VAT component because it is tax exempt; However; a) In a number of transactions where the Consulate made various procurements, the consulate did claim for VAT refunds, citing delays within the system. b) Where the claims for VAT refunds were submitted to the Kenya Revenue Authority, through the Uganda High Commission in Nairobi, they had not been authorized by KRA to be refunded by the suppliers.
Uganda Embassy in Luanda-Angola	Agro-industrialization Development plan implementation Governance and	Unqualified	i) The Embassy paid out UGX.1.07Bn to officials travelling from their duty stations to undertake Embassy activities within Angola using travel abroad rates due to lack of clarity on which rates to use from Ministry of Public Service.

	security Tourism development		ii) Three (3) key mandate activities including cooperation agreements and identifying businesses of interest to Uganda were not prioritized. iii) The Embassy had a total budget of UGX.3Bn for the financial year 2023/24 which was all warranted and absorbed. iv) I assessed the extent of implementation of activities for which funds were availed and utilised. One (01) output with twelve (12) activities worth UGX.2.42Bn was partially implemented. Out of 12 activities, the Embassy fully implemented nine (9) activities, one (01) activity was partially implemented, while two (2) remained unimplemented. Management did not provide the detailed costing of each of the planned activities. v) A review of the approved structure for the Embassy revealed that out of the six (6) approved posts, only two (2) positions were filled, leaving four (4) (67%) posts vacant which increased the workload on the existing staff negatively impacting the operational efficiency of the Embassy.
Uganda Embassy in DRC, Kinshasa	Agro-industrialization Governance and security Manufacturing	Unqualified	i) The Embassy over budgeted for contract staff salaries by UGX.1.21Bn which exposes the funds to risk of diversion. ii) 16 local contract staff who were paid UGX.601Mn during the year were recruited without approval by the Permanent Secretary of MoFA. iii) The Embassy paid out UGX.107.83Mn to Embassy officials travelling within the DRC using travel abroad rates due to lack of clarity on which rates to use from Ministry of Public Service. iv) The Embassy had a total budget of UGX.9.03Bn which was all warranted and utilized. v) I assessed a sample of four (04) outputs with 18 activities worth UGX.9.03Bn and observed that one (01) output with four (04) activities worth UGX.2.86Bn was fully implemented while three (03) outputs worth UGX.6.17Bn were partiality implemented
Uganda Embassy in Egypt, Cairo	Agro-industrialization Development plan implementation Governance and security	Unqualified	i) The mission had a number of key unfunded priorities, including; a) Funding for Commercial and Economic Diplomacy (CED) in which the Mission failed to tap into tourism opportunities b) Pending Second (2nd) Session of the Joint Permanent Commission (JPC) and Joint Ministerial Sessions making Ugandan diaspora vulnerable to unfair terms of recruitment and employment due to the pending MOU on Labour Externalization.

			c) Failure to make visits to countries of accreditation which may strain the bilateral relationships with the respective countries. ii) The Embassy is required to move to the New Administrative Capital (NAC), to improve its operational effectiveness given that all Government Ministries including the Ministry of Foreign Affairs are now located in the NAC. iii) Lack of Title deeds for the 2 Mission properties; the chancery and the official residence iv) The Chancery and official residence buildings require renovations to suite its purpose. v) I noted that 07 outputs were not quantified making it impossible to assess the level of implementation of the activities and outputs themselves vi) The Mission had total warrants of UGX.4.107Bn out of which UGX.3.981Bn was absorbed, leaving UGX.126Mn unabsorbed vii) I noted that the Mission received supplementary funding of UGX.1.064Bn during the year without request from the Accounting Officer, contrary to the PFMA
Uganda Embassy in Ethiopia, Addis Ababa	Agro-industrialization Development plan implementation Governance and security	Unqualified	i) USD.3.651Mn had accumulated as outstanding arrears, being Uganda's contribution to the African Union. The non-settlement of the country membership dues has led to Uganda being placed under cautionary sanctions. ii) Although the Mission was provided a capital budget of UGX.21.94Bn for construction of the Chancery and Official residence in YEKA Sub-City Woreda 05 House No. 046 along Fikremariam Aba Techan Street - Addis Ababa. By the time of reporting, the consultant had not yet come up with detailed designs for construction of the Chancery and Official Residence. Any delays towards start of construction implies continued payment of high rental costs for the Chancery and Official Residence, currently at USD.10,200 and USD.6,000 respectively. iii) Out of the budgeted NTR of UGX.0.182Bn, only UGX.0.039Bn was collected, implying a performance of 21.73%. iv) During the FY 2023/24, the Embassy had an approved budget of UGX.4.023Bn that was all warranted and fully utilized. v) Out of the three (3) budget programme outputs with expenditure worth UGX.4.023Bn for 32 activities, ten (10) activities were fully implemented, nineteen (19) partially implemented and three (3) were not implemented.

			vi) Comparative analysis of annual budget for the FY 2023/24 and the Strategic Plan 2020/21-2024/25 forecasts indicated that whereas UGX.15.35Bn had been costed for the strategic plan, only UGX.4.022Bn (73.8%) was provided as funding to implement activities to deliver on the strategic plan objectives. vii) The Mission did not undertake a mid-term review of the 2020/21-2024/25 Strategic Plan by the time of the audit.
Uganda Embassy in London	Community mobilization and mindset change Governance and security Tourism developmentS	Unqualified	i) Although UGX.798.2Mn was collected as NTR during the year, only UGX.752.9Mn was transferred to UCF by the close of the financial year, implying a balance of UGX.45.3Mn was not transferred, contrary to Treasury Instructions. ii) The High Commission reallocated funds amounting to £584,049 (equivalent to UGX.2,734,809,442.5), contrary to the PFMA. iii) Management borrowed an amount of £42,500 from the NTR Account to finance Mission activities contrary to guidance from MoFPED. Out of £42,500, an amount of £18,000 was refunded, leaving £24,500 outstanding by the end of the financial year. iv) £13,103 (Equivalent UGX.61,354,798) in security deposits has not been refunded despite that some of the occupants have either left the Mission or transferred to other accommodation. v) The High Commission had an initial approved budget of UGX.8.001Bn and a supplementary of UGX.2.015Bn resulting in a total of UGX.10.017Bn for the FY 2023/24 which was all warranted. vi) Although the Mission budgeted to collect NTR of UGX.3.16Bn during the year under review, UGX.798,163,986 was collected, a performance of 25% of the planned target. vii) Out of the total funds warranted of UGX.10.017Bn received during the financial year, the Mission spent UGX.9.964Bn (99.5%), resulting in an unspent balance of UGX.0.053Bn. viii) Ten (10) activities were fully implemented while thirty-six (36) activities were partially implemented. ix) Supplementary funding of UGX.1.203Bn for governance and security did not meet the supplementary expenditure criteria as the supplementary expenditure was avoidable, foreseeable and absorbable. x) The Official Residence, Chancery and Commercial property at Wardour Street had been recommended for renovation and remodelling. At the time of audit only the Official Residence had been

			refurbished.
Uganda Embassy in Paris	Community mobilization and mindset change Governance and security Tourism development	Unqualified	i) The Mission mischarged Euros 387,819.88 (equivalent to UGX.1.537Bn) during the year from the approved expenditure lines. Of this UGX.41Mn was made from contract staff salaries without seeking and obtaining the necessary approvals. ii) The incomplete works at the Chancery need to be finalized. iii) The Mission did not transfer NTR of UGX.159.2Mn that was collected during the year to the UCF, contrary to section 29(2) of the PFMA. iv) I noted that 04 outputs were not quantified making it impossible to assess the level of implementation of the activities and outputs themselves. v) The Mission had total warrants of UGX.7.788Bn out of which UGX.7.464Bn was utilized, leading to under absorption of UGX.0.324Bn. This negatively affected the implementation and achievement of the expected services. vi) The Mission received supplementary funding amounting to UGX.168.5Mn, which was not requested for by the Accounting Officer, contrary to the PFMR.
Uganda Embassy in Germany, Berlin	Agro-industrialization Community mobilization and mindset change Development plan implementation Governance and security Private sector development Tourism development	Unqualified	i) I noted that funds to the tune of EUR 18,981.39 (UGX.72.9Mn) were irregularly diverted from the activities on which they were budgeted and spent on other activities without seeking and obtaining the necessary approvals. ii) The embassy had unutilized warrants of UGX 137,630,601, which were attributed to delayed recruitment of staff and tax refunds. iii) The Mission received UGX.191.9Mn (2.3%) from programmes for which it had no contribution in the NDP-III programme allocation. iv) whereas the Embassy approved NTR budget was UGX. 50,329,856, the actual collection was only UGX.32,973,245 resulting into a variance of UGX. 17,356,611 (34%). v) The annual expenditure of Euros.220,033.2 on rent for the chancery and official residence constitute a major out flow of foreign exchange which could be mitigated by acquisition of premises. vi) During the year the Embassy procured ICT equipment worth UGX. 26,032,363 comprising Desktop computers and laptops which were however not engraved. vii) Owing to discrepancies between the approved and actual staff

			structure there is monthly over expenditure of USD.4,497.7 on foreign service allowances which translates into annual over expenditure of USD 53,972.4.
Uganda Embassy in Iran, Tehran	Agro industrialization Development plan implementation Governance and security Human capital development Tourism development	Unqualified	i) Eight (8) local contract staff who were paid a total of UGX.308.52Mn during the year were recruited without approval by the Permanent Secretary of MoFA. ii) The Embassy paid out UGX.88.16Mn to officials travelling from their duty stations to undertake Embassy activities within Iran using travel abroad rates due to lack of clarity on which rates to use from MoFA. iii) Three (3) key mandate activities including; sourcing employment opportunities for the youth and lobbying for support from partners for placement at International Organizations were not prioritized. iv) Out of the revised budget of UGX.4.21Bn, total warrants for the year totalled to UGX.4.15Bn, resulting in warrant performance of 98%. Out of this UGX.3.79Bn (91.3%) was absorbed. This affected the implementation of planned activities. v) I assessed a sample of two (02) outputs with five (05) activities worth UGX.0.69Bn and noted that these were all fully implemented. vi) UGX.27.5Mn was received from programmes for which the Embassy has no contribution as per the programme allocation in the NDP-III.
Uganda Embassy in Italy, Rome	Agro-industrialization Community mobilization and mindset change Development plan implementation Governance and security Human capital development Manufacturing Tourism development	Unqualified	i) Unbudgeted non-tax revenue of UGX.8.9Mn was realized, implying the possibility of under assessment of revenue sources. ii) The Mission incurs Euros 168,000 annually on rent for the chancery and official residence implying a major outflow of foreign exchange which could be mitigated if it acquired own premises. iii) Lack of a disposal plan resulted in non-disposal of an assortment of 55 items valued at Euros 31,391.36 and this may culminate in further diminution in the value of the items. iv) The Mission had unutilized warrants of UGX.248.2Mn due to failure to identify suitable premises for the official residence as well as recruitment of local staff. v) Euros 5,839.45 was mischarged on some items contrary to the intentions of the appropriating authority.
Uganda Consulate in China, Guangzhou	Agro-industrialization Governance and security Manufacturing Mineral development	Unqualified	i) The Consulate irregularly mischarged funds within various items amounting to USD 24,898.96 (equivalent to UGX.93.7Mn). ii) I noted that CNY21,933.71 was claimed as a refund for medical insurance from the service provider. However, by the end of the year, only CNY8,000 had been refunded leaving a balance of CNY13,933.71.

	Tourism development		iii) The Consulate had an initial approved budget of UGX.11.2Bn and a supplementary of UGX.0.31Bn resulting in a total of UGX.11.5Bn for the FY 2023/24 which was all warranted. iv) I noted that although the Consulate's budget was to collect NTR of UGX.2Mn during the year under review. However, UGX.6.7Mn was collected, implying that the NTR collected represented a performance of 235% of the planned target. v) Out of the total funds warranted of UGX.11.51Billion received during the financial year, the Consulate spent UGX.7.524Bn, resulting in an unspent balance of UGX.3.987Bn representing an absorption level of 65%. vi) From a total of 21 outputs worth UGX.11.5Bn assessed, eighteen (18) outputs were fully implemented while three (3) outputs were partially implemented. vii) The supplementary funding of UGX.46Mn for governance and security did not meet the supplementary expenditure criteria as the supplementary expenditure was avoidable, foreseeable and absorbable. viii) I noted delays in Construction of Chancery and Official residence since the financial year 2016/17 when the consultant was engaged.
Uganda Embassy in Malaysia, Kuala Lumpur	Community mobilization and mindset change Governance and security Manufacturing Tourism development	Unqualified	i) I noted that UGX.0.163Bn was paid out to the High Commission officials travelling from their duty station to undertake Mission activities within the host country using rates for travel abroad to cater for their allowances due to lack of clarity on which rates to use in such circumstances. ii) The High Commission did not effectively execute its mandate in education where 20 Scholarships were secured for Ugandans out of the planned 30 for the year. iii) I noted increased rate of detention cases of Ugandans in Malaysia and other areas of accreditation. 36 Ugandans were repatriated while 92 were assisted to travel back home from detention centers however, the repatriation exercise was not budgeted for. iv) The High Commission had an approved staff structure of 5 home-based staff however, only four (4) positions were filled leaving one (1) position vacant. However, I noted that the High Commission has a Minister Councillor and Head of the Chancery (FSO II scale UISE), a position that is not provided for in the structure. v) I noted that the current staffing structure and levels are inadequate

			to effectively execute the High Commission's mandate in consideration of the areas accredited to the same. vi) The High Commission had a revised budget of UGX.3.49Bn that was all warranted and utilised. vii) A total of three (03) outputs with 23 activities worth UGX.3.492Bn were assessed and I noted that two (02) outputs with 18 activities and expenditure worth UGX.1.76Bn were fully implemented while One (01) output with five (05) activities worth UGX.1.73Bn was partially implemented. Out of the five (05) activities, the High Commission fully implemented three (03) activities worth UGX.1.00Bn while two (02) activities worth UGX.0.733Bn were partially implemented. viii) The High Commission failed to participate/honour invitations in various programs under Commercial diplomacy due to limited budget/resource which leaves a lot of untapped potential and denies opportunities to Uganda. ix) Thirty-six (36) Ugandans were repatriated or assisted to return home while 92 were assisted to travel back home from Detention centers. Meanwhile, the repatriations were not budgeted for. x) Supplementary funding totalling to UGX.114Mn was not requested for by the Accounting Officer. xi) Expenditure totalling to UGX.27Mn was irregularly diverted from the activities on which it was budgeted and spent on other activities without seeking and obtaining the necessary approvals.
Uganda Embassy in Havana, Cuba	Community mobilization and mindset change Governance and security Manufacturing Tourism development	Unqualified	i) The Embassy recruited 13 local contract staff who were paid a total of UGX.429.33Mn during the year without approval by the Permanent Secretary of MoFA. ii) The Head of Mission rescinded the appointment of a local contract staff without approval by the PS of MoFA. iii) The Embassy recruited a local contract staff as a translator and later re-designated him to an office attendant however, the local contract staff was yet to hand over the diplomatic card. iv) The Embassy paid out UGX.210.67Mn to officials travelling from their duty stations to undertake Embassy activities within Cuba using travel abroad rates due to lack of clarity on which rates to use from Ministry of Public Service. v) One (01) key mandate activity of sourcing for education opportunities and scholarships was not prioritized.

			vi) Out of the approved budget of UGX.3Bn, total warrants for the year totalled to UGX.3.29Bn resulting in warrant performance of 110%. The extra UGX.292Mn warranted was unspent balances from financial year 2022-2023. Out of this UGX.2.96Bn (90%) was absorbed. This affected implementation of planned activities. vii) I assessed one (01) output with 10 activities worth UGX.2.96Bn. Out of ten (10) activities, the entity fully implemented seven (07) activities while three (03) activities were partially implemented.
Uganda Embassy in Qatar, Doha	Agro-industrialization Development plan implementation Governance and security	Unqualified	i) I noted several cases of distressed Ugandans in Qatar. The number of cases totalled to 1,520 in the financial year ended 30th June 2024. Further examination of the cases revealed that this is mainly due to Ugandans who had sought employment in Qatar, but; a) their employment efforts turned out to have been done through irregular processes, b) did not have readily available employment, c) did not meet the requirements of the Qatar employers, d) were not properly screened to confirm whether they meet the employment criteria or e) the individuals got involved in illegal activities. ii) Whereas the Government of Uganda signed an agreement with the Government of the State of Qatar concerning the regulation of employment of workers from Uganda to Qatar, the Ministry of Gender, Labour and Social Development is yet to fully enforce the terms of the agreement between the two countries in the proper recruitment, screening and selection of workers that travel to the State of Qatar. iii) A review of the approved Mission structure and the number of staff on the Mission payroll revealed that the Mission had staff not provided for in the approved structure. The Mission's current staffing position is therefore not aligned to the approved structure. iv) The Mission performance reports showed that the Mission had outperformed on most of its planned activities. However, the audit review revealed that the Mission did not have an adequate system of performance recording and, monitoring and evaluation to properly support the performance reported. The inadequate recording and monitoring system hinders proper evaluation of the Mission performance and identification of areas for improvement. v) The Mission received a total of UGX.435,060,055 as external assistance from the Government of Qatar, to facilitate payment for rent for the

			Chancery and the Official residence of the Head of Mission. The amount was spent without inclusion in the original Mission work plan and budget or seeking for revision of its original budget.
Uganda Embassy in Russia, Moscow	Agro-industrialization Community mobilization and mindset change Governance and security Human capital development Innovation, technology development and transfer Manufacturing Tourism development	Unqualified	i) The Embassy over-budgeted for contract staff salaries by UGX.107.7Mn. Similarly, the management over budgeted for rent by UGX.30Mn. This exposes the funds to diversions. ii) Ten (10) local contract staff who were paid UGX.0.54Bn during the year were recruited without approval of the Permanent Secretary of MoFA. iii) UGX.55Mn was paid as Foreign Service Allowance on account codes not approved for FSA expenditure which resulted in mischarges iv) UGX.26.01Mn was irregularly diverted from the activities on which they were budgeted and used to pay for other activities. v) UGX.0.17Bn was paid to Embassy officials travelling within Russia using rates for travel abroad due to lack of clarity from MoPS on which rates to apply. vi) The Embassy had a total revised budget of UGX.4.97Bn which was all warranted and utilized. vii) Out of eight (08) outputs with (30) activities worth UGX.4.97Bn sampled, seven (07) outputs worth UGX.0.98Bn were fully implemented while One (01) output worth UGX.3.99Bn was partially implemented. viii) UGX.0.48Bn was received from the programmes for which the Embassy has no contribution as per the programme allocation in the NDP-III. ix) Supplementary expenditure totalling to UGX.1.06Bn did not meet the supplementary expenditure criteria.
Uganda Embassy in Somalia, Mogadishu	Governance and security Manufacturing Private sector development	Unqualified	i) The Embassy under budgeted for contract staff salaries by UGX.77.71Mn. As a result, UGX.34.58Mn meant for contract staff salaries was charged on other codes not approved for contract staff salaries. ii) The Embassy paid UGX.25.88Mn to Embassy officials travelling from their duty station to undertake Embassy activities within Somalia using rates for travel abroad to cater for their allowances. iii) The Embassy had not planned for any business and educational

			opportunities for the period under review implying that no resources were provided in the budget for the activity. iv) The Embassy had a total budget of UGX.6.99Bn which was all warranted and utilized. v) Two (02) outputs with five (05) activities and expenditure worth UGX.2.89Bn were fully implemented while One (01) output with three (03) activities worth UGX.214.25Mn was partially implemented. Out of three (03) activities, the Embassy fully implemented two (02) activities while one (01) activity remained unimplemented. vi) Supplementary expenditure totalling to UGX.1.49Bn did not meet the supplementary expenditure criteria. vii) The Embassy received UGX.1.19Bn from programmes for which the entity had no contribution as per the programme allocation in the NDP-III.
Uganda Embassy in South Sudan, Juba	Agro-industrialization Community mobilization and mindset change Development plan implementation Governance and security Manufacturing Private sector development Tourism development	Unqualified	i) UGX.0.49Bn paid as Foreign Service Allowance to the Embassy staff was charged on codes not approved for Foreign Service Allowance (FSA) expenditure hence a mischarge ii) 10 local contract staff who are entitled to annual pay of UGX.381.48Mn were recruited without approval by the Permanent Secretary of MoFA. iii) The Embassy management over budgeted for contract staff salaries by UGX.41Mn while on the other hand the Embassy under budgeted for rent by UGX.306Mn. iv) The Embassy management had not planned for any business and educational opportunities and as such, no opportunities were secured during the year. v) The Embassy had a revised budget of UGX.4.67Bn out of which UGX.4.59Bn was warranted resulting in a shortfall of UGX.78.99Mn. Out of the total warrants of UGX.4.59Bn, UGX.4.574Bn was utilized by the close of the financial year. vi) Out of three (3) outputs worth UGX.4.291Bn reviewed, one output worth UGX.4.063Bn was not appropriately quantified. The balance of the two (2) quantified outputs with four (4) activities worth UGX.227Mn were all fully implemented. vii) UGX.531Mn was received from the programmes for which the Embassy has no contribution as per the programme allocation in the NDP-III

Uganda Embassy in Sudan, Khartoum	Governance and security Agro-industrialization Development plan implementation Governance and security Manufacturing	Unqualified	vii) Seventeen (17) local contract staff were recruited without approval by the PS-MoFA contrary to the Public Service Standing Orders Guidelines. viii) The Embassy under budgeted for rent by UGX.41Mn thereby exposing the entity to diversion of funds. ix) The Embassy paid out UGX.111.94Mn to officials travelling from their duty station to undertake embassy activities within Sudan using rates for travel abroad due to lack of clarity on which rates to use from MoPS. x) The Embassy had an approved budget of UGX.4.65Bn which was all warranted and utilised. xi) The two (02) outputs with 12 activities worth UGX.4.65Bn that were reviewed were all partially implemented. Two (2) of the activities were not appropriately costed. xii) Out of 10 activities that were costed, the Embassy fully implemented eight (8) activities worth UGX.4.42Bn while two (02) activities worth UGX.0.226Bn were partially implemented.
Uganda Embassy in Switzerland, Geneva	Governance and security Agro-industrialization Development plan implementation Governance and security Manufacturing	Unqualified	i) The FSA rates paid to the FSOs have remained unchanged for over a decade, and yet the cost of living keeps increasing. This implies increased prices of essential items/services, which affects the financial well-being and standard of living of FSOs. ii) While the Mission's approved staff structure of (1+5) positions, was filled, the available number of FSOs was insufficient to effectively execute Uganda's diplomatic responsibilities. The country needs effective representation at the United Nations itself, 40 International Organisations and 250 Non-Governmental Organizations, besides the bilateral accreditation to Switzerland. iii) The Mission collected NTR of UGX.10.3Mn, however the outturn could not be assessed against the budget, given that NTR was not included in the budget of the FY. iv) The revised approved budget of UGX.10.203Bn was all warranted. v) Out of the total GoU receipts of UGX.10.203Bn, the Mission spent UGX.9.640Bn (94.5%), leaving a balance of UGX.0.563Bn. vi) From the balance, UGX.0.558Bn (99%) was exchange loss incurred in the period under review. This implies that the Mission absorbed all funds to implement planned activities. vii) The Mission outputs were not supported by activity costing and budgets (quantification) The extent of implementation of outputs

			and the associated activities could not be undertaken.
Uganda High Commission in India, New Delhi	Agro-industrialization Development plan implementation Governance and security	Unqualified	i) The Embassy had a total of 12 local staff who were recruited without approval by the Permanent Secretary of MoFA and paid a total of USD.4,890 during the year. ii) The Embassy's existing staff structure of only six (06) staff positions (home based) is inadequate to match the high demand for diplomatic engagements and activities in the whole scope of the High Commission's responsibility and Jurisdiction. iii) The High Commission spent UGX.409.50Mn on medical expenses for staff. These payments were made directly to the staff of the High Commission as refunds for medical bills instead of medical facilities. This was due to lack of medical insurance cover with a medical insurance provider. iv) The Embassy management paid out UGX.239.97Mn to the Embassy officials travelling from their duty stations to undertake mission activities within India using rates for travel abroad to cater for their allowances. v) The Embassy did not utilize warrants worth UGX.0.48Bn that were meant for payment of contract staff salaries. vi) I assessed the extent of implementation of activities for which funds were availed and utilized. One (01) output with nine (09) activities worth UGX.5.86Bn was assessed and was fully implemented. vii) The embassy had a total budget of UGX.4.65Bn out of which UGX.1.87Bn (40%) was received from programmes for which the embassies have no contribution as per the programme allocation in the NDP III.
Uganda Embassy in United Arab Emirates, Abu Dhabi	Agro-industrialization Community mobilization and mindset change Development plan implementation Governance and security	Unqualified	i) The Embassy had a total 10 local staff who were recruited without approval by the Permanent Secretary of MoFA and paid a total of UGX.1,136,711,181 during the year. ii) I assessed the extent of implementation of activities for which funds were availed and utilized. One (01) output with nine (09) activities worth UGX.5.86Bn was assessed and was fully implemented. iii) The embassy had a total budget of UGX.9.28Bn out of which UGX.3.32Bn (36%) was received from programmes for which the embassies have no contribution as per the programme allocation in the NDP-III.

Bank of Uganda	Development Plan Implementation	Unqualified	There were no reportable issues
Uganda Free Zones Authority (UFZA)	Private sector development	Unqualified	i) As a result of the RAPEX policy shift, UFZA ceased operations effective 30th September as its operations have been merged into the Uganda Free Zones and Exports Promotions Authority. ii) The Authority had total approved warrants of UGX.11.579 Bn out of which, warrants worth UGX.11.095 Bn had been utilized by the close of the financial year leaving a balance of UGX.0.484Bn unutilised. iii) It was not noted that out of the total 6 outputs 1 output costed at UGX.0.53Bn with two activities was fully implemented while 5 outputs with 22 activities worth 6.8919 Bn were partially implemented. iv) UFZA's Budget Framework Paper (BFP) and Annual Budget for the financial year under review, was 73.3% compliant in alignment with NDP III outputs. v) The Authority's costing of the operational plan and Budget for the year under review was below the strategic plan costing for the FY 2023/24 by UGX.366.768Bn representing 96.94% variance.
Financial Intelligence Authority (FIA)	Governance and security	Unqualified	i) The entity's approved budget was UGX.31.193Bn, all of which was warranted and utilized. ii) I assessed 8 outputs with 41 activities worth UGX.31.19Bn and observed that two (2) activities with funding of UGX.0.303Bn were partially implemented, while three (3) activities with funding of UGX.0.294Bn remained unimplemented.
Uganda Property Holdings Limited (UPHL)	Public Sector Transformation	Unqualified	i) It was noted that the entity property rent debtors increased by 48% from UGX.4.345Bn in FY22/23 to UGX.6.475Bn in the Financial Year 2023/24. There is no evidence that the entity had put in place recovery measures indicating a high risk of bad debts, potentially impacting the entity's liquidity. ii) The Company reported payables of UGX.1.895Bn. I noted an increase by UGX.1.345Bn (245%) from 550,143,044 registered in FY 2022/23. Outstanding payables may disrupt the operations of the service providers and attract litigation and associated costs to the entity. iii) The Company had an operating margin of 15.5%, which is below the 19.9% realized in the previous year 2022/2023. The observed performance was attributed to increase in operating expenses during the period under review of UGX.8.565Bn from UGX.8.077Bn from previous year.

			iv) During audit it was noted that the entity awarded a contract worth UGX.130,036,000 for consultancy services for construction of warehouse/office at Bugolobi, which experienced delays in implementation. v) A comparison of the entity's strategic and annual work plans for the last three (3) years revealed that the entity had not adequately executed its mandate. vi) The entity had an approved budget of UGX. 14.162Bn, out of which UGX.13.386Bn (94.5%) was received resulting in a shortfall of UGX. 0.775Bn which affected full implementation of planned activities.
Uganda Wildlife Authority (UWA)	Tourism Development	Unqualified	i) The Authority had a total of UGX23.18Bn as receivables at the end of the financial year. Accumulation of payables results from weaknesses in the payables management policy, which ties the Authority funds that would be used to implement activities to achieve its objectives into unsettled claims. ii) The Authority had outstanding payables of UGX.48.25Bn at the year end. This creates a risk of costly litigation as well as payment of penalties and fines for delayed settlement. iii) There is an increased backlog of cases annually which may overstretch the entity's budget if not well managed. iv) I observed inadequacy in the regulation and monitoring of concessionaires, leading to weak compliance and enforcement. v) UWA did not collect UGX.3.351Bn from Concessionaires. vi) Management did not have a comprehensive, centralized database for Concessionaires and key details on the signed concessions such as contract terms, concessionaire performance, revenue generation, and compliance status are scattered across multiple departments leading to inefficiencies in tracking and monitoring concessions. vii) It was observed that the Reservation staff whose responsibility is marketing activities at UWA, also handle financial management relating to reservations office. There are no distinct roles of financial management as are prescribed in the Financial Procedures Manual 2016. viii) Outstanding revenue share of 20% that was meant to be disbursed to the surrounding communities in National parks increased from UGX.7.444Bn to UGX.16.602Bn which was undisbursed as at 30th-June -2024 indicting non-disbursements. ix) A comparison of the entity's strategic and annual work plans for the

			last three (3) years with the mandate as stipulated in relevant laws revealed that the entity had not adequately executed its mandate. x) UWA is still experiencing challenges in implementing planned and budgeted outputs /activities, which affects service delivery. In the circumstances planned procurements of UGX3.94Bn were not fully implemented and supplies not delivered as at 30th June 2024.
Uganda Wildlife Research and Training Institute (UWRTI)	Human Capital Development	Unqualified	i) The Institute lacks an information technology governance framework/policy despite the heavy investment in information technology infrastructure. ii) The Institute did not plan and budget for one of its key mandate of providing consultancy and specialized technical services in conservation and sustainable development of wildlife resources. iii) Assessment of the extent of implementation of activities for which funds were availed and utilised revealed that for a total of 4 outputs with 42 activities worth UGX.5.48Bn, thirty-eight (38) activities worth UGX.4.54Bn were fully implemented while Four (4) activities worth UGX. 0.15Bn were not implemented at all.
Uganda Intergovernmental Fiscal Transfers Program (UgIFT)	Private Sector Development	Unqualified	i) The Programme Reform Coordination Unit (RCU) did not assign performance measures or indicators to 144 out of 225 activities. ii) Activities valued at UGX.29.64Bn were neither supported by quantified performance indicators nor were linked to any indicator. iii) To date, the World Bank has disbursed to the Consolidated Fund USD. 0.32Bn. (UGX. 1.18 Tn.) towards the UgIFT Programme representing a 65% Performance. iv) UgIFT Management has not yet implemented the National Integrated Food and Agricultural Management Information System (NIFAMIS) UGX. 4.01 Bn. v) Only 32% of institutions including primary schools, secondary schools, and certification-awarding institutions are actively using the Teacher Effectiveness and Learner Achievement (TELA), despite the 100% rollout of phase one of the solution. vi) The rollout of Teacher Effectiveness and Learner Achievement system in Private schools revealed that private schools were not yet covered in the rollout of the project, with only 127 private schools and institutions (0.64%) out of the planned 20,000 schools and institutions.

Uganda Industrial Research Institute (UIRI)	Innovation, Technology Transfer and Development	Unqualified	i) The Institute procured supplies and services worth UGX.2.53Bn using direct and restricted procurement methods without any justification. ii) UIRI did not maintain a contract register in the prescribed format but instead recorded procurement contracts in a counter book with incomplete information. iii) Out of 410 staff job positions, only 376 positions were filled while 34 were not filled hence an 8.3% staffing gap. iv) The Institute had not implemented four (4) of its key mandate activities affecting the achievement of the associated service delivery benefits. v) Out of the Institute's approved budget of UGX.33.26Bn, only UGX.30.82Bn was warranted resulting in a shortfall of UGX.2.44Bn representing 93% performance. vi) A sum of UGX.0.607Bn of the available funds were not utilised by the entity. The funds were meant for recruitment of contract staff which recruitment was ongoing at the time of audit. vii) Five (5) outputs with 25 activities worth UGX.8.631Bn were partially implemented. Out of the 25 activities, the entity fully implemented 20 activities worth UGX.5.898Bn, while five (5) activities worth UGX.2.733Bn were partially implemented. viii) UIRI did not collect NTR from 12 companies (Incubatees) that had signed MoUs with terms that required the institute to invoice and eventually collect NTR. ix) The Institute had no clear policy guideline for the identification, evaluation, management and monitoring of the different incubation applicants and successful incubatees. x) I undertook a Special audit on the expenditure of Nyakihanga Pineapple Fruit factory in Ntungamo district and a separate report was issued.
Uganda Heart Institute (UHI)	Human capital development	Unqualified	i) Whereas the entity's domestic arrears at the beginning of the financial year stood at UGX.2.591Bn, the approved budget estimates for domestic arrears was only UGX.0.073Bn. Whereas the required funds for essential medicines was projected at UGX.7.3Bn per annum, the annual allocation for medicines for UHI for the last 3 financial years has been constant at UGX.2.181Bn. I noted that this had been increased to UGX.3.681Bn in the FY 2024/25 but still remains inadequate. ii) Most of the medicines delivered to the Institute had a short shelf life

			ranging from 64 to 190 days. iii) On several occasions, there were drug stock outs ranging between 37 to 417 days. iv) I reviewed the delivery notes for 5 sampled procurements and noted delays ranging from 2 to 13 weeks after the contractually agreed delivery. v) Whereas the entity's costed maintenance plan for medical equipment had a projected annual budget of UGX.1.6Bn, only UGX.0.850Bn was approved and released during the year for maintenance of machinery other than transport equipment. However, out of UGX.0.850Bn, only UGX.0.259Bn (30%) was spent on maintenance of medical equipment. vi) Forty-three (43) items of equipment were not being utilized. vii) I reviewed the mandate of the Institute and noted it had not set up regional heart centers. This mandate had not been prioritized in the entity's annual budgets for the years under review. viii) The entity had an approved budget of UGX.76.69Bn out of which UGX.57.40Bn (75%) was warranted resulting into a shortfall of UGX.19.29Bn. ix) UGX.57.040Bn of the total warrants had been utilised by the close of the financial year. The balance of UGX.0.361Bn was meant for activities like connection of water, drainage and sewerage lines at the project site, procurement of heavy ICT hardware, procurement of light ICT hardware which were either partially or not implemented. x) There were delays in implementation of the UHI infrastructure project; the commencement of civil works has delayed by 1 year and 9 months, as the construction was initially planned to start in January 2023 and end in December 2025. At the time of audit, (October 2024) the project effectiveness had been declared but works had not yet commenced. xi) There were delays in 36 out of the sampled 45 procurements for medical sundries ranging from 4 to 198 days with an average of 62 days. xii) I undertook a special audit of the pension payroll for which a separate report was issued.
Uganda High Commission in Canada, Ottawa	Community mobilization and mindset change	Unqualified	i) The Mission had outstanding arrears amounting to UGX.0.656Bn arising from unpaid city property taxes and interest thereon. ii) The High Commission had a total budget of UGX.11.39Bn out of

	Development plan implementation Governance and security		which UGX.0.28Bn (2.4%) was received from programmes for which the High Commission has no contribution as per the programme allocation in the NDP-III. iii) A total of 10 local contract staff who were paid a total of UGX.1.14Bn during the year were recruited without approval by the Permanent Secretary of MoFA contrary to the Public Service Standing Orders. iv) I noted irregularities in the recruitment of 10 local contract staff which included lack of acceptance letters, irregular appointment of a local contract staff with Job descriptions of a home-based staff, and irregular terms of employment in the awarded contracts. v) I observed that whereas the planned date of the start of construction was 4th August 2023, a review of the contract management records revealed that the actual works started on 3rd October 2023, which was a delay of two (2) months. vi) A former staff of the High Commission who was recalled had not left the High Commission more than 30 days after recall contrary to Paragraph H-b (8) of the Public Service Standing Orders, 2021. In addition, the officer left unpaid personal utility and maintenance expenses worth CAD.149,075 which were settled by the High Commission. vii) At the time of recall of the above staff, the tenancy still had 17 months pending on the lease, a period which was due given the terms in the tenancy agreement. At the time of inspection, the Landlord was demanding for payment for the full lease period, in accordance with the terms of the agreement. viii) The High Commission operated without a capital expenditure budget during the financial year, yet the High Commission needs capital budgets for critical activities including renovations of the existing residences, procurement of furniture and motor-vehicles. ix) The High Commission paid out UGX.255.52Mn to High Commission officials travelling from their duty stations to undertake official activities within Canada using rates for travel abroad to cater for their allowances due to lack of clarity from the PS-MOFA on which rates to use in the circumstances. x) The High Commission failed to secure the planned education/scholarships and business opportunities which denies citizens and the country in general, opportunities for economic growth.
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			xi) I assessed the extent of implementation of activities for which funds were availed and utilized. xii) Four (04) outputs with 27 activities worth UGX.11.39Bn were assessed and I noted that One (01) output with one (01) activity worth UGX.0.165Bn was fully implemented while three (03) outputs with 26 activities worth UGX.11.22Bn were partially implemented. xiii) Out of 26 activities, the High Commission fully implemented nine (9) activities, 11 activities were partially implemented, while six (06) activities remained unimplemented.
Uganda High Commission in Kenya, Nairobi	Agro-industrialization Development plan implementation Governance and security Natural resources, environment, climate change, land and water Tourism development	Unqualified	i) The High Commission recruited 11 local contract staff who were paid a total of UGX.0.33Bn during the year without approval by the Permanent Secretary of MoFA. ii) The Mission had no staff structure at the level of FSO Gr. II however, two (2) staff were occupying this position which represents over establishment at the High Commission. On the other hand, the Mission has a staff position in the structure for FSO Gr. III however, this position was not occupied. iii) The Mission had an approved establishment of three (3) local contract staff at the level of a cook and housekeeper however, none of these positions had been filled. iv) At the time of audit inspection (October 2024), the consultant had made a detailed assessment for restoration works at Uganda House following the fire incident which required a sum of UGX.7.2Bn. The assessment was forwarded to the PSST and PS MOFA for necessary action. The destruction of the property has resulted into annual rental losses to Government of UGX.1.8Bn. v) The Mission is in urgent need of funds for capital development to a tune of UGX.200Mn however; this has not been allocated and subsequently funded. vi) The Mission paid out UGX.853.38Mn to officials travelling from their duty stations to undertake Mission activities within Kenya using travel abroad rates due to lack of clarity on which rates to use from Ministry of Public Service. vii) Out of the total warrants of UGX.12.53Bn, the High Commission utilized UGX.10.69Bn. The balance of UGX.1.84Bn that was not utilized was meant for the improvement/renovation of the chancery. viii) The Mission received and spent UGX.228.84Mn from programmes for which the Mission has no contribution as per the programme

			allocation in the NDP-III.
Uganda High Commission in Rwanda, Kigali	Community mobilization and mindset change Governance and security Tourism development	Unqualified	i) The Mission had high rental cost of UGX.683Mn, which was 15% of the total funding of UGX.4.661Bn. This increased by 15% from the prior year's cost of UGX.594.7Mn. This impacts the implementation of the Mission's mandate activities. ii) The FSA rates have remained unchanged for over a decade, despite the increase in the cost of living in Rwanda, over the years. This implies increased cost of essential goods and services which affects the financial well-being and standard of living of FSOs. iii) The High Commission had obsolete assets that had not been disposed and two old vehicles that had become expensive to maintain/service. iv) In the period under review, the programmes of Tourism Development and Community Mobilization & Mindset change were not funded due to budget cuts. v) The Governance and Security program activities could not be assessed due failure by the High Commission to quantify outputs and activities effectively. vi) Out of receipts of UGX.4.661Bn, the High Commission spent (operational expenditure) a total of UGX.4.589Bn (98.5%), resulting in a balance of UGX.71.9Mn. From the balance, UGX.55.7Mn (77.5%) was eroded by the exchange loss.
Uganda High Commission in Tanzania, Dar-es-Salaam	Community mobilization and mindset change Development plan implementation Governance and security Manufacturing Private sector development Sustainable petroleum development	Unqualified	i) The Uganda High Commission owns four (4) properties/ pieces of Land that comprise the Chancery and Consular building, the Official Residence (OR), Plot of land at Kaunda Drive and Land at Dodoma. ii) Inspection of the properties showed that the Official Residence (OR) has not been renovated/maintained for more than 3 years and continues to waste away. The deteriorating condition of the OR is wastage of Government resources and taints Uganda's image. iii) The Land at Kaunda Drive is idle with no development and there is a risk that the offer could get withdrawn due to the failure to plan and develop the Plot. Besides, delayed development denies GOU revenue that would have been earned from timely development. iv) At the time of inspection, the Dodoma land was bushy however, the design of the Chancery has been developed and the contract for the supervising Engineer has already been signed with the plan to start construction soon. Meanwhile, the Chancery at Dar es Salaam was

			well maintained. v) The store/registry lacks shelves for holding the High Commission records. There is a risk that the boxes/documents piled up on the ground could get destroyed by the dampness/humidity. vi) The Uganda Consulate - Arusha operates from a rented property at a cost of USD.24,000 per annum. The Consulate lacks an approved Staff Structure to implement the Mandate and vehicles especially the utility vehicle for operations. vii) That the High Commission did not achieve all its mandate caused by the lack of funding for all the budgeted/planned activities. This denies citizens and the country opportunities for economic growth. viii) The High Commission had a revised budget of UGX.9.25Bn out of which UGX.8.96Bn was warranted resulting in a shortfall of UGX.0.29Bn representing a 97% performance. All the funds warranted were spent. ix) A total of four (04) outputs with 35 activities worth UGX.8.087Bn were assessed and I noted that; One (01) output with two (02) activities and expenditure worth UGX.0.32Bn was fully implemented. Three (03) outputs with 33 activities worth UGX.7.76Bn were partially implemented. Out of 33 activities, the High Commission fully implemented 29 activities worth UGX.7.17Bn. Three (03) activities worth UGX.0.53Bn were partially implemented, while one (01) activity worth UGX.0.067Bn remained unimplemented.
Uganda Human Rights Commission (UHRC)	Governance and security	Unqualified	i) UHRC is not adequately prepared for the RAPEX, given their lack of a clear and comprehensive strategy discussed and agreed upon by the Commission's Board, pending legal issues, and transparency regarding managing human and other resources post-merger for both UHRC and EOC. As a result, the institution is unlikely to anticipate and adequately address the challenges they will likely face. ii) The Commission had an approved budget of UGX.19.57Bn, out of which UGX.18.67Bn (95.4%) was warranted, resulting in a shortfall of UGX.0.90Bn. UGX.18.337Bn had been utilised by the close of the financial year resulting in an unspent balance of UGX.0.329Bn. iii) I assessed the extent of implementation of activities for which funds were availed and utilised and observed that nine (9) outputs with 40 activities and expenditure worth UGX.0.792Bn were fully implemented, three (3) outputs with 11 activities worth UGX.17.545Bn were partially implemented.

			iv) The Commission was able to conclusively investigate 531 complaints out of a total of 917, representing a 60% performance. v) A review of 100 files revealed delays of more than one year, with some complaints going up to 10 years before the completion of investigations. The Commission had not started on the investigation of 90 out of 681 cases (13.2%) for over five (5) years. vi) I analysed the disposal of complaints by the UHRC tribunal in the financial year 2023/2024 and noted that out of 1,325 cases brought forward, only 171 (13%) cases were closed. vii) Files spent an average of four (4) years at the tribunal between the first hearing and the last tribunal decision, and more than 97% of the total cases pending at the tribunal level were six years old or more. viii) The Commission owns five (5) pieces of land in prime locations in various districts. However, none of the land properties has been developed. Further, a review of the entity's work plan shows that in the short term, there are no plans to develop the land to construct regional offices or other uses. ix) KCCA declared the UHRC buildings on Plot 20, 22 & 24 Buganda Road as unfit for occupation and condemned them for demolition due to concerns regarding the structural integrity of the buildings and their noncompliance with building standards. However, UHRC still occupies the buildings despite its being condemned. x) UHRC did not plan for and, therefore, did not undertake any inspections during the financial year 2023/2024. xi) A verification of the Treasury Memorandum of the Report of the Public Accounts Committee on Commissions, Statutory Authorities and State Enterprises for the Financial Year 2020/21 showed that out of eight (8) recommendations, six (6) were fully implemented, one (1) was partially implemented while one (1) was not implemented. Details were issued in a Separate report.
Uganda Institute of Information and Communications Technology (UIICT)	Digital Transformation	Unqualified	i) The Institute has a grant for EON-XR Centre (EXR) for the implementation of the Augmented and Virtual Reality project to increase enrolment to 5000 students and 750 workers/interns for 5 years. However, I noted delays in the implementation of the project in its first year. ii) Out of a total number of 197 approved staff positions, only 39

			positions representing 20% have been filled. 158 positions representing 80% of the approved staff establishment remain unfilled.
Uganda Land Commission (ULC)	Natural resources, environment, climate change, land and water	Unqualified	i) The payables increased by UGX.22.98Bn from UGX.148.97Bn in financial year 2022/2023 to UGX.171.95Bn in the current year, mainly resulting from court awards and failure to pay the outstanding amounts for Land Compensations. ii) The Commission contingent liabilities increased by UGX.36.53Bn from UGX.28.86Bn in financial year 2022/2023 to UGX.65.39Bn in the current year, resulting from court awards. iii) The Commission did not withhold tax of UGX.0.087 Bn paid to different suppliers contrary to the Income Tax Law. iv) UGX.1.1Bn in respect of ground rent remained outstanding. v) ULC procured goods and services worth UGX.0.139Bn without carrying out market survey. vi) The Commission had an approved budget of UGX.47.33Bn, out of which UGX.46.92Bn was warranted resulting in a shortfall of UGX.0.421Bn (0.9%). UGX.46.20Bn (98%) of the total warrants had been utilized by the close of the financial year. vii) I assessed the extent of implementation of activities for which funds were availed and utilised. A total of 7 outputs with 23 activities were assessed and observed that the entity did not have costs per activity instead it was costed at output level, seven (7) outputs with 15 activities were fully implemented, seven (7) outputs with 8 activities were partially implemented. viii) I observed that the Commission charged wrong expenditure codes to the tune of UGX.116.6Mn ix) I undertook a special audit of the pension payroll, and a separate report was issued.
Uganda Law Reform Commission (ULRC)	Governance and Security	Unqualified	i) As part of RAPEX, the government decided to merge, streamline, and transfer the functions of the ULRC to the Ministry of Justice and Constitutional Affairs. I noted that there was no clear strategy on how the staff of the ULRC would be absorbed within the Ministry of Justice, which has created uncertainty and low morale, while the lack of job security for experienced staff poses a risk of disruptions in the services that ULRC offers to the citizens, particularly in reviewing and revising the laws that serve the public. ii) As at 30th June 2024, ULRC had accumulated arrears amounting to

			UGX.8.852Bn comprising outstanding social security contributions for current and former staff of the Commission with no clear plan on how these payables will be settled after rationalisation. iii) ULRC is a tenant at Workers' House, NSSF building and is required by the tenancy agreement to pay rent three (3) months in advance. The tenancy agreement also requires ULRC to give a minimum notice period of three (3) months in case of termination. Therefore, given that the quarterly rent is UGX.255Mn, there is need for proper planning on the timing of the rationalisation to avoid nugatory and unnecessary expenditure on rent. iv) A review of the approved budget estimates for the year revealed that no budgetary estimate were provided to settle the outstanding domestic arrears amounting to UGX.8.852Bn on employer and employee social contributions to NSSF. v) ULRC had an approved budget of UGX.18.45Bn, out of which UGX.17.34Bn was warranted, resulting in a shortfall of UGX.1.11Bn, representing a 96% performance. vi) ULRC had total warrants of UGX.17.34Bn, out of which warrants worth UGX.15.69Bn had been utilised by the close of the financial year, resulting in an unspent balance of UGX.1.65Bn. vii) I assessed the extent of implementation of ten (10) outputs with 25 activities worth UGX.15.69Bn for which funds were availed and utilised. I observed that three (3) outputs with three (3) activities and expenditure worth UGX.3.94Bn were fully implemented while seven (7) outputs with 22 activities worth UGX.11.75Bn were partially implemented. viii) Out of the 22 activities, the entity fully implemented 12 activities; eight (8) activities were partially implemented, while two (2) activities remained unimplemented. ix) I undertook procedures on a sample of 11 activities worth UGX.6.373Bn to ascertain if the entity implemented its activities on time. I noted that two (2) activities worth UGX.445Mn had not been completed by the end of the financial year. The delayed completion of activities implies that the beneficiaries will not receive the intended services in time. x) I inspected the Commission's stores and found that after the ULRC published the 7th Revised Edition of the Principal Laws, (which took effect on the 7th July 2024), publications of old laws worth
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			UGX.689.2Mn were still in store and were unlikely to be sold since they were outdated. xi) I reviewed the performance of the Commission with regard to the printing and distribution of the new or revised laws that had been published and observed that while 13,630 copies of printed laws (books) had been distributed during the FY 2023/24, the Commission was yet to distribute 84,518 printed copies as at 30th June 2024 and does not have sufficient storage space to keep all the printed publications. xii) I undertook a special audit on the pension and gratuity payroll for the Commission for the period from FY 2019/20 to 2023/24 and a separate report was issued. xiii) I conducted an audit of the Treasury Memorandum on the Report of the Public Accounts Committee on Commissions, Statutory Authorities and State Enterprises for the FY 2020/21 for the Commission and noted that all the four (4) recommendations given by Parliament were fully implemented.
Uganda Management Institute	Human capital development	Unqualified	i) I noted that all the items categorized as payables totalling to UGX.6.537Bn did not go through the invoicing module in the IFMS and did not reflect under the corresponding account areas being affected in the statement of financial position and other financial statements. ii) Out of the approved budget of UGX 42.02 Bn, a sum of UGX.40.29Bn was warranted resulting in a shortfall of UGX.1.73Bn representing an 96% performance. iii) The entity budgeted for 22 outputs spread across 21 departments, where 05 are teaching, 15 are administrative departments and 01 is a project. iv) The 22 outputs had 177 activities with a budget worth UGX.42Bn. Of this, the entity received funding worth UGX.40Bn to implement these activities. v) Out of thirty-nine (39) activities, the entity fully implemented twenty (20) activities worth UGX.4.49Bn, seven (07) activities worth UGX.78.3Mn were partially implemented, while twelve (12) activities worth UGX.15.5Mn remained unimplemented
Uganda Multi-Sectoral Food Security and	Agro-Industrialization	Unqualified	i) The information in the e-reporting system using the kobo collect application was incomplete and lacked key identification fields such as beneficiary name, telephone number, location, amount spent,

Nutrition Project (UMFSNP)			functionality of committees among others. This rendered the information unreliable. ii) The project assets were not handed over to the Accounting Officer of MAAIF upon project closure in April 2024. This exposes the assets to the risk of misuse and potential loss. iii) Out of the total expected funding of UGX.136.34Bn, a sum of UGX.135.68Bn was disbursed resulting in a shortfall of UGX.0.65Bn relating to the GoU counterpart funding. iv) Out of the total disbursed funds of UGX.135.68Bn the project had absorbed UGX.132.41Bn as of September 2024. The balance of UGX.3.271Bn was held on the project bank account in Bank of Uganda. v) I sampled nine (9) activities worth UGX.67.6Bn and noted that targets for all these nine (9) activities had been fully achieved. vi) Physical inspection undertaken in October 2024 in Nawandala sub-county Iganga District revealed that the equipment worth UGX.2.78Bn was delivered but was not being utilised due to the failure to train beneficiaries. vii) Physical inspections undertaken in October 2024 in Ntungamo, Nebbi and Kasese districts revealed that the screen houses worth 2.34Bn delivered to five (5) sampled individual beneficiaries were not being put to the intended use. viii) Physical inspections undertaken in Ntungamo, Nebbi and Isingiro districts in October 2024 revealed that the equipment received by the beneficiaries was being utilized. However, these beneficiaries were operating seed banks without certification. ix) At the time of audit, a number of sustainability interventions proposed by Management had not been implemented. There is a risk that all the funds invested by government in the project during its lifetime, may go to waste.
Uganda National Council for Science and Technology (UNSCST)	Innovation, Technology Transfer and Development	Unqualified	i) UNCST has had no substantive Executive Secretary for the last four (04) years. This has affected the effectiveness of governance and oversight over Council operations. ii) Contracts for 43 out of 46 UNCST staff had expired. This implies that there are no clear terms of employment of these staff which further demotivates them. iii) Over a three (03) year period, UNCST had a total budget of UGX.88.3Bn, out of which only UGX.23.99Bn (27.2%) was availed

			for implementation of Council activities. The shortfall of UGX.64.2Bn (72.8%) affected; constitution of registered Research Ethics Committees, monitoring of research protocols, building capacity of research actors, integration of research activities on IT platforms, formulation of the National STI plan/Research Agenda and the National Technology transfer guidelines among others. iv) Out of the approved budget of UGX.33Bn for the financial year 2023/2024, total receipts amounted to UGX.8.6Bn out of which UGX.7.7Bn was utilized. This affected the implementation of planned activities. v) I noted that subvention releases from STI to UNCST are not made in a timely manner and this has affected the implementation of planned activities. There was an average delay of 75 days from the date of the quarterly release which affected implementation of activities vi) UNCST has been implementing the National Science, Technology, Engineering, and Innovation Skills Enhancement Project, (NSTEI-SEP) which became effective on 1st July 2019 and ended on 30th June 2024. Out of the total expected cumulative disbursements of UGX.435.98Bn, the project realised UGX.403.07Bn (92%) cumulatively. The government has to date since the project effectiveness paid UGX.48.3Bn in commitment fees as a result of un-disbursed donor funds. vii) Out of seven (07) key project activities, five (05) activities had been fully achieved while two (02) activities were not yet achieved. viii) The project procured 214 pieces of engineering equipment worth UGX.148.2Bn, out of these, 109 pieces worth UGX.75.5Bn had been hired by NEC-Works. The balance of 105 pieces worth UGX.72.7Bn were parked and lying idle in Lyantonde, Namanve and Rwebitete since 2022. ix) UNCST procured 15 acres of land worth UGX.8.5Bn in the FY 2021/2022 at Namanve-Mukono to be used as the engineering equipment parking yard however, to date, the land has not yet been utilised.
Uganda National Cultural Centre (UNCC)	Human Capital Development	Unqualified	i) UNCC did not prioritize and therefore did not execute the following mandate activities; a) Promotion of cultural diversity for National Development - Creation of opportunities to provide platforms for artists and cultural creative expressions.

			b) Strategic Partnership - Leveraging synergy with other players in promotion and preservation of our culture. c) Institutional Capacity - Use of cutting-edge cultural infrastructure to promote culture, attract and retain potential audience. d) Institutional Visibility - Positioning UNCC as a vibrant institution in the promotion of Uganda Culture in Uganda and beyond. ii) The budget for the period under review was not approved due to absence of a constituted board. iii) There was a decline in revenue collection from UGX1.89Bn in the FY 2021/22 to UGX.1.01Bn in the FY 2023/24.
Uganda National Examination Board (UNEB)	Human capital development	Unqualified	i) The entity budgeted to collect NTR amounting to UGX 68.5Bn during the year ended 30 June 2024 but collected UGX 68.4Bn resulting into a shortfall of UGX 0.085Bn (0.12%). ii) Inspection of the hostel and printery block revealed that the complex has 36 rooms meant to house a maximum of 40 individuals but currently accommodates 90 people, with no space for other machinery, storage and working. iii) 35% of results for the Academic Year 2023 were withheld with over 50% of the results for UCE and UACE being released after selection for the next level of study. iv) The Board has trained 63,041 teachers in 3,810 schools from the five regions of the country on continuous assessment which is only a fraction of the teacher population. v) I noted that continuous assessment activity estimated at UGX.3.5Bn remained an unfunded priority and no funds had been allocated for the groundwork activities. vi) I assessed a total of 5 outputs with 33 activities worth UGX.109.98Bn and observed that four (4) outputs with 30 activities and expenditure worth UGX102.98Bn were fully implemented, and one (1) output with 3 activities worth UGX.7Bn had no detailed costings for individual activities within the output. vii) Out of the 9 sampled projects, one (1) project worth UGX.546.4Mn had delays of three (3) months from the expected completion date.
Uganda National Medical Stores (NMS)	Human capital development	Unqualified	i) The entity had bad and irrecoverable debts amounting to UGX.25.89Bn by the close of the year 2021/2022, which had not been recovered even by the close of the year under review. ii) The Corporation disclosed a contingent liability of UGX.66,939,118 for only one case out of 10 cases resulting into incomplete disclosure

			of the Corporations' exposure in-respect to contingent liabilities. iii) NMS had approved budget of UGX.587.694Bn out of which UGX.584.368Bn (99%) was warranted and fully utilized. The shortfall of UGX.3.325Bn was meant for retooling. iv) A total of 16 outputs with 19 activities worth UGX.517.051Bn were assessed and i were all fully implemented. v) The comparison of the EMHS delivered with the health facilities' budgets indicated that out of UGX.562,545,722,925 budgeted, NMS distributed EMHS worth UGX.503,398,119,671 leading to EMHS worth UGX.59,147,603,254 undelivered to 3,204 health facilities by the close of the financial year representing 89.5% performance. vi) The total non-viable stock written off during the year amounted to UGX.316.7Bn comprising UGX.23.2Bn for EMHS and UGX.293.5Bn for COVID-19 vaccines, ARVs, test kits.
Uganda National Meteorological Authority (UNMA)	Natural resources, environment, climate change, land and water	Unqualified	i) There was no strategy by the Authority and Ministry on how the former staff would be compensated (gratuity and severance package) and how much each is entitled to for onward submission to the Ministry of Public Service (MoPS) for consideration. ii) The contracts of the NCA staff ended on 30th September 2024 and the validation exercise had not been fully concluded. iii) Four (4) mandate activities it is mandated were not undertaken and these include building capacity at local government levels, supervising any other weather and climate observers whose data is to go into National Data Bank, establishing and maintaining an effective national weather forecasting center and participating in the review, formulation, and implementation. iv) Out of the approved budget of UGX 16.53Bn, UGX 15.53Bn was warranted representing 94% performance. v) Out of the warranted funds of UGX 15.53Bn, UGX 14.67Bn (94%) was utilised leaving a balance of UGX 0.86Bn which related to staff salaries and gratuity who had resigned. vi) Of the seven (7) outputs with forth-three (43) fully quantified activities, two (2) outputs with three (3) activities worth 0.04Bn were fully implemented, while five (5) outputs with forty (40) activities worth UGX 12.23Bn were partially implemented. vii) The Authority received UGX 93Mn supplementary funding without evidence of requesting it.

Uganda National Oil Company (UNOC)	Sustainable Development of Petroleum Resources Programme	Unqualified	i) The Jinja Storage Tanks as well as their associated land was not valued and recognized in the financial statements, despite the company managing, operating and generating benefits from the property. ii) The company had an operating margin of -9%, which improved by 37% from last financial year. In addition, the Return on assets is inadequate, at -0.3% which indicates that the company is not utilizing its assets efficiently to generate revenue. iii) The company's ROA is -0.3% which improved from the previous year's ROA of -1.7%. The low Return on Assets is attributed to the Company's Assets being work in progress or assets under construction. iv) UNOC paid out UGX.613.01Bn in EACOP cash calls effectively completing its equity contribution towards the project. However, the overall weighted project status as at 30th June 2024 was 36% contrary to the target of 50.8%. v) The Kabalega Industrial Park project progress is 2 years behind its baseline schedule with an overall completion status of 0.14%, due to the lags in the engineering and design stage. vi) The petroleum product bulk trading revenue had a 10.5% decline from the previous year's performance of UGX.1.85Bn, arising from a decrease in the volume of traded product by 37% from 27.1m litres previous year to 17.1m litres current year.
Road Sector Support Project V (RSSP-V) (Project ID No: P-UG-DB0-022 and Loan No: 2100150032194), implemented by UNRA for period ended 30th June 2023	Integrated transport infrastructure and services	Unqualified	i) Out of the expected total disbursement of USD.100.7Mn, the project received USD.86Mn, leading to undisbursed funds of USD.14.7Mn. ii) GoU is to pay commitment fees of USD.2.9Mn because of the undisbursed funds from the date of project effectiveness iii) Although the expected GoU counterpart funding was USD.20.7Mn, USD.29Mn had been disbursed, leading to an over disbursement of USD.8.3Mn. The over disbursement was to fund civil works which were not initially budgeted.
Road Sector Support Project V (RSSP-V) (Project ID No: P-UG-DB0-022 and Loan No:	Integrated transport infrastructure and services	Unqualified	i) Out of the total expected donor funding of USD 113,364,700, as of 30th June 2024, the African Development Fund (ADF) had disbursed UA 68,247,127.27 (USD 104,773,672), leaving an undisbursed balance of USD 8,591,027. ii) The Government of Uganda has incurred commitment fees totaling

2100150032194), implemented by UNRA for period ended 30th June 2024			USD 3,366,127.55 on undisbursed donor funds since the project's inception on 3rd June 2015. iii) Of the 8,647 Project-Affected Persons (PAPs), 8,125 worth UGX.74.55Bn have been compensated leaving 514 PAPs valued at UGX.3.61Bn outstanding as at 30th June 2024. iv) The GOU committed a total of USD 22,906,322.5 but has disbursed UGX.116.45 billion (USD 31,075,876.96), reflecting an over-disbursement of USD 8,169,554. v) Out of the approved budget of UGX.43.73Bn for the financial year 2023/2024, only UGX.27.01Bn was available for spending, resulting in a funding shortfall of UGX.16.77Bn and a performance level of 61.7%. vi) Out of UGX.27.01Bn available, UGX 26.38Bn was spent, leaving an unspent balance of UGX.628.81M (98% absorption).
Uganda Petroleum Fund (UPF)	Sustainable Development of Petroleum Resources	Unqualified	i) For the year ended 30th June 2024, the Petroleum Revenue Investment Reserve did not receive any appropriations, implying that the fund balances of UGX.99.602Bn and USD. 8.4Mn remain unutilized and therefore do not generate any returns.
Uganda Petroleum Institute-Kigumba (UPIK)	Human Capital Development	Unqualified	i) The entity accumulated domestic arrears and other payables increased from UGX.2.16Bn to UGX.4.72Bn over Financial Years (FYs) 2022/2023 and 2023/2024 owing to budget cuts and failure to adhere to the government commitment control system. ii) Procurements worth UGX.0.829Bn (13%), were split by the entity without following the criteria of splitting of requirements. iii) The Institute did not carry out market surveys for procurements worth UGX.5.259Bn. iv) There were late deliveries of contracted supplies averaging 96 days for 6 procurements amounting to UGX.1.194Bn. v) Out of the approved budget of UGX.11.541Bn, the total warrants for the year amounted to UGX.11.299Bn (98%), resulting in a shortfall of UGX.0.242Bn. vi) Out of the approved 89 positions, only 68 (76%) were filled, leaving 22 positions vacant.
Uganda Printing and Publishing Corporation (UPPC)	Governance and Security	Unqualified	i) UPPC had outstanding receivables worth UGX.6.09Bn. Included in these receivables is UGX.5.84Bn (96%) that relates to Government entities. UGX.1.91Bn has been outstanding for a period ranging between 361 days to 2,160 days. ii) UPPC had outstanding trade and other payables worth UGX.8.91Bn,

			an increment of 34% from prior year amount of UGX.6.66Bn. Further, 85% (UGX.7.61Bn) of the total payables relates to tax arrears that are due to Uganda Revenue Authority. iii) The Corporation made sales amounting to UGX.13.2Bn during the FY 2023/2024. This performance was an improvement from the sales of UGX.6.9Bn that were made in the FY 2022/2023 an increment of 93% iv) UPPC made a loss of a key business worth UGX.3.621Bn from Uganda Law Reform Commission due to outdated printing equipment and frequent breakdowns. v) The Corporation's return on assets was 3% which was below the recommended 5%, an indication that the entity is suboptimal and inefficient in utilising its assets due to the outdated printing equipment and frequent breakdowns. vi) The Corporation had a current ratio of 1.4:1 which is outside the desirable range of 1:2 vii) I assessed the implementation of five (5) key capital activities that had been fully quantified worth UGX.0.37Bn and noted that one (1) activity was fully implemented, one (1) partially implemented while three (3) were not implemented.
Uganda Prisons Service (UPS)	Governance and security	Unqualified	i) UPS had an approved budget and release of UGX.9.72Bn to settle domestic arrears. However, the domestic arrears brought forward from the prior year were UGX.182.35Bn, implying a shortfall of UGX.172.63Bn. ii) UPS spent UGX.117.77Bn in settling domestic arrears for the year under audit, yet the released amounts were UGX.9.72Bn, implying that the entity diverted a sum of UGX108.05Bn. iii) I reviewed the performance of Non-Tax Revenue (NTR) and observed that UPS planned to collect UGX.36.42Bn but collected UGX.33.80Bn during the year. iv) UPS had total releases of UGX.418.89Bn, out of which only UGX.418.78Bn had been utilised by the close of the financial year. The balance of UGX.0.11Bn was meant for the purchase of office equipment and procurement of food supplies. v) Three (3) outputs with 19 activities and expenditure worth UGX.92.18Bn were fully implemented. Six (6) outputs with 62 activities worth UGX.318.99Bn were partially implemented. vi) Examples of the partially implemented activities included; the

			construction of silos at Rumi and Lugore and the feasibility study for prison infrastructure. Similarly, only 19,833 metric tonnes of maize grain were produced out of the planned 21,825 metric tonnes, and only 2,700 bales of cotton were produced out of the planned 10,000 bales. vii) Four (4) activities amounting to UGX.2.15Bn were not implemented despite UPS receiving the funds. The unimplemented activities were the expansion of Kisoro Prison (comprising a male ward, external works and fencing), construction of a food storage facility at Kitalya Mini Max prison, establishment of a bakery project in Kitalya and training of staff in industrial safety and modern production technologies. viii) Despite UPS constructing additional prison wards, UPS continues to grapple with overcrowding of prisons with the highest congestion at Aswa I, Kicheche, Bubulo, Kakumiro and Kigandalo prisons. The current prisons' holding capacity is 21,126 prisoners, while the prisoner population as at 30th June 2024 was 79,757, exceeding the holding capacity by 58,631 inmates. This resulted in an occupancy rate of 377.5% ix) Analysis of prisoners' statistics revealed that prisoners on remand make up 48% of the total prisoner population. Remand prisoners comprise both capital offenders and petty offenders. I observed that the average length on remand for petty offences was 2.7 months against a recommended duration of two (2) months. x) I noted that as at 30th June 2024, the staffing levels at UPS were 14,145 staff, against the approved structure of 42,724 staff, leaving 28,579 positions vacant. The number of custodial staff was 11,576, serving a population of 79,757 prisoners, resulting in a high average custodial staff-to-prisoner ratio of 1:7 instead of the recommended ratio of 1:3. xi) A review of the status of staff accommodation of UPS personnel revealed that only 6,922 (49%) out of the 14,145 staff are accommodated in permanent houses provided by the Service, while the remaining 7,223 staff (51%) are accommodated in temporary houses or not housed at all. xii) I noted that 141 (53%) out of 266 prison stations are not fenced, and of those that are fenced, some have dilapidated fencing, such as Jinja (M), Jinja (R), Kakira, Makulubita, Nyimbwa, Bushenyi
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			(M)/(W), Mbarara (M)/(W). Inadequate fencing may result in prisoners escaping from prison. xiii) I noted a misalignment between prisons and court locations, with several prisons located more than 20 km from the nearest courts that prisoners need to attend. The long distances between courts and prisons have led to incidents of late delivery or non-production of prisoners to courts and high fuel expenses, vehicle repairs and maintenance. xiv) I reviewed the health infrastructure within the different prisons and noted that UPS only has one general hospital at Murchison Bay prison, 98 prisons do not have any health facility, only Murchison Bay hospital has an established mental facility, and out of 266 prisons, only seven (7) prisons (3%) have isolation centres for prisoners with transmittable diseases. xv) I observed that the average number of babies staying with their mothers in prison during the financial year 2023/2024 was 293. However, out of the 19 women's prisons, only 4 (21%) prisons have day care centres, i.e. Luzira, Arua, Mbarara and Gulu women's prisons. xvi) I noted that fifty (50) prisons still use the bucket system, particularly in stations that continue to use uniports as prisoners' accommodation and in stations that do not have dedicated wards for female prisoners but instead use improvised structures. xvii) UPS occupies approximately 172 pieces of land of different sizes in various parts of the country, but only 65 (38%) have titles. Out of the total land, 65 pieces are surveyed and titled. 22 pieces are surveyed but not yet titled, while 85 pieces have not been surveyed. xviii) Six (6) pieces of land occupied by Uganda Prisons had encumbrances in form of encroachments and court cases. xix) The Prisoners Management Information System (PMIS) is only operational at three (3) prisons, i.e., Murchison Bay, Luzira Women and Luzira Upper Prison. As at 30th June 2024, the total prison population at the three prisons was 6,945, yet only 6,153 records of prisoners were captured on PMIS since inception, indicating a performance gap in the utilisation of the system. xx) A review of the approved budget estimates of UPS for the financial year under review revealed that a budgetary provision of UGX.414Mn was made towards the settlement of outstanding arrears for court
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			awards totalling to UGX.795.2Mn. xxi) I undertook a special audit of the pension payroll that covered a period from FY 2019/20 to 2023/24 and a separate report was issued. xxii) I undertook an audit of two (2) Treasury Memoranda on the Parliamentary resolutions on the report of the Public Accounts Committee - Central Government on the reports of the Auditor General for FYs 2015/16 and 2020/21 and noted that out of the 27 recommendations given by Parliament, 17 were fully implemented, nine (9) were partially implemented while one (1) was not implemented.
Schedule of Expenditure of Federal Award of Uganda Prisons Service, Centers for Disease Control and Prevention (Cooperative Agreement Grant No. 1NU2GGH002279-01-00) for the year ended 30th September 2023	Governance and security	Unqualified	i) The payment voucher references were not referred to in the accounting system and the accounting system references were not appended on the payment supporting documents. This made it difficult to trace transactions reported in the system to their supporting documents. ii) Management procured a lot of mother registers which were more than what was needed by the Prisons Management and therefore many of these registers were just kept in stores.
Uganda Refinery Holding Company (URHC)	Energy Development	Unqualified	i) Although funds amounting to UGX.173.29Bn were available for the refinery project during the year, there was no notable progress. ii) There was a delay in the Final Investment Decision (FID) due to slow negotiations of critical commercial agreements, including the Host Government Agreement, Crude Supplier's Agreement, and the Shareholders' Agreement with the investment partners. iii) The RAP for the MBEGU water abstraction and multi-product pipeline remains unfinished. Implementation of PAP compensation has not yet commenced. iv) The initial project plan aimed at startup by November 2027, 30 months after the original expected First Oil date of April 2025. However, due to the current circumstances, the timeline was at risk of extending further.

Uganda Retirement Benefits Regulatory Authority (URBRA)	Private sector development	Unqualified	i) A comparison of the entity's strategic and annual work plans for the last three (3) years with the mandate as stipulated in relevant laws revealed that the entity had adequately executed its mandated activities. ii) The entity had an approved budget of UGX.14.58 Bn out of which UGX. 14.48 Bn was warranted resulting in a shortfall of UGX.0.1059 Bn (99.3%). iii) The entity had total warrants of UGX.14.48 Bn out of which warrants worth UGX.13.79 Bn had been utilised by the close of the financial year.
Uganda Registration Services Bureau (URSB) - Liquidation	Governance and Security	Unqualified	i) The URSB - Liquidation had an approved budget of UGX.843.55Mn. However, UGX.855.71Mn was warranted, exceeding the approved budget by UGX.12.15Mn. Out of which warrants worth UGX.835.26Mn had been utilised by the close of the financial year. The balance of UGX.20.45Mn was meant for the maintenance of transport equipment, security, guards and bailiffs at the initial appointment of the Official Receiver and facilitation to staff carrying out initial appointments and other duties of the Official Receiver upcountry which were not carried out. ii) I assessed the extent of implementation and noted that URSBL did not implement some activities, including the provision of security guards and bailiffs at the initial appointment of the Official Receiver, carrying out initial appointments and other duties of the official receiver in upcountry locations, and the maintenance of motor vehicles and motorcycles despite receiving the required funds.
Uganda Registration Services Bureau (URSB)	Community mobilization and mindset change Governance and security Innovation, Technology development and transfer Private sector development	Unqualified	i) I reviewed the management of domestic arrears and noted the delayed settlement of arrears by URSB. Out of UGX.6.242Bn arrears declared as at 30th June 2023, only UGX.3.481Bn was settled during the year under review using the recurrent budget provisions, leaving pending arrears from the previous period of UGX.2.761Bn unpaid. I also noted that the Bureau continued accumulating additional arrears from UGX.0.591Bn in the previous year to UGX.1.482Bn in the current year. ii) URSB is housed in the Uganda Business Facilitation Centre (UBFC), a 12-story building accommodating various government entities, including the Capital Markets Authority and the Uganda Investment Authority, under the Condominium Property Act. However, I observed that no condominium plan has been established, and no condominium corporation exists, contrary to the provisions of Section 19 of the Condominium Property Act, Cap 234.

			iii) During the year under review, MoFPED procured additional land comprising Plot 4A and Plot 4B on Malcolm X Avenue, Kololo at a cost of UGX.7.6Bn for the expansion of the Uganda Business Facilitation Centre (UBFC). However, I observed no clear access route connecting the procured land to the UBFC building. In addition, as of November 2024 (the audit date), physical possession of the acquired land had not been handed over to URSB and other intended beneficiaries. iv) I observed that 11 out of 32 motor vehicles owned by URSB have significantly exceeded their economic useful life of five (5) years. These vehicles, primarily utilised for field activities at regional offices, have been in operation for periods ranging from 9 to 17 years. v) The URSB had an approved budget of UGX.47.825Bn, out of which UGX.47.191Bn was warranted, resulting in a shortfall of UGX.634.35Mn. As a result, the procurement of motor vehicles and consultancy services were partially funded, while utilities and furniture were not funded at all. vi) URSB had total warrants of UGX.47.191Bn, out of which warrants worth UGX.47.017Bn had been utilised by the close of the financial year. The balance of UGX.173.505Mn comprised residual amounts meant for the advertising and public relations, printing, stationery, photocopying and binding, property management expenses, incapacity, death benefits and funeral expenses, fines and penalties, and acquisition of light ICT hardware and light vehicles. vii) The URSB partially implemented the business clinics. Out of the planned 48 business clinics, the Bureau carried out only 12. In addition, the URSB did not implement four (4) activities within the financial year despite receiving funding to implement them. These activities include procuring software licences, developing a mobile app, Subscription for approval of chambers and Subscription to the Public Relations Association of Uganda (PRAU) for six (6) staff. viii) I reviewed the Online Business Registration System (OBRS) implementation and observed implementation delays as set milestones were yet to be achieved. I further noted that the revised implementation schedule, because of the delays, was neither signed off nor formally approved. In addition, the monitoring of the system implementation was not sufficiently regular to ensure timely detection of implementation shortfalls.
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Uganda Rural Electricity Access Project (UREAP)	Energy Development	Unqualified	i) Only 7,183 (16%) of the total 44,038 Project Affected Persons (PAPs) had been compensated owing to shortfalls in disbursements. ii) Although the Project Implementation Unit fully implemented the construction of 1769km Medium Voltage (MV) and 2,682km Low Voltage (LV) lines, the last mile connections of 54,200 identified customers had not been implemented.
Electricity Access Scale Up Project (EASP) (MEMD)	Energy Development	Unqualified	i) Out of the required 47 project staff positions, only 11 (23%) have been filled leaving 36 vacant positions. Inadequate staffing affects implementation of project activities. ii) Procurements worth USD. 31.62Mn did not meet the indicative lead time frame for open international bidding and Quality and Cost Based Selection (QCBS) which is 5 and 8 calendar months respectively. iii) Out of the IDA and GoU budget of USD.53.08Mn and UGX.27.77Bn respectively for the financial year 2023/2024, only USD.9.02Mn (17%) and UGX.23.46Bn (84%). The underperformance affected procurement of project consultants. iv) Out of the total available donor funds of USD.9.02Mn, only USD.1.17Mn (13%) was spent, due to delays in the procurement processes. v) Out of the 83 project activities conducted; two (2) activities worth USD.0.11Mn were fully implemented, twenty-four (24) activities worth USD.1.06Mn were partially implemented and fifty-seven (57) activities worth USD.6.40Mn were not implemented.
Electricity Access Scale Up Project (EASP) (UECCCL)	Energy Development	Unqualified	There were no reportable issues
Uganda Road Fund (URF)	Integrated transport infrastructure and services	Qualified	i) A total of UGX.22.1Bn, intended for code 263402 (transfers to other government units for District, Urban & Community Access Road maintenance), was mischarged to other codes, contrary to Section 7.10.3 of the Treasury Instructions, 2017. ii) A total of UGX.6.14Bn spent by the Fund on field and support activities lacked the necessary supporting accountability documents. iii) URF's operations have ceased, and its functions have been absorbed by the Ministry of Works and Transport. Management disclosed these developments on page 8 of the financial statements. iv) The delayed implementation of the Integrated Management Information System (IMIS), funded by the African Development Bank at UGX.2.6Bn, has resulted in incomplete project execution, insufficient training for Designated Agencies, untested alignment with user

			requirements, and unresolved cost implications of multiple change requests, undermining road management efficiency and system rollout. v) No contract management reports were available for contracts totalling UGX.648.73Mn, hindering the assessment of performance and compliance. vi) A contract for the supply of a Double Cabin Pickup valued at UGX.197Mn did not have the required 5% performance security, exposing the entity to financial risks in case of non-performance. vii) A contract worth UGX.169.21Mn for the supply and installation of IT equipment experienced a four-week delay, incurring liquidated damages of UGX.6.77Mn, which were not enforced. viii) A framework contract for catering services valued at UGX.396Mn/year revealed non-compliance, including failure to contribute 2% of monthly electricity bills and a lack of documented contract management meetings. ix) Key mandated activities, including control of overloading and implementation of a road user charging system, were not executed as per the Uganda Road Fund Act. x) Of the UGX.435Bn approved budget, UGX.434.91Bn was warranted, with UGX.0.094Bn unutilized, leaving some activities, such as ICT supplies and maintenance, unfunded. xi) Out of 10 funded activities worth UGX.0.97Bn, seven were fully implemented, two were partially implemented, and one was not implemented. xii) UGX.6.24Bn was released to districts and cities that lacked functional road committees, leading to ineffective oversight and unverified accountability of funds. xiii) Recommendations from a UGX.2.08Bn consultancy for establishing TSUs remain largely unimplemented, delaying improvements in road infrastructure maintenance. xiv) 713 newly created sub-agencies submitted budgets totalling UGX.26.73Bn for FY 2023/24 but received no funding, jeopardizing road maintenance and development in town councils and sub-counties. xv) I observed that 28 designated Agencies did not submit accountabilities amounting to UGX.6.924Bn. xvi) Of 10 recommendations from the Treasury Memorandum for FY 2020/21, 50% were fully implemented, 30% partially implemented, and 20% not implemented, reflecting gaps in compliance.
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Uganda Secondary Education Expansion Project (USEEP)	Human Capital Development	Unqualified	i) Targets for seven (07) activities worth UGX.2.55Bn had been fully achieved while targets for the remaining eighteen (18) activities worth UGX.41.19Bn were yet to be achieved. ii) Commitment fees of UGX.2,458Bn were paid because of undisbursed funds. iii) Out of the target of 72 schools only eight (8) had been constructed. iv) Even with the available funds of UGX.43.75Bn, 25 activities comprising the construction of classroom and schools' facilities were not implemented.
Uganda Support to Municipal Infrastructure Development Project Additional Funding (USMID-AF)	Private Sector Development	Unqualified	i) The total cumulative disbursements of project funds as at 30th June 2024 were UGX.1.26 Trillion against the expected disbursements of UGX.1.26 Trillion creating a short fall of UGX.53.5 Billion as per the project financing agreement. ii) A total of 84 projects whose designs had been completed by the end of the project in various cities and MCs worth UGX.473.97Bn were not implemented because of the un-disbursed funds. iii) Out of 151 activities worth UGX.989.4Bn in 10 cities, 12 Municipalities and 11 RHD's, only 116 activities worth UGX.861.8Bn had been fully achieved. 35 activities worth UGX.127.6Bn were yet to be achieved. iv) Physical development plans were restricted to a few sub counties and Town Councils. v) The Project had an approved budget of UGX.520.9Bn for the financial year 2023/2024 out of which UGX.520.9Bn⁶ was available for spending representing 100% performance. This is for current year only. vi) Out of the total available funds of UGX.520.9Bn, only UGX.513.8Bn (91%) was spent resulting in unspent balance of UGX.7.1Bn 9(%). vii) I selected fifty-one (51) service delivery activities costing UGX. 59.07Bn that were implemented to establish if project activities were undertaken in a timely manner, and they were of expected quality and quantity. viii) Over UGX.989.4Bn has been spent on infrastructure in the thirty-three (33) Cities, Municipalities and RHD's during the Implementation of the project. I noted that the continuity of the investments and the sustained utilisation of the infrastructure was at risk as the LGs did not plan adequately for the maintenance of the infrastructure. ix) The LGs failed to comply with Environmental and Social provisions pertaining to borrow pits, quarry sites and tree planting.

⁶ Please note that the actual releases are inclusive of rolled over unspent balances from the prior year since projects do not return funds.

			x) Solid waste generated and disposed of during the whole project implementation period (2021/2022-2023/2024) by the participating Cities and Municipalities was 4,034,739.4 tonnes and 1,509,730.54 tonnes respectively. However, only 1,109,833 tonnes and 399,897 tonnes were disposed of in Cities & Municipalities respectively. xi) 331 grievances were registered under USMID-AF, but only 278 (84%) were closed off while 53 (16%) remained open by the end of June 2024. xii) Only 28 (80%) procurements worth USD 7.32Mn were fully achieved, 2 (5.7%) procurements worth USD 140,000 were partially achieved and 5 (14.3%) procurements worth USD 2,539,970 were not undertaken at all.
Uganda Virus Research Institute (UVRI)	Human capital development	Unqualified	i) The Institute had outstanding commitments of UGX.5.58Bn in respect of compensation to squatters on its land at Kamwanyi worth UGX.5.40Bn and water bills worth UGX.0.19Bn by the close of the year 2023/2024. ii) The Institute had a contingent liability of UGX.0.12Bn in-respect of unpaid gratuity and pension for a late staff. The non-payment of this liability was due to the non-submission of the relevant documents by the beneficiaries. iii) The entire approved budget of UGX.9.847Bn was warranted of which warrants worth UGX.9.819Bn had been utilized by the close of the financial year leaving a balance of UGX.0.028Bn, which was meant for payment of pension to remain unutilized. iv) Out of the five (05) outputs with 14 activities worth UGX.3.043Bn that were assessed, four (04) outputs with thirteen (13) activities and expenditure worth UGX.2.413Bn were fully implemented while one (01) output with one (1) activity worth UGX.0.630Bn was partially implemented. v) I conducted a special audit on Gratuity Payments and Pension Payroll for the FYs 2019/2020 to 2023/2024 and issued a separate report
Uganda Warehouse Receipt Systems Authority (UWRSA)	Private Sector Development	Unqualified	i) A comparison of the entity's strategic and annual work plans for the last three (3) years with the mandate as stipulated in relevant laws revealed that the entity had not adequately its mandate. ii) On 15th July 2024, the President assented to the amended Warehouse Receipt System (WRS) Act following the Rationalization of Government Entities and Expenditure Programme. Consequently, the amendment of the UWRSA Act, 2006 mainstreamed the Authority and transferred

			all its functions to the Ministry of Trade, Industry and Co-operatives. iii) Liabilities of UGX.308Mn were reported in the Statement of Financial Position. Continued accumulation of payables poses a risk of litigation that may eventually lead to payment of penalties and fines for delayed settlement. iv) Planned procurements worth UGX.334Mn were not implemented by 30th June 2024.
Uganda Microfinance Regulatory Authority (UMRA)	Private sector development	Unqualified	i) Government took a decision to merge, mainstream and rationalize Government agencies and Public Expenditure. UMRA was among the entities that were being rationalized under the RAPEX and this was extended to 30th June 2025. As a result of this policy shift, the Uganda Microfinance Regulatory Authority (UMRA) will cease to operate effective 1st July 2025 and its operations will be mainstreamed under the Ministry of Finance Planning and Economic Development. ii) The Authority continued to irregularly renew licenses to non-complaint SACCOs who have failed to provide annual returns contrary to Section 42 (2 & 4) of the Tier 4 Microfinance Institutions and Money Lenders Act Cap 61. iii) I noted that although the Accounting Officer had reported in the commentary to financial statements that 182 complaints were resolved during the period under review, Management did not provide evidence to the effect. iv) 8 planned procurements worth UGX.665.28Mn were not undertaken. This delays service delivery. v) The entity had an approved budget of UGX.12.215Bn out of which UGX.10.885Bn was warranted, resulting in a shortfall of UGX.1.330Bn, representing an 89% performance. vi) 4 outputs with 17 activities and expenditures worth UGX.1.414Bn were fully implemented. Ten (10) outputs with 74 activities worth UGX.4.7Bn were partially implemented. Out of the 74 activities, the entity fully implemented Thirty-Six (36) activities worth UGX.4.3Bn, twenty-five (25) activities worth UGX.0.4Bn were partially implemented, while thirteen (13) activities worth UGX.0.5Bn remained unimplemented.
Uganda Wildlife Education Center (UWEC)	Tourism Development	Unqualified	i) The entity had an unspent balance of UGX.5.52Bn meant for activities, which remained either partially or not implemented at all. ii) The entity had not adequately executed its full mandate in certain identified areas.

			iii) Procurement delays were observed for the Construction Services for the construction of Mbale Satellite Centre worth UGX 4.735Bn. iv) The entity was unable to implement 7 planned procurements for UGX 2.165Bn by 30 th June 2024 due to late release of funds.
Fostering Sustainability and Resilience for Food Security in Karamoja sub-region (UNDP Project implemented by MAAIF) for the year ended 31st Dec 2023	Agro-Industrialization Programme	Unqualified	There were no reportable issues
UNFPA funded Programme implemented by Ministry of Gender Labour and Social Development (MoGLSD) for the year ended 30th Sept 2023	Community Mobilization and Mindset Change Governance and Security, Human Capital Development	Unqualified	i) Expenditure of UGX.11,007,408 lacked sufficient supporting documentation
UNFPA funded programme implemented by Uganda Bureau of Statistics (UBoS) for the year ended 30th Sept 2023	Development plan implementation	Unqualified	There were no reportable issues
UNFPA funded Programme implemented by Ministry of Education and Sports (MoES) for the year ended 30th Sept 2023	Human Capital Development Programme	Unqualified	There were no reportable issues

UNFPA funded Programme implemented by Ministry of Health (MoH) for the year ended 30th Sept 2023	Human Capital Development	Unqualified	There were no reportable issues
UNFPA funded Programme implemented by Ministry of Justice and Constitutional Affairs (MoJCA) for the year ended 30th Sept 2023	Governance and Security	Unqualified	There were no reportable issues
UNFPA funded programme implemented by National Population Council (NPC) for the year ended 30th Sept 2023	Community mobilization and mindset change Human capital development	Unqualified	i) There was no evidence of supervision or monitoring of activities that have been undertaken by the districts
Allied Health Professionals' Council (AHPC), for period ended 30th June 2023	Human Capital Development	Unqualified	i) The entity collected/realised UGX.4.797Bn, out of a budget for Revenue of UGX.5.299Bn, representing 90% performance ii) Out of the available funds of UGX.5.299Bn, the entity utilised UGX.4.834Bn (91%) iii) Out of the NTR budget of UGX.5.174Bn, the entity collected UGX.4.689Bn, representing 91% performance iv) Out of sixty-two (62) activities that were fully quantified, twenty-five (25) were fully implemented, eight (8) were partially implemented and twenty-nine (29) were not implemented at all v) Out of 53 employees, 52 were fully verified and one (1) was not. vi) The one who was not verified lacked a National Identity Card and had different names on the NIRA database. This employee had received total gross salary of UGX.22Mn over the period under review, which is a financial loss to Government vii) Five (5) employees on the payroll had inconsistencies in their names while 9 had inconsistent dates of birth on the payroll compared to

			data captured by NIRA on the National IDs. viii) Out of 65 approved positions, 53 were filled, leaving a gap of 12 positions. ix) The Council had not enrolled on the IPPS/HCM, which undermines the rationalisation of the HCM investment x) The entity's Financial Manual gave parallel guidance on the preparation of financial statements, by referring to both International Public Sector Accounting Standards (IPSAS) and the Public Finance Management Act.
Centre for Disease Control Project (Ministry of Health) for period ended 30th September 2023	Human Capital Development	Unqualified	i) A concept note was not prepared for the project causing risk of duplication of interventions already being implemented by Government ii) A project profile was not prepared before the project was operationalised with a risk of the implementation commencing without a clear mechanism for tracking project activities iii) Neither pre-feasibility study nor detailed feasibility study were undertaken prior to execution of the project, which creates iv) Budget monitoring and progress reports were not prepared by project staff, making it difficult to track the implementation of planned activities and promptly take corrective action when bottlenecks are identified v) The total cumulative disbursements to-date (USD.20,006,785) was less than expected (USD.24,765,834), resulting in undisbursed funds of USD.4,759,049 vi) USD.7,541,964 (89%) was available for spending, out of the approved budget of USD.8,490,781, resulting in a shortfall of USD.948,817 vii) Out of USD.7,541,964, only USD.7,310,020 (96.9%) was utilized, resulting in an unspent balance of USD.208,307. The unspent balance was to be refunded to CDC as per funding agreement.
MUST – VOICES Project for the period 15th Aug 2022 to 16th Aug 2023	Human Capital Development	Unqualified	i) The project had an approved budget of USD 127,669, out of which USD 119,714 (Opening balance USD 49240 and receipts USD 70474) was available for spending, resulting in a shortfall of USD 7,955. ii) Of the USD 119,714 available to spend, the project expended USD 119,468, leaving a balance of USD 246.
Water Supply and Sanitation in Refugee Hosting Communities in	Natural Resources, Environment, Climate Change, Water and Land Management	Unqualified	i) Out of the expected cumulative donor disbursement of UGX.61.76Bn in the Fifth year of the project implementation, only UGX.41.70Bn was disbursed representing 71% performance. ii) Out of the expected cumulative GoU counterpart funding of

Northern Uganda (KFW) Project			UGX.19.32Bn, only UGX.9.09Bn was received representing 47% performance. iii) Five (05) activities worth UGX.24.90Bn were sampled to assess implementation and it was noted none of them was fully implemented. iv) The Project had an approved budget of UGX.50.73Bn for the financial year 2023/2024 out of which UGX.42.50Bn was available for spending resulting in a shortfall of UGX.8.23Bn representing 84% performance hence partial and unimplemented activities. v) Out of the total available funds of UGX.42.50Bn, only UGX.31.00Bn was absorbed resulting in unspent balance of UGX.1.63Bn representing an absorption level of 73% which resulted into partial and delayed service delivery of access improved water sources.
MUST MACT Project for the period 1st June 2021 to 31st May 2022	Human Capital Development	Unqualified	i) Out of the available funds of £71,640, only £67,269 was spent, resulting in unspent balance of £4,371, representing absorption level of 94%.
MUST DE-SIRE for period ended 31st Dec 2022	Human Capital Development	Unqualified	i) The project had an approved budget of Euros 58,762, out of which Euros 25,672 (44%) was available for spending, resulting in a shortfall of Euros 33,090 ii) Out of the total available funds of Euros 25,672, only Euros 14,463 (56%) was spent, resulting in unspent balance of Euros 11,208
Makerere University Center for Health and Population Research (MUCHAP) Company - 30th June, 2023	Human Capital Development	Unqualified	i) There was a shortfall of UGX 52,509,725 (8%) from the approved budget of UGX 650,120,956, thereby affecting execution of civil works and fencing of the land using concrete poles and chain link ii) The Company did not hold Annual General Meeting and Board meetings as required
MUST MOMS Project for period 1st August 2018 to 14th August 2019	Human Capital Development	Unqualified	i) Out of the project's total available funds for the year of USD 25,667, only USD 18,875 (74%) was spent, resulting in unspent balance of USD 6,791.
MUST MRI-NIH Project for the period 1st Sept 2021 to 30th June 2022	Human Capital Development	Unqualified	i) Out of the project's total available funds for the year of USD 94,497, only USD 80,287 (85%) was spent, resulting in unspent balance of USD 14,351 after adjusting for a reversal.
MUST - National Institutes of Health	Human Capital Development	Unqualified	i) Five payments totalling USD 7,623 were not supported with signed attendance records

(NIH) Project for various periods ending 31st August 2021			ii) MUST undercharged indirect costs to the projects by USD 7,663 iii) PAYE and NSSF deductions were remitted late to the relevant authorities.
MUST - National Institutes of Health (NIH) Project for various periods ending 30th June 2023	Human Capital Development	Unqualified	i) A transaction dated 18 June 2023 of USD 9,557 in the transaction listing, relating to training facilitation paid to a project staff on 23 January 2024, was inappropriately included in the transaction listing for period ended 30th June 2023 for DATs Project. ii) In addition, a drawdown of USD 14,998 on the DATs Project, made on 23 September 2023, was included in the schedule of income for the period 1 July 2020 to 30 June 2023. iii) MUST undercharged indirect costs to the projects by USD 41,149 iv) Pay as You Earn and National Social Security deductions were remitted late to the relevant authorities.
MUST - National Institutes of Health (NIH) Project for various periods ending 31st August 2020	Human Capital Development	Unqualified	i) There was no competitive bidding for the procurement of restaurant services during the proposal development training for undergraduates. ii) Indirect costs of USD 19,355 charged by MUST to the NIH Funded Projects could not be reconciled.
MUST - TLD Project for the period 1st Dec to 30th Nov 2022	Human Capital Development	Unqualified	v) Out of the project's total available funds of USD 52,394, only USD 39,236 (75%) was spent, resulting in unspent balance of USD 13,158
MUST - Oncology Project for the period 1st Aug 2016 to 31st July 2017	Human Capital Development	Unqualified	There were no reportable issues
MUST - PACO project for the period 1st Jan 202 to 31st Dec 2022	Human Capital Development	Unqualified	i) Out of USD 72,998 funds availed to spend, only USD 64,757 (89%) was spent, resulting in unspent balance of USD 8,241
MUST - PRADA project for the period 1st Sept 2022 to 7th Sept 2023	Human Capital Development	Unqualified	i) Out of the total available funds of USD.29,306 (including opening balances of USD.13,133), only USD.6,408 (22%) was spent, resulting in unspent balance of USD.22,898

MUST - RASA Project for the period 1st April 2022 to 31st Mar 2023	Human Capital Development	Unqualified	i) The project had an approved budget of USD.61,744, out of which USD.34,763.71 (56%) was availed resulting in a shortfall of USD.26,980.29
MUST - Refugee Integration project for the period 1st Jan 2022 to 31st Dec 2022	Human Capital Development	Unqualified	i) The project had an approved budget of Euros 45,842, out of which Euros 21,234.65 (46%) was available for spending, resulting in a shortfall of Euros 24,607.35.
MUST - Rwizi Land Use Project for the period ended 31st Dec 2021	Human Capital Development	Unqualified	i) The project had an approved budget of €54,643, out of which €50,718 (opening balance €7718 +receipts €43,000) was available for spending, resulting in a shortfall of €3,925 (7.2%). ii) Out of the total available funds of € 50,718 (including opening balances of €7,718.32) only €45,832 (90.4%) was spent, resulting in unspent balance of €4,887
MUST - SOCIAL NETWORKS Project for the period 1st Jul 2021 to 30th June 2022	Human Capital Development	Unqualified	i) Out of the project's total available funds of USD 354,255 only USD 233,972 (66%) was spent, resulting in unspent balance of USD 120,283
MUST - TB SPEED Project for the period 1st Nov 2021 to 31st Oct 2022	Human Capital Development	Unqualified	i) The project had an approved budget of €40,125.52, out of which €34,815 was available for spending, resulting in a shortfall of €5,310.52 (13.2%). ii) Out of the total available funds of €34,815, only €28,966 (83%) was spent, resulting in unspent balance of €5,848
MUST - Skills Acquisition Project for the period 1st June 2022 to 31st May 2023	Human Capital Development	Unqualified	i) Out of the project's total available funds of GBP 11,602.80, only GBP 10,494 (90.4%) was spent, resulting in unspent balance of GBP 1,108.62
MUST - Rwizi Land Use Project for the period ended 31st Dec 2021	Human Capital Development	Unqualified	i) The project had an approved budget of €54,643, out of which €50,718 (opening balance €7718 +receipts €43,000) was available for spending, resulting in a shortfall of €3,925 (7.2%). ii) Out of the total available funds of € 50,718 (including opening balances of €7,718.32) only €45,832 (90.4%) was spent, resulting in unspent balance of €4,887

MUST - Skills Acquisition Project for the period 1st June 2022 to 31st May 2023	Human Capital Development	Unqualified	i) Out of the project's total available funds of GBP 11,602.80, only GBP 10,494 (90.4%) was spent, resulting in unspent balance of GBP 1,108.62
Uganda Country Coordinating Mechanism (UCCM), for the year ended 31st December 2023	Human Capital Development	Unqualified	i) UGX.3.133Bn (101.7%) was realized out of the budgeted UGX.3.080Bn, resulting in excess of UGX.53.168Bn. The excess funding was mainly attributed to GIZ funding which hadn't been budgeted for ii) Out of the approved Global Fund budget of UGX.940.5Mn, UGX.861.6Mn (91.6%), resulting in a shortfall of UGX.78.9Mn iii) Out of the approved GoU Counter-part funding budget of UGX.1.770Bn, UGX.1.116Bn (63%) was realized, resulting in a shortfall of UGX.653.5Mn iv) Out of the total of UGX.3.651Bn that was available to the entity, UGX.3.484Bn (95.4%) was spent, resulting in un-spent balance of UGX.166.7 Mn v) Out of the five (5) outputs with a total of thirty-nine (39) activities worth UGX.3.321Bn, one (1) output with one (1) activity and expenditure worth UGX.1.268Bn was fully implemented while four (4) outputs with thirty-eight (38) activities and expenditure worth UGX.2.053Bn were partially implemented. vi) Contract managers for contracts worth UGX.986.9Mn did not prepare reports on the progress or completion of the contracts vii) Out of 9 approved staffing positions, 5 were filled, leaving a gap of 4 positions
MUST – WIMS Project for the Period 1st Sept 2021 to 31st August 2022	Human Capital Development	Unqualified	i) The project's total available funds for the year was USD 35,654.21, out of which, only USD 25,908.76 (73%) was spent, resulting in unspent balance of USD 9,745.45
MUST - MRI/WOTRO project for the period 31st Dec 2020 to 1st Nov 2021	Human Capital Development	Unqualified	There were no reportable issues.

Annexure 2: The Consolidated Financial Statements of the Government of the Republic of Uganda for the financial year ended 30th June 2024

Annexure 3: The Consolidated Summary Statement of Financial Performance of Public Corporations and State Enterprises for year ended 30th June 2024



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